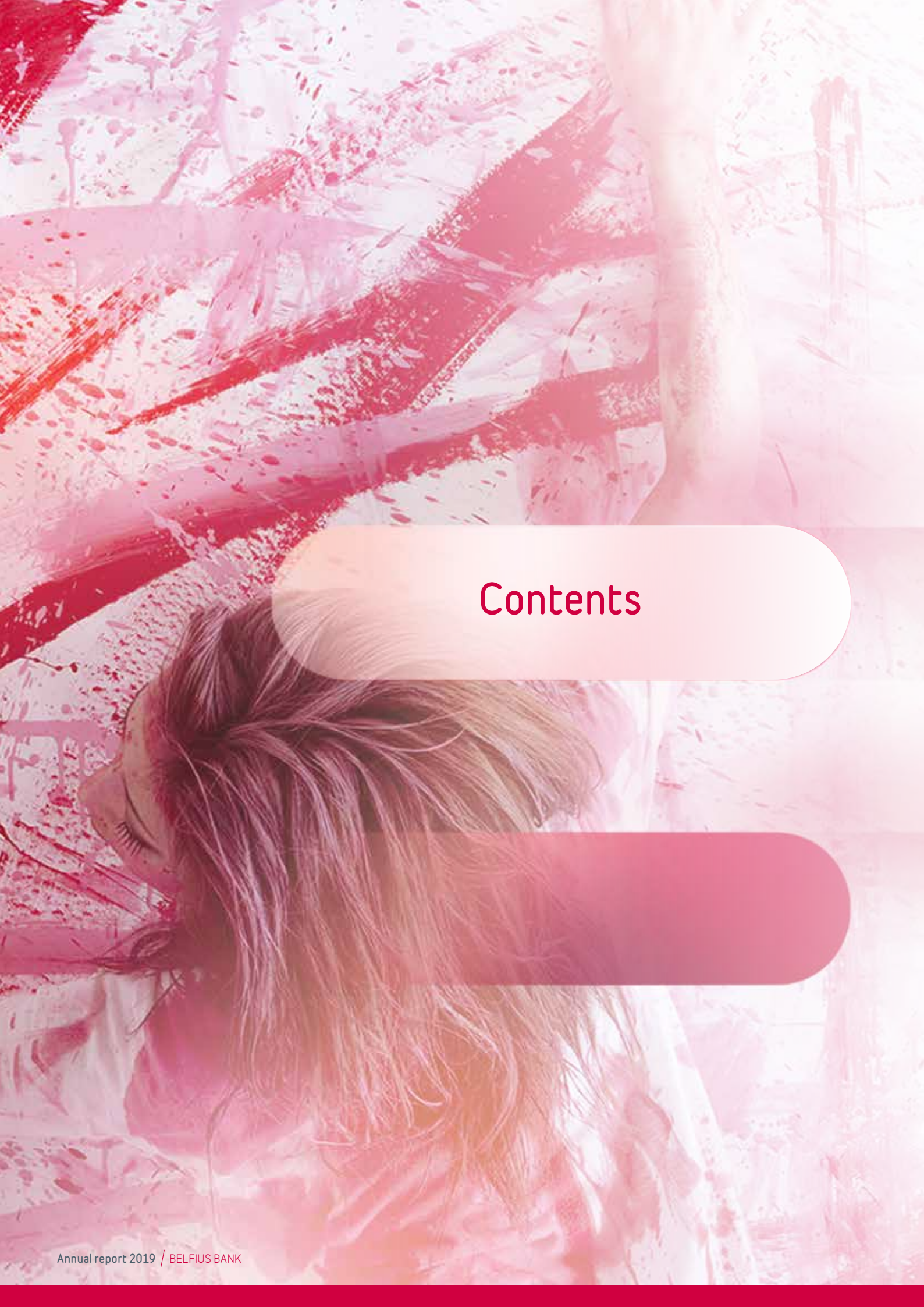




ANNUAL REPORT 2019 BELFIUS

The background of the page is an abstract composition. It features bold, expressive brushstrokes in various shades of red and pink, creating a sense of movement and energy. In the lower-left corner, the profile of a woman with long, wavy, light-colored hair is visible, looking downwards. The overall aesthetic is modern and artistic.

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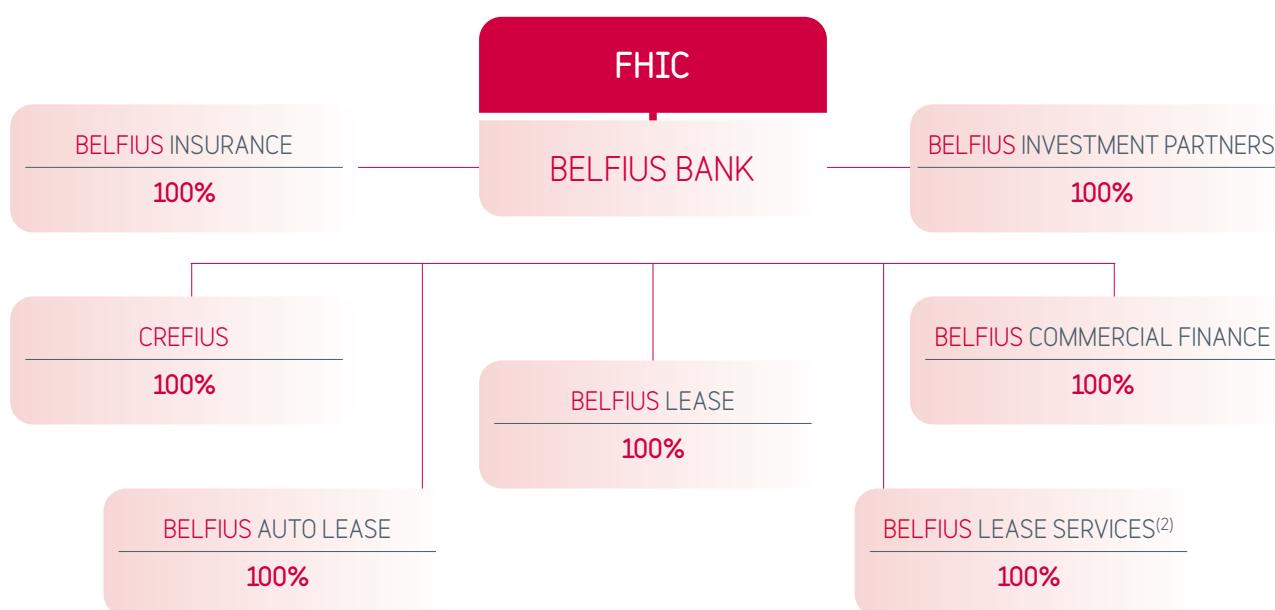
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Profile of Belfius

Belfius is a Belgian banking and insurance group wholly owned by the Belgian federal state through the Federal Holding and Investment Company (FHIC). At the end of 2019, total consolidated balance sheet amounted to EUR 172 billion.

Simplified group structure⁽¹⁾



(1) For more details, see the list of subsidiaries of the consolidated financial statements in this annual report.

(2) Belfius Lease Services operates under the same brand (logo) as Belfius Lease.

Our main commercial subsidiaries

1. Belfius Insurance

Insurance company marketing life and non-life insurance products, savings products and investments for individuals, the self-employed, liberal professions, companies and the public and social sector. At the end of 2019, total consolidated balance sheet of Belfius Insurance amounted to EUR 22 billion⁽¹⁾.

2. Crefius

Company servicing and managing mortgage loans. At the end of 2019, total balance sheet of Crefius amounted to EUR 49 million⁽²⁾.

3. Belfius Auto Lease

Company for operational vehicle leasing and car fleet management, maintenance and claims management services. At the end of 2019, total balance sheet of Belfius Auto Lease amounted to EUR 397 million⁽²⁾.

4. Belfius Lease

Company for financial leasing and renting of professional capital goods. At the end of 2019, total balance sheet of Belfius Lease amounted to EUR 927 million⁽²⁾.

5. Belfius Lease Services

Financial leasing and renting of professional capital goods to the self-employed, companies and liberal professions. At the end of 2019, total balance sheet of Belfius Lease Services amounted to EUR 2,197 million⁽²⁾.

6. Belfius Commercial Finance

Company for financing commercial loans to debtors, debtor in-solvency risk cover and debt recovery from debtors (factoring). At the end of 2019, total balance sheet of Belfius Commercial Finance amounted to EUR 1,057 million⁽²⁾.

7. Belfius Investment Partners

Company for administration and management of investment funds. At the end of 2019, total balance sheet of Belfius Investment Partners amounted to EUR 162 million⁽²⁾ and assets under management amounted to EUR 18.3 billion.

(1) For more details, see the annual report 2019 of Belfius Insurance.

(2) Total IFRS balance sheet before consolidation adjustments.

“ ”
Belfius,
a Belgian banking
and insurance
group.

Our activities

Belfius is a Belgian bank-insurer serving all segments of the Belgian economy, including the retail, SME, public sector and corporate markets. As at 31 December 2019, it was the second largest retail bank-insurer in Belgium, with 3.6 million customers; the fourth largest bank for SMEs, with approximately 0.3 million professional customers; the largest bank in the public sector, with almost 100% penetration; and the fourth largest bank for corporates, serving approximately 50% of the Belgian market of companies with a turnover equal to or above EUR 10 million. Belfius serves approximately 30% of the Belgian population.

Belfius' integrated business model is based on creating and leveraging synergies across these client segments, as well as its products and businesses. Belfius organises its commercial activities into its Retail and Commercial segment and Public and Corporate segment:

1. Retail and Commercial

Belfius Bank offers individuals, self-employed persons, the liberal professions (i.e. doctors, lawyers, etc.) and SMEs a comprehensive range of retail, commercial, private banking, wealth management and insurance products and services. Belfius Bank serves its 3.6 million customers through its integrated omni-channel distribution network, which includes 630 branches, its modern interaction platform Belfius Connect, and a large number of automatic self-banking machines. Belfius has also been developing a digital strategy and is now a leader in mobile banking, with over 1.4 million active mobile users.

Belfius Insurance, a subsidiary of Belfius Bank, offers insurance products to its customers through the Belfius Bank branch network, as well as through the tied agent network of DVV/LAP insurance. Belfius' bank-insurance model is fully integrated, with insurance expertise offered through Belfius Bank branches and the omni-channel distribution network. It also offers insurance products through Corona Direct Insurance, which is, according to Assuralia, the fastest growing full direct insurer in Belgium. Corona operates exclusively via digital media and call channels. Through its Elantis and DVV/LAP brands, Belfius Insurance also offers mortgage loans and consumer loans to its customers.

2. Public and Corporate

Belfius offers services to the Belgian public and social sectors (including hospitals, schools, universities and retirement homes). It provides these clients with a wide and integrated range of products and services, including credit lending, treasury management, insurance products, financial markets products and financial IT tools.

Belfius' corporate banking activities are focused on large- and medium-sized corporates which have a decision-making center in Belgium as well as corporates offering services to the public sector.

Belfius Insurance also sells insurance products to its public and social sector clients. Specific life insurance solutions are offered, especially pension insurance in the first and second pension pillars for civil servants and investment products in Branch 26 (life insurance with a capital guarantee and guaranteed minimum return, to which a variable profit participation feature may be added).

Our staff members

At the end of 2019, Belfius' operations gave employment to 6,525 staff members, and there were approximately 3,600 persons working in the Bank's and Insurer's independent networks.

Key figures

Consolidated statement of income

(In millions of EUR)	2015 IAS 39	2016 IAS 39	2017 IAS 39	2018 IFRS 9	2019 IFRS 9
INCOME	2,184	2,259	2,355	2,361	2,489
EXPENSES	(1,396)	(1,366)	(1,369)	(1,426)	(1,452)
GROSS INCOME	787	893	986	935	1,036
Impairments on financial instruments and provisions for credit commitments	(93)	(116)	(33)	(66)	(111)
Impairments on tangible and intangible assets	(13)	3	9	(2)	(7)
NET INCOME BEFORE TAX	682	780	963	867	918
Tax expense (income)	(176)	(244)	(357)	(217)	(252)
NET INCOME AFTER TAX	506	535	606	650	666
Non-controlling interests	0	0	0	1	(1)
NET INCOME GROUP SHARE	506	535	606	649	667
of which					
Bank	290	335	435	445	461
Insurance ⁽¹⁾	216	201	171	205	207

(1) Contribution of the Belfius Insurance group tot the consolidated statement of income.

Consolidated balance sheet

(In millions of EUR)	31/12/15 IAS 39	31/12/16 IAS 39	31/12/17 IAS 39	31/12/18 IFRS 9	31/12/19 IFRS 9
TOTAL ASSETS	176,962	176,721	167,959	164,165	172,439
TOTAL LIABILITIES	168,302	167,709	158,438	154,206	161,933
TOTAL EQUITY	8,660	9,012	9,521	9,960	10,506

Consolidated balance sheet

(In millions of EUR)	31/12/18 IFRS 9	31/12/19 IFRS 9
TOTAL ASSETS	164,165	172,439
of which		
Cash and balances with central banks	8,314	6,716
Loans and advances due from credit institutions	13,107	16,208
Loans and advances	91,123	94,944
Debt securities & equity instruments	28,569	29,490
Unit linked products insurance activities	2,838	3,671
Derivatives	12,768	13,305
TOTAL LIABILITIES	154,206	161,933
of which		
Cash and balances from central banks	3,962	4,017
Credit institutions borrowings and deposits	5,867	5,819
Borrowings and deposits	79,661	85,450
Debt securities issued and other financial liabilities	26,687	27,655
Unit linked products insurance activities	2,838	3,671
Derivatives	17,740	18,630
TOTAL SHAREHOLDERS' EQUITY	9,446	9,984
of which		
Shareholders' core equity	9,055	9,348
Gains and losses not recognised in the statement of income	392	636
TOTAL EQUITY	9,960	10,506
of which		
Total shareholders' equity	9,446	9,984
Additional Tier-1 instruments included in equity	497	497
Non-controlling interests	16	25

Ratios⁽¹⁾

	31/12/15 IAS 39	31/12/16 IAS 39	31/12/17 IAS 39	31/12/18 IFRS 9	31/12/19 IFRS 9
Return on equity (ROE)	6.3%	6.4%	7.0%	7.5%	7.4% ⁽³⁾
Return on assets (ROA)	0.27%	0.30%	0.35%	0.39%	0.40%
Cost- income ratio (C/I ratio)	63.9%	60.5%	58.1%	60.4%	58.4%
Asset quality ratio	2.29%	2.54%	1.99%	2.05%	1.96%
Coverage ratio	57.1%	54.4%	63.3%	61.6%	62.3%
Liquidity Coverage Ratio (LCR) ⁽²⁾	132%	127%	132%	135%	130%
Net Stable Funding Ratio (NSFR)	108%	110%	116%	116%	116%

(1) Unaudited.

(2) 12 month average (as from 2017 onwards).

(3) Based on FY 2019 interim dividend of EUR 100 million, representing a pay-out ratio of 15%.

Solvency ratios

	31/12/15 IAS 39	31/12/16 IAS 39	31/12/17 IAS 39	31/12/18 IFRS 9	31/12/19 IFRS 9 ⁽³⁾
CET 1- ratio ⁽¹⁾	14.9%	16.1%	15.9%	16.0%	15.9%
Tier 1- ratio ⁽¹⁾	14.9%	16.1%	15.9%	17.0%	16.7%
Total capital ratio ⁽¹⁾	16.2%	18.4%	18.1%	19.6%	19.2%
Leverage ratio	4.9%	5.3%	5.5%	6.0%	6.0%
Solvency II - ratio (before dividend)	209% ⁽²⁾	217%	230%	219%	212% ⁽⁴⁾
Solvency II - ratio (after dividend)	199% ⁽²⁾	207%	219%	203%	212% ⁽⁴⁾

(1) For the determination of the Capital ratios under Basel III, the regulatory authority asks Belfius Bank to apply a prudential deconsolidation of Belfius Insurance and to apply a risk weighting of 370% on that participation. This is commonly known as "Danish compromise".

(2) Pro forma

(3) Pro forma ratios, pending approval of the ECB, are determined based on the proposal - of the Board of Directors of Belfius Bank of 2 April 2020 - to the General Assembly of 29 April 2020, to confirm the interim dividend of EUR 100 million (paid in August 2019), and to integrate the additional dividend of EUR 161 million - initially foreseen by the Board of Directors of Belfius Bank of 20 February 2020 - in retained earnings, in line with the ECB recommendation issued on 27 March 2020 and Belfius' willingness to continue to support the Belgian economy, in a sustainable way, also during the COVID-19 crisis.

(4) Pro forma Solvency II ratios based on the proposal of the Board of Directors of Belfius Insurance to the General Assembly to integrate the dividend over FY 2019 in retained earnings pending the analysis of all impacts of the COVID-19 crisis on the financial position of Belfius Insurance; apart from the dividend pay-out following the contractual profit allocation amounting to EUR 4.6 million.

CSR as a business driver

(in billions of EUR)	2017	2018	2019
Total volume of investment funds managed based on sustainable criteria (SRI) under management (in EUR billion)	2.26	2.68	4.28
Total volume of investments managed based on the Portfolio21 criteria under management (in EUR billion)	15.09	13.47	13.65

Human capital

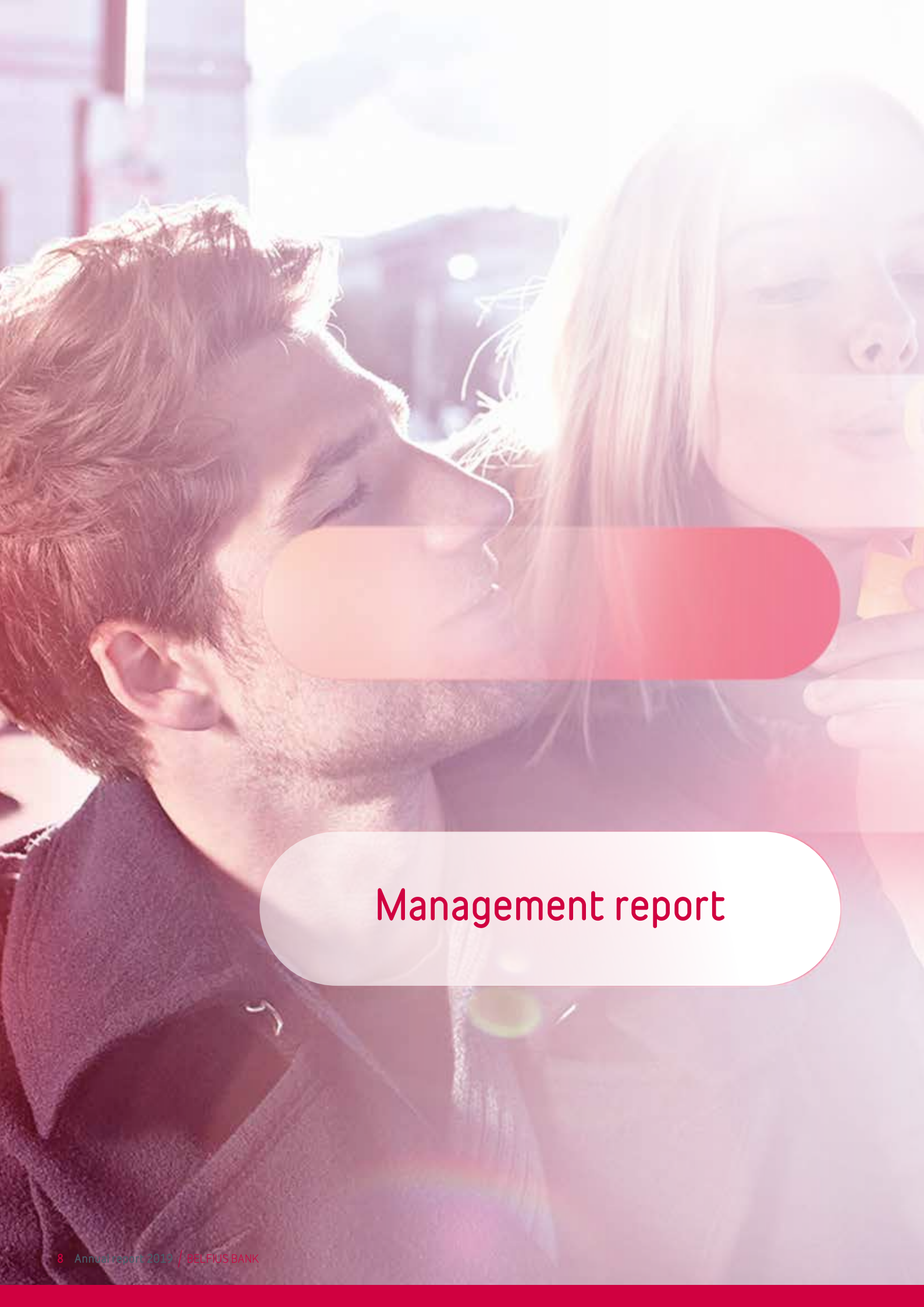
	2017			2018			2019		
Staff members	Male	Female	Total	Male	Female	Total	Male	Female	Total
TOTAL	3,307	3,125	6,432	3,350	3,144	6,494	3,371	3,154	6,525

Ratings of Belfius Bank as at 31 March 2020

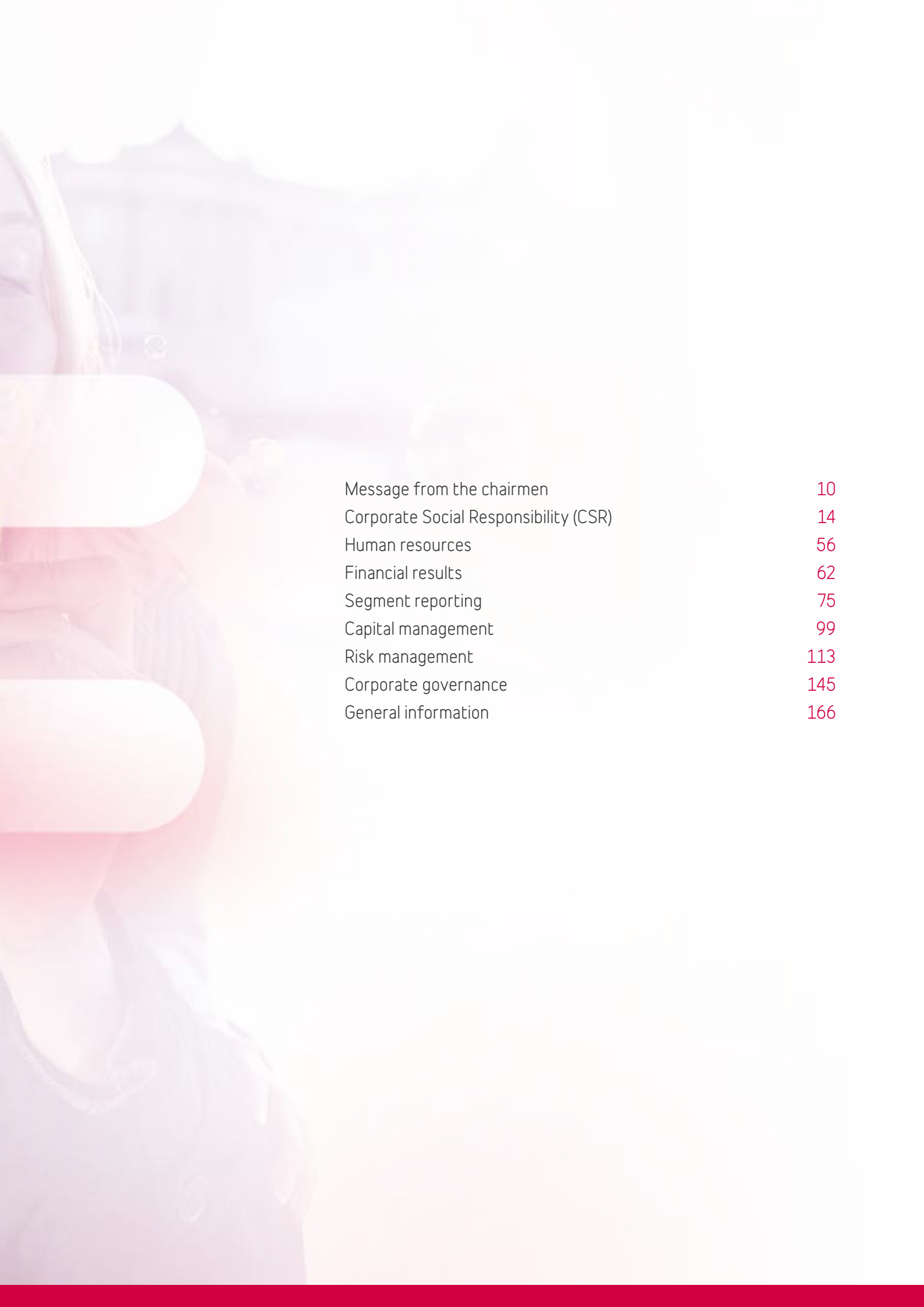
	Stand-alone rating ⁽¹⁾	Long-term rating	Outlook	Short-term rating
Fitch	a-	A-	Negative	F1
Moody's	baa2	A1	Stable	Prime-1
Standard & Poor's	a-	A-	Stable	A-2

(1) Intrinsic creditworthiness





Management report



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Marc Raisière

Jozef Clijsters

Message from the chairmen

“ ”
An increase
in Belfius’
net profit
for the
eighth year
in a row.

Belfius has always consistently adhered to a long-term strategy, driven by its entrepreneurship and determination to create added value for the Belgian community.

The foundations of that strategy? Strict financial and risk management, aimed at achieving sustainable long-term solvency and liquidity, as well as a balanced ratio between income, costs and investments.

The driving forces for achieving this aim? Ongoing focus on customer and employee satisfaction, based respectively on a strong local affinity with customers and an attractive HR policy that focuses on providing growth opportunities for Belgian talent. The development of a strong brand based on a new banking culture. Single-minded innovation – using Tech-players as the benchmark – resulting in greater efficiency and unprecedented convenience for customers.

And how is this put into effect? By evolving from a traditional bank, focusing mainly on Retail customers and the public sector, into a fully-fledged diversified bank-insurer that is positioned successfully in every segment of the Belgian economy and is a leading European digital provider. The result? An increase in net profit in 2019, for the eighth year in a row, and total equity capital up by 0.5 billion euro to almost EUR 10 billion.

Solid annual results driven by rising revenue and strict cost management

Profits before and after tax were EUR 918 million (+6%) and EUR 667 million (+3%) respectively. Of this latter figure, Belfius Bank contributed EUR 461 million and Belfius Insurance EUR 207 million.

Total income was EUR 2,489 million, an increase of 5%. Both net interest income of EUR 1,488 million (+3%) and net fee & commission income of EUR 563 million (+5%) rose for the bank, despite the very challenging financial environment characterised by a persistent low interest rate environment and the continued risk aversion of customers regarding investments. Belfius' insurance business, both in Life and Non-Life, contributed EUR 295 million and EUR 199 million respectively to revenue.

Belfius was also successful in keeping its costs under tight control, limiting its expenses to EUR 1,452 million (+2%), even while simultaneously implementing an investment programme in innovative digital solutions for its customers and recruiting additional commercial and specialist talent for the further development of its services. Combined with the increased revenue, this resulted in a substantially improved Cost-Income ratio of 58%, compared with 60% in 2018.

Against a background of particularly strong commercial dynamics, resulting in rising risk-weighted assets generated by growing lending levels, Belfius was still able to retain its very strong position in terms of liquidity and solvency. This was achieved as a result of efficient balance sheet and risk management, as well as a successful diversification strategy in terms of financing, and sustainable commercial performance.

At the end of 2019, Belfius' Basel III CET 1 ratio was 15.9%⁽¹⁾, which continues to position it at an excellent level. The Solvency II ratio for Belfius Insurance was 212%⁽²⁾, which also remains very solid. With an LCR ratio of 130% and an NSFR ratio of 116%, Belfius amply met its liquidity requirements. The group's total equity capital rose in relation to the end of 2018 to almost EUR 10 billion, an increase of EUR 0.5 billion. The Board of Belfius Bank of 2 April 2020 proposed to keep the ordinary dividend for the 2019 accounting year at the level of the interim dividend of EUR 100 million, already paid out in August 2019. This is in line with the ECB-recommendation for banks to conserve capital to retain their capacity to support the economy and to absorb potential losses in an environment of heightened uncertainty caused by COVID-19, and hence to refrain from making dividend distributions and performing share buy-backs aimed at remunerating shareholders

(1) In its FY 2019 results' press conference of 21 February 2020, Belfius announced a CET 1 ratio end 2019 of 15.6%. As disclosed at that time, this CET 1 ratio was based on a provisional pay-out ratio of 40%, still to be finally confirmed by the Board of Directors and General Assembly approving the final Belfius Bank FY 2019 accounts.

(2) For Belfius Insurance, Belfius announced a SII ratio of 199% end 2019. As disclosed at that time, this SII ratio was based on a pay-out ratio of 60%, still to be finally confirmed by the Board of Directors and General Assembly approving the final Belfius Insurance FY 2019 accounts.

during the period of the COVID-19-related economic crisis. The Board of Belfius Insurance has also decided to propose to the General Assembly to scrap any ordinary dividend for FY 2019.

Customer satisfaction again exceeded the target of 95%

The strategic focus that Belfius places on customer satisfaction lies at the base of its strong results, as does the growing trust that customers place in Belfius each year. This strategy also reflects an in-depth shift in culture in which costs and investments are consistently weighed up on the basis of the actual added value they deliver to the customer.

Belfius achieved an overall satisfaction score of 95.84% over the course of 2019 – once again exceeding its strategic target of 95% satisfied customers. For Retail customers, this score was 95.1%, while for Public, Social and Corporate sector customers, it was an outstanding 97.2%. Last year, Belfius also succeeded in attracting 221,542 new customers.

Exceptional commercial results in a challenging environment

Belfius again performed strongly last year in all of its key strategic areas. For instance, a record EUR 20.6 billion was allocated to the Belgian economy in new long-term finance (+17%). EUR 9.4 billion (+6%) went to Business and Corporate customers, segments in which Belfius aims to continue growing in the years ahead. EUR 2.3 billion in long-term loans (+21%) was also granted to the public and social sectors. Belfius implements a cautious risk policy in the area of granting housing loans. This is designed to ensure that customers are able to make repayments comfortably throughout the whole period of their loan. However, this did not prevent EUR 8.8 billion of new long-term finance (+30%) – mainly for mortgage loans – being issued to Retail customers last year.

Organic growth – i.e. growth excluding market effects – in the investments made by Retail customers (including the Business segment) increased by EUR 4.7 billion (+33%). This was the highest level ever and a good illustration of the continued confidence in Belfius and its ability to bring in new funds. As a leading Private Bank, Belfius attracted 7,700 new Private customers in 2019. It also approached Wealth customers, aided by a combination of exclusive personal service and a top-class digital offering. The relevance of our strategic choice for a reinforced banking and insurance model as the driving force of growth and income diversification was further confirmed by the increase in Non-Life premium receipts, to EUR 714 million.

As in previous years, Belfius again led the way in mobile applications. At the end of last year, our innovative apps for smartphones and tablets had 1,416 million users (+13%), while sales through direct channels saw steady growth.

Belfius and Corporate Social Responsibility (CSR)

Belfius occupies a unique position in the Belgian financial landscape: a 100% Belgian bank-insurer with businesses focused exclusively on the socioeconomic fabric of personal customers, the self-employed, professionals, SMEs, large corporations, social institutions, government departments and local authorities in Belgium.

Belfius is very much aware of the social responsibility that goes with this position and it aims to fulfil its role as an important social and economic provider in Belgium in an ethical, accountable and sustainable manner. As explained in detail elsewhere in this annual report, Belfius gives substance to this role through its economic and social commitment, as well as its respect for sound governance and the attention it pays to the environment and long-term relationships with its customers.

We continue to take on our historic role with the public and social sectors by actively inspiring them and facilitating the required investments in infrastructure and climate, etc. to ensure the continued prosperity of our country. Our aim is to be a driving force for social change that offers solutions to the social challenges of tomorrow, such as ageing and healthcare. We seek to be a meaningful and inspiring Belgian bank-insurer that incorporates sustainability firmly into its products and services, in its investment offering, in its lending policy, in the way we inspire businesspeople in the area of innovation and sustainable solutions, and in the way we protect the privacy of our customers. We intend to set an example in this regard by paying particular attention to maintaining our strength, to a sustainable balance sheet policy, to diversity and sustainable employment, and to the pursuit of CO₂-neutrality and multimodal mobility.

Ready for the future

Despite a difficult environment, Belfius recorded strong commercial and financial results in 2019. Net profit rose for the eighth year in a row, despite increasing pressure on net interest rate margins. There were very solid solvency ratios for both the bank and insurance businesses, even against a background of sharply growing lending. With an improved Cost-Income ratio, Belfius also made substantial investments as part of its growth strategy, while total equity capital approached the EUR 10 billion mark for the first time. To sum up, provided close attention continues to be paid to efficiency and cost controls, Belfius is in excellent shape to further develop a sustainable future.

The confidence of our shareholder and our customers and the energetic commitment of our staff, our independent agents and their employees guarantee that future. We are sincerely grateful to them for this.

Brussels, 2 April 2020



Marc Raisière
Chairman
of the Management Board
Belfius Bank



Jozef Clijsters
Chairman
of the Board of Directors
Belfius Bank

Impact of COVID-19

Since the beginning of 2020, the COVID-19 pandemic has created a global social and economic crisis without precedent.

As our 2019 results show, Belfius has an extremely sound basis for, insofar as possible, overcoming the shocks of this crisis. In these unprecedented and difficult times, we are therefore assuming our responsibilities and, as far as we are able, we will go the extra mile to remain at the service of our retail as well as business, corporate, public and social profit customers. We will therefore also cooperate in solidarity with the measures agreed on 22 March 2020 by the Belgian government and the Belgian banking sector. At the same time strict measures have been implemented to protect the health of our staff.

The economic impact of the COVID-19 pandemic on the Belgian economy is currently unpredictable. For Belfius too, it is therefore impossible at this stage to provide a detailed and correct estimate of the financial impact of the crisis and the measures announced by the Belgian government on 22 March 2020. As a bank-insurer with a very sound position in terms of solvency and liquidity at the end of 2019, Belfius nevertheless has considerable reserves to tackle this crisis.



Corporate Social Responsibility (CSR)

1. Our sustainability strategy

1.1. Belfius' vision on CSR

Due to its unique position as a bank-insurer fully dedicated to the Belgian economy, Belfius has a key role to play as an actor of change in the Belgian society. This entails an equally great responsibility that has grown out of our history and is part of our company's DNA.

The crucial part of our mission is to reinvest the saving deposits entrusted to us in loans supporting the Belgian society and protect people, businesses and their goods by insuring them against the risks of everyday life.

But we want to go beyond that. Belfius is determined to take on an even more important role in shaping the future constructively, contributing to economic growth and societal wellbeing in Belgium.

To achieve this, we will challenge the status quo and strive for a long-term positive impact of our decisions. Together with our customers, employees and long-term partners we commit to making the difference on societal challenges and fostering solutions that contribute to a more sustainable Belgian society. That's our pledge towards current and future generations. A pledge we have translated into 10 commitments that concretise our sustainability ambitions towards 2025-2030.

This new sustainability strategy does not exist alongside our corporate strategy, it is completely interwoven with it. When assessing our actions, we systematically put societal purpose at the heart of them, alongside financial health. As such, we consistently embed

sustainability in everything we do. We will report on our actions and progress in a consistent and transparent way.

To be meaningful & inspiring is the guiding principle in everything we decide and do. That way, we will realise a sustainable value creation for the Belgian economy and society.

1.2. About this report

In the chapter “Corporate Social Responsibility” of this 2019 report, we explain Belfius’ role in Belgian society and the impact of our activities on people, the environment and society. The information in this chapter is aimed at all those who have an interest in our activities: customers, employees, commercial partners, the media and society as a whole. The detailed information on non-financial data and the processes underlying our sustainability strategy is intended in particular for investors, analysts, sustainability experts and NGOs.

Before focusing on 2019 we briefly present Belfius’ new sustainability ambitions in the form of 10 commitments towards 2025-2030. These commitments are systematically linked throughout the text to the themes to which they relate. The choice of these themes is strongly inspired by the results of the materiality analysis that was conducted in 2017 (read more about this analysis in section 5.5). We will measure our performance on a regular basis in relation to these 10 commitments. This report forms the reference basis for our sustainability reporting in the coming years.

This report meets the requirements of the “Belgian Law on disclosure of non-financial and diversity information” that transposes the requirements of the European Directive 2014/95/E into Belgian law. Accordingly this report primarily provides a review of 2019. It shows the evolution of Belfius in the field of corporate sustainability, contains detailed information on our range of sustainable banking and insurance solutions, describes the ethical foundations of our business operations and bundles our achievements and initiatives with distinct sustainability characteristics.

This report has been drawn up in accordance with the “GRI Standards”, option “core”. A GRI reference table can be found at the end of the report, on page 342.

“ ”
Belfius commits
to making
the difference on
societal challenges
and fostering
solutions
that contribute to
a more sustainable
Belgian society.

Our sustainability strategy

A responsible bank-insurer

Sustainable solutions

Climate & environment

Social commitment

1.3. Ten commitments towards 2025-2030

In order to make its CSR strategy as concrete as possible, Belfius formulated 10 commitments towards 2025-2030. Some have already been translated into very concrete actions (e.g. CO₂ neutrality), for others the different actions will be developed and embedded in the strategy 2025 in order to make our commitment a reality. Belfius will communicate the progress of its commitments in full transparency.

1. Be a leading actor in the transition to a sustainable Belgian economy and society

The transition to a sustainable economy and society will accelerate significantly in the coming months and years. In its role as Belgian bank-insurer, Belfius wants to play a pioneering role in making the transition possible and providing support to its customers to help them in this transition. We will deal selectively with sensitive sectors and controversial activities. Moreover, ESG objectives are embedded in Belfius' overall strategy, in decision-making processes and in the day-to-day activities of all entities, departments and employees.

2. Being and remaining CO₂ neutral

As the very first major bank, Belfius will receive the so-called CO₂ Neutral® label from its Belgian partner CO₂logic, awarded by Vinçotte. The CO₂-Neutral® label guarantees that Belfius is actively calculating, reducing and compensating its local and global climate impact and can only be achieved through serious climate efforts. This CO₂ neutrality is not limited to Belfius' buildings alone, but also applies to the commuting of all our employees, paper, water, energy, fleet, etc. Belfius offsets its residual emissions by financing global climate projects. In addition, Belfius is drawing up an ambitious plan together with CO₂logic to further reduce these residual emissions, in line with the European Commission Green Deal plan. Also with CO₂logic, Belfius is working on solutions aimed at energy efficiency and CO₂ reduction for its customers.

3. Encouraging customers to invest sustainably

Belfius' ambition is to offer its customers exclusively sustainable funds by 2025. The offer will consist of funds with the Belgian SRI label, on the one hand, and funds with a double societal impact, on the other hand. The latter type of fund finances companies and sectors that are dedicated to finding solutions to the major societal or environmental challenges of our time. The client thus generates a positive impact on people and society. Belfius adds another dimension and guarantees a direct contribution to a societal goal by transferring part of the management fee.

4. Actively working towards a sustainable balance sheet

Belfius is committed to achieve a sustainable balance sheet. By 2025, 30% of our new long-term loans to businesses and 100% of our new loans to the public and social sector will be allocated to projects with a positive impact on society. In order to achieve



“ ”

Our 10 commitments
are the guiding principles in our
ambition to strive
for a long-term positive impact.

Truike Vercruysse

Head of Corporate Communication and CSR

this objective, we also work in partnership with Belgian actors, such as CO2logic and with various financing programmes.

5. Reinventing our mobility from a forward-looking vision

Our mobility will probably look completely different within 10 years. Belfius wants to evolve towards a range of shared, multimodal and sustainable mobility solutions by creating an extensive ecosystem of well-chosen partners to offer a wide range of services and products. With regard to its car fleet, Belfius Auto Lease aims to achieve a 25% reduction in CO₂ emissions by 2025 by drastically reducing the number of kilometers driven and focusing on a greener fleet. This applies to both customer and employee cars.

6. Making future-proof infrastructure an absolute priority

Belfius wants to become a key enabler of better and sustainable infrastructure in Belgium. Concretely, we want to bring all actors together in an infrastructure ecosystem and thus “unburden” the government by providing detailed and concrete solutions for infrastructure challenges in Belgium. In a first phase, we focus on social housing in order to strive for affordable and good housing for everyone. In addition, we also want to focus on making the government’s buildings, which is responsible for the lion’s share of the government’s CO₂ emissions, more sustainable.

7. Privacy and data protection of our customers is paramount

For Belfius, the privacy of its customers and their data protection is an absolute priority. Belfius does not under any circumstances sell personal data to third parties and makes every effort to make its customers aware of security and privacy.

In the Belfius app, the use and sharing of data with our partners takes place in complete transparency and with the customer’s consent. Moreover, we ensure high security standards and raise awareness among our customers on the best security standards e.g. on PSD2.

8. Equal opportunities and social commitment is and remains our leitmotiv

Belfius has a strong tradition of supporting charities such as Red Nose Day, Viva for Life and Special Olympics and, through its “Philanthropy” offer, gives opportunities to people who get fewer. And through Belfius Art, Belfius supports emerging Belgian artists and shares its art collection with the general public. But Belfius wants to go one step further: based on its desire to act transparently and honestly and to cherish the trust of its customers, it wants to greatly simplify its communication to customers, make it more transparent and work towards a cashless society.

9. Setting an example as an employer

As an employer, Belfius also wants to set an example in the field of sustainable development and puts this into practice in various ways. We want to install a culture of lifelong learning to increase the long-term employability of our employees, focus on the well-being of our employees through, among other things, an attractive working environment, an active diversity policy and cooperation with partners outside Belfius such as schools, socially committed companies, etc. This is translated into concrete objectives, for instance we strive towards at least 44% of women at all levels of the organization by 2025.

10. Risk management and financial stability are a sine qua non for Belfius

In its pursuit of long-term sustainability, Belfius sets sound objectives in terms of risk management and financial stability in order to create long-term value for society. In order to manage unforeseen risks, Belfius maintains strong solvency and liquidity ratios. All this allows us to deal responsibly with the trust and assets entrusted to us by our stakeholders.



10
commitments
towards
2025-2030

1.4. The Global Goals (SDG) serve as a compass

The 17 Sustainable Development Goals (SDG or Global Goals) are a universal set of goals, targets and indicators that define global sustainable development priorities and ambitions for 2030. Together, they form the agenda that calls for urgent action by all actors of society - governments, business and civil society - to end poverty, protect the planet and ensure prosperity for all. By fulfilling the 10 commitments mentioned above, Belfius aims to have a maximum impact on the realisation of the SDG agenda.

Although the 17 SDGs form a coherent whole and are all interlinked, we have selected five priority areas in which we can and want to generate the greatest positive impact through our core activities as a locally anchored bank-insurer:



- Belfius puts its financing capacity to full use for the transition to a low-carbon energy system, financing energy efficiency projects and the development of renewable energy production through specific financing techniques and programmes, as well as through leasing.
- Companies in the fossil fuel sector will only be financed by Belfius to help them make the transition to new, renewable energy technology and applications.

Link to commitment 1, 2, 3, 4.



- Seven years ago, Belfius provided approximately EUR 10 billion in long-term financing, spread across all client segments. By the end of 2019, that amount had doubled to EUR 20 billion. This is ample proof of Belfius' will and growing capacity to fulfil its role as a driving force for the Belgian economy.
- Belfius assists 14,245 new start-ups who, thanks to a partnership with the European Investment Fund (EIF), are able to benefit from favourable credit conditions.

Link to commitment 1, 4, 9.



- Belfius provided technical, financial, administrative and legal assistance to 26 authorities in their new projects in 2019. Belfius Public Real Estate supports projects for the realisation of schools, sports infrastructure, police commissions, administrative centres, residential care centres, housing projects for retirees, youth care services, accommodation for people with disabilities and cultural centres.
- The Belfius Studio continues to invest intensively in digital innovation at the service of its clients, in line with Belfius' leading position in "mobile".

Link to commitment 4, 6.



- Belfius is firmly anchored in all segments of the Belgian economy and society and allows customer deposits to flow back almost entirely to Belgian society and economy.
- Reorienting customer savings towards loans for projects of local individuals, companies and authorities for the benefit of the community is Belfius' core mission.

Link to commitment 1, 8, 10.



- Through Belfius Lease, Belfius puts vendor leasing forward as a financing technique to promote the circular economy, according to the principles of pay-as-a-service and pay-per-use.
- Belfius makes its buyers aware of the principles of the circular economy. Following the realisation of two Green Deals Circular Purchases in Flanders, Belfius signed the Walloon Green Deal in 2019.
- Belfius is a member of Green IT Belgium to reduce the ecological footprint of its IT services.
- Belfius is continuing its campaign towards a paperless corporate culture. Actions to reduce the volume of waste and to maximise recycling or converting residual waste into biogas will continue.

Link to commitment 1, 2, 3, 9.

At the same time, we identified 5 other SDGs in which we believe we can be most meaningful to people, the environment and society by striving for operational excellence:



- Belfius' diversity policy is aimed at giving every employee the opportunity to develop his or her talents and focuses on three cornerstones: gender, generations and personality type.
- Belfius aims to achieve a better gender balance at all levels of the organisation. The proportion of women in management positions rose to 32% in 2019. By the end of 2025, Belfius aims to have at least 44% of women at all levels.

[Link to commitment 9.](#)



- Belfius opts for meaningful long-term Belgian partnerships with organisations that work for those with fewer opportunities.
- With a range of social banking and credit products, Belfius aims to give everyone access to a banking relationship and/or a home loan.
- Belfius offers customers a specific framework to include a good cause as a structural component of their asset management and/or inheritance planning.

[Link to commitment 8.](#)



- With a specific credit formula, Belfius helps companies and governments translate their climate ambitions into concrete long-term objectives.
- Together with Candriam, Belfius launched a thematic investment fund that invests in companies that offer solutions to the major climate change challenges. Residual CO₂ emissions are compensated through the support of CO₂ reduction or storage projects.
- Belfius launched a programme to reduce its own consumption of energy, raw materials and fossil fuels. The remaining emissions will be compensated by Belfius by supporting various climate projects so that the Belfius Group will be CO₂ neutral from 2020, with "CO₂ Neutral®" label and external certification.
- Sustainable commuting remains one of Belfius' strengths.

[Link to commitment 2, 3, 4, 5.](#)



- Belfius requires every employee to have a responsible, honest professional attitude when dealing with customers, partners and each other, at every level of the organisation. Based on our values and the applicable laws and regulations, a series of policies have been formulated to this end.
- Customer privacy and data protection is a top priority. Belfius also makes every effort to make its customers aware of security and privacy.
- Belfius will underline its commitment to sustainable and responsible business practices by signing up to the leading international norms and standards on sustainable development in 2020.

[Link to commitment 1, 7, 10.](#)

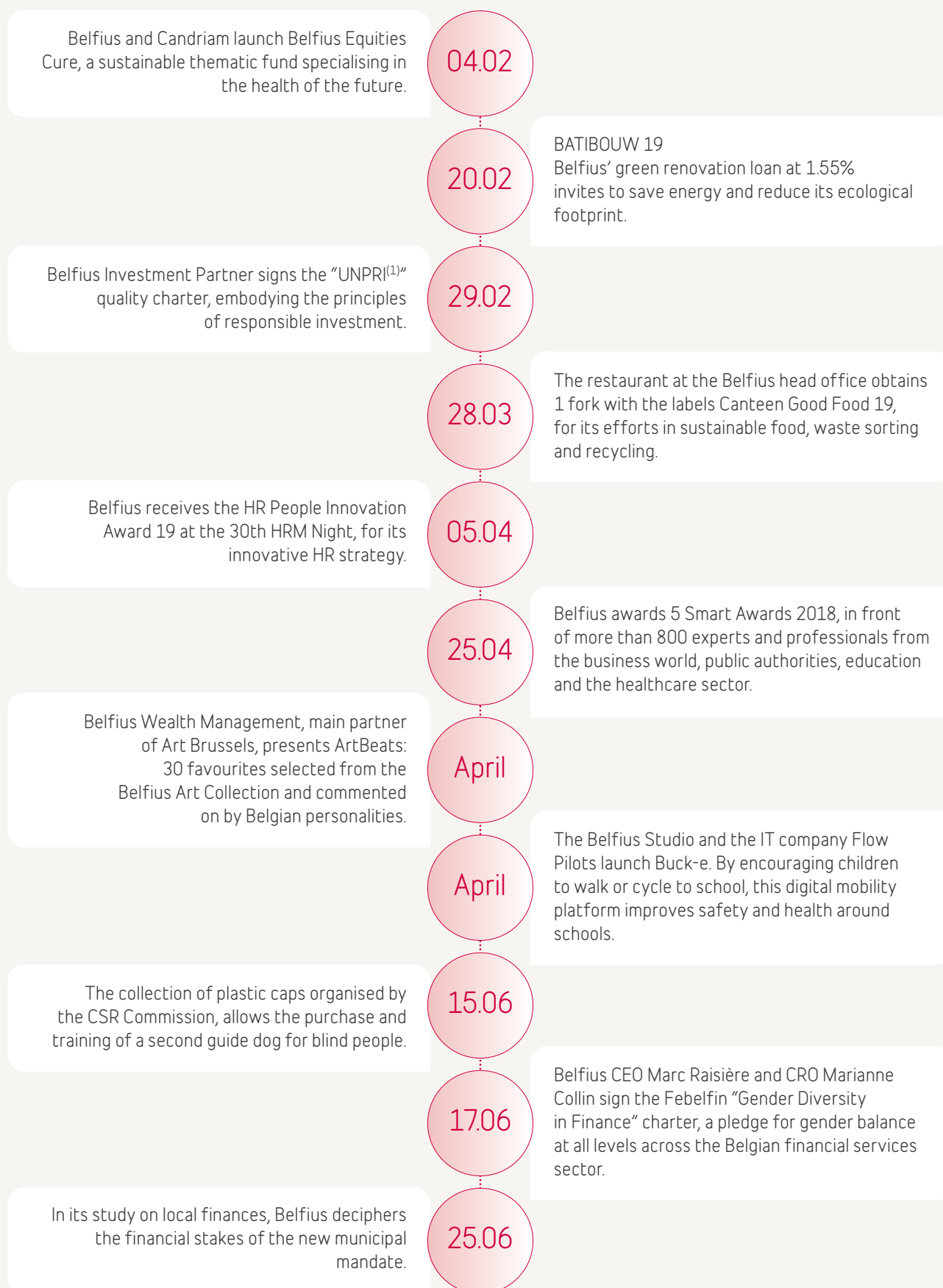


- Belfius recognises the added value of cooperation and partnerships in the pursuit of the realisation of the SDG.
- Belfius enters into targeted partnerships in order to achieve its ecological and social objectives. Belfius is open to cooperation and joining forces with other players in order to multiply the impact together.

[Link to commitment 1, 4, 8.](#)

1.5 Sustainability@Belfius in 2019: an overview

Below, you will find a chronological overview of events, awards, launches in which Belfius was involved in 2019. This overview provides a good picture of the extent to which sustainability is embedded in our daily operations as a Belgian bank-insurer.



(1) United Nations Principles for Responsible Investment.

Launch of a new season of the Open Art Days in the Belfius Art Gallery with the exhibition Women.Underexposed, which pays tribute to the strength of women and their perseverance as artists.

29.06

The Walloon Water Company (SWDE) is closing its inaugural Green Bond issue for an amount of EUR 10 million to finance low-carbon, environmentally friendly and sustainable investments.

22.07

Belfius and Candriam launch Belfius Equities Climate, a sustainable thematic fund specialising in the fight against climate change.

04.10

For the 25th consecutive year, Belfius examines the financial health of general and university hospitals in Belgium and publishes its MAHA analysis (Model for Automatic Hospital Analyses).

09.10

The Studio by Belfius and the intermunicipal waste management association MIWA launch MIWA MY WASTE, a mobile app based on the blockchain technology that encourages the citizens of the Waasland region to produce less waste.

21.10

The end of the year is turning red: one in four Flemish schools takes part in the Rode Neuzen Dag action. Total results more than EUR 4.3 million collected to help more than 400,000 young people for Rode Neuzen. For the Viva for Life campaign, EUR 461,137 is collected by Belfius for fighting child poverty.

23.10

The sustainable funds distributed by Belfius receive the "Towards Sustainability" label.

06.11

The not-for-profit organisation Solidarité Grands Froids came to collect the clothes collected by Belfius employees, in order to distribute them to families in need.

13.11

A large collection of used smartphones, tablets and laptops is organized at Belfius. In exchange for these devices, 574 m² of nature reserve area have been acquired and protected by Natagora and 74 trees have been planted by NatuurPunt in Flanders.

24.11

Belfius Insurance launches Jane, an innovative start-up that uses artificial intelligence to enable isolated seniors to stay in their homes longer and more safely.

12.12

Belfius and Cyclis enter into a unique partnership in the field of bicycle leasing in order to strengthen the mobility offer in Belgium for employers and employees.

17.12

2. A responsible bank-insurer

- In 2019, no bribery-related incidents were recorded;
- Broken down by type of incident over the past three years, 0.8% of total losses resulted from internal fraud;
- No cases of whistleblowing have been recorded in the past three years.

2.1. Our corporate values as the starting point

Operating our business responsibly is an essential part of our strategy at Belfius. Our values are translated into the day-to-day dealings of every Belfius employee, at every level of the organisation.

Each employee having a responsible, fair attitude to their profession when dealing with customers and partners is crucially important for retaining and justifying the trust of customers and all of the stakeholders in our company. That trust is fundamental.

Relations between Belfius and its employees, as well as between employees themselves, are based on integrity, loyalty, transparency, professionalism and mutual respect. This “purpose” is not easy to capture in a set of guidelines, although a number of policies have been drawn up on precisely that point, making our goals clear and transparent for everyone.

Belfius adheres closely to all laws and regulations and in particular complies with the rules and practices commonly used within the financial sector. The policy that Belfius applies in this area is set out in a Compliance Charter and an Integrity Policy, which contain details of the policy guidelines regarding specific risk situations, such as compliance. They are designed to ensure that every employee complies with all applicable legislation and regulations.

A list of [Policies & Charters](#) is featured on the corporate website.



2.2. A truthful taxpayer

As a locally based bank and insurance company, Belfius also aims to be fiscally transparent to all stakeholders. Our objectives, guidelines and responsibilities are set out in more detail in the **Tax Policy** for the Belfius Group.

Belfius complies with all applicable OECD rules regarding Base Erosion and Profit Shifting (BEPS) that are included in Belgian legislation and in the legislation of other jurisdictions where Belfius entities are located. BEPS is an OECD programme against tax avoidance conducted through the deliberate misuse of gaps in and differences between various tax systems.

Belfius focuses exclusively on the Belgian market in its commercial activities. However, for a number of highly specific activities, it retains entities in Luxembourg and Ireland:

- In Luxembourg, Belfius Financing Company SA issues certain securities to external investors. It has been decided to conduct these issues in Luxembourg for technical and operational reasons. This is done with full disclosure to the Belgian tax authorities and having received a positive ruling in Belgium. Belfius Insurance Finance manages a portfolio of shares and bonds in Luxembourg.
- Belfius Ireland, located in Ireland, holds a historical portfolio of long-term bonds. This portfolio is in the process of being reduced. The presence of Belfius in Ireland is not viewed as a tax optimisation exercise as there is no shift of the taxable base from Belgium to Ireland.

Consolidated IFRS figures

(in thousands of EUR)	2017	2018	2019
TOTAL CASH TAXES AND CONTRIBUTIONS	(603,375)	(601,241)	(664,257)
Current taxes ⁽¹⁾	(157,071)	(143,246)	(210,630)
Sector levies ⁽²⁾	(217,513)	(221,919)	(222,343)
Social sec, employer	(112,474)	(112,174)	(112,012)
Non-deduct VAT	(70,649)	(80,792)	(81,271)
Other indirect taxes	(45,668)	(43,109)	(38,001)

(1) Cf. Note 7.16. to the consolidated financial statements in the annual report of Belfius Bank.

(2) Cf. Note 7.9. to the consolidated financial statements in the annual report of Belfius Bank.

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When assessing our actions, we systematically put societal purpose at the heart of our thinking.

COMMITMENT

Be a leading actor of change
in the transition towards a
sustainable Belgian economy
and society



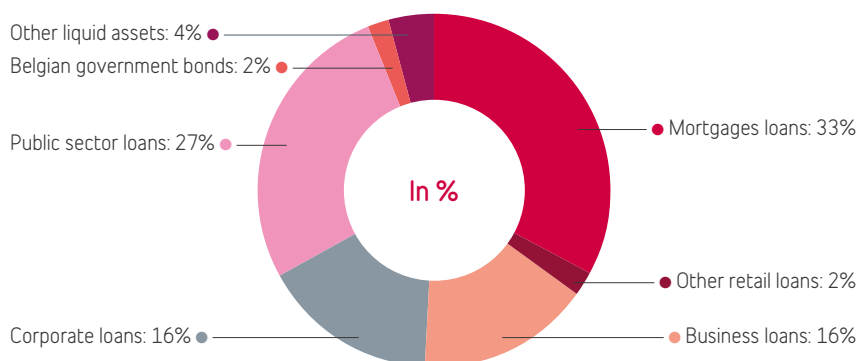
2.3. Maximising positive impact, preventing negative impact

Belfius puts its financing capacity to full use in implementing projects that have a positive impact on Belgian society. This has traditionally been our core task: anyone who saves at Belfius can count on virtually all of his or her money being invested in the Belgian community and economy in the form of loans to families, businesses, local authorities, schools and care centres.

In 2019, 94% of customers savings deposits were invested in the Belgian economy⁽¹⁾:

for every EUR 100 saved⁽²⁾, EUR 33 went to fund mortgage loans for Belgian families, EUR 2 to other loans to private individuals, EUR 32 to loans made to Belgian businesses and professionals, EUR 27 to financing government projects. Of the remaining EUR 6, we invested EUR 2 in state bonds.

Allocation savings at bank level



- By coming up with new banking and insurance solutions Belfius invites every customer – personal, business-owner or company – to participate actively in this transition. For more detailed information: see section 3. “Sustainable solutions”.
- By mapping and taking into account environmental, social and governance (ESG) aspects that have a link with our activities, Belfius restricts – or, ideally, avoids altogether – possible unwanted effects on people and the environment.

ESG stands for:

- **E**nvironmental criteria that measure how well a company cares for the environment and its surroundings.
- **S**ocial criteria that measure how a company deals with its employees, suppliers and customers, and to what extent it is committed to social issues.
- **G**overnance criteria mean “sound management”: the company’s policy is examined, in particular in terms of ethics and sustainability.

2.4 Strengthening integration of ESG criteria

Creating long-term value for the community in Belgium in a credible manner requires making clear-cut decisions about what we do and what we choose not to do. For that reason, we conducted a critical analysis of sensitive sectors and areas of business. From that followed a series of new, stricter policies through which we impose ourselves carefully considered restrictions on specific sectors and activities that we consider to be non-sustainable. These new policies will be incorporated into the existing processes and procedures of the various business lines and departments concerned (first-line controls). A strict follow-up will then be carried out as a second line of control.

- Belfius will cease to support certain non-sustainable activities or only under strict conditions. At the same time, Belfius aims to encourage and help companies in their transition to a more sustainable, future-proof business model. The existing policy on arms was tightened up and new policies were formulated for a number of sectors that Belfius considers unsustainable or insufficiently sustainable. Read the details of our [policy on sector limitations](#) on the Belfius website.

(1) This breakdown has been calculated in terms of Belfius Bank (excluding Insurance).

(2) Commercial deposits, savings and term deposits, retail bonds and saving bonds.

- The existing policy on customer acceptance will become stricter in line with the new policy on sector limitations.
- ESG criteria will be incorporated into the validation process for new products and services.
- In 2019, Belfius started the application procedure to become a signatory of the following leading international sustainability standards:
 - UN Global Compact
 - UN Principles for Responsible Banking
 - UN Principles for Sustainable Insurance.
- Belfius will formalise and deepen its policy regarding human rights by reporting on its activities from 2021 on, on a best effort basis, in accordance with the UN Guiding Principles on Business & Human Rights and the Equator Principles.

2.5. ESG monitoring

The CSR team has begun systematically examining the indicators that are definitive for the success of our strategy on sustainability and identifying the potential ESG risks associated with our activities. In an ESG context the word “risk” is to be interpreted more broadly: it refers to possible negative impact on the company, as well as on people, the community and the environment.

The systematic monitoring of ESG indicators will be the dashboard for tracking the progress of our 10 commitments in our sustainability strategy 2025-2030, as well as for measuring the achievement of our long-term goals and reporting periodically on them.

This is our way of thoroughly embedding ESG considerations in Belfius’ overall strategy, in the decision-making processes and in the day-to-day activities of all entities, departments and staff at Belfius. In this way, we aim to create added value in the long term for people and the community in general. And in doing so, we also aim to make Belfius itself ready for the future.

2.6. ESG governance of the Belfius Group

The Belfius ESG policy applies to the whole Belfius Group.

- The **Chief Risk Officer (CRO)** bears responsibility at a senior management level for implementation of the ESG policy across the group.
- A transversal **ESG steering group** consisting of members of the steering committees from all entities (Belfius Bank, Belfius Insurance, Belfius IP, Belfius Lease and Belfius Auto Lease) and business lines is responsible for putting the ESG strategy into effect and its application without the scope of their responsibility. The ESG steering group reports to the Management Board and the Board of Directors.
- The **CSR Manager** and Head of Corporate Communication has the responsibility for the day-to-day sustainability policy within Belfius, coordination of the ESG steering group, dialogue with stakeholders, non-financial reporting, contacts with the Febelfin Sustainable Finance Committee and management of meetings of the Corporate Social Responsibility Committee (CSR).
- The **CSR Committee** is a working group within the social consultation process of Belfius Bank. The working group is made up of employee representatives from the social consultation bodies within the Bank. The committee is chaired by the CSR Manager and reports to the Health & Safety Committee (HSC). The CSR committee is a permanent think tank on corporate social responsibility. It puts practical programmes in place and makes staff aware of ecological and social topics.

ZOOM

A strong, practical commitment to reducing emissions of CO₂

Partnership with CO2logic

Climate-related and societal challenges are becoming increasingly obvious and important. Responding to these challenges is becoming a major and vital strategic objective for all responsible operators in the Belgian economy, whether in the private or public sector.

As major players in the economy, banks are called upon to play a leading role in guiding businesses and organisations through this type of process. Belfius is very much committed to this path, developing solutions, such as the CO₂ Impact Loan, to help businesses put their energy efficiency projects into effect and reduce their emissions of CO₂ – regardless of their commitment engagements, level of maturity and ambitions.

With this goal, Belfius entered into a partnership in 2019 with **CO2logic**. By combining our financial expertise with their climate-related skills, we are now able to assist companies in setting realistic goals for reducing their carbon footprint:

- An assessment of their footprint is made, with an estimation of the financial and environmental impact of investments.
- Subsequently, an investment plan is put into effect to achieve those goals by implementing appropriate funding solutions.



Belfius will be CO₂-neutral in 2020

In line with the European Commission's Green Deal, Belfius intends to show its commitment very clearly in the fight against climate change:

- We will reduce our carbon footprint through an ambitious programme to reduce our consumption of energy and raw materials and by using forms of motorised transport that pollute less. And we will offset any remaining emissions by supporting various projects in favour of the climate that are certified Gold Standard and/or UNFCCC (United Nations).
- This means that from 2020 onwards, the Belfius Group will be CO₂-neutral. Our independent branches will pursue the same aims from 2021.
- As a result, we are committed to obtaining our "CO2 Neutral®" label, issued by CO2logic in collaboration with the independent certification body, Vinçotte. This label will guarantee that Belfius calculates, reduces and actively offsets its impact on the local and global climate.

COMMITMENT

Being and remaining
CO₂ neutral



“ ”

Every effort made to promote sustainability deserves visibility. With CO2logic, we are helping our customers translate those efforts into actual figures and inspire other organisations.

3. Sustainable solutions

3.1. Sustainable finance and insurance

Recirculation to the Belgian economy and community

As a 100% Belgian bank and insurance company, Belfius recirculates virtually all deposits from customers into the Belgian community and economy. In 2013, Belfius provided approximately EUR 10 billion in long-term financing, spread across all client segments. By the end of 2019, that amount has doubled to EUR 20 billion:

Summary of Belfius Bank loans

(amount in billions of EUR)	Outstanding loans at 31/12/17	Outstanding loans at 31/12/18	Outstanding loans at 31/12/19	Loans granted in 2019
To the public and social sector (long-term)	27.4	26.7	25.7	2.3
To self-employed workers, SMEs and large companies (long-term)	23.3	27.1	30.3	9.3
To Belgian families for private projects	32.6	34.7	37.7	8.8
Of which mortgage loans	30.6	32.4	35.5	8.0
TOTAL	83.3	88.5	93.7	20.4

Deposits collected⁽¹⁾

(amount in billions of EUR)	Total at 31/12/17	Total at 31/12/18	Total at 31/12/19
	86.3	89.5	95.0

(1) Commercial deposits in the broad sense (current deposits, savings and term deposits, retail bonds and savings bonds).

According to the EU action plan for Sustainable Financing, approximately EUR 180 billion of additional investment is needed to achieve the EU targets for 2030 agreed in Paris, including a 40% reduction in greenhouse gas emissions.

Financial institutions worldwide and locally have a key role to play in this by focusing the funding they provide on sustainable activities and initiatives in order to achieve the Sustainable Development Goals (SDG), as well as the objectives of the Paris Climate Agreement.

Against this background, Belfius confirms its commitment towards a more sustainable Belgian economy. Based on our specific position on the Belgian market of corporations and public and social institutions, we have developed a range of financial solutions for our customers enabling them to reach their own sustainable corporate goals.

In 2019, the contract with the EIB was extended and Belfius committed to funding a portfolio of **EUR 75 million** in projects for energy efficiency and (building-linked) renewable energy by the end of 2021.

“ ”

As for the future, it is not a question of foreseeing it, but making it possible.

Antoine de Saint Exupéry,
Citadelle, 1948

Belfius joins forces with CO2logic

Through its partnership with the Belgian company, CO2logic, Belfius has embarked resolutely on guiding its customers to reduce their CO₂ emissions. For more details about this collaboration with CO2logic, see page 26.

Belfius finances energy-efficient projects via specific technologies and programmes

Belfius aims to be an active player in energy transition and to support its customers in projects on energy efficiency and renewable energy through a variety of programme in conjunction with the European Investment Bank:

BEEP

Through the Belfius Energy Efficiency Package (abbreviated to BEEP), Belfius seeks to encourage government and educational institutions to increase their investments in energy efficiency and renewable energy.

Belfius is the only Belgian bank working with the European Investment Bank (EIB) as part of the European PF4EE (Private Finance for Energy Efficiency) programme. To enable customers to reduce their energy needs, to switch to alternative sources of energy or to generate their own power, Belfius offers a unique financing package:

- Finance on favourable terms
- Flexibility in granting loans thanks to the EIB's portfolio guarantee
- Part-payment of the costs for conducting an energy audit in advance.

ELENA (European Local Energy Assistance)

ELENA is a joint initiative of the EIB and the European Commission as part of the Horizon 2020 programme. ELENA grants subsidies to carry out programmes for energy efficiency and building-linked renewable energy. This is an important subsidy programme aimed at bringing the most sustainable projects to market. Belfius was the first and only commercial bank to be granted an Elena subsidy to actively guide its customers in implementing these projects.

Smart Cities & Climate Action & Circular Economy

After an initial collaborative agreement in 2014 (Smart Cities & Sustainable Development), in which EUR 400 million of loans were released on favourable terms (EUR 200 million of which came from Belfius) for 62 projects on local energy efficiency, urban development and mobility, Belfius and the European Investment Bank (EIB) renewed and expanded their collaborative agreements in 2016 and 2018 with the Smart Cities, Climate Action & Circular Economy programme.

These agreements include two new lines of credit on favourable terms, totalling EUR 800 million (once again with EUR 400 million financed by Belfius).

A total of 125 projects have benefited from these second and third credit envelopes. In total, as a result of the partnership between Belfius and the European Investment Bank (EIB), no fewer than 187 projects have been financed, representing an investment in excess of EUR 1.3 billion. These are projects that have an impact on the daily lives of millions of people in Belgium.

Programme Smart Cities & Sustainable Development and Smart Cities & Climate Action & Circular Economy (with the EIB): summary of achievements - Summary per line of credit (2014-2019)

(in EUR)	Smart 1.0	Smart 2.0	Smart 3.0
Total amount of projects (in EUR)	481,470,589 ⁽¹⁾	447,115,197 ⁽²⁾	447,147,466 ⁽³⁾
Number of projects	62	59	66

(1) of which an EIB line of EUR 200,103,053.

(2) of which an EIB line of EUR 200,038,117.

(3) of which an EIB line of EUR 156,496,256. At the end of 2019 not all loans had been drawn down for current projects with this third funding envelope. The remaining part of the project amounts is financed by long-term loans granted by Belfius, by advance payments on subsidies, amounts from credit still available, short-term loans and cash loans granted by Belfius (for the use of own resources).

Green Bonds

On 22 July 2019, the Société Wallonne Des Eaux (SWDE) water utility company completed its first issue of green bonds for EUR 10 million. Belfius supervised this operation, underlining its role as the leader in the issue of green bonds on behalf of Belgian issuers. Through the issue of this type of bond, Belfius offers government departments, intermunicipal companies and companies the ability to diversify their financing with "green" issues via the money market, while at the same time reinforcing their sustainability policy.

Sustainable and affordable public buildings & care infrastructure Smart Building & Renovation Solution

For the past 30 years, Belfius Bank has already been supporting institutions in the Public and Social Sector in implementing their property projects. A specialised "Public Real Estate" department at the Bank is at the disposal of these authorities to advise them. A team of architects, engineers and legal advisers ensures that the authority in question is able to continue focusing on its core business during a building project. In other words, Belfius goes a step further than simply financing construction projects.

In 2019, Belfius committed itself via its Smart Building and Renovation Solution product to assisting 26 authorities in their new projects from a technical, financial, administrative and legal point of view.

In 2019, the Public Real Estate department began providing guidance for schools (6), sports infrastructure projects (3), police stations (3), administrative centres (4), residential care centres (2), housing projects for retirees, youth care services, accommodation for people with disabilities (7) and a cultural centre.

Energy-efficient private dwellings: involving everyone

Belfius helps Belgian families in their energy-saving building and renovation projects:

- with its Green Renovation loans, Belfius offers a credit package for investments intended for people to insulate their homes better, install double-glazing or triple-glazing, replace their old central heating boiler with a high-performance unit, or install solar panels in order to produce part of their energy.
- the Housing Loan for Energy-Efficient Building, that was designed for new-build dwellings with an E level of 30, offers a number of specific benefits and has been awarded the BEN label (Bijna-Energie-Neutraal or Almost-Energy-Neutral) label by the Flemish government.

Green Renovation Loan

	2017	2018	2019
Number of loans	1,740	2,891	3,784
TOTAL AMOUNT (In millions of EUR)	18.6	31.9	43.8

Housing Loan for Energy-Efficient Construction

	2017	2018	2019
Number of loans	260	285	414
TOTAL AMOUNT (In millions of EUR)	53.6	59.6	99.5

COMMITMENT

Making future-proof infrastructure an absolute priority



Belfius is a pilot bank for the **EEMI (Energy Efficient Mortgages Initiative)** and is a member of the UPC-BVK⁽¹⁾ EEMI Taskforce whose aim is to design and launch an energy-efficient housing loan in Belgium and hence encourage and channel private capital towards making investments in energy efficiency.

(1) Union Professionnelle du Cr dit - Beroepsvereniging van het Krediet.

COMMITMENT

Actively working towards a sustainable balance sheet



Opting for renewable energy and green investments

Belfius is taking a step further along the beaten track and putting its financial capabilities to maximum use for the transition to a low-carbon energy system through efficient energy usage and the development of renewable energy production.

Belfius does not finance companies that are active in the extraction of coal and/or unconventional oil or gas. Belfius does not finance any projects based on fossil fuels in the energy production sector. Belfius will only provide funding to companies in the fossil fuels sector to help them in their transition to new, renewable energy technologies and applications.

The energy transition policy at Belfius has been set down in a policy for the restriction of sectors.

In 2019:

- On 31 December 2019, the total amount invested by Belfius in renewable energy was approximately EUR 1.5 billion. This funding is in relation to projects and loans granted via Belfius Bank and its subsidiary Belfius Lease in the areas of biomass, solar energy (PV installations), onshore and offshore wind power, combined heat and power systems and energy efficiency.
- These projects:
 - together provide sufficient renewable energy each year to meet the energy needs of approximately 2.8 million Belgian families;
 - avoid the emission of approximately 3.8 million tons of CO₂ per year.



Leasing: circular, ecological and digital

Belfius Lease is the Belfius Bank subsidiary that markets finance packages in the form of finance leases and renting arrangements for business capital goods to the self-employed, companies and professionals.

Belfius Lease facilitates the development of renewable energy

Belfius Lease remains faithful to its strategic choice for financing through renewable energy leasing.

- At the end of 2019, Belfius Lease had a total of EUR 15 million in lease contracts for wind turbines and cogeneration, and 532 active contracts for solar panels, for a total investment amount of EUR 387 million. At a price per kWp (kilowatt peak) of EUR 1,200, this represents a production of 339,000 kWp;
- A family's electricity consumption is around 4 kWp per year. In other words, Belfius Lease produces enough electricity via the various installations to cover the consumption of 81,000 households;
- Belfius Lease stands for almost 1,600 electric, hybrid or LPG equipped vehicles for a total amount of EUR 9.6 million. And more than 8,000 lease contracts for electric bicycles, totalling some EUR 22 million.

Vendor leasing and circular economy

Vendor leasing is a leasing based financing technique by which Belfius' customers (e.g. manufacturers, importers or distributors of machines) can offer their own customers a solution for the use of equipment against periodic payment. The technique lends itself pre-eminently as an instrument for a circular economy, where the aim is to keep parts and materials in circulation as long as possible. This is how it works:

- Belfius Lease buys the equipment from the customer and then rents it out to him. The customer in turn rents it to the user according to the "pay-as-a-service" or "pay-per-use" principle, an important concept in the circular economy: the end user pays for the use of a good, not for its possession.

Between 2017 and 2019, vendor production increased from EUR 70 million to EUR 123 million.

By 2025, Belfius Lease is aiming for gradual growth in production from vendor leasing and circular economy. To achieve this goal, Belfius Lease is studying the creation of a second-hand equipment platform.

Belfius Auto Lease: provider of sustainable mobility

Belfius Auto Lease (BAL) is Belfius' subsidiary for operational leasing of vehicles, and is increasingly presenting itself as a supplier with a sustainable vision of mobility.

- At the end of 2019, its fleet consisted of 20,955 vehicles, an increase of 14.29% since 2018. The number of electric vehicles increased by 117% between 2018 and 2019, but their total volume remains rather limited.
- In addition, as part of **E-Fleet** - an all-in-one leasing solution for electric cars in combination with other sustainable means of transport - Belfius Auto Lease offers the possibility of installing charging stations at home, in the car parks of companies that are customers and in the B car parks of stations, allowing optimum use of the electric vehicles.
- **Partnership with Cyclis**: as part of the "New Mobility Services" strategy, Belfius decided in 2019 to improve and expand the mobility offer for its customers. This is why Belfius Auto Lease (BAL) has entered into a unique partnership with Cyclis around bicycle hire in order to strengthen the mobility offer in Belgium for employers and employees. This offer covers all types of bicycles, complemented by services such as theft and damage insurance, a maintenance contract and assistance.

Specific insurance solutions

Insurers have traditionally played an important role in society by contributing with their products and services to sustainable solutions for various risks we are confronted with today. Examples include the ageing of the population (supplementary pension schemes, hospitalisation insurance, etc.), the risk of premature death, cover against natural disasters, etc.

Trends with a major social impact, such as the pension theme and the ageing problem, received special attention in the refinement of Belfius Insurance's product range, in both the "non-life insurance" and the "life insurance" segments:

Non-life

→ Car insurance DVV Insurance

- Drive for Life Guarantee: offers the over 60s a mobility guarantee which means that his or her compulsory car insurance Civil Liability is never cancelled.
- Customers younger than 26 who drive less than 10,000 km per year with their car receive a discount on their car insurance.
- Customers who drive an electric or other environmentally friendly vehicle can count on a discount in function of CO₂ emissions.

→ **Car insurance Belfius:** the car insurance premium is determined in function of the number of km per year.

→ **Belfius Home & Family** offers additional cover for grandchildren under the care of grandparents and cover for a second stay, mainly aimed at senior citizens.

Life

→ Since 2017, Belfius Home Credit Protect has offered an optional Serious Diseases Guarantee. This covers medical expenses and ensures the family's life comfort should the insured suffer a brain or heart attack, cancer or a brain tumour. This cover also provides practical assistance such as administrative help, psychological assistance, babysitting or household help.

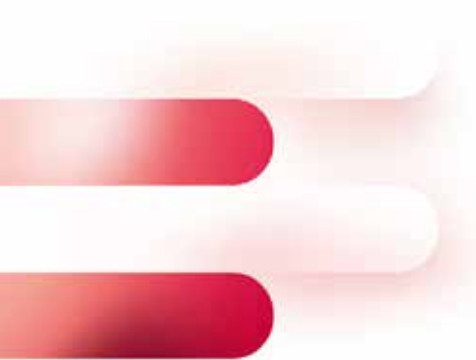
→ In 2019, Belfius launched YuMe, a digital tool that allows customers to prepare their financial future based on their personal situation. YuMe makes clients aware of the extra years that will follow due to rising life expectancy and inspires them in a positive way to develop a plan and prepare themselves for important moments in life and dreams that are still to be realised.

Both financial and non-financial factors in the credit analysis

Belfius applies a risk-based credit acceptance policy. For housing loans, the credit acceptance framework was further refined in 2019 to take account of developments in the residential property market, as well as changes in the Belfius lending portfolio and the requirements of the NBB regarding the management of certain risk-related segments, such as higher lending quotas ("loan to value") and housing loans that private individuals enter into for houses or apartments that they do not live in themselves ("buy-to-let"). (Circular NBB_2019_27).

Analysts and relationship managers monitor the internal Credit Acceptation Guideline that requires the loan applicant to be sufficiently well known to Belfius. Analysts must ascertain the applicant's creditworthiness and undisputed reputation beforehand, in both financial and ethical terms.

A stricter policy on sector-specific restrictions was prepared in 2019. This policy is available on the Belfius website.



3.2 Investing with impact

Increasing numbers of investors are looking to invest their money in a way that corresponds with their personal vision (of the future), values and beliefs. These investors rely on Belfius to offer them the guarantees they want with regard to the way in which their savings and investments are managed.

Apart from these higher expectations from individual investors, an enormous task has grown out of social necessity for banks to develop specific products targeted at tackling climate change, environmental pollution, breaches of human rights, water shortages, loss of biodiversity, the arms race, health issues due to an ageing population, etc.

To address these growing challenges, Belfius offers investors a full, transparent and segmented range of sustainable investments that is constantly being expanded and broadened.

Our investment funds are managed by Belfius IP and Candriam:

- **Belfius IP** (Belfius Investment Partners SA) has been Belfius' own investment fund management and administration subsidiary since 2016. Belfius IP plays a triple role:
- total management of its own range of funds, in line with the DNA and strategic themes of Belfius;
 - administrative and financial management, as a management company, of a series of funds whose management is delegated to Candriam;
 - the selection and regular monitoring of external funds aimed mainly at the managers or partners of the Belfius Group.

Belfius IP signed up to the UNPRI⁽¹⁾ quality charter in February 2019. This led, among others, to the drafting of an **investment policy applicable to its sustainable funds**. Signing the sustainable investment principles so soon after the company was created, can be considered as the cornerstone of an increasingly extensive offering in sustainable products.

- For a number of years now, **Candriam** has been Belfius' preferred external partner for the management of investment funds. Candriam launched its first "SRI-funds" (Socially Responsible Investment) in 1996 and was one of the first signatories UNPRI.

Different methods of sustainable management

Depending on the type of investment, various levels of screening or exclusion are applied, as well as specific sustainable investment strategies, on occasion in collaboration with external partners.

In addition to the basic screening designed to apply legal exclusions, Belfius uses different strategies for the management of its sustainable investment funds and investment insurance with varying degrees of extra-legal exclusion criteria. This approach ranges from in-depth screening to a Best-in-Class or theme-based approach.

1. Extensive screening

Belfius has a number of policies that go beyond legal restrictions. They are applicable to all business areas of the Belfius Group:

- Arms industry: Belfius applies legal restrictions contained as part of a policy in place across the Belfius Group. It also uses much more broadly defined categories of resources to assess their military application, both in terms of finance and investment.
- Policy on agricultural raw materials: Belfius does not wish to promote and investment that involves speculating on the price of foodstuffs.

As of 31 December, Belfius IP managed a total of **EUR 18.3 billion** on behalf of Belfius customers, making it the main investment fund manager for Belfius.

(1) United Nations Principles for Responsible Investment.

We examined our sector policy at **the end of 2019**. This resulted in a broader and stricter **policy** regarding the exclusion and/or restrictions imposed on sensitive sectors and controversial areas of business.

Belfius IP, in consultation with Candriam, has begun the gradual adjustment of the Belfius offering of investment funds to bring them in line with the new rules.

Belfius IP implements a strict policy on the selection of securities forming part of the composition of sustainable investment funds. For example, the tobacco, arms and oil industries are excluded from these investment products.

Candriam, when composing a series of investment funds in the Belfius range, selects securities based on a **list of extra-legal exclusions** relating to certain sectors (including thermal coal and tobacco) and controversial business activities which are excluded de facto from the portfolios. In addition, some countries with repressive regimes are also excluded from the portfolios.

2. Best-in-Class

Belfius has a wide range of Sustainable funds or SRI (Sustainable & Responsible Investing) funds for which Candriam and Belfius IP use the Best-in-Class method to select the securities underlying these funds:

- Candriam invests only in companies and countries with the best ESG scores – i.e. the best performing in terms of sustainable development in their sector or region.
- Only companies that adhere to the principles of the United Nations Global Compact (UNGC) are included in the portfolio. These principles are based along four main lines: human rights, labour, the environment and the fight against corruption. Companies that breach these principles are excluded. Companies operating in controversial areas of business or industries are also excluded.
- This approach is combined with an active dialogue with companies, their employees, customers, suppliers and investors to ensure that the criteria of ESG are adhered to correctly.

Currently, the Belfius offering, managed in line with the Best-on-class principle, includes:

- Belfius Select Portfolio Sustainable: a discretionary asset management contract that invests only in companies and public bodies that score well, not only in terms of their financial outlook, but also in the area of sustainable entrepreneurship. Securities are selected based on ESG criteria.
- 11 Candriam Sustainable funds, 3 Candriam SRI funds issued and managed by Candriam, as well as 2 internal Branch 23 Sustainable funds (via the KITE Bold/Mix contract), the underlying funds of which are managed by Candriam.

3. Screening based on Portfolio21 criteria

Portfolio21 is the Belfius Insurance project aimed at managing the company's own investment portfolio in a sustainable manner by applying non-financial criteria – such as respect for human rights, working conditions and the environment – in the way it is managed.

The overall portfolio includes several part-portfolios, including Branch 21 investment insurance policies, so that the ethical and sustainable criteria of Portfolio21 apply to them de facto.

The screening methodology and exclusion criteria are explained in section 3.3.

4. Thematic sustainable investment funds

Customers wishing to invest sustainably can do so based on sustainable themes. This thematic approach enables investors to place their money in specific sustainable themes/challenges (using an approach based on their beliefs).

These funds invest in companies that actively offer solutions to major global sustainability challenges, such as water shortages and the sustainable management of forests, sustainable energy and clean technology, food supplies and quality, security and the

protection of personal data and health. For more information, see: [How to invest sustainably](#).

The themes chosen will try to meet and align themselves with the **17 Sustainable Development Goals (SDG)** defined by the UN.

Belgian “Towards Sustainability” SRI label

February 2019 saw the launch of a new Belgian label: “Towards Sustainability”. This label is a quality standard for sustainable investment products, such as investment funds, that guarantees investors that the certified funds meet its quality criteria for sustainable and socially responsible investment products. The standard combines criteria in three areas: an analysis according to environmental, social and governance (ESG) criteria; exclusions (with strict rules for coal and non-conventional fossil fuels) and transparency requirements.

Belfius IP and Candriam worked actively on the introduction of the Belgian “Towards Sustainability” label. Approximately 15% of the funds sold by Belfius to its customers have been awarded the Belgian Towards Sustainability label. More details as well as a list of products that have received the Belgian label are available on the [Towards Sustainability website](#).

Funds with a dual (societal) impact

These funds invest in entities that offer solutions/products aimed at responding to a societal and/or environmental problem. Belfius aims to go beyond this and create a second positive societal impact by providing financial support for good causes through partnerships with local entities, charitable associations and so on.

In 2019, Belfius launched 2 funds that are in this category:

→ **Belfius Equities Cure** is a fund specialising in oncology. This fund invests in companies pioneering the research against cancer, at every level: diagnoses, biotech, medication, artificial intelligence, robotics, big data, etc. In addition, to show a common commitment with investors, Belfius (Belfius Bank and Belfius Investment Partners) and Candriam support the Anti-Cancer Foundation. Part of the management fees of funds focusing on the research and treatment of cancer will in fact be donated to the Anti-Cancer Foundation.

The Anti-Cancer Foundation has been operating in Belgium for over 90 years, financing fundamental research into cancer, but also supporting individuals and their families affected by cancer.

→ **Belfius Equities Climate**, launched in September 2019 in collaboration with Candriam, is a thematic fund that invests in companies offering solutions to the major challenges posed by climate change (these are companies operating mainly in energy efficiency, renewable energy, storage, recycling or processing of waste and water management).

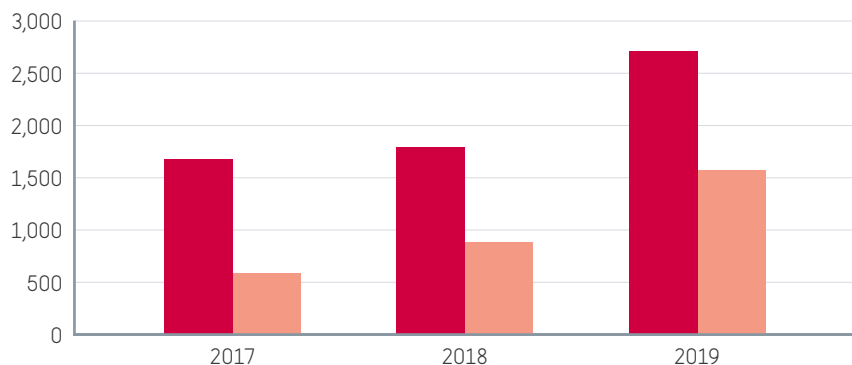
Moreover, this investment is designed to achieve a neutral carbon footprint, our aim being to neutralise the residual emissions generated by the underlying business activities. To do this, we finance projects that reduce or capture CO₂, all over the world.

Since the launch of the fund, **EUR 211 million** has been invested in Belfius Equities Cure. Belfius has donated **EUR 155,000** to the Anti-Cancer Foundation.

Evolution and ambition in sustainably managed funds

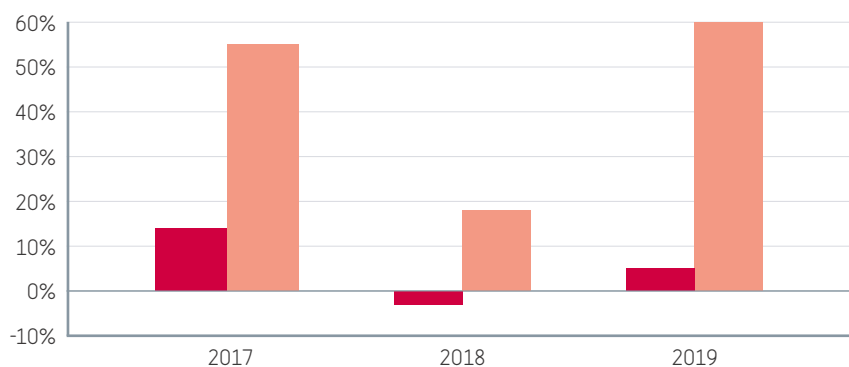
Both the total volume of funds subject to "Extended screening" and the total volume of funds screened according to the Best-in-class and thematic method increased sharply in 2019:

Sustainable Investment Strategies Applied in Belfius Asset Management - 2017-2019 (in millions of EUR)



The total volume of funds under management increased only slightly in 2019. The increase in the volume of sustainably managed funds, however, is noticeably stronger:

Year-on-year evolution of total volume sustainable investments vs total assets under management (AUM) by Belfius - 2017-2019



By 2025, Belfius has set itself the goal of offering its customers a range of funds, 100% of which have the Belgian label or which have a dual impact.

COMMITMENT

Encouraging customers to invest sustainably



- Strategy 2.a. Sustainable strategy - Sustainable strategy - Extended exclusions: CWTC/Norms based/AOR (Candriam)
- Strategy 2.b. Best-In-Class & Strategy 2.c. Sustainable Thematics-based

- Evolution in total volume funds under management (AUM)
- Evolution in total volume sustainable investments

Carbon footprint

Since COP21, the Paris climate conference held in 2015, CO₂ or carbon footprints have received a great deal of attention in the management of investment portfolios. By “decarbonizing” SRI-funds through the best-in-class approach, Candriam involves investors in the fight against global warming all while allowing sectors and companies with high greenhouse gas (GHG) levels to shift to a greener business model.

Candriam has been calculating and publishing the carbon footprint of its SRI funds since the [Montreal Carbon Pledge](#).

The increase in absolute emissions (+225%) is largely due to the increase in the total volume of best-in-class funds (+77%) under management and, to a lesser extent, to a global increase in absolute emissions at company level (a trend observed globally).

Absolute carbon footprint⁽¹⁾

	2017	2018	2019
Absolute Carbon Footprint of Best-In-Class SRI Funds Marketed by Belfius (t CO ₂ e)	38,669	20,614	78,174

(1) All data is based on calculations conducted by Trucost at the request of Candriam, except for 2019, which is based on data calculated by Candriam.

However, the weighted average carbon footprint, which decouples the turnover growth of the portfolio companies from CO₂ emissions, decreased by 16%, which is a positive trend.

Weighted average carbon footprint⁽¹⁾

	2017		2018		2019	
	Portfolio	Benchmark	Portfolio	Benchmark	Portfolio	Benchmark
Carbon Footprint of Belfius Portfolio in Best-In-Class Candriam SRI Funds (t CO ₂ e/m EUR revenue of companies in portfolios)	117.1	254.6	118.2	229.1	99.3	210.3

(1) All data is based on calculations conducted by Trucost at the request of Candriam, except for 2019, which is based on data calculated by Candriam.

[A full list of the range of sustainable investments offered by Belfius is available on our website.](#)



3.3. Portfolio21: sustainable portfolio management by Belfius Insurance

Like all insurers, Belfius Insurance constitutes a financial reserve in order to be able to meet its contractual obligations with regard to capital payments, annuities and indemnities to its customers. This reserve consists mainly of the insurance premiums paid by the customer.

Exclusion criteria

Belfius Insurance invests these reserves in accordance with the principles of Portfolio21, the sustainable management project that Belfius Insurance has developed with Candriam and the independent agency Vigeo Eiris.

It is an overall investment strategy aimed at contributing towards sustainable development by adding non-financial criteria transparently to investment portfolios. These criteria are based mainly on compliance with authoritative international norms and standards, more specifically:

- The **ILO** (International Labour Organisation): a constructive dialogue is entered into with issuers of securities (companies or countries) that have been discredited for violations of human rights in the workplace to defend the basic rights of employees and to improve the situation on the workforce. The outcome of this dialogue will determine whether a particular share, bond or investment fund from that issuer (still) has a place in the portfolio.
- The **Government Pension Fund of Norway**: Portfolio21 applies the same strict standards in terms of protecting the environment as the Government Pension Fund of Norway, which in turn bases itself on a number of international environmental agreements and the UN Global Compact. Belfius Insurance does not include any companies in its portfolio that breach these environmental standards.

Also, based on the Belfius arms policy, companies whose main business is in the arms industry, are barred from the portfolio. This applies all the more to companies involved in the manufacture of controversial weapons (landmines, cluster bombs, biological weapons and nuclear weapons).

Finally, a number of new Belfius policies with restrictions and/or exclusions in relation to sensitive sectors and controversial activities came into effect. As a result, the screening of the investment portfolio under Portfolio21 will become stricter in 2020 in line with these new sector criteria.

Impact on customers

As the investment portfolio managed according to these principles is largely built up with the insurance premiums paid by the customer, both in the "life insurance" and "non-life insurance" segments, the customer contributes indirectly to the sustainability objectives of Portfolio21.

The overall portfolio is made up of multiple part-portfolios based on product groups. It includes:

- all indemnity insurance (car, fire, accident, liability, miscellaneous) and
- pension and life insurance policies (including investment insurance policies, except Branch 23).

A portfolio with a strong Belgian flavour

As of **31 December**, the investment portfolio of Belfius Insurance (excluding buildings, mortgages and cash) was approximately **EUR 13.7 billion**. Of this, the majority (EUR 8.5 billion or 62%) was invested in state bonds. The part listed on the stock exchange (shares and property) represented EUR 1.1 billion or 8.02% of the portfolio.

The investment portfolio is slanted strong towards Belgian securities: out of the total state bonds, EUR 5.91 billion or 69.52% is invested in Belgian state bonds. EUR 685.7 million, or 62.3% of the total equity portfolio, is mainly Belgium-oriented.

3.4. Innovation working on behalf of sustainable development

At Belfius, innovation and sustainable development are inextricably linked. We see innovation as a springboard towards a sustainable environmental, social and economic future. A number of tech-based services drawing on our digital expertise encourage companies, their staff, local authorities and ordinary people to adopt more sustainable habits.

The Studio

Launched in 2017, The Studio is a Belfius subsidiary that has constructed its business model around leveraging blockchain as an innovative and concrete technology to create meaningful and unprecedented solutions in Belgium (and abroad).

By using the cities/municipalities and intermunicipal organizations as a distribution channel, The Studio supports the core and historical PSB franchise while at the same time providing solutions for retail clients, Belfius and non-Belfius. In 2019, the strategy of The Studio enabled Belfius to launch two new products on the market:

Buck-e

Aimed at schools and local authorities, the **Buck-e** digital mobility platform is designed to encourage children to go to school by bicycle or on foot. Using beacons incorporated into the bikes, helmets and safety jackets, schools are able to detect each arrival by bicycle or on foot. In this way, the children can earn points which are then converted into virtual money that they can spend at the fair, swimming pool and local shops.

Buck-e was born out of the initiative by the Antwerp council of Bonheiden and collaboration between The Blockchain Studio and the Belgian company, Flow Pilots. Read more about this on the Buck-e website.

MIWA My Waste

In October 2019, The Studio and MIWA, the intermunicipal waste management company, launched the **MIWA MY WASTE** app to encourage Waasland residents to produce less waste.

A new project for which development began in 2019 will be launched soon in 2020:

City Vouchers

A digital platform will enable local councils to offer “city vouchers” to be spent in the local economy. The aim is to promote local purchases and shorter supply chains, as well as to fight the impoverishment of city centres.



ZOOM

“ ”
Sustainable
commuting mobility remains
one of the strengths of
Belfius.

COMMITMENT

Reinventing the concept
of mobility from a forward-
looking vision



Mobility at Belfius

Mobility is a central theme at Belfius. We offer mobility solutions both internally to our staff, as well as externally to our customers.

Mobility of our staff

Since the beginning of the 2000s, an ambitious Mobility Plan has been encouraging staff to use public transport or come to work by bike. This plan includes:

- Travel by public transport is free of charge, as well as parking at the departure station. In addition, there is a per-kilometre allowance for cyclists and pedestrians, easy-to-use facilities for cyclists and motorcyclists (secure parking, changing rooms, showers), plus a carpooling allowance.
- In parallel, Belfius takes strong measures to discourage driving to work alone in cars: since 2000, parking has been charged to solo drivers at the head office in Brussels.
- Today, teleworking is a part of the corporate culture, making a significant reduction to the number of daily journey made by our employees.
- A flexible hours system, which enables employees to travel outside peak hours, is also helping to make traffic flow more smoothly and limit spikes in pollution.

In 2019,

- 79% of staff at head office in Brussels came to work by public transport
- 17.5% of the work done by Belfius Bank and Belfius Insurance staff is now carried out remotely, without the need to travel (21.9% for head office employees).

Mobility for our customers

Belfius Lease and Belfius Auto Lease: your providers of sustainable mobility

- Belfius Lease and Belfius Auto Lease offer leasing and renting of professional capital goods, including mobility products, to the self-employed, companies and liberal professions.

Belfius Auto Lease (BAL) is positioning itself increasingly as a mobility provider with a sustainable view of mobility. In 2019, BAL had a current fleet of 20,955 vehicles, of which electric vehicles grew by 117% between 2018 and 2019.

- As for its New Mobility Services strategy, Belfius decided in 2019 to improve and expand its mobility offering for its customers. To make this happen, Belfius Auto Lease has signed a unique bike leasing partnership with Cyclis, covering all types of bicycles. In doing so, BAL aims to cater for the mobility needs of companies by offering a wide range of solutions.

For more detailed information, please see section 4. Climate & Environment.

Buck-e

Aimed at schools and municipalities, the digital mobility platform Buck-e aims to encourage children to cycle or walk to school through gamification. Each journey made by bike or on foot allows children to earn virtual money that they can spend in local shops. For more information about Buck-e, we refer you to the following section: 3.4 Innovation working on behalf of sustainable development.

For more details, please see section 3.1. "Leasing: circular, ecological and digital".

4. Climate & environment

4.1. Carbon footprint of the Belfius Group

Our carbon footprint measures the emissions of greenhouse gases associated with the operation of the company. It depends to a large extent on our consumption of fossil fuels.

In 2019, Belfius commissioned CO2logic to calculate its carbon emissions. The purpose of choosing an external partner to interpret our environmental data was to ensure that the method of calculating our carbon footprint was accurate and in compliance with the recognised standards for CO₂-neutrality. Based on this audit, Belfius and CO2logic will together draw up a plan to reduce CO₂ emissions from 2020 onwards in order to reduce our carbon footprint in the years to come.

Auditing the emission factors and using a more appropriate method of calculation have led to further details about the estimates published previously for 2017 and 2018.

Despite a slight increase in the workforce compared with 2018, our emissions fell in 2019 (-2.5%):

- **Scope 1** groups the direct emissions linked to heating using primary energy (gas, heating oil) and the fuel for service vehicles, company cars and flex cars. On the advice of CO2logic, refrigerant gases have been added to the Scope 1. The calculation of the emissions related to these gases is based on an assumption of a 10% loss for buildings for which the data in this respect are unknown.
- **Scope 2** includes the emissions associated with the production of the electricity that we consume. Since 2008, this consumption of electricity has been offset totally by European Guarantee of Origin labels for the various technologies (Wind Onshore & Off-Shore, Photovoltaic Panels, Biomass, etc.). As a result, emissions of CO₂ for this item are considered to be zero. They would be 3,663 tons if the electricity was not from renewable sources.
- **Scope 3** relates to other indirect emissions, associated in the first instance to journeys to and from home (excluding company cars included in Scope 1), followed by paper consumables. In 2019, our consumption of paper fell by 22% compared with the previous year; nevertheless, the emission factor proposed by CO2logic implies a significant weight of paper in the total emissions for this item – which is also falling.

COMMITMENT

Be a leading actor of change in the transition towards a sustainable Belgian economy and society



Emissions of CO₂ by source (in tons of CO₂)

	2017	2018	2019	Evolution from 2018 to 2019
SCOPE 1	8,796.3	8,620.3	8,580.5	-0.5%
Gas consumed	3,414.7	3,449.1	3,158.3	-8.4%
Heating oil	66.9	81.2	63.6	-21.6%
Vehicles owned (pool, company)	4,214.8	3,990.1	4,258.6	6.7%
Refrigerants	1,099.9	1,099.9	1,099.9	0.0%
SCOPE 2				
Electricity consumed (market-based method)				
Electricity consumed (location-based method)	4,316.1	3,867.3	3,663.0	-5.3%
SCOPE 3	8,165.6	7,649.3	7,289.4	-4.7%
Paper consumed	942.8	991.3	776.1	-21.7%
Water	23.4	24.2	24.6	1.6%
Waste (paper, cardboard, PMT, unsorted)	161.8	136.1	119.6	-12.1%
Home-work-home travel	6,198.3	5,679.2	5,614.9	-1.1%
Business travel (private and Flex vehicles)	429.4	458.4	415.9	-9.3%
Business travel (public transport)	38.5	46.9	44.4	-5.3%
International business travel by train	4.3	5.8	3.1	-46.2%
International business travel by plane	199.2	170.3	145.7	-14.4%
Transporting mail	97.0	79.0	79.0	0.0%
Transporting valuables	70.8	58.2	66.2	13.7%
TOTAL EMISSIONS	16,961.9	16,269.7	15,870.0	-2.5%

To be able to communicate comparable figures, we have recalculated the carbon emissions for 2017 and 2018, basing ourselves on the same calculation method used for 2019 and recommended by CO2logic.

4.2 Reducing use of resources, avoiding waste

In order to become CO₂ neutral, Belfius has recently started working with CO2logic (see page 26). The aim is to reduce energy consumption in our buildings, waste, paper consumption and staff travel. Below is an overview of the ecological footprint of these different elements, as well as what we have achieved in 2019.

Sustainability in our buildings and mobility

Energy-savings

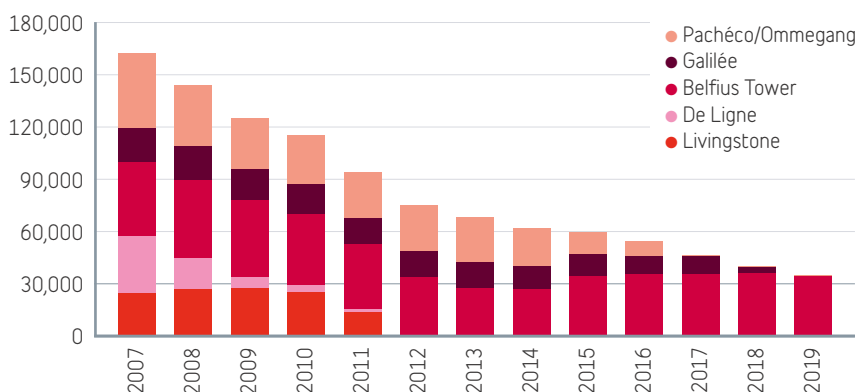
Back in 2007, it was decided to reduce by half the amount of primary energy consumed by our central buildings in Brussels. This target was achieved by way of in-depth energy audits and similar efforts were recorded at the time in our regional buildings and some branches. From 2012 onwards, the optimisation of our office spaces was brought to the fore (open-plan offices, workstations for 70% of workers, tools enabling teleworking). This also helped to reduce our needs in energy resources.

In terms of energy savings, a reduction of our consumption of primary energy of 44% over the past 5 years has been achieved. This represents gains of almost 78% since 2007. Belfius consumes green electricity only, validated by a Guarantee of Sustainable Origin label since 2008.

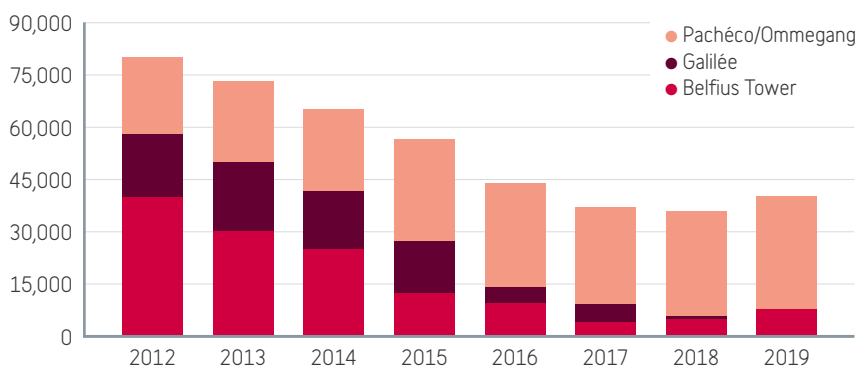
The consumption of water in our central offices has reduced by 31% in 5 years due to the evolution from three to one central building and the increase in telework.

Since 2019 the employees who used to work in the Galilée building now all work in the Belfius Tower. In addition, comfort times were spread in the Belfius Tower (more air humidification). On the Pachéco side we calculate the consumption in relation to the area occupied, which in this case is unfavourable and results in an apparent increase in our consumption. This explains to a large extent the increase in total water consumption in 2019, as shown in the graph below.

Changes in the consumption of primary energy at the central offices in Brussels (in MWhep)



Water consumption at head office in Brussels (in m³)

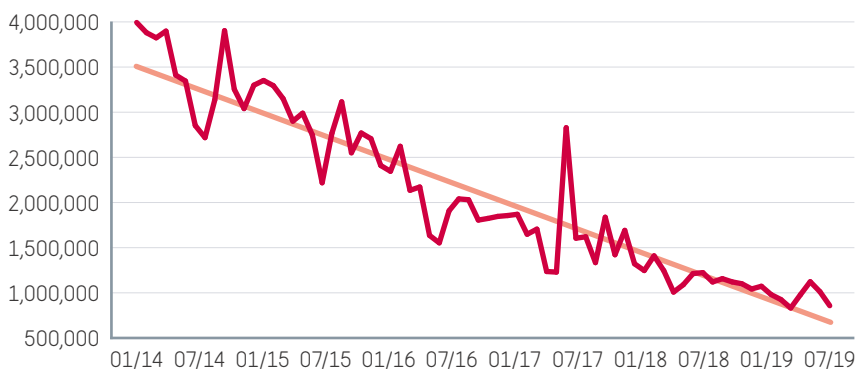


Less and less paper

After energy resources, printing using photocopiers is the main resource consumed by Belfius, with almost 845 tons of paper used in 2019, of which almost all was FSC-certified. This figure represents a reduction of 22% compared with last year.

This reduction is supported in particular by the widespread use of laptop computers, the removal of cupboards in offices and a 30% reduction in the number of printers.

Evolution of the number of A4 pages printed in the last 6 years



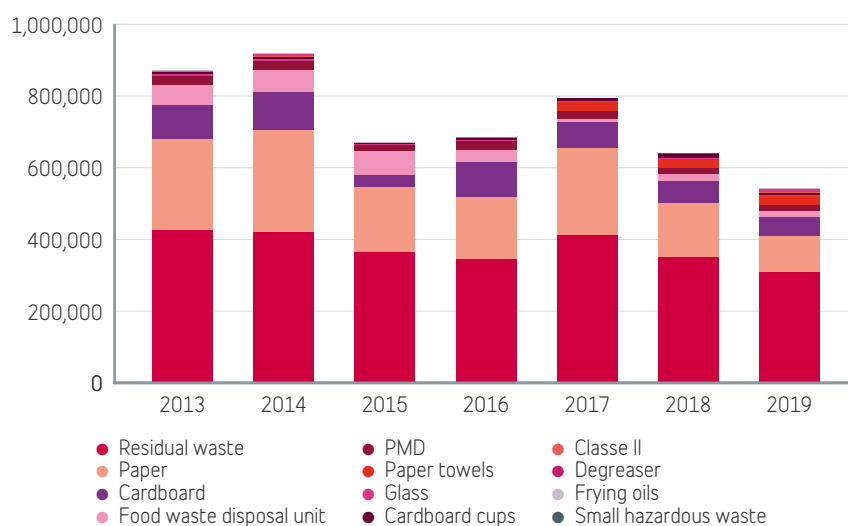
Belfius is also making major efforts to reduce the printing on paper of its customers' account statements, encouraging them to be digitised. At the end of 2019, the proportion of electronic statements (for fully electronic accounts) had risen to almost 50% of the total for the 4 communication channels used for this type of reporting: an increase of 11.5% over the previous year.

It is printing at teller windows that have surrendered the most ground, compared with 2015, with a 57% reduction in printing volumes. This followed in the same direction by printing slips at ATMs, which is down 40% and statements sent through the post, down 31%.

Waste volumes steadily declining

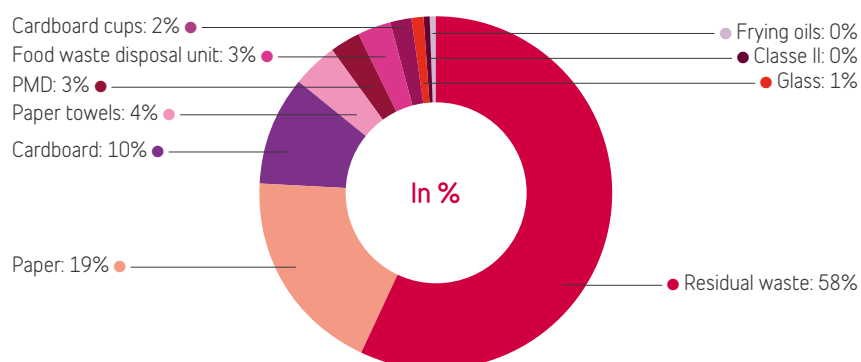
2019 saw a 15% reduction in the production of waste at head office, compared with 2018. Paper waste in particular fell sharply (35% compared to 2018). Residual waste (unsorted) fell by 12% compared with the previous year. Also to be noted is the amount of food waste (16 tons), which is ground up and removed off-site to be converted into biogas.

Production waste at the Brussels head office (in kg)



The challenges facing Belfius remain the same: reduce the volume of residual waste (unsorted) paper to be recycled, on the one hand, and increase the proportion of PMT waste and drinking cups to be recycled, on the other. Campaigns are run in-house on a regular basis to make staff aware of the correct sorting of waste.

Breakdown of waste produced at the Brussels head office in 2019



Sustainable commuting remains one of Belfius' strengths

In 2000, Belfius introduced an ambitious Mobility Plan encouraging staff to use public transport and bicycles to travel to work. This plan also discourages the use of cars carrying just the driver by making members of the Bank's staff driving alone in their car to work in Brussels pay for their parking. Since 2001, Belfius has encouraged alternatives by offering free public transport, a per-kilometre allowance for cyclists and pedestrians, user-friendly facilities (secure parking, changing rooms, showers) for cyclists and motorcyclists, plus a bonus for carpooling. It also encourages feeder services to railway stations by providing free parking at stations.

As a result of those years of efforts, 79% of the employees come by public transport, just 3% by bicycle and only 18% by car or motorbike. The share of individual car use fell by 70% in 17 years.

For all of the Belfius Group (all subsidiaries included) across the whole country, in 2019, the proportions of the main methods used parts to travel to and from work were:

- 57.5% public transport (compared with 56.8% in 2018)
- 38.4% private vehicles: cars, motorcycle, carpooling (compared with 39.4% in 2018)
- 4.1% active methods: on foot, by bicycle (compared with 3.9% in 2018).

4.3 Circularity in Procurement

- Since 2017 Belfius has subscribed to two Green Deals on Circular Purchasing. These have led Belfius, among other things, to give priority to the purchase of sustainable furniture, made from recycled components, and to give it a second life when it is no longer in use. Belfius has also entered into leasing contracts for IT equipment: this now remains the property of the supplier who, at the end of the contract, ensures that it is given a second life. If the equipment is damaged, it will at least be subject to recycling of its components.

Belfius reiterates its commitment by signing the Walloon Green Deal in 2019. We are thus committed to launching at least two pilot circular purchasing projects on Walloon territory over the next three years.

- Belfius regularly makes buyers aware of the principles of the circular economy. A database has been created as a source of inspiration for circular purchasing.
- The Ethical Charter on Supplier Relations will be part of the contract to be signed with suppliers. It requires each supplier to comply with certain circular criteria and will provide a legal basis for any termination of the contract by Belfius, should the supplier fail to do so.

4.4 Green IT

In 2019, Belfius took the decision to become a member of the Green IT Club Belgium – the agreement was officially signed at the beginning of 2020. This membership will enable us to:

- position ourselves better regarding the sustainable nature of the IT services provided to our customers and staff;
- obtain a carbon footprint audit for our IT services and to guide future developments in the aim of reducing it;
- position ourselves better in relation to equivalent companies;
- conduct exchanges with other members to benefit from best practices.



LANCEMENT
du
GREEN DEAL
ACHATS CIRCULAIRES



5. Social commitment

5.1. Sustainable collaboration with the community

Belfius not only invests in the Belgian economy, but also has a strong tradition in supporting projects with a social aim. Social engagement is in our DNA and is an integral part of our strategy. Each year, Belfius employees are actively involved in good causes and other initiatives.

In line with its strategy, Belfius opts for meaningful long-term Belgian partnerships with organisations that work on behalf of the less fortunate and disadvantaged.

Projects for good causes

Red Nose Day

Together with VTM, Qmusic and Het Laatste Nieuws, Belfius supports Red Nose Day. New in 2019 was a programme that focused not merely on young people with psychological problems, but one that set itself the goal of making all young people in Flanders mentally, physically and socially more resilient. A second new feature was that schools could set up their own money-raising campaigns in aid of a project to increase the resilience of young people at their school, for example, schools with ideas were given the opportunity to convert those ideas into practical projects (e.g. peer-to-peer support groups at school, workshops, quiet spaces where students can withdraw to, have testimonials from experienced specialists at school).

Money raised Red Nose Day

(in EUR)	2017	2018	2019
Proceeds from Red Nose Day	N/A ⁽¹⁾	4,269,073	4,315,197

(1) There was no programme in 2017.

Money raised Viva for Life

(in EUR)	2017	2018	2019
Amount from Belfius ⁽¹⁾	376,555	385,252	461,137
Total raised for ⁽¹⁾ Viva for Life	4,115,330	4,929,220	5,658,352

(1) The "Amount from Belfius" is the amount raised by Belfius through its various programmes, whereas the total raised represents the proceeds raised for Viva For Life in the whole of Wallonia and Brussels.

Viva for Life

Belfius has been supporting Viva for Life (an initiative by the RTBF, in conjunction with Cap 48) since 2014 and has been the main sponsor since 2016. Viva for Life is involved in the fight against child poverty, of which 1 child in 4 in Wallonia and Brussels is a victim. All donations and profits from this initiative are managed by Cap 48, which is also responsible for selecting the dozens of associations that receive support. To help raise money, Belfius organised the Stairs for Life run, a Christmas baubles sale and a tour through various cities.

Special Olympics

Through our partnership with Special Olympics Belgium (since 2014) we support people with learning difficulties and promote their integration into the Belgian community via sport.

Belfius Foundation

The Belfius Foundation – which coordinates the Belfius' solidarity patronage – ceased its activities on 30 June 2019. In 2019, the Foundation organised the 8th and last edition of its Colour Your Hospital competition in which 18 hospital projects aimed at improving the quality of life of patients were rewarded.

The closure of the Belfius Foundation does not in any way mean that Belfius is phasing out its commitment to good causes. On the contrary, from now on Belfius intends to concentrate this commitment on major partnerships in which the company's staff are closely involved: Viva for Life, Red Nose Day and Special Olympics.

Philanthropy

Through its "Philanthropy" offering, Belfius offers its customers a specific framework for including a good cause as a structural part of their asset management and/or succession planning. In this way, Belfius responds to questions from customers regarding their estate, their desire to support certain charitable organisations or to tackle certain social problems in a structured way.

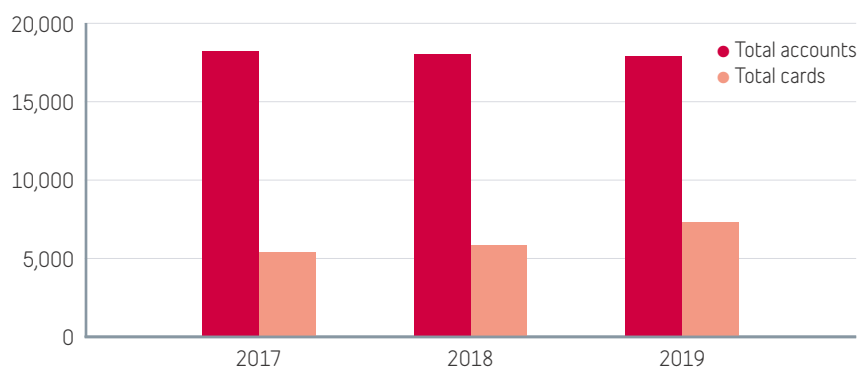
Belfius is the leading player in the area of funds with a philanthropic purpose. The funds cover a wide range of topics, such as health, poverty, development aid, input to the local community, etc. (the breakdown of the various themes is shown in the table below). More than 1,500 funds have been created so far. There were 162 funds active in 2019, with around EUR 3.9 million going to good causes from the bequests made by Belgian citizens.

Inclusion – equal opportunity

Social products

Belfius has developed a series of specific banking products that assist PSACs in their work. These products make it easier for access to be provided to basic bank services for persons in problem situations who are not able to connect to the banking system on their own. Belfius has also included these products in the BelfiusWeb Electronic Banking application, which PSACs use to simplify their management. No other European bank offers this service. [A summary of the products can be found on our website.](#)

Total number of cards and accounts of persons on Welfare



École 19

Belfius also continued to sponsor École 19 in 2019. Located in Uccle, École 19 is based on the model of École 42 in Paris and is a highly innovative school where young people aged 18 to 30, with no formal qualifications, can be trained in computer coding.

Hamster leasing

In 2019, Belfius intensified its support for the “hamster leasing” concept, whereby people buy an energy-efficient home or apartment that they then rent out later at a previously agreed price, with a reduction of the rent paid

COMMITMENT

Equal opportunities and social commitment is and remains our leitmotiv



Belfius Art Collection

Belfius has been sharing its passion for art with the public for a decade now. Each year, in the **Belfius Art Gallery** located on the 32nd floor of our Brussels head office in the Belfius Tower, we display a selection of some 60 artworks from our collection in an exhibition created around a particular theme. The Belfius Art Collection is made up of 4,300 works, making it the largest private collection of Belgian art. To enable as many people as possible to enjoy this artistic heritage, we open our gallery twice a month and by appointment for the general public. Working with the non-profit organisations, Audioscenic and Culturama, we also provide guided tours for people with poor eyesight.

In 2019, more than 10,000 visitors enjoyed the “Women. Underexposed.” exhibition, which focused on female talent in Belgian art.

Our support for Belgian art is also expressed through the loans of works we make from the collection to Belgian museums, as well as purchasing works by young Belgian talents.

| Women |
underexposed

5.2. Our staff

The context in which we currently work requires increasing focus on Corporate Social Responsibility (CSR). In view of the rapidly increasing pressures in the employment market, we need to look ahead to the future. In doing so, Belfius shows that it is fully committed to the sustainable employability of its staff.

Concentrating on maximum employability

New Belfius Bank career policy. To create a sustainable, motivating and contemporary framework for HR, Belfius made adjustments to its career policy at the beginning of 2019. Because the world is changing so quickly, Belfius wants its employees to evolve with it and in doing so arm themselves for the future. Belfius strives to keep its employees working in a sustainable way, which is why it invests in long-term employability, regardless of age or position.

One of the principle points of the new career policy is the permanent feedback culture that Belfius aims to develop across the whole organisation. Using the motto **“In control of your own career”**, Belfius seeks to evolve towards a climate in which managers and employees give each other open and constructive feedback at all times, supplemented by a career discussion to which employees can invite their manager at least once ever 12 to 18 months.

Lifelong learning and leadership development

New technological and business developments are reshaping the jobs landscape from top to bottom. Yet human input will continue to be crucial. Which is why Belfius is investing in the development of its employees so that they can make full use of the opportunities that these new technologies have to offer.

Lifelong learning

Because the challenges of today and tomorrow require us to keep on acquiring new knowledge and skills, Belfius offers its employees a wide range of training options, previously detailed in this annual report. Belfius aims to go a step further in this regard and evolve towards a culture in which staff spend at least 5% of their time gaining new soft/hard skills and abilities, in combination with an “on the job” coaching by managers and colleagues, feedback, exchanges of experiences, etc.

Leadership development

To be able to take on challenges in the future, every employee needs to develop their leadership abilities. In doing so, a “shift” is required to a new type of leadership. To make this happen, all team leaders (more than 600 of them) have been through the Leadership shift process (some managers will complete the process in 2020). The programme was specifically designed to give team leaders the right mindset, tools and practices so that they can look ahead to the numerous challenges and changes that await the financial world, while respecting our vision and values.

Furthermore, Belfius supports a whole range of development initiatives organised by and for staff. These sessions give employees with specific expertise the opportunity to share what they know with work colleagues. For example, there are training sessions that focus on digitisation (Digital Dating), languages (Linguistic Lunches) or a broader array of topics during the summer holidays (Summer School).

Non-financial criteria as a determinant of managers' variable compensation. In all areas of activity at Belfius, employees play an essential role in the development of a sustainable company. That's why we encourage managers who are eligible for a variable remuneration to behave in a sustainable manner and to promote sustainability by including non financial criteria in their variable remuneration. These non-financial criteria which accounts for more than a third of all the remuneration criteria, are based on qualitative objectives that highlight Belfius as a socially responsible company.

ESG criteria are as follows:

- a customer satisfaction rate of more than 95%
- improved leadership skills
- engaged employees.

For more information regarding the remuneration, please refer to the Remuneration Policy chapter of the annual report.

A modern working environment

A modern, motivating working environment

To give employees maximum support in the way they go about their work, in recent years Belfius has invested significantly in a modern working environment. In 2019, the BeWoW project (Belfius Way of Working) was taken a step further. The aim of this project is to gear physical elements (place of work, physical working environment), digital elements (hardware and software) and behavioural elements (organisation structure, culture, leadership and empowerment) to the needs of today: work that is place- and time-independent, digitisation, flexibility.

Room for sport and relaxation

Belfius is also involved in creating times for work colleagues to get together and exchange opinions and views, because these encounters can quite often lead to innovative ideas. As a result, "The Village" has become a highly popular meeting space in the Belfius Tower, where people can eat, meet their workmates, have meetings, organise events among colleagues or work individually.

Employees can also exercise in the Belfius Workout space, a fitness area in Belfius Tower, where all employees, whether individually, in groups or under the supervision of a specialised coach, can come to exercise, distress and recharge their batteries.

An active diversity policy

→ **More and more gender balance.** In 2019, Belfius signed up to the "Diversity Charter" for the financial sector (as part of Women in Finance). By endorsing this charter, Belfius is committed to pursuing a series of "diversity" goals, as well as to make them public and report on them annually. Following up on this, Belfius will also participate actively in the Women in Finance initiative, which seeks to achieve a better gender mix within the financial sector.

→ Belfius' ambition is to achieve a better gender balance in all layers of the organisation. To this end, the Diversity Steering was set up, which is responsible for the follow-up and concrete implementation of this ambition.

For more details and figures on HR matters, we would like to refer you to the Human Resources chapter of the annual report.

COMMITMENT

Setting an example as an employer



In 2019, almost 1/3 of the managers were women. Within the total management population, the proportion of women rose to 32.2%. The same trend is noticeable for senior management, where the proportion of women rose to 33.1% at the end of 2019. This is a positive development, but Belfius wants to raise the bar even higher and has set itself the ambition to have a share of women of at least 44% at all levels within the organisation by the end of 2025.

5.3 Caring for our customers

Respecting the opinion of customers

Customers are at the heart of Belfius' strategy. Developing a long-term relationship with customers and partners, based on respect, is as important as optimising operational efficiency or financial performance. As a result, the strategy adopted by Belfius revolves around a number of principles: commitment, authenticity, entrepreneurship, customer-orientation and transparency.

Customer satisfaction above 95%

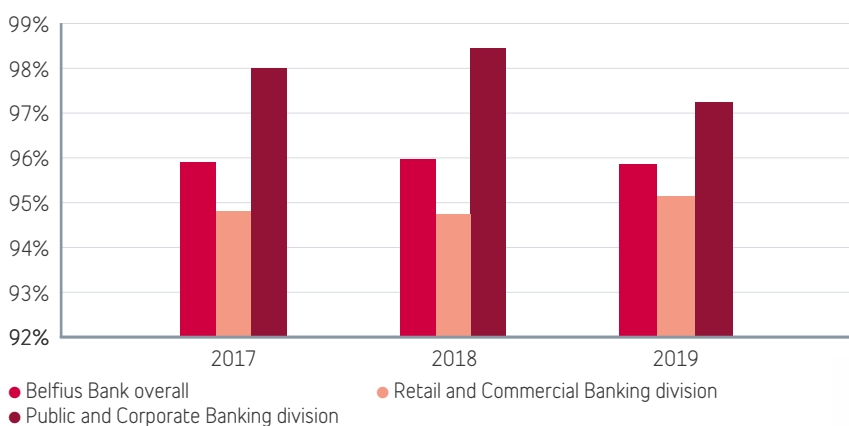
To measure the satisfaction of Retail (RCB) customers and Public, Social & Corporate (PCB) customers, Belfius Bank uses the same method.

In 2019, 527,299 RCB customers were invited, by e-mail, post and telephone to take part in a satisfaction survey. The average score awarded by the 55,812 participants was 95.14%.

For PCB, out of the 6,539 customers invited to take part, 500 responded, awarding an average score of 97.24%.

So, overall, Belfius Bank achieved a satisfaction score of 95.84% for 2019. This means that for the fourth consecutive year, the bank exceeded its target of having 95% of satisfied customers. Of this overall score, RCB customers represent 2/3 and PCB customers 1/3.

Changes in customer satisfaction



Complaints management

Focusing closely on customer satisfaction, Belfius pays greater attention to complaints and makes it a point of honour to provide solutions. Its complaints management system analyses all cases, in association with the bank's various entities. Complaints are managed by a step-by-step plan, which ensures they are dealt with impartially.

RCB

The number of complaints fell by 9% in 2019. This development was associated mainly with the reduction in complaints related to the ARCO case. At the same time, the volume of complaints associated with the pricing of accounts and cards fell by 36%. This reduction was offset partly by an increase in complaints about the pricing of other products.

PCB

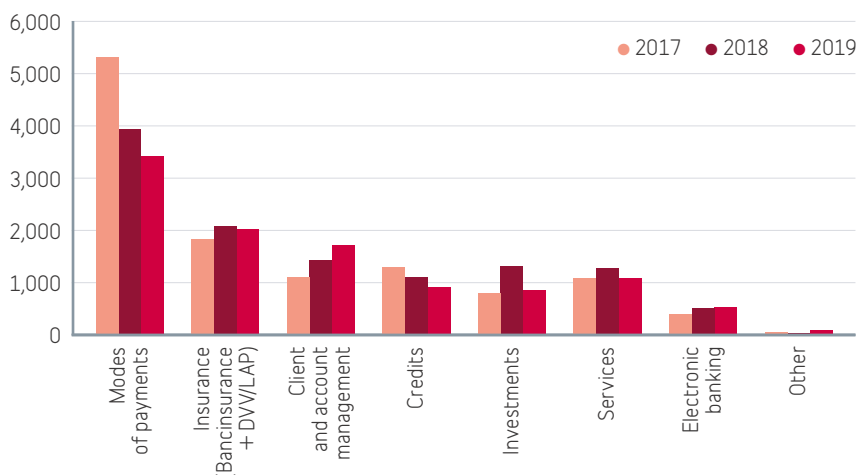
For PCB, the number of complaints was down slightly, from 93 in 2018 to 86 in 2019. More than half were for Public Banking.

Complaints about discrimination and privacy

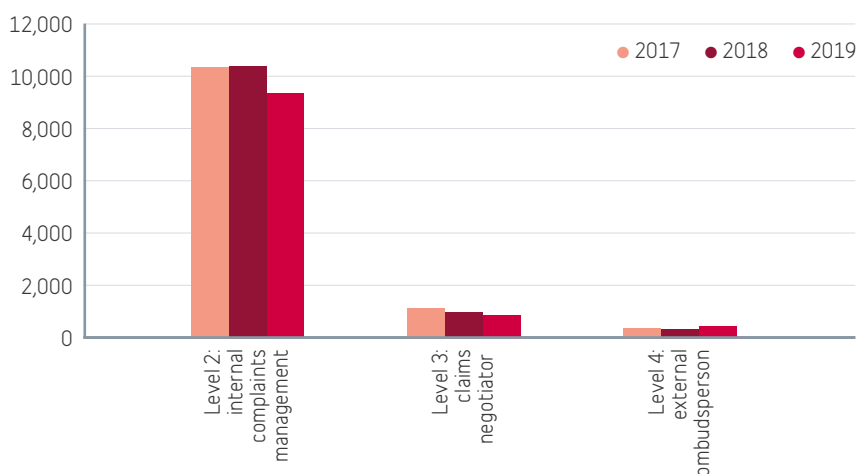
According to the report on complaints management, the number of complaints relating to discrimination and privacy, although higher, remains limited in the total number of complaints:

- Discrimination: in 2019, Belfius handled 29 complaints relating to different forms of discrimination. In particular, these complaints were about certain services such as Comfort Banking, a telephone service of use to customers who are blind or with poor eyesight, and the difficulty of opening a basic bank account for asylum-seekers or political refugees.
- Privacy: in 2019, Belfius handled 173 complaints about privacy, compared with 100 in 2018. Of this total, 103 were about the GDPR legislation. This was 71 complaints more than last year. These complaints demonstrate a growing awareness among customers about the topic of privacy, rather than any failure on the part of Belfius.

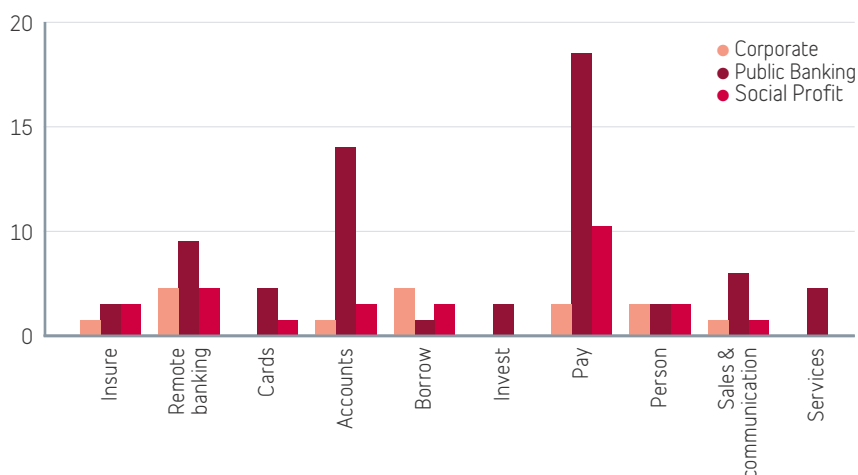
Closed complaints by topics (RCB)



Closed complaints according to level of management (RCB)⁽¹⁾



Closed complaints by topics (PCB)



(1) "Level 3 Negotiator Complaints" does not apply for DVV/Les AP Assurances. The figures for 2017 and 2018 have been adjusted to take this into account.

Confidentiality of data

Respect of privacy and customer satisfaction

Respect for privacy and the protection of personal data are an essential commitment on the part of Belfius. All of our processes take account of the General Data Protection Regulation (GDPR), the aim of which is to make our products (existing, adjusted and new), digital tools and services available to customers. Compliance with the GDPR is one of the approval criteria for these processes.

However, the regulatory framework regarding personal data continues to evolve. The Data Protection Officer (DPO), Chief Information Security Officer (CISO), Information Technology Security Officer (ITSO), Non-Financial Risk department (NFR), legal department and compliance department all work together to ensure ongoing compliance with the GDPR across the whole organisation and its activities.

Beyond employees directly involved in the processing of personal data, all Belfius staff have been made aware of the GDPR and our GDPR with regard to it. This has been achieved in particular through an e-learning module viewed by 91.82% of employees at head office and the network of branches. Every department also has its own Privacy correspondent whose job it is to help the department apply its obligations in this area within its specific area of business.

Access rights and privacy violations

In 2019, Belfius received almost 17,000 enquiries. 98.71% were about the right to access personal data. In 99.93% of cases, they were digital requests that Belfius dealt with directly. All were completed within the statutory period of one month. In so doing, Belfius confirmed the total transparency that it wishes to guarantee regarding the personal data it holds.

With regard to violations of personal data, we have identified no significant data breaches. 3 incidents were reported to the Data Protection Authority in 2019. In each case, a rapid response and appropriate measures were taken.

Cybersecurity: our responsibility

→ The digitalisation of the banking, retail and social landscape goes hand in hand with constantly evolving cyber risks. For Belfius, it is essential to guarantee high levels of performance in IT security. We have not waited for new regulations in the matter, nor for data leaks to be revealed in the news, to become aware of our responsibility and role in protecting our customers' privacy and business. We want our customers to be able to trust us completely in that regard.

We also want to be able to repel and prevent cyber attacks by detecting them so that we can fight against all of the vulnerabilities that weaken the proper protection of data.

→ The new European Directive PSD2 ("Payment Services Directive") considerably expands the possibilities for consumers and banking as well as non-banking institutions, in the field of online and mobile payments.

In order to guarantee both security and ease of use for the customer, Belfius opted for the "API" (or Application Programming Interface) approach as provided for by the directive. This method allows data to be exchanged securely between Belfius and another institution. It avoids the need to request and store access codes from other banks. Belfius thus minimizes the risk of hacking into customer data.

For more details about our cybersecurity policy and the protection of data, please see the [**Belfius Risk Report 2019**](#).

COMMITMENT

Privacy and data protection
of our customers is
paramount



5.4 Dialogue with our stakeholders

Finally, we believe that the role we want to play in society can only be fulfilled in a meaningful way through constructive dialogue with all of our stakeholders. By regularly contacting them, we can gauge their concerns and their main expectations of Belfius. In this way, we keep our finger on the pulse, know what is going on with them and allow ourselves to be inspired by them. They, in turn, have the opportunity to influence our policy choices and get a better idea of how Belfius works.

The table below gives a concise overview of our most important stakeholders, the way in which we enter into dialogue with them today and the most important topics of conversation.

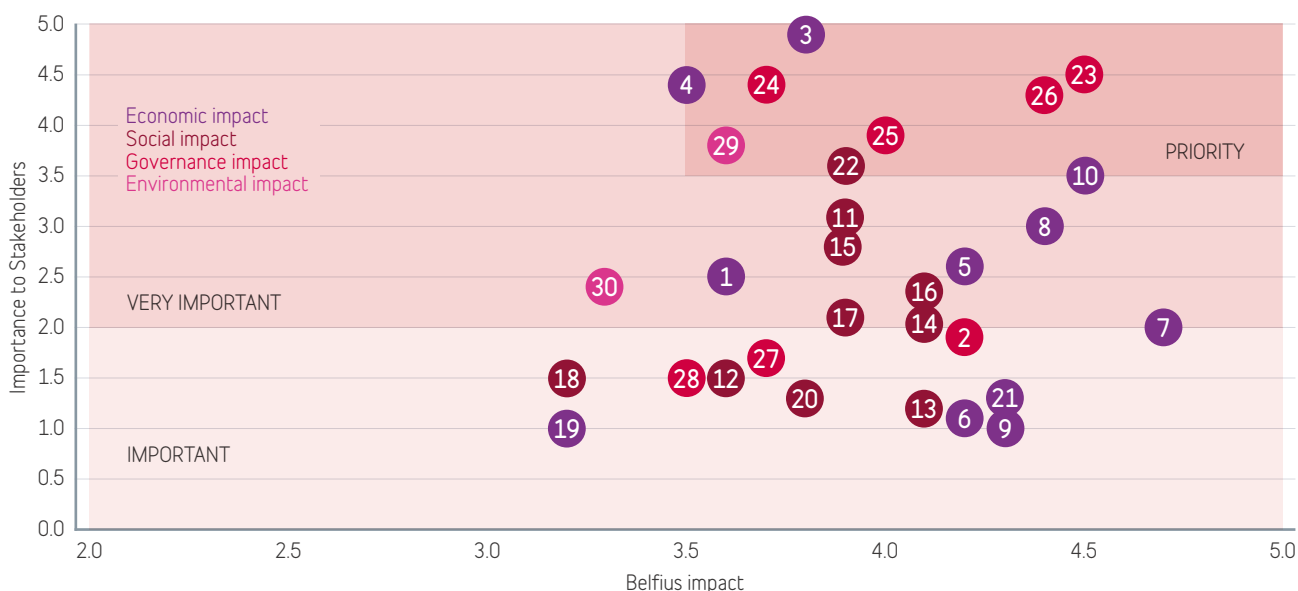
Stakeholder	How do we enter into dialogue?	Main topics of conversation
Customers	- Besides the digital channels (websites, mobile app) and Belfius Connect (a direct advice channel that can also be reached after working hours and on Saturdays) the main channel for maintaining contact with customers remains the physical channel (bank and insurance offices), where our bankers and advisors provide customers with all the necessary service - Through an ongoing series of customer satisfaction surveys - Through an ongoing management process of suggestions and complaints	- Suggestions and complaints from customers - Sustainable responsible investing - Product transparency - Access to financial services
Employees	- Through a permanent feedback culture in which employees and managers are encouraged to continuously give each other open and constructive feedback, under the motto "In control of your own career" - Through a career discussion between employee and manager, at least once every 12 to 18 months - Via live information sessions and webinars given by top and senior management, with Q&A - Through the annual engagement barometer, a survey that invites employees to make their voices heard on the internal operation of the company - Via representation in social bodies and a network of union representatives - Via a network for psychosocial help from persons of trust and the prevention adviser	- Fair and competitive remuneration - Coaching and career guidance - Training and education - Pleasant and healthy working conditions: new way of organising work to create a more current and open corporate culture - Physical and mental health of employees - Transparency about strategy, policy and results
Social and civil society organisations, NGOs	Via dialogue with various organisations and NGOs and cooperation with their surveys and assessments	- Communication about corporate social responsibility, aims and commitment of Belfius - Belfius' investment policies
Shareholder	- Via periodic consultation and operational contacts with the Federal Holding and Investment Company (FPIM) - Ad hoc information for answering external questions provided quickly and properly	- Transparency about the company's performance and results - Risk management
Sector federations, employer organisations and unions	- Via membership and representation in the financial management of financial and economic federations (Febelfin, Assuralia, BVK, BLV, BVB, BEAMA), employer organisations, cooperation platforms for innovation, technology and sustainable development (The Shift) - Via social bodies and the subcommittees linked to them	- Sharing knowledge with sector federations - Putting social responsibility into practice - New way of organising work to create a more current and open organisation
Governments and regulators	- Via collaboration in ministerial consultation initiatives on a federal and regional level - Via a systematic follow-up of regulatory initiatives that have an impact on the financial sector and by responding to public consultations - Via periodic consultation with the regulators and particularly with the NBB, the FSMA and the ECB	- Compliance with regulations and statutory obligations - Proper financial reporting - Exclusion criteria in granting loans - Green procurement policy
Ratings agencies, sustainability experts, analysts, (financial) press	- Via press conferences about the bank's results, with associated investor calls - Through constructive dialogue and feedback on rating surveys and (ESG) surveys - Day-to-day questions and answers via the bank's press spokesperson	Transparency about how the business is conducted, proper financial and non-financial communication

5.5 Materiality matrix

When formulating our sustainability commitments, we also took into account the main conclusions from the materiality analysis carried out in 2017. This analysis revealed the topics that were considered “material” (relevant), in order of importance, both for the stakeholders surveyed and in terms of strategic importance for Belfius.

The results of the materiality analysis were plotted out in a materiality matrix. In the first quadrant (top right), the subjects (“indicators”) which came out of the analysis as “priority” or “very important” appear. These are included as much as possible in the renewed sustainability policy.

Materiality Matrix



Results of the materiality analysis

PRIORITY

- 3 Products and services with environmental and social benefits
- 23 Ethics, compliance and honest banking
- 4 Sustainable and responsible investing and lending
- 26 Fighting corruption and fraud
- 29 Restricting the indirect impact on ten environment and climate (Impact on the environment and climate caused by products and services)
- 25 Fiscal transparency
- 24 Transparent remuneration and compensation policy
- 22 Financial inclusion, access to financial services for everyone
- 10 Long-term financial stability
- 2 Information and IT platform security
- 6 Digitalisation and innovation of products and services
- 7 Customer satisfaction, service quality
- 9 Reinvesting savings in the local economy
- 13 Employee health, safety and wellbeing at work

VERY IMPORTANT

- 1 Comprehensive risk management including environmental and social risks
- 8 Transparency to customers: clear and correct communication about products and services
- 5 Protecting customer privacy and data
- 11 Employment conditions and social protection
- 14 Talent development and training
- 15 Policy on diversity and equal opportunities
- 16 Attracting and retaining talent
- 17 Employee involvement and commitment
- 30 Restricting the company's direct impact on the environment

IMPORTANT

- 12 Social dialogue and stakeholder relations
- 18 Financial literacy
- 19 Corporate philanthropy
- 21 Respect for human rights in the workplace and in business relations
- 27 Green procurement policy
- 28 Joining the public debate about responsible banking
- 20 Social commitment

In 2020, Belfius will update the materiality exercise, initially to have the ten commitments assessed in terms of content by a broader selection of external stakeholders than was the case in 2017.



Human resources

Customer satisfaction is Belfius' top priority and in achieving it, a crucial role is reserved for our employees. Being the heart of the organisation, our staff focuses on customers and their needs, day after day. This, together with the in-depth change of culture within the company, has enabled Belfius to evolve towards being a highly customer-oriented business that is capable of managing continuous change. As a result, Belfius' HR strategy focuses on the following main points

1. Continuing to grow the new company culture.
2. Our employees: the backbone of the organisation.
3. Investing in our talents.
4. Continuing to invest in well-being.
5. Aiming for authenticity and diversity.

1. Continuing to grow the new company culture

The 4 values of Belfius provide the framework in which a new company culture is being fostered and encouraged. These four values are:

- **Customer oriented.** The satisfaction of our customers is and will remain the benchmark and ambition that governs everything we do.
- **Fair.** We seek to achieve a fair balance between the interests of all our stakeholders: our aim is to create long-term value for our customers and for our company, as well as for the community and the environment
- **Authentic.** We respect each person's individuality and find differences enriching. Everyone is at their best if they can be themselves.
- **Entrepreneurial.** We dare to go down new paths and push back boundaries. We also have a nose for opportunities that we aim to deliver with passion, purpose and integrity.

2. Our employees: the backbone of the organisation

Our strategy provides a powerful answer to the major challenges that Belfius and the whole of the banking sector have to deal with today. To achieve this, Belfius has not gone down the path of reducing its human capital, but instead has made the fundamental choice of providing maximum support to the “employability” of each employee. Together we will stand firm against the challenges of the future.

2.1 Key figures

After the previous Strategic Plan 2013-2016⁽¹⁾ was introduced, the number of employees working in the group declined steadily, before stabilising again from 2016 onwards. In 2019, Belfius had 6,525 employees (3,154 women and 3,371 men), of whom 97.4% were employed on open-ended contracts. In 84.6% of cases, employees were working full-time, which was virtually identical to the situation in previous years (2018: 84.4%, 2017: 83.8%, 2016: 83.9%).

The age pyramid shows the distribution of the number of employees per age category. These figures again show that ageing is not only one of the major challenges for the near future (more than 45% of employees are aged 50 or older), but that it also offers opportunities in terms of the “employability” of “younger” staff, enabling them to progress further within the organisation.

(1) CLA dated 10 July 2013 regarding a framework for internal mobility, measures for early retirement, measures for reducing working hours and employment guarantees as part of the Belfius Plan 2016.

Movements in the number of active employees in the consolidated Belfius group (headcount)⁽¹⁾

Type of contract	2018			2019		
	Male	Female	Total	Male	Female	Total
Permanent contract	3,277	3,061	6,338	3,275	3,080	6,355
Fixed-term contract	73	83	156	96	74	170
TOTAL	3,350	3,144	6,494	3,371	3,154	6,525

Movements in the number of active employees working full-time / part-time in the consolidated Belfius group (headcount)⁽¹⁾

Work regime	2018			2019		
	Male	Female	Total	Male	Female	Total
Full-time	3,251	2,229	5,480	3,259	2,261	5,520
Part-time	99	915	1,014	112	893	1,005
TOTAL	3,350	3,144	6,494	3,371	3,154	6,525

Movements in the number of active employees per age category in the consolidated Belfius group (headcount)⁽¹⁾

Age category	2018			2019		
	Male	Female	Total	Male	Female	Total
20y-29y	242	231	473	255	241	496
30y-39y	478	514	992	502	511	1,013
40y-49y	980	1,071	2,051	941	1,031	1,972
50y-59y	1,411	1,251	2,662	1,370	1,243	2,613
60+	239	77	316	303	128	431
TOTAL	3,350	3,144	6,494	3,371	3,154	6,525

(1) All the figures relating to staff are for the “active” headcount (unless stated otherwise), i.e, excluding employees taking early retirement, on long-term sick leave, full-time credits, on secondment,

2.2. Employee satisfaction and engagement

Belfius is convinced that satisfied and committed employees are the cornerstone of any successful organisation. We therefore monitor employee satisfaction and engagement on a yearly basis through the Engagement Survey. The most recent results showed that in 2019 Belfius scored well, in terms of both employee satisfaction and engagement. At a Group level (Belfius Bank and Belfius Insurance) the survey revealed an engagement rate of 84% (compared with 88% in 2018) and a satisfaction rate of 91% (compared with 94% in 2018).

“Satisfaction indicator” scores from the Engagement Survey (Belfius Bank and Belfius Insurance)

	2017	2018	2019
Belfius Bank	92.8%	95.2%	92.2%
Belfius Insurance	93.8%	90.7%	86.6%

“Engagement Indicator” scores from the Engagement Survey (Belfius Bank and Belfius Insurance)

	2017	2018	2019
Belfius Bank	85.7%	88.1%	84.8%
Belfius Insurance	86.2%	84.9%	78.7%

2.3. Inflow

It is Belfius’ belief that investing today in tomorrow’s solutions will be key to facing future challenges. As is the case for many companies, natural attrition and the need to recruit new skills is a major challenge for Belfius. Belfius is constantly looking for new talent and especially for highly diverse employee profiles.

In 2019, Belfius Bank and Belfius Insurance advertised 786 open-ended internal and external vacancies. As one of the ways of attracting new talent, Belfius played host to 71 work experience trainees. This is a programme that remains at a similar level

Number of internal and external vacancies at Belfius Bank and Belfius Insurance, excl. temporary vacancies

	2017	2018	2019
# vacancies	640	585	786

Number of work experience trainees at Belfius Bank and Belfius Insurance (from school)

	2017	2018	2019
Male	25	39	44
Female	28	39	27
GRAND TOTAL	53	78	71

Movements in the number of “arrivals” per age group in the consolidated Belfius group, excl. transfers between entities

Year	Age group	Male	Female	Total
2017	20-29	45	50	95
	30-39	46	19	65
	40-49	27	17	44
	50-59	8	5	13
TOTAL 2017		126	91	217
2018	20-29	78	52	130
	30-39	68	51	119
	40-49	38	26	64
	50-59	8	2	10
TOTAL 2018		192	131	323
2019	20-29	57	53	110
	30-39	55	35	90
	40-49	29	30	59
	50-59	14	8	22
TOTAL 2019		155	126	281
GRAND TOTAL		473	348	821

compared with previous years (78 in 2018). The number of new recruits (open-ended contract) decreased slightly: 281 in 2019 compared with 323 in 2018, 217 in 2017 and 186 in 2016.

Belfius, on a yearly basis, hires around 20 so-called Young Professionals. These are young people who have just graduated or who have already gained some business experience. Spread across the whole of Belfius, these young employees work for three to four periods of 6 months on strategic projects in various departments.

2.4 Outflow

In absolute figures, the number of departures fell last year. The largest group of departures contained employees in the 60+ age bracket taking retirement. They represented 156 of the 377 departures, or 41.4% of the total. This figure is expected to continue to increase (e.g. pensions), both in absolute figures and proportionally. Continuing to invest in new, young talent will more than ever be a cornerstone of Belfius' HR strategy. In 2019, both at Belfius Bank and at Belfius Insurance, natural attrition was 6.13% and 10.89% respectively. For both Belfius Bank and Belfius Insurance, this figure decreased slightly.

Movements in the number of "departures" per age group in the consolidated Belfius group, excl. transfers between entities⁽¹⁾

Year	Age group	Male	Female	Total
2017	20-29	20	21	41
	30-39	23	18	41
	40-49	14	24	38
	50-59	28	30	58
	60 and +	105	45	150
TOTAL 2017		190	138	328
2018	20-29	27	19	46
	30-39	35	35	70
	40-49	28	23	51
	50-59	31	36	67
	60 and +	110	78	188
TOTAL 2018		231	191	422
2019	20-29	26	22	48
	30-39	45	31	76
	40-49	21	16	37
	50-59	29	31	60
	60 and +	106	50	156
TOTAL 2019		227	150	377
GRAND TOTAL		648	479	1,127

(1) All of the figures relating to staff are for the "active" headcount (unless stated otherwise), i.e. excluding employees taking early retirement, on long-term sick leave, full-time time credits, on secondment.

Movements in natural attrition in Belfius Bank and Belfius Insurance. i.e. Number of departures in year N / (# headcounts at 31/12 for year N-1 + # headcounts at 31/12 for year N) / 2⁽¹⁾

	2017	2018	2019
Belfius Bank	5.26%	6.53%	6.13%
Belfius Insurance	12.41%	11.90%	10.89%

(1) All types of departures taken into account, including pension leaves, death, and transfers to other companies.

2.5 Internal Mobility

The changes in our environment, including new technologies, digitalisation, departures for early retirement, etc., require a fair amount of flexibility from our employees. People no longer embark on a "job for life" and being able to reinvent and reorient themselves has become the basis for a sustainable career. One of the ways in which this is achieved is by evolving as employee towards a new role / function within the company. As an employer, Belfius offers a wide range of jobs, both centrally and locally, providing extensive job opportunities to potential job-applicants. In 2019, 295 employees switched jobs within the organisation (vs. 251 in 2018 and 158 in 2017).

Movements in the average number of days' training per full-time equivalent (Belfius Bank and Belfius Insurance)⁽¹⁾

	2017	2018	2019
Belfius Bank	4.42	7.00	7.96
Belfius Insurance	5.29	5.00	5.49

(1) These figures include the number of training courses actually registered in our systems, as well as alternative forms of training, such as "on-the-job courses".

3. Investing in our talents

In a rapidly changing environment, the importance of "lifelong learning" can not be emphasised enough. It is Belfius' firm belief that lifelong learning is an employee's best guarantee of staying ahead of new developments (e.g. new technologies, new jobs/roles ...). As a result, Belfius provides its employees with the means they need to be able to keep investing in their personal development and, in doing so, to give them the opportunity to adjust to the changing needs of the business and its customers.

In terms of "life-long learning", Belfius has everything "in-house" to offer talented employees the necessary training resources to continue their own self-development and/or to give their career a new direction. In 2019, Belfius Bank recorded an average of 7.96 days of training for each full-time equivalent employee. The figure for Belfius Insurance was 5.49 days.

4. Continuing to invest in well-being

Our employees are our most important asset and employees who feel as though they are doing a good job really make the difference. As a modern and attractive employer Belfius has therefore invested in an innovative working environment for its employees in recent years.

4.1. A structured approach to well-being

Belfius even goes beyond this and aims to work proactively to promote the overall wellbeing of its employees. One of the initiatives introduced for make this happen relates to a structured approach to wellbeing for employees. This initiative consists of two parts:

- A "wellbeing tool" that each employee is able to use at specific times. Based on a detailed questionnaire (focusing on the work-related and personal context of the employee), this tool proactively identifies "wellbeing risks" by way of a personal report. It also provides tips and practical tools for taking action, in addition to a barometer gauging personal and professional resilience. A second survey was conducted in 2019 to which 51% of all employees responded on a voluntary basis. This survey built on the results of the 2018 survey, i.e. identifying the major stress factors: perfectionism, hyper-connectivity and workload. Once the survey was complete, each of the participants received an individual, personalised report with the details of his or her own results.
- The Employee Assistance Programme (EAP). This programme ensures that employees are able to access a "coach" at any time – anonymously, if they wish. By doing this, people who find themselves in difficulties (for work-related or personal reasons) can be supported proactively.

4.2. Absenteeism

Over the years the level of absenteeism has remained relatively stable at Belfius. For Belfius Bank there was an absenteeism rate of 4.49% compared to 4.12% in 2018 and 2017. For Belfius Insurance, the absenteeism rate was 5.67% in 2019, compared with 5.76% in 2018 and 5.37% in 2017.

5. Aiming for authenticity and diversity

The diversity policy at Belfius is focused on giving every employee the opportunity to develop his or her talents and is based on 3 cornerstones: gender, generations and personality type.

5.1. Gender

Regarding gender diversity, Belfius is aiming to achieve a more gender-balanced organisation. Gender balance on Boards of Directors is determined by law⁽¹⁾, but it has been Belfius' wish to extend this balance to all levels within the organisation. That is why the Diversity Steering Committee was created, which ensures the monitoring and practical interpretation of this objective.

In 2019 almost one in three of all managers were women. Within the management population the number of female managers rose to 32.2% in 2019. The same can be said for the Senior Management population, with women representing 33.1% overall at the end of 2019. While we can be proud of this positive trend, Belfius has set the bar even higher and will aim for an overall minimum representation of 44% of women at all levels of the organisation by the end of 2025.

Gender breakdown among members of the Board of Directors of Belfius Bank.

2018			2019		
# directors	of whom women	% female	# directors	of whom women	% female
15	3	20%	15	5	33%

5.2. Generations

At Belfius we strongly believe in the overall sum of the individual abilities, skills and experience of our employees. This diversity among the generations is what makes Belfius such a strong brand. With the 2-day "Bridge Builders" seminar, Belfius shines the spotlight on the added value of collaboration between the generations. This initiative builds bridges both between the different generations (by allowing younger and more experienced employees to work together on specific topics) and between Belfius and the outside world (by working together with social sector institutions in Brussels). In 2019, three Bridge Builders sessions were held, attended by 120 employees.

5.3. Personality types

The third cornerstone concerns the diversity of styles and personalities. Belfius is convinced that teams made up of people with different personalities, talents and backgrounds perform better. That is why Belfius invests in training courses such as "Discover Your Colours", "Emotionally Intelligent Communication" and "Boost Your Creative Skills", in which participants not only get to know themselves better, but also learn to communicate and work with colleagues and customers, taking each other's personalities into account.

(1) By 1 January 2019, at least one-third of the members of the Board of Directors appointed by the Belgian State or by a company controlled by the Belgian State are expected to be of a different gender than the other members (see Table Gender breakdown among members of the Board of Directors of Belfius Bank).

Camille Gillon
Chief Human Resources Officer

“ ”
The wide range of talents at Belfius gives an extra boost to the successful realization of our strategy.





Financial results

Preliminary notes to the consolidated financial statements

1. Changes to the scope of consolidation

Belfius Insurance further extended its commercial offering beyond insurance by launching two new entities; Jaimy and Jane (The latter was called Charlin at initial start-up).

Jaimy was commercially launched in the second half of 2019 and provides an online platform where users can request small home repairs. In March 2019 additional share capital was issued for a value of EUR 11.6 million. The additional shares were issued to Belfius Insurance and Boston Consulting Group. Boston Consulting Group bought the shares for cash, whereas Belfius Insurance received additional shares for contributing in-house developed software used by the platform. The stake of Belfius Insurance in Jaimy decreased from 100% to 78.5% as a result of this capital increase.

Jane was commercially launched at the end of 2019 and provides a sensor enabled monitoring solution that allows the elderly to stay longer in their own homes without special assistance. In March 2019 additional share capital was issued for a value of EUR 15.1 million. The additional shares were issued to Belfius Insurance and Boston Consulting Group. Boston Consulting Group bought the shares for cash, whereas Belfius Insurance received additional shares for contributing in-house developed software used by the platform. The stake of Belfius Insurance decreased from 100% to 77.4% as a result of this capital increase.

The real estate company Immo Trèfles, a company specialized in retirement homes, was purchased by Belfius Insurance and is fully consolidated since December 2019.

In line with the Belfius strategy to centralise and commercialise its core innovation development as close as possible to its core operations, the companies Spencr and Smart Belgium Services were liquidated in 2019.

The investment company Belfius Insurance Invest merged with Belfius Insurance as from 1 July 2019, allowing for a more flexible liquidity management of the declining asset portfolio.

The investment in Team Cyclis, a bicycle leasing company, is consolidated through the equity method as from 2019 in accordance with the shares held by Belfius Bank in this company.

The investment company Auxipar changed its name to Capline on 4 February 2020.

2. Fundamentals of the consolidated financial statements

The consolidated financial statements of Belfius are prepared on a going concern basis in accordance with the International Financial Reporting standards as adopted by the EU.

Preliminary remarks

As from 1 January 2019, the IFRS 16 standard on lease accounting became applicable and has replaced IAS 17. IFRS 16 fundamentally changes the manner in which lessees account for leases by introducing a single lessee accounting model. The adoption of IFRS 16 by lessors retains the former IAS 17 lease accounting treatment.

In line with the transitional provisions, Belfius, as a lessee, used the modified retrospective application and has exempted lease agreements for which the lease term ends within 12 months. Accordingly, Belfius did not restate comparative information and recognized the cumulative effect of initially applying IFRS 16 as an adjustment to the opening balance of retained earnings.

At the date of initial application, a right-of-use asset and a lease liability were recognised in the balance sheet with a limited negative impact of EUR 2.8 million in retained earnings. The right-of-use assets are measured as if IFRS 16 had been applied since the start date of the lease contracts.

“ ”

Since 2012, Belfius has consistently followed a strict development path of solidifying its financials.

Peter De Baere
Head of Financial Communication



Analysis of the consolidated balance sheet

Synoptic Consolidated balance sheet

(In millions of EUR)	31/12/18	Contribution Bank into group ⁽¹⁾	Contribution Insurance into group ⁽¹⁾	31/12/19	Contribution Bank into group ⁽¹⁾	Contribution Insurance into group ⁽¹⁾	Evolution
TOTAL ASSETS	164,165	146,356	17,810	172,439	154,215	18,225	+8,274
Of which							
Cash and balances with central banks	8,314	8,314	0	6,716	6,716	0	-1,598
Loans and advances due from credit institutions	13,107	13,073	34	16,208	16,169	39	+3,101
A. Measured at amortised cost	13,107	13,073	34	16,208	16,169	39	+3,101
Loans and advances	91,123	87,054	4,069	94,944	90,440	4,504	+3,822
A. Measured at amortised cost	89,302	85,271	4,031	93,391	88,913	4,479	+4,089
C. Measured at fair value through profit or loss	1,820	1,783	37	1,553	1,528	25	-267
Debt securities & equity instruments	28,569	16,739	11,830	29,490	17,591	11,898	+921
A. Measured at amortised cost	21,611	15,671	5,939	22,476	16,443	6,034	+866
B. Measured at fair value through other comprehensive income	5,216	217	4,999	5,257	216	5,041	+41
C. Measured at fair value through profit or loss	1,742	850	892	1,756	933	823	+14
Unit linked products insurance activities	2,838	0	2,838	3,671	0	3,671	+833
Derivatives	12,768	12,739	28	13,305	13,304	1	+537
TOTAL LIABILITIES	154,206	136,849	17,356	161,933	144,515	17,419	+7,728
Of which							
Cash and balances from central banks	3,962	3,962	0	4,017	4,017	0	+54
Credit institutions borrowings and deposits	5,867	5,810	56	5,819	5,802	18	-47
A. Measured at amortised cost	5,867	5,810	56	5,819	5,802	18	-47
Borrowings and deposits	79,661	79,661	0	85,450	85,450	0	+5,789
A. Measured at amortised cost	79,610	79,610	0	85,397	85,397	0	+5,787
B. Measured at fair value through profit or loss	52	52	0	53	53	0	+1
Debt securities issued and other financial liabilities	26,687	26,687	0	27,655	27,654	1	+968
A. Measured at amortised cost	19,275	19,275	0	19,342	19,341	1	+67
B. Measured at fair value through profit or loss	7,412	7,412	0	8,313	8,313	0	+901
Unit linked products insurance activities	2,838	0	2,838	3,671	0	3,671	+833
Derivatives	17,740	17,740	0	18,630	18,626	4	+890
Provisions for insurance activities	13,908	0	13,908	13,180	0	13,180	-728
Subordinated debts	1,219	1,219	0	1,157	1,157	0	-62
A. Measured at amortised cost	1,219	1,219	0	1,157	1,157	0	-62
TOTAL SHAREHOLDERS' EQUITY	9,446	9,009	437	9,984	9,203	781	+538
Of which							
Shareholders' core equity	9,055	8,897	158	9,348	9,141	208	+293
Gains and losses not recognised in the statement of income	392	112	279	636	62	573	+244
TOTAL EQUITY	9,960	9,506	453	10,506	9,700	806	+546
of which							
Total shareholders' equity	9,446	9,009	437	9,984	9,203	781	+538
Additional Tier-1 instruments included in equity	497	497	0	497	497	0	0
Non-controlling interests	16	0	16	25	0	25	+9

(1) Information based on non-audited figures

Total assets increased by EUR 8.3 billion, or 5.0%, from EUR 164.2 billion for the year ended 31 December 2018 to EUR 172.4 billion as at 31 December 2019. The total assets are composed of EUR 154.2 billion for Belfius' Banking Group (compared to EUR 146.4 billion at 31 December 2018) and EUR 18.2 billion for Belfius Insurance (compared to EUR 17.8 billion at 31 December 2018). These amounts represent the contribution of Belfius' Banking Group and Belfius Insurance to the consolidation scope and do not reflect their respective stand alone total assets.

The increase of the balance sheet total is particularly stemming from the loan portfolio thanks to higher volumes in mainly mortgage loans and term loans, as well as from the bond portfolio following investments in corporate and government bonds. In addition, an increase in “Derivatives” can be noted as a result of lower interest rates compared to year-end 2018, as well as in the corresponding collateral in “Loans and advances due from credit institutions”. The effect of the lower interest rates was partially compensated by additional balance sheet offsetting due to additional clearing with London Clearing House (LCH) following the reassignment of certain bilateral transactions and compression exercises. Furthermore, an increase in funding sources can be noted in “Deposits”.

1. Assets

1.1. Cash and balances with central banks

Cash and balances with central banks decreased by EUR 1.6 billion, or 19.2%, to EUR 6.7 billion as at 31 December 2019, compared to EUR 8.3 billion as at 31 December 2018. In view of its liquidity management Belfius deposits part of its cash at the National Bank of Belgium.

1.2. Loans and advances due from credit institutions

Loans and advances due from credit institutions increased with EUR 3.1 billion, or 23.7%, to EUR 16.2 billion as at 31 December 2019 compared to EUR 13.1 billion as at 31 December 2018. The increase in reverse repurchase agreements of EUR 2.7 billion and cash collateral paid of EUR 0.5 billion, in line with the fair value evolution of derivatives, was partially compensated by the additional clearing of derivatives with LCH following the reassignment of certain bilateral transactions and compression exercises, resulting in an additional offsetting on the balance sheet.

1.3. Loans and advances

Loans and advances increased by EUR 3.8 billion, or 4.2%, to EUR 94.9 billion as at 31 December 2019, compared to EUR 91.1 billion as at 31 December 2018 stemming from an increase in commercial assets of EUR 3.9 billion (mainly mortgage loans and term loans) in line with our strategy to further develop our commercial franchise and to support the Belgian economy.

Note that certain loans do not pass the SPPI-test and are therefore measured at fair value through profit or loss. It mainly concerns loans to the public and social sector with specifically structured interest rate features.

The asset quality ratio, indicating the ratio between impaired (stage 3) loans and advances and the gross outstanding loans and advances, decreased slightly from 2.05% at 31 December 2018 to 1.96% at 31 December 2019. (See chapter on Risk for additional information)

1.4. Debt securities and equity instruments

The debt securities and equity instruments portfolio amounts in Belfius' Banking Group to EUR 17.6 billion (versus EUR 16.7 billion at 31 December 2018) and in Belfius Insurance to EUR 11.9 billion (versus EUR 11.8 billion at 31 December 2018).

The debt securities measured at amortised cost increased with 0.9 billion or 4.0% to 22.5 billion as at 31 December 2019 compared to EUR 21.6 billion as at 31 December 2018 following investments in corporate bonds within the liquidity portfolio at Belfius Bank as well as reinvestments in government bonds at Belfius Insurance.

The financial assets measured at fair value through other comprehensive income slightly increased to EUR 5.3 billion as at 31 December 2019 compared to EUR 5.2 billion as at 31 December 2018. The financial assets decreased due to redemptions and sale of certain Belgian government bonds, in order to amongst others, manage the duration gap and to decrease the concentration risk within the balance sheet of Belfius Insurance as well as sales of equity instruments. This decrease was more than offset by positive fair value adjustments on debt and equity instruments following

lower interest rates, lower credit spreads and improved stock markets compared to year-end 2018.

The debt securities measured at fair value through profit or loss slightly increased to EUR 1.8 billion as at 31 December 2019 compared to EUR 1.7 billion as at 31 December 2018.

1.5. Unit linked products insurance activities

Unit linked products within our insurance activities (Branch 23) increased with EUR 0.8 billion, or 29.4%, to EUR 3.7 billion as at 31 December 2019 compared to EUR 2.8 billion as at 31 December 2018, resulting from transfers of client investments from Branch 21 contracts coming to maturity, net new cash and positive fair value evolution.

1.6. Derivatives

Derivatives increased by EUR 0.5 billion, or 4.2%, to EUR 13.3 billion as at 31 December 2019, compared to EUR 12.7 billion as at 31 December 2018, stemming from the lower interest rate environment compared to year-end 2018. The effect of the lower interest rates was partially compensated by additional clearing of derivatives with LCH following the reassignment of certain bilateral transactions and compression exercises, resulting in an additional offsetting on the balance sheet. Note that the total LCH offsetting amounted to EUR 7.2 billion end 2019, compared to EUR 6.6 billion end 2018.

2. Liabilities

Total liabilities increased by EUR 7.7 billion, or 5.0%, to EUR 161.9 billion as at 31 December 2019, compared to EUR 154.2 billion as at 31 December 2018. An increase in funding sources can be noted in "Deposits" and "Debt securities issued". Furthermore, an increase in "Derivatives" can be noted, following the lower interest rate environment compared to year-end 2018, partially compensated by additional clearing of derivatives with LCH following the reassignment of certain bilateral transactions and compression exercises, resulting in an additional offsetting on the balance sheet.

2.1. Cash and balances from central banks

Cash and balances from central banks remained stable at EUR 4.0 billion as at 31 December 2019.

2.2. Credit Institutions borrowings and deposits

Credit Institutions borrowings and deposits decreased with EUR 0.1 billion, or 0.8%, to EUR 5.8 billion as at 31 December 2019 compared to EUR 5.9 billion as at 31 December 2018, stemming from a decrease in term deposits.

2.3. Borrowings and deposits

Borrowings and deposits increased by EUR 5.8 billion, or 7.3%, to EUR 85.5 billion as at 31 December 2019, compared to EUR 79.7 billion as at 31 December 2018. The increase in customer borrowings and deposits was mainly due to the organic growth of savings and sight accounts.

2.4. Debt securities issued and other financial liabilities

Debt securities issued and other financial liabilities increased with EUR 1.0 billion, or 3.6%, to EUR 27.7 billion as at 31 December 2019 compared to EUR 26.7 billion as at 31 December 2018.

The debt securities measured at amortised cost increased by EUR 0.1 billion, or 0.3%, to EUR 19.3 billion as at 31 December 2019 compared to EUR 19.3 billion as at 31 December 2018, due to an increase of EUR 1.1 billion certificates of deposit, partially offset by the maturity of EUR 0.6 billion covered bonds and EUR 0.5 billion other debt securities.

The debt securities measured at fair value through profit and loss increased with EUR 0.9 billion, or 12.2%, to EUR 8.3 billion as at 31 December 2019 compared to EUR 7.4 billion as at 31 December 2018, following new issuances of (structured) debt securities for retail customers, partially offset by maturities.

2.5. Derivatives

Derivatives increased by EUR 0.9 billion, or 5.0%, to EUR 18.6 billion as at 31 December 2019, compared to EUR 17.7 billion as at 31 December 2018 stemming from the low interest rate environment compared to year-end 2018. The effect of the lower interest rates was partially compensated by additional clearing of derivatives with LCH and compression exercises resulting in an additional offsetting on the balance sheet. Note that the total LCH offsetting amounted to EUR 7.2 billion end 2019, compared to EUR 6.6 billion end 2018.

2.6. Provisions for insurance activities

Provisions for Life insurance activities decreased with EUR 0.7 billion, to EUR 11.9 billion as at 31 December 2019 compared to EUR 12.6 billion as at 31 December 2018. In the current low interest rate environment, Belfius notes a constant shift from

Branch 21 products towards alternative investment products such as Branch 23 or Branch 44 (a combination of Branch 21 and Branch 23) products. As a result, a substantial part of the Branch 21 investment contracts coming at maturity are not reinvested in new Branch 21 investment contracts. Furthermore, for the segregated funds Life managed by Belfius insurance shadow accounting was recognised in 2019 for EUR 28 million (after tax), an increase of EUR 13 million (after tax) compared to last year mainly due to lower interest rates, lower credit spreads and improved stock markets.

The technical provision for Non-Life products increased slightly with EUR 22 million to EUR 1.3 billion as at 31 December 2019 mainly due to an increase in the claims provisions stemming from the growth in the portfolio and some additional IBNR-reserves within PCI, partially offset by a release of EUR 5 million in line with the Non-Life Risk Appetite Framework.

2.7. Subordinated debts

Subordinated debts decreased by EUR 0.1 billion, or 5.1%, to EUR 1.2 billion as at 31 December 2019, compared to EUR 1.2 billion as at 31 December 2018, stemming from the repayment of subordinated debts coming to maturity for EUR 66 million. Belfius also anticipated on new regulatory requirements (CRR2) and substituted two debts formerly issued by Belfius Financing Company by Belfius Bank issues, whereby the debt was repaid and reissued for an amount of EUR 165 million.



Total equity capital approaching EUR 10 billion for the first time.

3. Equity

Total equity increased by EUR 546.4 million, or 5.5%, to EUR 10.5 billion as at 31 December 2019 compared to EUR 10.0 billion as at 31 December 2018. The increase was mainly due to the profit for the period of EUR 667 million. This was partially offset by the payment of the full year 2018 dividend of EUR 363 million (of which EUR 100 million was already paid as interim dividend in the second half of 2018) and an interim dividend of EUR 100 million on the 2019 profits paid in August. Furthermore, gains and losses not recognised in the statement of income increased with EUR 244 million following the low interest rate environment, lower credit spreads in general and improved equity markets compared to year-end 2018.

3.1. Shareholders' core equity

Shareholders' core equity increased with EUR 293.5 million, or 3.2%, to EUR 9.3 billion as at 31 December 2019 compared to EUR 9.1 billion as at 31 December 2018. The increase was mainly due to the profit for the period of EUR 667 million. This was partially offset by payment of the remaining balance with respect to the full year 2018 dividend of EUR 363 million (of which EUR 100 million was already paid as interim dividend in the second half of 2018) and an interim dividend of EUR 100 million on the 2019 profits paid in August. The realised results on disinvestments of equity instruments are accounted for directly in retained earnings. A total of EUR 5 million (after tax) of realised gains on such transactions was reported in 2019 (mainly at Belfius Insurance).

3.2. Gains and losses not recognised in the statement of income

Gains and losses not recognised in the statement of income increased by EUR 244.1 million, or 62.3%, to EUR 635.6 million as at 31 December 2019 compared to EUR 391.5 million as at 31 December 2018. The contribution of the Belfius' Banking Group amounted to EUR 62 million (a decrease of EUR 50 million) and of Belfius Insurance to EUR 573 million (an increase of EUR 294 million).

The fair value of debt instruments measured at fair value through other comprehensive income increased with EUR 118 million, or 54.1%, to EUR 337 million as at 31 December 2019 compared to EUR 219 million as at 31 December 2018. This positive movement stems from lower interest rates and lower credit spreads compared to last year, partially offset by realised gains resulting from sales by Belfius Insurance.

The fair value of equity instruments measured at fair value through other comprehensive income increased with EUR 188 million, or 250.1%, to EUR 263 million as at 31 December 2019 compared to EUR 75 million as at 31 December 2018 due to improved stock markets. For the segregated funds Life managed by Belfius Insurance, shadow accounting was recorded for EUR 28 million (after tax), an increase of EUR 13 million compared to last year.

Gains (losses) on cash flow hedges decreased with EUR 95 million to EUR -82 million as at 31 December 2019 compared to EUR 14 million as at 31 December 2018 mainly due to evolution of basis spreads on derivative positions in GBP and USD.

The remeasurement of defined benefit plans increased with EUR 42 million, or 100.0%, to EUR 84 million as at 31 December 2019 compared to EUR 42 million as at 31 December 2018 mainly due to:

- the positive return on plan assets and the remeasurement of a pension plan for which Belfius is now informed again of the fair value of the underlying asset portfolio of the segregated fund,
- change in pension plans parameters and
- decrease in inflation rate.

This increase was partially offset by a lower discount curve compared to end 2018.

The discretionary participation feature of insurance contracts decreased to EUR 33 million as at 31 December 2019 compared to EUR 42 million as at 31 December 2018. The total amount of future profit sharing amounts to EUR 150 million. As at 31 December 2019, an amount of EUR 103 million was recorded through the statement of income compared to EUR 122 million at year end 2018. The remaining EUR 33 million (after tax) is accounted via equity.

3.3. Additional Tier-1 instruments included in equity

There is no variation in the value of the additional Tier 1 issue.

Analysis of the consolidated statement of income

Synoptic consolidated statement of income

(In millions of EUR)	31/12/18	Contribution Bank into group ⁽¹⁾	Contribution Insurance into group ⁽¹⁾	31/12/19	Contribution Bank into group ⁽¹⁾	Contribution Insurance into group ⁽¹⁾	Evolution
INCOME	2,361	1,862	499	2,489	1,967	522	+5.4%
Of which							
Net interest income	1,872	1,448	424	1,900	1,488	412	+1.5%
Net income from financial instruments at fair value through profit or loss	(11)	12	(23)	96	97	(1)	-
Net income on investments and liabilities	122	45	76	53	(4)	57	-56.3%
Net fee and commission income	556	537	19	580	563	16	+4.3%
Technical result from insurance activities	(54)	0	(54)	(20)	0	(20)	-62.9%
Other income and expense	(196)	(193)	(3)	(196)	(200)	4	-0.1%
EXPENSES	(1,426)	(1,195)	(231)	(1,452)	(1,205)	(247)	+1.9%
GROSS INCOME	935	667	269	1,036	762	275	+10.8%
Impairments on financial instruments and provisions for credit commitments	(66)	(69)	2	(111)	(118)	7	+67.8%
Impairments on tangible and intangible assets	(2)	(2)	0	(7)	(1)	(5)	+218.3%
NET INCOME BEFORE TAX	867	596	271	918	642	276	+5.9%
Tax (expense) income	(217)	(151)	(65)	(252)	(181)	(71)	+16.1%
Attributable to non-controlling interests	1	0	1	(1)	0	(1)	-244.8%
NET INCOME GROUP SHARE	649	445	205	667	461	207	+2.8%

(1) Information based on non-audited figures

1. Income

Belfius total income increased with EUR 127.4 million, or 5.4%, to EUR 2,489 million for the year ended 31 December 2019, compared to EUR 2,361 million for the year ended 31 December 2018. Belfius Banking Group contributed EUR 1,967 million compared to EUR 1,862 million for the year ended 31 December 2018, and Belfius Insurance contributed EUR 522 million compared to EUR 499 million for the year ended 31 December 2018.

1.1. Net interest income

Net interest income increased by EUR 28.6 million, or 1.5%, to EUR 1,900 million for the year ended 31 December 2019 from EUR 1,872 million for the year ended 31 December 2018 mainly thanks to higher volumes in commercial assets combined with a strict pricing discipline despite the pressure of the lower interest rate environment especially on non maturing deposits interest margins, as well as lower outstandings in Branch 21 and reinvestments at lower market yields.

1.2. Net income from financial instruments measured at fair value through profit or loss

Net income from financial instruments measured at fair value through profit or loss increased with EUR 106.8 million to EUR 96.1 million for the year ended 31 December 2019, compared to EUR -10.7 million for the year ended 31 December 2018.

The net result from financial instruments was positively impacted by improved hedge efficiencies as well as benign spread environment, leading to positive fair value adjustments as well as a positive evolution on financial instruments non-trading but mandatorily measured at fair value through profit or loss such as funds and non SPPI compliant structured loans.

Note that in 2018, the net income from financial instruments at fair value through profit or loss was negatively impacted by basis risks (reflected in the net result of hedge accounting), partially offset by positive net trading income.

Belfius is managing basis risks through additional derivatives (economic hedges for basis risks) for which no hedge accounting is set up.

1.3. Net income on investments and liabilities

Net income on investments and liabilities decreased by EUR 68.5 million, or 56.3%, to EUR 53.1 million for the year ended 31 December 2019, compared to EUR 121.7 million for the year ended 31 December 2018.

In 2018 the net income on investments and liabilities was mainly impacted by the sale of the equity stake of Belfius in "NEB Participations" with realised gain of EUR 23.6 million, and the revaluation of its historical stake in Auxipar (now called Capline) following step up acquisition, with revaluation impact of EUR 23 million. Belfius Insurance realised in 2018 capital gains on divestments in bonds for EUR 60 million, part of these capital gains (EUR 25 million) were realized following the settlement of a segregated fund and are almost entirely compensated by an opposite movement in the technical result from insurance activities Life. The Belfius' Banking Group realized in 2018 a gain of EUR 10 million following the sale of certain Italian government bond and swap packages, for a notional amount of EUR 0.8 billion, in line with Belfius' objective to decrease its related concentration risk.

In 2019, Belfius Insurance realised EUR 57 million of gains mainly on the sale of bonds in order to amongst others manage its duration gap and to somewhat decrease its concentration risk on Belgian government bonds.

1.4. Net fee and commission income

Net fee and commission income increased with EUR 23.9 million, or 4.3%, to EUR 579.6 million for the year ended 31 December 2019, compared to EUR 555.7 million for the year ended 31 December 2018. The increase was principally attributed to an increase in commission income on payment services, asset management fees and insurance activity. The commission income on insurance and credit activity was positively impacted by the growth in mortgage loans.

1.5. Technical result from insurance activities

Technical result from insurance activities Life and Non-Life improved with EUR 33.9 million to a loss of EUR 19.9 million for the year ended 31 December 2019, compared to a loss of EUR 53.9 million for the year ended 31 December 2018.

The technical result from insurance activities Life improved with EUR 29 million. The allocation of technical interests decreased with EUR 37 million due to the declining outstanding in Life Branch 21 and a decreasing average guaranteed interest rate on the remaining volumes. In 2018, Belfius assessed the Life technical provisions, in line with the Life Risk Appetite Framework, taking into account the remaining uncertainties, model risks and sensitivities, and a positive P&L impact of EUR 45 million was recognised. Over 2019 the same and continuously performed reassessment resulted in no P&L impact. Note that in 2018, the technical result Life was negatively impacted following the settlement of a segregated fund, offset by an opposite movement in the net income on investments and liabilities.

“ ”
Growing
bank-insurance
franchise
leads to well
diversified
income.



Cost-income
ratio
at 58.4%

In Non-Life, the technical margin improved with EUR 5 million. The cost for natural catastrophes increased over 2019 by EUR 11 million. This evolution was more than offset by an overall good loss result in the second half year in Retail & Commercial Non-Life insurance activities. Following the reassessment of the technical provisions Non-Life in line with the decrease of uncertainties above our Non-Life Risk Appetite Framework, EUR 5 million release of claims provisions was booked in 2019 compared to EUR 10 million in 2018. The negative evolution in some branches Non-Life is mainly explained by large claims and additional reserving in existing claims in PCI Non-Life, an activity in which the portfolio formerly distributed through the broker and bank distribution channel was put in run-off.

1.6. Net other income and expenses

Net other income and expenses remained stable at a loss of 195.9 million for the year ended 31 December 2018. Belfius has recognised an expense of EUR 222 million in 2019 as sector levies (including the contribution to the Single Resolution Board), in line with the expense booked in 2018. Belfius has opted in the past to pay part of its contribution to the Single Resolution Fund through an Irrevocable Payment Commitment. This payment commitment was fully covered by cash collateral. Belfius has recorded EUR 17.5 million in its off balance sheet accounts (stable compared to 2018). The provision for potential settlements of ongoing disputes with third parties has increased with EUR 16 million due to a larger scope of clients involved.

2. Expenses

Expenses increased by EUR 26.6 million, or 1.9%, to EUR 1,452 million for the year ended 31 December 2019, compared to EUR 1,426 million for the year ended 31 December 2018 stemming from further investments in human capital, digitalization and innovation efforts, and new activities such as Jaimy and Jane, in line with Belfius' development strategy. Belfius combines this with a strict cost control in other domains, leading overall to a continued controlled increase of the costs.

2.1. Staff expense

Staff expense increased by EUR 22.0 million, or 3.6%, to EUR 636.8 million for the year ended 31 December 2019, compared to EUR 614.7 million for the year ended 31 December 2018. This increase was mainly driven by important investments in human capital related to the development of new activities, combined with a strict cost control program. Furthermore a restructuring provision for the transformation plan in line with Belfius development program amounting to EUR 22 million was recognized as of 31 December 2019. Note that in 2018 a restructuring provision of EUR 11 million was recognized.

2.2. General and administrative expense

General and administrative expense decreased by EUR 8.4 million, or 1.7%, to EUR 488.5 million for the year ended 31 December 2019, compared to EUR 496.9 million for the year ended 31 December 2018. This decrease was mainly driven by strict cost control.

2.3. Network costs

Network costs decreased by EUR 6.9 million, or 3.2%, to EUR 212.2 million for the year ended 31 December 2019, compared to EUR 219.1 million for the year ended 31 December 2018, in line with Belfius' continuously slightly decreasing network footprint.

2.4. Depreciation and amortisation of fixed assets

Depreciation and amortisation of fixed assets increased by EUR 19.9 million, or 20.9%, to EUR 114.9 million for the year ended 31 December 2019, compared to EUR 95.0 million for the year ended 31 December 2018. Following continuous investments in digitalization and innovation as well as the renewal of the core banking and insurance applications, more own development costs are being activated resulting in increased amortisations of intangible assets. Note that EUR 5 million on depreciation of right-of-use assets has been recognised in 2019 as a result of the first time application of IFRS 16.

3. Gross income

Gross income increased by EUR 100.8 million, or 10.8%, to EUR 1,036 million for the year ended 31 December 2019, compared to EUR 935.4 million for the year ended 31 December 2018. Belfius' Banking Group contributed EUR 762 million (compared to EUR 667 million for the year ended 31 December 2018) and Belfius Insurance EUR 275 million (compared to EUR 269 million for the year ended 31 December 2018).

4. Impairments on financial instruments and provision for credit commitments

Impairments on financial instruments and provision for credit commitments increased by EUR 45.0 million, to EUR 111.4 million for the year ended 31 December 2019, compared to EUR 66.4 million for the year ended 31 December 2018. The impairment cost of 2018 was positively impacted from reversals from the sale of certain Italian government bonds in line with Belfius' objective to decrease its related concentration risk as well as from portfolio management and positive evolutions in credit files. In 2019 the impairment cost was negatively impacted as additional impairments were recorded on a limited number of corporate files that entered stage 3 especially during H2 2019. Stage 1 impairment increased with EUR 33 million in 2019 mainly following the continuous development of Belfius' commercial franchise.

5. Net income before tax

Net income before tax increased by EUR 51.1 million, or 5.9%, to EUR 918.0 million for the year ended 31 December 2019, compared to EUR 866.9 million for the year ended 31 December 2018. Belfius' Banking Group contributed EUR 642 million (compared to EUR 596 million in 2018) and Belfius Insurance EUR 276 million (compared to EUR 271 million in 2018).

6. Tax expense

The tax expense including deferred taxes increased with EUR 35.0 million, or 16.1%, to EUR 251.9 million for the year ended 31 December 2019, compared to EUR 216.9 million for the year ended 31 December 2018.

Mainly given the higher taxable profit in entities of Belfius and the lower amount of non taxable capital gains, an increase of the effective tax rate to 27.4% can be noted in 2019, compared to 25.0% in 2018.

7. Net income group share

Total group result amounted to EUR 666.1 million, minority interests amounted to EUR -1.3 million. As a result, Belfius net income group share amounted to EUR 667.5 million for the year ended 31 December 2019, compared to EUR 649.0 million for the year ended 31 December 2018.

8. Dividend

The Board of Directors of 2 April 2020 has proposed to the General Assembly of 29 April 2020 an ordinary dividend of EUR 100 million in respect of the accounting year 2019, which was already paid through an interim dividend in 2019. Following the economic impacts of the outbreak of COVID-19, the Board of Directors proposes to the General Assembly to integrate the additional dividend of EUR 161 million (based on a pay-out ratio of 40%⁽¹⁾) in retained earnings, available for distribution once the impacts of the economic crisis following COVID-19 are more clear.

9. Solvency

9.1. Solvency at Bank level

CET 1 capital amounted to EUR 8,780 million, compared with EUR 8,329 million at the end of 2018. The increase in CET 1 capital of EUR 451 million results mainly from the inclusion of the net prudential result and the increase of the "gains and losses not recognized in the statement of income", partially offset by the correction for foreseeable dividend of EUR 164 million (calculated with an additional dividend based on a 40% pay-out ratio). See the table in the "Capital Management" chapter for additional info.

Please note that the World Health Organization (WHO) has declared the COVID-19 outbreak as a public health emergency of international concern in January 2020, weighing on global financial markets and global economic growth which may consequently have an impact on the financial position of Belfius.

As a consequence, Belfius has decided not to pay out an additional dividend of EUR 161 million but to integrate this result in retained earnings, available for distribution once the impacts of the economic crisis following COVID-19 are more clear. Note that an amount of EUR 100 million was paid in August 2019 as interim dividend over 2019 results.

As a result, a proforma calculation "limited to interim dividend" of the solvency metrics at the end of 2019 is performed; resulting in a CET 1 capital of EUR 8,941 million at the end of 2019 as only the remaining AT1 instrument coupon cost after tax is considered as foreseeable dividend.

Tier 1 capital amounted to EUR 9,277 million, compared to EUR 8,826 million at the end of 2018. The Tier 1 capital in the proforma "limited to interim dividend" amounts to EUR 9,438 million at the end of 2019.

At the end of 2019, regulatory risk exposure of Belfius amounted to EUR 56,398 million, an increase with EUR 4,333 million compared to EUR 52,065 million at the end of 2018.

(1) The pay-out ratio is the percentage of the net income group share of the current financial year that is paid out to the shareholder of the ordinary shares.

The regulatory credit risk⁽¹⁾ exposure including counterparty credit risk increased by EUR 3,611 million to EUR 42,543 million. This increase is mainly linked to an increasing stock of loans to the corporate and business banking segments as well as the increase in mortgage loans, especially in the second half of 2019.

The regulatory risk exposure for Danish Compromise slightly increased to EUR 6,868 million, mainly due to the variations of the exposure value of the underlying Tier 2 instruments of Belfius Insurance, subscribed by Belfius Bank.

The regulatory CVA exposure decreased with EUR 224 million to EUR 1,382 million thanks to additional hedges and market evolutions.

The regulatory market risk exposure decreased by EUR 486 million to EUR 1,315 million as a result of market evolutions.

Regulatory operational risk exposure slightly increased by EUR 165 million to EUR 3,140 million, in line with the increase in revenue.

In anticipation of a more stringent regulatory framework applicable from 2020 onwards, Belfius has - in accordance with article 3 of the CRR - included an additional regulatory risk exposure of EUR 1,150 million in its end 2019 solvency requirements.

There is no impact on the regulatory risk exposure in the proforma "limited to interim dividend" exercise at the end of 2019.

At the end of 2019, CET 1 ratio amounted to 15.6%, a decrease of 43 bps compared to the end of 2018. Note that this CET 1 ratio takes into account a prudential deduction for foreseeable dividend of EUR 164 million. In the proforma "limited to interim dividend" calculation, the CET 1 ratio amounts to 15.9% and the total capital ratio amounts to 19.2%.

The decrease in CET 1 ratio to 15.6% is the result of positive effects in CET 1 capital (+87 bps) offset by negative effects in total risk exposure (-130 bps). In the proforma "limited to interim dividend" calculation the CET 1 ratio decreases with 14 bps, the result of positive effects in CET 1 capital (+109 bps) offset by negative effects in total risk exposure (-123 bps).

The total capital ratio amounted to 18.9%, a decrease of 73 bps compared to end of 2018. In the proforma "limited to interim dividend" calculation the total capital ratio decreases with 45 bps.

More detailed information is provided in the "Capital management" chapter of this annual report.

9.2. Solvency at Insurer level

The Solvency II ratio of Belfius Insurance stood at 212% at the end of December 2019, before foreseeable dividend, slightly lower than the ratio as of December 2018.

This decrease is the consequence of the increase in SCR which was not fully compensated by a same proportionate increase in regulatory own funds.

More detailed information is provided in the "Capital management" chapter of this annual report.

(1) Regulatory Risk Exposure (RRE) also known as Risk Weighted Assets (RWA).

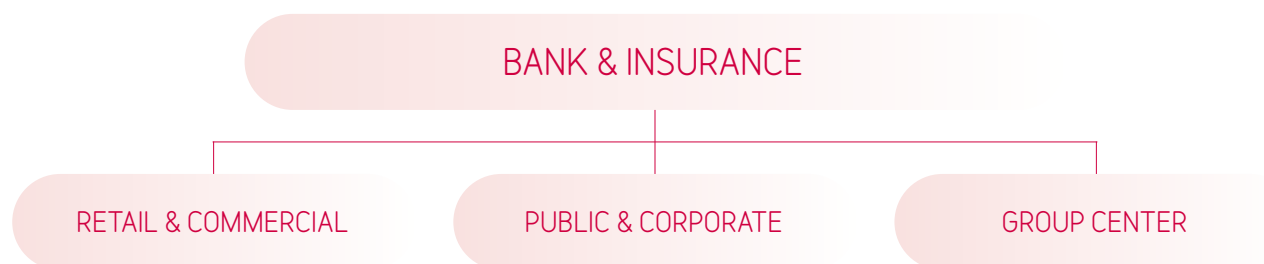




Segment reporting

Analytically, Belfius splits its activities and accounts in three segments: Retail and Commercial (RC), Public and Corporate (PC) and Group Center (GC); with RC and PC containing the key commercial activities of Belfius.

- **Retail and Commercial (RC)**, managing the commercial relationships with individual customers and with small & medium sized enterprises both at bank and insurance level.
- **Public and Corporate (PC)**, managing the commercial relationships with public sector, social sector and corporate clients both at bank and insurance level.
- **Group Center (GC)**, containing the residual results not allocated to the two commercial segments. This mainly consists of results from Bond and Derivative portfolio management.



Key figures of the segment reporting (unaudited)

Balance Sheet

(In billions of EUR)	31/12/18		
	Assets	Liabilities	Equity
Retail and Commercial	58.8	80.1	2.6
Public and Corporate	42.4	25.3	2.4
Group Center	63.0	48.9	4.9
TOTAL	164.2	154.2	10.0
of which banking group ⁽¹⁾	146.4	136.8	9.5
of which insurance group ⁽¹⁾	17.8	17.4	0.5

(In billions of EUR)	31/12/19		
	Assets	Liabilities	Equity
Retail and Commercial	63.3	84.3	2.8
Public and Corporate	43.4	25.7	2.7
Group Center	65.7	51.9	5.0
TOTAL	172.4	161.9	10.5
of which banking group ⁽¹⁾	154.2	144.5	9.7
of which insurance group ⁽¹⁾	18.2	17.4	0.8

(1) Note that the assets, liabilities and equity represent the contribution of the Belfius Insurance and Belfius Bank group to the consolidated balance sheet.

The assets and liabilities allocated to Retail and Commercial (RC) and Public and Corporate (PC) reflect the commercial activities of those business lines. Where RC shows an excess of funding, PC is more asset driven. As a whole, the commercial balance sheet shows a funding excess with a sound 94% loan to deposit ratio at the end of December 2019.

Note that there are no internal sales or purchases between segments, these assets and liabilities within a segment are those generated and originated by the business lines.

The equity allocated to Retail and Commercial and Public and Corporate is a normative regulatory equity. The normative regulatory equity of the business line is calibrated. The business line's CET 1-ratio is brought at 13.5% taking into account the regulatory risk exposures allocated to the business line and some CET 1 capital deductions allocated to the business line (to a very limited extent, since the most important part of CET 1 capital deductions are allocated to GC). The minimum operational CET 1-ratio 2019 was determined by the minimum CET 1-ratio of 10.82% together with a stress buffer of 2.68%.

Loan
to deposit ratio
at 94%

“ ”

Integrated bank-insurer
anchored in all segments of the
Belgian economy.

Key figures of the segment reporting (unaudited)

Statement of income

(In millions of EUR)	31/12/18			Total
	Retail and Commercial	Public and Corporate	Group Center	
INCOME	1,650	533	178	2,361
EXPENSES	(1,047)	(234)	(144)	(1,426)
GROSS OPERATING INCOME	603	299	33	935
Cost of risk	(54)	(24)	12	(66)
Impairments on (in)tangible assets	(1)	(1)	0	(2)
NET INCOME BEFORE TAX	548	274	45	867
Tax (expense) income	(139)	(66)	(11)	(217)
NET INCOME AFTER TAX	409	208	34	650
Non-controlling interests	0	0	1	1
NET INCOME GROUP SHARE	408	208	33	649
of which banking group	235	188	21	445
of which insurance group ⁽¹⁾	173	19	12	205

(In millions of EUR)	31/12/19			Total
	Retail and Commercial	Public and Corporate	Group Center	
INCOME	1,731	550	207	2,489
EXPENSES	(1,057)	(228)	(167)	(1,452)
GROSS OPERATING INCOME	674	322	40	1,036
Cost of risk	(37)	(77)	3	(111)
Impairments on (in)tangible assets	(8)	1	0	(7)
NET INCOME BEFORE TAX	630	246	42	918
Tax (expense) income	(169)	(67)	(16)	(252)
NET INCOME AFTER TAX	461	179	26	666
Non-controlling interests	(3)	0	1	(1)
NET INCOME GROUP SHARE	464	179	25	667
of which banking group	287	164	10	461
of which insurance group ⁽¹⁾	177	15	15	207

(1) Note that the statement of income represents the contribution of the Belfius Insurance group to the consolidated statement of income.



Retail and Commercial (RC)

1. Business description RC

Belfius Bank is the number two bank-insurer in Belgium in terms of penetration according to 2018 info of GfK (Growth from Knowledge), with 3.6 million retail and commercial customers served through 630 branches as of end 2019, our bank insurance remote service channel Belfius Connect, and a large number of automatic self-banking machines. Belfius Bank is also market leader in mobile banking, with over 1.4 million active mobile users end 2019. Belfius Mobile has the highest satisfaction rate in Belgium (according to D-rating) and is the 2nd best mobile banking app on the European market (according to a Sia Partners research). Belfius Bank is the third largest provider of mortgage loans in the Belgian market, with a 17% market share based on new mortgage loan production in 2019. Belfius Bank is also the fourth largest provider of savings and investment products in Belgium, with an estimated market share of about 12%. It is the fourth largest provider of financing to SMEs in Belgium, with approximately 0.3 million professional customers and an estimated market share of about 15% based on loans outstanding.

3.6 million
retail
and commercial
customers

Belfius Insurance offers insurance products to retail and commercial customers through the Belfius Bank branch network, as well as through the tied agents network of DVV/ LAP insurance. It also offers insurance products through Corona Direct Insurance. Belfius Insurance's business model is increasingly focused on bankinsurance. Belfius Insurance has also integrated the Elantis brand, which offers mortgage loans and consumer loans through independent brokers, booked on the balance sheet of Belfius Insurance, Belfius Bank and a third-party bank.

Based on the 2018 Assuralia study, Belfius Insurance realized a market share in life insurance of more than 7%, and in non-life insurance of 5.7% for 2018, making it overall the fifth largest insurer in Belgium.

1.1. Customer Segmentation

In 2019 Belfius continued to apply some sub-segmentation of its customers across the Retail and Commercial segment. Belfius' sub-segments include:

- retail, which comprises individuals with a financial footprint below EUR 100,000;
- privilege, which comprises individuals with a financial footprint between EUR 100,000 and EUR 500,000;
- private, which comprises individuals with a financial footprint between EUR 500,000 and EUR 2.5 million;
- wealth, which comprises individuals with a financial footprint worth over EUR 2.5 million; and
- business, which comprises self-employed individuals, liberal professions (e.g., lawyers, accountants and doctors) and SMEs with turnover below EUR 10 million.

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Higher customer interaction
based on Data and Digital.

All Retail and Commercial customers can benefit from convenient digital mobile and internet banking service channels and a modern remote-access interaction and service centre, Belfius Connect, which supports Belfius' omni-channel paperless service on core products with call, video, chat and e-mail capabilities and to interact with customers. On working days during the week, Belfius Connect is currently available from 08:00 to 22:00 and on Saturdays from 09:00 to 17:00, and is continuing to be developed and expanded in coordination with the increasing use of digital and remote-access channels by customers.

For **retail customers**, Belfius focuses on top quality self-service digital solutions and gives customers access to specialists at key life moments either in branch or remotely. The retail product offering mainly consists of credit cards, current accounts, non-life insurance products (e.g. car, home and family, assistance), consumer and mortgage loans, saving accounts, pension savings and other investment products (e.g., mutual funds and Flexinvest Plan).

For **privilege customers**, Belfius provides access to local account managers and regional insurance and credit specialists to help customers identify the best solutions for the build-up, management and preservation of their assets. Products and services include the innovative core investment product Belfius Personal Global Portfolio, and a wide range of banking, insurance and asset management services.

For **private banking and wealth management customers**, Belfius offers a dedicated local private banker or a specialized wealth manager to identify solutions to structure, optimise, manage and protect their assets, including estate planning. The products and services offering includes discretionary asset management, MyPortfolio – a bespoke asset management system –, wealth analysis and financial planning, and real-estate, philanthropic and art solutions. Belfius initiates contact with these customers through

its innovative Wealth Management Hub and Private Houses with Febelfin-certified wealth managers offering a holistic approach. Belfius' wealth management offerings are bespoke and include estate planning, family company transmission, a dedicated digital experience and access to financial market experts.

Belfius' offering for **business customers** is targeted at liberal professionals, self-employed individuals, and SMEs, with a combined "professional-personal" approach at the core of Belfius' commercial strategy. The offering focuses on both banking and insurance solutions at every stage of the entrepreneurial (start-up, growth and exit) and personal life-cycles (investment and mortgage loans, investment and pension planning) with specific sector-driven solutions for medical and accountancy professionals. Products include tailored lines of credit, liquidity management and payment solutions, funding and partnership advice, non-life insurance products and business pension products.

Products

The Retail and Commercial segment provides a full range of banking products and a varied selection of life and non-life insurance products that address the needs of this customer segment.

Payment Products

Payment products are offered in the form of packages of current accounts linked to a debit and credit card, depending on the level of service selected: from the introductory, free Belfius Pulse package to the Platinum product. The granting of a credit card is subject to acceptance through an efficient risk management process. Customers can also opt for a MasterCard Prepaid, enabling them to make payments within the limit set for their budget, anywhere in the world and also online. All cards include the contactless payment options with card or Android smartphone.

Belfius has specific packages (Business Pack and Business Pack Plus) for business customers. Belfius also offers additional services tailored to their needs such as cash flow management. Given the constant evolution of payment systems in a changing European legislative framework (including the introduction of PSD2), Belfius has invested in new solutions for individual and professional customers. Belfius is also a main shareholder of Bancontact Payconiq, a market leader in local card and payment systems in Belgium, and Isabel, a [multi-banking] digital banking services channel. Belfius also supports the development of local businesses through a comprehensive offer (POS + E/M Commerce) of means of payment.

All of these products are already very advanced digitally in all mobile and internet channels.

Credit Products

Belfius' main credit product for retail customers is mortgage loans, which are offered at a broad range of fixed or variable interest rates. It also offers consumer loan products, including car loans, personal loans and green loans.

Belfius offers credit products tailored to the needs of business customers, including tax funding, working capital facilities (particularly Belfius Business Cash+) and investment loans.

Belfius also assists start-ups in obtaining financing through the programme it launched together with the European Investment Fund (EIF), where the EIF provides a guarantee for up to half of the loan amount. Belfius Bank is the only bank in the Belgian market that has co-operated in this manner with the EIF. Companies, self-employed and liberal professions meeting certain conditions are potentially eligible for a tariff-reduction for their investment loans or leasing agreements through this arrangement.

Savings and Investment Products

Savings and investment products fall into two categories: balance sheet products and off-balance sheet products. Balance sheet products include savings accounts, current and term accounts, savings certificates and bonds issued by Belfius, both for private and business customers. Off-balance sheet products include discretionary portfolio management, mutual funds, shares and bonds issued by third parties.

Clients can monitor all of their savings and investment products in real time on their mobile and tablet devices in the Belfius applications. Belfius is MiFID II compliant in its mobile-first omni-channel investment advice, so that it can make personalised proposals for investing via the smartphone, tablet and personal computer compliant with MiFID II.

Belfius also provides investment products in relation to its insurance products. Belfius distinguishes between Branch 21 (life insurance with a capital guarantee and guaranteed minimum return, to which there may be added a variable profit participation) and

Branch 23 (life insurance without capital guarantee but with a potentially higher return via investment funds) products. Belfius also sells a combination of capital guaranteed and unit-linked products, commercially known as Branch 44 products.

Insurance Products

Belfius Insurance offers its customers a comprehensive range of life and non-life insurance products through Belfius Bank's branch network. It also offers these products through the tied agents network of DVV/LAP insurance, as well as through Corona Direct Insurance.

The product range includes non-life insurance cover: car insurance (third party and comprehensive), third party civil liability insurance, fire insurance, and miscellaneous risks insurance. For non-life insurance products, the most significant products are property insurance and car insurance, which accounted for 36% and 44% of gross written premiums in RC in 2019. Health insurance, workers compensation and other types of insurance accounted for 2%, 2% and 17% of gross written premiums in 2019.

In addition, life insurance products such as pension savings, mixed life insurance, savings insurance, guaranteed income cover, death insurance and credit balance insurance linked to mortgage loans are offered. Other products such as the Private Supplementary Pension for the Self-employed and the Individual Pension Commitment are offered to business customers. The most significant life insurance product in terms of gross written premiums in RC in 2019 is Branch 21, although Branch 23 products are becoming increasingly important across Belfius' insurance portfolio. For 2019, Branch 21 classical products, Branch 21 financial products and Branch 23 products accounted for 39%, 20% and 41% of gross written premiums, respectively.

1.2. Distribution Channels

Belfius has an omni-channel business model aimed at striking the right balance between human interactions and efficient, user friendly digital and remote-access interactions. The innovative digital and remote-access approach is geared towards retail customers, with value-added branch interactions for those customers at key life moments. The account management focus is geared towards privilege, private and business customers, which are also supported by digital and remote-access tools.

Belfius offers its banking and insurance products through its network of 630 branches as of end 2019, its digital channels and its Belfius Connect remote service centre. It also offers its insurance products through its network of 321 (end 2019) DVV/LAP tied insurance agent branches, its direct insurance subsidiary, Corona Direct Insurance, and its Elantis brand.

630 bank
and
321 DVV/LAP
branches.

Branch Network

Belfius Bank serves its customers through 630 branches as of end 2019, of which 476 are tied independent agent branches and 154 are own branches. The 630 branches are grouped into 96 organisational “clusters”. On average, each cluster operates across 6 branches and has a sales staff of approximately 30 persons.

Local empowerment is a key focus, with decision-making organised as close as possible to the customer. Each branch offers access to specialists in insurance, mortgage loans and consumer finance, a local private banker, a business banker and account management for privilege customers. Incentives for each branch are tied to its financial and/or commercial results, customer satisfaction and legal and regulatory compliance scores.

DVV/LAP Tied Agent Network

DVV/LAP insurance has been operating for more than 90 years in the Belgian life and non-life insurance markets. Through 321 branches, as of end 2019, each with exclusive advisers, DVV/LAP insurance offers individuals, self-employed and small enterprises a complete range of insurance products and mortgage loans.

DVV's strategy is aimed at extending its customer base, relying on a high-quality product range of both life and non-life insurance products for personal and business needs. Personal service and advice by the local intermediary constitute the key added value for its customers. The spearheads of this strategy are the rejuvenation of the customer portfolio and the ongoing digitalization in support of the local DVV adviser as contemporary insurance specialist.

The DVV/LAP tied agent network is currently still the most important channel for the distribution of non-life insurance products of Belfius, accounting for more than 50% of gross written premiums in RC in 2019.

Corona Direct Insurance

Corona Direct Insurance is Belfius' direct insurance subsidiary. It offers its 250,000 customers insurance products through direct channels (e-commerce, telephone). The insurance products offered by Corona Direct include family, car, home, funeral, pet and some other insurance policies. Corona Direct has a full digital E2E standardized and innovative product offering at a competitive price, strong customer service and the agility to innovate, including by offering products such as kilometer-linked car insurance.

Corona Direct accounted for 3% of life insurance gross written premiums and about 10% of non-life insurance gross written premiums in RC in the year ended 31 December 2019.

Belfius Connect

Belfius has a remote access and service centre, “Belfius Connect”. Its role is to offer increased accessibility (on working days from 8.00 till 22.00, on Saturdays from 9.00 till 17.00) and to support omni-channel end-to-end paperless sales flows, using different (mostly digital) communication channels (including telephone, mail, chat and video) to interact with customers.

Elantis

Since 2012, Belfius Insurance has integrated the Elantis brand, which offers mortgage loans and consumer loans through independent brokers. As at 31 December 2019, Elantis accounted for EUR 0.3 billion, or 15%, of Belfius' outstanding consumer financing and EUR 3.4 billion, or 10%, of Belfius' outstanding mortgage loans.

1.3. Digital

For Belfius Mobile, 2019 was yet another successful year. Belfius has successfully anticipated the “mobile” transformation of the retail banking and insurance model by carving out a recognised position of leadership for itself in mobile banking. This is demonstrated by the fact that – for the fourth year in a row –, Belfius Mobile is the highest ranked (4.6/5) mobile banking app of all Belgian banks in the iOS and Android app stores. This was achieved thanks to the high level of mobile take-up at Belfius, as well as the high login frequency and the very wide range of features and functionalities available to its users.

In 2019, Belfius also won the BeCommerce Userexperience award with its mobile-first omnichannel roboadvisor Belfius Track and the Trends Digital Pioneer Award with its fully mobile App-normal car insurance. All of these awards contribute to Belfius' overall image as a digital leader. The mobile platform has continued to evolve to address customers' changing mobile needs, resulting in a growth in mobile activity among its customers that has been significantly higher than that of Belfius' European peers.

At the end of 2019, Belfius Mobile apps had over 1,416,000 active mobile users – adding 160,000 new users during the year. This is a figure that continues to grow, day by day. As such, the number of users of Belfius Mobile apps has more than doubled since 2015.

Belfius Mobile is one of the most actively used apps in Belgium (broader scope than banking apps only). During 2019, the average number of logins also increased to more than 37 per month per customer, meaning that on average the Belfius Mobile app is used more than once a day.

Sales via direct channels also continued their growth path. These channels now cover for instance 60% of pension savings policies, and 42% of new credit cards. Last year's launch of the App-normal car insurance boosted both direct sales and sales in branches, underlining the commercial added value of an innovative digital and omni-channel approach.

These yearly millions of mobile, digital contacts give Belfius the opportunity to make personalised digital sales and service proposals for financial, insurance and non-financial products to its customers. Belfius' digital platform allows customers to go completely digital and paperless on most of their core products, with a broad range of sales and service capabilities for the financial and insurance products available via mobile. The digital platform, supported by customer analytics, creates numerous opportunities for cross-selling also through proactive customer proposals in the high number of digital touchpoints per month per user at a cost-effective service cost for Belfius. In order to leverage its digital capabilities and develop new revenue streams, Belfius also uses The Studio, its dedicated digital innovation vehicle, in addition to Belfius' own digital capabilities, to continually test and innovate in a well controlled environment. The Studio successfully markets robotic process automation solutions and develops Blockchain technology applications.

The implementation of efficiency initiatives across Belfius' business lines and the development of Belfius' digital service offering have played a significant role in the improvement of Belfius' financial performance, including through operational efficiency improvements in the branch network, product portfolio and sales force as well as efficiencies delivered by its mobile platform. A key component of Belfius' strategy is to continue to capitalise on these initiatives and further optimise its operating model through ongoing integration and further digitalisation. As such, Belfius is able to maintain a controlled cost base, balancing its cost savings and efficiency gains with further strategic and innovation investments.

Belfius intends to further develop its differentiated and digitally supported business model, with a balance between qualitative relationship management on the one hand, and efficient, user-friendly direct channels on the other. It is developing complementary omni-channel approaches, including an approach with a digital focus geared towards retail customers combined with value-added branch interactions at key life moments for customers (such as a first mortgage loan), as well as an account management focus geared towards privilege, private, wealth and business customers supported by convenient digital tools. Belfius is also focusing on digital transformation to enable client convenient direct sales of the ten most important bank and insurance products, supported by in-depth customer knowledge via data analysis, and paperless sales transactions enabled by digital tools and services for account managers. This is expected to help promote the cross-selling of its full range of products including cards, mutual investment funds, savings, consumer loans, insurance and other products.

“ ”
Belfius
Mobile apps
had over
1,416,000 active
mobile users.

2. Commercial performance RC in 2019

RC posted robust commercial activity in 2019. At 31 December 2019, **total savings and investments** amounted to EUR 114,2 billion, an increase of 8.8% compared with the end of 2018. The organic growth in 2019 amounted to EUR 4.7 billion, much higher than in 2018, showing the increasing confidence of RC customers in Belfius. EUR 41.6 billion (+13%) came from the investments of 121,700 Private customers, serviced by more than 250 local Private Bankers with a certification. In 2019, as was already the case in 2018, clients seem to show more interest for capital protected products, such as payments accounts and saving accounts, in an environment of volatile stock markets. Despite this context, the amount of investments entrusted to Belfius via mandates and service contracts increased by 13% in 2019 to reach EUR 11.5 billion mainly thanks to positive market effects.

On-balance sheet deposits totaled EUR 71.8 billion at 31 December 2019, up (+7.6%) from the end of 2018. Customers still adopted a rather wait-and-see attitude for deposits because of the historically low interest rates. The current and savings accounts reached EUR 15.4 billion (+16.2%) and EUR 47.1 billion (+7.4%) respectively. The investments in term products continue to decrease: -22.9% for savings certificates and -15.3% for term accounts.

Off-balance sheet investments increased by 14.2% compared to the end of 2018, to EUR 31.6 billion, mainly due to positive financial market conditions.

Life insurance reserves for investment products amounted to EUR 10.9 billion, up 1.7% compared to the end of 2018. Investments in Branch 21 life insurance guaranteed products decreased because of the low interest rate environment, but that drop was more than offset by an increase in Branch 23 and Branch 44 products.



Olivier Goerens
Director Marketing & Sales
Private Banking & Wealth Management

Retail and Commercial (Unaudited)

(in billions of EUR)	31/12/18	31/12/19	Evolution
TOTAL SAVINGS AND INVESTMENTS	105.0	114.2	+8.8%
DEPOSITS	66.7	71.8	+7.6%
Savings accounts	43.9	47.1	+7.4%
Savings certificates	1.7	1.3	-22.9%
Bonds issued by Belfius	7.5	7.6	+1.8%
Current accounts	13.2	15.4	+16.2%
Term accounts	0.4	0.3	-15.3%
OFF-BALANCE SHEET INVESTMENTS	27.6	31.6	+14.2%
LIFE INSURANCE RESERVES⁽¹⁾	10.7	10.9	+1.7%
Capital guaranteed products (Branch 21)	6.8	5.9	-12.7%
Unit-linked products (Branch 23)	1.9	2.6	+38.8%
Combination of capital guaranteed and unit-linked products (Branch 44)	2.1	2.4	+15.1%
o.w. capital guaranteed products	1.3	1.4	+9.3%
o.w. unit-linked products	0.8	1.0	+23.8%

(1) Investment products.

Total loans to customers rose strongly (+9.1%) to EUR 53.2 billion at 31 December 2019. The increase occurred mainly in mortgage loans (+9.7%) and business loans (+9.9%). Mortgage loans, which account for two thirds of all loans, amounted to EUR 35.5 billion at the end 2019, while consumer loans and business loans stood at EUR 1.8 billion and EUR 15.4 billion respectively.

New long-term loans granted to retail and commercial clients during 2019 amounted to EUR 13.4 billion compared to EUR 10.8 billion in 2018. In 2019, the new production of mortgage loans continued to increase to EUR 8.0 billion (5.9 billion in 2018). During the same period, EUR 4.5 billion in new long-term business loans were granted, up 12.0% compared to 2018. In 2019, Belfius assisted 14,245 new start-ups.

Retail and Commercial (Unaudited)

(in billions of EUR)	31/12/18	31/12/19	Evolution
TOTAL LOANS TO CUSTOMERS	48.7	53.2	+9.1%
Mortgage loans	32.4	35.5	+9.7%
Consumer loans	1.7	1.8	+6.0%
Business loans	14.0	15.4	+9.9%
Other retail loans	0.6	0.4	-30.8%

The **total insurance production** from customers in the Retail and Commercial segment amounted to EUR 2,302 million in 2019, compared with EUR 2,032 million in 2018, an increase of 13%.

Life insurance production stood at EUR 1,686 million in 2019⁽¹⁾, up 16% compared to 2018⁽²⁾. Unit-linked (Branch 23) production went up strongly (+31%) thanks to growing product suite and customer demand. Traditional Life (Branch 21/26) production decreased (-4%) following the low interest rate environment.

Non-Life insurance production in 2019 stood at EUR 616 million, up 7% compared to 2018, boosted by the Bank distribution channel (+12%), DVV/LAP Insurance (+3%) and Corona (+6%), Belfius' direct insurer.

Indeed, thanks to the "one-stop-shopping" concept of Belfius, the mortgage loan cross-sell ratio for credit balance insurance increased to 143% at the end of 2019. The mortgage loan cross-sell ratio for property insurance remained stable at 85%.

Total insurance reserves, in the Retail and Commercial segment, amounted to EUR 14.0 billion. Life insurance reserves increased slightly (+1%) since end 2018 to EUR 13.0 billion at the end of 2019. Unit-linked reserves (Branch 23) increased by 30%, while traditional guaranteed life reserves (Life Branch 21/26) decreased by 7%, demonstrating the life product mix transformation from guaranteed products to unit-linked products. Non-life reserves remained stable at EUR 1 billion.

Retail and Commercial (Unaudited)

(in billions of EUR)	31/12/18	31/12/19	Evolution
TOTAL LIFE INSURANCE RESERVES⁽¹⁾	12.8	13.0	+1.2%
Guaranteed products (Branch 21/26)	10.0	9.3	-6.9%
Unit-Linked (Branch 23)	2.8	3.6	+30.0%

(1) Investment products and insurance products.

(1) Of which EUR 905 million gross written premiums and EUR 781 million transfers/renewals.

(2) Of which EUR 960 million gross written premiums and EUR 495 million transfers/renewals.

Belfius continues to set the pace in **mobile banking** in Belgium and further developed its digitally supported business model. At the end of 2019, Belfius apps for smartphones and tablets had 1.42 million users (+13%) and were consulted by RC customers on average 37 times per month. The extremely high satisfaction figures show that continuous innovation, focused on user-friendliness and valuable utility for the customer pays off.

Belfius continues to extend the functionalities of its apps. In 2019, 60% of the new pension saving contracts, 42% of the new credit cards and 31% of the new savings accounts were subscribed via direct channels.

3. Financial results RC in 2019

RC net income after tax stood at EUR 464 million in 2019, compared to EUR 408 million in 2018.

In 2019, **total income** amounted to EUR 1,731 million, up 4.9% compared to end 2018, demonstrating the resilience of Belfius RC's business model in the context of the adverse interest rate environment.

- RC Net interest income of the bank amounted to EUR 855 million, an increase of 1.2%, mainly thanks to the strong loans volume growth at increasing margins, partially compensated by margin pressure on non-maturing deposits;
- RC Net fee and commission of the bank increase strongly by 5.9% and amounted to EUR 517 million. Fees from payment products increased mainly thanks to higher volumes, as well as fees on insurance products sold through bancassurance channels and fees from savings & investments following higher entry and management fees (in bps);
- Life insurance contribution amounted to EUR 248 million, up 7.7% compared to 2018 as the decrease of average guaranteed rate following the outflow of maturing life reserves together with a sound financial management are more than offsetting the negative evolution stemming from
 - the low interest rate environment and
 - last year's reassessment of technical provisions in line with risk appetite framework that led to a positive impact in 2018;
- Non-Life insurance contribution strongly increased by 5.6% and amounted to EUR 200 million following excellent results from all channels and this despite important claim charges for natural catastrophes in 2019 and lower reassessment of technical provisions than in 2018;
- The other income amounted to EUR -90 million in 2019 compared to EUR -103 million in 2018, an improvement of EUR +14 million, mainly stemming from higher received dividends and more buoyant financial market activities for RC customers.



Geert Van Mol,
Associate Member of the Management Board and Chief Digital Officer

“ ”
Belfius is not only
the best rated Belgian banking app
for four years in a row,
but recently also ranked the second
best European banking app
by SiaPartners.

In 2019, **total expenses** amounted to EUR 1,057 million, an increase of EUR 9 million or +0.9% compared to 2018. This increase mainly stems from increasing IT depreciation, following the important investments in digitization, IT and new business activities. Staff expenses, network costs and general expenses in RC were lower in 2019 compared to 2018.

As a result, **gross operating income** increased to EUR 674 million in 2019, up EUR 71 million or +11.9% compared to 2018.

The **cost of risk** still remains at historically benign level, demonstrating a good credit quality in current benign environment, as well for Individuals as for Business Banking and amounted to EUR 37 million in 2019, i.e. a continued historically low credit cost ratio of 7 bps of average gross outstanding loans.

The **impairments on (in)tangible assets** amounted to EUR 8 million, mainly from an impairment of EUR 5.4 million on intangibles developed within and for Jane.

Pre-tax income stood at EUR 630 million, up EUR 82 million or +15.0% compared to 2018.

Tax expenses amounted to EUR 169 million in 2019 compared to EUR 139 million in 2018. This increase is mainly due to higher profit before taxes.

As a result, **RC net income Group share** increased by 13.7% and amounts to EUR 464 million in 2019.

There is no special item in RC in 2019, so the **adjusted net income RC** amounts to EUR 464 million in 2019, up 16.0% compared to adjusted net income RC 2018.

RC cost-income ratio amounted to 61.0%, compared to 63.5% in 2018. The Return on Normative Regulatory Equity (RoNRE) stood at 17.4%.

Financial Results RC

(in millions of EUR)	2018	2019
INCOME	1,650	1,731
Net interest income bank	845	855
Net fee and commissions bank	488	517
Life insurance contribution	231	248
Non(life insurance contribution	190	200
Other	(103)	(90)
COSTS	(1,047)	(1,057)
GROSS INCOME	603	674
Cost of risk	(54)	(37)
Impairments on (in)tangible assets	(1)	(8)
NET INCOME BEFORE TAXES	548	630
Tax (expense) income	(139)	(169)
NET INCOME AFTER TAXES	409	461
Non controlling interests	0	(3)
NET INCOME GROUP SHARE	408	464
ADJUSTED NET INCOME⁽¹⁾	400	464

(1) Adjusted results are Alternative Performance Measures and are defined and reconciled in the APM(document on the website: www.belfius.com).

Ratios

(in %)	2018	2019
Cost-income ratio ⁽¹⁾	63.5%	61.0%
RoNRE ⁽²⁾	16.8%	17.4%

(1) Expenses relative to income.

(2) Return on Normative regulatory equity (RoNRE) is calculated by Belfius as the net income as a percentage of the average Normative regulatory equity.

Normative regulatory equity & risk exposures

(in millions of EUR)	2018	2019
Normative regulatory equity ⁽¹⁾	2,605	2,819
Regulatory risk exposures	19,519	21,076

(1) The Normative regulatory equity of the business line is calibrated. The business line's CET 1 ratio is brought at 13.5% taking into account the regulatory risk exposures allocated to the business line and some CET 1 capital deductions allocated to the business line (to a very limited extent, since the most important part of CET 1 capital deductions are allocated to GC).



Public and Corporate (PC)

1. Business description PC

Belfius offers a comprehensive range of products and services to approximately 11,000 public and social sector institutions and 10,500 corporates. The Bank continued to lead the market in the public and social sector segment thanks to its more than 160 years of involvement in the sector. On top of that, Belfius continues its successful growth strategy in the Corporate segment, expanding its market share for loans to medium and large corporates from 8.7%⁽¹⁾ in 2013 to 16%⁽¹⁾ in 2019.

1.1. Customer segmentation

Belfius offers a comprehensive range of banking and insurance products and services also aimed at public and social sectors (Public and Social) and medium and large-sized Belgian corporates (Corporate). The public and social sector segment, comprising approximately 11,000 customers, includes local public authorities (e.g. municipalities, provinces, police zones and Public Centres for Social Welfare), supra-local public entities (e.g. intermunicipal companies), regional and federal public institutions, health insurance funds and trade unions, healthcare providers (hospitals, retirement homes), education (e.g. universities, schools) and housing, as well as other customers such as foundations, social secretariats and pension funds. In the corporate customer segment, Belfius serves approximately 10,500 medium-sized and large corporates operating in Belgium in all sectors, with an annual turnover in excess of EUR 10 million.

“ ”
Number 1
in the public
and social sector
and a
leading partner
for major
corporates.

(1) Belfius' estimate.

1.2. Distribution Channels

The commercial network for the public and social sector business includes 42 bankers spread across three regions. The relationship managers are dedicated to specific segments of clients and therefore have significant insight into how their clients function, allowing the managers to find the most appropriate banking and insurance solutions.

The commercial network for the corporate business includes 73 corporate bankers spread across four regions.

In the Public and Corporate segment, the banker acts as the central point of contact or “hub” in the commercial relationship with the customer. He or she is the sole contact and maintains a relationship of trust with the customer throughout the customer lifecycle. Corporate and Public bankers can also, at any time, call on in-house experts, known as “spokes”, for the various product and service lines (e.g. for matters related to investments, loans, insurance, leasing, electronic banking or cash management). This “hub-and-spokes” approach is at the heart of Belfius’ Public and Corporate customer service model.

Even though the primary customer contact is the banker, due to the nature and volume of transactions, desktop platforms are still the most prevalent servicing tools

among customers. Belfius was also the first bank in Belgium to offer a mobile banking application tailored to the needs of the public and corporate segments (e.g. allowing entities to safely sign transactions without limits on the amounts).

In 2019, Belfius further expanded its digital offering with its totally renewed BelfiusWeb application. This application features a new look & feel, more features and new functionalities, enabling customers to combine account information and initiate payments within our digital channels (desktop and mobile). It also has a new homepage and online access management procedure. The aim is to improve ease of use and enhance customer satisfaction.

In this context, since March 2019, Belfius now enables its Corporate customers to make drawdowns on Straight Loans or Roll-Over credits directly via the new BelfiusWeb NT.

1.3. Products

Belfius offers a range of traditional and specific products for companies and public and social sector entities, helping them to develop their business and manage their cashflow.

Payment Products

Parallel to its standard bank offering, which includes accounts, debit cards, credit cards and cash pooling, as well as a full range of payment methods, Belfius also offers payment products suited to the various needs of Public & Corporate customers, such as social accounts and prepaid cards.

For its corporate customers that also operate abroad, Belfius offers a wide array of products and tailor-made solutions provided by its International Cash Management Team. Outside of Belgium, Belfius works with a strong network of foreign banks, both in Europe and worldwide.

To support its public customers, Belfius offers cashier and cash management services, and is the long-time cashier for all regional Belgian authorities, bar one, and almost all Belgian municipalities. In 2019, Belfius embarked on the contract from the Federation Wallonia-Brussels (French community), as well as the ones for COCOM and IRISCARE. Through the IRISCARE contract, Belfius will handle the payment of family allowances in Brussels from 1/1/2020 onwards. Also to be noted are the renewal of the contract with the German-speaking Community and the addition of Famiwal to the WPS (Wallonia Public Service) cash management contract.

Belfius places great importance on the security of transactions and is constantly monitoring its internal procedures for preventing fraud. Belfius has also developed an additional 3-pronged security offering to assist corporates and public authorities with the prevention, detection and management of cyber fraud risks. Belfius and its partners then perform a scan of in-house procedures, an IT audit of the customer’s security systems and an anti-fraud analysis program.



Martine Klutz

Chief Marketing & Strategy – Enterprises, Entrepreneurs and Public sector

Credit Products

Belfius offers its Public and Corporate clients a range of credit products to help them finance and grow their operations.

These credit products and services include:

- Tailored Products for Public and Social Customers: Belfius offers its public and social sector customers professional debt management services, which enable customers to free up resources for new investments, and a specialised range of short- and long-term financing solutions tailored to their specific requirements, whether in the form of credits or long-term bonds.
- Debt Capital Markets (DCM): Belfius is widely acknowledged for its expertise in guiding Belgian bond issuers on the financial markets in the semi-public and corporate sectors, having been involved in 87% of DCM transactions in the public and social sector segment and 65% in the corporate segment. Having been involved with approximately 400 long-term issues representing an overall Belfius' contribution of EUR 7.4 billion since 2013, Belfius has become the stand-out benchmark partner for companies and entities in the Belgian (semi-)public sector looking for alternatives to supplement traditional bank loans in order to diversify their financing.
 - In February 2019, Belfius launched Dot-Capital, the first 100% digital platform for bond issuers and investors on the primary market. This platform is designed to bring investors and (semi-)public businesses of all sizes in contact with each other. This encompasses large corporations, property developers, towns/cities and provinces, Regions and Communities, schools and universities, hospitals, etc. seeking to diversify their sources of financing in the short, medium and long term. Dot-Capital is the first platform of its kind in Belgium.
 - Belfius again underlined its role as leader in green bond issues for Belgian issuers, including the Société Wallonne Des Eaux (SWDE) water utility, which concluded its inaugural Green Bond issue for 10 million EUR on 22 July 2019. Through its Green Bond issue, the SWDE aims to reconcile traditional bank borrowing with "green" issues via the money market. Back in 2015, Belfius assisted Aquafin in the very first green bond issue for a Belgian company. Belfius then introduced the first Green and Social Bond from Cofinimmo and also took part in the launch of the first Sustainability Bond issued by the Flemish Community and the Walloon Region. Through green bonds, Belfius underlines the importance in sustainable investments.
- Equity Capital Markets (ECM): Belfius is also active in the equity capital markets through the structuring and placement of capital market transactions for its Belgian corporate clients (IPOs, capital increases and private placements of shares). To expand its range of services, Belfius entered in 2017 into a strategic partnership with Kepler Cheuvreux. In 2019, Belfius positioned itself as the leading bank operating in ECM in Belgium, being number one in the Belgian market in terms of number of deals of Belgian corporates executed in Equity Capital Markets.
- Leasing Services: Through its wholly owned subsidiaries, Belfius Lease and Belfius Auto Lease, Belfius also offers various financial and operational leasing solutions.
- Real Estate Financing: The real estate department of Belfius has helped build and finance over 1,000 projects in the past 25 years, mainly for public and social sector authorities. Belfius is able to offer to these clients a combination of in-house architects, engineers and project managers specialised in construction and financing.
- Infrastructure Financing: Belfius is a key player in the structuring and financing of large infrastructure investment projects in Belgium, including green energy projects, as well as semi-public real estate and infrastructure projects financed through structured credits, syndicated credits and PPP finance.

“ ”
Leading bank
in ECM
in Belgium
thanks to
strategic
partnership with
Kepler Cheuvreux.

- Trade and Export Financing: Through an experienced team of approximately 40 employees, Belfius offers Belgian companies that also operate abroad a full array of products and services in trade and export finance, from documentary credits to buyer credits. The transactions are executed through a wide network of correspondents, giving Belfius a presence in all major countries around the world.
- A crowdfunding formula in partnership with Koalect, designed to meet the wish expressed more and more often by institutions to invite citizens to financially take part in their projects.



Savings and Investment Products

Belfius offers two categories of savings and investment products to its Public and Corporate segment: on-balance sheet products, such as savings accounts, term accounts, saving certificates and bonds issued by Belfius; and off-balance sheet products, such as discretionary portfolio management, mutual investment funds and bonds issued by third parties. Dedicated product managers create savings and investment products for Public and Corporate clients that respond to the specific needs of the clients in terms of risk, structure and duration.

Insurance Products

Belfius Insurance also offers life insurance products to public and social sector clients. Specific life insurance solutions are offered, especially pension insurance in the first and second pension pillars for civil servants. Non-life products are distributed to these clients by way of a selective direct approach.

People Rewards

Belfius also offers a range of financial and insurance products, such as warrants, Belfius car lease and life insurance to all employers wishing to reward their staff as part of a variable remuneration policy.

Belfius has also launched a new long-term Options Plan. All of Belfius' long-term Option Plans are managed electronically via the MyPlansByBelfius web application.

Financial Analysis

Belfius conducts annual financial analyses, offering its customers insights into topics such as the development of local, municipal and provincial finances, including specific focus points for each local authority. Bespoke financial analysis is also offered to individual municipalities and hospitals, not only providing clients with insights in their own finances but also benchmarking the client with regional averages or a group of peers. These studies have become key reference management tools for Belfius' public and social sector customers.

Continuing what has now become a tradition, Belfius Bank also presented in 2019 its state of local finances report. The study of 2019 not only covered municipal budgets but also examined the evolution of local finances.

Belfius also launched the new SYMIA digital tool that enables local municipalities to view the financial situation of their municipality over a period of 7 years. This application works on behalf of local authorities and citizens and enables them to view movements in budgets in the long term, as well as to manage budget constraints and to measure the financial impact of policy choices while also keeping citizens informed.

For the past 25 years, the MAHA study (Model for Automatic Hospital Analyses) conducted by Belfius has analysed the financial situation of general hospitals in Belgium. Whether private or public, all of them took part in the 2019 edition based on the balance sheet period for 2018. As a result, the 2019 MAHA study provides the most comprehensive view of the sector since history.

“ ”

We not only build objective
top research, we also guide our
customers with inspiring solutions.

1.4 Proactive partner in the energy transition

In view of the challenges faced by public institutions and companies in Belgium, Belfius seeks to be a proactive participant in our customers' projects and to play an active part in transitions towards more sustainable economies.

First of all, in March 2019, Belfius organised Smart Belgium Awards for the third successive year, bringing together 150 participants and 50 nominees for the Awards.

The circular economy, smart city services, education, energy, the environment, health and safety, mobility, and urban development were the 8 fields in which companies, hospitals, retirement homes and other care institutions, schools, universities and research centres, towns/cities and municipalities, intermunicipal companies and other local authorities were invited to submit their best "smart" projects for the Belfius Smart Belgium Awards 2018. To assess the 150 or so applications received, Belfius called upon the services of various independent panels of specialist judges made up of representatives from the academic world, research institutes, healthcare and the technology sector.

It was in front of an audience of more than 800 experts and professionals from the world of business, public authorities, education and the healthcare sector that the Belfius Smart Belgium Awards 2018 were presented. The five winners selected by the independent judges, themselves professionals, were: the municipality of Donceel in the province of Liège for its intelligent public lighting (Smart City Award < 30,000 inhabitants), the City of Ghent and TMaaS for their project aimed at improving mobility (Smart City Award ≥ 30,000 inhabitants), Colruyt Group for its intelligent refrigerated trolley for keeping products chilled (Company Award ≥ 10 million turnover), the Brussels start-up Shayp for a small intelligent device for tracing water leaks (Smart Company Award < 10 million turnover), as well as the educational establishment Githo Nijlen for its E-buddy, which sounds an alarm if a person has a fall (Smart Care Award). For the first time, a Smart Insurance Award was also presented. This award was granted to the municipality of Olen for its pilot project of intelligent sensors at its Zilverlinde residential care centre. And as is the case each year, the public was also able to vote for its favourite project. This year, the Public Prize went to VRkeer (University of Ghent and Odisee Saint-Nicolas-Waes Campus).

Given the challenges facing public institutions and businesses in Belgium, Belfius is also seeking to expand its range of sustainable product and service solutions.

In view of the challenge imposed by the climate, modernizing and renovating many buildings is a must: solutions to make them more intelligent and especially to make them consume less energy and as such to reduce the emission of CO₂ are at the forefront of our thoughts. It is with this in mind that Belfius offers the Smart Building & Renovation Solution, a tailored, all-in package designed to provide sustainability help and guidance, from A to Z, to schools, care homes, corporates and local authorities at the various stages of their projects (starting at approximately EUR 1 million). From technical and energy audits to the final handover of the building. By doing this, Belfius is assisting all authorities in one of the main pillars of the National Investment Pact and in Belgium's urgent needs in terms of modernising and improving its stock of buildings.

Finally, in view of the many climate-related challenges, Belfius launched an overall approach (CO₂ impact loans) designed to help guide customers looking to make investments designed to reduce emissions of CO₂. For this purpose, Belfius has entered into partnership with an internationally recognised company specialising in the climate

Gery Milants
Head of Specialised Finance



2. Commercial performance PC in 2019

As of 31 December 2019, **total savings and investments** amounted to EUR 37.2 billion⁽¹⁾, up 6.1% compared to the end of 2018. On-balance-sheet deposits increased by EUR 0.4 billion (+1.7%) to EUR 23.2 billion. Off-balance-sheet customer investments, mainly in the Corporate segment, increased by 15.5% to EUR 13.6 billion. Life insurance reserves on investment products slightly decreased (EUR -0.1 billion) to EUR 0.5 billion.

Public and Corporate (Unaudited)

(in billions of EUR)	31/12/18	31/12/19	Evolution
TOTAL SAVINGS AND INVESTMENTS	35.1	37.2	+6.1%
Deposits	22.8	23.2	+1.7%
Off-balance sheet investments ⁽¹⁾	11.7	13.6	+15.5%
Life insurance reserves ⁽²⁾	0.6	0.5	-13.3%

(1) The off-balance sheet investments 2018 were restated to take into account the assets under management previously under exclusive contracts with Candriam (EUR +2.3 billion).

(2) Investment products.

Total outstanding loans increased to EUR 40.6 billion (+2.4%). In Public & Social Banking, the decrease of outstanding loans continues and is the result of lower demand, increased competition in the segment and a structural shift towards more alternative financing via the (debt) capital markets. Belfius is once again reaping the benefits of its growth strategy on the Belgian corporate market, which is reflected in a 14.5% growth in outstanding loans, to EUR 14.9 billion at the end of December 2019.

Public and Corporate (Unaudited)

(in billions of EUR)	31/12/18	31/12/19	Evolution
OUTSTANDING LOANS	39.7	40.6	+2.4%
Public and Social	26.7	25.7	-3.6%
Corporate	13.0	14.9	+14.5%
OFF-BALANCE SHEET COMMITMENTS	20.5	20.7	+0.9%

Belfius granted EUR 7.2 billion (+6.9%) in **new long-term loans** in the Belgian economy to Corporate and Public and Social sector clients.

The production of long-term loans for Corporate customers amounted for the second consecutive year to EUR 4.8 billion (+1.2%), confirming Belfius' position as one of the top four banks in the segment. Its market share⁽²⁾ in terms of loans increased from 14.4% in 2018 to an estimated 16% at the end of 2019.

In 2019, Belfius granted EUR 2.3 billion (+20.9%) of new long-term financing to the public sector. Belfius remains the undisputed leader in this market and responds to every financing tender from public bodies, to which it offers sustainable financing conditions. Belfius manages the cash flow of virtually all local authorities and was awarded 72% of the public sector financing files put out to tender in 2019.

(1) Including EUR 2.3 billion of assets under management previously not included because these assets were under exclusive management at Candriam. For comparison purpose, the figures 2018 have been restated for this change.

(2) Estimated market share on the Corporate segment representing the core target of our strategy, i.e. all corporates with Belgian decision centre, excluding financial institutions and large corporates with non Belgian decision centres, as well as Belfius Group subsidiaries.

Belfius also further strengthened its leading position in the **Debt Capital Markets (DCM)** for (semi-)public and private companies by capturing 87% (+1%) and 65% (+13%) of the mandates executed on the Belgian market, respectively. In 2019, the Bank issued EUR 5.9 billion (+1 billion) in innovative financing instruments in the form of short-term issues (average outstanding amount on commercial paper) and long-term issues (Medium Term Notes and bonds).

The Public and Corporate segment's commercial results in **insurance** decreased in terms of underwriting volumes, in particular for:

- **Non-life insurance production**, which amounted to EUR 98.4 million, down -23.0% compared to 2018, as a result of the change of strategy decided in 2018 where Belfius decided to put the Non-Life insurance products offering via brokers in run off. This translates into a reduction of our insurance portfolio generated via brokers by -41.5%. In 2019, Belfius did not participate in any tender launched in the public sector market. As a result, the Wholesale Non-Life Bankinsurance portfolio decreased by -16.1%.
- **Gross production in the life segment** amounted to EUR 230 million, down 9.2%. This decrease is due to the termination of a sectoral pension contract and the discontinuation of the production of investment products (branch 26) due to the low rate environment. The decrease is partially offset by an increase in the production of the first and second pillar products.

Public and Corporate (Unaudited)

(in millions of EUR)	31/12/18	31/12/19	Evolution
TOTAL PREMIUMS RECEIVED	381	329	-13.8%
Life	253	230	-9.2%
Non-life	128	98	-23.0%

3. Financial results PC in 2019

Net income after tax decreased by 14.0% from EUR 208 million in 2018 to EUR 179 million in 2019, mainly due to a higher cost of risk in the corporate segment. In addition, 2018 was also positively impacted by some material non-taxable capital gains, which was not the case for 2019. However, commercial momentum remains strong and enabled PC to generate a net interest income of EUR 436 million, EUR 29 million higher than in 2018.

In 2019, **total income** amounted to EUR 550 million, up EUR 17 million or 3.2% compared to 2018.

- PC Net interest income of the bank amounted to EUR 436 million, up 7.2% compared to 2018, mainly thanks to a strict pricing discipline, higher loans volumes and a solid contribution of Financial Management Services (credit structuring), which offset the pressure on the interest margin, from low interest rates environment, especially for non-maturing deposits.
- PC Net fee and commission income of the bank increased slightly in 2019 to EUR 48 million (EUR +1 million).
- Life Insurance activity ended with a result of EUR 48 million in 2019, 10.3% lower than in 2018. The previous year (2018) was marked by the positive impact on the result following the revaluation of technical provisions in line with RAF (i.e. Risk Appetite Framework). Excluding specific items, such as reserve revaluations or capital gains on the bond portfolio, PCI Life 2019 result improves thanks to a higher financial margin following the sound financial management of the portfolio.
- Non-life insurance contribution decreased from EUR 9 million in 2018 to EUR -1 million in 2019, as a result of deteriorating claim results, mainly in the segments in run-off. The lower results came from the higher impact of natural catastrophes, new large claims and past claims increases.
- The other income amounted to EUR 20 million, up 14.0% or EUR 2.4 million more than in 2018, thanks to positive evolution of Fair Value adjustments in 2019.

In 2019, **total expenses** amounted to EUR 228 million, 2.4% lower than in 2018 thanks to a decrease of the expenses at Belfius Insurance in line with the run-off strategy in Public & Corporate Insurance.

As a result, **gross operating income** was EUR 322 million in 2019, an increase of EUR 23 million, or +7.6% compared to 2018.

The **cost of risk** amounted to EUR 77 million in 2019. The increase compared to 2018 is stemming from a limited number of Corporate Banking loans which negatively impacted stage 3 impairments in 2H 2019.

The **impairments on (in)tangible assets** amounted to EUR 1 million.

Pre-tax income amounted to EUR 246 million, EUR 28 million lower (-10.4%) than in 2018.

The **tax charge** amounted to EUR 67 million in 2019 while it was EUR 66 million in 2018. To note that the tax charge in 2018 was impacted by some non taxable capital gains.

As a result, the **PC net income Group share** reached EUR 179 million in 2019, while it amounted to EUR 208 million in 2018.

There is no special item in PC in 2019, so the **adjusted net income PC** amounts to EUR 179 million in 2019 compared to EUR 184 million adjusted net income in 2018.

The cost-income ratio of the Public & Corporate segment is 41.5% in 2019. The Return on Normative Regulatory Equity (RoNRE) is 7.0%.

Financial Results PC

(in millions of EUR)	2018	2019
INCOME	533	550
Net interest income bank	407	436
Net fee and commissions bank	47	48
Life insurance contribution	53	48
Non(life insurance contribution	9	(1)
Other	17	20
COSTS	(234)	(228)
GROSS INCOME	299	322
Cost of risk	(24)	(77)
Impairments on (in)tangible assets	(1)	1
NET INCOME BEFORE TAXES	274	246
Tax (expense) income	(66)	(67)
NET INCOME AFTER TAXES	208	179
Non controlling interests	0	0
NET INCOME GROUP SHARE	208	179
ADJUSTED NET INCOME⁽¹⁾	184	179

(1) Adjusted results are Alternative Performance Measures and are defined and reconciled in the APM(document on the website: www.belfius.com).

Ratios

(in %)	2018	2019
Cost-income ratio ⁽¹⁾	43.9%	41.5%
RoNRE ⁽²⁾	9.0%	7.0%

(1) Expenses relative to income.

(2) Return on Normative regulatory equity (RoNRE) is calculated by Belfius as the net income as a percentage of the average Normative regulatory equity.

Normative regulatory equity & risk exposures

(in millions of EUR)	2018	2019
Normative regulatory equity ⁽¹⁾	2,408	2,676
Regulatory risk exposures	18,056	20,019

(1) The Normative regulatory equity of the business line is calibrated. The business line's CET 1 ratio is brought at 13.5% taking into account the regulatory risk exposures allocated to the business line and some CET 1 capital deductions allocated to the business line (to a very limited extent, since the most important part of CET 1 capital deductions are allocated to GC).

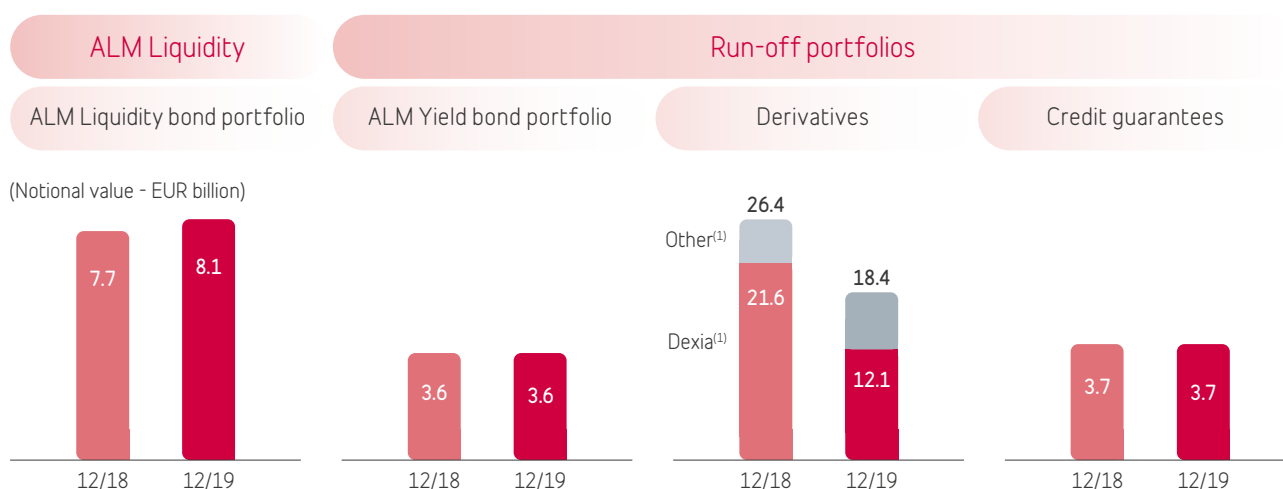
Group center (GC)

Group Center operates through two sub-segments.

- Run-off portfolios, inherited from the Dexia era, which are mainly comprised of:
 - a portfolio of bonds issued by international issuers, especially active in the public and regulated utilities sector (which includes UK inflation-linked bonds), covered bonds and ABS/RMBS, the so-called ALM Yield bond portfolio;
 - a portfolio of credit guarantees, comprising credit default swaps and financial guarantees written on underlying bonds issued by international issuers, and partially hedged by Belfius with monoline insurers (mostly Assured Guaranty); and
 - a portfolio of derivatives with Dexia entities as counterparty and with other foreign counterparties.
- ALM liquidity and rate management and other Group Center activities, composed of liquidity and rate management of Belfius (including its ALM Liquidity bond portfolio, derivatives used for ALM management and the management of central assets)

and other activities not allocated to commercial activities, such as corporate and financial market support services (e.g., Treasury), the management of two former specific loan files inherited from the Dexia era (loans to Gemeentelijke Holding/Holding Communal and Arco entities), and the Group Center of Belfius Insurance.

These portfolios and activities are further described below.



(1) As a result of the take over of Dexia Kommunalbank by the LandesbankHessen-Thüringen EUR 2.6 billion of collateralized derivatives are no longer part of the Dexia-derivatives and have been transferred to the segment of derivatives with international counterparties.

1. ALM Liquidity bond portfolio

The ALM Liquidity bond portfolio is part of Belfius Bank's total LCR liquidity buffer and is a well diversified, high credit and liquidity quality portfolio.

At the end of December 2019, the ALM Liquidity bond portfolio stood at EUR 8.1 billion⁽¹⁾, up EUR 0.4 billion or +5.1% compared to December 2018, is in line

with Belfius' investment program in LCR eligible bonds. End of December 2019 the portfolio was composed of sovereign and public sector bonds (61%), covered bonds (32%), asset-backed securities (4%) and corporates bonds (3%). The Belgian and the Italian government bonds in the ALM Liquidity bond portfolio amounted both to EUR 1.5 billion⁽¹⁾ as of 31 December 2019.

At the end of December 2019, the ALM Liquidity bond portfolio has an average life of 7.7 years, and an average rating of BBB+ (100% of the portfolio being investment grade (IG)).

2. ALM Yield bond portfolio

The ALM Yield bond portfolio of Belfius Bank was used to manage excess liquidity (after optimal commercial use in the business lines) and consists mainly of high quality bonds of international issuers.

At the end of December 2019, the ALM Yield bond portfolio stood at EUR 3.6 billion⁽¹⁾, down 0.9% compared to December 2018, mainly due to amortizations and some limited number of divestments. End

of December 2019, the portfolio was composed of corporates (73%), sovereign and public sector (12%), asset-backed securities (8%), and financial institutions (7%). Almost 85% of the corporate bonds, mainly composed of long-term inflation linked bonds, are issued by highly-regulated UK hospitals, infrastructure companies and utilities such as water and electricity distribution companies. These bonds are of satisfactory credit quality, and the

majority of these bonds are covered with a credit protection by a credit insurer (monoline insurer) that is independent from the bond issuer.

At the end of December 2019, the ALM Yield bond portfolio has an average life of 20.1 years and the average rating remained at A. 97% of the portfolio is investment grade (IG), compared to 95% at year-end 2018.

3. Derivatives with Dexia-entities and foreign counterparties

During the period it was part of the Dexia Group, former Dexia Bank Belgium (now Belfius Bank) was Dexia Group's "competence center" for derivatives (mainly interest rate swaps): this meant that all Dexia entities were able to cover their market risks with derivatives with Dexia Bank Belgium, mainly under standard contractual terms related to cash collateral. Former Dexia Bank Belgium systematically rehedge these derivative positions externally, as a result of which these derivatives broadly appear twice in Belfius' accounts: once in relation to Dexia entities and once for hedging.

The total outstanding notional amount of derivatives with Dexia entities and interest rate derivatives with international counterparties amounted to EUR 18.4 billion at the end of December 2019, down EUR 7.9 billion or -30% compared to EUR 26.4 billion at the end of December 2018.

The derivatives with Dexia entities decreased by 44% (or EUR -9.5 billion) to EUR 12.1 billion at the end of December 2019. This strong decrease is the result of two elements. On the one hand, as a result of the take over of Dexia Kommunalbank by the Landesbank Hessen-Thüringen, EUR 2.6 billion of collateralized derivatives are no longer part of the Dexia derivatives and have been transferred to the segment of derivatives with international counterparties. On the other hand, following amortizations, novations to third parties and further compression of derivatives, the nominal amount of derivatives with Dexia entities further decreased by EUR 7 billion.

The derivatives with international counterparties increased by EUR 1.6 billion (or 33%) to EUR 6.3 billion, due to the above mentioned transfer of collateralized derivatives, which more than compensated

for the decrease of non-collateralized derivatives due to deleveraging actions.

The fair value of the Dexia and international counterparties' derivatives amounts to EUR 4.2 billion. After collateralisation the Exposure At Default (EAD) amounts to EUR 1.4 billion.

At the end of December 2019, the average rating of the total portfolio stood at BBB+ and the average residual life of the portfolio stood at 12.3 years⁽²⁾ compared to 14.1 years⁽²⁾ at the end of December 2018. The decrease in average rating (from A- as of year-end 2018) relates to a novation of uncollateralized derivatives from an AAA-rated counterparty into collateralized derivatives with a lower rated counterpart.

(1) Nominal amount.

(2) Calculated on EAD.

4. Credit guarantees

At the end of December 2019, the credit guarantees portfolio amounted to EUR 3.7 billion⁽¹⁾, stable compared to December 2018, as there were no material maturities. It relates essentially to Financial Guarantees, and Credit Default Swaps issued on corporate/public issuer bonds (86%) and ABS (14%). The good credit

quality of the underlying reference bond portfolio, additional protection against credit risk incorporated in the bond itself and the protections purchased by Belfius mainly from various monoline insurers (US reinsurance companies, essentially Assured Guaranty) result in a portfolio that is 100% investment grade (IG) in terms of

credit risk profile. This portfolio also contains Total Return Swaps for an amount of EUR 0.4 billion⁽¹⁾.

At the end of December 2019, the average rating of the portfolio stood at A (compared to A- at year end 2018) and the average residual life of the portfolio stood at 9.6 years.

“ ”

Strong decrease in derivatives within the run-off portfolio.

5. Other Group Center activities

The other activities allocated to Group Center include:

- the interest rate and liquidity transformation activity performed within ALM, after internal transfer pricing with commercial business lines, including the use of derivatives for global ALM management;
- the management of two legacy loan files inherited from the Dexia era, i.e. the investment loans to two groups in liquidation, namely Gemeentelijke Holding/Holding Communal and some Arco entities;
- the flow management, a.o. hedge management, of internal and external interest rate derivative flows because Group Center is Belfius' Competence Center for interest rate derivatives;
- treasury activities (money market activities); and
- the results including revenues and costs on assets and liabilities not allocated to a specific business line.

The Group Center of Belfius Insurance is also fully allocated to these other Group Center activities. The Belfius Insurance Group Center contains income from assets not allocated to a specific business line, the cost of Belfius Insurance's subordinated debt, the results of certain of its subsidiaries and costs that are not allocated to a specific business line.

(1) Nominal amount.

(1) Calculated on EAU

6. Financial results GC in 2019

GC net income after tax stood at EUR +25 million in 2019, compared to EUR +33 million in 2018.

In 2019, **total income** amounted to EUR 207 million, that is EUR 29 million more than in 2018. This strong increase results mainly from improved credit spreads offsetting the impact of the low interest rates environment. Note that 2018 was negatively impacted by some hedge inefficiency stemming from basis risk.

Total expenses increased from EUR 144 million in 2018 to EUR 167 million in 2019, mainly following a restructuring provision.

The **gross operating income** improved from EUR 33 million in 2018 to EUR 40 million in 2019.

The **cost of risk** stood at EUR +3 million in 2019, compared to EUR +12 million in 2018 which were mainly related to the reversal of credit risk provision after the sale of Italian government bonds, partly offset by internal downgrade of some exposures (e.g. on UK utilities).

There is no **impairment on (in)tangible assets** in 2019 as in 2018.

Pre-tax income stood at EUR 42 million in 2019 compared to EUR 45 million in 2018.

Taxes amounted to EUR -16 million in 2019 compared to EUR -11 million in 2018. In 2018, the amount of taxes was positively impacted by the fiscal impact of closing our Branch in Dublin (EUR +31 million) whilst fiscal losses in Ireland were only partially recognized in 2018. In 2019, we note the positive impact of a reversal of EUR +6 million following the prescription of a tax uncertainty within London Branch and less negative impact from fiscal losses in Ireland.

As a result, Belfius' **GC net income group share** amounted to EUR +25 million in 2019, compared to EUR +33 million in 2018.

Excluding special items, the **adjusted net income GC** stood at EUR +41 million in 2019, compared to EUR -21 million in 2018.

Financial Results GC

(in millions of EUR)	2018	2019
INCOME	178	207
Net interest income bank	196	197
Net fee and commissions bank	1	(2)
Life insurance contribution	0	(2)
Non(life insurance contribution	0	0
Other	(19)	14
COSTS	(144)	(167)
GROSS INCOME	33	40
Cost of risk	12	3
Impairments on (in)tangible assets	0	0
NET INCOME BEFORE TAXES	45	42
Tax (expense) income	(11)	(16)
NET INCOME AFTER TAXES	34	26
Non controlling interests	1	1
NET INCOME GROUP SHARE	33	25
ADJUSTED NET INCOME⁽¹⁾	(21)	41

(1) Adjusted results are Alternative Performance Measures and are defined and reconciled in the APM(document on the website: www.belfius.com).



Capital management

Capital management at the bank

1. Prudential supervision

1.1. Minimum Requirement

Belfius Bank reports on its solvency position on consolidated level and on statutory level in line with CRR/CRD IV regulations:

- the minimum capital requirements ("Pillar 1 requirements") as defined by Article 92 of Regulation (EU) No 575/2013 (CRR);
- the capital requirements that are imposed by the decision following the SREP in application of Article 16(2)(a) of Regulation (EU) No 1024/2013 and which go beyond the Pillar 1 requirements ("Pillar 2 requirements");
- the combined buffer requirement as defined in Article 128(6) of Directive 2013/36/EU (CRD IV).

As a result of the annual "Supervisory Review and Evaluation Process" (SREP) finalized by the ECB in the beginning of 2019, Belfius had to comply for 2019 with a minimum CET 1 ratio of 10.82% (including the countercyclical capital buffer), composed of:

- a Pillar 1 minimum of 4.5%;
- a Pillar 2 Requirement (P2R) of 2.25%;
- a capital conservation buffer (CCB) of 2.5%;
- a buffer for (other) domestic systemically important institutions (O-SII buffer) of 1.5% (imposed by the National Bank of Belgium) and
- a countercyclical capital buffer (CCyB) of 0.07%

Belfius has to respect the full combined buffer requirements (capital conservation buffer, countercyclical capital buffer, buffer for systemically important institutions and systemic risk buffer) and the Pillar 2 buffer requirements. Note that the ECB also notified Belfius of a Pillar 2 Guidance (P2G) of 1% CET 1 ratio for 2019, a recommended buffer to be held over the minimum requirements set forth above.

The consolidated CET 1 ratio of Belfius was at the end of 2019 well above the above-mentioned 2019 applicable CET 1 capital requirement.

As a result of the annual "Supervisory Review and Evaluation Process" (SREP) finalized by the ECB at the end of 2019, Belfius must comply for 2020 with a minimum CET 1 ratio of 10.57% (including the countercyclical capital buffer) from 1 January 2020 onwards, down 0.25% following the lowering of the Pillar 2 Requirement (P2R) from 2.25% to 2%.

On 11 March 2020, the Financial Policy Committee (FPC) of the Bank of England has reduced the UK countercyclical buffer rate to 0% of banks' exposures to UK borrowers with immediate effect, to support further the ability of banks to supply the credit needed to bridge a potentially challenging period due to the economic shock from COVID-19.

For similar reasons, on 11 March 2020, the National Bank of Belgium has decided to reduce the Belgian countercyclical buffer rate of banks' exposures to Belgian borrowers, formerly set at 0.5% and announced on 28 June 2019 for implementation as from 1 July 2020 onwards, to 0% till further notice.

Following the measure of the FPC of the Bank of England, as from 11 March onwards, the countercyclical capital buffer stands at 0.01% for Belfius, a countercyclical capital buffer stemming from the applicable countercyclical buffer rates for banks' exposures to French⁽¹⁾ and Luxembourg borrowers.

(1) In France, the High Council for Financial Stability (Haut Conseil de Stabilité Financière) fully released the countercyclical buffer. As from 2 April 2020 and until further notice, this rate amounts to 0%.

For Q1 2020, Belfius must thus comply with a minimum CET 1 ratio of 10.51%, that is composed of:

- a Pillar 1 minimum of 4.5%;
- a Pillar 2 Requirement (P2R) of 2%;
- a capital conservation buffer (CCB) of 2.5%;
- a O-SII buffer of 1.5% and
- a total countercyclical capital buffer of 0.01%

The ECB has again notified Belfius of a Pillar 2 Guidance (P2G) of 1% CET 1 ratio for 2020.

Further to these regulatory requirements, in normal market circumstances and under stable regulations, Belfius had defined a minimum operational CET 1 ratio of 13.5%, on solo and consolidated levels. This ratio is intended to safeguard Belfius' distribution assessment and decision autonomy even under some stressed financial environments. In addition, Belfius' Risk Appetite Framework end 2019 stated that it will manage, in normal market circumstances and stable regulations, with a target CET 1 ratio range of 15% to 15.5%, higher than this minimum operational level to take into account additional unforeseeable elements. Belfius intends to manage its solvency in line with this target zone in normal times and on a steady state basis, unless the above mentioned buffer is (partially or entirely) used, and as long as regulations on statutory and/or consolidated capital ratios would not materially change.

1.2 Applied methodology

In line with CRR/CRD IV regulations part X, Belfius was authorised to apply transitory measures in the calculation of its regulatory own funds with limited impact on the regulatory risk exposure. The Belgian application of these measures is described in the Royal Decree of 10 April 2014 (published on 15 May 2014) and was referenced as the "phased in" calculation. The measures impacting the CET 1 capital ended on 31 December 2017, moreover Belfius Bank has no Tier 2 Instruments anymore subject to the transitional measures applicable till 31 December 2021. Seeing the non-application of these transitory measures on CET 1 capital, on

regulatory own funds and on regulatory risk exposure for Belfius, the 2019 solvency metrics are not referenced anymore as "phased in" or "fully loaded".

The regulator has authorised Belfius to apply article 49 of the CRR and to monitor and report solvency on the prudential scope, where Belfius Insurance is equity-accounted for (hence not fully consolidated but treated as a third party), and as such, to include the capital instruments of Belfius Insurance subscribed by Belfius Bank in the total regulatory risk exposure by applying a weighting of 370% (the so-called "Danish Compromise").

In addition to the CRR/CRD IV regulations, Belfius is considered as a financial conglomerate with significant banking and insurance activities and has to comply with the Financial Conglomerate Directive (FICO 2002/87/EC). For this purpose, specific reporting requirements with financial statements, regulatory capital, risk concentration and leverage ratio are sent to the regulator. These calculations and reportings are done on the consolidated position of the bank and insurance group.

At the end of 2019, Belfius also complies with all requirements requested from a financial conglomerate point of view.



2. Regulatory own funds on consolidated level

As indicated above, for regulatory reporting purposes, Belfius Insurance group is not consolidated but equity accounted for. As a result, core shareholders' equity and the consolidated net income reported in the consolidated financial statements differ from that reported in the regulatory reporting used for the regulatory core own funds.

(in millions of EUR)	31/12/18	31/12/19
ACCOUNTING CORE SHAREHOLDERS' EQUITY	9,055	9,348
Transformation of the insurance group in a third party exposure	(178)	(198)
STARTING POINT FOR THE REGULATORY CORE OWN FUNDS	8,877	9,150

At the end of 2019, the starting point for the regulatory core own funds amounted to EUR 9,150 million, an increase of EUR 273 million stemming from the regulatory net result of 653 million for 2019 offset by the remaining part of the dividend of 363 million over the full year result of 2018, the interim dividend paid in August 2019 of EUR 100 million over the year 2019 and the AT1 interest payments of EUR 13 million during 2019 (considered as dividend under IFRS).

Note that the regulatory net income (EUR 653 million) differs from the consolidated net result (EUR 668 million) due to the "prudential" consolidation scope, as described above. The scope change adjustments can be detailed as follows:

(in millions of EUR)	31/12/18	31/12/19
CONSOLIDATED NET INCOME	649	668
Elimination of Belfius Insurance	(204)	(206)
Scope changes:		
dividend (Belfius Insurance)	120	160
other	(24)	31
REGULATORY NET INCOME	541	653

Regulatory own funds

(in millions of EUR)	31/12/18	31/12/19	
		Dividend at 40% pay-out ratio	PF limited to interim dividend
STARTING POINT FOR THE REGULATORY CORE OWN FUNDS	8,877	9,150	9,150
DEDUCTION OF FORESEEABLE DIVIDEND	(266)	(164)	(3)
GAINS AND LOSSES NOT RECOGNISED IN THE STATEMENT OF INCOME	99	144	144
Remeasurement defined benefit plans	39	90	90
OCI reserves (portfolios measured at FVTOCI	60	54	54
Other reserves	14	(82)	(82)
Prudential filter on the fair value reserves related to gains and losses on cash flow hedges on financial instruments	(14)	82	82
DEDUCTIONS AND PRUDENTIAL FILTERS	(380)	(350)	(350)
Investments in securitisation positions	(21)	0	0
Deferred tax assets on losses carried forward	(1)	(1)	(1)
Changes in the value of own credit standing	(5)	(2)	(2)
Value adjustments due to the requirements for regulatory prudent valuation	(92)	(71)	(71)
Intangible fixed assets	(139)	(153)	(153)
Goodwill	(104)	(104)	(104)
Shortfall of provisions over expected losses for IRB portfolios	(2)	(2)	(2)
Defined Benefit Pension Plan assets	0	0	0
Payment Commitments IPC	(17)	(17)	(17)
COMMON EQUITY TIER 1 CAPITAL (CET1 CAPITAL)	8,329	8,780	8,941
Additional Tier 1 capital instruments	497	497	497
TIER 1 CAPITAL	8,826	9,277	9,438
Tier 2 capital instruments	1,120	1,098	1,098
Excess of provisions over expected losses for IRB portfolios	172	189	189
General credit risk adjustments SA (standard approach)	112	105	105
TIER 2 CAPITAL	1,404	1,391	1,391
REGULATORY OWN FUNDS (AFTER APPROBATION OF RESULT)	10,230	10,669	10,830

CET 1 capital amounted to EUR 8,780 million, compared with EUR 8,329 million at the end of 2018. The increase in CET 1 capital of EUR 451 million results mainly from the inclusion of the net prudential result and the increase of the "gains and losses not recognized in the statement of income", partially offset by the correction for foreseeable dividend of EUR 164 million (calculated with an additional dividend based on a 40% pay-out ratio).

Please note that the World Health Organization (WHO) has declared the COVID-19 outbreak as a public health emergency of international concern in January 2020, weighing on global financial markets and global economic growth which may consequently have an impact on the financial position of Belfius.

As a consequence, Belfius has decided not to pay out an additional dividend of EUR 161 million but to integrate this result in retained earnings, available for distribution once the impacts of the economic crisis following COVID-19 are more clear. Note that an amount of EUR 100 million was paid in August 2019 as interim dividend over 2019 results.

As a result, a proforma calculation "limited to interim dividend" of the solvency metrics at the end of 2019 is performed; resulting in a CET 1 capital of EUR 8,941 million at the end of 2019 as only the remaining AT1 instrument coupon cost after tax is considered as foreseeable dividend.

(in millions of EUR)	
Consolidated net result 2019	667.5
Correction for coupon for AT1 holders, after tax (paid out and remaining for the year)	(15.7)
Pay out ratio 2019 (formal decision of BoD)	40%
FORESEEABLE DIVIDEND FOR ORDINARY SHARES	261.0
Paid interim dividend	(100.0)
REMAINING FORESEEABLE DIVIDEND FOR ORDINARY SHARES	161.0
REMAINING COUPON FOR AT1 HOLDERS FOR 2019	2.9
TOTAL FORESEEABLE DIVIDEND TO DEDUCT FROM UNDISTRIBUTED PROFIT	163.9

The deduction of foreseeable dividend of EUR 164 million in 2019 is a prudential adjustment of the year-to-date undistributed regulatory net profit, considered not eligible for CET 1 capital.

This amount consists of:

- a calculation of the foreseeable dividend for ordinary shares based on a payout ratio of 40% multiplied by the 2019 consolidated net result reduced by the full year 2019 coupon cost after tax (accounting wise treated as dividend) on the AT1 instrument, rounded by the million, and then reduced by the 1H 2019 interim dividend of EUR 100 million which was paid in August 2019 (to note: accounting wise already deducted from retained earnings); and
- the remaining AT1 instrument coupon cost after tax (accounting wise to be treated as dividend) since last coupon date, which has not yet been paid out to AT1 holders (i.e. EUR 2.9 million, which is accounting wise not yet deducted from equity, for the period between 16 October and 31 December 2019).

The increase of the “gains and losses not recognised in the statement of income” of EUR 45 million is mainly related to the remeasurement of defined benefit plans (increase of EUR 51 million) due to

- the positive return on plan assets and the remeasurement of a pension plan for which Belfius is now informed again of the fair value of the underlying asset portfolio of the segregated fund,
- change in pension plans parameters and
- decrease in inflation rate.

This increase was partially offset by a lower discount curve compared to end 2018.

The deductions and prudential filters have decreased with EUR 30 million mainly following

- a positive evolution of EUR 21 million in the additional valuation adjustment and
- the sale of a remaining ABS position of EUR 21 million.

Tier 1 capital amounted to EUR 9,277 million, compared to EUR 8,826 million at the end of 2018 as it includes the additional Tier 1 issue of EUR 500 million (nominal value) of February 2018. The Tier 1 capital in the proforma “limited to interim dividend” amounts to EUR 9 438 million at the end of 2019.

Tier 2 capital decreased from EUR 1,404 million to EUR 1,391 million. This decrease is mainly related to the decrease of EUR 22 million of the useful prudential value of subordinated Tier 2 instruments. There is no impact on the Tier 2 capital in the proforma “limited to interim dividend” exercise at the end of 2019.

At the end of 2019, the total regulatory own funds amounted to EUR 10,669 million, compared to EUR 10,230 million at the end of 2018. The total regulatory own funds in the proforma “limited to interim dividend” amounts to EUR 10 830 million at the end of 2019.

3. Regulatory risk exposure on consolidated level

The regulatory risk exposure⁽¹⁾ includes risk-weighted exposures for credit risk including counterparty credit risk, CVA risk, market risk and operational risk. Each of the underlying risks is detailed further on in this report. Risk-weighted exposure also stems from the Danish Compromise, whereby the capital instruments issued by Belfius Insurance and held by Belfius Bank are included in the regulatory risk exposure via a weighting of 370%.

(in millions of EUR)	31/12/18	31/12/19	Evolution
Regulatory credit risk exposure	38,932	42,543	3,611
Regulatory CVA exposure	1,606	1,382	-224
Regulatory market risk exposure	1,801	1,315	-486
Regulatory operational risk exposure	2,975	3,140	165
Danish Compromise	6,751	6,868	117
Additional risk exposure (Art 3 CRR)	0	1,150	1,150
REGULATORY RISK EXPOSURE	52,065	56,398	4,333

End 2019, regulatory risk exposure of Belfius amounted to EUR 56,398 million, an increase with EUR 4,333 million compared to EUR 52,065 million at the end of 2018.

The regulatory credit risk exposure including counterparty credit risk increased by EUR 3,611 million to EUR 42,543 million. This increase is mainly due linked to an increasing stock of loans to the corporate and business banking segments as well as the increase in mortgage loans, especially in the second half of 2019.

The regulatory risk exposure for Danish Compromise slightly increased at EUR 6,868 million, mainly due to the variations of the exposure value of the underlying Tier 2 instruments of Belfius Insurance, subscribed by Belfius Bank.

The regulatory CVA exposure decreased with EUR 224 million thanks to additional hedges and market evolutions.

The regulatory market risk exposure declined by EUR 486 million as a result of market evolutions.

Regulatory operational risk exposure slightly increased (EUR +165 million) over the period, in line with the increase in income.

In anticipation of a more stringent regulatory framework applicable from 2020 onwards, Belfius has - in accordance with article 3 of the CRR - included an additional regulatory risk exposure of EUR 1,150 million in its end 2019 solvency requirements.

There is no impact on the regulatory risk exposure in the proforma "limited to interim dividend" exercise at the end of 2019.

(1) Regulatory Risk Exposure (RRE) also known as Risk Weighted Assets (RWA).

4. Solvency ratios for Belfius Bank on consolidated level

(in %)	31/12/18	31/12/19			
		Dividend at 40% pay-out ratio		PF limited to interim dividend	
CRR/CRD IV	Danish Compromise	Danish Compromise	Deduction method	Danish Compromise	Deduction method
Common Equity Tier 1 ratio (CET 1-ratio)	16.0%	15.6%	16.1%	15.9%	16.4%
Tier 1-capital ratio (T1-ratio)	17.0%	16.4%	16.7%	16.7%	17.1%
Total capital ratio	19.6%	18.9%	18.7%	19.2%	19.0%

At the end of 2019, CET 1 ratio amounted to 15.6%, a decrease of 43 bps compared to the end of 2018. Note that this CET 1 ratio takes into account a prudential deduction for foreseeable dividend of EUR 164 million. In the proforma "limited to interim dividend" calculation, the CET 1-ratio amounts to 15.9%, the Tier 1-ratio amounts to 16.7% and the total capital ratio amounts to 19.2%.

The decrease in CET 1 ratio to 15.6% is the result of positive effects in CET 1 capital (+87 bps) offset by negative effects in total risk exposure (-130 bps). We refer to the comments above for further information. In the proforma "limited to interim dividend" calculation the CET 1-ratio decreases with 14 bps, the result of positive effects in CET 1-capital (+109 bps) offset by negative effects in total risk exposure (-123 bps).

At the end of 2019, Tier 1 capital ratio amounted to 16.4%, a decrease of 50 bps compared to the end of 2018. This decrease is following the evolution of the CET 1-ratio. In the proforma "limited to interim dividend" calculation the Tier 1-ratio decreases with 22 bps.

The total capital ratio amounted to 18.9%, a decrease of 73 bps compared to the end of 2018. In the proforma "limited to interim dividend" calculation the total capital ratio decreases with 45 bps.

Applying the "Danish Compromise" compared to the deduction method for capital instruments of Belfius Insurance (equity deducted from CET 1 capital and subordinated debt instruments deducted from Tier 2 capital) has the following impacts: using the deduction method would result in an increase of 53 bps on the CET 1 ratio and a decrease of 22 bps on the total capital ratio.

In the proforma "limited to interim dividend" calculation the use of the deduction method would result in an increase of 57 bps on the CET 1-ratio and a decrease of 18 bps on the Total Capital Ratio.

5. Solvency ratios for Belfius Bank on statutory level

At the end of 2019, the CET 1 ratio on Belfius Banks' prudential level (before inclusion of the prudential statutory net result of EUR 611 million) amounts to 14.9%.

At the end of 2019, the available distributable items on statutory level amounted to EUR 4,058 million.

Belfius
remains one of
the best capitalised
bank-insurers
in Europe.

6. Leverage ratios for Belfius Bank on consolidated level

In December 2010, the Basel Committee on Banking Supervision (BCBS) published guidelines for calculating the leverage ratio as a non-risk based ratio which primarily intends to restrict the size of the bank's balance sheets and consequently the use of excessive leverage.

The leverage requirement became a binding requirement with CRR 2, published in the EU Official Journal on 7 June 2019 and is applicable from June 2021. The CRR 2 integrates the leverage ratio in the Pillar I requirement and sets the level of minimum requirement at 3%, a surcharge for banks considered as G-SIB or O-SIB has also been introduced, the EBA has fixed this surcharge for G-SIB and has a mandate to analyse whether some O-SIB (like Belfius) should get this buffer requirement.

The leverage ratio is defined as the Tier 1 capital (the numerator) divided by the exposure measure (the denominator), computed as balance sheet assets after certain restatements on derivatives, securities financing transactions, off-balance-sheet items and prudential adjustments (for items already deducted from the numerator).

In order to be consistent with the calculation of the regulatory Tier 1 capital (numerator), the calculation of the leverage exposure (denominator) is based on the prudential consolidation perimeter, i.e. for Belfius without consolidation of the Belfius Insurance group.

Policies have been put in place at Belfius to manage excessive leverage, including a description of the main sensitivity drivers of the denominator.

At the end of 2019, the Belfius' leverage ratio – based on the current CRR/CRD IV legislation – stood at 5.8%, a decrease of 10 bps compared to the end of 2018 and well above the minimum pillar 1 requirement of 3%, applicable from June 2021 onwards. In the proforma "limited to interim dividend" calculation at the end of 2019, the leverage ratio amounts to 6.0%.

	31/12/18	31/12/19	
		dividend at 40% pay-out ratio	PF limited to interim dividend
(in millions of EUR)			
TIER 1 CAPITAL	8,826	9,277	9,438
Total assets	164,165	172,440	172,440
Deconsolidation of Belfius Insurance	(17,400)	(17,797)	(17,797)
Adjustment for derivatives	(17,649)	(16,880)	(16,880)
Adjustment for securities financing transactions exposures	3,683	4,259	4,259
Adjustment for prudential corrections in calculation of Tier 1 capital	(266)	(260)	(260)
Off-balance sheet exposures	15,782	17,072	17,072
LEVERAGE RATIO EXPOSURE	148,315	158,834	158,834
LEVERAGE RATIO	6.0%	5.8%	6.0%

The decrease is the result of positive effects (+30 bps) from the higher level of Tier 1 capital (see above), more than offset by negative effects (-40 bps) from the higher total leverage exposure measure, mainly due to the increasing exposure value mainly from higher volumes of loans to customers and an increase in securities financing transactions exposures due to increased reverse repurchase agreements to credit institutions. In the proforma "limited to interim dividend" calculation the positive effects (+41 bps) from the higher level of Tier 1-capital are offset by the negative effects (-41 bps) from the unchanged total leverage exposure measure.

7. Minimum requirement for own funds and eligible liabilities

On 17 April 2019, the National Bank of Belgium (NBB) has notified Belfius Bank of the MREL requirement imposed by the Single Resolution Board (SRB).

The Single Resolution Board (SRB) determines the consolidated MREL requirement for Belfius Group at the level of 10.56% of Total Liabilities and Own Funds (TLOF), to be met at all times and taking into account an evolving balance sheet. Based upon data as of 31 December 2019, Belfius' MREL of EUR 17.04 billion exceeds the MREL requirement of EUR 14.38 billion.

Following the current SRB methodology, Belfius Group already exceeded the MREL requirement based on data as of 31 December 2017, and hence no transitional period has been defined by the SRB for Belfius.

According to the latest SRB MREL policy, a subordinated MREL floor of $[14\% + \text{CBR}]$ of Total Risk Exposures has been put forward as benchmark for O-SIBs. Applying this benchmark, using current CBR applicable to Belfius, would lead to a benchmark level of subordinated MREL of 18.07% of the Total Risk Exposures as of 31 December 2019. Based upon data as of 31 December 2019, Belfius' subordinated MREL level amounts to 22% of Total Risk Exposures and hence exceeds the benchmark.

The SRB has indicated that it intends to publish its "MREL policy 2020" by end of April 2020 and that it will form the basis for MREL setting under BRRD2 / SRMR2. If such timing is respected, the SRB expects to communicate the BRRD2 MREL decisions to banks early 2021. Until end 2020, SRB MREL decisions continue to be based on SRMR1/ BRRD1.

Following the publication of the RRM Package in the Official Journal of the EU on 7 June 2019 and the CRR2 that came into force on 27 June 2019, it is to note that Belfius will be impacted by a change in MREL eligibility as "liabilities should be directly issued and should not be owned by an undertaking in which the institution has a participation of more than 20%". As a consequence, Belfius will have to exclude liabilities issued by Belfius Financing Company, i.e. Belfius' Luxembourg based issuance vehicle for CP and Retail Bonds (that are currently partly accounted for as MREL eligible instruments). Excluding these retail senior securities Belfius remains compliant with its 10.56% MREL requirement as of December 2019.

8. Impact of upcoming regulatory reforms

In the coming years, different regulatory reforms are still expected with an impact on the financial position of the banks.

8.1. EU Banking reform

On 7 June 2019, the Risk Reduction Measure package (RRM) was published in the EU Official Journal.

The RRM package (BRRD2 - SRMR2 - CRR2 - CRD5) foresees among others:

- a binding leverage ratio, including a surcharge for the banks considered as G-SIBs and O-SII;
- a binding NSFR ratio;
- a new method for the measurement of counterparty credit risk (SA-CCR);
- a broader application of the SME supporting factor;
- a reporting requirement to supervisory authorities under a revised market risk framework (Fundamental Review of the Trading Book);
- an enhanced framework for the interest rate risk in the banking book;

- a revision of the treatment of large exposures;
- a comprehensive framework covering Minimum Requirement for own funds and Eligible Liabilities (MREL) including cap for subordination and sanctions to MREL breaches and links with the bail-in rules;
- a minimum loss coverage mechanism for new non-performing exposures (Backstop provisioning)

Most of the CRR2 new requirements will become fully applicable in June 2021.

8.2. Internal model review program

In order to make capital levels more comparable and to reduce variability in banks' internal models, the European Central Bank (ECB) introduced the Targeted Review of Internal Models (TRIM) in June 2017 to assess the reliability and comparability between banks' models. This project is now nearing completion. From the information received till date, no major immediate impact on Belfius' solvency figures has been identified.

During the same period, the European Banking Authority (EBA) set up a roadmap to face the same concerns, but focused on credit risk models only. Guidelines and technical standards covering the definition of default, the treatment of defaulted assets and the estimation of probability of default (PD) and loss given default (LGD) have been finalised. These new requirements will be gradually implemented by Belfius from 2020 onwards, in accordance with the ECB roadmap.

8.3. Basel III finalisation

The Basel Committee on Banking Supervision (BCBS) announced on 7 December 2017 its revised capital standards. The adjustments aimed at ensuring:

- sufficient robustness and risk-sensitivity of the standardized approaches;
- a restored confidence in internal models by a reduction of model risks (risk under-estimation) and a reduction of the undue variability of model outcomes among banks;
- the finalization of the design and calibration of the leverage ratio and output floor.

The reform, also referred as "finalisation of Basel III", includes:

- a revision of the standardized approaches for credit and operational risks, and for credit valuation risk;
- additional constraints in the use of internal models;
- an aggregate floor based on 72.5% of standardized regulatory risk exposures for banks using internal models;
- a surcharge in the leverage ratio for the largest institutions;
- a revision - finalised in January 2019 - of the Fundamental Review of the Trading Book.

In its initial version, these revised capital standards would become applicable from 1 January 2022 onwards, at the exception of the output floor for which a phasing period has been foreseen, at 50% in 2022 and increasing gradually up to 72.5% in 2027. In a response to the COVID-19 crisis, the Basel Committee announced on 27 March 2020 that the implementation date has been deferred by one year to 1 January 2023. The accompanying transitional arrangements for the output floor has also been extended by one year to 1 January 2028.

The monitoring of the changing regulatory landscape forms a fundamental part of Belfius' capital planning, risk appetite and strategy.

Belfius continues to monitor the potential impacts of the Basel III finalisation package on its solvency. Based on most recent assessments and current balance sheet, Belfius expects an impact on its CET1 ratio in the range of 100 to 125 basis points and considers that its solvency will be sufficiently robust in normal market circumstances to successfully comply with the provisions of this new regulatory landscape in 2023. However, this estimate is still subject to uncertainties related among others to:

- the transposition of the international agreements in EU legal framework (including use of national discretions foreseen in the international agreement and the maintenance of current EU specificities);
- the possibility of the macro prudential authority (for Belfius, the NBB) to mitigate positive impacts of different measures foreseen in the final Basel agreement (e.g. LGD floor for mortgage loans); and
- the risk profile and the structure of the balance sheet and off-balance sheet of Belfius at the time of the entry into force of the finalisation of the revised standards (2023).

Capital management at Belfius Insurance

1. Prudential supervision

Belfius Insurance reports to its regulator, the NBB. Amongst others a quarterly report concerning its solvency margin and liquidity is required, both at a consolidated and at a statutory level.

As part of prudential supervision over systemic insurers, highly detailed information is also provided to the NBB about the company's strategy, its ALM policy and the sufficiency of its technical provisions.

2. Regulatory own funds

The risks that Belfius Insurance faces are reflected in the "Solvency II requirements" which are applicable to all EU-Member States. The own funds of Belfius Insurance available to cover the requirements are determined according to the valuation and eligibility principles defined in the Solvency II regulation, Directive 2009/38/EU.

The regulatory own funds of Belfius Insurance amounted to EUR 2,466 million at the end of December 2019. It is composed for 85% of the highest quality capital Tier 1. Tier 2 capital equals EUR 371 million and consists mainly of two subordinated loans granted by Belfius Bank.

Compared to December 2018, the regulatory own funds of Belfius Insurance have increased by EUR 235 million. The continuous decline of the interest rates led to an increasing Best Estimate of Technical Provisions, but this was more than offset by the increasing market value of the investments, backed by a strong stock market at year end. A further reduction of the deferred tax liabilities can be observed too and no foreseeable dividend is expected due to the COVID-19 crisis..

Belfius Insurance consolidated

(in millions of EUR)	31/12/18	31/12/19
AVAILABLE FINANCIAL RESOURCES BEFORE FORESEEABLE DIVIDEND	2,391	2,466
Tier 1	1,859	1,925
IFRS Equity	1,794	2,144
Valuation difference (after tax)	65	(219)
Restricted Tier 1	170	171
Tier 2	362	371
Subordinated debt	351	360
Others	11	11
AVAILABLE FINANCIAL RESOURCES AFTER FORESEEABLE DIVIDEND	2,231	2,466
AFR before foreseeable dividend	2,391	2,466
Foreseeable dividend	(160)	0

3. Solvency requirement

The Solvency II Capital Requirement (SCR) is calculated based on the consolidated asset and liability portfolio of Belfius Insurance, Corona and those investment entities that are fully consolidated for Solvency II purposes.

The SCR for Belfius Insurance is determined using the "Standard Formula" as defined in the Solvency II regulation, taking into account a volatility adjustment and making use of the transitional measure for equities. In its SCR, Belfius Insurance has to apply the restriction on the use of Loss Absorbing Capacity of Deferred Taxes as prescribed by the NBB. Belfius Insurance's SCR amounted to EUR 1,162 million at the end of December 2019, an increase of EUR 65 million compared to the end of 2018.

The slight increase is due to the declining positive effect of the Loss Absorbing Capacity of Deferred Taxes (LACDT), partially offset by the positive effect of reviewed regulatory treatment by the NBB of guarantees committed to by the regional governments and local authorities (RGLA) and the treatment of long-term and unlisted equities (LTE).

Market Risk is still the main contributor to the SCR due to the spread risk and equity risk. The SCR linked to the interest rate risk is rather limited thanks to Belfius Insurance's ALM policy of strictly limiting the gap between the duration of assets and that of liabilities on the balance sheet of Belfius Insurance.

(in millions of EUR)	31/12/18	31/12/19
SOLVENCY CAPITAL REQUIREMENT	1,097	1,162
Market risk	1,024	917
Credit Risk	170	188
Insurance Risk	640	667
Operational Risk	94	97
Diversification	(511)	(528)
Loss absorbing capacity of technical provisions and deferred taxes	(318)	(178)

4. Solvency ratios at Belfius Insurance

The Solvency II-ratio (before dividend) of Belfius Insurance stood at 212% at the end of December 2019, slightly lower than the ratio as of December 2018. This decrease is the consequence of the increase in SCR which was not fully compensated by a same proportionate increase in regulatory own funds.

Note that the Solvency II ratio previously communicated in the press release of Belfius Bank on 21 February 2020, amounted to 199% and included a proposed dividend of EUR 120 million. However, following outbreak of the COVID-19 crisis, the Board of Directors of Belfius Insurance proposed to the General Assembly to integrate the dividend over FY 2019 in retained earnings pending the analysis of all impacts of the COVID-19 crisis on the financial position; apart from the dividend pay-out following the contractual profit allocation amounting to EUR 4.6 million.

Further to the minimum regulatory requirements of 100%, Belfius Insurance has, in current market circumstances and under current regulations, defined a minimum operational Solvency II ratio of 160% both on solo and on consolidated level.

In addition to the establishment of a complete risk framework, the Solvency II regulations also require a self-assessment in which, taking the business plan into account, the future capital buffers are estimated and a number of sensitivity analyses are performed. In these analyses Belfius Insurance still disposes of the appropriate capital margins required to absorb shocks, as stated in the Risk Appetite Framework approved by the Board of Directors.

A 50 bps fall in the interest level (compared with the level at the end of 2019) would have an impact of -10pp on the Solvency II ratio. A stock market shock of -30% on share prices would have an impact of -9 pp while a drop in the real estate portfolio of 15% would decrease the solvency ratio by -8 pp. A 50 bps rise in the credit spreads across the whole bond and credit portfolio leads to a drop of -26 bps and the elimination of the Volatility Adjustment in calculation of the Best Estimate of liabilities would result in an impact of -10 pp. The reduction of the Ultimate Forward rate (UFR) from the current level of 3.90% to a level of for instance 3% would decrease the solvency ratio by -11 pp.

Solvency II-ratio

(in %)	31/12/18	31/12/19
Solvency II ratio (before dividend)	219%	212%
Solvency II ratio (after dividend)	203%	212%

	Shock	Solvency II Ratio (in %)
Base case (after dividend)		212%
Stress scenarios		
Interest rate	-50 bps	202%
Equity	-30%	203%
Credit Spread		
Credit spread on corporate bonds	+50 bps	204%
Credit spread on government bonds	+50 bps	195%
Credit spread on corporate & government bonds	+50 bps	186%
Real Estate	-15%	204%
VA	no	202%
UFR	3%	201%

Capital adequacy

As required by Pillar 2 of the Basel regulation, Belfius disposes of an internal mechanism for the quarterly monitoring of main risk appetite and capital adequacy ratios. This quarterly reporting is completed with a monthly monitoring addressing some of the key risk appetite and capital adequacy ratios.

1. Economic Capital

1.1 Definition

The economic capital is defined as the potential deviation of Belfius' economic value from its expected economic value at a given confidence interval and time horizon. The confidence threshold (99.94%) chosen for scenarios involving losses in value corresponds to the Bank's targeted senior unsecured debt rating at a horizon of one year (A rating for 2019).

The economic capital quantification process is organised in three phases: identifying the risks (risk inventory definition and cartography, reviewed on an annual basis, in collaboration with the various business lines), assessing (measuring) the risks (mainly on the basis of statistical methods and/or scenarios) and aggregating the risks based on an inter-risks correlation matrix.

Most risks are capitalised based on measuring the unexpected loss. However, if alternative management techniques (limits, other buffers than capital, governance) are considered more appropriate to cover them, some risks are not capitalised.

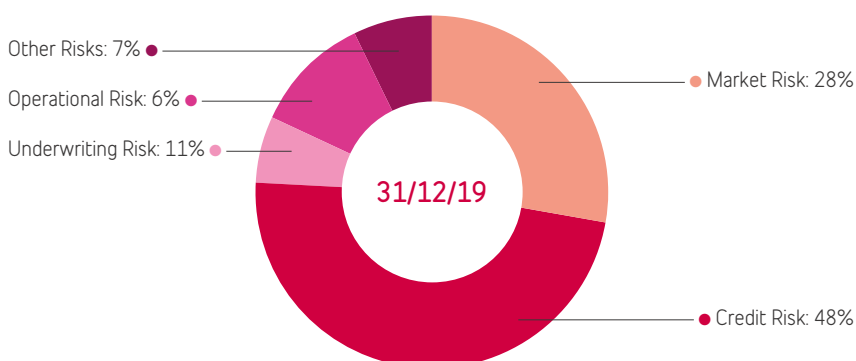
Next to regulatory capital and solvency metrics, the economic capital is also central in the context of Belfius' risk appetite and is complementary to Stress Tests framework for Internal Capital Adequacy Assessment Process (ICAAP) purposes. Economic Capital is also key in Belfius pricing and profitability assessment.

1.2. Economic Capital Adequacy

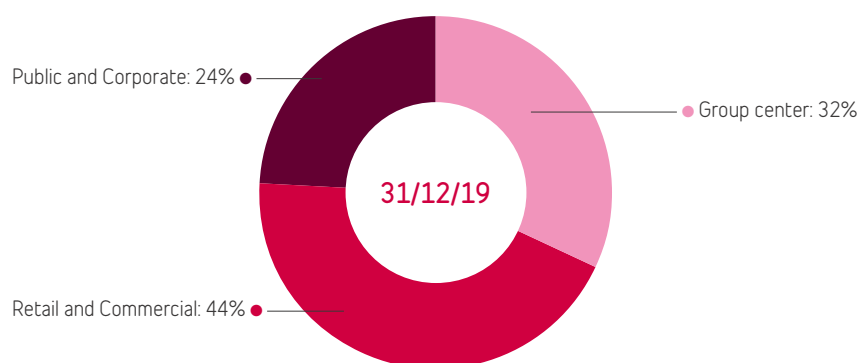
The Management Board, which also acts as the Risk Appetite Committee (RAC), is responsible for managing the capital level and allocation process and has authority in all matters relating to economic capital. The RAC analyses the various models involved in calculating the economic capital and also monitors the (regulatory and economic) ratios, limits and triggers.

Belfius' economic capital was EUR 5,486 million at the end of 2019 (against EUR 5,319 million at the end of 2018).

Breakdown of economic capital by type of risk



Breakdown of economic capital by business line



In 2019, the ranking between the main categories of risks remained the same as in 2018: credit risk represented approximately 48% of the economic capital and was the main contributor; market risk (inter alia including interest rate risk, foreign exchange rate risk and equity risk) was 28%, underwriting risk 11%, operational risk 6% and other risks (prepayment, funding ...) 7%.

Compared to 2018, the weight of credit risk slightly increased (from 47% to 48%) whereas market risk share decreased (from 30% to 28%). Underwriting risk, operational risk and other risks remained stable.

By business line, the economic capital was consumed as follows: Retail and Commercial (RC) and Public and Corporate (PC) represented 44% (44% in 2018) and 24% (22% in 2018) respectively of Belfius' economic capital; the balance was made up of 32% (34% in 2018) allocated to the Group Center (mainly for the Belfius' general balance sheet management in terms of interest and funding risks including the ALM liquidity portfolio and the bonds, derivatives and credit guarantees run-off portfolios).

Normative regulatory equity

The total normative regulatory equity is derived from the starting point of the regulatory core own funds adjusted for the deduction of foreseeable dividend, and further without any other prudential filter or deduction and amounts to EUR 8,986 million end 2019 compared to EUR 8,611 million end 2018. In the proforma "limited to interim dividend" calculation, the normative regulatory equity amounts to EUR 9,147.

The normative regulatory equity of each business line is calibrated. The business line's CET 1 ratio is brought at 13.5% taking into account the regulatory risk exposures allocated to the business line and some CET 1 capital deductions allocated to the business line (to a very limited extent, since the most important part of CET 1 capital deductions are allocated to GC). The delta with the total normative regulatory equity is allocated to Group Center.

	31/12/18	31/12/19	
(in millions of EUR)		dividend at 40% pay-out ratio	PF limited to interim dividend
REGULATORY CORE OWN FUNDS	8,877	9,150	9,150
Deduction of foreseeable dividend	(266)	(164)	(3)
TOTAL NORMATIVE REGULATORY EQUITY	8,611	8,986	9,147
of which allocated to			
Retail and Commercial Banking	2,605	2,819	2,819
Public and Corporate Banking	2,408	2,676	2,676
Group Center	3,598	3,491	3,652



Risk management

Introduction

Belfius' activities are exposed to a number of risks such as - but not exclusively - credit risks, market risks, liquidity risk, non-financial risk, insurance risk, changes in regulations, the macro-economic environment and geopolitical risks in general, that may also have a negative impact on the bank's balance sheet and profit and loss accounts.

To manage adequately these risks, Belfius has put in place a sound governance, including a robust risk framework and a sound risk culture.

1. Macroeconomic environment in 2019

Economic growth continued to remain at the lower side in the eurozone and headed lower over the course of 2019. The slowdown was most pronounced in Germany as the industry sector contracted. Robust domestic demand by the households underpinned GDP growth in France but by the end of the year weak manufacturing sentiment had spread to the rest of the eurozone.

In Belgium, economic growth slowed from 1.5% in 2018 to 1.4% in 2019. The global slowdown and Belgium's dependence on trade with Germany and the rest of the world weighed on GDP growth. Producer sentiment suffered in the first nine months of 2019 on the back of weaker external demand but investment growth still grew stronger than 3% last year. Consumer sentiment weakened somewhat last year, leading to a smaller but still positive growth contribution of consumer spending.

Risk management
governance and
data are more in detail
described in Belfius'
risk report
which is available at
www.belfius.com

In Q4 the French and Italian economies both unexpectedly contracted. More broadly, prolonged weakness in the bloc's industrial sector amid weak external demand, coupled with policy uncertainties at home, have likely continued to constrain growth. Improved economic sentiment and a stable PMI in January, however, suggest momentum strengthened somewhat at the start of 2020.

Since the beginning of 2020, the COVID-19 pandemic has created an unprecedented global social and economic crisis. The spread of the COVID-19 virus beyond China may heavily weight on the global economic growth in 2020.

For Belgium, domestic demand is forecast to be the main driver of economic growth in 2020, while net exports are expected to continue to be adversely impacted by the current slowdown in world trade, as well as by weaker economic growth in the main trading partners of Belgium.

Overall, structural factors such as ageing might also start to weight on the EU economy.

To manage adequately these risks, Belfius has put in place a sound governance, including a robust risk framework and a sound risk culture.

An industrial recession in Germany

The German manufacturing sector was severely impacted by the weakness of international trade and global uncertainties. The car industry also struggled with the revised emission standard for diesel-powered vehicles. Together this caused industrial output to contract by 7.2% in the eurozone's largest economy. As a result, overall GDP growth in Germany slowed from 1.5% in 2018 to 0.6% in 2019.

Trade disputes

The U.S. trade war and China largely determined the economy confidence and short-term growth prospects. The talks did not always run smoothly but by the end of the year there was new hope for a breakthrough. A "Phase One" was agreed to roll back part of the import tariffs the basis for a constructive trade dialogue. But the U.S. also aim their arrows on the EU. This year, the EU hopes to reach a new deal with the U.S. and them to refrain from expensive import tariffs on European cars.

Political risks

The biggest uncertainty for the eurozone financial markets in 2019 was the risk of a chaotic exit without an agreement from the British from the EU. Fortunately, it was possible to avoid such a scenario and a deal was struck between both parties. The resounding victory of the Conservatives at the national elections were welcomed in the financial markets. Since 31 January 2020 the U.K. is no longer part of the EU. There will be an 11-month transition period to finalize a new trade deal between the EU and the UK. In Belgium, pending the formation of a new government, the caretaker government operates through a budget based on monthly tranches.

Monetary Policy

In this context of slowdown of economic growth and low inflation in the eurozone, the ECB responded in September by lowering the deposit rate and re-introducing quantitative easing. At the end of the year Mario Draghi was replaced as president by Christine Lagarde. The yield on the Belgian OLO 10y fell to a low of -0.38% in August before rising narrowly into close to zero but slightly positive territory by the end of the year.

2. Ratings

Between 1 January 2019 and 31 March 2020, rating agencies took the following decisions:

- In May 2019, Moody's upgraded Belfius' Baseline Credit Assessment (BCA) to baa1 from baa2 and its long-term deposit and senior unsecured debt ratings to A1 from A2. The short-term deposit ratings were affirmed at Prime-1. The outlook has changed from positive to stable.
- On 8 November 2019, Fitch affirmed Belfius' long-term rating at A-and upgraded Belfius' short-term rating to F1 from F2.
- On 30 March 2020, Fitch affirmed the long term rating of Belfius Bank at A- and revised the outlook from Stable to Negative.

Ratings of Belfius Bank as at 31 March 2020

	Stand-alone rating ⁽¹⁾	Long-term rating	Outlook	Short-term rating
Fitch	a-	A-	Negative	F1
Moody's	baa2	A1	Stable	Prime-1
Standard & Poor's	a-	A-	Stable	A-2

(1) Intrinsic creditworthiness

Governance

In line with Art. 194 of the "Banking Law", Belfius is managing risks based on a group-wide⁽¹⁾, consolidated and integrated risk management framework. The overall objective is to have a risk management coordination, ensuring consistency while respecting the entities' specificities, responsibilities and legal/regulatory obligations. The main pillars of this risk management are an appropriate risk governance structure, a robust and aligned risk framework, risk monitoring and decision taking process.

At the level of the Risk departments of Belfius Bank and Belfius Insurance, the CRO's, assisted by their Risk Executive Committees (Risk ExCom), ensure adequate integration and coherence regarding methodologies, tools and risk management.

In terms of the risk governance structure, Belfius implements:

- a similar Committee governance and decision taking process: Board of Directors, Risk Committee (Belfius Bank), Risk & Underwriting Committee (Belfius Insurance) ...;
- the presence of Belfius Bank Board of Directors' members in Belfius Insurance Committees assuring enhanced coherence;
- the possible organisation of common Belfius Bank Risk Committee/Belfius Insurance Risk & Underwriting Committee.
- a group committee with the management board of the bank and the CEO of the insurance company

Both entities have a similar risk policies & guidelines framework and approach:

- risk policies with focus on risk drivers, governance and decision making process;
- risk policies decided at Management Board level (with formal approval of Belfius Insurance Board of Directors);
- steered by Risk department;
- the aim is to implement best practices: mutual exchange & implementations.

Both entities use similar and/or common tools ensuring consistency and enabling coherence as well as an integrated management of risks and internal controls:

- Risk Appetite Framework: defined and validated group-wide by Belfius Bank and cascading down to subsidiaries;
- Risk Management & Control executed through the "Senior Management Report on the Assessment of the Internal Control";
- ICAAP (Internal Capital Adequacy Assessment Process) & Recovery Plan (Belfius Bank) and ORSA (Own Risk and Solvency Assessment; Belfius Insurance).

(1) Belfius Bank, Belfius Insurance, Belfius Investment Partners

**More information
regarding the risk governance
of Belfius Insurance
can be found
in the annual report of
Belfius Insurance.**

Valérie Limpens
Head of Non Financial Risk Management



1. Risk governance structure

A performant risk governance structure is considered as a central cornerstone to sound risk management. A robust risk committee set-up incorporates effective communication and reporting lines and a clear delineation of responsibilities and competences. Such a set-up ensures a two-way process of risk management instructions and feedback enabling senior management to execute its management and supervisory obligations.

MANAGEMENT BOARD

Risk Policy Committee

Risk Appetite Committee

Non-Financial Risks Committee

1.1. Risk Committees on strategic level operating within the Management Board

Three risk committees have been set up within the Management Board of Belfius Bank, prepared by the Risk department and meeting 2 to 4 times a year:

- the **Risk Policy Committee (RPC)** surveys the definition and the implementation of the Bank's principal risk management and measurement policies, processes and methodologies, and supervises their validation status. Its prime responsibility is to provide a risk governance that is commensurate with the risk appetite and strategy ("Risk Appetite Framework or RAF") of the Bank compliant with regulatory requirements and is in line with best practices;
- the **Risk Appetite Committee (RAC)** surveys Belfius' risk appetite, capital adequacy and capital allocation. It manages the economic capital and stress test framework, ensures the adequacy of this framework against the nature and complexity of the risk and business composition and supervises its practical implementation;
- the **Non-Financial Risks (NFR)** Committee ensures a well-governed and coordinated non-financial risk framework for an effective Non-financial risk management. NFR covers a.o. operational risks (including fraud, HR, IT, IT security, business continuity, outsourcing, data-related risks, privacy, ...) but also reputational, compliance and legal risks.

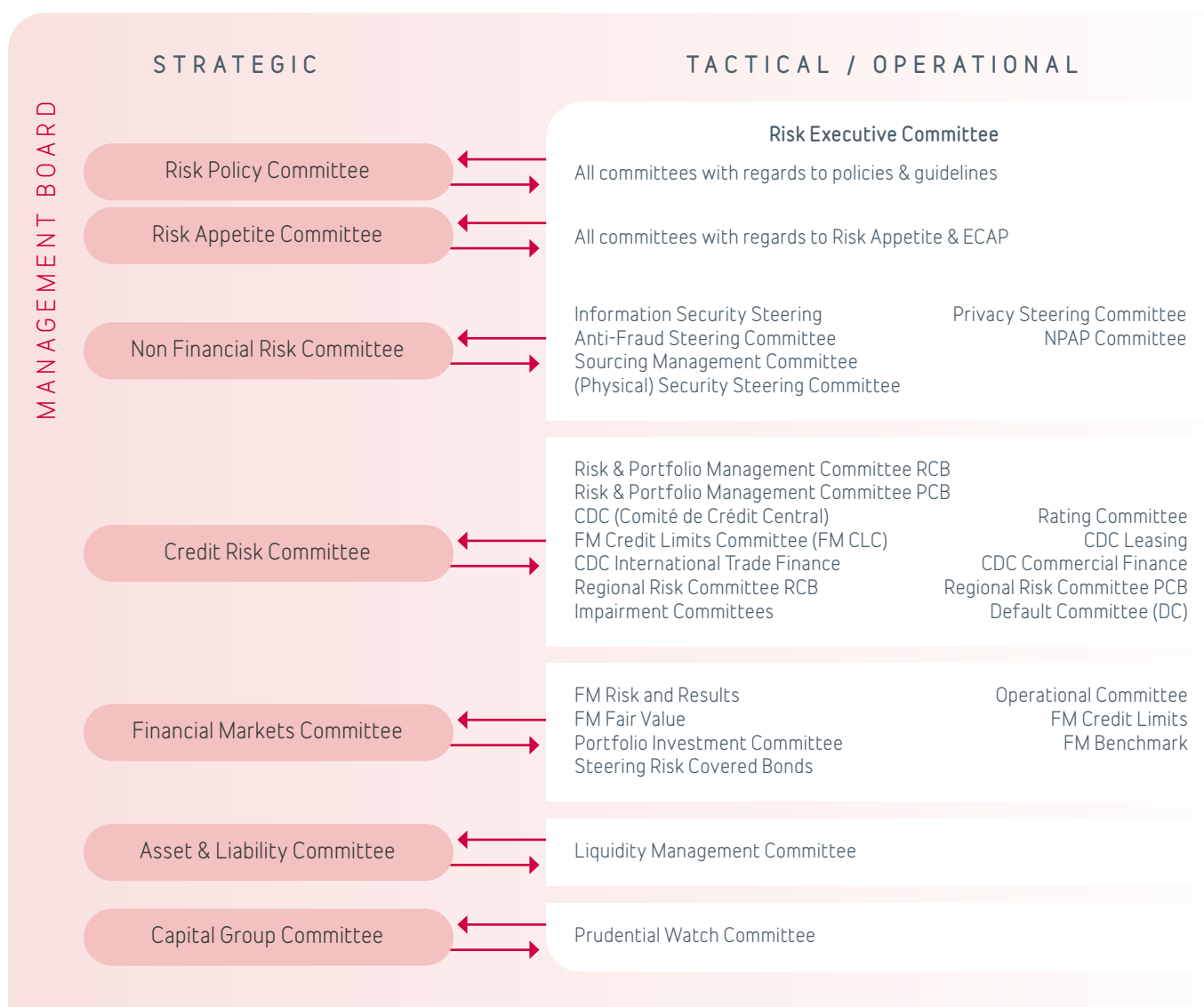
In addition to these three risk committees, four functional areas also report to the Management Board without a separate committee being set up for them. These four areas deal with credit- and financial markets-related topics, ALM and capital management:

- The **Credit Risk Committee (CRC)** centralizes, in a strategic and end-to-end process view, all credit risk related topics (origination, monitoring, impairment) into one committee with presence of the Management Board members who are directly involved (CRO, Head of RCB & PCB).
- The **Financial Markets Committee (FMC)** has as prime function the effective risk management oversight and steering of the Financial Markets activities. This includes reviewing business, risk and P/L reports and providing for an appropriate risk management and governance framework aligned to the risk appetite and business objectives set forward by the Management Board. It is held once a month with a strict quorum including members of the Management Board (CRO, CFO and Head of PCB).
- The **Assets & Liabilities Committee (ALCo)**: while the Management Board and the Board of Directors have the ultimate responsibility for setting the strategic risk appetite and business objectives, they delegate to the ALCo the effective ALM management within the regulatory framework. The Liquidity Management Committee has been mandated by the ALCO to take care of all aspects relating to liquidity management and steering as well as the reporting on the liquidity situation.
- The **Capital Group Committee (CGC)** anticipates, understands, prepares, analyses & monitors all capital aspects on a conglomerate level (Bank, Insurance & related subsidiaries) in compliance with regulatory, legal and economic constraints. It also acts as Prudential Watch Committee (PwaC) to enable Belfius to anticipate, to understand, to steer and to follow-up on prudential reforms, guidelines, proposals and evolutions thereof impacting Belfius and its entities. Prudential Watch will propose alignment between Bank/Belins, Risk/finance, ... of the positions towards the regulator on key prudential issues

1.2 Risk Committees on tactical/operational level

The Management Board delegates certain decisions to a tactical/operational level. The details of this delegation are set out in the applicable committee charters. For matters that fall outside this delegation, the tactical/operational level provides information or puts forward opinions to the Management Board, which then decides.

The committees that are part of the tactical/operational level are committees on which the Risk department generally participates alongside business divisions. Risk committees which are steered by the Risk department focus mainly on risk appetite and methodology. Risk/Business committees which are steered jointly by the Risk department/Business focus mainly on guidelines, transactions and risks on counter-party risks. The Risk department has a veto right in many of these committees, as well as the right to bring files for decision to a higher governance level.



2. Risk Appetite

Risk appetite is the level of risk that an institution is prepared to take given the expectations of the main stakeholders (shareholders, creditors, regulators, rating agencies, customers, employees ...), in order to ensure the safeguard of a sound risk and financial profile in the context of the strategy 2020-2025. This risk appetite is defined by the Board of Directors, on proposals from the Management Board. The Risk Department prepares the Management Board's proposals and the Board of Directors' decisions, and also sets the rules and the framework for implementation of those rules.

Based on a holistic approach, risk appetite is a central reference point:

- for guiding strategy and planning;
- for framing performance in terms of growth and value creation;
- for facilitating day-to-day operating and commercial decisions.

The Bank's risk appetite consists of a series of quantitative elements (target Key Risk Indicators or KRI) and qualitative elements (statements) that are designed to express the risk levels and types that are not acceptable, that are tolerated and targeted in order to achieve business strategy. The quantitative framework is based on a mix of accounting ratios (gearing), regulatory ratios (solvency, liquidity) and economic ratios (economic capital, earnings at risk) and internal KRIs. The different metrics cover a wide range of risks (credit risks, solvency, liquidity, market risks, concentration risks, non financial risks, compliance risks, model risks ...). Next to the quantitative part, qualitative statements consisting of guiding rules aim at defining the risk appetite that cannot be expressed through quantitative ratios.

Limits have been defined on each of these ratios with different zones, which lead to different governance and measures in case of breach. They are validated each year by the competent bodies. The Risk and Finance departments are responsible for monitoring these ratios and, if there are discrepancies, for proposing measures to the Management Board to ensure the limits are met.

The Risk Appetite Framework (RAF) has been updated and approved by the Board of Directors in December 2019. The updated RAF includes a broader coverage with new detailed quantitative ratios for Financial risks (sector concentration, asset quality), Non-Financial risks, Compliance and Model Risks.

3. Stress Tests

Stress tests are part of the ICAAP and are designed to measure the Bank's sensitivity, in terms of losses, additional weighted risks, liquidity needs or equity capital requirements that could impact Belfius in scenarios featuring significant unexpected shocks on the financial markets and/or in the own financial situation of Belfius.

Belfius performed an internal stress testing programme with its financial Plan 2020-2025. The Bank developed a set of alternative and severe macroeconomic scenarios designed to anticipate the Bank's main weaknesses and to simulate how Belfius might be affected under these circumstances. These different stress tests measure the potential deviations from the "base case" Financial Plan and from Risk Appetite targets set by the management in terms of solvency, liquidity and profitability. These stress tests were submitted to the Management Board as well as to the Board of Directors. Mitigating actions and recommendations were proposed for each of the stress tests.

4. Recovery plan

An update of Belfius Recovery Plan has been submitted to the ECB during the second half of 2019. This plan provides a set of recovery measures that would be taken to restore the Bank's long-term viability in the event of a significant deterioration of its financial situation due to severe general macroeconomic and/or idiosyncratic stress situations.

5. Resolution

Resolution is defined as the restructuring of a bank within the Single Resolution Mechanism (SRM) issued by the Single Resolution Board (SRB) through the use of resolution tools. The objective of the SRB is therefore to ensure an orderly resolution of failing banks with minimum impact on the real economy and on public finances of the participating Member States and beyond.

Belfius, being considered as significant financial institution in Belgium, has to ensure that all necessary information will be provided to the SRB, responsible for preparing a resolution plan that would be available in case of a severe crisis leading to an hypothetical failure of the Bank.

Belfius resolution therefore consists of the application of identified resolution tool(s) to the Bank which best achieve resolution objectives.

Credit risk

1. Methodology

For the management of its credit risks, Belfius uses an Advanced Internal Rating Based approach. This means that Belfius makes use of internal models for defining the key risk parameters Probability of Default (PD), Loss Given Default (LGD) and Credit Conversion Factor (CCF – the conversion of an available credit line in an expected amount draw down) for off-balance sheet commitments. Regarding the CCF parameter, Belfius makes a distinction between retail and non retail counterparties: an advanced model is applied for retail counterparties, while non-retail counterparties use the regulatory values.

Regarding the pillar 1 models, important facts in 2019 are related to TRIM missions. Indeed there was 2 TRIM missions in the first semester of 2019, respectively on Corporate and Bank models. These missions raised findings and attention points (to be confirmed in the final report) that will be solved in a comprehensive IRB upgrade program. This program was anyway needed given the new EBA productions as new default definition and guidelines on PD, LGD.

The internal models' lifecycle can be divided into three blocks: the development and approval of the internal model, the monitoring of its use and the maintenance of the model. The Model Manager is key in the process of the development and the maintenance of the model and he/she consults frequently with commercial business lines and credit departments. Next to that, several control functions are effective within the organization: Validation, Rating Committee, Quality Control and Internal Audit.

2. Credit limits and credit committees

The robustness of the credit acceptance process is one of the main pillars of risk management at Belfius. It relies on a large range of directives, delegation rules and other governance instruments, aimed at strictly controlling credit risks, such as those established in the Risk Appetite Framework.

Belfius has defined credit limits and delegations of competences for various types of credit risks which are monitored every day, reported to governance bodies every quarter and on top of that assessed each year by the Risk Committee and the Board of Directors.

Credit limits represent the maximum risk level acceptable on individual counterparties and/or economic groups and thus reflect the Bank's risk appetite in its individual customer relations. Credit limits are set on the basis of the customer's risk profile, the focus being mainly (but not exclusively) on their internal rating. In addition to individual credit limits, Belfius Bank also uses a number of portfolio guidelines.

The credit decision processes within Belfius consist of three different types:

- automated decisions where the Bank compares the customer's credit application with a series of technical risk and commercial parameters;
- delegated decisions, i.e. decisions taken by staff to whom, *intuitu personae* and based on the certification of their risk competencies, decision-taking powers have been delegated;
- the regular process of the credit committees.

When granting credits to individuals (essentially mortgage loans), to self-employed and to small enterprises, standardized and automated processes are mainly used, in which the results from the scoring and/or rating models play an important role.

When granting credits to medium-sized and large enterprises as well as Public and Social customers, an individualized approach is implemented. Credit analysts examine the file autonomously and define the customer's internal rating. Then a credit committee takes a decision on the basis of various factors such as solvency, the customer relationship, the customer's prospects, the credit application and the collateral. In the analysis process, credit applications are carefully examined and only accepted if the perspective of continuity and the borrower's repayment capacity are demonstrated.

To support the credit decision process, a RAROC (Risk Adjusted Return on Capital) or RoNRE is used to assess the expected profitability of the credit transaction or even of the full relationship with the customer is adequate (compared to a target level). As such, the RAROC is an instrument for differentiating the risks and for guiding the risk-return combinations in an optimal way.

Belfius Bank has further intensified in 2019 its strategy of being close to its customers. This approach provides a significant added value to our customers, regardless of the segment in which they operate. Credit and risk committees are regionalized and the delegation of decision-making powers to the regional commercial and credit teams is continued, strengthening the principle of decision-by-proximity. This resulted in a greater involvement of the various teams in the decision-making process, as well as stronger monitoring of the use of the delegated powers mentioned above.

The Bank monitors the evolution of the solvency of its borrowers throughout the whole credit lifecycle. The different portfolios of the Retail and Commercial Business for which risk management relies on a portfolio approach are reviewed periodically. Customer ratings, using an individualized approach, are also updated periodically, in line with the Bank's choice to apply AIRB (Advanced Internal Rating Based) models. The economic review process of credit applications guarantees that any signs of risk can be detected in time and subsequently monitored and/or addressed. It is also complemented with early warning tools to detect proactively clients' financial deterioration. This review process is organized, according to the Credit Review Guideline, in an annual cycle, with in-depth analyses for customers with important credit exposures and/or significant (positive or negative) evolutions in their risk profile.

3. Fundamentals of credit risk in 2019

The world economy decelerated sharply in 2019 on the back of trade policy uncertainty and geopolitical tensions. Nevertheless, growth in Belgium remained remarkably robust and contracted only slightly, coming down from 1.5% in 2018 to 1.4%. Inflation lowered by the strong deceleration in energy prices. Employment growth decelerated slightly compared to the peak in job creation in 2017. In 2019, according to Graydon, 11,817 Belgian companies were forced to cease business, an increase of 10.29% compared with 2018. This strong increase in bankruptcy, however, is not related to a possible waning economic climate, but rather a consequence of the application of recent legislation (e.g. the new law on ghost companies).

3.1. Banking activities in Retail and Commercial

Against this background, lending to the Retail and Commercial business line remained at a high level, and this based on a stable lending policy in general, albeit adjusted for some elements (see further).

The production of mortgage loans reached a record high in 2019, with a volume 43% above the 2018 level (EAD end 2019: EUR 34.042 billion). This substantial increase is explained by the decision of the Flemish government to terminate the tax benefits on mortgage loans and potentially the communication by the NBB of "supervisory expectations regarding the lending standards of mortgage loans" obliging banks to strengthen their underwriting criteria. The anticipation on these measures, which enter into force in 2020, in combination with the low interest rates has boosted the production in the 2nd half of the year. The share of loans with a longer maturity combined with a slightly higher LTV in the portfolio continued to increase. Notwithstanding this evolution, the overall credit quality of the mortgage portfolio remained excellent and even slightly improved (as illustrated by the average probability of default).

The historical low risk level of the mortgage portfolio is also reflected by the cost of risk that remains at a very low level. The Risk Department continued its monitoring of the potential higher risk segments of mortgage loans. In addition to this, in the course of 2019 measures were taken to strengthen the underwriting criteria, in particular for Buy-to-Let transactions regarding retail clients with low savings. Also a specific Risk Appetite Framework was installed which consists of a strengthening of the overall underwriting framework and a close follow-up of the production.

The production of consumer loans in 2019 was 7% lower than the previous year (EAD end 2019: EUR 2.421 billion). The share of loans via mobile channels remained unchanged in 2019; around 13% of the consumer loans were contracted by using the Belfius App. The criteria used for granting consumer loans have been reviewed in 2019, a.o. taking into account stronger limits for repayment capacity and net available income in order to remain completely aligned with the "Responsible Lending" charter of the Belgian Financial Sector Federation (Febelfin).

Belfius offers self-employed persons, liberal professions (i.e. doctors, lawyers, etc.) and SMEs a comprehensive range of retail, commercial, private banking, wealth management and insurance products and services, through its integrated omni-channel distribution network (EAD end 2019: EUR 18.661 billion). Belfius Bank's approach to have lending decisions for business loans taken by local teams working close to the customer was further intensified in 2019. This strategy contributes to a better customer service while numerous tests and realised statistics indicate that the risk remains under control. The continuous fine-tuning of the decision-making logic and the enhanced and quickly reactive monitoring on deteriorating risk profiles is bearing fruit. Through the continuation of the "Go4Credits" project, Belfius enhanced also in 2019 the efficiency of its credit approval process for the Commercial Business line.

Belgian SMEs generally remained in good shape after their economic and financial situation already substantially improved in 2018, and this despite the fact that they were more and more confronted with a changing consumer pattern (e.g. e-commerce). Overall, the cost of business loans at Belfius Bank remained at a good risk/return level and within the target levels. Belfius therefore intends to keep supporting the production of business loans, also in relation to start-ups. At the same time, the Risk department continues the improvement of the process of early warning indicators in order to keep permanently the risks in this market segment well under control.

3.2. Banking activities in Public and Corporate

In 2019, Belfius kept offering services to the Belgian public and social sectors (including hospitals, schools, universities and retirement homes). It provides these clients with a wide and integrated range of products and services, including credit lending (EAD end 2019: EUR 39.187 billion).

The Public Sector loans portfolio maintained its very low risk profile. The balance of payments of the majority of Belgian municipalities showed in 2019 an equilibrium, or even a surplus. Local authorities continue in such a way their positive collective contribution to the budgetary exercise of the country as a whole. The decline of indebtedness of municipalities, driven by a still low level of investment, continued in 2019 together with the decrease of interest charges. However, the new municipal legislature that started in 2019 will have to cope with a very difficult financial context, confronting constantly rising expenditures (social welfare, security, ...) with ever more slowly growing revenues. These conflicting budgetary tensions will burden local authorities with a difficult task. They must indeed continue to offer a good service while safeguarding a budgetary balance. During the current legislation e.g. the pension bill will end up in full force at the local authorities. Most of them will struggle with the pension costs related to their statutory staff, because the number of active staff members is getting smaller and smaller compared to their retired colleagues. This pension challenge has been figured out years ago and meanwhile some measures have been taken, but they are insufficient to keep the current bill acceptable. For some municipalities, especially the cities, this will imply that taxes must be raised, investments postponed and services reduced, if no action is undertaken by other government levels.

From a risk management point of view, the hospital sector remains a focus of attention. Hospitals have in general an acceptable financial structure, built up over years through a fair equity base accompanied by government subsidies. Nevertheless profitability remains often vulnerable. One third of the hospitals are making a loss. Their repayment capacity is by consequence reduced. But the activity level of hospitals, and consequently their revenues recently grew thanks to the introduction of innovative treatments and/or pharmaceuticals. Day hospitalisation keeps gaining importance. The main challenge however remains that patient care for an aging population has to be realized within a challenging budgetary context, and this in a future proof and technical environment. That's why the hospital sector is currently undergoing a structural transformation. The Minister of Public Health indeed launched a long-range Care reform plan in order to reshape the hospital landscape. A law voted in February 2019, imposes general hospitals to regroup into 25 hospital networks from 1 January 2020 onwards: 13 in Flanders, 8 in Wallonia and 4 in Brussels. Network proposals are currently in the process of recognition by the respective Regions. The new networks will be responsible for the definition of their care supply and internal organization. Every member of a hospital network will still offer general care, but must also specify how it will organize more specialized services (e.g. maternity, emergency, ...) throughout the network. In this way the new hospital networks may become an essential step for the improvement of health services and for the financial health of the sector.

Belfius' corporate banking activities (EAD end 2019: EUR 25.812 billion) are focused on large- and medium-sized corporates which have a decision-making centre in Belgium as well as corporates offering services to the public sector. The Belgian economy is heavily dependent on international trade and most of its economic sectors are geared towards exporting products. The framework underpinning international trade became steadily more uncertain and riskier in 2019. For firms focused on international business, it became hard to navigate in this new context and to form clear expectations on the future profitability of this type of activities. However Belfius has taken the necessary measures to ensure that her growth strategy in this segment goes hand in hand with a good creditworthiness and acceptable risk concentrations. And so the credit profile of the corporate lending remained fairly stable during 2019. Our cost of risk in the corporate segment however raised, not in general, but due to some specific and limited number of files in Stage 3 or that migrated from Stage 2 to Stage 3 in 2019. It concerns Belgian companies with business operations in an international context: they were directly or indirectly impacted by evolutions in the global economy, having an impact on their trade flows.

Belfius monitors sector risks in a proactive way and defined specific measures with regard to a limited number of more vulnerable sectors.

Real estate financing (EAD end 2019: EUR 46.421 billion), related to both residential and commercial real estate, is an important business activity within Belfius. Also on industry level, the Bank's lending activity in the real estate sector continues to increase considerably. The evolution of real estate financing over the last years is to be evaluated in the context of the following factors: the sustaining low interest rate environment, the fact that Belgian banks have a large deposit base and are confronted with a search for yield, the gross debt ratio of Belgian households that has increased and has recently

slightly exceeded the average EUR area ratio. This combination of elements induces a concern at NBB level about an over-valuation of the Belgian (residential) property and about the threat of strong volume growth with potentially lower credit standards, lower margins and low provisioning levels. Belfius is aware of these potential pitfalls and has traditionally applied strict origination and acceptance criteria (LTV, maturity, collateral valuation) on new transactions and a solid monitoring of projects, in both residential and commercial real estate financing. The afore-mentioned origination and acceptance criteria for that matter will be further reinforced due to new prudential expectations established by the National Bank. Belfius real estate credit exposure is considered as being correctly diversified in terms of underlying asset types, individual name concentration and geographical spread.

Finally, it is worth mentioning that active portfolio management keeps playing an important role within Belfius, in the first place through the gradual sale of higher risk exposures and/or exposures that are no longer considered as being core business (the shipping-related business without a commercial relationship meanwhile has been reduced to a negligible level), but also by developing risk hedging and risk sharing programs.

3.3. Insurance

The management of the credit risk of Belfius Insurance is the responsibility of Belfius Insurance risk management team, albeit in collaboration with the credit risk teams of Belfius Bank and aligned with the risk management guidelines that are applicable for the whole Belfius group. As such, this implies that credit limits are defined on a consolidated basis and that transfers of limits between the Bank and Insurance are permitted, on the condition that both parties agree. The CROs of Belfius Bank and Belfius Insurance coordinate the requests among each other.

3.4. Financial Markets

The mission of Financial Markets, aligned with the mission of Belfius Bank, is to serve its clients and the Belgian economy with essential financial services. Next to this general objective, Financial Markets operates as a competence and service center with regard to Belfius business lines. In this context, the risk and return generated by Financial Markets are reallocated to the business lines Retail, Commercial, Public and Corporate. As such, Financial Markets completes the business lines' offering towards clients in order to ensure a long term relationship and ensure a quick and efficient time to market for new products. An innovative Financial Markets also contributes to the liquidity profile of the Bank through the management of Short Term and Long Term wholesale funding and through the management of the investment portfolios: both the ALM Liquidity and Yield portfolios (run-off management of the portfolio inherited from the past).

Credit risks in relation to Financial Markets activities are monitored by the Credit Risk Limit Framework which is part of the Risk Appetite Framework. Counterparty and country limits are monitored by FM Risk Management in order to limit risk concentrations.

Credit risk in financial markets remained relatively stable during 2019. Nevertheless, the fear of a hard Brexit, the global trade conflicts and the persistence of low rates weighted on the markets and generated volatility. Our main concentrations remain British inflation-linked corporate bonds and Italian sovereign bonds, which are of satisfactory credit quality and are continuously monitored.

The money market activity has continued to be influenced by the persisting low interest rate environment, the volatility of collateral and the challenging yield environment for the reinvestment of the liquidity buffer.

3.5. The risk management process concerning Forbearance, Watchlist, Default and Impairments

Belfius applies since the start of 2018 the IFRS 9 principles regarding impairments. An impairment is made for each loan as from the origination, and this for an amount equal to a 12 months expected credit loss (ECL), i.e. the ECL that results from default events that are possible within 12 months. If there is a significant increase of credit risk since the origination of the loan, an impairment is made for an amount equal to a lifetime ECL, i.e. the ECL that results from all possible default events over the remaining expected life of the loan.

The detection of changing credit risks by means of an efficient and performant process and the constitution or not of impairments is a major pillar of efficient credit risk management. Belfius frames this process in a coherent set of risk policies and guidelines, risk committees and operational procedures.

The Watchlist guideline defines those internal and external indicators which reveal an increased credit risk, and which might give rise to more intensive monitoring of the credit file concerned. Files placed under higher surveillance are submitted each quarter (or more frequently if necessary) to a Risk Committee which, if necessary, decides on the appropriate risk measures.

The European Banking Authority's Forbearance guidelines - designed to enable the analysis of the quality of credit portfolios and hence also the risk profile of all European banks in a more proactive and consistent way - are already since 2014 transposed into a Belfius guideline and integrated into the Bank's risk and financial reporting. In practical terms, forbearance boils down to the granting of concessions to borrowers in financial difficulties. These concessions may take the form of modifications to the loan contract or some refinancing. Specific criteria are established for each business segment. These provide a practical interpretation of the concepts of "financial difficulties" and "concession". When granting a concession, the Bank is always led by a number of mainly business-related and economic factors. The fact that concessions are made is one of the watchlist indicators at Belfius.

At the end of 2019, an amount of EUR 817 million of loans at Belfius complied with the forbearance definition, of which EUR 61 million related to Belfius Insurance, compared with respectively EUR 688 million and EUR 44 million in 2018. Appropriate stage1, 2 and 3 impairments were recorded in relation to this volume of forborne loans via the usual risk processes.

When a counterparty's solvency is weakening, early warning indicators may be activated which will take the counterparty concerned into our internal risk systems towards a default status. Depending on the seriousness of the indicators, which show the degree of probability of the counterparty's default, Belfius puts the counterparty in D1 or D2 status. These indicators are described in the Default guidelines. The Default committee within the Risk department, is competent to define the default status of a counterparty. 2019 showed an increased attention of the ECB for non-performing loans, as was already the case in 2018. In a European perspective, the NPL-ratio's of Belfius' different asset classes remained at a very low level. Once a counterparty is classified in default, an assessment is made, as a fundamental element of the risk management process, of the need to make a specific impairment of the credit file(s) with the counterparty. This assessment examines whether and to what extent the guarantees Belfius holds are sufficient to reimburse the credit risk exposure, in the various scenarios possible (from business continuity to active recovery). The Impairment committees make this assessment and, if necessary, decide to make a specific impairment.

For the credit portfolios of the Retail and Commercial Business, where risk management relies on a portfolio approach, the same principles are valid, but applied in a less granular and more automated manner.

4. Exposure to credit risk

Full Exposure At Default (FEAD) is determined as follows:

- for balance sheet assets (except for derivatives): the gross carrying amounts (before credit risk adjustments);
- for derivatives: the fair value of derivatives after netting, increased with the potential future exposure calculated under the current exposure method (add-on);
- for Securities Financing Transactions:
 - for reverse repo's: the amount of collateral up to the amount lent
 - for repo's: the collateral value in excess of the amount borrowed;
- for off-balance sheet commitments: either the undrawn part of credit facilities or the maximum commitment of Belfius for guarantees granted to third parties.

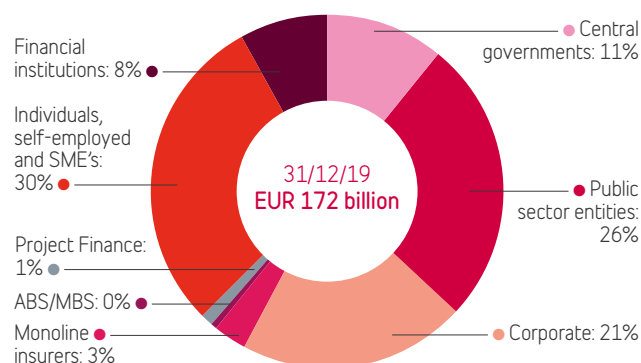
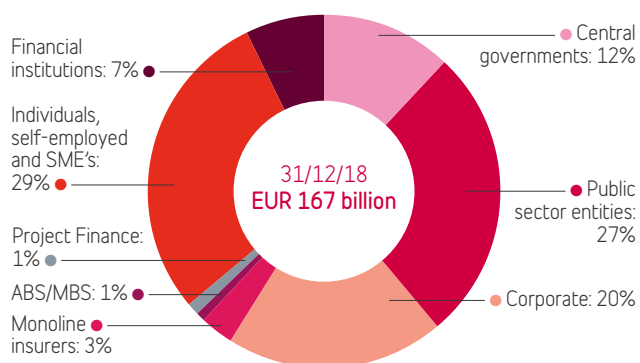
As at 31 December 2019, the total credit risk exposure, within Belfius reached EUR 172.4 billion, an increase of EUR 5.7 billion or 3.4% compared to the end of 2018.

The credit risk exposure increased with 3.4% to EUR 158.0 billion at bank level. At the level of Belfius Insurance, the credit risk exposure increased by 3.1% to EUR 14.4 billion at the end of 2019.

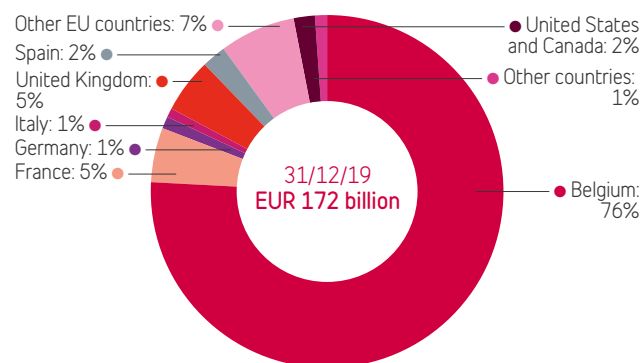
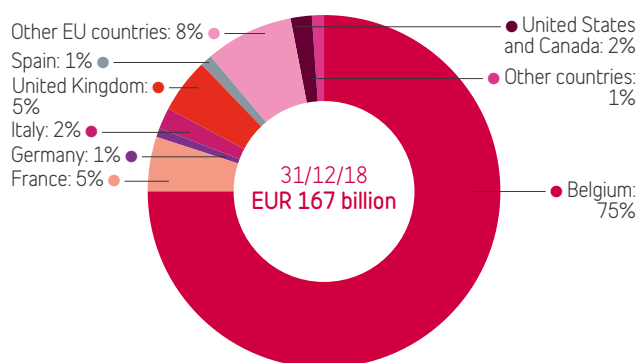
Breakdown of credit risk by counterparty

(FEAD, in EUR million)	31/12/18	31/12/19	Of which	
			Bank	Insurer
Central governments	20,488	18,094	12,076	6,018
of which government bonds	9,625	9,967	4,162	5,804
Public sector entities	45,694	44,342	42,526	1,816
Corporate	32,904	36,438	35,038	1,400
Monoline insurers	4,519	4,718	4,718	0
ABS/MBS	840	749	658	91
Project Finance	2,222	2,426	2,426	0
Individuals, self-employed and SME's	47,917	52,220	48,194	4,026
Financial institutions	12,145	13,415	12,370	1,045
TOTAL	166,729	172,401	158,005	14,396

Breakdown of credit risk by counterpart



Breakdown of credit risk by geographical region



The credit risk exposure on public sector entities and institutions that receive guarantees of these public sector entities (26% of the total) and on individuals, self-employed and SMEs (30% of the total) constitute the two main categories.

The credit risk exposure on public sector entities decreased with EUR 1.4 billion while the credit risk exposure on individuals, self-employed and SMEs increased by EUR 4.3 billion due to increasing commercial activities.

The expansion of Belfius' corporate activities is also reflected in higher credit risk exposure (+EUR 3.5 billion) for this segment leading to an increase of its relative proportion from 20% by the end of 2018 to 21% by the end of 2019.

The relative proportion of the segment central governments declined from 12% end 2018 to 11% end 2019. Inside this segment, the credit risk on government

bonds increased by EUR 0.3 billion to EUR 10.0 billion at the end of 2019. Nearly 50% of the government bonds portfolio is invested in Belgian government bonds. While at bank level the Belgian government bonds represents 40% of the total government bond portfolio, the relative proportion at Belfius Insurance stood at 57%.

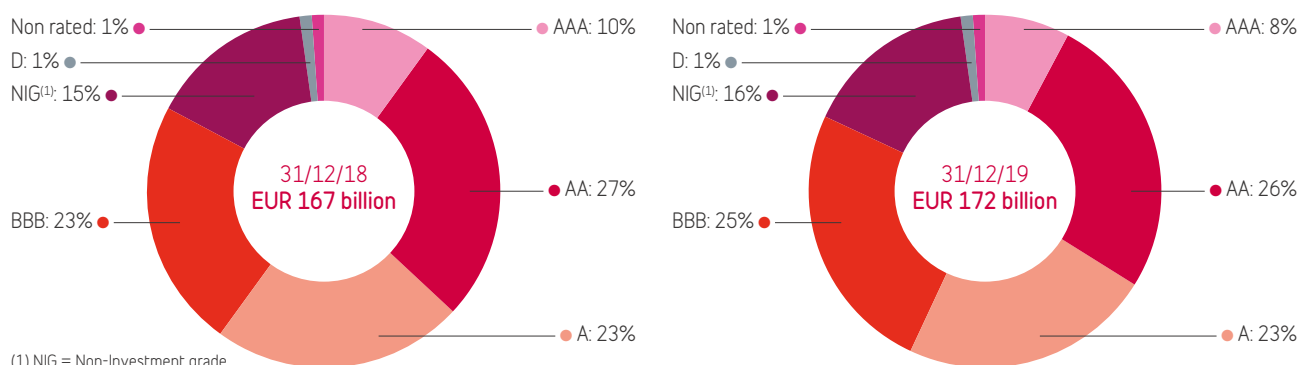
The credit risk exposure on financial institutions increased in 2019 by EUR 1.3 billion and the relative proportion stood at 8% at the end of 2019 against 7% at the end of 2018. This increase is mainly due to an higher activity in securities financing transactions.

The credit risk on monoline insurers is predominantly an indirect risk arising from credit guarantees written by Belfius Bank and reinsured with monoline insurers, mainly on bonds issued by infrastructure companies and utilities. During 2019, the relative proportion of the monoline insurers remained stable at 2.7%.

Belfius' positions are mainly concentrated in the European Union: 95% or EUR 150.8 billion at bank level and 98% or EUR 14.1 billion for Belfius Insurance. 76% of the total credit risk exposure is on counterparties categorised in Belgium country exposures, 5% in the United Kingdom and in France, 2% in Spain and in the United States and Canada, and 1% in Italy and Germany.

The credit risk exposure to counterparties in the United Kingdom amounted to EUR 9.5 billion. About half of this credit risk exposure concerns bonds, of which close to two-third are inflation-linked, issued by utilities and infrastructure companies in the United Kingdom that operate in regulated sectors such as water, gas and electricity distribution. These bonds are of satisfactory credit quality (100% investment grade), and moreover the majority of the outstanding bonds are covered with a credit protection issued by a credit insurer that is independent from the bond issuer. The remainder concerns the bond portfolio of Belfius Insurance, a short-term credit portfolio for treasury management of Belfius Bank and receivables on clearing houses. The credit risks on those portfolios are also of satisfactory credit quality.

Breakdown of credit risk by rating



At the end of December 2019, 82% of the total credit risk exposure had an internal credit rating investment grade (IG).

5. Asset quality

At the end of 2019, the amount of impaired loans and advances to customers was EUR 1,859 million, which is a slight decrease of 0.3% compared to end 2018. Nevertheless the asset quality ratio improved from 2.05% to 1.96% following the strong increase (+4.5%) in gross outstanding loans. In 2019, the stage 3 impairments (formerly: specific impairments) on loans and advances increased with EUR 11 million. As a consequence the coverage ratio slightly increased to 62.3% at the end of 2019. The stage 1 & 2 impairments (formerly: collective impairments) on loans and advances to customers increased by EUR 21 million since end 2018 to EUR 358 million at the end of the year.

Asset Quality⁽¹⁾

(in millions of EUR, except where indicated)	31/12/18	31/12/19
Gross outstanding loans and advances to customers (measured at amortised cost)	90,786	94,907
Impaired loans and advances to customers (measured at amortised cost)	1,863	1,859
Stage 3 impairments on loans and advances to customers	1,147	1,158
Asset quality ratio ⁽²⁾	2.05%	1.96%
Coverage ratio ⁽³⁾	61.6%	62.3%
Stage 1 & 2 impairments on loans and advances to customers	337	358

(1) Belfius Insurance included.

(2) The ratio between impaired loans and advances to customers and the gross outstanding loans and advances to customers.

(3) The ratio between the Stage 3 impairments and impaired loans and advances to customers.

Market risk

1. Overview

1.1. Market Risk Definition

Overall, market risk can be understood as the potential adverse change in the value of a portfolio of financial instruments due to movements in market price levels, to changes of the instrument's liquidity, to changes in volatility levels for market prices or changes in the correlations between the levels of market prices.

Management of market risk within Belfius encompasses all Financial Markets activities of the Bank and focusses on interest rate risk, spread risk and associated credit risk/liquidity risk, foreign-exchange risk, equity risk (or price risk), inflation risk and commodity price risk.

In the Risk report we make the distinction between the Structural & ALM risk on the one hand and Trading Market Risk on the other hand.

Market risk of Belfius Insurance is separately managed by its ALCo's. Belfius Insurance's strategic ALCo makes strategic decisions affecting the balance sheets of the insurance companies and their financial profitability taking into consideration the risk appetite pre-defined with the Belfius Bank and Insurance group (i.e. directional ALM position in interest rate risks, equity and real estate risks, volatility and correlation risks).

1.2. Risk types

The sources of market risk are changes in the levels of:

- interest rates;
- credit spreads (specific interest rate risk) and liquidity;
- inflation;
- foreign-exchange rates;
- equity prices;
- commodity prices;

and their related risk factors like volatility or correlation for example.

Interest rate risk may be understood as the variation of the value of assets or liabilities of the Bank following changes in interest rates quoted on the markets. It is most pronounced in debt instruments, derivatives that have debt instruments as their underlying reference asset and other derivatives whose values are linked to market interest rates.

Credit spread and liquidity risks are the risks that the value of a certain portfolio can change as the result of movements in credit spreads even if the credit quality (rating) remains the same. The spread of a position is that single spread that has to be added to the whole zero-coupon curve (swap) in order to obtain discount factors that lead to a present value of expected cash flows equal to the current fair value of the position.

Foreign-exchange risk is the potential risk that movements in exchange rates may adversely affect the value of a financial instrument or portfolio. Despite exchange rates being a distinct market risk factor, the valuation of foreign-exchange instruments generally requires knowledge of the behavior of both spot exchange rates and interest rates.

Equity price risk is the potential risk for adverse changes in the value of an institution's equity-related holdings. Price risks associated with equities are often classified into two categories: general (or non diversifiable) equity risk and specific (or diversifiable) equity risk.

Commodity price risk is the potential risk for adverse changes in the value of an institution's commodity-related holdings. Price risks associated with commodities differ considerably from other market risk factors since most commodities are traded on markets in which the concentration of supply can magnify price volatility. Belfius only has some commodity price risk on CO₂ certificates holdings.

2. Structural & ALM risk

2.1. Policy on asset & liability management

Managing structural exposure to market risks (including interest rate risk, equity risk, real estate risk and foreign exchange risk) is also known as Asset & Liability Management (ALM). The structural exposure at Belfius results from the imbalance between its assets and liabilities in terms of volumes, durations and interest rate sensitivity.

Belfius' Board of Directors has the ultimate responsibility for setting the strategic risk tolerance, including the risk tolerance for market risks in non financial markets activities. The Management Board of Belfius Bank and Belfius Insurance have the ultimate responsibility for managing the interest rate risks of Belfius within the above set risk tolerance and within the regulatory framework.

The real operational responsibility of the effective asset & liability management (ALM) is delegated to the Asset & Liability Committee (ALCo). The ALCo manages interest rate risk, foreign exchange risk, and liquidity risk of the Bank's respectively insurer's

balance sheet within a framework of normative limits and reports to the Management Board. Important files at a strategic level are submitted for final decision to the Management Board, that has the final authority before any practical implementation.

The ALCo of the Bank is responsible for guiding and monitoring balance sheet and off-balance sheet commitments and, doing so, places an emphasis on:

- the creation of a stable income flow;
- the maintenance of economic value;
- the insurance of robust and sustainable funding.

The ALCo meets regularly, chaired by the Chief Financial Officer (CFO), with meetings attended by the Chief Risk Officer (CRO) and members of the Management Board responsible for commercial business lines (or their mandatees).

The ALCo of Belfius Insurance plays the same role for the insurance company pursuing the same objectives but with a focus on the economic value and solvency according to the Solvency II regulation. The risk indicators are calculated based on a harmonised risk method for Belfius, supplemented by factors specific to Belfius Insurance relating to their risk management.

2.2. Interest rate risk

2.2.1. Interest rate risk of the banking activities

In respect to the interest rate risk, Belfius Bank pursues a prudent risk management of its interest rate positions in the banking book within a well defined internal and regulatory limit framework, with a clear focus on generating stable earnings and preserving the economic value of the balance sheet and this in a macro-hedging approach, thoughtfully considering natural hedges available in the bank balance sheet.

The management of non-maturing deposits (such as sight and savings accounts) and non-interest-bearing products use portfolio replication techniques. The underlying hypotheses concerning expected duration, rate-fixing period and tariff evolution are subject to constant monitoring and, if necessary, they are adjusted by the ALCo. Implicit interest rate options like prepayment risk are integrated through behavioural models.

Interest rate risk has two forms: economic value volatility and earnings volatility. The measurement of both of these forms is complementary in understanding the complete scope of interest rate risk in the banking book.

Banks' ALM objective is to protect the net interest income for downward pressures in current historically low interest rate environment, while respecting the limits on variation of economic value.

Economic value indicators capture the long-term effect of the interest rate changes on the economic value of the Bank. Interest rate sensitivity of economic value measures the net change in the ALM balance sheet's economic value if interest rates move by 10 bps across the entire curve. The long-term sensitivity of the ALM perimeter was EUR -50 million per 10 bps at 31 December 2019 (compared to EUR -15 million per 10 bps at 31 December 2018), excluding interest positions of Belfius Insurance and of the pension funds of Belfius Bank.

Earnings at Risk indicators capture the more shorter term effect of the interest rate changes on the earnings of the Bank. Therefore, indirectly through profitability, interest rate changes can also have a shorter term solvency effect. A 50 bps increase of interest rates has an estimated positive impact on net interest income (before tax) of EUR +3 million of the next book year and an estimated cumulative effect of EUR +143 million over a three year period, whereas a 35 bps decrease would lead to an

estimated positive impact of EUR +1 million of the next book year and an estimated cumulative effect of EUR -90 million over a three year period.

Besides directional interest rate risk also curvature risk, due to steepening or flattening of the interest rate curve, is followed up within a normative framework by the ALCo. The same goes for basis spread risk between Euribor and Eonia and cross-currency spread risk.

The low interest rate environment puts considerable pressure on the Bank's standard transformation model. On the one hand, the interest paid to depositors remains close to zero or is even legally prohibited to go below 11 bps while the interest received on commercial loans is constantly lowered following market rates and competitive pressures. On the other hand, customers continued to refinance and prepay their mortgages. However, the decisions of the ECB to introduce a tiering on deposits at the ECB and the more advantageous conditions of TLTRO III bring a little relief to the pressure on the bank's transformation model.

2.2.2. Interest rate risk for the insurance activities

The aim is to manage and limit the volatility in the income statement that can be caused by interest rate fluctuations and to safeguard the economic value of the shareholders' capital. Therefore, Belfius Insurance, as a matter of policy, does not hold any exposure with a high interest rate risk.

The duration that reflects the interest rate sensitivity of the balance sheet, is considered to be the leading measuring instrument for interest rate risk. The partial and global sensitivities of the interest rate risk per time bucket are more precise indicators that are monitored by the ALCo.

The limits for the interest rate risk are approved by the management board and the board of directors. They are translated to the Risk Appetite Policy for global risk indicators and to the Investment Framework for more operational risk indicators and monitored by the ALCo.

Belfius Insurance maintained its ALM strategy which is targeting to keep the duration between assets and liabilities pretty much balanced.

Taking into account the historically low interest rates persisting for a longer period, Belfius Insurance has been forced to revise its current product range substantially. Taking into account the Solvency II capital requirements in combination with the low interest rates and the current taxation rules, it was not easy to offer customers attractive investment insurance products in Branch 21 and Branch 26. So, there are several initiatives on which we give customers an opportunity to foresee a certain degree of security in their investment in Branch 23 through the Branch 44 concept.

(in thousands of EUR)	31/12/18	31/12/19
BELFIUS BANK		
Sensitivity (+10 bps)	(15,441)	(50,409)
Earnings at risk (+50 bps)	59,864	3,264
BELFIUS INSURANCE		
Sensitivity (+10 bps)	10,874	6,874
Earnings at risk (+50 bps)	2,347	2,178

2.2.3. Aggregate interest rate risk for the Belfius group

The figures below show the impact on the Belfius group Net Asset Value and the Earnings at Risk for the next book year of a parallel upward shift of the yield curve of 10, resp. 50 bps.

2.3. Credit spread risk

The credit spread risk is dealt with in the "Credit risk" section.

The sovereign and credit portfolio is managed by the investment departments under supervision of the respective ALCo's of Belfius Bank and Belfius Insurance. Its management is carried out according to a risk framework monitored by the risk department. The framework provides risk guidance for the investments. It sets risk appetite and operational limits for ensuring the credit quality of the credit portfolio within the well defined limits and a sound diversification (e.g. among industry sectors or countries). Sensitivity analysis and stress testing are regularly performed.

At Belfius Insurance, the credit spread risk has been fully integrated in the Risk Management. Indeed, moving toward Solvency II, the credit spread risk became more than before a key driver of the solvency position of the insurance company both for the net asset value's sensitivity and for the capital requirement.

2.4. Equity risk

The equity risk is a key contributor to the net asset value's sensitivity and the capital requirement of the insurance company. The equity portfolio is managed by a dedicated Investment team under supervision of the ALCo. The investments are again framed by risk guidance and operational limits according to the risk appetite of Belfius Insurance.

Market risk management tools include stress test measurements that provide an indication of the potential market value loss under different scenarios and the solvency ratio's resilience.

The table on the left shows the price sensitivity of Belfius' equities portfolio to a downward shock of 30%.

(in thousands of EUR)	31/12/18	31/12/19
BELFIUS INSURANCE		
Market value - quoted shares & assimilated	492,831	501,175
Market value - quoted real estate	318,592	277,776
Shock 30% (negative)	(243,427)	(233,685)
VaR (99%, 10 days)	53,400	36,037

2.5. Real estate risk

The property investments are made of deals offering long term stable returns mostly on the Belgian market. As such, these property investments must be viewed as a way of optimizing the risk/return of the investment portfolio and are allocated to the long-term life insurance business.

The table on the right shows the price sensitivity of Belfius Insurance real estate risk to a downward shock of 15%.

(in thousands of EUR)	31/12/18	31/12/19
BELFIUS INSURANCE		
Market value	645,291	720,808
Shock 15% (negative)	(96,794)	(108,121)

2.6. Foreign exchange risk

Although Belfius Bank uses the EUR as its reporting currency, part of its assets, liabilities, income and expenses are also generated in other currencies. The elements of the profit and loss accounts which are generated in foreign currency are systematically and on an ongoing basis converted in EUR, resulting in only limited net FX positions.

The foreign exchange rate risk is not significant at Belfius Insurance, as less than 1% of the portfolio's total market value is denominated in foreign currencies. The possibilities of holding exposures in foreign currencies is moreover deliberately limited by the Investment Framework.

The current exchange rate risk mainly comes from exposures in Danish krone (Danish mortgage bonds), whose value is strongly linked to the Euro. The exposure to the Danish krone decreased in 2019 by EUR 58 million.

2.7. Pension funds

Specific reports on the pension plans managed by the pension fund are submitted to the investment committee of those plans as a result of the delegation given by the ALCo. The investment committee analyses the impacts of the plans' position on interest rate, inflation and equity risk.

3. Trading market risk

Financial Markets activities encompass client-oriented activities and hedge activities at Belfius Bank. No Financial Markets activities are undertaken at Belfius Insurance. For their needs in Financial Markets products, they turn to Belfius Bank or other banks.

3.1. Market risk governance

With the purpose of effectively managing the market risks Belfius Bank is facing, FM Risk Management has identified the following cornerstones as key pillars of the risk management of the risks Belfius Bank is confronted with for its Financial Market (FM) activities:

- an efficient organisation fostering an accurate identification, analysis and reporting of the different risks Belfius Bank is bearing, as well as a continued training of people in order to remain up to date with the latest evolutions in theories, regulatory issues, metrics or market changes;
- a robust limit framework with differentiated limits by activity or risk factor that is to be respected by all parties involved in market activities. On top of the VaR limits or P&L triggers, several other metrics have been identified as key controlling tools in the risk management process:
 - limits on notional amounts;
 - limits on maturities;
 - limits on type of products;
 - limits on sensitivities (known as "Greeks": delta, etc.);
 - back testing;
 - stress tests.
- finally, this framework is regularly submitted for revision to the FM Committee in order to be commensurate to the risk appetite defined by the Board of Directors of Belfius Bank.

3.2. Market risk measures

The Value-at-Risk (VaR) concept is used as the principal metric for proper management of the market risk Belfius Bank is facing. The VaR measures the maximum loss in Net Present Value (NPV) the Bank might be facing in normal and/or historical market conditions over a period of 10 days with a confidence interval of 99%. The following risks are monitored at Belfius using a VaR computation:

- the interest rate, inflation and foreign exchange (forex) rate risk: this category of risk is monitored via a historical VaR based on an internal model approved by the National Bank of Belgium. The historical simulation approach consists of managing the portfolio through a time series of historical asset yields. These revaluations generate a distribution of portfolio values (yield histogram) on the basis of which a VaR (% percentile) may be calculated. The main advantages of this type of VaR are its simplicity and the fact that it does not assume a normal but a historical distribution of asset yields (distributions may be non-normal and the behaviour of the observations may be non-linear);
- the general and specific equity risks are measured on the basis of a historical VaR with full valuation based on 300 scenarios;
- the spread risk is measured via a historical approach, applying 300 observed variations on the sensitivities.

Since the end of 2011, Belfius has computed a Stressed Value-at-Risk (SVaR) on top of its regular VaR, which also enters into the computation of weighted risks for Market Risk. This SVaR measure consists of calculating a historical VaR on 250 consecutive business days observation period which generates the largest negative variations of Net Present Value in the Bank's current portfolio of financial instruments.

3.3. Market risk exposure

The overall average VaR of Financial Markets activities decreased to EUR 12.9 million in 2019 vs EUR 18.1 million in 2018.

- the VaR increased during the first quarter of the year due to movements in the trading positions inducing regular hedge updates;
- steady evolution during second quarter of the year followed by a significant increase in the IR FX VaR in September due to very volatile financial markets which produced some extreme negative scenarios. The rest of the year the VaR returned to a low and stable level in line with the limiting of trading exposures.

Value-at-risk by activity

VaR ⁽¹⁾ (99% 10 days) (in millions of EUR)	31/12/18				31/12/19			
	IR ⁽²⁾ & FX ⁽³⁾	Equity	Spread	Other risks ⁽⁴⁾	IR ⁽²⁾ & FX ⁽³⁾	Equity	Spread	Other risks ⁽⁴⁾
By activity								
Average	9.0	5.6	2.5	1.0	6.8	4.8	0.7	0.7
EOY	9.2	6.8	0.5	0.8	6.0	4.4	0.3	0.4
Maximum	15.5	7.6	6.1	2.2	11.6	7.6	2.2	1.5
Minimum	4.2	4.4	0.2	0.4	3.5	3.7	0.2	0.4
Global								
Average	18.1				12.9			
EOY	17.3				11.2			
Maximum	29.5				18.4			
Minimum	10.9				9.1			
Limit	26.5				26.5			

(1) The Value at Risk (VaR) is a measure of the potential change in market value with a probability of 99% and over a period of 10 days.

(2) IR: interest rate risk.

(3) FX: foreign exchange risk.

(4) Inflation and CO₂ risk.

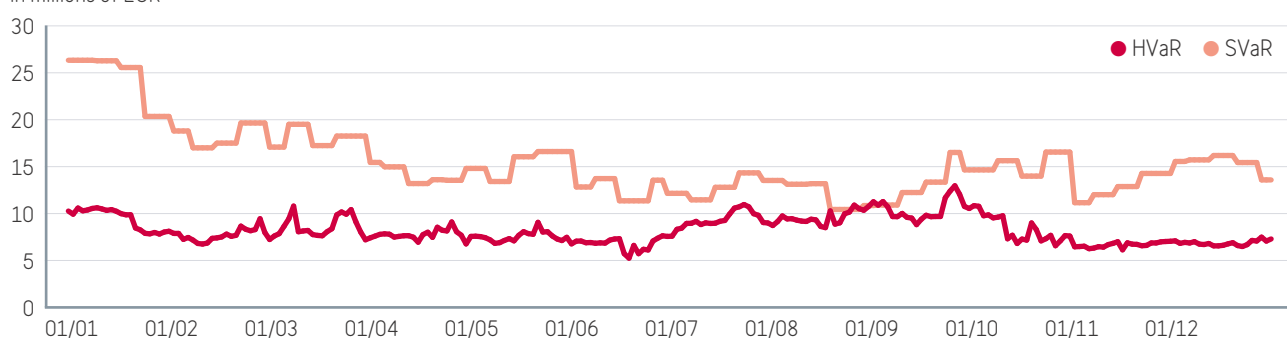
Evolution of global VaR in 2019

In millions of EUR



Evolution of HVaR and SVaR (Internal Model) in 2019

In millions of EUR



3.4. Stress Testing

Although the VaR is a very useful risk management tool for controlling day-to-day loss-risk exposures, it does not fully withstand the test of abnormal market movements, and it does not always give a total accurate picture of market exposure. Stress tests reveal sometimes better such information by gauging Belfius' vulnerability of the market position to exceptional events and hence by providing additional information about market risks alongside the information embedded in the VaR. These risks include those associated with extreme price movements and those associated with scenarios not reflected in recent history or implied by the parameters used to compute the VaR. Consequently, Belfius Bank uses stress tests in addition to the VaR approach.

The stress testing framework applied to Financial Market activities of Belfius Bank can be described as follows:

- Sensitivity tests are run on the following risk factors: interest rates, foreign exchange risk, volatilities, credit spreads, correlation, IR basis (difference between the Eonia rate and the Euribor 3-month rate) and dividends/share prices.
- Historical scenarios, which consist of simulations mirroring simultaneous significant historical market movements on several risk factors. More specifically, the following scenarios are applied:
 - equity crash of 1987;
 - monetary crisis of 1992;
 - market movements of 2001;
 - financial crisis of 2008.
- Combined scenarios where shocks on interest rates and credit spreads are simultaneously applied.

3.5. Regulatory internal model and back testing

The aim of back testing is to test the accuracy and the mathematical soundness of the internal market risk measurement methodologies by comparing the calculated market risk figures with the volatility of the actual results. Back testing is a prerequisite for Belfius Bank since we use internal models to calculate the regulatory capital requirement for market risks.

The result of the back test is the number of actual market losses greater than their corresponding VaR figures (i.e. "the number of exceptions"). According to this number, the regulators among others will also decide on the multiplier to be applied for determining the regulatory capital requirement for market risks.

Currently, two types of back testing are processed at Belfius Bank:

- Hypothetical back testing compares the hypothetical results of the portfolio's end-of-day value and, assuming unchanged positions, its value at the end of the subsequent day. This result is therefore without any provisions adjustments and other non-involved risk factors. The holding period is one day. During 2019, there were 5 negatives exceptions to the hypothetical back testing; this is without impact on the multiplication factor, as for the calculus of this factor only the 4 exceptions of the last 250 trading days of the year need to be taken into account;
- Real back testing compares the portfolio's end-of-day value and its actual value at the end of the subsequent day excluding fees, commissions, and net interest income. In 2019, there were 3 exceptions to the real back testing.

Liquidity risk

1. Liquidity risk at Belfius Bank

1.1. Liquidity management framework

Belfius Bank manages its liquidity with a view to comply with internal and regulatory liquidity ratios. In addition, limits are defined for the balance sheet amount that can be funded over the short term and on the interbank market. These limits are integrated in the Risk Appetite Framework (RAF) approved by the Board of Directors and reported on a quarterly basis. Available liquidity reserves also play a key role regarding liquidity: at any time, Belfius Bank ensures it has sufficient quality assets to cover any temporary liquidity shortfalls, both in normal markets and under stress scenarios. Belfius Bank defined specific guidelines for the management of LCR eligible bonds and non LCR eligible bonds, both approved by the Management Board. All this is laid down in the liquidity guideline, approved by the ALCo.

Asset and Liability Management (ALM), a division situated within the scope of the Chief Financial Officer (CFO), is the front-line manager for the liquidity requirements of Belfius Bank. It identifies, analyses and reports on current and future liquidity positions and risks, and defines and coordinates funding plans and actions under the operational responsibility of the CFO and under the general responsibility of the Management Board. The CFO also bears final operational responsibility for managing the interest rate risk contained in the banking balance sheet via the ALM department and the ALCo, meaning that total bank balance sheet management lies within his operational responsibility.

ALM organises a weekly Asset and Liability Forum (ALF), in presence of the Risk department, the Treasury department of the Financial Markets and representatives of the commercial business lines. The Asset and Liability Forum is in the first place a discussion forum on all topics with a link to the ALCo in preparation to the ALCo memo's. This forum has been mandated by ALCo to translate the strategic funding plans into tactical and operational funding strategies aligned to the financing needs stemming from Belfius' balance sheet and within the regulatory constraints (LCR, NSFR, encumbrance, MREL...).

ALM monitors the funding plan to guarantee Belfius Bank will continue to comply with its internal and regulatory liquidity ratios.

ALM reports on a daily basis to the CFO and CRO and on a monthly basis to the Board of Directors about the Bank's liquidity situation.

Second-line controls for monitoring the liquidity risk are performed by the Risk department, which ensures that the reports published are accurate, challenges the retained hypothesis and models, realises simulation over stress situations and oversees compliance with limits, as laid down in the Liquidity Guidelines.

1.2. Exposure to liquidity risk

The liquidity risk at Belfius Bank is mainly stemming from:

- the variability of the amounts of commercial funding collected from Retail and Private customers, small, medium-sized and large companies, public and similar customers and the way these funds are allocated to customers through all type of loans;
- the volatility of the collateral that is to be deposited at counterparties as part of the CSA framework for derivatives and repo transactions (so called cash & securities collateral);
- the value of the liquid reserves by virtue of which Belfius Bank can collect funding on the repo market and/or from the ECB;
- the capacity to obtain interbank and institutional funding.

1.3. Liquidity Risk Management

Strategies, scope and processes of liquidity risk management

The Liquidity report covers Belfius Bank on a consolidated level, i.e. the Bank with its subsidiaries and branches, incl. companies for securitization, excluding Belfius Insurance.

The strategy of the liquidity risk management is described in the Liquidity Risk Management Guidelines and in the Risk Appetite Framework (RAF). The RAF constitutes the highest level of risk limits and principles that express the risk tolerance of the Bank.

Monitoring is done through internal and regulatory liquidity Key Risk Indicators (KRI), with respective internal limits set up in the RAF. The liquidity KRI are reported on a regular basis and any exceeding of the limit is reported to the ALF and to ALCo, which has power of decision. Respect of those KRI is also tested under stress scenarios.

In addition, a series of Early Warnings indicators are monitored daily to identify as soon as possible liquidity tension on the markets.

In addition to the regulatory indicators, liquidity risk management focuses on:

- **Internal liquidity ratio:** a daily ratio that measures if Belfius Bank can survive a severe crisis for a minimum period of 3 months without recovery options (excluding repos on liquidity buffer and a limited amount of ECB funding).
- **Funding Gap:** a daily follow up of the maximum funding gap limits by currency and by maturity bucket.
- **Funding Plan and stress testing:** development of a strategic Funding Plan with the projection of the funding sources and requirements over the next 5 years giving a projection of the liquidity reserves, LCR ratio, NSFR ratio and Asset Encumbrance ratio. A severe stress scenario, combining Belfius specific and market specific events is applied on this Funding Plan: all RAF limits on liquidity KRI have to be respected.
- **Collateral management:** daily monitoring of collateral position and collateral needs of the Bank and their respective impact on liquidity and asset encumbrance.
- **Intraday liquidity risk:** in order to meet payment and settlement obligations on a timely basis under both normal and stressed conditions Belfius must have a sufficient buffer for operational and stressed outflows. The intraday liquidity is managed by the Treasury desk and controls are performed by Operations and Risk Management with a reporting of these tests to the ALF.
- **Contingency Funding Plan (CFP):** through a daily dashboard Belfius Bank created an adequate early warning system to detect market specific or Belfius specific liquidity events. A set of recovery measures is defined and regularly tested in the market with realistic amounts of funding, time to market and pricing. The CFP is consistent with the crisis management organization of Belfius Bank and has a clear decision process about responsibilities and organization of an ad-hoc ALCo to decide to activate the recovery measures.
- **Recovery Plan (RP):** in the RP a number of stress scenarios are defined that could bring the Bank near to failure. Recovery measures that can be launched to avoid this failure are tested in various scenarios.

→ **Liquidity Adequacy Statement (LAS):** the ILAAP (internal liquidity adequacy assessment process) results in the LAS where the Management Board confirms in a statement that Belfius has enough liquidity to fund its activities and to sustain severe stress-es and that liquidity risk is in line with the defined RAF and compliant with ILAAP requirements.

Belfius Bank developed the Liquidity Risk Management Guidelines and the RAF limits in order to remain sufficiently liquid in stress situations, without resorting to recovery actions which would generate significant costs or which would interfere with the core banking business of Belfius Bank.

“ ”
Well
diversified
funding
profile.

1.4. Consolidation of the liquidity profile

During 2019, Belfius consolidated its diversified liquidity profile by:

- maintaining a funding surplus within the commercial balance sheet;
- continuing to obtain diversified long-term funding from institutional investors by issuing, amongst others, Covered Bonds, Preferred Senior Bonds (PS) and Non Preferred Senior Bonds (NPS) anticipating the future final MREL objectives;
- collecting short and medium-term (CP/CD/EMTN) deposits from institutional investors.

The Liquidity Coverage Ratio (LCR) is based on the Delegated Act requirements and measures the ability to fund liabilities over a one month horizon. Belfius Bank discloses its 12-month average LCR in accordance with the European Banking Authority's guidelines on LCR disclosure. Belfius Bank closed the year 2019 with a 12-month average LCR of 130%.

The Net Stable Funding Ratio (NSFR), defines a minimum acceptable amount of stable funding based on the liquidity characteristics of the assets over a one year horizon. The NSFR based on our current interpretation of Basel III rules, stood at 116% at year-end 2019.

1.5. Liquidity reserves

At the end of 2019, Belfius Bank had quickly available liquidity reserves of EUR 28.6 billion. These reserves consisted of EUR 6.1 billion in cash, EUR 13.4 billion in ECB eligible bonds (of which EUR 9.6 billion are CCP-eligible (Central Counterparty-eligible)), EUR 5.9 billion in other assets also eligible at the ECB and EUR 3.1 billion in other liquid bonds.

These liquidity reserves represent 4.9 times the Bank's institutional funding outstanding end 2019 and having a remaining maturity of less than one year.

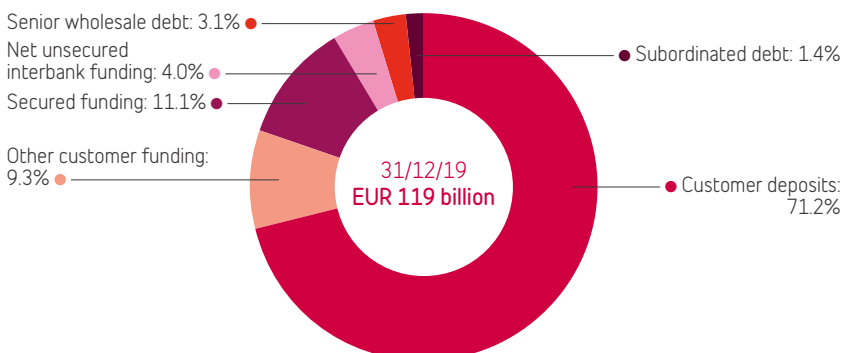
1.6. Funding diversification at Belfius Bank

Belfius Bank has a historical stable volume of commercial funding that comes from its RC and PC customers. Seeing the further increase of commercial funding, this source of funding represents an increasing part of total funding of Belfius Bank. RC and PC funding equals EUR 95 billion of which EUR 71.8 billion is from RC. The increase of EUR 5.5 billion commercial funding compared to 2018 is used to finance the increase of commercial loans.

The loan-to-deposit ratio, which indicates the proportion between assets and liabilities of the commercial balance sheet, was 94% at the end of 2019.

Belfius Bank also receives medium-to-long-term wholesale funding, including EUR 8.1 billion from covered bonds (EUR 5.6 billion backed by mortgage loans and EUR 2.4 billion by public sector loans) and EUR 4.0 billion in TLTRO funding from ECB as at

Belfius' main funding sources



31 December 2019. An amount of EUR 2.8 billion of TLTRO II has been switched to TLTRO III, thus maintaining the total amount of TLTRO funding stable at EUR 4.0 billion.

Note that during 2019 Belfius Bank issued EUR 0.5 billion Covered Bonds, EUR 0.75 billion Preferred Senior Bonds and EUR 0.5 billion Non Preferred Senior Bonds. The Preferred and Non Preferred Senior Bonds will enable us to further contribute to the new expected regulatory requirement of MREL.

The remainder of the Bank's funding requirements comes from institutional short-term deposits (Treasury) mainly obtained through placement of Certificates of Deposit and Commercial Paper (CP).

Next to that, Belfius Bank also has a historical bond portfolio, including an ALM portfolio for liquidity management purposes, with highly liquid assets.

As a result of derivative contracts to cover interest rate risk of its activities, Belfius Bank has an outstanding position in derivatives for which collateral must be posted and is being received (cash & securities collateral). Against the background of historical low interest rates, in net terms, Belfius Bank posts more collateral than it receives.

1.7. Encumbered assets

Encumbered assets represent the on- and off-balance sheet assets that are pledged or used as collateral for Belfius' liabilities. Belfius has encumbered a part of its loan portfolio for issuing covered bonds and residential mortgage-backed securities (RMBS). Furthermore, assets are encumbered for repurchase agreements and collateral swaps. Belfius also participates in TLTRO, for which assets are pledged as collateral. Finally a part of Belfius' encumbrance results from collateral posted to secure derivatives transactions. Belfius Bank has an internal RAF limit set at maximum 25%.

Belfius is active on the covered bond market since the set-up of the first covered bond programme in 2012.

The Bank is also collecting funding through repo markets for a limited amount and other collateralised deposits. A small part of the credit claims is pledged directly as collateral for intraday liquidity.

Since 2017 in the context of the management of its liquidity buffer, Belfius is also active in securities lending transactions under agreed Global Master Securities Lending Agreements (GMSLA).

The balance of encumbered assets is mainly linked to collateral pledged (gross of collateral received) for the derivatives exposures under the form of cash or securities. A significant part of collateral pledged is financed through collateral received from other counter-parties with whom the Bank concluded derivatives in the opposite direction.

Regarding the "Other assets" (unencumbered) on balance sheet, they are mainly composed of assets not available for encumbrance such as derivatives value, fair value revaluation of portfolio hedge and tax assets.

At year end 2019 (point-in-time) the sources of asset encumbrance (matching liabilities) mainly consisted of:

- own covered bonds issued (EUR 8.1 billion)
- TLTRO (EUR 4 billion)
- derivatives exposures (EUR 11.1 billion)
- securities lending transactions (EUR 1.4 billion)

For the full disclosure under EBA guidelines we refer to the Risk Report of Belfius Bank.

2. Liquidity risk at Belfius Insurance

As an insurance company, Belfius Insurance bears mainly insurance liabilities at relatively long term that are largely stable and predictable. Consequently, funding requirement is quite limited. The premiums paid by policyholders are placed in long-term investments in order to guarantee the insured capital and committed interests at the contract's maturity date. Several regulatory and internal liquidity indicators demonstrate that Belfius Insurance constantly holds enough liquid assets to cover its commitments on the liability side of the balance sheet.

(in millions of EUR)	2018	
	Assets	Liabilities
< 1 year	947	668
1 < 5 year	3,736	5,720
5 year and +	11,253	7,173
Undetermined	4,745	3,236
TOTAL	20,680	16,798

In addition, Belfius Insurance also holds a significant amount of unencumbered assets that are eligible at the ECB. More specifically, the company invests a significant part of its bond portfolio in government bonds eligible for repos in the context of its liquidity management.

The Investment department is responsible for Belfius Insurance's liquidity and cash-flow management. Therefore, it uses long-term projections of the cash-flows of assets and liabilities. These cash flows are simulated under both normal and stressed situations. Projections of cash-flow requirements for next twelve months are also used.

Please find on the left, table with the list of asset and liabilities per residual duration.

The assets are valued in market value. The "Undetermined" category includes the Branch 23 and shares.

The Liability side includes repo transactions and B23 products within the "Undetermined" category.

(in millions of EUR)	2019	
	Assets	Liabilities
< 1 year	997	1,532
1 < 5 year	3,472	4,454
5 year and +	12,182	6,835
Undetermined	5,667	4,957
TOTAL	22,317	17,779

Non-financial risk (NFR)

1. Non-Financial Risk management Framework

The operational risk management framework has been extended to “Non-Financial Risk” since 2018. The term Non Financial Risk (NFR) is covering all risks except “financial risks” (such as market, ALM, liquidity, credit and insurance risks). NFR covers among others operational risks (including fraud, HR, IT, IT security, business continuity, outsourcing, data-related risks, privacy ...) as well as reputational, compliance, legal risks, etc.. Consequently, NFRs are not independent, and do not constitute a predefined list of risks, resulting in the need for a regular review of the scope of these risks in light of emerging risks and new regulations.

The NFR management framework determines the principles that ensure an effective management of the non-financial risks by Belfius. These general principles are in compliance with the applicable legal requirements.

The framework is based on four axis:

- Establish a risk mapping and taxonomy in order to ensure consistency within the organization, including a regular review of this mapping and taxonomy to identify emerging risks;
- Enforce clear roles and responsibilities, as well as a well-defined way of working together for all the risks following a decentralised responsibility in accordance with the “Three Lines of Defense” (“LoD”) model;
- Set up a strong governance/committee structure involving the appropriate level of management; and
- Transversal risk processes and related policies, such as: self assessment of risks and internal controls, incident management, risk reporting, new product approval process, risk appetite definition and follow up, business continuity and crisis management.

Specific attention is also paid to more recent or evolving types of risks, such as cyber risk, conduct risk, sourcing risk, cloud risk, privacy risk, reputation risk, compliance risk, ...

2. Risk Appetite

The formal definition of a Risk Appetite Framework (RAF) is the key reference for the group Risk Management practice and it covers both financial and non-financial risks.

The RAF for NFR contains quantitative elements (target values or ratios) and qualitative elements (statements) and is articulated around three concepts on which limits are defined:

- **“Risks”**: What are the risks? How to appreciate the risk level (past and forward looking)?
- **“Risk management capacity”**: What is the capacity to manage the risks?
- **“Loss tolerance”**: What are the potential P&L and future RWA impacts we tolerate?

3. Transversal risk processes

3.1. Incident management

The systematic collection and control of data on operational incidents is one of the main requirements of the Basel Committee regarding operational risk management, whatever the approach adopted for capital calculation ("Standardised Approach" or "Advanced Measurement Approach") may be.

The reporting mechanisms ensure that the responsible parties are notified quickly if incidents occur. Major incidents are also reported to the CRO/Management Board, and these reports always include an action plan for avoiding, mitigating or limiting risks in the future. This is developed under the responsibility of the relevant line management.

For the period 2017-2019, Belfius Bank's average annual potential net losses stemming from operational incidents amounted to EUR 3.05 million.

The main areas of operational losses were essentially due to incidents associated with external fraud and incidents in relation to execution, delivery and process management. Other categories remain limited in amount but not necessarily in number of events.

The most important part of the financial impact resulting from operational incidents comes from the Bank's Retail business.

For Belfius Insurance and Belfius Investment Partners, the establishment of an overview of the operational incidents is also crucial to achieve a better understanding of the operational risk associated with each activity. This constitutes a relevant source of information for management (for example, the annual loss). The major operational incidents are investigated thoroughly and are subject to a specific action plan and appropriate follow-up.

3.2. Self- Assessment of Risks and Internal Controls

Another important task of risk management is the analysis of the overall main potential risks and related key controls for Belfius, performed at Belfius Bank, Belfius Insurance and Belfius Investment Partners. This is achieved through a bottom-up Self Assessment of Risks and Internal Controls held in all departments and subsidiaries at Belfius, using the COSO methodology. These exercises may result in additional action plans being developed to limit potential risks further and they provide an excellent overview of the main risk areas in the various businesses. These self-assessments are conducted annually and use the same methodology both for the Risk Control Self Assessment (RCSA) and for the yearly reports submitted to the respective Boards of Directors regarding the assessment of internal control. Belfius Bank submits the senior management report on the assessment of the internal control also to its regulator.

The identified top risks 2019 relate to DRP continuity (availability of data, applications and communication channels is a central concern for the business lines), resources risk (shortage of appropriate FTEs, both qualitatively and quantitatively) and compliance risk (MiFID and AML are still the main compliance risk domains).

3.3. New Product Approval Policy (NPAP)

The process of developing a function (product, activity, process, system ...) involves a number of steps that must be completed before the new (or changed) function can be implemented.

The NPAP policy establishes the overall process and the accountability of the parties involved in this process. Therefore, it defines the governance and describes the new product approval process (NPAP).

The objectives of the process are the following:

- new or changed functions are in line with the Belfius Strategy;
- all risks related to new or changed functions are identified;
- all risks related to new or changed functions fall within the Risk Appetite Framework;
- potential risks related to new or changed functions are adequately addressed (measured, monitored, controlled, mitigated and reported);
- any new risk related to new or changed functions is effectively managed.

NPAP governance was strengthened by the establishment of an NPAP committee.

3.4. Managing insurance policies

The possible financial impact of Belfius' operational risks are also mitigated by taking out insurance policies, principally covering professional liability, fraud, theft and interruption of business and for cyber risk. This is standard practice in the financial services' industry.

3.5. Business continuity

Belfius is committed to its clients, counterparties and regulators to put in place, maintain and test viable alternative arrangements that, following an incident, allow the continuation or the resumption of critical business activities at the agreed operational level and entirely compliant with the Belgian Regulation. Moreover Belfius considers itself to be in line with ISO 22301.

The supporting process, Business Continuity Management (BCM), is in a uniform way applied at all Belfius entities (Bank, Insurance, Investment Partners, Lease ...). It consists of:

- a **Policy**, which sets the framework and ensures that responsibilities and roles are clearly assigned and communicated within the organization, that appropriate resources are attributed.
- a **Threat Analysis** (so measures can be considered to lower the likelihood or to decrease the impact of disruption) and a Business Impact Analysis (BIA) which assesses the impact in time of a loss, interruption or disruption of business activities according to multiple criteria. The Recovery Time objective (RTO) depends on the criticality of the business activity (2 hours, 4 hours, 2 days, 1 week).
- the design of appropriate **relocation strategies** to provide continuity for its critical Business Activities. The main relocation strategies are the following:
 - "Dual Office" & "remote work", which implies that all very critical and systemically critical important activities are always organized at two geographically different locations and also performed by collaborators working at home. This means that if one of the buildings of Belfius becomes unavailable, the activity simply continues in other places..
 - "internal relocation sites" for the Dealing Room and a limited number of other activities that demand some specific prerequisites at critical moments in time, only available in Belfius' premises; the internal relocation site in Brussels is mainly used for crisis coordination.
- the implementation by means of a **Business Continuity Plan** which is a set of procedures, scenarios, call lists and tools. Thanks to its automation, the BC Plan can be very quickly rolled out
- a flexible **Crisis Management** process which considers also elements of communication, HR, facility management, IT, legal & insurance. Belfius has a mass notification tool at his disposal to inform all stakeholders.
- an **exercise** and **maintenance** program which validates previous elements and gives rise to lessons-learned with the intention to further improve the resilience of Belfius. Recently the exercise program has been extended to be in line with the more complex and disruptive risk landscape.
- a **Management Reporting** covering the strategic realizations, lessons learned, budget and projects, which confirms the active executive involvement on Business Continuity..

“ ”
Strict Business
Continuity
Management.

General comments

- at each exercise in 2019, the BC Plan was successfully deployed and all KPI's were compliant with the risk appetite.
- in 2019 no real crisis triggered Belfius to roll out the BC Plan.

4. Focus on key non-financial risks/domains

4.1. Information Security

For Belfius, the purpose of information security is to protect Belfius' information that has a value for the organization:

- the information generated by the business;
- the information belonging/pertaining to our clients;
- the information, derived from freely accessible or publicly available data, which has acquired a value as a result of the treatment carried out by or on behalf of Belfius

The threats against data and the information are:

- their loss of integrity;
- their loss of confidentiality;
- their unplanned unavailability.

The mission of information security, is to guard against these threats. Belfius also considers that the objective regarding information security extends to managing the risks linked to the consequences of these threats if they have materialized:

- loss of customers' confidence;
- loss of money;
- loss of reputation within the customers and shareholders;
- loss of peer confidence (regulators, financial markets);
- loss of confidence of our business partners.

These principles were approved by the Board of Directors and are now applied by the organisation in all the information security axes.

In 2019, a major project, Core Banking Renewal, has started. Best-in-class information security is a key objective for this project as our data and the information derived from them will leave the perimeter of Belfius assets and will be stored outside for the first time in Belfius history. The support to this project has been one of our priorities in 2019.

The new security roadmap has been aligned for the first time with the information security objectives and strategy approved by the Board of Directors last year. This helps to make sure all dimensions were taken into account without weak link.

Governance and Strategy

In order to guarantee the information security within Belfius, the Information Security Steering (ISS) ensures a well governed and coordinated information security strategy whereby an adequate system of "prevention", "detection", "protection" and "reaction" is put in place, in line with regulatory requirements towards information security.

11 sessions of this committee have taken place in 2019 and have led to strategic reflections and actions to improve the information security strategy within Belfius.

The ISS is chaired by the Chief Risk Officer (CRO) and the quorum ensures that executives stakeholders (CIO, CRO, CISO) are present at each session.

4.2. Data privacy

Respect for privacy and customer satisfaction

The respect for privacy and the protection of personal data is a key commitment at Belfius. GDPR conformity is integrated into every process to offer (existing, adapted and new) products, innovative digital tools, services and information sharing to its

clients. GDPR is a focus in approval processes. The Data Protection Officer (DPO), the Chief Information Security Officer (CISO), the Digital Security Officer (DSO), the Non-Financial Risk Department (NFR), the Legal Department and the Compliance Department work together with as aim to respect GDPR.

The regulatory framework relating to personal data continues to evolve and Belfius is closely monitoring these developments.

Exercises of rights by data subjects

98.71% of the total number of exercises of rights, 16,566 in number, were exercises of the right to access. 99.93% of those were digital requests which Belfius processed and answered automatically, always within the maximum period of one month.

Internal awareness

A GDPR e-learning, which has been followed by more than 90.53% of staff (head office, branch network and agencies), translates Belfius' commitment, as indicated above, into an increased GDPR-awareness on behalf of its employees and the privacy correspondents active in all management teams.

Infringements

With respect to personal data breaches, we have not identified any significant data breaches. Only 3 facts were reported to the Data Protection Authority in 2019. In each case, there was no significant impact due to a rapid response and appropriate measures.

4.3. Fraud risk

Together with the Internal Audit and Compliance, the NFR Department has formulated a global anti-fraud policy for Belfius. In line with the overall commitment to deliver value-adding products and services, the qualitative statements of the Belfius Risk Appetite Framework stresses

- that a zero-tolerance policy line is applicable for all forms of fraud (internal, external as well as mixed frauds) and
- that Belfius implements an extremely severe policy line to achieve its anti-fraud objectives, taking into account practical capacities.

The roles and responsibilities have been clearly defined which implies in a concrete manner that Business / Support Lines are the first risk managers. The CRO/Risk NFR team with the Anti-Fraud Officer as expert has a clear 2nd LoD role. The CRO is in general, as for all risks, responsible for the sound management within the 3 LoD model.

The Fraud Steering Committee, acting as a sub-committee of the Non Financial Risk Committee, is defining and monitoring the fraud risk management on strategic and tactical level. It is the platform to reflect on and organize a dialogue between the internal control functions and the stakeholders mainly operating in the decentralized expert units (handling specific types of fraud).

The Anti-Fraud Officer, acting in its 2nd LoD challenger role is key to steer and coordinate, harmonize, monitor and challenge, and consolidate the knowledge of the decentralized expert units.

In this context the processes and internal controls are continuously screened to prevent fraud and this protects the interests of Belfius and its employees, customers, suppliers and other stakeholders.

A fraud report is submitted to the Management Board (acting as NFR Committee) and Audit Committee/Risk Committee.

4.4. Outsourcing risk

Belfius is aware that the risks associated with outsourcing need to be managed adequately and fully assumes its responsibilities in that regard, including but not limited to overseeing and managing the outsourcing arrangements and the risks involved.

The outsourcing risk policy has been fully reviewed in compliance with "Final Report on EBA Draft Guidelines on Outsourcing Arrangements". In particular, the policy provides the appointment of the outsourcing function and the set up of the Outsourcing Management (steering) Committee ("OMC"), whose mission consists in ensuring a well governed and coordinated outsourcing in line with Belfius strategy, risk appetite and regulatory requirements.

4.5. Employment Practices (HR) & Workplace Safety, Damage to Assets & Public Safety

Concerning physical security & workplace safety, Belfius has a very low appetite for risk. Belfius strives to provide a secure environment for its staff, clients, visitors and assets by ensuring its physical security measures & procedures meet high standards. To obtain this goal a Security Steering Committee constituted of all stakeholders, monitors systematically the overall situation by means of a dashboard. It also acts as a forum to reflect and to dialogue on actual incidents, and on action plans to reduce the risks to acceptable levels.

Insurance risks

1. Definition

Belfius Insurance, as a part of Belfius, takes up risk through the insurance contracts that it underwrites. The risks within the underwriting risk category are associated with both the exposure covered by the specific line of insurance (Life or Non-Life) and the specific processes associated with insurance business (claims processing, premium collection, pricing, selection, etc.).

The risks that apply to all lines of the insurance business can be globally categorised as follows:

Life underwriting risk: is the risk arising from the life insurance obligations, in relation to the perils covered and the processes used in the conduct of business. It is split up into seven subsegments:

- mortality risk, which is the risk that mortality occurs when increases. It applies to all undertakings for which the pay-outs are expected to be paid out increase when there is a rise in mortality.
- longevity risk is the opposite of the mortality risk. It applies to policies for which a fall in mortality would result in an increase in the expected payouts (e.g. pension policies). Improvements in medical treatments that prolong life without restoring the ability to work could cause these risks to materialise at a greater frequency than currently observed.
- morbidity or disability risk relates to the risk of loss or disadvantageous movement in expected benefits caused by changes in the level, nature, trend or volatility of the degree of disability.
- lapse risk for Life is described as the risk of loss or increase in pay-out caused to a difference between the effective exercise rate of the contractual options by the policyholder and the expected exercise rate. The term "options" should be viewed in the broad sense of the word: this submodule contains options in relation to redemption, cancellation or premium reduction, as well as the expansion of the guarantees. For some policies, exercise may be at the benefit of the insurance company, while for others it may result in a loss. As a result, this submodule features two scenarios: one in which the options are exercised more frequently than expected and another where they are exercised less frequently.
- expense risk corresponds with the risk that the expenses are higher than expected or that they subdue to higher inflation than expected.
- revision risk only applies for the annuities whose amounts may be valued negatively for the insurer as the result of a change in the statutory environment or in the policyholder's health situation.
- catastrophe risk is restricted to policies where an immediate and dramatic rise in mortality would result in an increase in benefits.

Non-Life underwriting risk: is the specific insurance risk arising from Non-Life insurance contracts. This uncertainty about the results of the insurer's underwriting could be split in three subsegments:

- premium risk which is the risk where the amount of premiums received is not sufficient to pay claims that occur during the coverage period to which the premiums relate to
- reserve risk is the risk of loss or unfavourable change in the value of the insurance undertakings arising from changes in the frequency and severity of the insured events, as well as in the date and amount of the claims to be paid
- catastrophe risk is the risk arising from unpredictable events including, but not limited to, windstorms, coastal inundation, floods, severe winter weather, and other weather-related events, pandemics, large-scale fires, industrial explosions, earthquakes and other man-made disasters such as civil unrest and terrorist attacks, that is not covered by the premiums or reserves

Product design risk: is the risk of loss resulting from features, options or guarantees that were unanticipated in the design and pricing of the insurance product.

2. Managing the insurance risk

The Risk & Underwriting Committee gives recommendations about strategy in the area of underwriting and reserving for the insurance companies within Belfius Insurance and the resulting policy, in particular with regard to the following points:

- types and characteristics of the insurance business that Belfius Insurance is willing to manage;
- selection criteria for the risks that match the risk appetite;
- the way in which the actual underwriting is monitored;
- the managing between, on the one hand, the insurance premiums collected and, on the other, the claims to be paid out when costs are borne;
- identification of the risks arising from the undertakings of Belfius Insurance, including the implicit options and the capital that is guaranteed by the insurance products;
- making provisions for claims.

The overall strategy is developed by each concerned entity and is follow-up by the local persons in charge.

Reinsurance is one of the methods used to limit the insurance risk. The main objective of reinsurance is to reduce volatility in capital requirements and profits, and to diminish the uncertainty associated with the risk in the insurer's valuation.

The drivers of reinsurance are:

- capacity: reinsurance gives insurers greater flexibility in terms of scope, type of risk and business volume that they can safely accept. This enables insurers to embark on new business or to expand their activities for a short period.
- stability: structured reinsurance programmes enable insurers to stabilise their operating income.
- protection: reinsurance provides protection against cumulative financial losses caused by a succession of events (such as poor weather) or against significant financial losses arising from a single event.
- funding: reinsurance can be an alternative to a capital increase.
- expertise: reinsurers assist insurers in their area of expertise. The qualified staff of reinsurance companies offer their services, for instance in establishing a new business.

3. Sensitivities

Belfius Insurance evaluates the effect of sensitivities on available financial resources. The technical reserves are expressed in fair value.

Given the low interest rates, the value of the technical reserves is higher than the redemption value, which results in a negative impact on capital in the event of a reduction in the lapse rate. The sensitivity to the lapse rate has slightly increased in 2019.

The review of cost assumption has a negative impact on the available financial resources and its sensitivity. The low interest rates increases the impact.

An increase of the mortality rates has also a negative impact on available financial resources.

As for life activities, in non-life business, higher costs assumptions lead to a lower result. An increase of claims leads also to a lower result.

Underwriting risk Life: scenario that corresponds to⁽¹⁾

(In millions of EUR)	Impact on available financial resources before taxes	
	31/12/18	31/12/19
A decrease of 10% in the redemption rate	(23.2)	(33.2)
An increase of 10% in costs + 1% inflation	(158.3)	(188.7)
An increase of 15% in mortality	(34.5)	(40.2)

(1) Impact for Belfius Insurance SA (= Belins solo), Branch 23 included.

Underwriting risk Non-Life: scenario that corresponds to⁽¹⁾

(In millions of EUR)	Impact on result before taxes	
	31/12/18	31/12/19
A increase of 10% in administrative costs	(8.5)	(8.8)
An increase of 5% in claims made	(19.4)	(21.3)

(1) Impact for Belfius Insurance SA and Corona SA (=Belins conso).

4. Development of claims

The claims triangle is the usual method for expressing the settlement of non-life claims stretched out over a number of years. Inter alia it enables actuaries to assess the appropriateness of the non-life technical provisions. Between the event and closing date of a claim, the insurer assesses the amount on total cost of the claim. During this period, the insurer establishes a reserve that equals to the estimated amount of future payments for the claim.

Given the reserve is an estimate, there is a risk that the amount effectively paid is different (higher or lower). To assess that risk, it is necessary to study the variation of two amounts:

- the total of payments made prior to that date;
- the reserve established on that date for future payments.

The sum of these two components is called the total incurred claims cost.

The table below shows the evolution for Belfius Insurance SA and Corona SA since 2009 of the sum at the end of each year, of the total incurred claims cost per year of occurrence.

Claims development (excluding reinsurance and internal costs)

(In thousands of EUR)											
Year of settlement	Year of occurrence										
	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
Estimation at the end of the year of occurrence	331,831	376,927	368,410	366,403	365,798	415,445	389,632	427,822	417,069	441,459	452,780
1 year later	315,094	377,982	365,547	350,517	324,524	392,976	361,479	402,910	396,145	431,019	
2 years later	302,958	376,143	355,306	334,313	312,883	381,044	353,512	385,904	377,854		
3 years later	302,314	370,819	350,249	329,882	306,454	374,836	351,551	379,367			
4 years later	300,159	370,924	352,804	328,046	303,051	371,983	345,737				
5 years later	299,236	363,378	350,780	323,899	301,179	369,929					
6 years later	296,773	360,537	351,335	319,633	297,842						
7 years later	293,969	357,875	344,245	317,895							
8 years later	293,741	354,384	341,644								
9 years later	292,906	350,988									
10 years later	292,051										

(In thousands of EUR)											
Actual estimation	292,051	350,988	341,644	317,895	297,842	369,929	345,737	379,367	377,854	431,019	452,780
Cumulative payments	(269,545)	(304,713)	(303,622)	(275,321)	(256,269)	(317,231)	(273,090)	(290,493)	(268,620)	(286,340)	(211,965)
Actual provisions	22,506	46,275	38,022	42,574	41,572	52,698	72,647	88,874	109,234	144,680	240,815

(In thousands of EUR)											
Provisions (after 2009)											899,896
Provisions (before 2009)											152,308
Internal costs											43,232
Accepted deals											22,505
TOTAL⁽¹⁾											1,117,940

(1) Claims reserves 31 December 2019 - note 6.5.2.



Corporate governance

Composition of the Management Board and the Board of Directors of Belfius Bank

1. Management Board

1.1. Composition

On 31 December 2019, the Management Board of Belfius Bank consisted of 5 members, namely: Mr Marc Raisière, chairman, Mrs. Marianne Collin and Messrs Dirk Gyselinck, Olivier Onclin and Johan Vankelecom.

The Board of Directors co-opted Mrs Marianne Collin as director in order to replace Mr Eric Hermann, appointing her as CRO, member of the Management Board, from 1 January 2019. Her definitive appointment as director was approved by the Extraordinary General Meeting of Shareholders held on 19 March 2019.

On 24 April 2019, the directorships of Messrs Olivier Onclin and Johan Vankelecom were renewed by the Ordinary General Meeting of Shareholders for a period of 4 years, i.e. until the close of the Ordinary General Meeting of Shareholders in 2023.

On 19 December 2019, the Board of Directors approved the modification, from 1 January 2020, of the remit of Johan Vankelecom, CFO, in order for him to assume additional responsibilities in the Financial Conglomerate and strategic development domains of Belfius. The new title for his position is from 1 January 2020 onwards Chief Financial and Strategic Officer – CFSO.

Chairman	Marc Raisière
Members	Marianne Collin
	Dirk Gyselinck
	Olivier Onclin
	Johan Vankelecom

In addition, effective 1 January 2019, the Management Board, in consultation with the Board of Directors, appointed 3 associated members, Mr Patrick Devis, IT manager, Mrs. Camille Gillon, HR & Building Management manager and Mr Geert Van Mol, Data & Digital manager. The associated members of the Management Board attend the meetings of the Bank's Management Board in an advisory capacity.

A Group Management Committee was also established from 1 January 2019 onwards. This Committee is made up of the 5 members of the Management Board of Belfius Bank and the chairman of the Management Board of Belfius Insurance (Mr Dirk Vanderschrick) and the 3 associated members of the Management Board. The Group Management Committee deals with various group strategic matters and important issues for a bankinsurance group.

1.2. Remit

The Management Board is responsible for the effective management of the Bank, directing and coordinating the activities of the various business lines and support departments within the framework of the objectives and general policy set by the Board of Directors. These powers do not include determining the Bank's overall policy, nor actions reserved for the Board of Directors by the other provisions in the Companies and Associations Code or by the Banking Law.

The Management Board ensures that the Bank's business activities are in line with the strategy, risk management and general policy set by the Board of Directors. It passes on relevant information to the Board of Directors to enable it to take informed decisions. It formulates proposals and advices to the Board of Directors with a view to define or improve the Bank's general policy and strategy.

The members of the Management Board form a collegial body. They are required to carry out their duties in complete objectivity and independence.

Under the supervision of the Board of Directors, the Management Board takes the necessary measures, including supervisory measures, to ensure that the Bank has a robust structure suited to the Bank's organisation. In order to guarantee the effective and prudent management of the Bank in accordance with the Banking Law.

In principle, the Management Board meets once per week.

2. Board of Directors

2.1. Composition

As at 31 December 2019, the Board of Directors consisted of 15 members, 5 of whom were members of the Management Board (cf. table on the opposite page).

During the course of 2019, Mrs. Martine De Rouck was appointed as an independent director at the Ordinary General Meeting of Shareholders held on 24 April 2019.

On 23 May 2019 the Board of Directors of Belfius Bank appointed Mr. Stijn Bijmens as IT, Data & Digital expert in order to assist the Board of Directors in the IT, Data & Digital matters. He is invited to the Board of Directors on a frequent basis for strategic IT topics.

The renewal of the mandates as directors of Mr Jozef (Jos) Clijsters, chairman of the Board of Directors, Mrs. Carine Doutrelepont, Mrs. Lutgart Van den Berghe and Messrs Paul Bodart, Chris Sunt and Rudi Vander Vennet for a term of two years will be submitted to the Ordinary General Meeting of Shareholders of 2020. These mandates will end at the close of the Ordinary General Meeting of Shareholders in 2022.

It will moreover be proposed to the General Meeting subject to the approval of the supervisory authority to appoint Mrs Isabel Neumann as an independent director for a term of 2 years, to end at the close of the annual general meeting in 2022. It will also be proposed to the General meeting to appoint Mr. Jozef (Jos) Clijsters as an independent director.

The Board of Directors consists of professionals from a variety of industries, including the financial sector and has the expertise and experience required associated with the Bank's various operating businesses.

Jos Clijsters

Chairman of the Board of Directors of Belfius Bank



**Board of directors
of Belfius Bank**
(financial year 2019)

Main function

		Non-executive director	Member of the Management Board	Independent director	Audit Committee	Nomination Committee	Remuneration Committee	Risk Committee	Mediation Committee
Jozef Clijsters⁽¹⁾	Chairman of the Board of Directors of Belfius Bank SA	★				■	■		★
Marc Raisière	Chairman of the Management Board of Belfius Bank SA		★						
Marianne Collin	Member of the Management Board of Belfius Bank SA Chief Risk Officer, responsible for Risk Management & Compliance		■						
Dirk Gyselinck	Member of the Management Board of Belfius Bank SA Responsible for Public and Corporate Banking, Financial Markets, Wealth Management, Customer Loan Services		■						
Olivier Onclin	Member of the Management Board of Belfius SA Responsible for Retail and Commercial Banking, Customer Transaction Services		■						
Johan Vankelecom	Member of the Management Board of Belfius Bank SA Chief Financial Officer, responsible for Accounting, Strategic Planning & Performance Management, Socio-Economic Research, Strategic Corporate Development, Asset & Liability Management, Legal and Tax ⁽²⁾		■						
Paul Bodart	Director of companies and non-profit organisations	■		■	■				
Jean-Pierre Delwart	Chairman of the Board of Directors of Solvac	■		■					■
Martine De Rouck	Independent Director of Orange Belgium SA	■		■					
Carine Doutrelepont	Lawyer and full Professor at the Université Libre de Bruxelles	■		■		■ ⁽³⁾	■		
Georges Hübner	Full Professor at the HEC Liège, Liège University	■		■	★			■	
Diane Rosen	Director Humanitarian Services at Belgian Red Cross and Vice president Blood Services at Belgian Red Cross	■		■		■ ⁽⁴⁾		■	
Chris Sunt	Lawyer ⁽⁵⁾	■		■	■			■	
Lutgart Van den Berghe	Emeritus extraordinary professor at the University of Ghent and emeritus part time professor at the Vlerick Business School	■		■		★	★		
Rudi Vander Vennet	Full Professor in Financial Economics and Banking at the University of Ghent and lecturer Banking and Insurance at Solvay Business School (ULB)	■		■				★	

★ Chairman

(1) The chairman sometimes participates at the Audit Committee and the Risk Committee

(2) From 1 January 2020 onwards: Chief Financial & Strategic Officer, responsible for Corporate Strategy, M&A/Partnerships/Participations, Capital Management, Financial Conglomerate Steering and Investor Relations, ALM, Legal & Tax, Accounting, Strategic Planning and Performance Management (SPPM), Strategic Research & Belfius' Asset Management.

(3) Until 29 April 2020.

(4) From 7 February 2020 onwards.

(5) Until 29 February 2020 - Honorary Lawyer from 1 March 2020 onwards.

2.2. Remit

The Board of Directors defines and supervises the strategy and objectives of the Bank as well as the risk management, including the level of risk appetite, on proposal or recommendation of the Management Board.

In the context of this responsibility, the Board of Directors is actively involved in general policy, in particular with regard to supervision of the risk policy, organisation and financial stability of the Bank and its governance, including the definition of the Bank's objectives and values.

The Board of Directors also approves the Bank's Governance Memorandum.

In 2019, the Board of Directors met 13 times.

2.3. Conflict of interests

Pursuant to article 7:96 of the Companies and Associations Code (previously article 523 of the Companies Code), if a director, directly or indirectly, has a financial interest contrary to a decision or operation under the authority of the Board of Directors, that director must inform the other directors before the Board of Directors takes a decision. The director's declaration, as well as the reasons justifying the opposing interest that exists for the director in question, must be stated in the minutes of the meeting of the Board of Directors that is to take the decision. In the minutes, the Board of Directors will give details of the nature of the decision or operation and its financial consequences for the company, and justify the decision taken. This section of the minutes will appear in full in the management report.

On 30 January 2020, the Board of Directors was informed of the existence of a conflict of interests pursuant to article 7:96 of the Companies and Associations Code.

The extract from the meeting of the Board of Directors held on 30 January 2020 is reproduced below.

Context

Market practices show that exempting or holding the directors harmless for any liability with respect to their mandate by a company is in its corporate interests.

This is also the case for the Belfius Group.

There is indeed an exponential increase in the regulations that apply to financial groups. Also, undeniable social developments that may cause the risk of being held liable increase appreciably.

Furthermore the insurance market does not allow such a risk to be adequately covered, not to mention the possible cost of such insurance. In view of the complexity of the activities of the Belfius Group and its group entities, and given the specific regulatory framework within which the Group operates, Belfius needs to recruit qualified directors within its group entities and holdings, as well as to be able to retain their services.

The Companies and Associations Code is changing the existing legal framework with regard to the prior hold harmless by a company of the members of its governing bodies.

As a result, the existing hold harmless mechanisms at the level of the group entities disappear for events causing a damage after the Companies and Associations Code comes into effect for the entity in question.

For these reasons, it is in the corporate interest of Belfius Bank to hold the members, appointed on its proposal, of the governing bodies of the companies in which Belfius Bank has a direct or indirect holding, harmless to the extent permitted by the law, with regard to any events causing a damage that may occur after the Companies and Associations Code comes into effect for the holding in question and insofar as the costs and damages associated with their liability are not covered by any insurance policy and insofar as the claim for liability is not initiated by the legal entity ("actio mandati").

The management board took the following decision at its meeting on 21 January 2020:

Principles

Belfius Bank undertakes irrevocably to hold harmless and compensate all persons, irrevocably and unconditionally, who, on 1 January 2020 and afterwards, on the proposal of the Belfius Group, exercise or will exercise the mandate of a member of a governing body in a company (see art. I.1, 1°, paragraph one of the Code of Economic Law) in which Belfius Bank has a direct or indirect holding, or is a member, with regard to any events causing a damage that may occur after the Companies and Associations Code comes into effect for the company in question, to the extent permitted by law, for actions, proceedings and claims introduced against them, and for any liability (including any objective liability, but excluding any intentional wrong and "actio mandati"), loss, costs, expenses (including reasonable judicial costs) or any damage associated therewith, insofar as the action, proceedings or claim, from any viewpoint whatsoever, are in keeping with any act or negligence in the exercise of their mandate as a member of a corporate body on or from 1 January 2020 at the request/proposal of the Belfius Group. Excluded from this indemnity are:

- the members of the Management Board of Belfius Bank SA;
- the holdings of Belfius Insurance SA;
- the directors of the independent network of Belfius Bank SA.

This hold harmless only applies if and insofar as the party to be exempted does not benefit from indemnification or compensation from a third party (e.g. an insurance company) and is without prejudice to any right of recourse against third parties for its own damage suffered.

(...)

Marc Raisière, chairman of the Management Board, Marianne Collin, Dirk Gyselinck, Olivier Onclin (represented by proxy by Marc Raisière) and Johan Vankelecom, members of the Management Board, inform the other directors that each of them has a conflict of interest pursuant to Art. 7:96 of the Companies and Associations Code, given that each of them benefits directly, as member of the Board of Directors of some direct or indirect holdings of Belfius Bank, from the proposed indemnification system.

Marc Raisière, Marianne Collin, Dirk Gyselinck and Johan Vankelecom leave the meeting and take no part in either the deliberations or voting in relation to this item on the agenda.

The Board of Directors - excluding the members of the Management Board having a conflict of interest - takes note of this decision by the Management Board and decides unanimously that the members of the Belfius Bank Management board excluded by the aforementioned decision by the Management Board will be hold harmless under the same principles decided on by the Management Board, in their role and responsibilities as member of a Board of Directors of a direct or indirect holding of Belfius Bank.

The Management Board shall report regularly to the Board of Directors on the application of the indemnification granted by the Management Board and the Board of Directors and the resulting costs for the company.

The Board of Directors requests that the minutes of the meeting of the Board of Directors in connection with this item on the agenda be sent to the auditor.

Relationship between the Board of Directors and the Management Board

Management of the credit institution's activities remains under the sole jurisdiction of the Management Board. Such management takes place without any outside intervention and is carried out within the framework of the general policy laid down by the Board of Directors.

Advisory committees established by the Board of Directors

The Board of Directors established various advisory committees to assist in its task, i.e. a Nomination Committee, a Remuneration Committee, an Audit Committee and a Risk Committee. These committees are exclusively composed of non-executive directors. In line with the EBA guidelines the majority of the members of the advisory committees are independent directors. These directors are members of a maximum of three of these advisory committees. A Mediation Committee has also been installed within the governance of the Belfius Group.

Chairwoman Lutgart Van den Berghe

Members Jozef Clijsters
Chairman of the Board
of Directors of Belfius Bank

Carine Doutrelepon

Diane Rosen⁽¹⁾

Johan Tack⁽²⁾
Director of Belfius Insurance,
invited as representative
of Belfius Insurance

(1) From 7 February 2020.

(2) Until 28 April 2020.

1. Nomination Committee

The Nomination Committee plays an advisory role and prepares decisions of the Board of Directors of Belfius Bank in relation to appointments, HR, succession plans, etc. It also ensures the application of provisions concerning corporate governance. With the objective of efficiency and consistency regarding group policy, this committee also prepares decisions of the Board of Directors of Belfius Insurance, Corona and Belfius Investment Partners in this regard.

1.1. Composition

1.1.1. General aspects

As at 31 December 2019, the Nomination Committee for Belfius Bank consisted of the following members: Baroness Lutgart Van den Berghe, chairman, Mr. Jozef Clijsters and Mrs. Carine Doutrelepon.

On 7 February 2020, the Board of Directors of Belfius Bank appointed Mrs. Diane Rosen as a fourth member of the Nomination Committee, with immediate effect.

Mr Johan Tack, as representative of Belfius Insurance, is invited to meetings of the nomination committee related to Belfius Insurance.

1.1.2. Independence and expertise

All the members of the Nomination Committee are non-executive directors.

Baroness Lutgart Van den Berghe, Doctor in Economics, is an emeritus extraordinary professor at the University of Ghent and emeritus part time professor at the Vlerick Business School. She is also member of the Koninklijke Vlaamse Academie van België voor Wetenschappen en Kunsten.

Mr. Jozef Clijsters, Master in Applied Economics, is chairman of the Board of Directors of Belfius Bank.

Mrs. Carine Doutrelepon, Doctor of Law, is a lawyer at the Brussels Bar and at the Bar of Paris and full professor at the Université Libre de Bruxelles. She is also member of the Académie Royale des Sciences, des Lettres et des Beaux-Arts de Belgique.

Mrs Diane Rosen, commercial engineer, has a broad experience in the financial sector. She also has particular experience in human resources. In particular, she has worked as Head of Management Development, Recruitment, Compensation and Benefits at a financial institution.

Mr Johan Tack, Master in Economics, is currently director and advisor in the banking and insurance sector. Johan Tack is a member of the Nomination Committee for matters related to Belfius Insurance.

Three of the four members⁽¹⁾ of the Nomination Committee of Belfius Bank are independent directors. Three members⁽²⁾ have professional experience in the financial sector.

One of the members also sat on the Nomination and Remuneration Committee of a listed company. One member has also worked as human resources manager for a financial institution.

All the members have professional experience as executive director and additional professional experience as non-executive directors in various sectors of activity. Consequently, the members of the Nomination Committee have the required skills, on the basis of their education and professional experience, to give a competent and independent judgement on the composition and operation of the Bank's management bodies, in particular on the individual and collective skills of their members and their integrity, reputation, independence of spirit and availability.

(1) Two of the three members at 31 December 2019.

(2) Two members at 31 December 2019.

1.2. Remit

The Nomination Committee:

- identifies and recommends, for the approval of the General Meeting of Shareholders or of the Board of Directors as the case may be, candidates suited to filling vacancies on the Board of Directors, evaluates the balance of knowledge, skills, diversity and experience within the Board of Directors, prepares a description of the roles and capabilities for a particular appointment and assesses the time commitment expected. The Nomination Committee also decides on a target for the representation of the underrepresented gender within the Board of Directors and prepares a policy on how to increase the number of underrepresented gender in order to meet that target;
- periodically, and at least annually, assesses the structure, size, composition and performance of the Board of Directors and makes recommendations to it with regard to any changes;
- periodically, assesses the knowledge, skills, experience, degree of involvement and in particular the attendance of members of the Board of Directors and advisory committees, both individually and collectively, and reports to the Board of Directors accordingly;
- periodically reviews the policies of the Board of Directors for selection and appointment of members of the Management Board, and makes recommendations to the Board of Directors;
- prepares proposals for the appointment or mandate renewal as the case may be of directors, members of the Management Board, the chairman of the Board of Directors and the chairman of the Management Board;
- assesses the aptitude of a director or a candidate director to meet the criteria set forth for being considered as an independent director;
- examines questions relating to problems with the succession of directors and members of the Management Board;
- establishes a general and specific profile for directors and members of the Management Board;
- ensures the application of provisions with regard to corporate governance;
- prepares proposals for amendments to the internal rules of the Board of Directors and the Management Board;
- assesses the governance memorandum and if necessary proposes amendments;
- at least annually discusses and analyses the quantitative statement and qualitative analysis of communications regarding stress, burn-out and inappropriate behaviour at work and actions taken to remedy situations.

In performing its duties, the Nomination Committee ensures that decision-taking within the Board of Directors is not dominated by one person or a small group of persons, in a way which might be prejudicial to the interests of the Bank as a whole.

The Nomination Committee may use any type of resources that it considers to be appropriate to the performance of its tasks, including external advice, and receives appropriate funding to that end.

In 2019, the Nomination Committee met 7 times.

1.3. Recruitment policy

1.3.1. Requirements associated with the position of director/member of the Management Board

Each director/member of the Management Board must, on his or her appointment and for the entire term of his or her mandate, have the expertise and professional integrity required to perform his or her tasks. In this framework a position profile has been established by the Bank. Moreover, the Bank periodically makes an assessment of the aptitude of directors, members of the Management Board and members of the advisory committees.

In accordance with the applicable regulation, every director must, without being prompted to do so, notify the Bank about elements that may have an impact on his or her required expertise, professional integrity and availability to exercise his or her function as a director.

1.3.2. Procedure for appointment/renewal of mandate

1.3.2.1. Directors

Directors are appointed by the General Meeting of Shareholders (or by the Board of Directors if a director is co-opted) on a proposal from the Board of Directors, after obtaining the opinion of the Nomination Committee. The appointment or renewal of the mandate of a director must be approved in advance by the regulator (ECB & NBB).

The Nomination Committee prepares proposals for appointments, co-opting or renewal of the mandate of directors.

On the renewal of a director's mandate, the Nomination Committee will make an assessment of his or her participation within the Board of Directors and ensure that there are no new elements that could negatively impact the aptitude of the director to perform a new mandate.

Board of Directors	Number of members	15
	Ratio men/women	66% / 33%
	Independent directors	9
	Main degree qualifications (several people may have more than one degree)	Economics / Business Administration / Finance / Law / Engineering / Mathematics / Actuarial Sciences
Management Board	Number of members	5
	Ratio men/women	80% / 20%
	Main degree qualifications (several people may have more than one degree)	Engineering (commercial, civil) / Economics / Business Administration / Finance / Mathematics / Actuarial Sciences

The Nomination Committee will also make sure, based on a competence matrix, that the Board of Directors has sufficient competencies within its ranks to be able to realise the strategy and to deal with future challenges. The Committee will then send an opinion to the Board of Directors.

On a first appointment or mandate renewal, the chairman of the Board of Directors and the Nomination Committee will ensure that the Board of Directors and the General Meeting of Shareholders have sufficient information with regard to the candidate director to be able to assess whether the latter has the expertise and professional integrity required to perform these tasks.

1.3.2.2. Members of the Management Board

The chairman and members of the Management Board are appointed by the Board of Directors from among the directors who have acquired professional experience in the banking and financial sector, on proposal of the Management Board, after obtaining the opinion of the Nomination Committee and the approval of the regulator (ECB & NBB). As for the chairman of the Management Board, his or her appointment will be decided by the Board of Directors on proposal of the Management Board, after consultation with the chairman of the Board of Directors and positive opinion of the Nomination Committee.

1.4. Diversity policy

A diverse Board of Directors includes differences in background, language, gender, age and professional skills relevant for Belfius. These differences are to be considered in determining the optimum composition of the Board of Directors (competence matrix) and when possible should be balanced appropriately.

The Nomination Committee reviews and assesses the composition of the Board of Directors on behalf of the Board of Directors and recommends the appointment of new directors. In reviewing the Board of Directors' composition, the Nomination Committee will consider the benefits of all aspects of diversity including, but not limited to those described above.

In identifying suitable candidates for appointment to the Board of Directors, the Nomination Committee will consider candidates on merit against objective criteria and with due regard for the benefits of diversity on the Board of Directors.

The Nomination Committee also conducts the annual review of Board of Directors effectiveness and the regular evaluation of the individual directors. As part of these evaluations of the effectiveness of the Board of Directors, advisory committees and individual directors, the Nomination Committee will consider the balance of skills, experience, independence and knowledge of Belfius Bank on the Board of Directors and the diversity of the Board of Directors.

Furthermore, at its meeting on 25 August 2015, the Nomination Committee set a target to be achieved with regard to gender representation on the Board of Directors and established a policy aimed at increasing the number of members of the currently under-represented gender in order to achieve that target.

In accordance with legal requirements (Article 7:86 of the Companies and Associations Code) the Nomination Committee has set a target of achieving and maintaining a minimum of one-third representation of the other sex on the Board of Directors (Management Board included). For the application hereof, the required minimum number of members of the other sex will be rounded off to the nearest whole number.

Should the number of directors of the other sex be smaller than one third, the next Ordinary General Meeting of Shareholders will compose a Board of Directors that will meet this requirement.

The Nomination Committee discusses annually the evolution towards the objective for achieving diversity on the Board of Directors and make recommendations to the Board of Directors for adoption.

As at 31 December 2019, the Board of Directors was composed in line with the principles stated above.

2. Remuneration Committee

The Remuneration Committee plays an advisory role and prepares decisions of the Board of Directors of Belfius Bank regarding remuneration. With the objective of efficiency and consistency regarding group policy, this committee also prepares decisions of the Board of Directors of Belfius Insurance, Corona and Belfius Investment Partners in this regard.

2.1. Composition

2.1.1. General aspects

As at 31 December 2019, the Remuneration Committee for Belfius Bank consisted of the following members: Baroness Lutgart Van den Berghe, chairman, Mr. Jozef Clijsters and Mrs. Carine Doutrelepon.

Mr. Johan Tack, as representative of Belfius Insurance, is invited to meetings of the remuneration committee related to Belfius Insurance.

2.1.2. Independence and expertise

All the members of the Remuneration Committee are non-executive directors.

Baroness Lutgart Van den Berghe, Doctor in Economics, is an emeritus extraordinary professor at the University of Ghent and emeritus part time professor at the Vlerick Business School. She is also member of the Koninklijke Vlaamse Academie van België voor Wetenschappen en Kunsten.

Mr. Jozef Clijsters, Master in Applied Economics, is chairman of the Board of Directors of Belfius Bank.

Mrs. Carine Doutrelepon, Doctor of Law, is a lawyer at the Brussels Bar and at the Bar of Paris and full professor at the Université Libre de Bruxelles. She is also member of the Académie Royale des Sciences, des Lettres et des Beaux-Arts de Belgique.

Mr. Johan Tack, Master in Economics, is currently Director and advisor in the banking and insurance sector. Mr. Johan Tack is a member of the Remuneration Committee for matters related to Belfius Insurance.

Two of the three members of the Remuneration Committee of Belfius Bank are independent directors.

Two members have professional experience in the financial sector.

One of the members also sat on the Nomination and Remuneration Committee of a listed company.

All the members have professional experience as executive directors and additional professional experience as non-executive directors in various sectors of activity.

Consequently, the members of the Remuneration Committee have the required skills, on the basis of their education and professional experience, to give a competent and independent judgement on remuneration policies and practices and on the incentives created for managing risks, capital and liquidity of the Bank.

Chairwoman Lutgart Van den Berghe

Members Jozef Clijsters

Chairman of the Board of Directors of Belfius Bank

Carine Doutrelepon

Johan Tack⁽¹⁾

Director of Belfius Insurance, invited as representative of Belfius Insurance

(1) Until 28 April 2020.

2.1.3. Collaboration and interaction with other advisory committees of the Board of Directors

In order to perform its tasks correctly (cf. also *infra*), in 2019 the Remuneration Committee interacted regularly with the Risk Committee and the Audit Committee.

The Risk Committee ensures that the Belfius group's risk management, capital requirements and liquidity position, as well as the probability and the spread in time of profit is correctly taken into consideration in decisions relating to remuneration policy.

Within Belfius Bank, this is reflected by the formulation of an opinion on a global "Risk Gateway" (cf. § 2.3.1.3) and by the establishment and assessment of Key Risk Indicators on an annual basis. Their preparation is undertaken by the Risks divisions, in collaboration with the Human Resources division.

The Audit Committee contributes to the establishment of objectives for the Auditor General and for the Compliance Officer.

The audit department at Belfius Bank will provide an independent and regular analysis of the remuneration policy and its practical implementation. In 2019 such a follow-up study was realized. The audit that took place in 2019 did not raise any particular comments.

2.2. Remit

The Remuneration Committee prepares the decisions of the Board of Directors by inter alia:

- developing the remuneration policy, as well as making practical remuneration proposals for the chairman, the non-executive members of the Board of Directors and the members of the advisory committees under the Board of Directors. The Board of Directors submits these remuneration proposals to the General Meeting of Shareholders for approval;
- developing the remuneration policy, as well as making practical proposals for the remuneration of the chairman of the Management Board and, on his proposal, for the remuneration of the members of the Management Board; The Board of Directors then determines the remuneration of the chairman and the members of the Management Board;
- providing advice on the proposals made by the chairman of the Management Board of Belfius Bank in relation to the severance remuneration for members of the Belfius Bank Management Board. On the proposal of the Remuneration Committee, the Board of Directors of Belfius Bank determines the severance remuneration of the chairman and members of the Belfius Bank Management Board;
- advising the Board of Directors in relation to the remuneration policy for employees whose activity has a material impact on the risk profile of Belfius Bank (known as "Identified Staff") and in relation to the compliance of the allocation of remuneration to Identified Staff with regard to the remuneration policy put in place for such people;
- preparing the remuneration report approved by the Board of Directors and published in the annual report;
- periodically checking to ensure that the remuneration programmes are achieving their objective and are in line with applicable conditions;
- annually assessing the performance and objectives of the members of the Management Board;
- providing an opinion of the elaboration of a global "Risk Gateway" in consultation with the Risk Committee, containing various levers applied at various points in the performance management cycle, with an impact on determination of the variable remuneration.

The Remuneration Committee exercises direct supervision over the determination of objectives and remuneration of the individuals responsible for the independent control functions (Chief Risk Officer, General Auditor and Compliance Officer).

In 2019, the Remuneration Committee met 3 times.

2.3. Remuneration

2.3.1. Introduction

2.3.1.1. Decision-taking powers

The Board of Directors decides on the remuneration of the members of the Management Board at Belfius Bank based on the advice of the Remuneration Committee and the chairman of the Management Board.

The Management Board sets the remuneration of the senior managers who may have a material impact on the risk profile of Belfius Bank, subject to the nature or level of the positions in question and/or their remuneration, within the framework of the remuneration policy. The Remuneration Committee gives advice regarding this policy and takes note of the individual information.

2.3.1.2. Remuneration policy

The remuneration policy of Belfius Bank and its subsidiaries was developed by Human Resources and the Legal Department and submitted for advice to the Remuneration Committee. The Risk Committee was also involved in developing the remuneration policy.

The remuneration policy includes on the one hand general principles applicable to all Belfius Bank employees. On the other hand, taking the principle of proportionality agreed in advance with the NBB into account, it includes specific provisions exclusively applicable to the members of the Management Board and to employees whose activity has a material impact on the risk profile of Belfius Bank (i.e. "Identified Staff"), given the nature or level of the positions themselves and/or their remuneration.

When annually updating the list of Identified Staff, Belfius Bank takes account of European Directives. The Remuneration Committee and the Risk Committee are also informed of the result of such update.

2.3.1.3. Strategy guidelines approved by the Board of Directors in accordance with regulations

Fixed remuneration forms an appreciable part of total remuneration and is designed to reward the performance of employees, taking into account their experience, their competences education and qualifications, their duties, responsibility and the level of their position.

Limiting the portion of remuneration related to performance and results achieved, is intended to discourage excessive risk taking. For 2019, the proportion between fixed and variable remuneration is 30% for members of the Management Board and 25% for senior management, if performance is normal. Exceptional performance can never result in that percentage being more than 50%.

The envelope for performance-related remuneration (performances in 2019) is determined in relation to the evolution of the net income of Belfius Group.

The policy also includes a risk gateway, which is a mechanism (ex-ante) involving the total budget for the variable remuneration of senior management being reduced in the case of a material deterioration of solvency ratios (CET 1/RWA) or liquidity ratios (LCR) under the levels fixed in the risk framework.

The performance-related remuneration is paid individually depending on the available envelope, collective results and the achievement of individual objectives.

For performances in 2019, key risk indicators (KRI) have been included in the objectives of members of the Management Board and employees whose activity has a material impact on the risk profile of Belfius Bank. The aim is to take proper account of the different types of (current and future) risks at each point in the assessment cycle: an insufficient score on one or more of such risk indicators has a negative impact on the variable remuneration.

The establishment, monitoring and assessment of these risk indicators are coordinated by the Chief Risk Officer (CRO) and submitted to the Remuneration Committee and the Risk Committee. Where appropriate, the CRO will confer with the General Auditor and the Compliance Officer and will also consult regularly with the Human Resources division.

Belfius Bank may also reduce performance-related remuneration, or even drop it to zero, in the event of poor (collective or individual) performances, taking account of the level of seniority of the employee and/or the legal basis on which that performance-related remuneration is founded.

At the end of 2015, a policy in relation to deferred variable remuneration ("deferral") was established for employees whose activity has a material impact on the risk profile of Belfius Bank. This proposal was formulated by the Human Resources division, in collaboration with the Capital & Liquidity Management, Legal and Risk divisions. This policy has been retained for the 2019 year.

In practical terms, for employees whose activity has a material impact on the risk profile of Belfius Bank, to the extent that their performance-related remuneration exceeds the amount agreed in advance with the NBB, 50% of the remuneration will be deferred over a period of 5 years (60% if the performance-related remuneration would be higher than EUR 200,000) for members of the Management Board and their direct reports and 3 years for the others. 50% of the total variable remuneration will be paid by a financial instrument which reflects the financial health of the business. The terms of this policy are integrated in the Belfius group's remuneration policy.

The risk gateway (see above) will also be applied at the end of the first quarter in order to determine whether the deferred variable remuneration payable in that year can also effectively be paid.

If appropriate, variable remuneration may be subject to an ex-post risk adjustment via a malus or clawback.

2.3.2. Remuneration of members of the Management Board

2.3.2.1. Fixed and performance-related remuneration

The remuneration of members of the Bank's Management Board consists of a fixed part and a performance-related part.

The fixed and performance-related remuneration of members of the Management Board constitutes a whole from which are deducted any attendance fees or directors' fees paid to a member of the Management Board by a third-party company (for which the member performs a mandate on behalf of Belfius Bank).

The remuneration of the Management Board is approved by the Board of Directors. The members of the Management Board do not participate in the discussions, or make decisions in this regard. The chairman of the Management Board does not participate in the discussions, or makes decisions about his personal situation.

2.3.2.2. Remuneration for 2019

Remuneration of the chairman of the Management Board

Fixed remuneration

The fixed remuneration of the chairman of the Management Board amounts to EUR 650,000.

The premium for his group insurance, for other insurance policies (mainly insurance against death and disability) and the other benefits (mainly reimbursement of expenses and company car costs) amounted to EUR 165,305.

Performance-related remuneration

The Board of Directors decided to grant to the chairman of the Management Board a performance-related (2019) remuneration of EUR 228,794. The acquisition of this amount is spread over 7 years, provided certain conditions are met. Half of the total (deferred) performance-related remuneration is awarded in cash and the other half in a financial instrument.

An initial payment of this performance-related remuneration for 2019 will be made at the beginning of 2020: the balance will be spread over the coming 6 years.

The payment of the deferred performance-related remuneration depends on the annual assessment of the financial instrument and may be subject to an ex-post risk adjustment via a malus or clawback clause (cf. 2.3.1.3. supra).

On the basis of the performance-related remuneration of 2015, 2016, 2017, 2018 and 2019, provided certain conditions are met in the coming 6 years, the chairman of the Management Board may receive a deferred performance-related remuneration as follows: EUR 147,542 in 2021; EUR 106,213 in 2022; EUR 86,984 in 2023; EUR 67,532 in 2024; EUR 42,733 in 2025 and EUR 13,728 in 2026.

It is worth reiterating that every payment of (deferred) performance-related remuneration depends on the annual assessment of the financial instrument and may be subject to an ex-post risk adjustment via a malus or clawback clause (cf. 2.3.1.3. supra).

In 2019 an amount of EUR 146,511 was paid to the chairman of the Management Board as performance-related remuneration linked to the performance in 2015, 2016, 2017 and 2018.

Consequently in 2019, the total amount (Fix, performance-related, insurances and other benefits) paid to the chairman of the Management Board is EUR 961,816.

Remuneration of the other members of the Management Board

Fixed remuneration

The fixed remuneration of the members of the Management Board (divided among 4 persons) amounts to EUR 1,512,000.

The (aggregated) premium for their group insurance, for other insurance policies (mainly insurance against death and disability) and the other benefits (mainly reimbursement of expenses and company car costs) amounted to EUR 378,138 (divided among the 4 members).

Performance-related remuneration

The Board of Directors decided to grant to the members of the Management Board (4 persons) a performance-related remuneration for 2019 totalling EUR 548,565. Half of the respective total (deferred) performance-related remuneration for each member of the Management Board is awarded in cash and the other half in a financial instrument. The acquisition of this amount is spread over 7 years, provided certain conditions are met.

An initial payment of this performance-related remuneration for 2019 to the members of the Management Board will be made at the beginning of 2020; the balance will be spread over the coming 6 years.

The payment of the (deferred) performance-related remuneration depends on the annual assessment of the financial instrument and may be subject to an ex-post risk adjustment via a malus or clawback clause (cf. 2.3.1.3. supra).

On the basis of the performance-related remuneration of 2015, 2016, 2017, 2018 and 2019, provided certain conditions are met in the coming 6 years, the members of the Management Board may receive a deferred performance-related remuneration EUR 314,916 in 2021; EUR 188,902 in 2022; EUR 154,779 in 2023; EUR 118,663 in 2024; EUR 77,611 in 2025; and EUR 27,428 in 2026.

It is worth reiterating that every payment of (deferred) performance-related remuneration depends on the annual assessment of the financial instrument and may be subject to an ex-post risk adjustment via a malus or clawback clause (cf. 2.3.1.3. supra).

In 2019 an amount of EUR 291,798 was paid to the members of the Management Board as performance-related remuneration linked to the performance in 2015, 2016, 2017 and 2018.

Consequently in 2019, the total amount (Fix, performance-related, insurances and other benefits) paid to the four members of the Management Board is EUR 2,181,936.

Option plans

Belfius Bank has no option plan. During 2019, no option was granted to members of the Management Board, or exercised by the latter.

In accordance with Article 450 of Regulation no. 575/2013, Belfius Bank declares that no remuneration of more than EUR 1 million was paid to any employee of Belfius Bank in 2019.

In 2019, no exceptional bonus was granted within the context of a recruitment and no severance remuneration was paid to members of the Management Board.

2.3.3. Remuneration of employees whose activity has a material impact on the risk profile of Belfius Bank (excluding the members of the Management Board and the members of the Board of Directors)

Fixed remuneration

The fixed remuneration paid in 2019 to the members of staff concerned (187 members of staff at the end of 2019) was EUR 24,634,929.

Performance-related remuneration for the year 2019

A total amount of EUR 6,012,312 was granted in 2020 to the members of staff concerned as performance-related remuneration for the year 2019. The entirety of this amount was paid since none of those members of staff received performance-related remuneration for 2019 above the amount agreed in advance with the NBB.

This amount was granted for EUR 5,150,680 in warrants⁽¹⁾ and for EUR 861,631 in cash.

(1) A capitalisation share (class C) of the Belfius Equities Europe Conviction, a subfund within the Belfius Equities sicav registered under Belgian law.

	Corporate functions	Independent Control Functions	Public & Corporate Banking ⁽¹⁾	Retail & Commercial Banking	All Other	Total
Fixed remuneration	6,017,646	4,684,608	9,339,630	4,178,535	414,511	24,634,929
Performance related remuneration	1,611,806	747,105	2,316,565	1,211,887	124,948	6,012,311

(1) Financial Markets included

Remuneration by business area

In line with the directives from the European Banking Authority (EBA), the overall quantitative data relative to remuneration per business area is stated in the table above.

Option plans

Belfius Bank has no option plan. During 2019, no option was granted to employees whose activity has a material impact on the risk profile of Belfius Bank, or exercised by the latter.

Severance remuneration

In 2019, severance remuneration was paid to 7 employees whose activity has a material impact on the risk profile of Belfius Bank.

The total amount of this payment was EUR 3,079,673.

For the year 2019, one individual (referred to in point 2.3.3.) was awarded by exception a signing-on bonus.

2.3.4. Remuneration of members of the Board of Directors (non executive directors)

The total remuneration paid to members of the Board of Directors of Belfius Bank, except the members of the Management Board (non-executive directors) for 2019 was EUR 824,504 for 60 meetings (compared with EUR 869,400 in 2018 for 52 meetings). This amount includes the remuneration for their mandate as directors (a fixed amount, which is identical for all members of the Board of Directors, except for the chairman), as well as their fees for attending the Board meetings and the various advisory committees (a fixed amount for each meeting attended, varying for the members of the meeting, on the one hand, and for the chairman, on the other).

The non executive directors do not receive a performance-related remuneration or options.

The chairman of the board of directors has a company car at his disposal.

The chairman and the members of the Management Board do not receive any indemnity for attending the meetings of the Board of Directors or of the advisory committees.

Number of meetings and remuneration for each non executive director in 2019

	Mediation Committee (1 meeting)	Board of directors (13 meetings)	Risk Committee (16 meetings) ⁽¹⁾	Audit Committee (20 meetings) ⁽¹⁾	Nomination Committee (7 meetings) ⁽¹⁾	Remuneration Committee (3 meetings)	Total Remuneration (in EUR)
Doutrelepoint Carine		12			5	2	52,200
Delwart Jean-Pierre	1	11					43,200
Clijsters Jos	1 ⁽²⁾	13 ⁽²⁾			7	3	220,500
Hübner Georges		13	9	20 ⁽²⁾			99,000
Van Den Berghe Lutgart		13			7 ⁽²⁾	3 ⁽²⁾	73,800
Sunt Chris		13	9	20			77,400
Bodart Paul		12		20			64,800
Vander Vennet Rudi		13	16 ⁽²⁾				91,800
Rosen Diane		13	16				70,200
De Rouck Martine ⁽³⁾		9 ⁽³⁾					31,604
							824,504

(1) Some meetings were not remunerated, Joint meetings of two committees were indeed only once remunerated, for example.

(2) Chairman.

(3) Member of the Board of Directors since 24/04/2019.

3. Audit Committee

3.1. Composition

3.1.1. General aspects

As at 31 December 2019, the Audit Committee for Belfius Bank consisted of the following members: Messrs Georges Hübner, chairman, Paul Bodart and Chris Sunt.

3.1.2. Independence and expertise

The Audit Committee must have at least one independent director with the individual expertise required in accountancy and/or audit. The majority of the members of the Audit Committee must be independent directors. The chairman of the Committee is appointed by its members. Furthermore, the members of the Audit Committee must have collective expertise in the fields of banking as well as accountancy and audit.

The Audit Committee of Belfius Bank consists of three non-executive directors, all three are independent directors, namely Mr. Georges Hübner, Mr. Paul Bodart and Mr. Chris Sunt.

Mr. Georges Hübner, who holds a degree in Business Administration and a PhD in Management, is Full Professor in Finance at the HEC Liège, University of Liège and former Associate Professor at the University of Maastricht. Inter alia he was a member of the college of experts appointed by the Parliament following the financial crisis. He has professional experience in accountancy and audit acquired in his activities in education, expertise and chairmanship of qualifying examination boards for the Certified Auditors Institute (IRE/IBR).

Mr. Paul Bodart, an engineer holding the degree of Master of Business Administration, was Professor at the Solvay Business School till the beginning of 2020. He has professional experience in accounting and audit acquired in particular in the tasks he performs as a member of the Audit Committee of the Russian Stock Exchange (Moscow Exchange - MOEX) and of the National Settlement Depository, Russia's central depository, and those he performed as chairman of the Audit Committee and a member of the Risk Committee of Dexia and of Dexia Crédit Local and as a member of the Audit Committee of Euroclear Bank. Moreover, he has considerable experience in the banking and finance sectors, in particular the executive functions (more specifically, he was CEO of the Belgian banking subsidiary of the Bank of New York Mellon Group, responsible for group operations in the euro zone).

Mr. Chris Sunt holds a law degree. In his capacity as a formerly lawyer specialised in finance law for more than 30 years (honorary lawyer since 1 March 2020), he has also acquired relevant experience in accountancy and audit.

Consequently, the Audit Committee has at least one independent director with the individual expertise required in accountancy and/or audit as well as the required collective expertise in the field of banking, accountancy and auditing, and a majority of the members of the Audit Committee are independent directors.

3.2. Tasks and remit

The Audit Committee assists the Board of Directors in its task of carrying out prudential controls and exercising general supervision in a broad sense.

3.2.1. Financial reporting

The Audit Committee monitors the integrity of the financial information provided by the company, in particular by evaluating the accounting standards used including the criteria governing the scope of the consolidation. The Audit Committee's supervision also extends to the follow-up of regular financial information before its submission to the Bank's Board of Directors.

The Audit Committee monitors the process of establishing financial information and makes recommendations or proposals to guarantee its integrity.

Chairman	Georges Hübner
Members	Paul Bodart
	Chris Sunt

3.2.2. Internal audit and risk management

At least once a year the Audit Committee examines the efficiency of the internal audit and risk management systems set up by the Management Board to ensure that the main risks (including the risks linked to compliance with current laws and regulations) are properly identified and managed. To that end the Management Board submits to the Audit Committee a report regarding the assessment of internal control.

During 2019, the Audit Committee took note of the activities of the Compliance department, the activities of Audit and Control, the activities of the Legal & Tax department as well as the monitoring activities of the risks (e.g. credit, market, liquidity and operational risks and the risks with regard to the ICT-security).

3.2.3. Functioning of internal audit

The Audit Committee assesses the operational efficiency and independence of the Internal Audit division. The Audit Committee also verifies the extent to which the management responds to the findings of the Audit department and its recommendations. In 2019, the Audit Committee examined and approved the annual business report for 2018, the audit plan 2020, and the half-year business report (H1) for 2019, as well as the half-yearly follow-up reports on the recommendations. The latest version of the Internal Audit Charter was validated in 2018.

3.2.4. Statutory audit

The Audit Committee provides the Board of Directors with information on the results of the legal audit of the statutory and consolidated financial statements as well as explanations as to the manner in which the legal audit of the statutory and consolidated financial statements contributed to the integrity of the financial information and as to the role played by the Audit Committee in that process.

The Audit Committee also monitors the legal audit of the statutory and consolidated financial statements, and this includes monitoring questions asked and recommendations made by the auditor.

In 2019, the Audit Committee reported to the Board of Directors on the statutory and consolidated financial statements of Belfius Bank at 31 December 2018, 31 March 2019, 30 June 2019 and 30 September 2019. After considering the comments received from the management of the Bank and the external auditors, the Audit Committee delivered a favourable opinion to the Board of Directors on the annual financial statements.

3.2.5. External audit function and monitoring of auditor's independence

The Audit Committee satisfies itself that the external auditor(s) carries (carry) out his (their) audits properly.

The Audit Committee monitors the independence of the external auditor(s) and his (their) auditing programme.

The Audit Committee makes a recommendation to the Board of Directors with regard to the appointment or renewal of the mandate of the auditor.

3.3. Functioning

The Audit Committee may demand to see any useful information or supporting evidence and may carry out any inspection it feels is necessary. To that end it calls on the services of the Internal Audit department of Belfius Bank.

In 2019, the Audit Committee met 12 times. In addition 8 electronic Audit Committee meetings were also held.

The Audit Committee of Belfius Bank operates independently from the Audit Committee implemented at Belfius Insurance. The Audit Committee of Belfius Bank held three joint meetings with the Audit Committee of Belfius Insurance, in particular when the insurance company's annual financial statements for 2018 and the half-yearly financial statements at 30 June 2019 were presented.

The Audit Committee of Belfius Bank held 9 meetings (including one conference call) jointly with the Risk Committee to examine, amongst others, the effective management report on the assessment of the internal control report 2018, the report on the risks linked to the use of valuation models, the follow-up of the implementation of the IT-security strategy, the risk management concerning the implementation of IFRS 9 as of 1 January 2018, as well as the quarterly risk monitoring report.

3.4. Internal Audit

The Internal Audit Charter states the fundamental principles which govern the Internal Audit function at Belfius by describing its objectives, its role, its responsibilities and its overall modes of operation. Additionally, through the Audit Charter the independency of the Internal Audit function has been ensured. The Audit Charter has been approved by the Board of Directors in the beginning of 2018 and is reviewed at least every three years.

Belfius Bank has an internal audit function that meets the international standards on methodology and reporting.

The internal audit function is an independent and objective activity that provides the organisation with reasonable assurance regarding the extent to which its operations are controlled and supervised. As part of its work, the internal audit function provides recommendations for improvements and in doing so creates added value. The head of internal audit reports to the chairman of the Audit Committee.

This means that the internal audit function helps the organisation to achieve its objectives. It does this by assessing the risk management, internal audit processes and governance processes in a systematic and disciplined manner and by making proposals designed to increase efficiency. This is done mainly by carrying out audit assignments and following up on audit recommendations.

The head of internal audit at Belfius Bank is responsible for internal audit on a group level (Auditor-General). To this end, the head of internal audit at Belfius Insurance has a functional link to the Auditor-General. In this way, the independence of the head of internal audit at Belfius Insurance vis-à-vis his/her governing bodies is combined with the use of uniform audit practices of high quality (audit planning, audit methodology, following up on audit recommendations, etc.) within the Belfius group.

4. Risk Committee

4.1. Composition

4.1.1. General aspects

As at 31 December 2019, the Risk Committee for Belfius Bank consisted of the following members: Mr. Rudi Vander Vennet, chairman, Mr. Georges Hübner, Mrs. Diane Rosen and Mr. Chris Sunt.

4.1.2. Independence and remit

The Risk Committee of Belfius Bank consists of four independent directors, namely Mr. Rudi Vander Vennet, Mr. Georges Hübner, Mrs. Diane Rosen and Mr. Chris Sunt.

The members of the Risk Committee must individually have the knowledge, skills, experience and aptitudes necessary to enable them to understand the Bank's risk strategy and appetite level.

Mr. Rudi Vander Vennet holds a degree in economics, an advanced master degree in finance and a PhD in economics and is currently full professor of economics and banking at Ghent University and also teaches banking and insurance at Solvay Business School (ULB). He has experience as a board member at various financial institutions.

Mr. Georges Hübner, who holds a degree in Business Administration and a PhD in Management, is Full Professor in Finance at the HEC Liège, University of Liège and former Associate Professor at the University of Maastricht. Inter alia he was a member of the college of experts appointed by Parliament following the financial crisis.

Mrs. Diane Rosen holds a degree of Commercial Engineer, has professional experiences in the financial sector and specifically in banking, in construction and in real estate sectors. She was formerly Finance Director of BAM Belgium.

Mr. Chris Sunt holds a law degree. In his capacity as a formerly lawyer specialised in finance law for more than 30 year (honorary lawyer since 1 March 2020), he has also acquired the relevant risk management experience.

The members of the Risk Committee have the individual expertise and professional experience required to define strategy regarding risk and the level of risk appetite of an institution. They have acquired the specialisation necessary in particular as directors with other institutions and/or in their university training. As a consequence, the Risk Committee has the required individual knowledge and expertise.

Chairman	Rudi Vander Vennet
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Members	Georges Hübner
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	Diane Rosen
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	Chris Sunt
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4.2. Remit

The Risk Committee has advisory powers and responsibilities with regard to the Board of Directors in the following areas:

- appetite and strategy regarding the Bank's current and future risks, more particularly the effectiveness of the risk management function and the governance structure to support them;
- monitoring implementation of risk appetite and strategy by the Management Board;
- allocating the risk appetite to various categories of risks and defining the extent and limits of risk in order to manage and restrict major risks;
- considering the risks run by the Bank with its customer tariffs;
- assessing activities which expose the Bank to real risks;
- supervising requirements in terms of capital and liquidity, the capital base and the Bank's liquidity situation;
- the guarantee that risks are proportional to the Bank's capital;
- formulating an opinion with regard to major transactions and new proposals for strategy activities that have a significant impact on the Bank's risk appetite;
- obtaining information and analysing management reports as to the extent and nature of the risks facing the Bank;
- monitoring the Internal Capital Adequacy Assessment Process (ICAAP) and the Recovery Plan.

4.3. Functioning

The Risk Committee meets at least once per quarter. It also meets on an ad-hoc basis in relation to specific matters.

In 2019, the Risk Committee met 5 times and held 9 joint meetings (including one conference call) with the Audit Committee and 2 joint meetings with the Risk & Underwriting Committee of Belfius Insurance.

The Risk Committee operates independently of the Risk & Underwriting Committee of Belfius Insurance. On the

request of the chairman of the Bank's committee, a joint Risk Committee of Belfius Bank and Belfius Insurance may be held. To promote sound remuneration policy and practices, subject to the tasks of the Nomination Committee and the Remuneration Committee, the Risk Committee examines whether incentives in the remuneration system take proper account of the institution's risk management, equity requirements and liquidity position, as well as the probability and distribution of profit over time. The Risk

Committee and the Audit Committee periodically exchange information in particular concerning the quarterly risk report, the senior management report on the assessment of internal control and the risk analyses performed by the Legal, Compliance and Audit Departments. The aim of this exchange of information is to enable the two committees to perform their tasks properly and to take the form of a joint meeting.

Mediation committee

In 2014 the Board of Directors decided to establish a Mediation Committee within the Belfius group.

1. Composition

The Mediation Committee is composed of 3 members:

- the chairman of the Board of Directors of Belfius Bank, who acts as chairman;
- one independent non-executive director of Belfius Bank;
- one independent non-executive director of Belfius Insurance.

As at 31 December 2019, the Mediation Committee consisted of the following members: Mr. Jozef Clijsters, chairman, Mr. Jean-Pierre Delwart, and Mr. Johan Tack.

In 2019, the Mediation Committee met 1 time.

2. Remit

The Mediation Committee is responsible for passing opinions relating to material transactions or operations between, on the one hand, Belfius Bank and its subsidiaries and, on the other hand, Belfius Insurance and its subsidiaries, or between their respective subsidiaries. Such opinions are sent to the Board of Directors of the companies concerned, which will then take a definitive decision on the planned transaction or operation.

Chairman	Jozef Clijsters Chairman of the Board of Directors of Belfius Bank
Members	Jean-Pierre Delwart Independent Director Belfius Bank
	Johan Tack⁽¹⁾ Independent Director Belfius Insurance

(1) Until 28 April 2020.

Internal audit and risk management systems regarding financial statements

Belfius Bank applies various internal audit and risk management systems to its financial statements. These audits are carried out at different levels.

The inventory is reconciled with the balances in ACEC/ACSE via the reconciliation tool ACNR on a daily basis. Unreconciled amounts are reported via the monitoring and matching tool INTELLIMATCH. At the end of each month, the balance sheet and off-balance sheet inventory in the general ledger GEXL is reconciled with the balances in ACEC/ACSE. Unreconciled amounts are reported via an online tool in GEXL. The related accounting Competence Center (back office) within the Operations Department is responsible for analysing the nature of the differences and for initiating corrective actions.

The accounts (Belgian GAAP and IFRS) are closed on a monthly basis. A first level of control is performed by the Accounting Competence Centers that take full respon-

sibility for the general ledger (balance, off balance and statement of income) and the inventory. In respect to Financial Markets activities, FM Risk Management is responsible for the validation of the statement of income and the gains and losses not included in the statement of income. The procedures and control activities are documented by each department involved.

Corporate Accounting Control performs a second level of control and ensures a functional steering of the closing process, the centralisation and final validation of all relevant accounting data and disclosures for reporting purposes. A risk-based approach is adopted to determine the nature and extent of the control activities. The controls mainly relate to a variance analysis of balances and ratios, sample based testing, review of supporting documentation and reasonability controls. The results of the analytical review are documented in a highlight report, which is subject to management review. The pro-

cedures and control activities are documented by each department.

The first and second levels of control provide reasonable assurance on the completeness, accuracy and appropriate presentation of the accounting data, in accordance with the financial and prudential framework.

The main subsidiaries of Belfius Bank apply similar internal audit and risk management systems to its financial statements. From October 2017 onwards, the preparation of the financial statements of Belfius Insurance and its subsidiaries are outsourced to Belfius Bank in order to further align and optimize the processes. The continuity can be guaranteed as also the resources and competences of Belfius Insurance involved in the preparation and internal audit of the financial statements were transferred to Belfius Bank.

External activities of directors – Article 62, §2 of the law of 25 april 2014 on the status and supervision of credit institutions and stockbroking firms

As at 31 December 2019 the directors of Belfius Bank held 26 directorships in other commercial companies than Belfius Bank (including 8 directors and executives in commercial companies of Belfius Group).

Under the Regulation by the National Bank of Belgium dated 6 December 2011 on the pursuit of external activities by the directors and executives of regulated companies, Belfius Bank is required to

disclose any external appointment held by its directors and senior executives. Belfius Bank has chosen to publish such appointments in its annual report filed with the National Bank of Belgium.

Deloitte	Services provided in 2019				
	Audit of financial statements	Other certification	Tax advice	Other services	Total
(in thousands of EUR)					
DELOITTE BEDRIJFSREVISOREN / REVISEURS D'ENTREPRISES	1,780	239		515	2,534
Belfius Bank	1,093	191		515	1,799
Subsidiaries (bank perimeter)	180	15			195
Belfius Insurance	507	33			540
OTHER DELOITTE ENTITIES	256		18	1,728	2,002
Belfius Bank			5	1,225	1,230
Subsidiaries (bank perimeter)	86		0	423	509
Belfius Insurance	170		13	80	263
TOTAL	2,036	239	18	2,243	4,536

Statutory auditor

The task of auditing the financial situation and financial statements of the Bank has been entrusted to Deloitte Reviseurs d'entreprises, SC s.f.d. SCRL, represented by Messrs Bernard De Meulemeester and Franky Wevers.

The mandate of the Statutory Auditor, Deloitte Reviseurs d'Entreprises, SCRL will end after the Ordinary General Meeting of Shareholders of 2020. It will be proposed to the Ordinary General Meeting of Shareholders in 2020 to appoint KPMG Reviseurs d'Entreprises SCRL, represented by Messrs Olivier Macq and Kenneth Vermeire, as auditors for a term of three years. The auditor's mandate will then end after the Ordinary General Meeting of Shareholders of 2023. The table above provides an overview of the fees paid to the current Statutory Auditor for services provided to Belfius Bank and its Belgian companies associated with Belfius Bank or to its foreign subsidiaries during the 2019 financial year.

Compliance

1. Role

The function of Compliance is to ensure the integrity of the Bank's activities and the management of Compliance risks. The Compliance department ensures that Belfius, its subsidiaries, staff members, suppliers and intermediaries comply with the legislation as well as internal rules and norms applicable to Belfius.

The emphasis is principally placed on the rules relating to the protection of customers' interests, also known as rules of good conduct, such as MiFID for investment services, the protection of privacy and the prevention of conflicts of interests.

On the one hand, Compliance advises and informs management and the commercial and operational divisions of the Bank of the correct and appropriate application of the law and regulations, both within the context of establishing corporate strategy, the development of new activities, distribution channels and processes, and within the framework of specific files or transactions. To that end, it actively monitors the evolution of Belgian and international legislation, in close collaboration with the Legal department.

On the other hand, Compliance organises the independent supervision and control of the correct implementation of procedures and instructions drawn up. As such, it oversees the effectiveness of policy and proposes corrective measures if they are necessary.

2. Organisation

Compliance is organised around a central Compliance department based on 3 pillars: Business Advisors (advisory function), the Compliance Risk Control team (control function) and the anti-money laundering unit. These three teams are supported by a specific unit which frames projects at an IT and an organisational level.

The central Compliance department may also call on the services of a large network of Compliance Correspondents within the Bank's various divisions, as well as a network of Compliance Managers with the branch network. This network plays an important role, particularly in the introduction of Compliance policy and procedures as well as training and awareness in that regard.

A Compliance Officer accredited by the FSMA is at the head of the Compliance organisation. As from 1 January 2019 onwards, the Compliance Officer reports directly to the Chief Risk Officer, member of the Management Board, and, if necessary, may directly approach the chairman of the Audit Committee, the chairman of the Board of Directors and the Regulator.

As provided by the regulations, the department also has a Anti-Money Laundering Compliance Officer and a Privacy Officer.

The Anti-Money Laundering Compliance Officer (AML CO) is head of the anti-money laundering team, which combats money laundering practices. Belfius puts material efforts in place not to be involved in laundering money from illegal activities, the organisation of tax fraud, financing terrorism or circumventing international embargos. To underline this commitment, the AML CO has established a general compliance framework with policies, preventive measures and broad controls. Proper knowledge of the customer and their identification, verification of the origin of financial flows on accounts and detection of dubious transactions are all vital elements in the prevention of such practices.

In particular, the Privacy Officer ensures that personal data obtained by the Bank in providing its services to its customers are processed and retained with necessary prudence and confidentiality, observing applicable regulations. In the context of the new General Data Protection Regulation (GDPR), which came into effect in May 2018, the role of Privacy Officer has become part of the new position of the Data Protection Officer (DPO) created as of May 2018 at the level of Operational Risk Management. A smooth transition has been organised.

The Compliance Officer of Belfius Bank ensures that a coherent and effective Compliance policy is applied within all the subsidiary companies of Belfius Group. Belfius Bank traces out the group policy and defines the Compliance methodology to be used. Each regulated subsidiary company disposes of a (local) Compliance Officer who is responsible for the application of the adapted policy within his/her company. These Compliance officers report functionally to the Compliance Officer of Belfius Bank. They are in charge of the Compliance activities at their entity level such as the identification and assessment of compliance risks, providing advice to business and management, monitoring and second line controls; defining and implementing Compliance action plans. On a periodical basis the local Compliance Officer informs the local Management Board, Board of Directors, as well as the Compliance Officer at Belfius Bank on the Compliance activities and risks.

3. Charter - Expanded powers

In order to guarantee the independence of the Compliance function, its mandate, remit, organisation and tasks are formally established in a specific Charter, approved by the Bank's Board of Directors. The Charter also grants Compliance unlimited access to all the information and all the staff members within the Bank, in relation to any analyses or controls it deems necessary.

The Compliance Charter is periodically evaluated and is expanded, where necessary, in function of the evolution of the regulations, the detection of new potential risks, and/or the adjustments of the risk appetite of Belfius Group. In recent years the scope of the Compliance function has thus been expanded to, among other things, the advice and the observance in relation to advertising, the law on market practices and the legislation concerning consumer loans, mortgages and anti-bribery measures. The Charter is applicable to all regulated subsidiary companies of Belfius Group.

General information

Share capital and allocation of profit of Belfius Bank

1. Share capital and evolution of the capital during the financial year 2019

The share capital of Belfius Bank is three billion, four hundred and fifty-eight million, sixty-six thousand, two hundred and twenty-seven euros and forty-one cents (EUR 3,458,066,227.41) and is represented by 359,412,616 registered shares. The shareholding of Belfius Bank is as follows: 359,407,616 registered shares are held by the public limited company of public interest Federal Holding and Investment Company (FHIC), in its own name, but on behalf of the Belgian State, and 5,000 registered shares are held by the public limited company Certi-Fed. Certi-Fed is a fully-owned subsidiary of FHIC.

In accordance with the provisions of the law, the Extraordinary General Meeting of Shareholders of 19 March 2019 authorised the Board of Directors to increase the share capital of the Bank in one or more stages with a maximum of three billion, four hundred and fifty-eight million, sixty-six thousand, two hundred and twenty-seven euros and forty-one cents (EUR 3,458,066,227.41). That authorisation is valid for five years from publication of the resolution of the ordinary general meeting of shareholders in the Appendices to the Belgian Official Gazette.

No change was made to the share capital of the Bank in 2019.

2. Allocation of profit

The company results for the 2019 financial year recorded a profit of EUR 559,391,220.64. From this profit, an amount of EUR 298,391,220.64 is included in the reserves and EUR 161,000,000 in the profits to be carried forward. An interim dividend of EUR 100,000,000 was already paid in August 2019.

3. Annual dividend

The Board of Directors will propose to the Ordinary General Meeting to distribute a dividend of EUR 100 million to the shareholders. Belfius has declared this amount of EUR 100 million as an interim dividend paid over the 2019 result in August 2019.

Amendment of the articles of association

The articles of association of Belfius Bank were amended on 19 March 2019 (Renewal of the authorization to the Board of Directors to increase the share capital of the Bank - see above - and insertion of provisions in order to ensure the protection of Belfius art collection), on 20 December 2019 (adaptation of the articles of association to the new Code of Companies and Associations). An amendment to the articles of association is expected in principle on 24 April 2020 (amendment of the articles of association to

provide that the general assembly can differ from the rule that a non-executive director can only be re-appointed for a maximum of two mandates).

Main amendments to the scope of Belfius on a statutory basis

In 2019, Belfius continued to develop in different areas to further bolster its positioning and strategy:

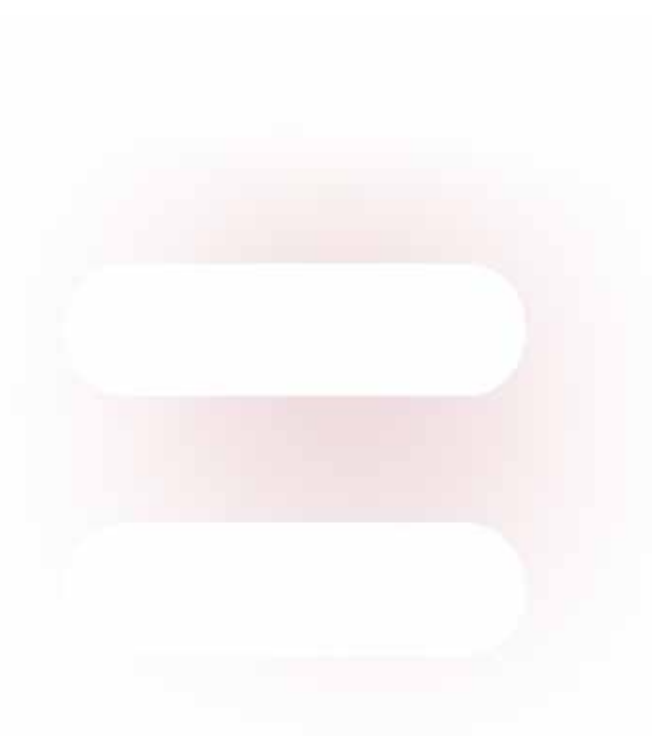
- in services related to mobility, Belfius entered into a unique partnership with a successful bicycle leasing company called Cyclis to strengthen the mobility offer for employers and employees in Belgium. Under this partnership, Belfius acquired a minority stake in the capital of Cyclis. A pioneer in bicycle leasing in Belgium, Cyclis has since 2014 been the contact point for many companies when it comes to stimulating the use of bicycles in the mobility of their staff. Cyclis is committed to providing reliable, quality service based on a personal approach and care from A to Z. With nearly 10,000 bicycles, the bicycle leasing company is already one of the largest suppliers in Belgium.

As part of its efforts to simplify and reorganize its operations, Belfius Bank:

- Proceeded to liquidate its subsidiaries Smart Belgium Services and Spenc'R.

Various transactions involving real estate or financial holdings have been carried out, including:

- Participation in the capital increase of the Société Régionale d'Investissement de Wallonie (Regional Investment Agency of Wallonia);
- The liquidation of Finimmo and Immorente, two companies that were active in real estate;
- Participation in the restructuring of the Trividend shareholding through a partial sale of the stake of Belfius. Trividend is a company that operates in the social economy.



Material litigation

Belfius (Belfius Bank and its consolidated subsidiaries) is involved as a party in a number of litigations in Belgium, arising in the ordinary course of its business activities, including those where it is acting as an insurer, capital and credit provider, employer, investor and tax payer.

Belfius recognises provisions for such litigations when, in the opinion of its management taking into account all available elements, including an analysis by its company lawyers and external legal advisors as the case may be,

- a present obligation has arisen as a result of past events,
- it is probable that Belfius will have to make a payment, and
- the amount of such payment can be estimated reliably.

With respect to certain other litigations against Belfius, of which management is aware, no provision has been made according to the principles outlined here above, as the management is of the opinion, after due consideration of appropriate advice, that, while it is often not feasible to predict or determine the ultimate outcome of all pending litigations, such litigations are without legal merit, can be successfully defended, or that the outcome of these actions is not expected to result in a significant loss.

In the opinion of Belfius, the most important cases are listed below, regardless of whether a provision has been made or not. Their description does not deal with elements or evolutions that do not have an impact on the position of Belfius. If the cases listed below were to be successful for the opposite parties, they could eventually result in monetary consequences for Belfius. Such impact remains unquantifiable at this stage. Note that, apart from the cases listed below, a vigilance has been observed in the prevention of money laundering (AML) in the Belgian financial sector. In this context, as is customary, Belfius is collaborating with the Belgian authorities and monitors this closely.

1. Housing Fund of the Brussels Capital Region

On 9 October 2012, the Housing Fund of the Brussels Capital Region (Woningfonds van het Brussels Hoofdstedelijk Gewest/Fonds du Logement de la Région de Bruxelles-Capitale) summoned Belfius Bank before the Brussels Commercial Court. The Housing Fund subscribed for a total amount of EUR 32,000,000 to 4 treasury notes issued by Municipal Holding (Gemeentelijke Holding/Holding Communale), placed by Belfius acting as dealer under the Municipal Holding commercial paper program, between July and September 2011 (Commercial Paper program). Due to severe financial difficulties encountered by the Municipal Holding, the Housing Fund granted a voluntary waiver to the Municipal Holding on 24 November 2011 and received repayment for EUR 16 million. The Municipal Holding entered into liquidation in December 2011. Due to the intervention of Belfius as dealer of the treasury notes, the Housing Fund demands the payment by Belfius Bank of the non-repaid capital. As the loss incurred on this investment is the result of a voluntary waiver of the claim by the Housing Fund, which matches half of the investment, Belfius Bank rejects the demand from the Housing Fund.

On 27 March 2014, the Brussels Commercial Court accepted the claim application by the Housing Fund, but declared it unfounded.

The Housing Fund lodged an appeal against this judgement on 3 June 2014.

There was no significant evolution in this claim since 2016. The date of the hearings is not yet known. No provision has been made for this claim.

2. Arco - Cooperative shareholders

Various parties, including Belfius Bank, have been summoned by Arco - Cooperative shareholders in three separate procedures, i.e. one procedure before the Dutch speaking Commercial Court of Brussels, one procedure before the Court of First Instance of Antwerp, Section Turnhout and another procedure before the Court of First Instance of Brussels:

→ On 30 September 2014, 737 shareholders from 3 companies of the Arco Group (Arcopar, Arcoplus and Arcofin) initiated (with support of Deminor) proceedings against the Arco entities and Belfius Bank before the Dutch speaking Commercial Court of Brussels (the "Deminor Proceedings"). On 19 December 2014, 1,027 additional shareholders of the Arco entities joined in the Deminor Proceedings. On 15 January 2016, 405 additional shareholders of the Arco entities joined the Deminor Proceedings, resulting in a total of 2,169 plaintiffs. The plaintiffs have requested that the Brussels Court rule, among other things, that:

- the agreements by virtue of which they became shareholders of the relevant Arco entities are null and void;
- the defendants should, jointly and severally, reimburse the plaintiffs their financial contribution in these entities plus interest; and
- the defendants are liable for certain additional damages to the plaintiffs.

The financial contribution of the 2,169 plaintiffs for which reimbursement is sought amounted to approximately EUR 6.5 million (principal amount) as at the date of this Report. The plaintiffs' claims in the Deminor Proceedings are based on allegations of fraud and/or error on the part of the Arco entities and Belfius Bank. In the alternative, the plaintiffs have argued that Belfius Bank breached its general duty of care as a normal and prudent banker. In relation to Belfius Bank, the plaintiffs have referred to certain letters and brochures allegedly containing mis-

leading information issued by the predecessors of Belfius Bank. The Belgian State and the Chairman of the Management Board of the Arco entities are also defendants in the proceedings before the Commercial Court of Brussels. Belfius Bank has submitted its first legal briefs in August 2018 and has submitted its second legal briefs in March 2020. The case will normally be pleaded during several pleading sessions in June 2021.

- Separately from the abovementioned proceedings before the Commercial Court of Brussels, on 24 October 2016, three shareholders in Arcopar initiated court proceedings (the "Turnhout Proceedings") against Belfius Bank before the Court of First Instance of Antwerp, section Turnhout. The plaintiffs in the Turnhout Proceedings request that Belfius Bank is to be held liable to pay an "undetermined provisional amount of 2,100 EUR" per plaintiff plus interest and costs, because they claim that Belfius Bank misled them in subscribing Arcopar-shares. As at the date of this Report, the aggregate amount of the claims of the plaintiffs in the Turnhout Proceedings amounted to approximately EUR 6,300 EUR (principal amount). The plaintiffs base their claims upon promotional material that was distributed by the predecessors of Belfius Bank as well as the Arco entities and the former Belgian Christian collective of workers' associations (ACW). On 27 February 2017, Belfius Bank summoned Arcopar to intervene in the Turnhout Proceedings and to indemnify Belfius Bank for any amount for which it would be held liable towards the plaintiffs. In subsidiary order, the plaintiffs have also filed a claim against Arcopar and Belfius Bank requesting that their subscription of Arcopar shares is to be declared null and void. On 3 April 2018, the plaintiffs also summoned the Belgian State to intervene in the Turnhout Proceedings. All parties requested the Court to transfer this case to the Court of First Instance of Brussels. The Court decided on 19 November 2018 to grant the requested transfer and this procedure is now joined with the procedure before the Court of First Instance of Brussels.
- Furthermore, on 7 February 2018, 2 cooperative shareholders summoned the Belgian State before the Court of First Instance of Brussels because they state that the Belgian State has made a fault by promising and introducing a guarantee scheme for shareholders of financial cooperative companies (like the Arco cooperative shareholders) which has been considered illicit state aid by the European Commission. These 2 plaintiffs also summoned Belfius Bank on 7 February 2018 to intervene in this procedure, and claim compensation from Belfius Bank because they consider that Belfius Bank erred in the sale of the Arco shares. Groups of Arco-shareholders organized themselves via social media to mobilize other Arco shareholders to become claimant in this procedure, and to the knowledge of Belfius, as of end December 2019, approximately 5.380 Arco shareholders did so. There is not yet a pleading calendar in this case.

No provision has been made for these claims because Belfius Bank is of the opinion that it has sufficient valid arguments to result in these claims being declared inadmissible and/or without merit.

3. Ethias

Belfius was party to a litigation with Ethias. This litigation, which was initiated in 2016, concerned one of Belfius' complementary pension plans managed by Ethias within the framework of a group insurance contract. In 2019, Belfius and Ethias reached an out-of-court settlement, as a result of which Belfius and Ethias agreed to withdraw and stop the legal actions on the matter in September 2019.

4. Funding Loss

Belfius Bank is facing some legal actions regarding the issue of indemnities charged for funding losses incurred by the Bank. The latter are charged to professional clients in the case of early repayment of professional credits. These indemnities are calculated in line with the current legal dispositions and the contractual framework of such credits to reflect the financial losses that are actually incurred by the Bank in the case of early repayment of a professional credit. Belfius booked provisions to cover the potential adverse outcome of litigation proceedings. These provisions are reassessed on an ongoing basis, taking into account the evolution of Belgian case law.

5. Investigations into Panama Papers

These paragraphs are mentioned for completeness only, although the matters below do not comprise a litigation. On 5 December 2017, a police search under the lead of an examining magistrate of Brussels (onderzoeksrechter/juge d'instruction) took place at Belfius Bank's head office in the framework of the Belgian "Panama Papers" Parliamentary Commission. The Bank was investigated as a witness and has not been accused of any wrongdoing. The scope of the investigation is to establish whether there are any violations of anti-money laundering obligations and to investigate the link between Belfius Bank (or its predecessors), and, amongst others, Experta and Dexia Banque Internationale à Luxembourg (i.e. former entities of the Dexia group).

To date, Belfius Bank did not receive any further information since the above mentioned police search.

Declaration of transparency

Transparency requirements in relation to information about issuers whose securities are admitted to trading on a regulated market.

Pursuant to Directive 2004/109/EC on the harmonisation of transparency requirements in relation to information about issuers whose securities are admitted to trading on a regulated market (referred to below as the “Transparency Directive”) and to Directive 2007/14/ EC of 8 March 2007 laying down detailed rules for the implementation of certain provisions of the Transparency Directive, Belfius Bank has chosen Luxembourg as its Home Member State.

The Transparency Directive has been transposed into Luxembourg law by:

- the Luxembourg law of 11 January 2008 relative to transparency requirements in relation to information about issuers whose securities are admitted to trading on a regulated market;
- the Grand Ducal Regulation of 3 July 2008 officially designating the mechanisms for the central storage of regulated information within the meaning of the law of 11 January 2008; and
- the CSSF Circular No. 08/337 from the Financial Sector Supervisory Commission.

The aforementioned regulation lays down certain requirements regarding information and the publication of data.

Pursuant to article 3.(2) of the Luxembourg law relative to transparency requirements incumbent upon the issuers of securities, the Management Board at Belfius Bank states that:

- Belfius Bank has chosen Luxembourg as its Home Member State;
- to the best of its knowledge, the financial statements prepared in accordance with the applicable set of accounting standards give a true and fair view of the assets, liabilities, financial position and the profit or loss of the issuer and of all the undertakings included in the consolidation;
- to the best of its knowledge, the management report includes a fair review of the development and performance of the business and the position of the issuer and all the undertakings included in the consolidation, together with a description of the principal risks and uncertainties that they face.

Country-by-country reporting

Based on article 6bis of the Royal Decree dated 23 September 1992, regarding the consolidated financial statements of financial institutions, Belfius discloses the following information on a consolidated basis, split country per country in which Belfius has an establishment (Branch and or subsidiary)

Countries	Activity	31/12/18			
		Turnover ⁽¹⁾ (in thousands of EUR)	Average FTE ⁽²⁾	Net income(loss) before tax (in thousands of EUR)	Tax (expense) income (in thousands of EUR)
BELGIUM	BANK AND INSURANCE	2,387,515	6,344	907,973	(220,485)
MEMBER STATE					
Luxembourg	Other financial services and insurance activities	17,988	5	17,241	(4,652)
Ireland	Other financial services and insurance activities	(44,315)	7	(58,338)	8,251
TOTAL		2,361,189	6,356	866,876	(216,886)

Countries	Activity	31/12/19			
		Turnover ⁽¹⁾ (in thousands of EUR)	Average FTE ⁽²⁾	Net income(loss) before tax (in thousands of EUR)	Tax (expense) income (in thousands of EUR)
BELGIUM	BANK AND INSURANCE	2,473,184	6,330	906,954	(246,070)
MEMBER STATE					
Luxembourg	Other financial services and insurance activities	17,338	5	15,849	(4,458)
Ireland	Other financial services and insurance activities	(1,936)	7	(4,793)	(1,379)
TOTAL		2,488,587	6,342	918,010	(251,907)

(1) Based on "Income" from the Consolidated statement of income in the Annual report.

(2) Disclosed in the Annual report in the note 7.10 "Staff expense".



Consolidated financial statements

as at 31 December 2019

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Consolidated balance sheet

Assets				
(In thousands of EUR)		Notes	31/12/18	31/12/19
I.	Cash and balances with central banks	5.2.	8,314,303	6,715,928
II.	Loans and advances due from credit institutions	5.3.	13,106,846	16,207,838
	A. Measured at amortised cost		13,106,846	16,207,838
	B. Measured at fair value through other comprehensive income		0	0
	C. Measured at fair value through profit or loss		0	0
III.	Loans and advances	5.4.	91,122,512	94,944,479
	A. Measured at amortised cost		89,302,446	93,391,477
	B. Measured at fair value through other comprehensive income		0	0
	C. Measured at fair value through profit or loss		1,820,067	1,553,002
IV.	Debt securities & equity instruments	5.5.	28,568,766	29,489,565
	A. Measured at amortised cost		21,610,561	22,476,427
	B. Measured at fair value through other comprehensive income		5,216,152	5,257,278
	C. Measured at fair value through profit or loss		1,742,052	1,755,860
V.	Unit linked products insurance activities		2,837,971	3,671,372
VI.	Derivatives	5.6.	12,767,585	13,304,709
VII.	Gain/loss on the hedged item in portfolio hedge of interest rate risk	5.6.	4,590,806	4,881,797
VIII.	Investments in equity method companies	5.7.	47,949	64,124
IX.	Tangible fixed assets	5.8.	1,065,607	1,215,355
X.	Intangible assets	5.9.	191,497	206,384
XI.	Goodwill	5.10.	103,966	103,966
XII.	Tax assets	5.11.	378,192	338,443
	A. Current tax assets		77,683	53,723
	B. Deferred tax assets		300,508	284,720
XIII.	Technical insurance provisions - part of the reinsurer		99,902	108,074
XIV.	Other assets	5.12.	950,202	1,163,606
XV.	Non current assets (disposal group) held for sale and discontinued operations	5.13.	19,047	23,826
TOTAL ASSETS			164,165,152	172,439,465

The notes on pages 189 to 324 are an integral part of the consolidated financial statements.

Liabilities (In thousands of EUR)		Notes	31/12/18	31/12/19
I.	Cash and balances from central banks	6.1.	3,962,322	4,016,777
II.	Credit institutions borrowings and deposits	6.2.	5,866,810	5,819,363
	A. Measured at amortised cost		5,866,810	5,819,363
	B. Measured at fair value through profit or loss		0	0
III.	Borrowings and deposits	6.3.	79,661,310	85,449,910
	A. Measured at amortised cost		79,609,747	85,397,137
	B. Measured at fair value through profit or loss		51,563	52,773
IV.	Debt securities issued and other financial liabilities	6.4.	26,686,872	27,654,505
	A. Measured at amortised cost		19,274,694	19,341,686
	B. Measured at fair value through profit or loss		7,412,178	8,312,819
V.	Unit linked products insurance activities		2,837,971	3,671,372
VI.	Derivatives	5.6.	17,740,280	18,630,116
VII.	Gain/loss on the hedged item in portfolio hedge of interest rate risk	5.6.	165,078	262,708
VIII.	Provisions for insurance activities	6.5.	13,907,770	13,180,229
IX.	Provisions and contingent liabilities	6.6.	626,752	517,345
X.	Subordinated debts	6.7.	1,219,469	1,157,266
	A. Measured at amortised cost		1,219,469	1,157,266
	B. Measured at fair value through profit or loss		0	0
XI.	Tax liabilities	5.11.	30,825	136,648
	A. Current tax liabilities		22,301	81,540
	B. Deferred tax liabilities		8,524	55,108
XII.	Other liabilities	6.8.	1,500,070	1,437,224
XIII.	Liabilities included in disposal group and discontinued operations		0	0
TOTAL LIABILITIES			154,205,529	161,933,465

Equity (In thousands of EUR)		Notes	31/12/18	31/12/19
XIV.	Subscribed capital		3,458,066	3,458,066
XV.	Additional paid-in capital		209,232	209,232
XVI.	Treasury shares		0	0
XVII.	Reserves and retained earnings		4,738,565	5,013,573
XVIII.	Net income for the period		649,028	667,496
CORE SHAREHOLDERS' EQUITY			9,054,891	9,348,367
XIX.	Fair value changes of debt instruments measured at fair value through other comprehensive income		218,588	336,856
XX.	Fair value changes of equity instruments measured at fair value through other comprehensive income		75,031	262,716
XXI.	Fair value changes due to own credit risk on financial liabilities designated as at fair value through profit or loss to be presented in other comprehensive income		0	0
XXII.	Fair value changes of derivatives following cash flow hedging		13,679	(81,709)
XXIII.	Remeasurement pension plans		42,170	84,319
XXIV.	Discretionary participation features of insurance contracts	6.5.	41,850	33,212
XXV.	Other reserves		212	212
GAINS AND LOSSES NOT RECOGNISED IN THE STATEMENT OF INCOME			391,530	635,605
TOTAL SHAREHOLDERS' EQUITY			9,446,422	9,983,972
XXVI.	Additional Tier-1 instruments included in equity		497,083	497,083
XXVII.	Non-controlling interests		16,118	24,945
TOTAL EQUITY			9,959,623	10,506,000
TOTAL LIABILITIES AND EQUITY			164,165,152	172,439,465

The notes on pages 189 to 324 are an integral part of the consolidated financial statements.

Consolidated statement of income

(In thousands of EUR)	Notes	31/12/18	31/12/19
I. Interest income	7.1.	3,399,369	3,441,636
II. Interest expense	7.1.	(1,527,831)	(1,541,463)
III. Dividend income	7.2.	70,981	70,279
IV. Net income from equity method companies	7.3.	1,745	4,918
V. Net income from financial instruments at fair value through profit or loss	7.4.	(10,644)	96,148
VI. Net income on investments and liabilities	7.5.	121,704	53,190
VII. Fee and commission income	7.6.	734,366	756,445
VIII. Fee and commission expenses	7.6.	(178,710)	(176,873)
IX. Technical result from insurance activities	7.7.	(53,890)	(19,975)
A. Gross earned premiums		1,488,048	1,463,046
B. Other technical income and charges		(1,541,939)	(1,483,021)
X. Other income	7.8.	193,666	216,569
XI. Other expenses	7.9.	(389,568)	(412,287)
INCOME		2,361,189	2,488,587
XII. Staff expenses	7.10.	(614,740)	(636,777)
XIII. General and administrative expenses	7.11.	(496,938)	(488,519)
XIV. Network costs		(219,110)	(212,174)
XV. Depreciation and amortisation of fixed assets	7.12.	(95,004)	(114,909)
EXPENSES		(1,425,792)	(1,452,379)
GROSS INCOME		935,397	1,036,208
XVI. Impairments on financial instruments and provisions for credit commitments	7.13.	(66,397)	(111,438)
XVII. Impairments on tangible and intangible assets	7.14.	(2,124)	(6,761)
XVIII. Impairments on goodwill	7.15.	0	0
NET INCOME BEFORE TAX		866,876	918,010
XIX. Current tax (expense) income	7.16.	(145,506)	(210,116)
XX. Deferred tax (expense) income	7.16.	(71,381)	(41,791)
TOTAL TAX (EXPENSE) INCOME		(216,886)	(251,907)
NET INCOME AFTER TAX		649,989	666,103
XXI. Discontinued operations (net of tax)		0	0
NET INCOME		649,989	666,103
Attributable to non-controlling interests		962	(1,393)
Attributable to equity holders of the parent		649,028	667,496

The notes on pages 189 to 324 are an integral part of the consolidated financial statements.

Consolidated statement of comprehensive income

(In thousands of EUR)	31/12/18		
	Before-tax amount	Tax (expense) income	Net-of-tax amount
RESULT RECOGNISED IN THE STATEMENT OF INCOME	866,876	(216,886)	649,989
OTHER COMPREHENSIVE INCOME THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS			
Unrealised result of property revaluation	(2)	0	(2)
Fair value changes of equity instruments measured at fair value through other comprehensive income	(119,426)	9,015	(110,410)
Remeasurement pension plans	(94,427)	23,599	(70,828)
TOTAL OF OTHER COMPREHENSIVE INCOME THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS	(213,855)	32,614	(181,241)
OTHER COMPREHENSIVE INCOME THAT MAY BE RECLASSIFIED TO PROFIT OR LOSS			
Fair value changes of debt instruments measured at fair value through other comprehensive income	(221,796)	65,282	(156,513)
Gains (losses) on cash flow hedges	35,436	(2,856)	32,580
Discretionary participation features of insurance contracts	57,521	(15,672)	41,850
TOTAL OF OTHER COMPREHENSIVE INCOME THAT MAY BE RECLASSIFIED TO PROFIT OR LOSS	(128,838)	46,754	(82,083)
OTHER COMPREHENSIVE INCOME	(342,693)	79,369	(263,324)
TOTAL COMPREHENSIVE INCOME	524,183	(137,517)	386,665
Attributable to equity holders of the parent	521,397	(137,485)	383,912
Attributable to non-controlling interests	2,786	(32)	2,754

The notes on pages 189 to 324 are an integral part of the consolidated financial statements.

(In thousands of EUR)	31/12/19		
	Before-tax amount	Tax (expense) income	Net-of-tax amount
RESULT RECOGNISED IN THE STATEMENT OF INCOME	918,010	(251,907)	666,103
OTHER COMPREHENSIVE INCOME THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS			
Fair value changes of equity instruments measured at fair value through other comprehensive income ⁽¹⁾	214,095	(21,645)	192,450
Remeasurement pension plans ⁽²⁾	56,285	(14,136)	42,149
TOTAL OF OTHER COMPREHENSIVE INCOME THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS	270,380	(35,781)	234,599
OTHER COMPREHENSIVE INCOME THAT MAY BE RECLASSIFIED TO PROFIT OR LOSS			
Fair value changes of debt instruments measured at fair value through other comprehensive income ⁽³⁾	136,055	(17,762)	118,293
Gains (losses) on cash flow hedges ⁽⁴⁾	(125,429)	30,041	(95,388)
Discretionary participation features of insurance contracts ⁽⁵⁾	(10,918)	2,280	(8,638)
TOTAL OF OTHER COMPREHENSIVE INCOME THAT MAY BE RECLASSIFIED TO PROFIT OR LOSS	(291)	14,559	14,267
OTHER COMPREHENSIVE INCOME	270,088	(21,222)	248,866
TOTAL COMPREHENSIVE INCOME	1,188,098	(273,129)	914,969
Attributable to equity holders of the parent	1,184,650	(273,080)	911,571
Attributable to non-controlling interests ⁽⁶⁾	3,448	(49)	3,398

(1) The fair value of equity instruments measured at fair value through other comprehensive income increased with EUR 192 million due to market changes, partially offset by sales in the equity portfolio. In 2018, the opposite was noticed where negative market movements were also partially offset by equity sales.

(2) The remeasurement of defined benefit plans increased with EUR 42 million, or 100.0%, to EUR 84 million as at 31 December 2019 compared to EUR 42 million as at 31 December 2018 mainly due to

→ the positive return on plan assets and the remeasurement of a pension plan for which Belfius is now informed again of the fair value of the underlying asset portfolio of the segregated fund,
→ change in pension plans parameters and
→ decrease in inflation rate.

This increase was partially offset by a lower discount curve compared to end 2018.

(3) The fair value of debt instruments measured at fair value through other comprehensive income increased with EUR 118 million. This positive movement stems from lower credit spreads and lower interest rates compared to end 2018 despite realised gains resulting from sales by Belfius Insurance. In 2018, the opposite was noticed as credit spreads increased compared to end 2017. This negative impact was partially relieved by capital gains through desinvestments within Belfius Insurance and from the sale of Italian bonds within Belfius' Banking Group.

(4) Gains (losses) on cash flow hedges decreased with EUR 95 million mainly due to evolution of basis spreads on derivative positions in GBP and USD.

(5) The discretionary participation feature of insurance contracts decreased to EUR 33 million as at 31 December 2019 compared to EUR 42 million at 31 December 2018.

(6) The non-controlling interests are mainly related to the minority stake within Auxipar, Jaimy and Jane.

Belfius realised an income before tax of EUR 918 million, an increase of EUR 51 million compared to 2018. Belfius realised good results thanks to higher volumes in commercial assets combined with a strict pricing discipline despite the pressure of the lower interest rate. The net result from financial instruments was positively impacted by improved hedge efficiencies as well as benign spread environment, leading to positive fair value adjustments as well as a positive evolution on financial instruments non-trading but mandatorily measured at fair value

through profit or loss such as funds and non SPPI compliant structured loans. Belfius continues to invest in human capital, as well as in IT and digitalization, and combines this with a strict cost control program in other domains, leading overall to a continued controlled increase of the costs. In 2019 the impairment cost was negatively impacted as additional impairments were recorded on a limited number of corporate files that entered stage 3.

The notes on pages 189 to 324 are an integral part of the consolidated financial statements.

Consolidated statement of change in equity

Core shareholders' equity (In thousands of EUR)	Subscribed capital	Additional paid-in capital	Reserves and retained earnings	Net income for the period	Core shareholders' equity
AS AT 31 DECEMBER 2017	3,458,066	209,232	5,417,038	0	9,084,337
IFRS 9 DATE OF INITIAL APPLICATION IMPACT	0	0	(296,675)	0	(296,675)
AS AT 1 JANUARY 2018⁽¹⁾	3,458,066	209,232	5,120,363	0	8,787,661
Movements of the period					
Dividends ⁽²⁾	0	0	(287,920)	0	(287,920)
Dividends Additional Tier 1	0	0	(9,057)	0	(9,057)
Interim dividend ⁽²⁾	0	0	(100,000)	0	(100,000)
Other movements	0	0	2	0	2
Net income for the period	0	0	0	649,028	649,028
Transfers from other comprehensive income due to sale of equity instruments	0	0	15,176	0	15,176
AS AT 31 DECEMBER 2018	3,458,066	209,232	4,738,565	649,028	9,054,891

(1) The impact of IFRS 9 in retained earnings is mainly related to:

→ the new calculation methodology for impairment of EUR 257 million (expected credit loss model); and
→ the remeasurement of non basic financial assets.

(2) Belfius paid EUR 288 million as dividend over 2017, as well as an interim dividend of EUR 100 million in August 2018.

The notes on pages 189 to 324 are an integral part of the consolidated financial statements.

Gains and losses not recognised in the statement of income	Other comprehensive income that may be reclassified to profit or loss			Other comprehensive income that will not be reclassified to profit and loss			Total gains and losses not recognised in profit and loss - Group share
	Fair value changes of debt instruments measured at fair value through other comprehensive income	Gains (losses) on cash flow hedges	Discretionary participation features of insurance contracts	Unrealised result of property revaluation	Fair value changes of equity instruments measured at fair value through other comprehensive income	Remeasurement pension plans	
(In thousands of EUR)							
AS AT 31 DECEMBER 2017	105,849	(14,361)	0	215	232,201	112,998	436,901
IFRS 9 DATE OF INITIAL APPLICATION IMPACT	269,264	(4,540)	0	0	(44,979)	0	219,745
Gross amount	133,186	(4,540)			(52,607)		76,039
Deferred taxes	136,077	0			7,629		143,706
AS AT 1 JANUARY 2018 ⁽¹⁾	375,113	(18,901)	0	215	187,222	112,998	656,646
Movements of the period							
Net change in fair value through other comprehensive income - debt instruments	(65,237)	0	41,850	0	0	0	(23,388)
Transfer to income due to impairments - debt instruments	2,341	0	0	0	0	0	2,341
Transfer to income due to disposals - debt instruments	(84,108)	0	0	0	0	0	(84,108)
Net change in fair value through other comprehensive income - equity instruments	0	0	0	0	(93,018)	0	(93,018)
Net change in fair value through equity - derivatives - hedging reserve	0	33,427	0	0	0	0	33,427
Net change in cash flow hedge reserve due to transfers to income	0	(847)	0	0	0	0	(847)
Transfers to technical provisions of insurance companies	(9,520)	0	0	0	(3,813)	0	(13,333)
Remeasurement pension plans	0	0	0	0	0	(70,828)	(70,828)
Transfers to retained earnings due to sale of equity instruments irrevocably measured through other comprehensive income	0	0	0	0	(15,244)	0	(15,244)
Transfers	0	0	0	(2)	(116)	0	(119)
AS AT 31 DECEMBER 2018	218,588	13,679	41,850	212	75,031	42,170	391,530

(1) The impact of IFRS 9 in other comprehensive income is mainly related to the business model reassessment. Belfius Bank defined a "held to collect" business model resulting in the reversal of the negative frozen Available-For-Sale reserve as well as the negative unrealised gains and losses not recognised in the statement of income. At Belfius Insurance a mixed model is applied following the ALM policies and guidelines, making that the insurance group determined that a large part of this portfolio should be defined as "held to collect" and certain debt securities as "held to collect and sell" to cover the liquidity needs.

The notes on pages 189 to 324 are an integral part of the consolidated financial statements.

Additional Tier-1 instruments included in equity

(In thousands of EUR)

AS AT 1 JANUARY 2018	0
Movements of the period	
Issuance of Additional Tier-1 instruments	497,083
AS AT 31 DECEMBER 2018	497,083

On 1 February 2018, Belfius issued EUR 500 million capital instruments, that qualify as AT1 under CRR/ CRD IV. The AT1 security has been analysed in respect with IAS 32 and should be considered as an equity instrument. This inaugural AT1 issue was executed in the context of further diversification of funding sources and investor base. Furthermore, the AT1 securities increase the going concern loss absorption capital, and contribute to the expected MREL level, as well as to the leverage ratio of Belfius. In general, this transaction increases Belfius' financial and regulatory flexibility, accessing a new layer of instruments within its capital structure.

The issuance was done in the form of EUR denominated Perpetual AT1 Securities. The securities are callable after 7.25 years ("First Call Date") and every interest payment date thereafter. A CET 1 trigger of 5.125% is applicable on consolidated and statutory level, with a principal temporary write-down loss absorption mechanism. The coupons of the issued AT1 Securities are fully discretionary, semi-annual and non-cumulative. There is also a mandatory cancellation of the coupon upon insufficient distributable items, or when the coupon exceeds the Maximum Distributable Amount (MDA).

Non-controlling interests

(In thousands of EUR)

	Core shareholders' equity	Gains and losses not recognised in the statement of income	Non-controlling interests
AS AT 1 JANUARY 2018	171	0	171
Movements of the period			
Dividends	(506)	0	(506)
Net income for the period	962	0	962
Net change in fair value through equity	0	1,733	1,733
Variation of scope of consolidation	13,790	0	13,790
AS AT 31 DECEMBER 2018	14,326	1,792	16,118

The non-controlling interests are mainly related to the minority stake within Auxipar.

(In thousands of EUR)

Core shareholders' equity	9,054,891
Gains and losses not recognised in the statement of income	391,530
Additional Tier-1 instruments included in equity	497,083
Non-controlling interests	16,118
AS AT 31 DECEMBER 2018	9,959,623

The notes on pages 189 to 324 are an integral part of the consolidated financial statements.

Core shareholders' equity	Subscribed capital	Additional paid-in capital	Reserves and retained earnings	Net income for the period	Core shareholders' equity
(In thousands of EUR)					
AS AT 31 DECEMBER 2018	3,458,066	209,232	4,738,565	649,028	9,054,891
Movements of the period					
Transfers to reserves	0	0	649,028	(649,028)	0
Dividends ⁽¹⁾	0	0	(263,000)	0	(263,000)
Dividends Additional Tier 1	0	0	(12,764)	0	(12,764)
Interim dividend ⁽¹⁾	0	0	(100,000)	0	(100,000)
Variation of scope of consolidation	0	0	16	0	16
Other movements ⁽²⁾	0	0	(2,809)	0	(2,809)
Net income for the period	0	0	0	667,496	667,496
Transfers from other comprehensive income due to sale of equity instruments	0	0	4,537	0	4,537
AS AT 31 DECEMBER 2019	3,458,066	209,232	5,013,573	667,496	9,348,367

(1) Belfius paid EUR 263 million as dividend over 2018 results, as well as an interim dividend of EUR 100 million in August 2019 on the 2019 results.

(2) Other movements relate to the first-time application IFRS16. We refer to note 3 "Accounting principals".

Gains and losses not recognised in the statement of income	Other comprehensive income that may be reclassified to profit or loss			Other comprehensive income that will not be reclassified to profit and loss			Total gains and losses not recognised in profit and loss - Group share
	Fair value changes of debt instruments measured at fair value through other comprehensive income	Gains (losses) on cash flow hedges	Discretionary participation features of insurance contracts ⁽¹⁾	Unrealised result of property revaluation	Fair value changes of equity instruments measured at fair value through other comprehensive income ⁽²⁾	Remeasurement pension plans	
(In thousands of EUR)							
AS AT 31 DECEMBER 2018	218,588	13,679	41,850	212	75,031	42,170	391,530
Movements of the period							
Net change in fair value through other comprehensive income - debt instruments ⁽³⁾	184,015	0	(8,638)	0	0	0	175,377
Transfer to income due to impairments - debt instruments	(37)	0	0	0	0	0	(37)
Transfer to income due to disposals - debt instruments ⁽⁴⁾	(58,376)	0	0	0	0	0	(58,376)
Net change in fair value through other comprehensive income - equity instruments	0	0	0	0	189,759	0	189,759
Net change in fair value through equity - derivatives - hedging reserve ⁽⁵⁾	0	(95,409)	0	0	0	0	(95,409)
Net change in cash flow hedge reserve due to transfers to income	0	21	0	0	0	0	21
Transfers to technical provisions of insurance companies ⁽⁶⁾	(7,335)	0	0	0	2,916	0	(4,419)
Remeasurement pension plans ⁽⁷⁾	0	0	0	0	0	42,149	42,149
Transfers to retained earnings due to sale of equity instruments irrevocably measured through other comprehensive income	0	0	0	0	(4,537)	0	(4,537)
Transfers	0	0	0	0	(453)	0	(453)
AS AT 31 DECEMBER 2019	336,856	(81,709)	33,212	212	262,716	84,319	635,605

(1) Discretionary beneficiary participation is a contractual, but conditional entitlement to receive additional profits over and above a guaranteed return on insurance contracts (life). The discretionary participation feature of insurance contracts decreased to EUR 33 million as at 31 December 2019 stemming from lower volumes that, in accordance with the profit-sharing plan, may give rise to a discretionary participation right in the future.

(2) The fair value of equity instruments measured at fair value through other comprehensive income increased with EUR 190 million due to market movement.

(3) The fair value of debt instruments measured at fair value through other comprehensive income increased with EUR 184 million. This positive movement stems from lower credit spreads and lower interest rates compared to end 2018.

(4) The fair value of debt instruments measured at fair value through other comprehensive income decreased with EUR 58 million resulting from sales within Belfius Insurance.

(5) Gains (losses) on cash flow hedges decreased with EUR 95 million mainly due to evolution of basis risk on derivative positions in GBP and USD.

(6) These transfers concern amounts after tax following the application of Shadow Accounting on segregated accounts, whereby part of the unrealised profits from financial assets measured at fair value through other comprehensive income is used as cover value for the payments of the obligations for insurance contracts and is therefore transferred to the technical reserves for insurance contracts.

(7) The remeasurement of defined benefit plans increased with EUR 42 million compared to year end 2018 mainly due to

→ the positive return on plan assets and the remeasurement of a pension plan for which Belfius is now informed again of the fair value of the underlying asset portfolio of the segregated fund an

→ change in pension plans parameters. These increases were partially offset by a lower discount curve compared to end 2018.

The notes on pages 189 to 324 are an integral part of the consolidated financial statements.

Additional Tier-1 instruments included in equity

(In thousands of EUR)

AS AT 31 DECEMBER 2018	497,083
Movements of the period	
Issuance of Additional Tier-1 instruments	0
AS AT 31 DECEMBER 2019	497,083

Non-controlling interests

(In thousands of EUR)

	Core shareholders' equity	Gains and losses not recognised in the statement of income	Non-controlling interests
AS AT 31 DECEMBER 2018	14,326	1,792	16,118
Movements of the period			
Dividends	(483)	0	(483)
Net income for the period	(1,393)	0	(1,393)
Net change in fair value through equity	0	4,791	4,791
Transfer to income due to impairments - debt instruments	0	(1)	(1)
Variation of scope of consolidation	10	0	10
Other movements ⁽¹⁾	5,901	0	5,901
AS AT 31 DECEMBER 2019	18,361	6,583	24,945

(1) Other movements relate to third party capital increases in the companies Jaimy (EUR 2.5 million) and Jane (EUR 3.4 million). We refer to note 10.1.

The non-controlling interests are mainly related to the minority stake within Auxipar, Jaimy and Jane.

(In thousands of EUR)

Shareholders' core equity	9,348,367
Gains and losses not recognised in the statement of income	635,605
Additional Tier-1 instruments included in equity	497,083
Non-controlling interests	24,945
AS AT 31 DECEMBER 2019	10,506,000

Equity

31/12/18

31/12/19

BY CATEGORY OF SHARE

Number of shares authorised and not issued	0	0
Number of shares issued and fully paid	359,412,616	359,412,616
Number of shares issued and not fully paid	0	0
Earnings per share (EUR)		
Ordinary	1.81	1.86
Diluted	1.81	1.86

NOMINAL VALUE PER SHARE

no nominal value

no nominal value

Outstanding as at 1 January	359,412,616	359,412,616
Number of shares issued	0	0
Number of shares cancelled	0	0
Outstanding as at 31 December	359,412,616	359,412,616
Rights, preferences and restrictions, including restrictions on the distribution of dividends and the repayment of capital	0	0
Number of treasury shares	0	0
Number of shares reserved for issue under stock options and contracts for the sale of share	0	0

For the explanation of the evolution of regulatory own funds and the solvency of the company, we refer to the chapter "Capital Management" in the management report.

Shared-based payments

There are no option plans with Belfius shares as underlying asset.

The notes on pages 189 to 324 are an integral part of the consolidated financial statements.

Consolidated cash flow statement

Belfius uses the indirect method for the cash flow statement. The presentation of this statement begins with net income or loss, with subsequent additions to or deductions from that

amount for non-cash revenue and expense items, resulting in net income provided by operating activities.

(In thousands of EUR)	31/12/18	31/12/19
CASH FLOW FROM OPERATING ACTIVITIES		
Net income attributable to equity holders of the parent	649,028	667,496
Net income attributable to non-controlling interests	962	(1,393)
ADJUSTMENT FOR NON CASH ITEMS:	190,106	44,985
Depreciation, amortisation and other impairment	114,222	142,254
Impairment on bonds, loans and other assets	(47,023)	(2,258)
Net (gains) or losses on investments	(32,258)	(2,879)
Net (gains) or losses on tangible & intangible assets	(7,719)	(2,879)
Net (gains) or losses on consolidated shares & equity method companies	(24,539)	0
Increase / (decrease) of provisions (mainly insurance provision)	67,812	(6,016)
Unrealised (gains) or losses ⁽¹⁾	16,453	(125,403)
Net unrealised gains from cash flow hedges and discontinuations	(87)	2
Income from equity method companies	(1,745)	(4,918)
Dividends from equity method companies	1,352	2,412
Deferred taxes	71,381	41,791
Deferred tax income	(50,305)	(47,840)
Deferred tax charges	121,685	89,631
Other adjustments	0	0
CHANGES IN OPERATING ASSETS	(2,791,939)	(4,929,617)
Balances with central banks	0	0
Loans and advances due from credit institutions	1,542,700	(553,684)
Loans and advances	(5,791,150)	(3,829,130)
Debt securities and equity instruments	1,532,453	(425,311)
Assets from insurance companies	164,340	20,365
Tax asset	(63,615)	10,889
Accrued income from financial assets	(112,863)	53,890
Other assets	(63,915)	(205,656)
Assets held for sale-other assets	111	(981)
CHANGES IN OPERATING LIABILITIES	(343,832)	5,721,009
Balances from central banks	0	30,839
Loans and advances due to credit institutions	(1,265,425)	(46,888)
Customer borrowings and deposits	3,315,938	5,775,277
Debt securities and other financial liabilities	(1,596,318)	908,672
Technical provisions of insurance companies	(637,258)	(743,407)
Provisions and contingent liabilities	0	0
Tax liabilities	(36,000)	32,372
Accrued expenses on financial instruments	134,456	(165,540)
Other liabilities specific to insurance companies	(181,290)	(5,007)
Other liabilities	(77,934)	(65,309)
Liabilities held for sale-other liabilities	0	0
OTHER OPERATING FLOWS	675,512	(275,323)
DERIVATIVES	878,198	231,171
NET CASH PROVIDED (USED) BY OPERATING ACTIVITIES	(741,966)	1,458,328

(1) This line item represents the fair value adjustments on financial instruments at fair value through profit or loss.

The notes on pages 189 to 324 are an integral part of the consolidated financial statements.

(In thousands of EUR)	31/12/18	31/12/19
CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of fixed assets	(134,461)	(263,828)
Sales of fixed assets	23,119	27,673
Acquisitions of unconsolidated equity shares	(128,841)	(150,767)
Sale of unconsolidated equity shares ⁽¹⁾	142,241	256,561
Acquisitions of subsidiaries and of business units ⁽²⁾	(39,336)	(4,127)
Sale of subsidiaries and of business units	0	0
NET CASH PROVIDED (USED) BY INVESTING ACTIVITIES	(137,278)	(134,489)
CASH FLOW FROM FINANCING ACTIVITIES		
Issuance of new shares ⁽³⁾	0	5,930
Reimbursement of capital	0	0
Issuance of subordinated debts ⁽⁴⁾	198,952	168,905
Reimbursement of subordinated debts ⁽⁴⁾	(190,254)	(234,905)
Issuance of Additional Tier-1 instruments ⁽⁵⁾	497,083	0
Reimbursement of Additional Tier-1 instruments	0	0
Purchase of treasury shares	0	0
Sale of treasury shares	0	0
Dividends paid ⁽⁶⁾	(397,482)	(376,246)
NET CASH PROVIDED (USED) BY FINANCING ACTIVITIES	108,300	(436,317)
NET CASH PROVIDED	(770,944)	887,522
of which cash outflow for leases		(6,085)
CASH AND CASH EQUIVALENT AT THE BEGINNING OF THE PERIOD	11,609,025	10,838,068
Cash flow from operating activities	(741,966)	1,458,328
Cash flow from investing activities	(137,278)	(134,489)
Cash flow from financing activities	108,300	(436,317)
Effect of exchange rate changes on cash and cash equivalents	(13)	304
CASH AND CASH EQUIVALENTS AT THE END OF THE PERIOD	10,838,068	11,725,894
ADDITIONAL INFORMATION		
Income tax paid (included in line net cash provided (used) by operating activities)	(228,927)	(159,910)
Dividends received (included in line net cash provided (used) by operating activities)	72,333	72,681
Interest received (included in line net cash provided (used) by operating activities)	3,285,666	3,497,361
Interest paid (included in line net cash provided (used) by operating activities)	(1,394,880)	(1,712,042)

(1) Belfius Insurance has sold equity instruments for risk and ALM purposes. In 2018 Belfius Bank sold its investments in "NEB participations", an associate evaluated through the equity method, for EUR 37 million.

(2) Belfius Insurance acquired the following shareholdings throughout different reporting periods: 35.3% of Auxipar in Q1 2018, 100% of Offico Immo in Q4 2018 and 100% of Immo Tréfles in Q4 2019.

(3) New shares were issued to third parties in the companies Jaimy and Jane. Refer to note 10.1 for more information.

(4) 2019 was marked by the repayment of subordinated debts coming to maturity for EUR 66 million. Belfius also anticipated on new regulatory requirements (CRR2) and substituted two debts formerly issued by Belfius Financing Company by Belfius Bank issues, whereby the debt was repaid and reissued for an amount of EUR 165 million. Over 2018, Belfius issued Tier 2 subordinated debt for a nominal amount of EUR 200 million. The Governing Council of the European Central Bank (ECB) also granted Belfius permission to call three Tier 2 instruments in the first half of 2018 for an amount of EUR 191 million.

(5) On 1 February 2018, Belfius issued EUR 500 million capital instruments qualifying as AT1 under CRR/ CRD IV.

(6) This line includes the dividend paid to the shareholder as well as interest paid on the Additional Tier 1 which is considered as a dividend under IFRS.

Refer to the chapter on liquidity in the Management Report for a detailed description of the liquidity position.

The notes on pages 189 to 324 are an integral part of the consolidated financial statements.

Notes to the consolidated financial statements

II. Post balance sheet events

Please find below an overview of non-adjusting events between the balance sheet date (31 December 2019) and the publication of this report.

Dividend

The Board of Directors of 2 April 2020 decided to propose to the General Assembly of 29 April 2020 an ordinary dividend of EUR 100 million in respect of the accounting year 2019, which was already paid through an interim dividend in 2019. Following the economic impacts of the outbreak of COVID-19, the Board of Directors proposes to the General Assembly to integrate the additional dividend of EUR 161 million (based on a pay-out ratio of 40%) in retained earnings, available for distribution once the impacts of the economic crisis following COVID-19 are more clear.

Several real estate deals

Note that Belfius Insurance concluded in 2020 several real estate deals resulting in a positive impact on the income for 2020.

Important prepayment penalties on leasing contracts

Beginning 2020, Belfius realised an increase in income after the early termination of certain lease contracts.

Issuance of Mortgage Pandbrieven

Belfius has issued on 21 January 2020, EUR 500 million Mortgage Pandbrieven with a maturity of 10 year. With this transaction Belfius diversifies its investor base and further optimizes its funding profile.

COVID-19

Since the World Health Organization (WHO) declared the COVID-19 outbreak a public health emergency of international concern in January, it has spread across the globe. The WHO has continuously raised its global risk outlook and announced more new cases outside of China than within for the first time on

26 February. The outbreak is a major shock weighing on global financial markets and is now expected to heavily impact global economic growth. It is expected that there is significant disruption to economic activity, particularly a slowdown in production and a reduction in domestic and foreign demand, and may consequently have an impact on the financial position of Belfius (amongst others solvency, liquidity, the premiums, interest margin, fee income, fair value results as well as cost of risk).

III. Accounting principles on a consolidated basis

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Notes to the financial statements

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below.

The common used abbreviations below are:

- IASB: International Accounting Standards Board;
- IFRIC: Interpretation issued by the IFRS Interpretations Committee;
- IFRS: International Financial Reporting Standards.

In the following text, "Belfius" refers to "Belfius Bank & Insurance".

The financial statements have been approved by the Board of Directors of Belfius Bank on 2 April 2020.

Accounting policies

1. Basis of accounting

1.1. General

The consolidated financial statements of Belfius have been prepared in accordance with IFRSs as issued by the IASB, including interpretations ("IFRICs") issued by the IFRS Interpretation Committee, as adopted by the European Union including the conditions applicable to interest-rate portfolio hedging ("carve-out").

The Royal Decree of 5 December 2004 requires Belfius to publish its consolidated financial statements in accordance with IFRSs adopted by the European Union as from 31 December 2006.

The consolidated financial statements are prepared on a going-concern basis. They are expressed in thousands of Euro (EUR) unless otherwise stated.

1.2. Accounting estimates and judgements

In preparing the consolidated financial statements, management is required to make estimates, assumptions and judgements that affect the amounts reported. To make these assumptions and estimates, management uses information available at the date of preparation of the financial statements and exercises its judgement. While management believes that it has considered all available information in developing these estimates, actual results may differ from the estimates and the differences could be material to the financial statements.

Judgement is used principally in, but not limited to, the following areas:

- Assessment of the business model considering the way performance of the assets is evaluated, the risks that affect this performance and the compensation of managers (see section 6.2.1);
- Assessment whether or not the contractual terms of a financial asset are solely payments of principal and interest (cf. SPPI test) (see section 6.2.1);

- Determination whether or not there is an active market based on criteria such as volume, actual trade, market liquidity, bid offer spread for financial instruments measured at fair value (see section 6.7);
- Determination of fair value for financial instruments measured at fair value by means of valuation techniques (see section 6.7);
- Determination whether or not Belfius (jointly) controls an investee or has significant influence over an investee: this control assessment considers all facts and circumstances, such as voting rights, potential voting rights, rights of the investor, type of activity (see section 3);
- Identification of non-current assets and disposal groups held for sale and discontinued operations (IFRS 5) (see section 14);
- The appropriateness of designating derivatives as hedging instruments (see section 6.6.2);
- Existence of a present obligation with probable outflows in the context of litigations (see section 18);
- Measurement of expected credit loss allowances and choice of the appropriate models as well as the use of appropriate assumptions about future economic conditions and credit behaviour of the customer (see section 6.5);
- Assessment of significant increase in credit risk for a financial asset since its initial recognition to determine whether 12-month or lifetime expected losses should be recognised. This assessment takes into account qualitative and quantitative reasonable and supportable forward-looking information; (see section 6.5)
- Grouping of assets with similar credit risk characteristics and continuous monitoring of the appropriateness of the credit risk characteristics to assess whether they continue to be similar (see section 6.5), and
- Classification of a financial instrument or its component parts as a financial liability or equity based on the economic substance rather than the legal form of the instrument or its component (see section 6.1.).

Estimates are principally made in the following areas:

- Determination of the fair value less costs to sell for non-current assets and disposal groups held for sale (see section 14);
- Determination of expected credit losses by using the relative weighting of forward-looking scenario's on credit behaviour of customers, the Probability of Default (PD) and Loss Given Default (LGD) (see section 6.5);
- Determination of the change in fair value for financial liabilities designated as at FVTPL attributable to a change in credit risk of the financial liability (see section 6.3.2);
- Determination of the useful life and the residual value of property, equipment, investment property and intangible assets (see section 10. and 11.);
- Determination of the market value correction to adjust for market value and model uncertainty (see section 6.7);
- Measurement of liabilities for insurance contracts (see section 8);

- Testing the adequacy of liabilities for insurance contracts considering model uncertainty, economic and non-economic assumptions (see section 8.);
- The measurement of hedge effectiveness in hedging relations (see section 6.6.2. and 6.6.3.);
- Actuarial assumptions related to the measurement of employee benefits obligations and plan assets (see section 17. and note 6.7.);
- Estimation of future taxable profit for the recognition and measurement of deferred tax assets (see section 16.);
- Estimation of the recoverable amount of cash-generating units for goodwill impairment (see section 12.2.).

These judgements and estimates are discussed in the corresponding sections (as referenced above) of the accounting policies.

2. Changes in accounting policies and applicable standards since the previous annual publication that may impact Belfius

The overview of the texts below is made until the reporting date of 31 December 2019.

2.1. IASB / IFRS and IFRIC texts endorsed by the European Commission and applied as from 1 January 2019

The IASB has published IFRIC 23 and several limited amendments and improvements to existing IFRS. They will be applied, if necessary, but with the exception of the amendment to IAS 12 and IFRIC 23, the impact on the financial statements is estimated to be negligible.

- “Annual Improvements to IFRSs 2015-2017 Cycle” contains amendments to four standards: IFRS 3 “Business combinations”, IFRS 11 “Joint arrangements”, IAS 23 “Borrowing costs” and IAS 12 “Income taxes”. Only the amendments to IAS 12 have impacted Belfius for the tax treatment on the additional Tier-1 issuance where tax consequences were recognised in the line item “XVII Reserves and retained earnings”. The amendments to IAS 12 state that income tax consequences of dividends should be recognised in profit or loss, other comprehensive income or equity according to where the past transactions or events that generated the distributable profit were recognised. As the revenue of the additional Tier-1 issuance was recognised in equity, the relating tax consequence is also recognised in equity. The amendment should be applied to the income tax consequences of dividends recognised on or after the beginning of the earliest comparative period.
- Amendments to IAS 19 “Plan Amendment, Curtailment or Settlement” state that in case a plan amendment, curtailment or settlement occurs, the current service cost and the net interest for the period after the remeasurement are determined using the assumptions used for the remeasurement. In addition, amendments have been included to clarify the effect of a plan amendment, curtailment or settlement on the requirements regarding the asset ceiling.
- Amendment to IAS 28 “Long term Interests in Associates and Joint Ventures” clarifies that an entity is required to apply IFRS 9 Financial Instruments, including its impairment require-

ments, to long-term interests in associates or joint ventures that, in substance, form part of the net investment in the associate or joint venture but to which the equity method is not applied.

- Amendment to IFRS 9 “Prepayment Features with Negative Compensation” applies to debt instruments that fail the SPPI test due to a prepayment feature with negative compensation. The amendment allows entities to measure these debt instruments at amortised cost even when the prepayment option results in the option holder receiving compensation for early prepayment on the condition that the debt instruments satisfy the business model requirement. Furthermore, the amendment confirms that a modification of a financial liability will result in the immediate recognition of a gain or loss. There is no impact for Belfius.
- IFRIC 23 “Uncertainty over income tax” provides a framework to consider, recognise and measure the accounting impact of tax uncertainties. A tax uncertainty is a tax treatment for which there is uncertainty over whether the relevant taxation authority will accept the tax treatment under tax law. IFRIC 23 clarifies that if an entity concludes that it is not probable that the taxation authority will accept a tax uncertainty, the entity shall reflect the effect of the uncertainty in determining the related taxable profit (or loss) or tax base. For Belfius, the initial application of IFRIC 23 consisted merely in a reclassification from provisions for uncertain tax treatments to current tax liabilities.

IFRS 16 “Leases” is applicable as from 1 January 2019. Further details are available in paragraph 15 below.

2.2. IASB / IFRS and IFRIC texts endorsed by the European Commission during the current year but not yet applicable as from 1 January 2019

- The “Amendments to References to the Conceptual Framework in IFRS Standards” document updates references to previous versions of the Conceptual Framework in IFRS Standards, their accompanying documents and IFRS practice statements. These are effective from 1 January 2020 and the impact will be negligible.
- Amendments to IAS 1 and IAS 8 “Definition of material” refine the definition of material and align the definitions used across IFRS standards and other publications. The new definition of material forms part of the IASB central theme on “Better communication in Financial Reporting”. The new definition states that information is material if omitting, misstating or obscuring could reasonably be expected to influence decisions of primary users of the financial statements. The amendments are effective from 1 January 2020 and might impact Belfius.

2.3. New IFRS, IFRIC and amendments issued during the current year but not yet endorsed by the European Commission

Standards with impact for Belfius

Amendments to IFRS 9, IAS 39 and IFRS 7 “Interest Rate Benchmark Reform - phase I” provide temporary reliefs from applying specific hedge accounting requirements to hedging relationships directly affected by uncertainties related to IBOR reform. The amendments are effective from 1 January 2020 and earlier application is permitted. Belfius decided not to early

adopt the amendments. The analysis of the impact on the financial statements is ongoing and a dedicated task force has been put in place.

Standards with no impact

Nihil.

Standards not applicable for Belfius

Nihil.

2.4. Ongoing projects

2.4.1 IFRS 17 “Insurance contracts” (effective for annual periods beginning on or after 1 January 2021, but subject to tentative decision deferral by one year)

In May 2017 the IASB issued IFRS 17 “Insurance Contracts”. IFRS 17 is a comprehensive accounting standard and establishes completely new principles for the recognition, measurement, presentation and disclosure of insurance contracts. The new standard introduces a single principle based framework to account for all types of insurance contracts, including reinsurance contracts held or issued and investment contracts with discretionary participation features. The new standard supersedes IFRS 4 and should be applied retrospectively unless impracticable, in which case alternative approaches can be applied.

In June 2019 the IASB issued an Exposure Draft of amendments to IFRS 17. Although narrow in scope, the amendments aim to ease implementation of the Standard by reducing implementation costs and making it easier for companies to explain the results of applying IFRS 17 to investors and others. The key proposals are a one-year deferral of the effective date of IFRS 17 to 1 January 2022 and changes to the standard’s requirements in several important areas.

Based on our understanding and ongoing analysis, implementing the new standard will have a significant impact on the financial statements, key performance indicators and operations of Belfius Insurance and Belfius Group. Considering the complexity of the standard, a dedicated implementation team has been assigned to the IFRS 17 implementation project, with applicable committees to ensure strict project governance.

2.5. Changes in presentation

Nihil.

3. Consolidation

3.1. Business combinations

Acquisitions of businesses are accounted for using the acquisition method. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of

- the acquisition-date fair values of the assets transferred by Belfius;
- the liabilities incurred by Belfius to former owners of the acquiree; and
- the equity interests issued by Belfius in exchange for control of the acquiree.

Acquisition-related costs are recognised in profit or loss as incurred. At the acquisition date, the identifiable assets acquired and the liabilities assumed are recognised at their fair value at the acquisition date.

Non-controlling interests may be initially measured either at fair value or at the present ownership instruments’ proportionate share in the recognised amounts of the acquiree’s identifiable net assets. The choice of measurement basis is made on a transaction-by-transaction basis. The equity and net income attributable to the non-controlling interests are shown separately in the balance sheet and statement of income respectively.

When the consideration transferred by Belfius in a business combination includes assets or liabilities resulting from a contingent consideration arrangement, the contingent consideration is measured at its acquisition-date fair value and included as part of the consideration transferred in a business combination. Subsequent changes in the fair value of the contingent consideration are typically recognised in profit or loss.

When a business combination is achieved in stages, previously equity interests held by Belfius in the acquiree is remeasured to fair value at the acquisition date (i.e. the date on which Belfius obtains control) and the resulting gain or loss, if any, is recognised in profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognised in other comprehensive income are reclassified to profit or loss where such treatment would be appropriate if that interest were disposed of.

3.2. Subsidiaries

Subsidiaries are those entities over which Belfius has, either directly or indirectly, control. Belfius controls an entity when it is exposed or has rights to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Subsidiaries are fully consolidated as from the date on which effective control is transferred to Belfius and are no longer consolidated as from the date on which control is lost. Inter-company transactions and balances, and gains and losses on transactions between consolidated companies of Belfius are eliminated. Where necessary, the accounting policies of the subsidiaries are aligned to ensure consistency with the policies adopted by Belfius.

When Belfius loses control of a subsidiary, the profit or loss on disposal is calculated as the difference between:

- the aggregate of the fair value of the consideration received and the fair value of any retained interest; and
- the previous carrying amount of the assets (including goodwill) and liabilities of the subsidiary and any non-controlling interests.

3.3. Jointly controlled entities and associates

A joint venture is a joint arrangement whereby the parties have joint control of the arrangement. Joint control is a contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the unanimous consent of the parties sharing control. Joint ventures are accounted for using the equity method.

Associates are investments in which Belfius has significant influence, but does not exercise control. This is usually the case when Belfius owns between 20% and 50% of the voting rights. Investments in associates are initially measured at cost and accounted for using the equity method.

Following the equity method, the ownership share of net income for the year is recognised as income of joint ventures and associates, whereas the share in other comprehensive income of joint ventures and associates is carried on a separate line of the statement of comprehensive income. The investment is recorded in the balance sheet at an amount that reflects Belfius' share of the net assets of joint ventures and associates increased with related goodwill.

Gains and losses on transactions between Belfius and its "equity method investments" are eliminated to the extent of the interest therein of Belfius. The recognition of losses from joint ventures and associates is discontinued when the carrying amount of the investment reaches zero, unless Belfius has incurred or guaranteed legal or constructive obligations on behalf of the associate or joint venture. Where necessary, the accounting policies of the joint ventures and associates are aligned to ensure consistency with the policies adopted by Belfius.

3.4. Structured entities

A structured entity is an entity whose activities are not governed by way of voting rights. These entities generally finance the purchase of assets by issuing debt and equity securities that are collateralised by assets held by the structured entities. The debt and equity securities issued by the structured entities may include tranches with varying levels of subordination. In assessing whether Belfius has power over such investees in which it has an interest, Belfius considers factors such as the purpose and design of the investee, its practical ability to direct the relevant activities of the investee, the nature of its relationship with the investee and the size of its exposure to the variability of returns of the investee.

4. Offsetting financial assets and financial liabilities

Financial assets and financial liabilities are offset (and, consequently, only the net amount is reported) when Belfius has a legally enforceable right to offset and intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

5. Foreign currency translation and transactions

5.1. Foreign currency translation

On consolidation, the income and cash-flow statements of foreign entities that have a functional currency different from the presentation currency of Belfius are translated into the presentation currency (EUR) of Belfius at the average exchange rates

for the year (annual reporting) or the period (interim reporting) and their assets and liabilities are translated at the respective year-end or quarter-end exchange rates.

Exchange differences arising from the translation of the net investment in foreign subsidiaries, associates, joint ventures and of borrowings and other currency instruments designated as hedges of such investments, are recorded as a cumulative translation adjustment within equity. On disposal of a foreign entity, such exchange differences are recognised in the statement of income as part of the gain or loss on disposal.

5.2. Foreign currency transactions

For individual Belfius entities, foreign currency transactions are accounted for using the approximate exchange rate at the date of the transaction. Outstanding balances of monetary and non-monetary items carried at fair value denominated in foreign currencies are translated at period- or year-end using the exchange rates applicable at period- or year-end. Historical rates are used for non-monetary items carried at cost and such items are not subsequently remeasured for changes in exchange rates. The exchange differences for non-monetary items carried at fair value are governed by the same accounting treatment as for fair value adjustments. Exchange differences for monetary items are recorded in the consolidated statement of income.

6. Financial instruments

6.1. Recognition and initial measurement

At initial recognition, judgement can be required in determining the appropriate classification of the financial instruments. Debt and equity instruments issued by a group entity are classified as a financial liability or as an equity instrument in accordance with the substance of the contractual arrangement rather than the legal form of the instrument and the definitions of financial liability and equity instrument.

Regular way purchases of financial assets are recognised on settlement date, which is the date of delivery to Belfius. Financial assets (other than regular way purchases) and financial liabilities are recognised in the Group's balance sheet when the Group becomes a party to the contractual provisions of the instrument.

Financial assets and liabilities that are not measured at fair value through profit or loss are initially measured at fair value plus or minus transaction costs that are directly attributable to the acquisition or issue of financial assets and liabilities. Transaction costs for financial assets and liabilities measured at fair value through profit or loss are recognised immediately in profit or loss.

Although the transaction price is the best evidence of fair value for all financial instruments, a day one profit or loss may be applicable.

The day one profit or loss is the difference between:

- the transaction price and the quoted price in an active market for a financial instrument; or
- the transaction price and the fair value determined by using a valuation technique (mark-to-model), if the instrument is not quoted.

If all the inputs of the model are observable, the day one profit or loss will be recognised immediately in the statement of income.

If all inputs of the model are not observable, the day one profit or loss will be amortised over the expected life of the instrument, where this is appropriate. However, if the data subsequently becomes observable, the remaining portion of day one profit or loss will be recognised in the statement of income.

In cases of early termination of the underlying instrument, the remaining portion of day one profit or loss will be recognised in the statement of income.

6.2. Classification and subsequent measurement of financial assets

6.2.1 General

According to IFRS 9, the classification and measurement of financial assets is based on both the entity's business model for managing the financial assets and the financial asset's contractual cash flow characteristics (referred to as the Solely Payments of Principal and Interest test – SPPI test).

The following business models are available for managing financial assets:

- Hold to collect contractual cash flows;
- Hold to collect contractual cash flows and sell;
- Other, such as trading and management of assets on a fair value basis.

IFRS 9 introduces the following categories for the measurement of debt instruments. The methods for the measurements are:

- Fair value through other comprehensive income (FVTOCI) – financial assets will be classified into this category if the assets meet the SPPI test and the business model is to hold the assets to collect contractual cash flows and to sell the assets
- Amortised cost – financial assets will be classified into this category if the assets meet the SPPI test and the business model is to only hold the assets to collect contractual cash flows
- Fair value through profit or loss – financial assets that do not fall within the two categories above will be measured at fair value through profit or loss.

Debt instruments that meet the amortised cost or FVTOCI criteria can be irrevocably designated at fair value through profit or loss if it eliminates, or significantly reduces, an accounting mismatch in profit or loss.

Investments in equity instruments are classified at fair value through profit or loss because they do not meet the SPPI test. However, IFRS 9 allows an entity to make an irrevocable election to present in other comprehensive income subsequent changes in the fair value of an investment in an equity instrument within the scope of this Standard that is neither held for trading nor contingent consideration recognised by an acquirer in a business combination to which IFRS 3 applies. Dividends from investments

in equity instruments are always recognized in profit or loss unless the dividend clearly represents a recovery of the cost of the investment.

The cash flow characteristics test (or Solely Payment of Principal and Interest test)

The cash flow characteristics test assesses whether contractual cash flows are solely payments of principal and interest on the principal outstanding, consistent with a basic lending arrangement. For contractually linked instruments a “look-through” approach is applied to determine whether the SPPI criterion is met for the tranches of the instrument taking into consideration the contractual terms of the tranche and the characteristics of the underlying pool as well as the exposure to credit risk.

Principal is the fair value of the financial asset at initial recognition and may change over the life of the financial asset (in case of repayments of principal). Interest is the consideration for the time value of money, the credit risk and may also include consideration for other basic lending risks and costs (such as liquidity risk and administration costs) as well as a profit margin.

In making this assessment, Belfius takes into account:

- Contingent events that would change the amount or timing of the cash flows (by assessing the cash flows arising before and after the change in cash flows);
- Terms that may adjust the contractual coupon rate including variable rate features (whether or not variations can be regarded as compensation for credit risk);
- Prepayment and extension features (by assessing amount of prepayment and cash flows during the extension period); and
- Terms that limit the entity's claims to cash flows from specified assets (such as non recourse features).

Business model

The business models are determined by the Board of Directors for homogenous portfolios and reflect how the financial assets are managed together to achieve a particular objective. The determination of the business model takes into account all relevant information in normal scenarios and also considers the following factors:

- Past experience regarding the frequency, volume and timing of sales, the reasons for such sales and expectations about future sales activity;
- How the asset's performance is evaluated and reported to key management personnel;
- How risks are assessed and managed; and
- How managers are compensated.

Belfius applies the following business models to manage its financial assets:

- Hold to collect contractual cash flows;
- Hold to collect contractual cash flows and sell;
- Any other business models such as trading and management of assets on a fair value basis.

At initial recognition of a financial asset, Belfius determines whether newly recognised financial assets are part of an existing business model or whether they reflect the commencement of a new business model.

Once a year, Belfius reassesses its business models to determine whether the business models have changed since the preceding period.

Change in Business model

A future change in business models for existing financial assets and the related prospective reclassification of all affected financial assets will be very exceptional as it should be the consequence of an acquisition, sale or development of an activity or a business line that is significant for the operations of each of the entities of Belfius Group and is demonstrable to external parties. In view of its significance, the proposition to change should be discussed and decided by the appropriate governance bodies.

6.2.2 Financial assets measured at amortised cost (AC)

Debt instruments (including hybrid contracts) that are held within a business model “hold to collect contractual cash flows” and with contractual cash flows that are SPPI compliant and for which Belfius has not elected the fair value option, are subsequently measured at amortised cost.

This category includes debt instruments with the objective of holding these debt instruments until maturity and generating a stable interest margin. When loans are sold to a securitization vehicle that is consolidated, this does not preclude their classification as hold to collect.

Sales are not an integral part of the “hold to collect contractual cash flows” business model but may be consistent with this business model if sales are close to maturity, sales are due to an increase in credit risk or sales are not significant (even if frequent) or infrequent (even if significant). Judgement should be applied to determine whether the sales are consistent with a “hold to collect contractual cash flows” business model.

Amortised cost is the amount at which the debt instruments are measured at initial recognition minus principal repayments, plus or minus the cumulative amortisation of any difference between that initial amount and the maturity amount using the effective interest method (cf. section 6.9. Interest income and expense), and adjusted for any impairment for expected credit losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss when they arise. Any gain or loss on derecognition is recognised in profit or loss.

6.2.3 Financial assets measured at fair value through other comprehensive income (FVTOCI)

This category includes debt instruments and investments in equity instruments.

Debt instruments measured at fair value through other comprehensive income

Debt instruments that are held within a business model whose objective is achieved by both collecting contractual cash flows and selling the debt instruments and whose contractual cash

flows are SPPI compliant, are subsequently measured at fair value through other comprehensive income on the condition that Belfius has not elected the conditional fair value option.

Debt instruments included in funds with dedicated assets (segregated funds) or for which flexibility is required to face potential surrenders of life insurance contracts, investment opportunities or kept to face potential liquidity needs are included in this category.

Movements in the carrying amount representing unrealised gains and losses arising from changes in the fair value are recognised in other comprehensive income under the line item XIX. “Gains and losses not recognised in the statement of income - Fair value changes of debt instruments measured at fair value through other comprehensive income”.

When the debt instrument is disposed of Belfius recycles the cumulative gain or loss previously recognised in other comprehensive income to the line item VI. “Net income on investments and liabilities” in the statement of income.

Interest revenue and impairment are recognised in profit or loss. Foreign exchange gains and losses on debt instruments measured at FVTOCI that are part of an effective currency risk designated hedging relationship are recognised in other comprehensive income; otherwise they are recognised in profit or loss. Interest income is recognised using the effective interest method similar to financial assets measured at amortised cost.

Investments in equity instruments measured at fair value through other comprehensive income

Are included in this category, equity instruments that meet the IAS 32 definition and that are neither held for trading nor representing contingent consideration recognised by an acquirer in a business combination, and for which Belfius at initial recognition irrevocably on an instrument-by-instrument basis has elected to measure them at fair value through other comprehensive income (FVTOCI).

Subsequent changes in fair value, foreign exchange gains and losses and realised gains and losses are presented in other comprehensive income under the line item XX. “Fair value changes of equity instruments measured at fair value through other comprehensive income”. On derecognition, the cumulative gains or losses previously recognised in other comprehensive income as mentioned above, are not subsequently reclassified to the statement of income but are transferred within equity to the line item XVII. “Reserves and retained earnings”.

Fair value measurement is required for all equity instruments, even if those instruments are not quoted in an active market. Acquisition cost as appropriate estimate of fair value is only admitted in limited circumstances (cf. section 6.7 Fair value of financial instruments).

Dividends are recognised in the statement of income when the right to receive payment of these dividends is established, it is probable that the economic benefits associated with the dividends will flow to Belfius and the amount of the dividends

can be measured reliably. If a dividend represents a return of investments, it will be accounted as a reduction of the acquisition cost.

6.2.4 Financial assets measured at fair value through profit or loss (FVTPL)

Financial assets subsequently measured at fair value through profit or loss consist of debt instruments and investments in equity instruments. Non hedging derivatives are treated in section 6.6.1. A Derivatives – Trading portfolio, including embedded derivatives.

Debt instruments held for trading

Debt instruments held for trading are intended to generate a profit from short-term fluctuations in price or dealer's margins or are included in a portfolio in which a pattern of short-term profit taking exists. Belfius initially recognises these instruments at their fair value and subsequently remeasures them at fair value, with unrealised and realised gains and losses recorded in the statement of income under the line item V. "Net income from financial instruments at fair value through profit or loss". Interest income and interest expense (negative yield) are accrued using the effective interest rate method and Belfius opted to record these under the line item I. "Interest income" and II. "Interest expense".

Debt instruments designated at fair value through profit or loss (referred to as fair value option)

In some cases and if appropriately documented, Belfius can at initial recognition irrevocably designate debt instruments that meet the business model hold to collect and/or hold to collect and sell criteria and that give rise to cash flows that are SPPI compliant at fair value through profit or loss in order to eliminate or significantly reduce an accounting mismatch.

The valuation rules as mentioned under paragraph "Debt instruments held for trading" apply to this category.

Debt instruments measured at fair value through profit or loss (non basic instruments)

This category includes debt instruments with contractual cash flows that are not SPPI compliant such as some structured loans as well as financial assets with a legal form of equity but, based on the substance of the contract, meet the definition of a debt instrument (such as open-end funds, shares with legal end date, real estate certificates).

The valuation rules as mentioned under paragraph "Debt instruments held for trading" apply to this category.

Investments in equity instruments measured at fair value through profit or loss

This category includes investments in equity instruments held for trading as well as non trading investments in equity instruments that at initial recognition were not irrevocably elected to be designated at fair value through other comprehensive income.

Gains and losses due to remeasurement to fair value (realised and unrealised) and foreign exchange gains and losses are

recognised in the statement of income under the line item V. "Net income from financial instruments at fair value through profit or loss".

Dividends are recognised in the statement of income under the line item III "Dividend income" unless the dividend clearly represents a recovery of part of the cost of the investment.

6.3. Classification and subsequent measurement of financial liabilities

6.3.1 Financial liabilities measured at amortised cost (AC)

These liabilities are subsequently measured at amortised cost and any difference between their amount made available and the amount due at maturity is recognised in the statement of income as interest expense or interest income. The accretion or amortisation of this difference is recognised over the remaining duration of the liabilities using the effective interest rate method.

6.3.2 Financial liabilities measured at fair value through profit or loss (FVTPL)

Financial liabilities are measured at fair value through profit or loss when, at initial recognition, the liability is either held for trading or at initial recognition irrevocably designated at fair value through profit or loss.

Financial liabilities held for trading

This section does not deal with trading derivatives that are described in paragraph 6.6.1 below.

Financial liabilities held for trading includes short positions in securities. These instruments are intended to generate a profit from short-term fluctuations in price or dealer's margins or are included in a portfolio in which a pattern of short-term profit taking exists. Belfius initially recognises these instruments at their fair value and subsequently remeasures them at fair value, with unrealised and realised gains and losses recorded in the statement of income under the line item "Net income from financial instruments at fair value through profit or loss".

Financial liabilities designated at fair value through profit or loss (FVTPL)

A financial liability other than a financial liability held for trading or contingent consideration that may be paid by an acquirer as part of a business combination may upon initial recognition be designated at fair value through profit or loss in the following circumstances:

- The use of designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise; or
- The financial liability forms part of a group of financial assets, financial liabilities or both that is managed and its performance is evaluated on a fair value basis, in accordance with a documented risk management or investment strategy, and information about the grouping is provided internally on that basis; or
- The financial liability contains one or more embedded derivatives and IFRS 9 permits the entire hybrid (combined) contract to be designated at FVTPL.

The valuation rules applicable for financial liabilities held for trading apply except for the recognition of own credit risk.

Changes in fair value attributable to own credit risk of a financial liability to which the fair value option is applied, are recognised in other comprehensive income under the line item XXI. "Fair value changes due to own credit risk on financial liabilities designated as at fair value through profit or loss to be presented in other comprehensive income", unless this recognition would create or enlarge an accounting mismatch in profit or loss. These amounts are not subsequently reclassified to profit or loss. Instead, they are transferred to the line item XVII. "Reserves and retained earnings" upon derecognition of the financial liability. The remaining amount of the change in fair value is recognised in profit or loss.

6.4. Derecognition and modification of financial assets and liabilities

Financial assets are derecognised when the contractual rights to the asset's cash flows expire or when substantially all the risks and rewards of ownership of the asset are transferred to another entity.

Regular way sales that meet the above derecognition criteria of financial assets are derecognised on settlement date, which is the date of delivery by Belfius. Financial liabilities are derecognised when they are extinguished (i.e. when the obligation specified in the contract is discharged, cancelled or expires).

If a substantial modification of a financial asset or a financial liability (including an exchange of debt instruments with substantially different terms) occurs and the contractual terms governing the cash flows are renegotiated, the financial asset or financial liability is derecognised. If a modification occurs and the existing contract is not derecognised, a modification gain or loss is recognised in the statement of income. This gain or loss is determined by recalculating the gross carrying amount of the existing financial instrument as the present value of the renegotiated or modified contractual cash flows, using the financial instrument's original effective interest rate (or the credit-adjusted effective interest rate for purchased or originated credit-impaired financial assets).

For modified financial assets that are not derecognised, an assessment is made to determine whether there has been a significant increase in the credit risk of the financial asset, by comparing the risk of a default occurring at the reporting date (based on the modified contractual terms) and the risk of a default occurring at initial recognition (based on the original, unmodified contractual terms). Depending on the outcome of the assessment, a change in loss allowance may be recorded (cf. section 6.5 on impairment of financial instruments).

6.5. Impairment of financial instruments

Impairment determination and calculation is governed by the Credit risk impairment guidelines of the Risk department and more details are available in the section "Risk management - IFRS 9 Impairment methodology" of the Management Report of the consolidated financial statements.

6.5.1 Determination of the impairment

Expected credit losses (ECL) associated with debt instruments carried at amortised cost and debt instruments measured at fair value through other comprehensive income (FVTOCI) are determined on a forward-looking basis. For lease receivables, Belfius has not opted to apply the simplified approach of recognising lifetime expected losses. Loan commitments and financial guarantees not measured at fair value through profit or loss are also subject to impairment and the loss allowance is recognised as a provision. No impairment losses are recognised on investments in equity instruments.

Loss allowances and provisions for 12-month expected credit losses are initially recognised on trade date for financial assets in scope of impairment (debt instruments, lease receivables and contract assets), loan commitments and financial guarantees not measured at fair value through profit or loss.

12-month expected credit losses relates to the portion of lifetime expected credit losses that represent the expected credit losses resulting from default events that are possible within the 12 months after the reporting date.

The default committee within the Risk department is competent to define the default status.

A transversal default definition is applied within the entire Belfius Group and on all market segments. However for a limited number of specific segments (for example sovereigns, banks, international corporates...) some deviation have been applied. The Belfius Default guideline provides in-depth description of indicators used to categorize an exposure in default.

With the exception of purchased or originated credit-impaired (POCI) financial assets, the amount of expected credit losses is measured through a loss allowance at an amount equal to either an 12-month ECL or a lifetime ECL. Lifetime ECL are the losses that result from all possible default events over the expected life of the financial asset.

At initial recognition, POCI assets do not carry a loss allowance for 12-month expected losses but lifetime expected credit losses are incorporated into the calculation of the effective interest rate. The amount recognised as a loss allowance for such assets is not the total amount of lifetime expected credit losses, but instead the change in lifetime expected credit losses since initial recognition of the financial asset, which may be a negative or positive amount.

Expected credit losses are a probability-weighted estimation of expected cash shortfalls discounted at the original effective interest rate of the financial asset or the credit-adjusted effective interest rate in case of POCI financial assets. Expected cash shortfall is the difference between the cash flows due under the contract and the cash flows expected to be received, taking into consideration the value of collateral and other credit enhancements.

The estimation of cash flows considers all contractual terms of the financial asset (such as prepayment, extension, call and similar options) through its expected life.

Impairment calculation is based on a two-fold building block approach:

- Block 1: determination of the appropriate stage per exposure;
- Block 2: calculation of the expected credit losses per exposure for stages 1, 2 and 3.

The following credit exposures are distinguished and all exposures are individually assessed:

- Performing credit exposures i.e. exposures for which there has not been a significant increase in credit risk since origination (stage 1);
- Under-performing credit exposures i.e. exposures for which there has been a significant increase in credit risk between the moment Belfius originated or purchased the financial asset and the reporting date (stage 2);
- Non-performing credit exposure i.e. exposures that become credit impaired (stage 3).

A change of the classification into stages can go in both directions.

Performing credit exposures – Classification Stage 1

All exposures not classified in stage 2 (significant increase of credit risk since origination) or stage 3 (occurrence of impairment) are by definition classified in stage 1. For these exposures, Belfius recognises at initial measurement a 12-month expected credit loss, i.e. the expected credit loss that results from those default events on the financial instrument that are possible within 12 months after the reporting date.

Under-performing credit exposures – Classification Stage 2

Exposures for which there has been a significant increase in credit risk between origination or purchase of the financial asset and reporting date are classified in stage 2.

A significant increase in credit risk for an individual exposure of a counterpart is based on the following quantitative and qualitative factors:

- A significant deterioration of the lifetime probability of default (lifetime PD) of the counterpart; and
- The fact that the customer to whom the individual exposure belongs is put by Belfius on its Watchlist, this is the list that identifies counterparties where problems might arise (or have arisen). There is however one exception: a new contract may be classified in Stage 1 if, when originating the contract, the customer already figures on the Watchlist and that since then there is no new significant increase in credit risk for this contract.

In two situations, there will be a mandatory classification on the Watchlist:

- If one or more credit products of the counterpart was accorded a “Forbearance flag”, forbearance being a new, additional concession or the prolongation of an existing concession;
- If an exposure is overdue for more than 30 days, unless one can clearly prove that it concerns an operational past due or that the overdue is not a sign of a significant increase of credit risk since initial recognition.

In assessing whether a significant deterioration of the lifetime PD occurred since origination, a comparison is made between lifetime PDs at the date of origination with lifetime PDs at reporting date. Details are available in the section “Risk management - IFRS 9 Impairment methodology” of the Management report of the consolidated financial statements.

Non-performing credit exposure - Classification at Stage 3

At each reporting date, the Default Committee assesses whether there is an objective evidence that a financial asset or a group of financial assets is impaired/defaulted. If affirmative, these financial assets are considered as credit-impaired and are transferred to Stage 3 and a lifetime expected loss is recognised.

The expected credit losses are measured as the difference between the asset's gross carrying amount and the present value of estimated future cash flows discounted at the financial asset's original effective interest rate. Any adjustment is recognised in profit or loss as an impairment gain or loss.

An impaired/defaulted status is attributed to debtors that satisfy either one or both of the following criteria:

- The debtor has material exposures which are more than 90 days past due;
- The debtor is assessed as unlikely to pay its credit obligations in full without realisation of collateral, regardless the existence of any past due amount or the number of days past due.

6.5.2 Accounting treatment of impairments Debt instruments carried at amortised cost and lease receivables

At each reporting date, changes in the amount of impairment losses are recognised in the statement of income under the line item XVI. “Impairment on financial instruments and provisions for credit commitments”. Impairment losses are reversed through the same line item of the statement of income. The impairment loss is recorded as a deduction of the gross carrying amount of the asset (allowance) in the statement of financial position.

Debt instruments measured at fair value through other comprehensive income (FVTOCI)

Debt instruments measured at fair value through other comprehensive income are governed by the same accounting principles in respect of impairment applicable to debt instruments measured at amortised cost.

However, the loss allowance shall be recognised in other comprehensive income as part of the revaluation amount in the line item XIX. "Fair value changes of debt instruments measured at fair value through other comprehensive income" and shall not reduce the carrying amount (i.e. fair value) of the financial asset in the statement of financial position.

Calculation and recognition of interest income

The underlying basis for calculating the effective interest depends on the status of the financial instrument:

- The gross carrying amount (amortised cost before deducting any expected loss allowances) for non-credit impaired financial assets (stage 1 and 2);
- The net carrying amount (gross carrying amount less expected loss allowances) for credit-impaired financial assets (stage 3).

Interest income for originated or purchased credit-impaired financial assets is recognised by applying the credit-adjusted effective interest rate to the amortised cost of the financial asset. Lifetime expected credit losses are incorporated in the credit-adjusted effective interest rate.

Write-offs

Debt instruments are written off when there are no reasonable expectations of recovering the debt instrument. Belfius only applies full write offs and exposures in stage 1 and 2 are always transferred to stage 3 before being written off.

A write-off constitutes a derecognition event and the stock of loss allowance is not reversed but used against the reduction of the gross carrying amount of the instrument written off. Any additional loss is reported in the statement of income in the line item XVI. "Impairment on financial instruments and provisions for credit commitments".

Loan commitments and financial guarantees not measured at fair value through profit or loss

Off-balance-sheet exposures such as credit substitutes (e.g. guarantees and standby letters of credit) and loan commitments are usually converted into on-balance-sheet items when called. However, these off-balance-sheet exposures are subject to 12-month or lifetime expected losses. The expected loss is recognised as a provision in the balance sheet and the date that Belfius becomes a party to the irrevocable commitment is considered as the date of initial recognition for applying the impairment requirements.

Loan commitments

At the end of each reporting period a provision based on 12-month expected losses calculated on the expected portion of the loan commitment to be drawn down within the next 12 months is recognised. In case of a significant increase in the risk of default of the underlying loan, lifetime expected credit losses are recognised on the expected portion to be drawn down over the remaining life of the loan commitment.

The expected credit loss is the present value of the difference between the contractual cash flows if the holder of the loan commitment draws down the loan and the cash flows that are expected to be received if the loan is drawn down. The remaining life of the loan commitment is the maximum contractual period during which there is an exposure to credit risk. In case of arrangements that include both a loan and an undrawn commitment component (such as credit cards), the period for estimating expected credit losses is beyond the contractual date on which repayment could be demanded but the period over which the lender is exposed to credit risk. In practice, the expected loss horizon is a minimum of 1 year and credit risk mitigations could be additional guarantees or reducing the loan commitment.

Financial guarantees

For financial guarantee contracts changes in the risk that the specified debtor will default on the contract are considered. At each reporting period, the amount of the loss allowance equals the 12-month expected credit loss unless there has been a significant increase in the risk of default, in which case the loss allowance is calculated for lifetime expected credit losses. Expected losses reflect the cash shortfalls equal to the difference between the expected payments to reimburse the holder for a credit loss that it incurs less any amounts that are expected to be received from the holder, the debtor or any other party.

6.6. Derivatives

6.6.1 Derivatives – Trading portfolio, including embedded derivatives

When a derivative is not designated in a hedge relationship, it is deemed to be held for trading and Belfius initially and subsequently measures all derivatives at the fair value obtained from quoted market prices, discounted cash-flow models or pricing models, as appropriate. All changes in fair value are recognised in the statement of income.

The interest results of derivatives for which there is an economic hedge relationship are recognised in interest income/interest expense.

Derivatives are reported as assets when their fair value is positive and as liabilities when their fair value is negative.

When a hybrid contract contains a host that is a financial asset in the scope of IFRS 9, the entire hybrid contract, including all embedded features, is assessed for classification. However, if the host contract is a financial liability, a lease receivable, an insurance contract or another non-financial host contract an assessment is made to determine whether the embedded feature requires separation and should be presented as a separate derivative in trading. This is the case when:

- Risks and characteristics of the embedded features are not closely related to those of the host contract;
- The hybrid contract is not carried at fair value with unrealised gains and losses reported in the statement of income and;
- A separate instrument with the same terms as the embedded feature would meet the definition of a derivative.

6.6.2 Derivatives – Hedging

As the development of the new macro hedge accounting model (cf. “Accounting for dynamic risk management activities”) is still in progress, the IASB provided all entities including those that engage in portfolio hedge accounting of interest rate risk with the following accounting policy options until the IASB Research project “Dynamic Risk Management” is completed.

- Option 1: Apply the new hedge accounting requirements of IFRS 9 and continue to use the IAS 39 model for interest-rate portfolio fair value hedging.
- Option 2: Continue to apply the existing (micro) hedge accounting requirements in IAS 39, including the IAS 39 interest-rate portfolio fair value hedge model.

In both cases, the use of the IAS 39 interest-rate portfolio hedging model is subject to expanded disclosure requirements.

Belfius has opted to continue to apply the existing (micro) hedge accounting requirements of IAS 39 and the “Carve out” conditions applicable to interest-rate portfolio hedging as endorsed by the European Commission.

Hedging derivatives are categorised as either:

- A hedge of the fair value of a recognised asset or liability or a firm commitment (fair value hedge) or a fair value hedge of the interest rate risk exposure of a portfolio (cf. section 6.6.3); or
- A hedge of a future cash flow attributable to a recognised asset or liability or a forecast transaction (cash-flow hedge).

Derivatives are designated as hedging instruments if certain criteria are met:

- Formal documentation of the hedging instrument, hedged item, hedging objective, strategy and relationship is available before hedge accounting is applied;
- The hedge is documented in such a way as to show that it is expected to be highly effective (within a range of 80% to 125%) in offsetting changes in the fair value or cash flows attributable to the hedged risk in the hedged position throughout the reporting period; and
- The hedge is effective at inception and on an ongoing basis.

Belfius records changes in the fair value of derivatives that are designated and qualify as fair value hedges in the statement of income, along with the corresponding change in fair value of the hedged assets or liabilities that is attributable to the specific hedged risk. If relevant, the interest accruals of the designated hedging instruments are recognised in line item I. “Interest income” or II. “Interest expense”.

If the hedge no longer meets the criteria for a fair value hedge or if the hedge is voluntarily discontinued, the adjustment to the carrying amount of a hedged interest-bearing financial instrument is amortised to the statement of income over the remaining life of the hedged position (or the hedging instrument if shorter) by an adjustment of the yield of the hedged item.

The effective part of the changes in the fair value of derivatives that are designated and qualify as cash-flow hedges, is recognised in “Other comprehensive income” under the item XXII. “Fair value changes of derivatives following cash flow hedging” (see “Consolidated statement of changes in shareholders’ equity”). The ineffective portion of the change in the fair value of the hedging instrument (if any) is recognised directly in the statement of income. The amount recognised in other comprehensive income should be the lower in absolute value of the cumulative gain or loss on the hedging instrument from the inception of the hedge, and the cumulative change in the fair value (present value) of the expected cash flows on the hedged item from the inception of the hedge.

Amounts deferred in equity are transferred to the statement of income in the periods during which the hedged item affects the statement of income.

6.6.3 Fair value hedge of the interest-rate risk exposure of a portfolio

As mentioned in section 1.1 General, Belfius makes use of the IAS 39 provisions for portfolio fair value hedges of interest rate risk as endorsed by the European Commission (cf. EU carve out) because it better reflects the way financial instruments are managed.

Awaiting the completion of the IASB Research project “Dynamic Risk Management”, Belfius continues to apply the current carved out provisions.

The hedging instruments are a portfolio of derivatives, which may contain offsetting positions. Belfius recognises the hedging items at fair value with any changes in fair value accounted for in the statement of income. The hedged items include financial assets and liabilities at amortised cost and debt instruments measured at FVTOCI.

The hedged interest-rate risk revaluation of elements carried at amortised cost is reported on the balance sheet under the line item VII. “Gain/loss on the hedged item in portfolio hedge of interest rate risk” whereas the hedged interest-rate risk revaluation of elements carried at FVTOCI is included in the line items II.B “Loans and advances due from credit institutions - Measured at fair value through other comprehensive income”, III.B. “Loans and advances - Measured at fair value through other comprehensive income”, and IV.B “Debt securities & equity instruments - Measured at fair value through other comprehensive income”.

6.7. Fair value of financial instruments

6.7.1 General principles

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Quoted market prices in an organised market (such as a recognised stock exchange) are to be used as fair value, as they are the best evidence of the fair value of a financial instrument. Quoted market prices are not available for all financial assets and liabilities held or issued by Belfius.

If a financial instrument is not traded on an active market, recourse is provided by valuation models. A valuation model reflects the transaction price on the measurement date in an arm's length exchange under normal business considerations, i.e. the price that would be received by the holder of the financial asset in an orderly transaction that is not a forced liquidation or forced sale or the price to transfer the liability.

The valuation model takes into account all factors that market participants consider when pricing the financial instrument. Measuring the fair value of a financial instrument requires consideration of current market conditions. To the extent that observable inputs are available, they are incorporated into the model.

Only in very exceptional circumstances (i.e. where no relevant information is available about the performance and operations of the investee) cost will be used for the fair value valuation of investments in unquoted equity instruments.

6.7.2 Specific rules

The specific rules and approaches used for the determination of fair value of financial instruments are summarised in note 9.1. "Fair value".

6.8. Sale and repurchase agreements and lending of securities

Securities sold subject to a linked repurchase agreement ("repos") are not derecognised and remain on the balance sheet. The corresponding liability is recorded under the line items II.A "Credit institutions borrowings and deposits - Measured at amortised cost" or III.A "Borrowings and deposits - Measured at amortised cost", as appropriate. The asset is included as "pledged" in the supporting notes to the financial statements.

Securities purchased under agreements to resell ("reverse repos") are recorded as off-balance-sheet items and the corresponding loans are recorded in line items II.A "Loans and advances due from credit institutions - Measured at amortised cost" or III.A "Loans and advances - Measured at amortised cost".

The difference between the sale and repurchase price is treated as interest income or expense and is accrued over the life of the agreements using the effective interest rate method.

Securities lent to counterparties are not derecognised. Securities borrowed are not recognised in the balance sheet. Fees related to securities lending and borrowing are recorded within the line items VII. "Fee and commission income" and VIII. "Fee and commission expense".

6.9. Interest income and expense

Interest income and expense are recognised on an accrual basis in the statement of income for all interest bearing instruments using the effective interest rate method (transaction costs included). Transaction costs for financial assets and liabilities measured at fair value through profit or loss are recognised immediately in profit or loss.

Negative interests on these instruments are presented as a separate item within interest expense (interest expense on financial assets) or within interest income (interest income on financial liabilities). Accrued interest is reported in the balance sheet in the same line item as the related financial asset or liability.

The following fees are an integral part of the effective interest rate of a financial instrument with a defined duration:

- Origination fees received relating to the creation or acquisition of a financial asset;
- Commitment fees received to originate a loan when the loan commitment is not measured at fair value through profit or loss and it is probable that Belfius will enter into a specific lending arrangement. If the commitment expires without granting the loan, the fee is recognised as revenue on expiry;
- Origination fees paid on issuing financial liabilities measured at amortised cost.

The underlying basis for calculating the effective interest depends on the status of the financial instrument:

- The gross carrying amount (amortised cost before deducting any expected loss allowances) for non-credit impaired financial assets (stage 1 and 2) or the amortised cost for financial liabilities;
- The net carrying amount (gross carrying amount less expected loss allowances) for credit-impaired financial assets (stage 3).

Interest income for originated or purchased credit-impaired financial assets is recognised by applying the credit-adjusted effective interest rate to the amortised cost of the financial asset. Lifetime expected credit losses are incorporated in the credit-adjusted effective interest rate.

Interest results of trading derivatives are recognised in the line item V. "Net income from financial instruments at fair value through profit or loss", whereas interest results on all other derivatives are recognised in the line items I. "Interest income" or II. "Interest expense". For interest bearing held for trading bonds, Belfius opted to record interest results under the line item I. "Interest income" and II. "Interest expense".

7. Fee and commission income and expense

According to IFRS 15 "Revenue from Contracts with Customers" revenue is recognised to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which Belfius expects to be entitled in exchange for those goods or services. This is applied on an individual contract basis, but a portfolio approach is permitted if the impact on the financial statements will not be materially different from application on an individual contract basis.

Revenue recognition is governed by the following five step model:

- Identification of the contract;
- Identification of separate performance obligations;
- Determination of the transaction price;

- Allocation of the transaction price to performance obligations; and
- Recognition of revenue as of when each performance obligation is satisfied.

A performance obligation is satisfied when the bank transfers control of the services underlying the performance obligation to the customer. Revenue can be recognised either “over time” based upon performance completed to date, milestones reached, recurring services or “at a point in time” when the bank transfers control of the asset to the customer.

For contracts for which Belfius is acting as agent, revenue will be recognised as a net amount of consideration instead of gross amounts of relevant revenue and expenses.

Fees that are not an integral part of the effective interest rate of a financial instrument are accounted for in accordance with IFRS 15. They include:

- Fees charged for servicing a loan;
- Commitment fees to originate a loan when the loan commitment is not measured at fair value through profit or loss and it is unlikely that a specific lending arrangement will be entered into; and
- Loan syndication fees received by the bank for arranging a loan and retaining no part of the loan package for itself (or retaining a part at the same effective interest rate for comparable risk as other participants).

8. Insurance and reinsurance activities

8.1. Classification

Belfius Insurance operates in both Life and Non-Life insurance activities.

IFRS 4 (Phase 1) “Insurance contracts” is applied to all insurance contracts where the insurer accepts a significant insurance risk by agreeing to indemnify the policyholder in the event of a well-defined and uncertain occurrence in the future (the insured event). Reinsurance policies that comply with this definition also come under this field of application. In addition, IFRS 4 is also applicable to financial instruments with a discretionary participation feature.

A contract that exposes the issuer to financial risk without significant insurance risk is not an insurance contract and is accounted for as a financial instrument under IFRS 9.

If a contract contains a deposit component (i.e. a contractual component that would be within the scope of IFRS 9 if it were a separate instrument), the deposit component is unbundled and deposit accounting is applicable.

The rules for deposit accounting apply to financial instruments without discretionary profit sharing and to the deposit component of unit-linked (branch 23 type) insurance contracts. This means that the deposit component and the insurance component are valued and presented separately. In this case IFRS 9 and not IFRS 4 is applicable for the valuation and presentation of

the deposit component. With deposit accounting, the related premiums and the resulting entry of the obligation are not recorded in the statement of income. The obligations themselves are not recorded in the technical provisions, but under financial liabilities. Associated management charges and commission fees are entered immediately in the statement of income. Payments made are not entered in the statement of income, but result in a reduction of the obligation. For unit-linked (branch 23) contracts, the deposit component and the corresponding investments are valued at their fair value, with variations in the statement of income. The fair value is determined by the number of units, multiplied by the value of the unit that is based on the fair value of the underlying investments.

Group insurance cover for Belfius staff is not within the scope of IFRS 4, but instead is dealt with under the valuation rules for pension schemes.

8.2. Valuation

8.2.1 General

IFRS 4 exempts an insurer from applying the specific criteria to use in developing an accounting policy if no specific IFRS applies, but allows an insurer to continue using its accounting policies prior to IFRS. However, IFRS 4 imposes some limits on this exception:

- No provision may be made for equalisation and disaster;
- A liability adequacy test should be performed;
- An insurance liability shall be removed when, and only when, it is extinguished;
- Reinsurance contracts shall not be offset against related direct insurance contracts; and
- Reinsurance assets should be considered for impairment.

Provision for unearned premiums

The provision for unearned premiums corresponds to the part of the premiums gross of reinsurance but after deduction of the acquisition costs that has to be allocated to a subsequent reporting period to cover the unexpired risk. The change in the provision for unearned premiums is recognised in the statement of income as revenue over the contract period.

The provision for unearned premiums is calculated pro rata temporis for each agreement separately, based on the net premium. For accepted reinsurance, the reserves are recorded based on data passed on by the ceding companies.

Provisions for claims to be paid

The amount of the provision for claims to be paid in the non-life direct business equals the amount owed to beneficiaries, plus the management charges for the claims.

For the reported claims, the provision for the claims to be paid in non-life direct business is calculated on a case-by-case basis, including future settlement costs or as a separate provision for a group of claims. When a claim is settled in the form of annuity payments, the amount that needs to be reserved is calculated based on actuarial methods. For claims “incurred but not (enough) reported” (IBN(E)R) on reporting date, a provision is determined

based on past experience regarding the number and amount of claims reported after the reporting date. Account is also taken of exceptional events and additional provisions are also booked on the basis of statutory requirements, such as for workers' compensation.

Provisions for life insurance

The provision for life insurance is calculated taking account of the statutory requirements and terms regarding the life insurance business. As such, the following apply:

- Valuation using the prospective method: prospective reserving subtracts the actuarial present value of future premiums from the actuarial present value of the future insurance benefits. The calculation is based on the technical terms of the policies. This method is applied to contracts with a guaranteed return on future premiums.
- Valuation using the retrospective method: retrospective reserving subtracts accumulated value of (past) benefits from accumulated value of (past) premium. The calculation is based on the technical terms of the policies, without taking future premiums into account. This method is applied to contracts without a guaranteed return on future premiums.

For accepted reinsurance, a provision is booked separately for each agreement based on the information provided by the ceding party.

As a supplement to the rules set out above, an additional provision is booked for the low interest rate risk and other factors that have an important impact on the adequacy of the technical provisions.

Provision for (discretionary) profit sharing

A discretionary participation feature ("DPF") is a contractual right to receive additional benefits, on top of guaranteed benefits, whose amount or timing is contractually at the discretion of the insurer, also called "profit sharing". Belfius Insurance records a deferred profit sharing for the amount of the expected profit sharing to be shared with policyholders.

The amount of deferred profit sharing is reduced by the actual allocation to individual policyholders after the approval of the insurance company's annual ordinary shareholders meeting.

The deferred profit sharing related to unrealized capital gains or losses on allocated investments is recognised in the revaluation reserve in other comprehensive income (equity). Upon realization of the allocated investments, the part of the deferred profit sharing related to these realized capital gains or losses is adjusted and recorded in the insurance technical provisions.

Reinsurance activities

For accepted reinsurance, a provision is booked separately for each agreement based on the information provided by the ceding party.

For ceded reinsurance, the part of the reinsurer in the technical reserves is recorded as an asset in accordance with the relevant clauses of the reinsurance contract.

A specific reduction in value is applied to the reinsurance assets if:

- there is objective evidence, resulting from an event that occurred after the initial recognition of the reinsurance assets, that the ceding party will not recover all amounts due. Account is taken of the rating and solvency of the reinsurer; and
- the amounts are reliably measurable.

We refer to the rules related to specific impairment.

8.2.2 Liability Adequacy Test – LAT

At the end of each reporting period, Belfius Insurance conducts liability adequacy tests on its technical provisions. If these additional tests indicate that the book value of the technical provisions is insufficient compared to the current value of the estimated future cash flows, an additional technical provision is recorded for this shortfall through the statement of income. These tests are assessed separately for technical provisions Life and technical provisions Non-Life.

For life insurance, an estimate is made of the expected cash flows of contracts, taking into account the assumptions that are also used for other modelling purposes. The present value of these expected cash flows is determined using a discount curve according to the EIOPA methodology including a volatility adjustment calibrated on Belfius Insurance's investment portfolio.

The Liability Adequacy Test takes into consideration the unrealized gains on the investment portfolio allocated to the Life business.

If the calculated value is higher than the provision for Life insurance, the difference is taken through the statement of income.

For Non-Life insurance, the liability adequacy test verifies whether the provision for unearned premiums and the provision for claims are sufficient to make a full settlement of the incurred claims and all claims expected to occur within the ongoing insurance coverage period.

8.2.3 Shadow accounting

If the realisation of unrealised profits from financial assets measured at FVTOCI recorded under other comprehensive income has an immediate effect on the valuation of the technical provisions, shadow accounting offers a solution through the partial transfer of unrealised investment results from other comprehensive income to technical provisions.

First and foremost, Belfius Insurance applies shadow accounting if the statutory or contractual conditions in the insurance policies state that the realisation of recorded but unrealised profits on clearly defined assets belonging to the insurer has a direct effect on the valuation of the corresponding insurance contracts and investment contracts with DPF. This application occurs mainly in insurance policies managed through funds with dedicated assets.

Belfius Insurance has also decided to recognize a “shadow loss” for the difference between the value of the Life insurance obligations based on the LAT methodology described above on the one hand and the provisions for Life insurance on the other hand. This amount is limited to the unrealised gains recognised in other comprehensive income for financial assets available for sale covering Life insurances.

9. Network costs

Network costs consist of commissions paid to Belfius Bank independent branches and are based on outstanding volumes and production figures. Commissions for the production of interest-bearing financial assets and financial liabilities are included in interest income and expense using the effective interest-rate method.

10. Tangible fixed assets

Tangible fixed assets include property, equipment and investment properties.

All property and equipment are stated at cost less accumulated depreciation and impairments. Subsequent costs are included in the carrying amount of the asset or recognised as a separate component, if it is probable that future economic benefits will flow to Belfius and the cost of the asset can be reliably measured.

Depreciation is calculated using the straight-line method to write down the cost of such assets to their residual values over their estimated useful lives.

The estimated useful lives are:

- buildings (including acquisition costs and non-deductible taxes): 20 to 50 years;
- computer equipment: 1 to 6 years;
- leasehold improvements, equipment and furniture: 2 to 12 years;
- vehicles: 2 to 5 years.

An item of property and equipment can be composed of significant parts with individually varying useful lives. In such a case, each part is depreciated separately over its estimated useful life. The following parts have been defined for the head offices used starting 2006:

- structure of the building: 50 years;
- roof and frontage: 30 years;
- technical installations: 10 to 20 years;
- fixtures and fittings: 10 to 20 years.

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset form part of the cost of that asset and are capitalised.

Tangible fixed assets are tested for impairment when an indication of impairment loss exists. If the carrying amount of an asset is greater than its estimated recoverable amount, it is written down to its recoverable amount. The recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs

of disposal and its value in use. Where the recoverable amount of an asset cannot be determined individually, Belfius determines the recoverable amount of the cash-generating unit or group of cash-generating units to which the asset belongs.

After the recognition of an impairment loss, the depreciation charge for the asset shall be adjusted in future periods to allocate the asset's revised carrying amount, less its residual value (if any) on a systematic basis over its remaining useful life.

Gains and losses on disposals of property and equipment are included under the item VI. “Net income on investments and liabilities”.

Investment properties are those properties held to earn rentals or for capital appreciation. Belfius may also partly use such properties. If the “own use” portions can be sold separately or leased out separately under finance lease, then these portions are accounted for separately. If the “own use” portions cannot be sold separately, the property will be considered as an investment property only if Belfius holds an insignificant portion for its own use.

Investment properties are recorded at cost less accumulated depreciation and impairments. The investment properties are depreciated over their useful lives on a straight-line basis. Depreciation on buildings and other assets given in operating lease are booked under in the line item XI. “Other expenses”. Belfius shall transfer a property to or from investment property when there is evidence of a change in use.

11. Intangible assets

An intangible asset is recognised if, and only if, it is probable that the expected future economic benefits that are attributable to the asset will flow to Belfius (by using reasonable and supportable assumptions) and the cost of the asset can be measured reliably.

Within Belfius intangible assets consist mainly of:

- (a) internal development expenditures; and
- (b) acquired software.

The costs associated with maintaining computer software programmes are recognised as expense as incurred. However, expenditure that enhances or extends the benefits of computer software programmes beyond one year is added to the original cost of the software. Internal development costs recognised as assets are amortised using the straight-line method over their useful lives from the time the developed item is available for use.

An acquired customer portfolio is amortised using the straight-line method over the expected life of the portfolio taking into account the expected loss of customers in the acquired portfolio.

As borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset form part of the cost of that asset, they are capitalised. Other borrowing costs are recognised as an expense.

Intangible assets (other than goodwill) are tested for impairment when an indication of impairment loss exists. If the carrying amount of an asset is greater than its estimated recoverable amount, it is written down to its recoverable amount. The recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use. Where the recoverable amount of an asset cannot be determined individually, Belfius determines the recoverable amount of the cash-generating unit or group of cash-generating units to which the asset belongs.

After the recognition of an impairment loss, the depreciation charge for the asset shall be adjusted in future periods to allocate the asset's revised carrying amount, less its residual value (if any) on a systematic basis over its remaining useful life. Gains and losses on disposals of intangible assets are determined by reference to their carrying amount and are included in line item VI. "Net income on investments and liabilities".

12. Goodwill

12.1 Measurement of goodwill

Goodwill is an asset representing the future economic benefits arising from other assets acquired in a business combination that are not individually identified and separately recognised.

It is measured as the difference between:

- The sum of the following elements:
 - consideration transferred;
 - amount of any non-controlling interests in the acquiree;
 - fair value of the acquirer's previously held equity interest in the acquiree (if any).
- Minus the fair value determined at acquisition date of the identifiable assets acquired and the liabilities assumed.

If, after reassessment, this difference is negative ("badwill"), it is recognised immediately in profit or loss as a bargain purchase gain.

12.2 Impairment of goodwill

The carrying amount of goodwill is reviewed at year-end. For the purpose of this impairment testing, Belfius allocates goodwill to cash-generating units (CGUs) or groups of such units.

When circumstances or events indicate that there may be uncertainty about the carrying amount, goodwill is written down for impairment when the recoverable amount of the CGU or group of CGUs to which it has been allocated is lower than the carrying value.

The recoverable amount is the higher of the fair value less cost to sell or the value in use. The "value in use" is the sum of the future cash flows that are expected to be derived from a CGU. Expected cash flows used by Belfius are those of the financial budget approved by management.

The calculation of the "value in use" shall also reflect the time value of money (current risk-free rate of interest) corrected for the price for bearing the uncertainty inherent in the asset. This is reflected in the discount rate.

13. Other assets

Other assets mainly include accrued income (other than interest prorata), prepayments, operational taxes and other accounts receivable. They also include assets from insurance contracts (reinsurance, insurance premiums receivables, etc.), construction contracts, inventories and plan assets relating to employee benefit obligations.

14. Non-current assets (disposal group) held for sale and discontinued operations

If the carrying amount of a non-current asset (or disposal group) is recovered principally through a sale transaction rather than through continuing use, it will be classified as "held for sale".

Belfius measures a non-current asset (or disposal group) classified as held for sale at the lower of its carrying amount and its fair value less costs to sell. Non-current assets (or disposal groups) classified as held for sale are presented separately in the balance sheet, without restatement for previous periods. These assets are no longer depreciated once they qualify as assets (or disposal groups) held for sale.

A discontinued operation is defined as a component of an entity that either has been disposed of or is classified as held for sale and represents a separate major line of business or geographical area of operations. Post-tax profit or loss of discontinued operations is presented under a separate line in the statement of income.

15. Leases

Belfius applied lease accounting in accordance with IAS 17 "Leases" until 31 December 2018.

15.1 Belfius is the lessee

Belfius enters into leases principally for the rental of equipment or real estate.

Belfius as a lessee recognises leases as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use. Assets and liabilities arising from a lease are initially measured on a present value basis.

Lease liabilities include the net present value of the following lease payments:

- fixed payments (including in-substance fixed payments), less any lease incentives receivable;
- variable lease payments that are based on an index or a rate;
- amounts expected to be payable by the lessee under residual value guarantees;
- the exercise price of a purchase option if the lessee is reasonably certain to exercise that option; and
- payments of penalties for terminating the lease, if the lease term reflects the lessee exercising that option.

The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the lessee shall use the lessee's incremental borrowing rate.

Lease liabilities are not presented separately, but are included within the line item IV.A "Debt securities issued and other financial liabilities - Measured at amortised cost" in the statement of financial position.

Each lease payment is allocated between the liability and finance cost. The finance cost is charged to profit or loss over the lease period on the remaining balance of the liability for each period.

Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of lease liability;
- any lease payments made at or before the commencement date less any lease incentives received;
- any initial direct costs; and
- restoration costs.

The right-of-use assets are depreciated on a straight-line basis over the shorter of the asset's useful life and the lease term.

The right-of-use assets are included within the same line item IX. "Tangible fixed assets" as that within which the corresponding underlying assets would be presented if they were owned.

Payments associated with short-term leases and leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss.

15.2 Belfius is the lessor

Belfius grants both operating and finance leases.

Revenue from operating leases is recognised in the statement of income on a straight-line basis over the lease term. The underlying asset is accounted for in accordance with the accounting policies applicable to this type of asset.

For finance leases, Belfius recognises "leases receivable" at an amount equal to the net investment in the lease, which can be different from the present value of minimum lease payments.

The interest rate implicit in the lease contract is the discount rate. Interest income is recognised over the term of the lease using the interest rate implicit in the lease.

16. Income taxes

If Belfius concludes that it is not probable that the taxation authority will accept a tax uncertainty for current and deferred taxes, Belfius reflects the effect of the uncertainty in determining the related taxable profit (or loss) or tax base.

16.1 Current tax

Current tax for current and prior periods shall, to the extent unpaid, be recognised as a liability. If the amount already paid in respect of current and prior periods exceeds the amount due for those periods, the excess shall be recognised as an asset. Income tax consequences of dividends are recognised in profit or loss, other comprehensive income or equity according to where the past transactions or events that generated the distributable profit were recognised.

16.2 Deferred tax

Deferred tax is recognised in full, using the balance sheet method, on temporary differences between the tax bases of assets and liabilities and their carrying amounts in the financial statements.

Deferred taxes are measured at tax rates that are expected to apply to the period when the asset is realised or the liability settled, based on tax rates (and tax laws) that have been enacted or substantively enacted.

Deferred tax assets and liabilities are not discounted. Deferred tax assets on deductible temporary differences and tax loss carry-forwards are recognised to the extent that it is probable that future taxable profit will be available against which the temporary differences and tax losses can be utilised.

A deferred tax liability is recognised on taxable temporary differences arising from investments in subsidiaries, associates and joint ventures, to the extent that Belfius is able to control the timing of the reversal of the temporary difference and it is probable that the difference will not reverse in the foreseeable future.

Deferred tax related to the fair value re-measurement of assets measured at fair value through other comprehensive income and cash flow hedges, and other transactions recorded directly in equity, are also credited or charged directly to equity.

17. Employee benefits

17.1 Short-term benefits

Short-term benefits are expected to be wholly settled within twelve months after the end of the annual reporting period in which the employee renders service. These are measured on an undiscounted basis and recognised as an expense.

17.2 Post-employment benefits

Post-employment benefits include retirement benefits (annuity or lump sum payments on retirement) and other post-employment benefits such as medical care granted after the completion of the employment.

17.2.1 Defined benefit plans

Employee benefit obligations are measured at the present value of the estimated future cash outflows based on interest rates determined by reference to market yields on high quality corporate bonds that have terms to maturity approximating to the terms of the related liability. When there is no deep market in such bonds, the market yields on government bonds shall be used. The valuation technique for the assessment of pension expenses incorporates actuarial assumptions comprising both demographic assumptions and financial assumptions such as the inflation rate, salary increase.

The amount recognised in the balance sheet for the defined benefit plan is the difference between the present value of the defined benefit obligation (using the Projected Unit Credit Method) and the fair value of any plan assets. This amount may be presented as a liability or an asset.

In case of a net asset, the amount recognised is limited to the asset ceiling, which is the present value of any economic benefits available for Belfius in the form of refunds from the plan or reductions in future contributions to the plan.

Remeasurements of the net defined benefit liability (asset) are recognised in other comprehensive income and are never reclassified to profit or loss. Remeasurements arise from the effect of changes in demographic and financial assumptions, from experience adjustments, the return on plan assets and any change in the effect of the asset ceiling.

17.2.2 Defined contribution plans

The contributions of Belfius related to defined contribution plans are charged to the statement of income in the year to which they relate.

Due to the legal minimum guaranteed rate of return imposed by the Belgian State, Belgian contribution plans are considered as defined benefit plans under IAS 19 and presented as such.

Given the change in legislation at the end of 2015 (i.e. the minimum guaranteed returns on employer and employee contributions decreased respectively from 3,25% and 3.75% to 1.75%), the valuation of the obligation of the Belgian defined contribution plans is based on the defined benefit methodology i.e. the Projected Unit Credit Method.

17.3 Other long-term benefits

A benefit is classified as other long-term employee benefits when the payment is not expected to be wholly settled before twelve months after the end of the annual closing period in which the employee renders service. These mainly include provisions for jubilee premiums and bonuses that employees receive after completion of specified periods of service.

Due to the smaller degree of uncertainty compared with post-employment benefits, a simplified method based on actuarial calculations is required to recognise and measure jubilees and other long-term benefits. A provision is set up for the estimated liability as a result of services rendered by employees up to the balance-sheet date and remeasurements are recognised in the statement of income.

17.4 Termination benefits

Termination benefits result either from a decision of Belfius to terminate the employment before the normal date of retirement or an employee's decision to accept redundancy payments from Belfius for termination of employment. Any benefit that requires future service is not a termination benefit.

A termination benefit provision is recognised at the earlier of when related restructuring costs are recognised and when Belfius can no longer withdraw the offer of those benefits.

18. Provisions and contingent liabilities

Provisions are mainly recognised for litigation claims, restructuring and loan commitments. Provisions are measured at the present value of the best estimate of expenditures required to settle the obligation. The discount rate is the pre-tax rate that reflects current market assessments of the time value of money.

Provisions are recognised when:

- Belfius has a present legal or constructive obligation as a result of past events;
- it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and
- a reliable estimate of the amount of the obligation can be made.

Provisions on loan commitments and financial guarantees not measured at fair value are recognised when there is uncertainty about the creditworthiness of the counterparty. Please refer to impairment section 6.5.

Unless the possibility of an outflow of resources embodying economic benefits is remote, a contingent liability is disclosed. A contingent liability is continually assessed to determine whether an outflow of resources embodying economic benefits has become probable. If it becomes probable that an outflow of future economic benefits will be required for an item previously dealt with as a contingent liability, a provision is recognised in the period in which the change in probability occurs (except in the extremely rare circumstances where no reliable estimate can be made).

19. Levies

Levies are outflows of resources embodying economic benefits imposed by governments on entities as identified by the legislation (i.e. laws and/or regulations) other than income taxes, fines or other penalties imposed for breaches of the legislation.

Belfius recognises a liability when the obligating event occurs. All levies are taken upfront in full (no accrual accounting permitted) in the line item XI. "Other expenses" and the related amounts due are booked in line item XII. "Other liabilities".

20. Share capital

Belfius recognises its dividends on its ordinary shares as a liability from the date on which they are declared. Any dividends for the year declared post-balance-sheet date are disclosed in the subsequent events note.

21. Fiduciary activities

Assets and related income that are held by Belfius, together with related undertakings to return such assets to customers, are excluded from the financial statements if Belfius acts in a fiduciary capacity such as a nominee, trustee or agent.

22. Government grants

Government grants are assistance by government in the form of transfers of resources, other than credit lending stimulation instruments, to an entity in return for past or future compliance with certain conditions relating to the operating activities of the entity. They are not recognised until there is reasonable assurance that the entity will comply with the attached conditions and that the grant will be received. Government refers to government, government agencies and similar bodies such as community institutions.

The benefit of a government loan at a below market rate of interest is recognised in profit or loss on a systematic basis considering the conditions and obligations that have been met, or must be, met when identifying the costs for which the grants are intended.

Abbreviations used

AC	Amortized cost
CFH	Cash flow hedge
ECL	Expected credit loss
FVO	Fair value option
FVTOCI	Fair value through other comprehensive income
FVTPL	Fair value through profit or loss
OCI	Other comprehensive income
SPPI	Solely payments of principal and interest

IV. Operating segments reporting

(Some amounts may not add up due to roundings)

Analytically, Belfius splits its activities and accounts in three segments: Retail and Commercial (RC), Public and Corporate (PC) and Group Center (GC); with RC and PC containing the key commercial activities of Belfius.

→ **Retail and Commercial (RC)**, managing the commercial relationships with individual customers and with small & medium sized enterprises both at bank and insurance level.

→ **Public and Corporate (PC)**, managing the commercial relationships with public sector, social sector and corporate clients both at bank and insurance level.

→ **Group Center (GC)**, containing the residual results not allocated to the two commercial segments. This mainly consists of results from Bond and Derivative portfolio management.

1. Balance sheet

(In thousands of EUR)	31/12/18 PF ⁽¹⁾		
	Assets	Liabilities	Equity
Retail and Commercial	58,784,532	80,082,093	2,605,197
Public and Corporate	42,429,521	25,250,888	2,407,693
Group Center	62,951,097	48,872,547	4,946,734
TOTAL	164,165,151	154,205,529	9,959,623
of which banking group ⁽¹⁾	146,355,548	136,849,131	9,506,418
of which insurance group ⁽¹⁾	17,809,603	17,356,398	453,205

(1) Note that the assets, liabilities and equity represent the contribution of the Belfius Insurance and Belfius Bank group to the consolidated balance sheet.

The assets and liabilities allocated to Retail and Commercial (RC) and Public and Corporate (PC) reflect the commercial activities of those business lines. Where RC shows an excess of funding, PC is more asset driven. As a whole, the commercial balance sheet shows a funding excess with a sound 94% loan to deposit ratio at the end of December 2019.

Note that there are no internal sales or purchases between segments, these assets and liabilities within a segment are those generated and originated by the business lines.

The equity allocated to Retail and Commercial (RC) and Public and Corporate (PC) is a normative regulatory equity. The normative regulatory equity of the business line is calibrated. The

business line's CET 1 ratio is brought at 13.5% taking into account the regulatory risk exposures allocated to the business line and some CET 1 capital deductions allocated to the business line (to a very limited extent, since the most important part of CET 1 capital deductions are allocated to GC). The target 2019 was determined by the minimum CET 1 ratio of 10.82% together with a stress buffer of 2.68%.

Please note that the capital allocation for the insurance activities is based on the Danish Compromise, allocated to each business line in proportion to its contribution to Belfius Insurance Solvency II SCR requirements. Any non allocated capital is reported in Group Center.

(In thousands of EUR)	31/12/19		
	Assets	Liabilities	Equity
Retail and Commercial	63,317,187	84,343,343	2,818,659
Public and Corporate	43,425,604	25,707,680	2,676,038
Group Center	65,696,673	51,882,442	5,011,303
TOTAL	172,439,465	161,933,465	10,506,000
of which banking group ⁽¹⁾	154,214,724	144,514,599	9,700,126
of which insurance group ⁽¹⁾	18,224,740	17,418,866	805,875

(1) Note that the assets, liabilities and equity represent the contribution of the Belfius Insurance and Belfius Bank group to the consolidated balance sheet.

Following the strong growth of the mortgage and business loans the assets of Retail and Commercial have increased compared to end 2018. Similarly an increase can be noted on the liability side following the increase of the sight and saving deposits.

At Public and Corporate, an increase in loan production can be noted in corporate, while the funding remained more stable.

The assets of Group Center increased following the evolution of the fair value of the derivatives due to the low interest rate environment.

2. Statement of income

A. Segmentation by business line

	31/12/18			
(In thousands of EUR)	Retail and Commercial	Public and Corporate	Group Center	Total
INCOME	1,650,083	533,341	177,765	2,361,189
Net interest income bank	844,618	406,597	196,345	1,447,560
Net Fee and commissions bank	488,285	47,365	1,054	536,704
Life insurance contribution	230,526	53,296	(394)	283,427
Non-life insurance contribution	189,814	8,678	21	198,514
Other	(103,161)	17,405	(19,261)	(105,017)
EXPENSES	(1,047,383)	(233,919)	(144,490)	(1,425,792)
GROSS INCOME	602,700	299,421	33,275	935,397
Impairments on financial instruments and provisions for credit commitments	(53,831)	(24,230)	11,663	(66,397)
Impairments on tangible and intangible assets	(896)	(1,228)	0	(2,124)
NET INCOME BEFORE TAX	547,974	273,964	44,938	866,876
Total tax (expense) income	(139,389)	(66,192)	(11,306)	(216,886)
NET INCOME AFTER TAX	408,585	207,772	33,633	649,990
Attributable to non-controlling interests	408	1	553	962
Attributable to equity holders of the parent	408,177	207,771	33,080	649,028

	31/12/19			
(In thousands of EUR)	Retail and Commercial	Public and Corporate	Group Center	Total
INCOME	1,731,081	550,426	207,079	2,488,587
Net interest income bank	855,012	436,047	196,964	1,488,023
Net Fee and commissions bank	516,869	48,043	(1,813)	563,099
Life insurance contribution	248,375	47,798	(1,645)	294,528
Non-life insurance contribution	200,357	(1,310)	0	199,047
Other	(89,532)	19,848	13,574	(56,110)
EXPENSES	(1,056,648)	(228,346)	(167,385)	(1,452,379)
GROSS INCOME	674,433	322,081	39,694	1,036,208
Impairments on financial instruments and provisions for credit commitments	(36,841)	(77,229)	2,632	(111,438)
Impairments on tangible and intangible assets	(7,511)	750	0	(6,761)
NET INCOME BEFORE TAX	630,082	245,602	42,327	918,010
Total tax (expense) income	(168,613)	(66,884)	(16,411)	(251,907)
NET INCOME AFTER TAX	461,469	178,718	25,916	666,103
Attributable to non-controlling interests	(2,582)	(1)	1,188	(1,395)
Attributable to equity holders of the parent	464,051	178,717	24,728	667,495

Retail and Commercial net income increased from EUR 408 million in 2018 to EUR 464 million in 2019. The net interest income of the bank increased slightly mainly thanks to the strong loan volume growth at increasing margins, partially compensated by margin pressure on non-maturing deposits. Net fees and commissions increased strongly: fees from payment products went up mainly thanks to higher volumes, as well as fees on insurance products sold through bancassurance channels and fees from savings & investments following higher entry and management fees (in bps). Insurance contribution increased as a result of

- excellent Life income supported by sustained financial margin; and
- excellent non-life results in all three distribution channels.

Note that the expenses increased mainly stemming from increasing IT depreciation following further investments digitalization, IT and new business activities, combined with a strict cost control in other domains.

Public and Corporate net income decreased from EUR 208 million in 2018 to EUR 179 million in 2019. The net interest income increased thanks to continued pricing discipline and higher loan volumes especially in the Corporate segment. The expenses decreased at Belfius Insurance, in line with the run-off strategy in Public and Corporate Insurance. In 2019, the cost of risk was negatively impacted as additional impairments were recorded on a limited number of corporate files that entered stage 3.

Group Center net income stands at EUR 25 million in 2019, compared to EUR 33 million in 2018. In 2019, the income benefits from improved hedge efficiencies and the benign spread environment, leading to positive fair value adjustments, offsetting the impact of the low interest rates. The expenses increased compared to 2018 mainly following a restructuring provision for Belfius' transformation plan in line with the Belfius' development

program in IT, Digital and Human Capital. The cost of risk in 2018 was positively impacted by the sale of some Italian government bonds.

We refer for a detailed description of the segment results to the management report.

B. Segmentation by contribution scope

	31/12/18		Total
	Contribution Bank into group ⁽¹⁾	Contribution Insurance into group ⁽¹⁾	
(In thousands of EUR)			
INCOME	1,861,987	499,202	2,361,189
Net interest income	1,447,560	423,978	1,871,539
Dividend income	12,401	58,580	70,981
Net income from equity method companies	782	963	1,745
Net income from financial instruments at fair value through profit or loss	11,863	(22,507)	(10,644)
Net income on investments and liabilities	45,241	76,463	121,704
Net fee and commission income	536,704	18,953	555,656
Technical result from insurance activities	0	(53,890)	(53,890)
Other income & expense	(192,564)	(3,337)	(195,902)
EXPENSES	(1,195,140)	(230,652)	(1,425,792)
GROSS INCOME	666,847	268,549	935,397
Impairments on financial instruments and provisions for credit commitments	(68,727)	2,330	(66,397)
Impairments on tangible and intangible assets	(2,124)	0	(2,124)
NET INCOME BEFORE TAX	595,996	270,879	866,876
Total tax (expense) income	(151,471)	(65,415)	(216,886)
NET INCOME AFTER TAX	444,525	205,464	649,989
Attributable to non-controlling interests	23	939	962
Attributable to equity holders of the parent ⁽²⁾	444,502	204,526	649,028

(1) Note that the statement of income represents the contribution of the Belfius banking group (i.e. Belfius bank with all its subsidiaries apart from the Belfius insurance group) as well as the Belfius insurance group (i.e. Belfius insurance with its subsidiaries).

(2) Note that the statement of income represents the contribution of the Belfius Insurance group to the consolidated statement of income. Belfius Insurance presents a net income of EUR 192 million in its consolidated accounts over 2018. The difference of EUR 13 million with the contribution of the insurer to the Belfius Group (EUR 205 million) is mainly related to Auxipar. In 2013, Belfius Bank sold its participation of 13.6% in Auxipar to Belfius Insurance and realized a net capital gain of EUR 15 million, this transaction was eliminated in the consolidated view. In 2018, Belfius Insurance purchased an additional stake in Auxipar, resulting in a step-up acquisition gain of EUR 23 million, for analytical reporting, this realized capital gain has been allocated for EUR 15 million to Belfius Bank and EUR 8 million to Belfius Insurance. Note that on Belfius Insurance level, the acquisition in 2018 resulted in a realised capital loss of EUR 2 million, this amount was eliminated on consolidation group level as this intragroup result does not exist on Belfius group level. Furthermore the realized result on bonds sold or bought by Belfius Insurance to or from other entities of the Belfius group is adjusted at consolidated level, combined with the correction of the amortizations for buildings sold from Belfius Bank to Belfius Insurance.

	31/12/19		
	Contribution Bank into group ⁽¹⁾	Contribution Insurance into group ⁽¹⁾	Total
(In thousands of EUR)			
INCOME	1,966,583	522,004	2,488,587
Net interest income	1,488,023	412,150	1,900,173
Dividend income	18,489	51,790	70,279
Net income from equity method companies	3,579	1,339	4,918
Net income from financial instruments at fair value through profit or loss	97,246	(1,098)	96,148
Net income on investments and liabilities	(3,887)	57,077	53,190
Net fee and commission income	563,099	16,473	579,572
Technical result from insurance activities	0	(19,975)	(19,975)
Other income & expense	(199,965)	4,248	(195,718)
EXPENSES	(1,205,006)	(247,373)	(1,452,379)
GROSS INCOME	761,578	274,631	1,036,208
Impairments on financial instruments and provisions for credit commitments	(118,066)	6,628	(111,438)
Impairments on tangible and intangible assets	(1,375)	(5,386)	(6,761)
NET INCOME BEFORE TAX	642,137	275,873	918,010
Total tax (expense) income	(181,306)	(70,601)	(251,907)
NET INCOME AFTER TAX	460,831	205,272	666,103
Attributable to non-controlling interests	23	(1,415)	(1,393)
Attributable to equity holders of the parent ⁽²⁾	460,808	206,687	667,495

(1) Note that the statement of income represents the contribution of the Belfius banking group (i.e. Belfius bank with all its subsidiaries apart from the Belfius insurance group) as well as the Belfius insurance group (i.e. Belfius insurance with its subsidiaries).

(2) Note that the statement of income represents the contribution of the Belfius Insurance group to the consolidated statement of income. Belfius Insurance presents a net income of EUR 204 million in its consolidated accounts over 2019. The difference of EUR 3 million with the contribution of the insurer to the Belfius Group (EUR 207 million) is mainly related to the realized result on bonds sold or bought by Belfius Insurance to or from other entities of the Belfius group is adjusted at consolidated level, combined with the correction of the amortizations for buildings sold from Belfius Bank to Belfius Insurance.

The contribution of Belfius Insurance increased with EUR 2 million. Due to the difficult economic environment with historically low interest rates, the outstanding volumes Branch 21 decreased. Life margins improved as the technical result improved and the financial result remained stable due to good financial management of the portfolio. In Non-Life, the increase in the cost of claims for natural disasters and catastrophes was more than compensated by an excellent result in the retail channels. PCI Non-Life, where the portfolio is put in run-off by the banking and brokerage channels, experienced a negative evolution due to some large claims and additions to existing claims files. Despite continuous cost control, costs increased after further investments in IT systems and new activities within our newly consolidated companies. The contribution of Belfius Bank increased with EUR 16 million. Belfius Bank realised good results thanks to higher

volumes in commercial assets combined with a strict pricing discipline despite the pressure of the lower interest rate. The net result from financial instruments was positively impacted by improved hedge efficiencies as well as benign spread environment, leading to positive fair value adjustments as well as a positive evolution on financial instruments non-trading but mandatorily measured at fair value through profit or loss such as non SPPI compliant structured loans. Belfius Bank continues to invest in human capital, as well as in IT and digitalization, and combines this with a strict cost control program in other domains, leading overall to a continued controlled increase of the costs. In 2019 the impairment cost was negatively impacted as additional impairments were recorded on a limited number of corporate files that entered stage 3.

V. Notes on the assets of the consolidated balance sheet

(some amounts may not add up due to rounding)

5.1. Cash and cash equivalents

Analysis by nature

(In thousands of EUR)	31/12/18	31/12/19
Cash and balances with central banks other than mandatory reserves	7,477,269	5,821,927
Mandatory reserves with central banks ⁽¹⁾	837,110	894,000
Loans and advances due from credit institutions	2,208,919	4,749,919
Debt securities ⁽²⁾	314,770	260,048
TOTAL	10,838,068	11,725,894

(1) The "Mandatory reserves" include the minimum reserve deposits that Belfius has with the European Central Bank (ECB) or with other central banks.

(2) Debt securities reflect those instruments with an original maturity less than or equal to 90 days.

5.2. Cash and balances with central banks

Analysis by nature

(In thousands of EUR)	31/12/18	31/12/19
Cash in hand	608,350	568,107
Balances with central banks other than mandatory reserve deposits	6,868,843	5,253,820
Mandatory reserves deposits ⁽¹⁾	837,110	894,000
TOTAL	8,314,303	6,715,928
of which included in cash and cash equivalents	8,314,379	6,715,928

(1) The "Mandatory reserves deposits" includes the minimum reserve deposits that Belfius has with European Central Bank or with other central banks.

Cash and balances with central banks decreased by EUR 1.6 billion, or 19.2%, to EUR 6.7 billion as at 31 December 2019, compared to EUR 8.3 billion as at 31 December 2018. In view of its liquidity management Belfius deposits part of its cash at the

National Bank of Belgium. As from end of October 2019, the ECB two-tier system is applicable. As a consequence, the exempt tier of excess liquidity holdings will be remunerated at an annual rate of 0% instead of a negative rate.

5.3. Loans and advances due from credit institutions

1. Summary Totals

(In thousands of EUR)	31/12/18	31/12/19
Measured at Amortized Cost	13,106,846	16,207,838
Measured at fair value through other comprehensive income	0	0
Measured at fair value through profit and loss	0	0
TOTAL	13,106,846	16,207,838

2. Analysis by nature

A. Not measured at fair value through profit or loss

	31/12/18		31/12/19	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
(In thousands of EUR)				
Cash collateral	10,743,231	0	11,214,926	0
Sight accounts	133,433	0	179,704	0
Reverse repurchase agreements	2,134,333	0	4,710,034	0
Financial lease	68,865	0	73,236	0
Term loans	27,177	0	30,413	0
Impaired loans (stage 3)	0	0	0	0
Less impairment (stages 1,2 and 3)	(191)	0	(476)	0
TOTAL	13,106,846	0	16,207,838	0
of which included in cash and cash equivalents	2,208,919	0	4,749,919	0

Loans and advances due from credit institutions increased with EUR 3.1 billion, or 23.7%, to EUR 16.2 billion as at 31 December 2019 compared to EUR 13.1 billion as at 31 December 2018. The increase in reverse repurchase agreements of EUR 2.7 billion and cash collateral paid of EUR 0.5 billion, in line with the fair value

evolution of derivatives, was partially compensated by the additional clearing of derivatives with LCH following the reassignment of certain bilateral transactions and compression exercises, resulting in an additional offsetting on the balance sheet.

Not measured at fair value through profit or loss - breakdown

	31/12/18		31/12/19	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
(In thousands of EUR)				
Gross amount (stage 1)	13,106,766	0	16,203,829	0
Less impairment allowance (stage 1)	(173)	0	(420)	0
Gross amount (stage 2)	271	0	4,484	0
Less impairment allowance (stage 2)	(19)	0	(56)	0
Gross amount credit - Impaired (stage 3)	0	0	0	0
impairment on credit - impaired (stage 3)	0	0	0	0
TOTAL	13,106,846	0	16,207,838	0

B. Measured at fair value through profit and loss

Nil

3. Analysis of quality

See note 9.2.

4. Analysis of the fair value

See note 9.1.

5.4. Loans and advances

1. Summary Totals

(In thousands of EUR)	31/12/18	31/12/19
Measured at Amortized Cost	89,302,446	93,391,477
Measured at fair value through other comprehensive income	0	0
Measured at fair value through profit and loss	1,820,067	1,553,002
TOTAL	91,122,512	94,944,479

2. Analysis by counterparty

A. Not measured at fair value through profit or loss

	31/12/18		31/12/19	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
(In thousands of EUR)				
Public entities	21,692,792	0	20,041,857	0
Corporate & Small and Medium Enterprises	31,824,085	0	34,485,724	0
Households	35,405,851	0	38,521,182	0
Impaired loans (stage 3)	1,863,493	0	1,858,603	0
Less :				
impairment (stages 1,2 and 3)	(1,483,775)	0	(1,515,890)	0
TOTAL	89,302,446	0	93,391,477	0

Not measured at fair value through profit or loss - breakdown

	31/12/18		31/12/19	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
(In thousands of EUR)				
Gross amount (stage 1)	81,215,172	0	85,614,903	0
Less impairment allowance (stage 1)	(162,877)	0	(198,110)	0
Gross amount (stage 2)	7,707,556	0	7,433,860	0
Less impairment allowance (stage 2)	(173,662)	0	(159,466)	0
Gross amount credit - Impaired (stage 3)	1,863,493	0	1,858,603	0
Impairment on credit - impaired (stage 3)	(1,147,237)	0	(1,158,313)	0
TOTAL	89,302,446	0	93,391,477	0

In 2019 the impairment cost increased as additional impairments were recorded on a limited number of corporate files that entered stage 3. Stage 1 impairment increased with EUR 33 million in

2019 mainly following the continuous development of Belfius' commercial franchise.

B. Measured at fair value through profit and loss

	31/12/18			Total
	Financial assets held for trading	Financial assets designated at fair value through profit or loss	Non-trading financial assets mandatorily measured at fair value through profit or loss ⁽¹⁾	
(In thousands of EUR)				
Public entities	0	0	1,659,883	1,659,883
Corporate & Small and Medium Enterprises	0	0	128,051	128,051
Households ⁽²⁾	32,133	0	0	32,133
TOTAL	32,133	-	1,787,934	1,820,067

	31/12/19			Total
	Financial assets held for trading	Financial assets designated at fair value through profit or loss	Non-trading financial assets mandatorily measured at fair value through profit or loss ⁽¹⁾	
(In thousands of EUR)				
Public entities	0	0	1,418,217	1,418,217
Corporate & Small and Medium Enterprises	0	0	117,148	117,148
Households ⁽²⁾	17,637	0	0	17,637
TOTAL	17,637	-	1,535,365	1,553,002

(1) Belfius warehouses mortgage loans, for a limited period of time, before transferring these mortgage loans to an external party.

(2) It mainly concerns loans to the public and social sector with specifically structured interest rate features that do not pass the SPPI-test and are therefore measured at fair value through profit and loss.

3. Analysis by nature

A. Not measured at fair value through profit or loss

	31/12/18 ⁽¹⁾		31/12/19	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
(In thousands of EUR)				
Cash collateral	709,274	0	925,091	0
Reverse repurchase agreements	536,808	0	245,676	0
Financial lease	3,358,007	0	3,456,738	0
Other Loans and advances ⁽²⁾	84,318,640	0	88,421,257	0
of which bills and own acceptances	77,339	0	62,850	0
of which consumer loans	1,634,396	0	1,749,463	0
of which mortgage loans ⁽³⁾	32,423,496	0	35,592,409	0
of which term loans ⁽⁴⁾	47,531,051	0	48,420,772	0
of which current accounts	1,507,887	0	1,417,909	0
of which other loans and advances ⁽⁵⁾	1,144,472	0	1,177,855	0
Impaired loans stage 3	1,863,493	0	1,858,603	0
Less:				
impairment stage 1 2 3	(1,483,775)	0	(1,515,890)	0
TOTAL	89,302,446	0	93,391,477	0

(1) Belfius has performed pro forma figures for 2018 as further detail is given on the nature of loans (shift amounting to EUR 383 million from "other loans and advances" to "term loans").

(2) The underlying pool of loans of the covered bonds (Pandbrievan) amount to EUR 10.4 billion end December 2019 (versus EUR 10.9 billion end December 2018). This covered pool guarantees the outstanding covered bonds, of which EUR 5.6 billion mortgage covered bonds (versus EUR 6.2 billion end December 2018) and EUR 2.5 billion public covered bonds (versus EUR 2.5 billion end December 2018). This decrease is explained by an issue of EUR 0.6 billion covered bonds that came to maturity in the first half of 2019. We also refer to note 9.3.4. on Transfer of financial assets which do not qualify for derecognition in the consolidated balance sheet.

(3) End 2018, EUR 5.5 billion "mortgage loans" were securitised, in 2019, this decreased to EUR 4.4 billion. We also refer to note 12 "Securitisations" and to note 9.3.4. on Transfer of financial assets which do not qualify for derecognition in the consolidated balance sheet.

(4) End 2018, EUR 2.2 billion "term loans" were securitised, in 2019, this decreased to EUR 1.8 billion. We also refer to note 12 "Securitisations" and to note 9.3.4. on Transfer of financial assets which do not qualify for derecognition in the consolidated balance sheet.

(5) Concerns mainly factoring activities.

Loans and advances increased by EUR 3.8 billion, or 4.2%, to EUR 94.9 billion as at 31 December 2019, compared to EUR 91.1 billion as at 31 December 2018. Stemming from an increase

in commercial assets of EUR 3.9 billion (mainly mortgage loans and term loans) in line with our strategy to further develop our commercial franchise and to support the Belgian economy.

B. Measured at fair value through profit and loss

	31/12/18			Total
	Financial assets held for trading ⁽¹⁾	Financial assets designated at fair value through profit or loss	Non-trading financial assets mandatorily measured at fair value through profit or loss ⁽²⁾	
(In thousands of EUR)				
Mortgage loans	32,133	0	0	32,133
Public sector loans	0	0	1,787,934	1,787,934

	31/12/19			Total
	Financial assets held for trading ⁽¹⁾	Financial assets designated at fair value through profit or loss	Non-trading financial assets mandatorily measured at fair value through profit or loss ⁽²⁾	
(In thousands of EUR)				
Mortgage loans	17,637	0	0	17,637
Public sector loans	0	0	1,535,365	1,535,365

(1) Belfius warehouses mortgage loans, for a limited period of time, before transferring these mortgage loans to an external party.

(2) It mainly concerns loans to the public and social sector with specifically structured interest rate features that do not pass the SPPI-test and are therefore measured at fair value through profit and loss.

4. Analysis of quality

See note 9.2.

5. Analysis of the fair value

See note 9.1.

5.5. Debt securities & Equity instruments

1. Summary Totals

(In thousands of EUR)	31/12/18	31/12/19
Measured at Amortized Cost	21,610,561	22,476,427
Measured at fair value through other comprehensive income	5,216,152	5,257,278
Measured at fair value through profit and loss	1,742,052	1,755,860
TOTAL	28,568,766	29,489,565

The debt securities and equity instruments portfolio amounts in Belfius' Banking Group to EUR 17.6 billion (versus EUR 16.7 billion at 31 December 2018) and in Belfius Insurance to EUR 11.9 billion (versus EUR 11.8 billion at 31 December 2018).

Two types of business models can be distinguished within Belfius group. The bond portfolios within the banking group are managed within a business model whose objective is to "held to collect" contractual cash flows until maturity apart from certain positions that were classified as "held to collect and sell". The latter concerns part of the Italian government bond portfolio which has been sold in the meantime for concentration risk

management purposes. The debt securities of the insurance group are managed according to their ALM policies and guidelines, resulting in the insurance group having determined that a large part of this portfolio should be defined as "held to collect" and certain debt securities as "held to collect and sell" to cover the liquidity needs within Belfius Insurance.

Seeing that certain bond positions did not comply with the solely payment of principal and interest on the principal amount outstanding, a classification at fair value through profit and loss was required. It mainly concerns monetary funds within Belfius Insurance.

2. Analysis by nature

A. Not measured at fair value through profit or loss

	31/12/18		31/12/19	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
(In thousands of EUR)				
Debt securities issued by public sector	10,794,385	2,367,208	10,937,183	2,424,145
Other debt securities	11,010,727	1,504,313	11,724,838	1,390,747
Equity instruments	0	1,365,896	0	1,461,737
Impaired debt securities (stage 3)	1,782	0	1,782	0
Less impairment (stages 1,2 and 3)	(196,333)	(21,265)	(187,376)	(19,350)
TOTAL	21,610,561	5,216,152	22,476,427	5,257,278
of which included in cash and cash equivalents	314,770	0	260,048	0

The debt securities measured at amortised cost increased with 0.9 billion or 4.0% to 22.5 billion as at 31 December 2019 compared to EUR 21.6 billion as at 31 December 2018 following investments in corporate bonds within the liquidity portfolio at Belfius Bank as well as reinvestments in government bonds at Belfius Insurance.

The financial assets measured at fair value through other comprehensive income slightly increased to EUR 5.3 billion as at

31 December 2019 compared to EUR 5.2 billion as at 31 December 2018. The financial assets decreased due to redemptions and sale of certain Belgian government bonds, in order to manage the duration gap and to decrease the concentration risk within the balance sheet of Belfius Insurance as well as sales of equity instruments. This decrease was more than offset by positive fair value adjustments on debt and equity instruments following lower interest rates, lower credit spreads and improved stock markets compared to year-end 2018.

Debt securities not measured at fair value through profit or loss - breakdown

	31/12/18		31/12/19	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
(In thousands of EUR)				
Gross amount (stage 1)	13,762,400	2,730,778	14,598,711	2,924,874
Less impairment allowance (stage 1)	(1,388)	(1,818)	(1,471)	(1,790)
Gross amount (stage 2)	8,042,712	1,140,743	8,063,309	890,018
Less impairment allowance (stage 2)	(194,105)	(19,446)	(185,065)	(17,560)
Gross amount credit - Impaired (stage 3)	1,782	0	1,782	0
Impairment on credit - impaired (stage 3)	(840)	0	(840)	0
TOTAL	21,610,561	3,850,257	22,476,427	3,795,542

B. Measured at fair value through profit and loss

	31/12/18			Total
	Financial assets held for trading	Financial assets designated at fair value through profit or loss	Non-trading financial assets mandatorily measured at fair value through profit or loss	
(In thousands of EUR)				
Debt securities issued by public sector	164,922	0	128,204	293,125
Other debt securities	366,886	0	956,835	1,323,722
Equity instruments	124,824	0	380	125,205
TOTAL	656,633	0	1,085,420	1,742,052

	31/12/19			Total
	Financial assets held for trading	Financial assets designated at fair value through profit or loss	Non-trading financial assets mandatorily measured at fair value through profit or loss	
(In thousands of EUR)				
Debt securities issued by public sector	150,513	0	115,604	266,116
Other debt securities	406,186	0	870,387	1,276,573
Equity instruments	213,163	0	8	213,171
TOTAL	769,861	0	985,999	1,755,860

The debt securities measured at fair value through profit or loss slightly increased to EUR 1.8 billion as at 31 December 2019 compared to EUR 1.7 billion as at 31 December 2018.

C. Measured at fair value through other comprehensive income - Equity

The table below presents the reason why the equity instruments were designated at fair value through other comprehensive income.

Investments designated as at fair value through other comprehensive income

	31/12/18		
	Reason for designation	Fair Value	Dividend income recognised
(In thousands of EUR)			
Strategic portfolio insurance - real estate	Investment portfolio	513,202	27,238
Strategic portfolio insurance - other	Investment portfolio	643,752	31,342
Strategic portfolio bank	Investment portfolio	208,942	8,865
TOTAL		1,365,896	67,445

	31/12/19		
	Reason for designation	Fair Value	Dividend income recognised
(In thousands of EUR)			
Strategic portfolio insurance - real estate	Investment portfolio	567,883	27,304
Strategic portfolio insurance - other	Investment portfolio	683,699	24,487
Strategic portfolio bank	Investment portfolio	210,155	11,989
TOTAL		1,461,737	63,779

The table below presents the reason why the equity instruments designated at fair value through other comprehensive income were sold.

Investments derecognised as at fair value through other comprehensive income

(In thousands of EUR)	31/12/18			
	Reason for disposal	Fair Value at derecognition date	Transfer of cumulative gain or loss within equity	Dividend income recognised
Strategic portfolio insurance - real estate	Investment portfolio	40,515	3,261	4,563
Strategic portfolio insurance - other	Investment portfolio	105,601	12,706	4,620
Strategic portfolio bank	Investment portfolio	13,391	-723	5
TOTAL		159,507	15,244	9,188

(In thousands of EUR)	31/12/19			
	Reason for disposal	Fair Value at derecognition date	Transfer of cumulative gain or loss within equity	Dividend income recognised
Strategic portfolio insurance - real estate	Investment portfolio	134,703	3,008	7,330
Strategic portfolio insurance - other	Investment portfolio	138,045	67	3,413
Strategic portfolio bank	Investment portfolio	1,783	1,462	22
TOTAL		274,531	4,537	10,765

The sale of these equity positions was mainly situated at Belfius Insurance for risk and ALM purposes.

3. Analysis of quality

See note 9.2.

4. Analysis of the fair value

See note 9.1.

5.6. Derivatives

1. Analysis by nature

(In thousands of EUR)	31/12/18		31/12/19	
	Assets	Liabilities	Assets	Liabilities
Derivatives held for trading	11,117,705	10,666,692	11,730,118	11,087,539
Derivatives designated as fair value hedges	182,889	2,325,442	140,853	2,586,173
Derivatives designated as cash flow hedges	294,588	271,754	228,879	398,778
Derivatives designated as portfolio hedge	1,172,402	4,476,392	1,204,858	4,557,626
TOTAL	12,767,585	17,740,280	13,304,709	18,630,116

An increase in the fair value of derivatives can be noted due to the lower interest rate environment compared to year-end 2018. The effect of the lower interest rates was partially compensated by additional clearing of derivatives with LCH following the reassignment of certain bilateral transactions and compression

exercises, resulting in an additional offsetting on the balance sheet. Note that the offsetting on the balance sheet of the fair value of the derivatives with LCH amounted to EUR 7.2 billion end 2019, compared to EUR 6.6 billion end 2018. Refer to note 9.3.6 Offsetting.

2. Detail of derivatives held for trading

(In thousands of EUR)	31/12/18				31/12/19			
	Notional amount ⁽¹⁾		Assets	Liabilities	Notional amount ⁽¹⁾		Assets	Liabilities
	To receive	To deliver			To receive	To deliver		
Foreign exchange derivatives	17,641,072	17,665,255	1,464,578	1,449,294	20,410,656	20,477,827	1,459,212	1,488,943
Interest rate derivatives	202,678,607	210,835,235	9,414,950	9,006,023	189,787,061	192,739,148	9,872,717	9,273,749
Credit derivatives	1,539,085	1,565,194	133,776	116,390	2,056,841	1,502,650	113,285	124,566
Equity derivatives	4,510,024	4,322,251	104,401	94,985	5,844,910	5,708,489	284,904	200,282
TOTAL	226,368,788	234,387,936	11,117,705	10,666,692	218,099,469	220,428,113	11,730,118	11,087,539

(1) The "Notional amount to receive" and the "Notional amount to deliver" represent the two legs of a derivative financial instrument and are presented separately in the table. In the case of f.e. an interest rate swap, the "Notional amount to receive" represents the notional amount on which the interest to be received by Belfius is calculated; the "Notional amount to deliver" represents the notional amount on which the interest to be paid by Belfius is calculated.

The derivatives position of Belfius originated partially from the fact that Belfius was the competence center for derivatives within the former Dexia Group. These derivatives were hedged externally for market risk. The derivatives between Belfius Bank and Dexia Group entities remained in the scope of Belfius after the sale of Belfius to the Belgian State in 2011. The credit risk

thereon is mitigated through the use of collateral (Credit Support Annex).

For additional information on related market risk, refer to note 9.5 Market Risk.

3. Fair Value Hedges

A. Detail of derivatives designated as fair value hedges

(In thousands of EUR)	31/12/18				31/12/19			
	Notional amount ⁽¹⁾		Assets	Liabilities	Notional amount ⁽¹⁾		Assets	Liabilities
	To receive	To deliver			To receive	To deliver		
Interest rate derivatives	5,324,209	5,195,357	154,724	2,325,442	5,431,555	5,318,128	140,074	2,582,178
of which interest rate swaps	4,516,407	4,516,407	1,786	1,597,981	4,631,926	4,631,926	852	1,796,588
of which cross currency interest rate swaps	807,802	678,950	152,939	727,461	799,630	686,202	139,222	785,591
Credit derivatives ⁽²⁾	1,322,285	0	28,165	0	1,322,285	0	779	3,995
TOTAL	6,646,494	5,195,357	182,889	2,325,442	6,753,840	5,318,128	140,853	2,586,173

(1) The "Notional amount to receive" and the "Notional amount to deliver" represent the two legs of a derivative financial instrument and are presented separately in the table. In the case of f.e. an interest rate swap, the "Notional amount to receive" represents the notional amount on which the interest to be received by Belfius is calculated; the "Notional amount to deliver" represents the notional amount on which the interest to be paid by Belfius is calculated. Note that a forward sale contract mentions only one notional amount.

(2) Belfius Insurance has concluded "spreadlock" derivatives in order to hedge the asset swap spread on certain bond positions. The purpose of these transactions is to protect the Solvency II ratio. More in particular, the spreadlock transaction locks in a forward assets swap spread at the moment of the conclusion of the transaction. Seeing that the spreadlock is defined to hedge the asset swap spread (i.e. all risks except changes in fair value due to benchmark interest rate) of specific bond positions, the derivative is presented as a credit derivative for which fair value hedge accounting has been set up.

B. Detail of hedged exposure

The following table contains details of the hedged exposures covered by the Belfius' hedging strategies.

	31/12/18			
	Carrying amount of hedged item	Assets or liabilities included in hedge of a net position (before netting)	Accumulated amount of fair value adjustments on the hedged item	Accumulated amount of fair value hedged adjustments in the statement of financial positions in case of rupture
(In thousands of EUR)				
Financial assets measured at fair value through other comprehensive income	139,281	0	(2,198)	0
Credit ⁽¹⁾	139,281	0		
Financial assets measured at amortised cost	10,048,342	0	777,326	2,593,765
Interest rate	8,723,325	0		
Credit ⁽¹⁾	1,325,017	0		

	31/12/19			
	Carrying amount of hedged item	Assets or liabilities included in hedge of a net position (before netting)	Accumulated amount of fair value adjustments on the hedged item	Accumulated amount of fair value hedged adjustments in the statement of financial positions in case of rupture
(In thousands of EUR)				
Financial assets measured at fair value through other comprehensive income	103,710	0	5	0
Credit ⁽¹⁾	103,710	0		
Financial assets measured at amortised cost	10,384,217	0	1,154,621	2,622,764
Interest rate	9,078,196	0		
Credit ⁽¹⁾	1,306,021	0		

(1) Belfius Insurance has concluded "spreadlock" derivatives in order to hedge the asset swap spread on certain bond positions. The purpose of these transactions is to protect the Solvency II ratio. More in particular, the spreadlock transaction locks in a forward assets swap spread at the moment of the conclusion of the transaction. Seeing that the spreadlock is defined to hedge the asset swap spread (i.e. all risks except changes in fair value due to benchmark interest rate) of specific bond positions, the derivative is presented as a credit derivative for which fair value hedge accounting has been set up.

In the table above the carrying amount of hedged items in a fair value hedge is broken down by accounting portfolio. The accumulated amount of fair value adjustments on the hedged item includes the gains and losses on the hedged items that, as a consequence of hedge accounting, have adjusted the carrying amount of those items. Accumulated amount of fair value hedged adjustments in the statement of financial positions in case of rupture includes those hedge adjustments which, following the discontinuation of the hedge relationship and the end of the adjustment of hedged items for hedging gains and losses, remain to be amortised to the profit or loss via a recalculated effective interest rate for hedged items measured at amortised cost, or to the amount that represents the previously recognised cumulative hedging gain or loss for hedged assets measured at fair value through other comprehensive income.

C. Detail of the hedge documentation

To ensure the hedge relationship qualifies for hedge accounting, a formal documentation is prepared and the effectiveness is assessed on an ongoing basis throughout the hedging relationship.

Belfius applies fair value hedging to interest rate and foreign exchange risks on certain bonds (micro hedge). Belfius mainly uses plain vanilla interest rate swaps except for non EUR bonds where plain vanilla interest rate & currency swaps are used.

The fair value used for the measurement of hedge effectiveness is based on the fair value movements of the derivatives in the balance sheet and the fair value movement of the hedged risk of the hedged item (generally through a hypothetical derivative).

For Fair Value hedging, the prospective test is based on a critical terms comparison between the hedging instrument and the hedged item. Retrospective testing is done by applying a dollar offset method (comparison of fair value hedged item and hedging instrument) and comparing it with well-defined limits.

Refer to note 74 "Net income from financial instruments at fair value through profit or loss" for more information regarding the measurement of hedge effectiveness.

4. Cash flow hedges

A. Detail of derivatives designated as cash flow hedges

(In thousands of EUR)	31/12/18				31/12/19			
	Notional amount ⁽¹⁾		Assets	Liabilities	Notional amount ⁽¹⁾		Assets	Liabilities
	To receive	To deliver			To receive	To deliver		
Foreign exchange derivatives	5,870,832	5,855,582	294,588	271,754	6,302,791	6,354,064	228,879	398,778
of which cross currency swaps	5,870,832	5,855,582	294,588	271,754	6,302,791	6,354,064	228,879	398,778
TOTAL	5,870,832	5,855,582	294,588	271,754	6,302,791	6,354,064	228,879	398,778

(1) The "Notional amount to receive" and the "Notional amount to deliver" represent the two legs of a derivative financial instrument and are presented separately in the table. In the case of f.e. an interest rate swap, the "Notional amount to receive" represents the notional amount on which the interest to be received by Belfius is calculated; the "Notional amount to deliver" represents the notional amount on which the interest to be paid by Belfius is calculated.

Estimated cashflows from cashflow hedging derivatives per time bucket

(In thousands of EUR)	Inflow	Outflow
Not more than three months	2,984,352	(4,096,221)
More than three but not more than six months	2,984,352	(4,094,294)
More than six months but not more than one year	2,689,770	(3,990,058)
More than one but not more than two years	2,542,479	(3,956,494)
More than two but not more than five years	2,542,479	(3,871,260)
More than five years	2,220,588	(3,104,123)

B. Detail of hedged exposure

Cash flow hedges are performed on highly probable future cash flows.

Belfius has restructured certain derivative contracts by eliminating certain optionalities. In particular, in some derivative contracts, Belfius does not have the option to choose the currency for its collateral posting anymore. As a result, Belfius needs to pay more collateral in GBP instead of in EUR. In order to hedge this additional collateral demand in GBP, Belfius has entered into some Cross Currency Swaps whereby GBP is received in exchange for EUR. These Cross Currency Swaps are recorded in a cash flow hedge relationship for the currency risk on a "highly probable forecasted transaction", whereby Belfius demonstrates that the collateral to be paid is higher than the notional of the Cross Currency Swap.

Belfius decided to cover the risk of variability of cash flows and foreign currency changes stemming from incoming invoices charging Belfius for services in foreign currencies. In order to hedge this risk, Belfius concluded Cross Currency Swaps which are recorded in a cash flow hedge relationship for the currency risk on a "highly probable forecasted transaction".

Belfius demonstrates that the invoiced amounts are higher than the amounts received through the Cross Currency Swaps. Note that Belfius is closely following up the impact of the reference rate reform. However, at this stage, no impact on hedge accounting is noted as it concerns short term cash flows (6 months / 3 months) that will be adapted simultaneously between forecasted cash flow and the hedging instruments.

C. Detail of the hedge documentation

To ensure the hedge relationship qualifies for hedge accounting, a formal documentation is prepared and the effectiveness is assessed on an ongoing basis throughout the hedging relationship.

Belfius decided to cover the risk of variability of cash flows and foreign currency changes stemming from incoming invoices charging Belfius for services in foreign currencies. In order to hedge this risk, Belfius concluded Cross Currency Swaps which are recorded in a cash flow hedge relationship for the currency risk on a "highly probable forecasted transaction". Belfius demonstrates that the invoiced amounts are higher than the amounts received through the Cross Currency Swaps. Note that Belfius is closely following up the impact of the reference rate reform. However, at this stage, no impact on hedge accounting is noted as it concerns short term cash flows (6 months / 3 months) that will be adapted simultaneously between forecasted cash flow and the hedging instruments.

For cash flow hedging, the prospective test is based on a critical terms comparison between the hedging instrument and the hedged item. Retrospective testing is done by applying a dollar offset method (comparison of fair value hedged item and hedging instrument) and comparing it with well-defined limits. Note that for a forecasted transaction, an analysis is performed to assure that the expected cash flows are still highly likely.

Refer to note 7.4 "Net income from financial instruments at fair value through profit or loss" for more information regarding the measurement of hedge effectiveness.

D. Reconciliation of equity in relation to hedge accounting

For more information on the reconciliation of each component of equity and an analysis of other comprehensive income in relation to hedge accounting, refer to notes 1.3 "Consolidated

statement of comprehensive income" and 1.4 "Consolidated statement of change in equity".

5. Portfolio hedge

A. Detail of derivatives of portfolio hedge

(In thousands of EUR)	31/12/18				31/12/19			
	Notional amount ⁽¹⁾		Assets	Liabilities	Notional amount ⁽¹⁾		Assets	Liabilities
	To receive	To deliver			To receive	To deliver		
Interest rate derivatives	47,294,180	47,286,669	1,172,402	4,476,392	41,736,420	41,728,558	1,204,858	4,557,626
TOTAL	47,294,180	47,286,669	1,172,402	4,476,392	41,736,420	41,728,558	1,204,858	4,557,626

(1) The "Notional amount to receive" and the "Notional amount to deliver" represent the two legs of a derivative financial instrument and are presented separately in the table. In the case of f.e. an interest rate swap, the "Notional amount to receive" represents the notional amount on which the interest to be received by Belfius is calculated; the "Notional amount to deliver" represents the notional amount on which the interest to be paid by Belfius is calculated.

B. Detail of the hedge documentation

To ensure the hedge relationship qualifies for hedge accounting, a formal documentation is prepared and the effectiveness is assessed on an ongoing basis throughout the hedging relationship.

Belfius has set up different hedge accounting strategies on its loans portfolio (amounting to approximately EUR 43,406 million for loans and EUR 6,685 million for bonds (asset side), and EUR 20,549 million for term deposits and long term funding (liability side)). These hedged items are hedged by plain vanilla interest rate swaps.

The accumulated gain/loss on the hedged item in portfolio hedge of interest rate risk on the balance sheet amounts to EUR 4.9 million assets and EUR 0.3 million liabilities at year-end 2019 compared to EUR 4.6 million assets and EUR 0.2 million liabilities at year-end 2018.

For macro hedging, the prospective test is based on a volume test in which we demonstrate that (by entity, currency and time bucket) the amount of hedged items remains larger than the amount of hedging instruments (in term of notional as well as in term of interest cash flows). Retrospective testing, performed on a quarterly basis, is done by applying a dollar offset method (comparison of fair value hedged item and hedging instrument) and comparing it with well-defined limits.

Refer to note 7.4 "Net income from financial instruments at fair value through profit or loss" for more information regarding the measurement of hedge effectiveness.

5.7. Investments in equity method companies

1. Carrying value

(In thousands of EUR)	2018	2019
CARRYING VALUE AS AT 1 JANUARY	31,481	47,949
Acquisitions ⁽¹⁾	0	8,770
Disposals ⁽²⁾	(13,900)	0
Changes in scope of consolidation (in) ⁽³⁾	39,381	4,899
Changes in scope of consolidation (out) ⁽⁴⁾	(9,406)	0
Share of result before tax	2,606	5,876
Share of tax	(861)	(958)
Dividend paid	(1,352)	(2,412)
Transfers	0	0
CARRYING VALUE AS AT 31 DECEMBER	47,949	64,124

(1) The acquisitions concern capital payments for the investment company M80 Capital.

(2) Belfius Bank has sold its equity participation in "NEB Participations" in 2018.

(3) Belfius has consolidated the new entity Bancontact Payconiq Company of which it owns 22.5% of the shares, through equity method, following the merger between Payconiq and Bancontact on 29 June 2018. The investment in EPC (61.37%), holiday park De Haan (25%) and investment company M80 Capital (22.91%) are consolidated since 2018 through the equity method. The investment in Team Cyclis (47.45%) is consolidated since 2019 through the equity method. Although Belfius owns the majority of the shares in EPC, it does not have substantiated control over the investment as (a) there is a limitation of the voting rights and (b) no shareholder/control agreements exist.

(4) Auxipar, previously evaluated through the equity method, is fully consolidated as from 29 March 2018 onwards. Refer to note 10.1 "Significant changes in the scope of consolidation" for more information.

2. List of equity method companies

(In thousands of EUR)	Book value		Website
	2018	2019	
Isabel SA	5,077	7,753	www.isabel.eu
Erasmus Gardens SA	4,229	3,497	
L'Economie populaire de Ciney CVBA (EPC)	21,187	21,769	
Payconiq Belgium NV	6,438	6,223	
De Haan Vakantiehuisen NV	9,500	10,165	
M80 Capital CV	1,518	9,818	
Team Cyclis NV	0	4,899	
TOTAL	47,949	64,124	

3. Financial information of the joint arrangements and associates evaluated through the equity method

(In thousands of EUR)	Assets	Liabilities	Equity	Net income	Net asset value	%	Annual report, as at
ASSOCIATES							
Isabel SA	37,167	10,809	26,358	6,991	26,358	24.00%	31/12/18
L'Economie populaire de Ciney CVBA (EPC)	74,673	43,232	31,441	1,695	31,441	61.37%	31/12/18
Payconiq Belgium NV	30,263	8,369	21,894	(14,087)	21,894	22.50%	31/12/18
De Haan Vakantiehuisen ⁽¹⁾						25.00%	
M80 Capital CV ⁽¹⁾						22.11%	
Team Cyclis NV	3,223	2,687	536	199	536	47.45%	31/12/18
JOINT VENTURES							
Erasmus Gardens SA	32,899	28,142	4,757	3,734	4,757	50.00%	31/12/18

(1) Financial information of recently created associates is not available at this stage.

There are no significant or material commitments towards the joint ventures.

There are no significant restrictions on the equity method companies, on their ability to access or use assets, and settle liabilities, of the group.

5.8. Tangible fixed assets

1. Net book value

	Land and buildings		Office furniture and other equipment		Investment property	Total
	Own use owner	Own use finance lease	Own use owner	Own use finance lease		
(In thousands of EUR)						
ACQUISITION COST						
AS AT 1 JANUARY 2018	1,413,210	2,507	383,669	1,851	551,476	2,352,713
Acquisitions ⁽¹⁾	19,802	0	2,950	863	5,015	28,629
Subsequent expenditures	12,755	0	0	0	6,078	18,833
Post-acquisition adjustments	0	0	0	0	0	0
Disposals ⁽²⁾	(39,248)	0	(92)	0	(3,121)	(42,461)
Change in scope of consolidation (in) ⁽³⁾	0	0	385	0	34,188	34,574
Change in scope of consolidation (out)	0	0	0	0	0	0
Transfers and cancellations ⁽⁴⁾	(101,874)	0	(3,594)	0	99,887	(5,581)
Foreign exchange adjustments	0	0	0	0	0	0
Other movements	0	0	0	0	0	0
ACQUISITION COST AS AT 31 DECEMBER 2018 (A)	1,304,645	2,507	383,317	2,714	693,523	2,386,707
ACCUMULATED DEPRECIATION AND IMPAIRMENT AS AT 1 JANUARY 2018	(789,942)	(2,405)	(329,267)	(1,271)	(170,617)	(1,293,502)
Accumulated depreciation	(760,852)	(2,405)	(329,267)	(1,271)	(170,067)	(1,263,862)
Accumulated impairment	(29,090)	0	0	0	(549)	(29,639)
Post-acquisition adjustments	0	0	0	0	0	0
Booked	(27,855)	(96)	(8,926)	(553)	(16,359)	(53,789)
Impairment: booked	(891)	0	0	0	(1,647)	(2,538)
Write-back	0	0	0	0	435	435
Disposals ⁽²⁾	26,354	0	88	0	465	26,907
Change in scope of consolidation (in) ⁽³⁾	0	0	0	0	(3,817)	(3,817)
Change in scope of consolidation (out)	0	0	0	0	0	0
Transfers and cancellations ⁽⁴⁾	65,331	0	3,594	0	(63,720)	5,205
Foreign exchange adjustments	0	0	0	0	0	0
Other movements	0	0	0	0	0	0
ACCUMULATED DEPRECIATION AND IMPAIRMENT AS AT 31 DECEMBER 2018 (B)	(727,004)	(2,501)	(334,510)	(1,824)	(255,260)	(1,321,099)
Accumulated depreciation	(697,914)	(2,501)	(334,510)	(1,824)	(253,475)	(1,290,225)
Accumulated impairment	(29,090)	0	0	0	(1,784)	(30,874)
NET BOOK VALUE AS AT 31 DECEMBER 2018 (A)+(B)	577,640	6	48,807	890	438,263	1,065,607

(1) Acquisitions mainly include leasing contracts for the construction of property. Disposals include the delivery of these leasing contracts and the assets are at that moment reclassified to loans and advances.

(2) Disposals include the delivery of the leasing contracts and the sale of bank agencies.

(3) Change in scope of consolidation (in) concerns the acquisition of Officio Immo.

(4) Transfers mainly consists of the reclassification of the Galilee building from own use to investment property.

	Land and buildings		Office furniture and other equipment		Investment property	Total
	Own use owner	Own use Right-of-use asset	Own use owner	Own use Right-of-use asset		
(In thousands of EUR)						
ACQUISITION COST AS AT 1 JANUARY 2019	1,304,645	2,507	383,317	2,714	693,523	2,386,707
Acquisitions ⁽¹⁾	11,772	4,284	4,427	0	140,833	161,315
Subsequent expenditures	(4,734)	0	0	0	10,371	5,637
Post-acquisition adjustments	0	0	0	0	(1,268)	(1,268)
Disposals ⁽²⁾	(27,914)	(99)	(14)	(2,714)	(2,425)	(33,166)
Change in scope of consolidation (in) ⁽³⁾	0	0	0	0	19,192	19,192
Change in scope of consolidation (out)	0	0	0	0	0	0
Transfers and cancellations	(8,148)	(12)	(1,674)	0	(6,741)	(16,575)
Foreign exchange adjustments	0	0	0	0	0	0
Other movements	0	52,213	0	0	0	52,213
ACQUISITION COST AS AT 31 DECEMBER 2019 (A)	1,275,620	58,894	386,056	0	853,485	2,574,056
ACCUMULATED DEPRECIATION AND IMPAIRMENT AS AT 1 JANUARY 2019	(727,004)	(2,501)	(334,510)	(1,824)	(255,260)	(1,321,099)
Accumulated depreciation	(697,914)	(2,501)	(334,510)	(1,824)	(253,475)	(1,290,225)
Accumulated impairment	(29,090)	0	0	0	(1,784)	(30,874)
Post-acquisition adjustments	0	0	0	0	0	0
Booked	(24,062)	(5,304)	(8,320)	0	(21,863)	(59,549)
Impairment: booked	(1,536)	0	0	0	0	(1,536)
Write-back	0	0	2	0	161	162
Disposals ⁽²⁾	8,143	4	14	1,824	114	10,100
Change in scope of consolidation (in) ⁽³⁾	0	0	0	0	(416)	(416)
Change in scope of consolidation (out)	0	0	0	0	0	0
Transfers and cancellations	6,039	12	1,673	0	5,716	13,440
Foreign exchange adjustments	0	0	0	0	0	0
Other movements	0	0	0	0	197	197
ACCUMULATED DEPRECIATION AND IMPAIRMENT AS AT 31 DECEMBER 2019 (B)	(738,419)	(7,789)	(341,143)	0	(271,351)	(1,358,701)
Accumulated depreciation	(709,577)	(7,789)	(341,143)	0	(269,305)	(1,327,813)
Accumulated impairment	(28,842)	0	0	0	(2,046)	(30,888)
NET BOOK VALUE AS AT 31 DECEMBER 2019 (A)+(B)	537,202	51,105	44,913	0	582,135	1,215,355

(1) Acquisitions mainly include leasing contracts for the construction of property. Disposals include the delivery of these leasing contracts and the assets are at that moment reclassified to loans and advances.

(2) Disposals include the delivery of the leasing contracts and the sale of bank agencies.

(3) Change in scope of consolidation (in) concerns the acquisition of Immo Trêfles.

2. Fair value of investment property

(In thousands of EUR)	2018	2019
TOTAL	651,584	822,479
Fair value subject to an independent valuation ⁽¹⁾	642,926	719,800
Fair value not subject to an independent valuation	8,658	102,678

(1) The line "Fair value subject to an independent valuation" includes investment property for which an external valuation or a recent transaction price is available.

The fair value not subject to an independent valuation increased due to leasing contracts for the construction of property.

5.9. Intangible assets

(In thousands of EUR)	Internally developed software	Other intangible assets	Total
ACQUISITION COST AS AT 1 JANUARY 2018	298,679	119,059	417,738
Acquisitions ⁽¹⁾	56,733	31,129	87,862
Disposals	0	(773)	(773)
Change in scope of consolidation (in)	0	693	693
Transfers and cancellations	0	(891)	(891)
ACQUISITION COST AS AT 31 DECEMBER 2018 (A)	355,412	149,216	504,628
ACCUMULATED AMORTISATION AND IMPAIRMENT AS AT 1 JANUARY 2018	(174,571)	(81,093)	(255,664)
Accumulated amortisation	(170,689)	(81,093)	(251,781)
Accumulated impairment	(3,882)	0	(3,882)
Booked	(44,995)	(13,335)	(58,330)
Change in scope of consolidation (in)	0	(94)	(94)
Disposals	0	64	64
Transfers and cancellations ⁽²⁾	0	891	891
ACCUMULATED AMORTISATION AND IMPAIRMENT AS AT 31 DECEMBER 2018 (B)	(219,566)	(93,565)	(313,131)
Accumulated amortisation	(215,684)	(93,419)	(309,103)
Accumulated impairment	(3,882)	(146)	(4,029)
NET BOOK VALUE AS AT 31 DECEMBER 2018 (A)+(B)	135,846	55,651	191,497

(In thousands of EUR)	Internally developed software	Other intangible assets	Total
ACQUISITION COST AS AT 1 JANUARY 2019	355,412	149,216	504,628
Acquisitions ⁽¹⁾	70,882	26,051	96,934
Disposals	0	(750)	(750)
Transfers and cancellations	(26,369)	(1,787)	(28,156)
Other movements	0	(58)	(58)
ACQUISITION COST AS AT 31 DECEMBER 2019 (A)	399,926	172,672	572,598
ACCUMULATED AMORTISATION AND IMPAIRMENT AS AT 1 JANUARY 2019	(219,566)	(93,565)	(313,131)
Accumulated amortisation	(215,684)	(93,419)	(309,103)
Accumulated impairment	(3,882)	(146)	(4,029)
Booked	(57,710)	(23,819)	(81,529)
Disposals	0	290	290
Transfers and cancellations ⁽²⁾	26,369	1,787	28,156
ACCUMULATED AMORTISATION AND IMPAIRMENT AS AT 31 DECEMBER 2019 (B)	(250,907)	(115,307)	(366,215)
Accumulated amortisation	(247,025)	(109,922)	(356,947)
Accumulated impairment ⁽³⁾	(3,882)	(5,386)	(9,268)
NET BOOK VALUE AS AT 31 DECEMBER 2019 (A)+(B)	149,018	57,365	206,384

(1) During the year internally developed software costs were capitalised. The internally developed software relates to several ongoing IT projects at Belfius. These projects relate to the further digitalisation and innovation of Belfius IT platforms and applications.

(2) Transfers and cancellations mainly include cancellations of own developed software.

(3) An impairment of EUR 5.4 million was recorded on intangible assets invested for the project Jane, whereby Belfius aims to offer a sensor enabled monitoring solution for the elderly whereby they'll be able to stay longer in their own homes without special assistance. The management decided on this adjustment following the revised businessplan which presents a break-even further in time, taken into account new commercial assumptions.

5.10. Goodwill

(In thousands of EUR)	Positive goodwill	
	2018	2019
ACQUISITION COST AS AT 1 JANUARY	129,886	129,886
ACQUISITION COST AS AT 31 DECEMBER (A)	129,886	129,886
ACCUMULATED AMORTISATION AND IMPAIRMENT AS AT 1 JANUARY	(25,920)	(25,920)
Accumulated amortisation	(25,920)	(25,920)
ACCUMULATED AMORTISATION AND IMPAIRMENT AS AT 31 DECEMBER (B)	(25,920)	(25,920)
Accumulated amortisation	(25,920)	(25,920)
Accumulated impairment	0	0
NET BOOK VALUE AS AT 31 DECEMBER (A)+(B)	103,966	103,966

Positive goodwill relates to goodwill on Belfius Insurance.

The annual impairment test did not require an impairment on goodwill. The impairment test was performed by comparing the equity value of Belfius Insurance with the "value in use". This value in use was determined based on a discounted cash flow model with the following inputs:

- financial plan for 5 years;
- discount rate: a cost of equity of 10%; and
- a long term growth rate for Belgium of 0.5%.

Note that the financial plan has only a limited impact on the impairment test. The main drivers are the discount curve and long term growth rate. Based on that scenario, a surplus could be identified, note that there have been no change in parameters compared to last year.

For 2018 and 2019, all scenarii (ranging from a growth rate from -2% to +2% and a discount rate of 6% to 12%) showed that no impairment was required. The assumptions for these scenarii are aligned with the expected evolution of the results in the financial plan and with the market conditions for capital costs. Only if the required cost of equity (discount curve) amounts to 17% together with a growth rate of 0.0%, would an impairment start to become necessary. At a cost of equity of 10%, impairment would start at a negative growth rate of 13% after realisation of the financial plan.

5.11. Deferred tax assets

1. Analysis

(In thousands of EUR)	31/12/18	31/12/19
Deferred income tax liabilities	(8,524)	(55,108)
Deferred income tax assets	364,329	357,027
DEFERRED TAXES	355,805	301,919
Not recognised deferred tax assets ⁽¹⁾	(63,821)	(72,308)
NET DEFERRED INCOME TAX ASSETS/(LIABILITIES)	291,985	229,611

(1) The increase of not recognized deferred tax assets concerns unrecognized tax losses carried forward at Jane, Jaimy and Belfius Ireland, combined with a recognition of tax losses carried forward at Auxipar.

2. Movements

(In thousands of EUR)	2018	2019
AS AT 1 JANUARY	283,785	291,985
Movements of the year	8,200	(62,373)
Statement of income charge/credit	(47,483)	(36,852)
Items related to "Other Comprehensive Income" ⁽¹⁾	67,515	(51,175)
Effect of change in tax rates - statement of income	(16,826)	(2,968)
Effect of change in tax rates - equity	4,712	28,046
Variation of scope of consolidation	282	0
Foreign exchange adjustments	0	0
Other movements	0	576
AS AT 31 DECEMBER	291,985	229,611

(1) Evolution due to changes in deferred taxes on fair value revaluation through OCI and deferred tax on remeasurement of pension plans.

A. Deferred tax coming from assets of the balance sheet

(In thousands of EUR)	31/12/18		31/12/19	
	Total	Of which impact in result	Total	Of which impact in result
Cash and balances with central banks	0	0	0	0
Loans and advances	17,537	(14,084)	25,222	5,852
Debt securities	(113,860)	(20,878)	(186,428)	(29,759)
Equity	0	0	0	0
Derivatives	(172,127)	675,687	17,440	160,222
Gain/loss on the hedged item in portfolio hedge of interest rate risk	(1,099,456)	106,437	(978,787)	120,669
Investments in equity method companies	0	0	0	0
Other	30,964	(4,497)	9,172	(21,768)
Tangible fixed assets	10,093	(2,314)	(8,854)	(19,922)
Intangible assets	20,575	(2,470)	19,102	(396)
Goodwill	0	0	0	0
Other assets	296	287	(427)	(800)
Non current assets (disposal group) held for sale and discontinued operations	0	0	(650)	(650)
TOTAL	(1,336,942)	742,665	(1,113,381)	235,216

B. Deferred tax coming from liabilities of the balance sheet

	31/12/18		31/12/19	
	Total	Of which impact in result	Total	Of which impact in result
(In thousands of EUR)				
Cash and balances from central banks	0	0	0	0
Credit institutions borrowings and deposits	0	0	1	1
Customer borrowings and deposits	3,457	4,663	1,034	(2,423)
Debt securities issued	7,288	7,288	80,095	72,846
Technical provisions of insurance companies	69,014	(17,739)	61,497	(14,277)
Derivatives	1,352,422	(846,491)	1,014,732	(327,941)
Gain/loss on the hedged item in portfolio hedge of interest rate risk	48,830	17,766	65,677	16,847
Other	132,582	58,298	106,530	(18,466)
Provisions and contingent liabilities	118,872	59,092	75,433	(29,303)
Subordinated debts	0	0	(768)	(768)
Other liabilities	13,710	(794)	31,865	11,605
Liabilities included in disposal group and discontinued operations	0	0	0	0
TOTAL	1,613,593	(776,215)	1,329,567	(273,412)

	31/12/18		31/12/19	
	Total	Of which impact in result	Total	Of which impact in result
(In thousands of EUR)				
Deferred tax coming from the balance sheet	276,651	(33,550)	216,186	(38,197)
Not recognised deferred tax assets - temporary differences	(5,435)		(8,465)	
DEFERRED TAX - TEMPORARY DIFFERENCES	271,216		207,721	

C. Deferred tax coming from other elements

	31/12/18		31/12/19	
	Total	Of which impact in result	Total	Of which impact in result
(In thousands of EUR)				
Tax losses carried forward	79,154	(1,098)	85,733	6,881
Tax credit carried forward	0	0	0	0
Entities with special tax status	0	0	0	0
TOTAL	79,154	(1,098)	85,733	6,881
Not recognised deferred tax assets - tax losses carried forward	(58,386)		(63,843)	
DEFERRED TAX COMING FROM OTHER ELEMENTS AFTER NOT RECOGNISED DEFERRED TAX ASSETS - TAX LOSSES CARRIED FORWARD	20,768		21,891	

	31/12/18	31/12/19
(In thousands of EUR)		
DEFERRED TAX BEFORE NOT RECOGNISED DEFERRED TAX	355,805	301,919
DEFERRED TAX AFTER NOT RECOGNISED DEFERRED TAX	291,984	229,612

3. Expiry date of not recognised deferred tax assets

(In thousands of EUR)	31/12/18				Total
	Less than 1 year	> 1 year and ≤ 5 years	> 5 years	Unlimited maturity	
NATURE					
Tax losses carried forward	0	0	(365)	(58,021)	(58,386)
TOTAL	0	0	(365)	(58,021)	(58,386)

(In thousands of EUR)	31/12/19				Total
	Less than 1 year	> 1 year and ≤ 5 years	> 5 years	Unlimited maturity	
NATURE					
Tax losses carried forward	0	0	0	(63,843)	(63,843)
TOTAL	0	0	0	(63,843)	(63,843)

5.12. Other assets

(In thousands of EUR)	31/12/18	31/12/19
OTHER ASSETS	771,861	1,005,541
Accrued income	134,028	137,506
Deferred expenses	37,613	29,608
Payments in transit from clients	565,044	789,883
Inventories	18	316
Operational taxes	35,157	48,228
OTHER ASSETS SPECIFIC TO INSURANCE COMPANIES	178,341	158,066
Receivables resulting from direct insurance transactions	81,460	60,033
Other insurance assets ⁽¹⁾	96,881	98,032
Impaired insurance assets	407	317
Less impairment	(407)	(317)
TOTAL	950,202	1,163,606

(1) Other insurance assets are deposits placed with cedants as a guarantee for reinsurance transactions and claims on reinsurers.

The other assets have increased mainly due to an increase of pending payments from clients.

5.13. Non current assets (disposal group) held for sale and discontinued operations

(In thousands of EUR)	31/12/18	31/12/19
Assets of subsidiaries held for sale	0	663
Tangible and intangible assets held for sale	17,986	21,121
Discontinued operations	0	0
Other assets	1,061	2,042
TOTAL	19,047	23,826

5.14. Leasing

1. Belfius as a lessor

A. Finance lease

(In thousands of EUR)	31/12/18	31/12/19
Gross investment in finance leases		
Not later than 1 year	915,098	778,591
> 1 year and ≤ 5 years	1,790,480	2,069,626
> 5 years	1,086,810	1,018,420
SUBTOTAL (A)	3,792,388	3,866,636
UNEARNED FUTURE FINANCE INCOME ON FINANCE LEASES (B)	371,074	342,982
NET INVESTMENT IN FINANCE LEASES (A)+(B)	3,421,314	3,523,654

(In thousands of EUR)	31/12/18	31/12/19
The net investment in finance leases may be analysed as follows:		
Not later than 1 year	832,429	697,416
> 1 year and ≤ 5 years	1,609,053	1,894,602
> 5 years	979,832	931,636
TOTAL	3,421,314	3,523,654

(In thousands of EUR)	31/12/18	31/12/19
Amount of contingents rents recognised in statement of income during the period	0	
Amounts of variable lease payments not included in the net investment in the lease		0
Amount of uncollectible finance lease payments included in the provision for loan losses at the end of the period	60,320	46,202
Residual values unguaranteed by lessees	358,615	391,188
Estimated fair value of finance lease	3,387,064	3,540,114
Accumulated allowance for uncollectible minimum lease payments	26,442	25,837
Selling profit or loss in case of assets built by Belfius and then leased out as a finance lease		1,513

The main underlying assets in finance lease relate to:

- real estate such as office buildings, commercial real estate, industrial real estate
- production equipment
- cars and trucks, locomotives and vessels
- alternative energy equipment (f.i. solar systems)
- IT equipment

B. Operating lease

(In thousands of EUR)	31/12/18	31/12/19
Future net minimum lease receivables under non-cancellable operating leases are as follows:		
Not later than 1 year	28,595	33,303
> 1 year and ≤ 5 years	122,508	134,762
> 5 years	458,486	451,865
TOTAL	609,590	619,930
Amount of contingents rents recognised in statement of income during the period:	0	
Amount of variable lease payments that do not depend on an index or rate		0

The main underlying assets in operating lease relate to:

- real estate
- cars and trucks
- IT equipment

2. Belfius as a lessee

A. As at 31 December 2018

Belfius applied lease accounting in according with IAS 17 "Leases" until 31 December 2018.

Finance lease

Amounts involved in 2018 are immaterial. See note 5.8 "Tangible fixed assets".

Operating lease

(In thousands of EUR)	31/12/18
Future net minimum lease payments under non-cancellable operating leases are as follows:	
Not later than 1 year	8,156
> 1 year and ≤ 5 years	29,505
> 5 years	21,069
TOTAL	58,730
Amount of future minimum sublease payments expected to be received under non-cancellable subleases at the balance sheet date:	
	3,184
Lease and sublease payments recognised as an expense during the period:	
Minimum lease payments	8,154
Contingent rents	0
Sublease payments	0
TOTAL	8,154

The main underlying assets in operating lease relate to:

- IT equipment
- cars

B. As at 31 December 2019

As from 1 January 2019, the IFRS 16 standard on lease accounting became applicable and has replaced IAS 17. IFRS 16 fundamentally changes the manner in which lessees account for leases by introducing a single lessee accounting model. The adoption of IFRS 16 by lessors retains the former IAS 17 lease accounting treatment.

In line with the transitional provisions, Belfius, as a lessee, used the modified retrospective application and has exempted lease agreements for which the lease term ends within 12 months.

Accordingly, Belfius did not restate comparative information and recognized the cumulative effect of initially applying IFRS 16 as an adjustment to the opening balance of retained earnings.

At the date of initial application, a right-of-use asset and a lease liability were recognised in the balance sheet with a limited negative impact of EUR 2.8 million in retained earnings. The right-of-use assets are measured as if IFRS 16 had been applied since the start date of the lease contracts.

Leases on tangible fixed assets

(In thousands of EUR)	31/12/19
Minimum lease payments	
Not later than 1 year	6,109
> 1 year and ≤ 5 years	20,996
> 5 years	34,749
TOTAL	61,853

(In thousands of EUR)	31/12/19
Present value of lease liabilities	
Not later than 1 year	6,007
> 1 year and ≤ 5 years	20,199
> 5 years	28,618
TOTAL	54,824

(In thousands of EUR)	31/12/19
Contractual future minimum lease payments (A)	61,853
Correction due to discount rate (B)	54,824
Present value of the future minimum lease payments (A-B)	(7,029)
Amount of expense relating to variable lease payments not included in the lease liabilities	0
Expense relating to short-term leases	1,233
Expense relating to leases of low-value items	3,429

IFRS 16 provides a possibility to exempt an entity to apply IFRS 16 if the impact is immaterial. As a result of a detailed analysis Belfius Bank implemented IFRS 16 for the lease agreements related to buildings. Cars are in scope of IFRS 16 but are exempted of application based on the "undue cost or effort" principle.

Parking lots are also in scope but are exempted due to the short term of each lease contract. Contracts related to IT material are out of scope as it concerns service contracts. For all these contracts the periodical rental costs will be charged in the profit and loss statement.

VI. Notes on the liabilities of the consolidated balance sheet

(some amounts may not add up due to rounding)

6.1. Cash and balances from central banks

1. Analysis by nature

Not measured at fair value through profit or loss

(In thousands of EUR)	31/12/18	31/12/19
Deposits	3,962,322	4,016,777
TOTAL	3,962,322	4,016,777

Cash and balances from central banks remained stable at EUR 4.0 billion as at 31 December 2019.

2. Analysis by maturity and interest rate

See notes 9.4., 9.5. and 9.6.

3. Analysis of the fair value

See note 9.1.

6.2. Credit institutions borrowings and deposits

1. Summary Totals

(In thousands of EUR)	31/12/18	31/12/19
Measured at amortised cost	5,866,810	5,819,363
Measured at fair value through profit and loss	0	0
TOTAL	5,866,810	5,819,363

2. Analysis by nature

A. Not measured at fair value through profit or loss

(In thousands of EUR)	Amortised Cost	
	31/12/18	31/12/19
Demand deposits	95,167	107,753
Term deposits	800,624	641,417
Repurchase agreements	0	0
Cash collateral received	4,421,154	4,404,912
Other borrowings	549,865	665,282
TOTAL	5,866,810	5,819,363

Credit Institutions borrowings and deposits decreased with EUR 0.1 billion, or 0.8%, to EUR 5.8 billion as at 31 December 2019

compared to EUR 5.9 billion as at 31 December 2018, stemming from a decrease in term deposits.

B. Measured at fair value through profit or loss

Nil.

3. Analysis by maturity and interest rate

See notes 9.4., 9.5. and 9.6.

4. Analysis of the fair value

See note 9.1.

6.3. Borrowings and deposits

1. Summary Totals

(In thousands of EUR)	31/12/18	31/12/19
Measured at amortised cost	79,609,747	85,397,137
Measured at fair value through profit and loss	51,563	52,773
TOTAL	79,661,310	85,449,910

2. Analysis by nature

A. Not measured at fair value through profit or loss

(In thousands of EUR)	Amortised Cost	
	31/12/18	31/12/19
Demand deposits	26,008,153	27,027,580
Saving deposits	38,131,900	41,017,451
Term deposits	7,984,047	9,302,180
Cash collateral	20,153	20,360
Non-regulated savings accounts	7,450,482	8,013,660
TOTAL DEPOSITS	79,594,736	85,381,231
Other borrowings	15,011	15,905
TOTAL BORROWINGS	15,011	15,905
TOTAL	79,609,747	85,397,137

Borrowings and deposits increased by EUR 5.8 billion, or 7.3%, to EUR 85.5 billion as at 31 December 2019, compared to EUR 79.7 billion as at 31 December 2018. The increase in customer

borrowings and deposits was mainly due to the organic growth of saving and sight accounts.

B. Measured at fair value through profit or loss

(In thousands of EUR)	Financial liabilities designated at fair value through profit or loss	
	31/12/18	31/12/19
Deposits	51,563	52,773
TOTAL	51,563	52,773

3. Analysis by maturity and interest rate

See notes 9.4., 9.5. and 9.6.

4. Analysis of the fair value

See note 9.1.

6.4. Debt securities issued and other financial liabilities

1. Summary Totals

(In thousands of EUR)	31/12/18	31/12/19
Measured at amortised cost	19,274,694	19,341,686
Measured at fair value through profit and loss	7,412,178	8,312,819
TOTAL	26,686,872	27,654,505

2. Analysis by nature

A. Not measured at fair value through profit or loss

(In thousands of EUR)	Amortised Cost	
	31/12/18	31/12/19
Certificates of deposit	3,091,780	4,197,717
Customer saving certificates	1,754,812	1,346,283
Non-convertible debts	5,697,953	5,628,745
Covered bonds ⁽¹⁾	8,730,149	8,114,050
Lease liabilities ⁽²⁾		54,892
TOTAL	19,274,694	19,341,686

(1) Belfius has two covered bonds programmes. See text below for more details.

(2) Lease liabilities recognised under IFRS 16 as from 1 January 2019. We refer to note 3 "accounting principles on a consolidated basis".

The debt securities measured at amortised cost increased by EUR 0.1 billion, or 0.3%, to EUR 19.3 billion as at 31 December 2019 compared to EUR 19.3 billion as at 31 December 2018, due

to an increase of EUR 1.1 billion certificates of deposit, partially offset by the maturity of EUR 0.6 billion covered bonds and EUR 0.5 billion other debt securities.

Belfius's covered bonds programmes

Belfius has two covered bond programmes:

- Mortgage Pandbrieven programme; and
- Public Pandbrieven programme.

The covering assets of the Mortgage Pandbrieven are mainly Belgian mortgage loans granted in accordance with the law on mortgage loans (law of 4 August 1992), through the branch network of Belfius. The covering assets of the Public Pandbrieven are mainly loans granted to Belgian public sector entities (municipalities, provinces, etc.).

The Belgian pandbrieven investors have a direct recourse to:

- the general estate of the issuing credit institution (i.e. repayment of the Belgian pandbrieven is an obligation of the issuing bank as a whole); and
- the segregated estate, that comprises the cover pool that is exclusively reserved for the Belgian pandbrieven investors under the specific program to which the segregated estate is joined and for the claims of other parties that are or can be identified in the issue conditions. Assets become part of the cover pool upon registration in a register held by the issuer for such purpose.

A detailed description of the covering assets (including the outstanding amount and the characteristics of the loans in the cover pool) can be consulted in the management report "Risk management" and in section 9.3. "Information on asset encumbrance and collateral received" as well as:

- for the Mortgage Pandbrieven Programme on <https://www.belfius.com/EN/debt-issuance/Belgian-mortgage-pandbrieven-programme/index.aspx>
- for the Public Pandbrieven Programme on <https://www.belfius.com/EN/debt-issuance/Belgian-public-pandbrieven-programme/index.aspx>

The carrying value of the cover pool amount to EUR 10.4 billion in December 2019 (versus EUR 10.9 billion in December 2018). This decrease is explained by the 2013 issue of EUR 0.6 billion covered bonds that came to maturity in the first half of 2019. The 2014 issue of EUR 0.5 billion covered bonds came to maturity in December 2019 but was replaced by a new issue with maturity date in 2029. The carrying value of the cover pool is accounted for in loans and advances. We also refer to note 5.4.

B. Measured at fair value through profit or loss

	31/12/18			31/12/19		
	Financial liabilities held for trading	Financial liabilities designated at fair value through profit or loss	Total	Financial liabilities held for trading	Financial liabilities designated at fair value through profit or loss	Total
(In thousands of EUR)						
Debt securities		7,322,359	7,322,359		8,253,895	8,253,895
Debt securities issued by public sector (trading positions)	89,748		89,748	58,841		58,841
Other debt securities (trading positions)	71		71	83		83
Equity instruments (trading positions)	0		0	0		0
TOTAL	89,819	7,322,359	7,412,178	58,924	8,253,895	8,312,819

The debt securities measured at fair value through profit and loss increased with EUR 0.9 billion, or 12.2%, to EUR 8.3 billion as at 31 December 2019 compared to EUR 7.4 billion as at 31 December 2018, following new issuances of (structured) debt securities for retail customers, partially offset by maturities.

The category “Financial liabilities designated at fair value through profit or loss” is currently used in the following situations:

- for insurance activities: mainly (unit-linked) “branch 23” insurance contracts. The return of the underlying investment fund units belongs entirely to its policyholder;
- for banking activities: to eliminate or significantly reduce a measurement or recognition inconsistency, between debt instruments and their hedges, that would otherwise arise.

The methodology used to determine the fair value of “financial liabilities designated at fair value” is detailed in note 9.1.

3. Analysis by maturity and interest rate

See notes 9.4., 9.5. and 9.6.

4. Analysis of the fair value

See note 9.1.

6.5. Provisions for insurance activities

Note that Belfius has opted to present the figures on technical provisions including intragroup transactions between bank and insurance entities, as these mainly relate to insurance contracts concluded between the bank and insurance entities and distribution commissions that Belfius Insurance pays to Belfius Bank.

(In thousands of EUR)	31/12/19	31/12/19
GROSS RESERVES		
In the consolidated balance sheet (as presented on balance sheet)	13,907,770	13,180,229
Intragroup transactions	12,592	11,258
Gross reserves including intragroup transactions	13,920,361	13,191,487

1. Insurance contracts Life

A. Gross reserves

(In thousands of EUR)	31/12/18			31/12/19		
	Insurance contracts	Investment contracts with DPF ⁽¹⁾	Total	Insurance contracts	Investment contracts with DPF ⁽¹⁾	Total
LIFE INSURANCE RESERVES	4,542,627	7,831,039	12,373,665	4,664,491	6,965,698	11,630,189
Reserves due to results of LAT (Liability Adequacy Test)	0	0	0	0	0	0
Reserves due to shadow accounting adjustments	21,902	0	21,902	37,974	0	37,974
Variation due to variation of scope of consolidation IFRS 5	0	0	0	0	0	0
TOTAL LIFE INSURANCE RESERVE	4,564,529	7,831,039	12,395,568	4,702,465	6,965,698	11,668,163
Claims reserves	59,467	42,792	102,259	55,765	42,663	98,427
Profit sharing reserve ⁽²⁾	62,498	83,406	145,904	56,660	69,978	126,638
Unearned premium reserves (UPR)	0	0	0	0	0	0
Other technical reserves	139	0	139	699	0	699
Variation due to variation of scope of consolidation IFRS 5	0	0	0	0	0	0
TOTAL GROSS TECHNICAL RESERVES LIFE	4,686,633	7,957,237	12,643,869	4,815,588	7,078,339	11,893,927

(1) Discretionary participation feature (DPF).

(2) Discretionary profit sharing is a contractual but conditional right to receive additional benefits in addition to a guaranteed return. At the moment when the annual business plan is drawn up, an estimate is made of the total conditional profit sharing, decided to include on the balance sheet. The valuation rules stipulate that for the part of this estimate for which no technical provisions have been booked through the profit and loss account, this is presented on balance in a separate category of equity.

The gross technical reserves for Life decreased by EUR 750 million to EUR 11.9 billion as at 31 December 2019 compared to EUR 12.6 billion as at 31 December 2018. In current low interest rate environment, we note a continued shift from Branch 21 products towards alternative investment forms such as Branch 23 or Branch 44 products. As a result, a substantial part of the Branch 21 investment contracts coming at maturity are not reinvested in new Branch 21 investment contracts.

The dedicated reserves due to shadow accounting adjustments increased by EUR 16 million in line with the evolution of the asset portfolio.

The profit sharing reserve decreased by EUR 19 million from EUR 146 million as at 31 December 2018 to EUR 127 million as at 31 December 2019.

Belfius has used the results of the liability adequacy test (LAT) to assess the adequacy of its technical provisions for low interest rates and other risks which demonstrated that the technical provisions were sufficient.

The total reserves in application of the shadow accounting amount to EUR 38 million as at end of 2019 against EUR 22 million as at 31 December 2018. The amount of EUR 22 million was transferred from the Gains and losses not recognised in the statement of income to the technical reserve Life by application of shadow accounting to insurance contracts with segregated fund management. By comparing the financial assets measured at fair value through other comprehensive income with the technical provisions the need for shadow loss adjustment was determined. More specifically, the impact on the technical reserves is analysed if the financial instruments measured at fair value through other comprehensive income are effectively realized and reinvested at current market conditions. Based on this exercise, the Best Estimate (BE) relating to the Life insurance policies is higher than the recognised Life technical provisions. However as the difference is more than covered by the unrecognized capital gains on assets covering those Life insurance portfolios, no shadow loss adjustment is therefore to be booked in 2019.

The profit sharing reserve included in the technical provisions decreased with EUR 19 million and amounted to EUR 146 million as at 31 December 2018 versus EUR 127 million end of 2019. This evolution is stemming from:

- The provision for the committed participation feature remained stable at EUR 24 million as at 31 December 2019 compared to 31 December 2018. The dotation in 2019 of EUR 19 million to the main portfolio Life will be granted to the individual contracts for EUR 17 million, the remained will be allocated to "committed but not granted profit sharing", bringing this provision to EUR 5 million.
- The dotation to the segregated accounts amounted to EUR 2 million, similar to last year.
- The evolution of the discretionary profit sharing element for the coming years included in the profit sharing reserve decreased by EUR 19 million from EUR 122 million as at 31 December 2018 to EUR 103 million as at end of 2019, recompensating the dotation of current year to the main portfolio Life.

At the end of 2019, the estimate of the discretionary participation features amounted to EUR 174 million, of which EUR 24 million was part of the 2019 profit-sharing provision and EUR 150 million related to an estimate for the coming years. From the EUR 150 million relating to the coming years, EUR 103 million was included in technical provisions through the income statement, the balance, EUR 47 million, was recognized through equity.

At the end of 2018, the estimate of the discretionary participation features amounted to EUR 203 million, of which EUR 24 million was part of the 2018 profit-sharing provision and EUR 179 million related to an estimate for the coming years. From the EUR 179 million relating to the coming years, EUR 122 million was included in technical provisions through the income statement, the balance, EUR 57 million, was recognized through equity.

B. Share of reinsurers

	31/12/18			31/12/19		
	Insurance contracts	Investment contracts with DPF ⁽¹⁾	Total	Insurance contracts	Investment contracts with DPF ⁽¹⁾	Total
(In thousands of EUR)						
Share of reinsurers in Life insurance reserve	11,935	0	11,935	12,750	0	12,750
Share of reinsurers in claims reserves	455	0	455	388	0	388
Share of reinsurers in unearned premium reserves (UPR)	0	0	0	0	0	0
Share of reinsurers in profit sharing reserves	0	0	0	0	0	0
Share of reinsurers in other technical reserves	0	0	0	0	0	0
TOTAL SHARE OF REINSURERS IN TECHNICAL RESERVES LIFE	12,390	0	12,390	13,138	0	13,138

(1) Discretionary participation feature (DPF).

C. Discretionary participation feature included in equity

	31/12/18			31/12/19		
	Insurance contracts	Investment contracts with DPF ⁽¹⁾	Total	Insurance contracts	Investment contracts with DPF ⁽¹⁾	Total
(In thousands of EUR)						
Net discretionary participation feature included in equity	0	41,850	41,850	0	33,212	33,212

(1) Discretionary participation feature (DPF).

The discretionary participation feature of insurance contracts included in equity decreased to EUR 33 million (net of tax) as at 31 December 2019 compared to EUR 42 million (net of tax) at 31 December 2018. The provision for future discretionary

participation decreased from EUR 179 million as of 31 December 2018 to EUR 150 million as of 31 December 2019 stemming from the lower interest rate levels in the profit-sharing plan.

D. Reconciliation of changes in Life insurance reserve

(In thousands of EUR)	2018 PF ⁽¹⁾			2019		
	Gross amount contracts	Reinsurance amount	Net amount	Gross amount contracts	Reinsurance amount	Net amount
LIFE INSURANCE RESERVES AS AT 1 JANUARY	13,067,046	172,203	12,894,843	12,395,568	11,935	12,383,633
Reimbursement segregated fund	(348,019)	(174,593)	(173,425)	0	0	0
Net payment received/premiums receivable	742,632	20,509	722,123	701,429	6,337	695,093
Additional reserves due to shadow accounting adjustments	(38,771)	0	(38,771)	16,072	0	16,072
Additional reserves due to results of LAT (Liability Adequacy Test)	0	0	0	0	0	0
Claims paid	(1,056,790)	(5,251)	(1,051,539)	(1,320,205)	(1,490)	(1,318,715)
Results on death and on life	(79,742)	11,362	(91,104)	(83,933)	(317)	(83,616)
Attribution of technical interest	302,424	1,528	300,896	266,000	198	265,803
Transfers	(150,029)	0	(150,029)	(301,632)	0	(301,632)
Other changes	(43,184)	(13,823)	(29,361)	(5,137)	(3,913)	(1,224)
Variation due to variation of scope of consolidation IFRS 5	0	0	0	0	0	0
LIFE INSURANCE RESERVES AS AT 31 DECEMBER	12,395,568	11,935	12,383,633	11,668,163	12,750	11,655,413

(1) Belfius Insurance has performed pro forma figures for 2018 as more detail is given on the evolution of technical provisions.

E. Classification of the reserve by guaranteed interest rate

(In thousands of EUR)	Classification of the reserve ⁽¹⁾			
	31/12/18		31/12/19	
GUARANTEED INTEREST RATE				
> 4.00%	1,215,524	10%	1,153,450	10%
≤ 4.00%	852,235	7%	730,319	6%
≤ 3.50%	1,199,195	10%	1,030,022	9%
≤ 3.00%	2,613,583	21%	1,930,601	17%
≤ 2.50%	1,304,083	11%	967,667	8%
≤ 2.00%	1,705,485	14%	1,745,886	15%
≤ 1.50%	590,844	5%	601,408	5%
≤ 1.00%	1,367,008	11%	1,575,483	14%
≤ 0.50%	1,044,214	8%	1,445,835	12%
Equal to 0%	284,670	2%	252,692	2%
Other	196,825	2%	196,825	2%
TOTAL	12,373,666	100%	11,630,189	100%

(1) Total gross technical reserves Life excluding shadow accounting adjustments.

2. Insurance contracts Non-Life

A. Gross reserves

(In thousands of EUR)	31/12/18	31/12/19
Claims reserves	969,238	986,203
Reserves Unallocated Loss Adjustment Expenses (ULAE)	47,789	43,298
Premium deficiency reserves (Non-Life LAT)	0	0
Reserves for claims incurred but not reported (IBNR)	82,709	88,439
GROSS RESERVES	1,099,735	1,117,940
Other technical reserves	36,799	36,679
Profit sharing reserves	1,701	1,753
Unearned premium reserves (UPR)	138,256	141,188
TOTAL GROSS RESERVES NON-LIFE	1,276,492	1,297,560

The technical provision for Non-Life products increased slightly with EUR 22 million to EUR 1.3 billion as at 31 December 2019 mainly due to an increase in the claims provisions stemming from

the growth in the portfolio and some additional IBNR-reserves within PCI, partially offset by a release of EUR 5 million in line with the Risk Appetite Framework.

B. Share of reinsurers

(In thousands of EUR)	31/12/18	31/12/19
Share of reinsurers in claims reserves	87,044	94,549
SHARE OF REINSURERS	87,044	94,549
Share of reinsurers in other technical reserves	253	206
Share of reinsurers in unearned premium reserves (UPR)	215	182
TOTAL SHARE OF REINSURERS IN TECHNICAL RESERVES NON-LIFE	87,513	94,937

C. Reconciliation of changes in claims reserves

(In thousands of EUR)	2018			2019		
	Gross amount contracts	Reinsurance amount	Net amount	Gross amount contracts	Reinsurance amount	Net amount
CLAIMS RESERVES AS AT 1 JANUARY	1,075,188	93,315	981,873	1,099,735	87,044	1,012,691
Claims paid on previous years	(174,100)	(4,679)	(169,421)	(157,263)	(4,077)	(153,186)
Change in claim charges on previous years	(57,606)	(5,582)	(52,024)	(56,214)	5,345	(61,559)
Liabilities on claims current year	256,252	3,989	252,263	231,682	6,237	225,445
CLAIMS RESERVES AS AT 31 DECEMBER	1,099,735	87,044	1,012,691	1,117,940	94,549	1,023,391

6.6. Provisions and contingent liabilities

1. Analysis of movements

(In thousands of EUR)	Pensions and other employment defined benefit obligations	Other long term employee benefits	Re-structuring ⁽¹⁾	Provisions for litigations ⁽²⁾	Onerous contracts ⁽³⁾	Impairment on financial guarantees and commitments given	Other provisions ⁽²⁾	Total
AS AT 1 JANUARY 2018 PF⁽²⁾	184,937	25,774	62,365	54,403	0	121,266	89,419	538,164
Additional provisions	57,422	2,544	19,028	5,767	6,498	119,123	6,830	217,211
Amount used	(45,474)	(1,501)	(28,148)	(8,712)	(1,875)	0	(11,080)	(96,789)
Unused amounts reversed	(2,917)	(213)	(4,201)	(947)	0	(101,173)	(4,693)	(114,145)
Transfers	(12,496)	0	0	0	0	0	0	(12,496)
Remeasurement pension plans ⁽⁴⁾	94,427	0	0	0	0	0	0	94,427
Foreign exchange adjustments	0	0	0	0	0	380	0	380
Other movements	0	0	0	0	0	0	0	0
AS AT 31 DECEMBER 2018	275,898	26,604	49,044	50,511	4,624	139,595	80,475	626,752

(1) In 2018, a restructuring provision of EUR 5 million was recognised following the decision of Belfius Insurance to focus its wholesale non-life insurance business on the segment of social sector through direct distribution and to put the wholesale non-life-activities through the brokerage channel and bank distribution channel in run-off. This freed-up resources are reallocated to its strong developing non-life insurance business with SME customers through its own (bank and DVV) distribution channels. Furthermore, a reassessment of the Belfius Bank provision for the restructuring plan took place, resulting in an increase of EUR 11 million.

(2) For comparability purposes, Belfius presents tax provisions as part of other provisions.

(3) During 2018 an onerous contract was recognised on a contractual dispute.

(4) The other comprehensive income remeasurement of defined benefit plans decreased compared to year end 2017 mainly due to the negative return on plan assets and the remeasurement of a pension plan for which Belfius is not informed anymore of the fair value of the underlying asset portfolio of its segregated fund at the end of 2018 (we refer to the chapter material litigation for more information).

(In thousands of EUR)	Pensions and other employment defined benefit obligations	Other long term employee benefits	Re-structuring ⁽¹⁾	Provisions for litigations ⁽²⁾	Onerous contracts	Impairment on financial guarantees and commitments given	Other provisions ⁽³⁾	Total
AS AT 1 JANUARY 2019	275,898	26,604	49,044	50,511	4,624	139,595	80,475	626,752
Additional provisions ⁽¹⁾	60,896	3,278	22,147	20,190	0	138,914	4,563	249,987
Amount used	(55,908)	(2,730)	(22,529)	(444)	(385)	0	(6,129)	(88,125)
Unused amounts reversed	(91)	(83)	(130)	(4,613)	0	(147,593)	(2,846)	(155,357)
Transfers	205	0	0	0	0	(27,513)	0	(27,308)
Remeasurement pension plans ⁽⁴⁾	(56,285)	0	0	0	0	0	0	(56,285)
Foreign exchange adjustments	0	0	0	0	0	160	0	160
Other movements ⁽³⁾	0	0	0	0	0	0	(32,480)	(32,480)
AS AT 31 DECEMBER 2019	224,716	27,069	48,533	65,644	4,238	103,562	43,583	517,345

(1) A restructuring provision for the transformation plan in line with Belfius development program amounting to EUR 22 million was recognised. The restructuring provision is used in line with agreed plans and is reviewed annually and adjusted, where necessary.

(2) Provisions for litigations concerns mainly provisions for potential settlements of ongoing disputes with third parties. The provision for potential settlements of ongoing disputes with third parties increased with EUR 16 million due to a larger scope of clients involved.

(3) As from 1 January 2019 uncertainties with respect to income taxes (IFRIC 23) are reflected as a liability under "Tax Liabilities" and thus no longer presented under other provisions.

(4) A significant positive revaluation of the pension liabilities is the result of:

- the positive returns of the assets of the pension plans,
 - the revaluation of the assets at market value of the largest pension plan,
 - the renewed salary policy with adjustment of the "salary growth" hypothesis, and
 - the update of the inflation assumption,
- which compensate the negative impact of the decrease in interest rates on the liabilities.

2. Post-employment benefits

In Belgium, each employee is eligible for a state pension. In addition, Belfius provides pension plan benefits for its employees and in some cases reimburses certain medical costs for retired employees.

The liability for those benefits is calculated and booked into our accounts according to the IAS 19-methodology.

Considering that Belfius has benefit plans for employees mainly located in Belgium, the post-employment benefits are subject to the Belgian market practice and regulations (the plans abroad are not substantial).

Pension plans are mainly settled through the payment of a lump sum even though the option exists to receive a payment as an annuity.

Additional pension plans

A collective labor agreement was concluded within Belfius Bank on 10 June 2019 within the framework of the "Drive 2020" project. In the Reward 2.0 section, a new methodology was agreed for the salary evolution of employees and executives. In accordance with this new methodology, the hypotheses for future wage evolution have also been adjusted. In addition, the same collective agreement stipulated that new employees of Belfius Bank will be connected to a new pension plan from 1 July 2019. This new fixed contribution pension plan is in line with the Belfius Insurance pension plan.

Defined Benefit plans (=DB)

Under defined benefit plans, the employee future benefit depends on various factors such as the employee's length of service and his final salary.

Before 2007 all pension plans of Belfius were defined benefit plans. Belfius employees build up rights in these defined benefit plans, which could vary according to the time of entry into service and according to the entity in which the employees are employed.

As from 1 January 2007 new employees in Belfius Bank were no longer granted access to a defined benefit plan. Instead, a defined contribution plan was introduced for new employees.

Since 1 October 2013 the existing defined benefit plans of Belfius Bank have been closed and all employees became member of the existing defined contribution plans. From that date, the defined benefit plans of Belfius Bank are managed dynamically which makes that the final benefit can only be impacted by a change in salary and members can no longer add service time in these defined benefit plans.

Belfius Insurance had a similar evolution as Belfius Bank. From 1 January 2007 on new employees joined a defined contribution plan, but the employees who entered before that date kept their defined benefit plan as active plan and continue to build up rights into this defined benefit plan. Most pension plans of Belfius Insurance are internally insured and consequently, the non qualifying assets of these pension plans are not included in the reporting of the net pension liabilities.

Defined Contribution plans (= DC)

Under defined contribution plans, the benefit upon retirement depends on the contributions to the plan, both employer and employee contributions, and the investment performance of the fund or insurance contract, and the return guarantees determined by law.

Belgian defined contribution pension plans are by Belgian law subject to minimum guaranteed rates of return on employer contributions and on employee contributions.

This compulsory return implies that Belgian defined contribution plans are defined benefit plans under the requirement of IAS 19.

There are several defined contribution plans within Belfius Bank. The main defined contribution plan is funded by employer and employee contributions. Employer contributions made to the plan are based on seniority and salary. Employee contributions are a fixed percentage of salary. The defined contribution plans of Belfius Bank are all managed in an OFP (organism for financing of pensions).

Belfius Bank's new "fixed contribution" plan that applies to employees recruited from 1 July 2019 provides for a different contribution percentage on the part of the salary below or above the maximum limit for calculating the statutory pension.

Belfius Insurance and Corona also dispose of defined contribution pension plans (branch 21) for their employees (internal insured plans).

From 2018, the guaranteed return on contributions for the "defined contribution" plan was no longer laid down in the plan rules by Belfius Insurance. The applicable return guarantee is from then on based on the statutory return guarantee.

If the pension plan is a branch 21 group insurance, the so-called horizontal method is applicable. The reserves contributions preserve their initial employers guarantee until the final payout. This means that the existing reserves as at 31 December 2015 are still subject to the existing guaranteed 3.75% on employee contributions and 3.25% on the employer contributions until departure. For contributions from 1 January 2016 onwards, the guarantee of 1.75% has become variable. This maximum guarantee can change in the future in function of the OLO 10 years interest rate.

For the defined contribution plans of Belfius Insurance and Corona the horizontal method is applicable.

For the defined contribution plans that are managed within an OFP the so-called vertical method is applicable. This means that the existing guarantee of 3.25% on employers contributions and 3.75% on employee contributions only applies until 31 December 2015.

From 2016, a minimum return guarantee of 1.75% applies to the accrued reserves as well as to the new contributions.

As soon as employees leave Belfius Bank, this minimum return guarantee changes to 0%.

The Belgian defined contribution plans are treated as defined benefit plans for the consolidated financial statements.

Since the contribution rates of the basic DC-plan for employees recruited before 1 July 2019 from Belfius Bank and the DC-plan of Corona increase with seniority, the determination of liabilities are calculated upon the "projected unit credit" method.

This means that the projected benefit at the end of the career is calculated taking into account the future contributions and the salary increases until payout.

The defined benefit obligations (DBO) is obtained by using the ratio of past service time to the projected service time and by calculating an actualisation using the applicable discount rate.

For the other DC-plans of Belfius, the calculation of the benefits is awarded to the already existing service time just based on the already paid contributions. The projected defined benefit obligation of those plans is also including an actualisation using the appropriate discount rate.

In all cases, if the defined benefit obligation calculated as described above, is lower than the individual account or the benefit obligation at the end of the year taking into account the legal interest rates, then the highest of these three values is included in the liabilities of Belfius.

A. Movement in the defined benefit liability (asset)

(In thousands of EUR)	Present value of obligation	Plan assets at fair value	Deficit/ (surplus)	Asset ceiling	Net liability/ (asset)
AS AT 1 JANUARY 2018	1,906,450	(1,747,620)	158,830	13,776	172,606
Service cost					
Current service cost	53,425	0	53,425	0	53,425
Past service cost and (gain)/loss on settlements	0	0	0	0	0
Administrative expenses	0	2,175	2,175	0	2,175
Interest income - Interest expense	31,627	(29,217)	2,410	265	2,675
(A) EXPENSE AND INCOME RECOGNIZED IN P&L	85,052	(27,042)	58,010	265	58,275
Remeasurements (gain)/loss					
Effect of changes in demographic assumptions	941	0	941	0	941
Effect of changes in financial assumptions	(21,407)	0	(21,407)	0	(21,407)
Effect of experience adjustments	7,231	0	7,231	0	7,231
Return on plan assets (excl. interest income)	0	117,301	117,301	0	117,301
Changes in the effect of asset ceiling (excluding interest income/ expense)	0	0	0	(9,613)	(9,613)
(B) REMEASUREMENTS (GAIN)/LOSS RECOGNIZED IN OCI	(13,235)	117,301	104,066	(9,613)	94,452
DEFINED BENEFIT COST INCLUDED (A)+(B)	71,817	90,259	162,076	(9,348)	152,728
Contributions					
Employer	0	(44,952)	(44,952)	0	(44,952)
Plan participants	2,964	(2,964)	0	0	0
Payments					
Benefit payments	(87,847)	83,237	(4,610)	0	(4,610)
Settlement payments	0	0	0	0	0
Other					
Effect of business combinations and disposals	0	0	0	0	0
Foreign exchange adjustments	(263)	274	12	(12)	0
AS AT 31 DECEMBER 2018	1,893,121	(1,621,766)	271,355	4,416	275,771

(1) By the end of 2018, 91.4% of the total pension liabilities are related to funded pension plans, 6.4% are related to non qualifying assets, and 2.2% are related to unfunded pension liabilities.

(In thousands of EUR)	Present value of obligation	Plan assets at fair value	Deficit/ (surplus)	Asset ceiling	Net liability/ (asset)
AS AT 1 JANUARY 2019	1,893,121	(1,621,766)	271,355	4,416	275,771
Service cost					
Current service cost	54,566	0	54,566	0	54,566
Past service cost and (gain)/loss on settlements	0	0	0	0	0
Administrative expenses	0	2,288	2,288	0	2,288
Interest income - Interest expense	33,651	(29,745)	3,907	102	4,009
(A) EXPENSE AND INCOME RECOGNIZED IN P&L	88,217	(27,457)	60,761	102	60,863
Remeasurements (gain)/loss					
Effect of changes in demographic assumptions	943	0	943	0	943
Effect of changes in financial assumptions ⁽¹⁾	135,118	0	135,118	0	135,118
Effect of experience adjustments	(11,272)	0	(11,272)	0	(11,272)
Return on plan assets (excl. interest income) ⁽²⁾	0	(181,095)	(181,095)	0	(181,095)
Changes in the effect of asset ceiling (excluding interest income/ expense)	0	0	0	66	66
(B) REMEASUREMENTS (GAIN)/LOSS RECOGNIZED IN OCI⁽³⁾	124,789	(181,095)	(56,306)	66	(56,240)
DEFINED BENEFIT COST INCLUDED (A)+(B)	213,006	(208,552)	4,455	168	4,623
Contributions					
Employer	0	(47,385)	(47,385)	0	(47,385)
Plan participants	3,140	(3,140)	0	0	0
Payments					
Benefit payments	(89,142)	80,785	(8,356)	0	(8,356)
Settlement payments	0	0	0	0	0
Other					
Effect of business combinations and disposals	0	0	0	0	0
Foreign exchange adjustments	2,004	(2,101)	(97)	90	(7)
AS AT 31 DECEMBER 2019⁽⁴⁾	2,022,130	(1,802,158)	219,972	4,675	224,646

(1) Effect of changes to the financial assumptions:

→ The fall in the discount rate by an average of 0.75% resulted in a significant increase in pension obligations.

→ A new system for future wage increases was introduced in 2019, based on which the "salary growth" hypothesis was adjusted.

→ The inflation hypothesis was also lowered from 1.75% to 1.65% in line with Belgian reality.

→ The changes in the "salary growth" and "inflation" assumptions reduce future liabilities, but the impact of the fall in interest rates is much more important.

(2) Return on plan assets:

→ The positive return of the assets of the pension plans in 2019 is further reinforced by the revaluation at market value of the most important pension plan, whereby the assets were still valued in 2018 on the basis of reserves and the insurer's tariff obligations on these reserves.

(3) A significant positive revaluation of the pension liabilities is the result of:

→ the positive returns of the assets of the pension plans,

→ the revaluation of the assets at market value of the largest pension plan,

→ the renewed salary policy with adjustment of the "salary growth" hypothesis, and

→ the update of the inflation assumption,

which compensate the negative impact of the decrease in interest rates on the liabilities.

(4) By the end of 2019,

→ 91.0% of the total pension liabilities are related to funded pension plans,

→ 6.8% are related to non qualifying assets, and

→ 2.2% are related to unfunded pension liabilities.

B. Fair value of plan assets

(In thousands of EUR)	31/12/18	31/12/19
Plan assets at fair value		
Cash and cash equivalents	4,741	15,854
Equity instruments	151,447	316,341
Debt securities ⁽¹⁾	453,730	1,367,098
Real estate	15,682	9,927
Insurance contracts ⁽¹⁾	996,166	92,938
TOTAL	1,621,766	1,802,158

(1) The most important pension plan is again valued at market value in 2019. In 2018 the valuation was due to a lack of information about the market value based on the reserves and the tariff obligation of the insurer on these reserves.

(See also footnote 2 to the table above)

C. Assumptions for Belgian plans

	31/12/18	31/12/19
Discount rate	1.81%	1.08%
Inflation rate	1.75%	1.65%
Salary growth rate (age-linked)	0.75% - 3.00%	0.35% - 3.00%

Assumptions

The discount rate is based on an AA corporate bond yield curve.

The inflation parameter is based on the average wage inflation of the last 10 years, the inflation assessment of the financial markets and the long-term outlook published by the European Central Bank.

Belfius uses the Belgian mortality tables that through age corrections are adapted to the current generally longer service life.

D. Sensitivity⁽¹⁾ of the present value of the Defined Benefit Obligation at end of year to changes of assumptions

	-50 bps	+50 bps
Discount rate	6.50%	-5.50%
Inflation rate	-3.40%	3.86%
Real salary increase	-2.43%	2.97%

E. Weighted average duration of the benefit obligation

	31/12/18	31/12/19
Belgium	11.32	11.22

F. Risks and ALM

The key risks to which pension plans managed by the Belfius pension fund (OFP) are exposed, relate to interest rate, inflation, longevity and age of retirement. The management of the pension plans has been delegated to an "Investment Committee" and is mainly liability driven in its investment policy. A formalised investment framework ("Statement of Investment Principles") has been set-up to ensure a well-diversified and dedicated investment portfolio. The pension plans' liabilities are evaluated at least once a year. On a regular basis, an ALM study (with cash flow analysis and stress tests) is performed to determine and analyse the sensitivities of the plans to i.e. interest rate and inflation shocks. These form an important driver for the investment committee in its deliberations on the asset allocation of the investment portfolio. Day-to-day management of this portfolio and the plans' liquidity aspects have been entrusted to an external asset manager who, on a regular basis, delivers a report of its activities to the investment committee.

The pension plans managed as group insurance branch 21 have the same risks, but the risks of interest rate and longevity are partly covered by the insurer.

3. Contingent liabilities and legal litigations

A. Commitments to Single Resolution Fund

Belfius has opted in the past to pay part of its contribution of the Single Resolution Fund through an Irrevocable Payment Commitment. This payment commitment is fully covered by cash collateral. See also note 8.5 "Commitments to Single Resolution Fund".

B. Commitments to Belfius Bank Branches

As a result of the amended company legislation, the legal form of the Belfius branches has been converted from Cooperative Society (CVBA) to Limited Liability Company (Commanditaire Vennootschap (CommV)) as from 2020. In this context, as from 1 January 2020, Belfius Bank grants a guarantee to the managing partners of these limited partnerships for their unlimited liability.

C. Legal litigations

Belfius (Belfius Bank and its consolidated subsidiaries) is involved as a party in a number of litigations in Belgium, arising in the ordinary course of its business activities, including those where it is acting as an insurer, capital and credit provider, employer, investor and tax payer.

Belfius recognises provisions for such litigations when, in the opinion of its management taking into account all available elements, including an analysis by its company lawyers and external legal advisors as the case may be,

- a present obligation has arisen as a result of past events,
- it is probable that Belfius will have to make a payment, and
- the amount of such payment can be estimated reliably.

With respect to certain other litigations against Belfius, of which management is aware, no provision has been made according to the principles outlined here above, as the management is of the opinion, after due consideration of appropriate advice, that, while it is often not feasible to predict or determine the ultimate outcome of all pending litigations, such litigations are without legal merit, can be successfully defended, or that the outcome of these actions is not expected to result in a significant loss.

In the opinion of Belfius, the most important cases are listed below, regardless of whether a provision has been made or not. Their description does not deal with elements or evolutions that do not have an impact on the position of Belfius. If the cases listed below were to be successful for the opposite parties, they could eventually result in monetary consequences for Belfius. Such impact remains unquantifiable at this stage. Note that, apart from the cases listed below, a vigilance has been observed in the prevention of money laundering (AML) in the Belgian financial sector. In this context, as is customary, Belfius is collaborating with the Belgian authorities and monitors this closely.

Housing Fund of the Brussels Capital Region

On 9 October 2012, the Housing Fund of the Brussels Capital Region (Woningfonds van het Brussels Hoofdstedelijk Gewest/ Fonds du Logement de la Région de Bruxelles-Capitale) summoned Belfius Bank before the Brussels Commercial Court. The Housing Fund subscribed for a total amount of EUR 32,000,000 to 4 treasury notes issued by Municipal Holding (Gemeentelijke Holding/Holding Communale), placed by Belfius acting as dealer under the Municipal Holding commercial paper program, between July and September 2011 (Commercial Paper program). Due to severe financial difficulties encountered by the Municipal Holding, the Housing Fund granted a voluntary waiver to the Municipal Holding on 24 November 2011 and received repayment for EUR 16 million. The Municipal Holding entered into liquidation in December 2011. Due to the intervention of Belfius as dealer of the treasury notes, the Housing Fund demands the payment by Belfius Bank of the non-repaid capital. As the loss incurred on this investment is the result of a voluntary waiver of the claim by the Housing Fund, which matches half of the investment, Belfius Bank rejects the demand from the Housing Fund.

On 27 March 2014, the Brussels Commercial Court accepted the claim application by the Housing Fund, but declared it unfounded. The Housing Fund lodged an appeal against this judgement on 3 June 2014.

There was no significant evolution in this claim since 2016. The date of the hearings is not yet known. No provision has been made for this claim.

Arco - Cooperative shareholders

Various parties, including Belfius Bank, have been summoned by Arco - Cooperative shareholders in three separate procedures, i.e. one procedure before the Dutch speaking Commercial Court of Brussels, one procedure before the Court of First Instance of

Antwerp, Section Turnhout and another procedure before the Court of First Instance of Brussels:

→ On 30 September 2014, 737 shareholders from 3 companies of the Arco Group (Arcopar, Arcoplus and Arcofin) initiated (with support of Deminor) proceedings against the Arco entities and Belfius Bank before the Dutch speaking Commercial Court of Brussels (the "Deminor Proceedings"). On 19 December 2014, 1,027 additional shareholders of the Arco entities joined in the Deminor Proceedings. On 15 January 2016, 405 additional shareholders of the Arco entities joined the Deminor Proceedings, resulting in a total of 2,169 plaintiffs. The plaintiffs have requested that the Brussels Court rule, among other things, that:

- the agreements by virtue of which they became shareholders of the relevant Arco entities are null and void;
- the defendants should, jointly and severally, reimburse the plaintiffs their financial contribution in these entities plus interest; and
- the defendants are liable for certain additional damages to the plaintiffs.

The financial contribution of the 2,169 plaintiffs for which reimbursement is sought amounted to approximately EUR 6.5 million (principal amount) as at the date of this Report. The plaintiffs' claims in the Deminor Proceedings are based on allegations of fraud and/or error on the part of the Arco entities and Belfius Bank. In the alternative, the plaintiffs have argued that Belfius Bank breached its general duty of care as a normal and prudent banker. In relation to Belfius Bank, the plaintiffs have referred to certain letters and brochures allegedly containing misleading information issued by the predecessors of Belfius Bank. The Belgian State and the Chairman of the Management Board of the Arco entities are also defendants in the proceedings before the Commercial Court of Brussels. Belfius Bank has submitted its first legal briefs in August 2018 and has submitted its second legal briefs in March 2020. The case will normally be pleaded during several pleading sessions in June 2021.

→ Separately from the abovementioned proceedings before the Commercial Court of Brussels, on 24 October 2016, three shareholders in Arcopar initiated court proceedings (the "Turnhout Proceedings") against Belfius Bank before the Court of First Instance of Antwerp, section Turnhout. The plaintiffs in the Turnhout Proceedings request that Belfius Bank is to be held liable to pay an "undetermined provisional amount of 2,100 EUR" per plaintiff plus interest and costs, because they claim that Belfius Bank misled them in subscribing Arcopar-shares. As at the date of this Report, the aggregate amount of the claims of the plaintiffs in the Turnhout Proceedings amounted to approximately EUR 6,300 EUR (principal amount). The plaintiffs base their claims upon promotional material that was distributed by the predecessors of Belfius Bank as well as the Arco entities and the former Belgian Christian collective of workers' associations (ACW). On 27 February 2017, Belfius Bank summoned Arcopar to intervene in the

Turnhout Proceedings and to indemnify Belfius Bank for any amount for which it would be held liable towards the plaintiffs. In subsidiary order, the plaintiffs have also filed a claim against Arcopar and Belfius Bank requesting that their subscription of Arcopar shares is to be declared null and void. On 3 April 2018, the plaintiffs also summoned the Belgian State to intervene in the Turnhout Proceedings. All parties requested the Court to transfer this case to the Court of First Instance of Brussels. The Court decided on 19 November 2018 to grant the requested transfer and this procedure is now joined with the procedure before the Court of First Instance of Brussels.

- Furthermore, on 7 February 2018, 2 cooperative shareholders summoned the Belgian State before the Court of First Instance of Brussels because they state that the Belgian State has made a fault by promising and introducing a guarantee scheme for shareholders of financial cooperative companies (like the Arco cooperative shareholders) which has been considered illicit state aid by the European Commission. These 2 plaintiffs also summoned Belfius Bank on 7 February 2018 to intervene in this procedure, and claim compensation from Belfius Bank because they consider that Belfius Bank erred in the sale of the Arco shares. Groups of Arco-shareholders organized themselves via social media to mobilize other Arco shareholders to become claimant in this procedure, and to the knowledge of Belfius, as of end December 2019, approximately 5,380 Arco shareholders did so. There is not yet a pleading calendar in this case.

No provision has been made for these claims because Belfius Bank is of the opinion that it has sufficient valid arguments to result in these claims being declared inadmissible and/or without merit.

Ethias

Belfius was party to a litigation with Ethias. This litigation, which was initiated in 2016, concerned one of Belfius' complementary pension plans managed by Ethias within the framework of a group insurance contract. In 2019, Belfius and Ethias reached an out-of-court settlement, as a result of which Belfius and Ethias agreed to withdraw and stop their legal actions on the matter in September 2019.

Funding Loss

Belfius Bank is facing some legal actions regarding the issue of indemnities charged for funding losses incurred by the Bank. The latter are charged to professional clients in the case of early repayment of professional credits. These indemnities are calculated in line with the current legal dispositions and the contractual framework of such credits to reflect the financial losses that are actually incurred by the Bank in the case of early repayment of a professional credit. Belfius booked provisions to cover the potential adverse outcome of litigation proceedings. These provisions are reassessed on an ongoing basis, taking into account the evolution of Belgian case law.

Investigations into Panama Papers

These paragraphs are mentioned for completeness only, although the matters below do not comprise a litigation. On 5 December 2017, a police search under the lead of an examining magistrate of Brussels (onderzoeksrechter/juge d'instruction) took place at Belfius Bank's head office in the framework of the Belgian "Panama Papers" Parliamentary Commission. The Bank was investigated as a witness and has not been accused of any wrongdoing. The scope of the investigation is to establish whether there are any violations of anti-money laundering obligations and to investigate the link between Belfius Bank (or its predecessors), and, amongst others, Experta and Dexia Banque Internationale à Luxembourg (i.e. former entities of the Dexia group) to date, Belfius Bank did not receive any further information since the above mentioned police search.

6.7. Subordinated debts

1. Not measured at fair value through profit or loss

(In thousands of EUR)	Amortised Cost	
	31/12/18	31/12/19
CONVERTIBLE SUBORDINATED DEBT	0	0
NON-CONVERTIBLE SUBORDINATED DEBT	1,219,469	1,157,266
Loan capital perpetual subordinated notes	159,385	159,380
Loan capital non-perpetual subordinated notes	1,060,084	997,887
TOTAL	1,219,469	1,157,266
HYBRID CAPITAL AND REDEEMABLE PREFERENCE SHARES	0	0

Subordinated debts decreased by EUR 0.1 billion, or 5.1%, to EUR 1.2 billion as at 31 December 2019, compared to EUR 1.2 billion as at 31 December 2018, stemming from the repayment of subordinated debts coming to maturity for EUR 66 million.

Belfius also anticipated on new regulatory requirements (CRR2) and substituted two debts formerly issued by Belfius Financing Company by Belfius Bank issues, whereby the debt was repaid and reissued for an amount of EUR 165 million.

2. Measured at fair value through profit or loss

Nil.

3. Analysis cash flows and non-cash changes

(In thousands of EUR)	31/12/18	31/12/19
OPENING BALANCE	1,198,968	1,219,469
CASH FLOWS		
Issuance of subordinated debts	198,952	168,905
Repayments of subordinated debts	(190,254)	(234,905)
NON-CASH CHANGES		
Foreign exchange adjustments	10,341	4,901
Effective Interest rate	1,461	(1,103)
CLOSING BALANCE	1,219,469	1,157,266

4. Analysis by maturity and interest rate

See notes 9.4, 9.5. and 9.6.

5. Analysis of the fair value

See note 9.1.

6. Data for each subordinated debt

Ref. No.	Currency	Amount in thousands of currency units	Maturity date or method for determining the duration	a) Circumstances for early redemption b) Conditions for subordination c) Conditions for convertibility	Conditions of compensations	Value in regulatory capital in thousands EUR
1.	EUR	29,982	01/03/22	a) not applicable b) no specific conditions c) none	Euribor 3m + 43bp	12,984
2.	EUR	44,966	04/04/22	a) not applicable b) no specific conditions c) none	6%	20,316
3.	EUR	17,500	undetermined (call date: 29/12/23)	a) possible with the agreement of the ECB, from the date of the call, then at the end of each period of 12 years b) no specific conditions c) none	4.609% till 29/12/23, then IRS 12y + 200bp	17,500
4.	EUR	17,500	undetermined (call date: 29/12/22)	a) possible with the agreement of the ECB, from the time of the call, on 29/12/29 and then at the end of each period of 10 years b) no specific conditions c) none	1.734% till 29/12/22, then IRS 7y + 200bp	17,500
5.	EUR	50,000	undetermined (call date: 15/07/23)	a) possible with the agreement of the ECB, from the date of the call, then at the end of each period of 12 years b) no specific conditions c) none	5.348% till 15/07/23, then IRS 12y + 200bp	50,000
6. ⁽¹⁾	JPY	10,000,000	11/09/25	a) not applicable b) no specific conditions c) none	6.1%, multicurrency	82,014
7. ⁽¹⁾	JPY	10,000,000	11/09/25	a) not applicable b) no specific conditions c) none	6.05%, multicurrency	82,014
8.	EUR	72,000	undetermined (call date: 01/01/25)	a) possible with the agreement of the ECB, from the date of the call, then at the end of each year b) no specific conditions c) none	6.25% till 01/01/25, then Euribor 3m + 417bp	72,000
9.	EUR	547,001	11/05/26	a) not applicable b) no specific conditions c) none	3.125%	547,001
10.	EUR	196,259	15/03/28 (call date: 15/3/23)	a) possible with the agreement of the ECB, at the date of the call b) no specific conditions c) none	1.625% till 15/03/23, then IRS 5y + 123bp	196,259
11. ⁽²⁾	EUR	497,083	undetermined (call date: 16/4/25)	a) possible with the agreement of the ECB, from the date of the call, then semi-annually b) no specific conditions c) none	3.625% till 16/04/25, then resettable every 5 years	497,083

(1) As the interest structure embedded in the contract is considered as not closely related to the host contract; it has been bifurcated and is presented as a separate derivative on the balance sheet.

(2) Issue of EUR 500 million (nominal value) Additional Tier-1 instruments (AT1), that qualify as additional equity under CRR/CRD IV. The AT1 security has been analysed in respect with IAS 32 and is considered as an equity instrument and is not included in the total of the disclosure 6.7 (subordinated debts).

6.8. Other liabilities

(In thousands of EUR)	31/12/18	31/12/19
OTHER LIABILITIES (NOT RELATING TO INSURANCE ACTIVITIES)	1,347,371	1,289,532
Accrued costs	154,511	122,614
Deferred income	23,430	22,027
Subsidies	0	0
Other granted amounts received	153	245
Salaries and social charges (payable)	130,460	129,527
Shareholder dividends payable	0	0
Operational taxes	48,045	53,658
Long-term construction contracts	0	0
Pending payments to clients and debts to service providers	525,370	516,118
Pending payments from lease contracts	130,369	126,741
Pending payments from factoring activities	335,033	318,601
Deferred DOP	0	0
OTHER LIABILITIES SPECIFIC TO INSURANCE ACTIVITIES	152,699	147,692
Debts for deposits from assignees	81,571	87,211
Debts resulting from direct insurance transactions	52,269	45,703
Debts resulting from reinsurance transactions	18,658	14,778
Other insurance liabilities	202	0
TOTAL	1,500,070	1,437,224

VII. Notes on the consolidated statement of income

(some amounts may not add up due to rounding)

Significant items included in the statement of income

We refer to the chapter "Financial results" in the management report.

7.1. Interest income – interest expense

(In thousands of EUR)	31/12/18	31/12/19
INTEREST INCOME	3,399,369	3,441,636
INTEREST INCOME OF FINANCIAL ASSETS MEASURED AT AMORTISED COST	2,517,807	2,519,139
Loans and advances due from credit institutions	17,370	22,297
Loans and advances	1,923,601	1,916,189
Debt securities issued by public sector	367,632	365,960
Other debt securities	208,305	213,489
Other	898	1,204
INTEREST INCOME OF FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OCI	117,575	100,616
Debt securities issued by public sector	74,526	63,357
Other debt securities	43,049	37,259
INTEREST INCOME OF FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS	696,874	762,338
Financial assets held for trading	6,377	9,521
Non-trading financial assets mandatorily measured at fair value	97,542	93,734
Loans and advances	71,318	58,493
Debt securities issued by public sector	1,572	841
Other debt securities	24,652	34,401
Derivatives held for trading	152,688	180,182
Derivatives as hedging instruments	440,266	478,901
INTEREST INCOME ON FINANCIAL LIABILITIES (NEGATIVE YIELD)	67,113	59,543
MODIFICATION GAIN ON FINANCIAL LIABILITIES	0	0
INTEREST EXPENSE	(1,527,831)	(1,541,463)
INTEREST EXPENSE OF FINANCIAL LIABILITIES NOT MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS	(364,269)	(339,262)
Cash and balances with central banks	0	0
Credit institutions borrowings and deposits	(15,806)	(13,569)
Customers borrowings and deposits	(103,403)	(116,264)
Debt securities issued	(210,804)	(175,463)
Lease liabilities ⁽¹⁾		(833)
Subordinated debts	(32,343)	(30,958)
Other	(1,912)	(2,174)
INTEREST EXPENSE OF FINANCIAL LIABILITIES MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS	(1,066,108)	(1,117,653)
Financial liabilities held for trading	(1,485)	(4,160)
Financial liabilities designated at fair value	(90,572)	(96,724)
Derivatives held for trading	(167,641)	(173,433)
Derivatives as hedging instruments	(806,410)	(843,336)
INTEREST EXPENSE ON FINANCIAL ASSETS (NEGATIVE YIELD)	(97,454)	(84,548)
MODIFICATION LOSS ON FINANCIAL ASSETS	0	0
NET INTEREST INCOME	1,871,539	1,900,173

(1) Relates to the finance cost recognised under IFRS 16. We refer to note 3 "Accounting principles on a consolidated basis".

Net interest income increased by EUR 28.6 million, or 1.5%, to EUR 1,900 million for the year ended 31 December 2019 from EUR 1,872 million for the year ended 31 December 2018 mainly thanks to higher volumes in commercial assets combined with

a strict pricing discipline despite the pressure of the lower interest rate environment especially on non maturing deposits interest margins, as well as lower outstandings in Branch 21 and re-investments at lower market yields.

7.2. Dividend income

(In thousands of EUR)	31/12/18	31/12/19
Financial assets held for trading	3,536	6,500
Financial assets measured at fair value through other comprehensive income	67,445	63,779
Non-trading financial assets mandatorily measured at fair value through profit or loss	0	0
TOTAL	70,981	70,279

7.3. Net income from equity method companies

(In thousands of EUR)	31/12/18	31/12/19
Income from equity method companies before tax	2,606	5,876
Share of tax	(861)	(958)
Impairments on goodwill	0	0
TOTAL	1,745	4,918

Net income from equity method companies increased mainly due to the results of Isabel SA.

7.4. Net income from financial instruments at fair value through profit or loss

(In thousands of EUR)	31/12/18	31/12/19
Net trading income	95,579	60,808
Net result of financial assets designated at fair value through profit or loss and result from the related derivatives	0	0
Result of financial assets non-trading mandatorily measured at fair value through profit or loss	(72,735)	(14,782)
Loans and advances	(50,358)	(7,549)
Debt securities issued by public sector	4,332	(3,496)
Other Debt securities	(26,689)	(3,757)
Equity instruments	(20)	20
Net result of financial liabilities designated at fair value through profit or loss and result from the related derivatives (except own credit risk)	1,699	754
Net result of hedge accounting	(35,188)	49,367
TOTAL	(10,644)	96,148

Net income from financial instruments measured at fair value through profit or loss increased with EUR 106.8 million to EUR 96.1 million for the year ended 31 December 2019, compared to EUR -10.7 million for the year ended 31 December 2018.

Net trading income

The net trading income decreased with EUR 35 million to EUR 60 million for the year ended 31 December 2019 mainly due to the decrease of interest rates compared to year end 2018 despite the improvements in credit spread. Net trading income was positively impacted by market evolution, amongst others credit spreads in 2019. Note that the total amount recorded on the balance sheet as credit value adjustments stands at EUR -73 million end 2019 (compared to EUR -97 million end 2018), whereas total amount on the balance sheet of the debit value adjustment amounts to EUR 2 million end 2019 (compared to EUR 5 million end 2018). The total amount on the balance sheet related to funding value adjustments amounts to EUR -52 million end 2019 (compared to EUR -45 million end 2018).

The total P&L impact in the line net trading income for credit value adjustments amounted to EUR 25 million in 2019 (compared to -12 million in 2018) mainly thanks to the improved credit

spreads, for debit value adjustments EUR -3 million in 2019 (compared to +1 million in 2018) and for funding value adjustments EUR -7 million in 2019 (compared to EUR -3 million in 2018) following a refinement of the calculation methodology in line with structural market evolutions.

Result of financial assets non-trading mandatorily measured at fair value through profit or loss

The net result from financial instruments was positively impacted by improved credit spreads as well as low interest rates resulting in positive fair value changes on mainly funds at Belfius Insurance (considered as non-SPPI compliant bonds) and non-SPPI compliant structured loans.

Net result of hedge accounting

In 2018, the net result of hedge accounting was negatively impacted by basis risks.

Note that Belfius is managing basis risks through additional derivatives (economic hedges for basis risks) for which no hedge accounting is set up, as a result the impact of these hedges were recorded in the net trading income line.

Result of hedge accounting

(In thousands of EUR)	31/12/18	31/12/19
FAIR VALUE HEDGES	(32,980)	54,882
Fair value changes of the hedged item attributable to the hedged risk	(140,597)	250,117
Fair value changes of the hedging derivatives	107,617	(195,234)
CASH FLOW HEDGES	0	0
PORTFOLIO HEDGE	(2,208)	(5,515)
Fair value changes of the hedged item	(275,869)	422,315
Fair value changes of the hedging derivatives	273,661	(427,830)
TOTAL	(35,188)	49,367

(In thousands of EUR)	31/12/18	31/12/19
DISCONTINUATION OF CASH FLOW HEDGE ACCOUNTING (CASH FLOWS STILL EXPECTED TO OCCUR) - AMOUNTS RECORDED IN INTEREST MARGIN	87	(2)

All effectiveness tests were respected at all times.

For more details we refer to note 5.6 derivatives.

7.5. Net income on investments and liabilities

(In thousands of EUR)	31/12/18	31/12/19
FINANCIAL ASSETS AT AMORTISED COST (NOT IMPAIRED)	4,143	5,788
Realised gains on debt securities issued by public sector	1	1
Realised gains on other debt securities	4,142	5,788
FINANCIAL ASSETS AT FAIR VALUE THROUGH OCI (NOT IMPAIRED)	304,231	57,456
Realised gains on debt securities issued by public sector	296,284	55,302
Realised gains on other debt securities	7,948	2,154
ASSETS HELD FOR SALE	47,368	0
Realised gains on Assets Held for Sale ⁽¹⁾	47,368	0
OTHER	11,608	3,692
Realised gains on Tangible fixed assets	7,730	3,060
Other realised gains	3,450	632
FINANCIAL LIABILITIES AT AMORTISED COST	1	0
Realised gains on financial Liabilities	1	0
TOTAL GAINS	367,351	66,936
FINANCIAL ASSETS AT AMORSISED COST (NOT IMPAIRED)	(13,275)	(12,927)
Realised losses on other debt securities	(13,275)	(12,859)
FINANCIAL ASSETS AT FAIR VALUE THROUGH OCI (NOT IMPAIRED)	(232,351)	(622)
Realised losses on debt securities issued by public sector	(231,719)	(231)
Realised losses on other debt securities	(633)	(391)
ASSETS HELD FOR SALE	(1)	(10)
Realised losses on Assets Held for Sale	(1)	(10)
OTHER	(10)	(181)
Realised losses on Tangible fixed assets	(10)	(181)
FINANCIAL LIABILITIES AT AMORTISED COST	(9)	(6)
Realised losses on financial Liabilities	(9)	(6)
TOTAL LOSSES	(245,647)	(13,745)
TOTAL NET INCOME ON INVESTMENTS AND LIABILITIES	121,704	53,190

(1) This line item contains the proceeds of the sale of NEB participations and the capital gain on the acquisition of Auxipar in 2018.

Net income on investments and liabilities decreased by EUR 68.5 million, or 56.3 %, to EUR 53.1 million for the year ended 31 December 2019, compared to EUR 121.7 million for the year ended 31 December 2018.

In 2018 the net income on investments and liabilities was mainly impacted by the sale of the equity stake of Belfius in "NEB Participations" with realised gain of EUR 23.6 million, and the revaluation of its historical stake in Auxipar (now called Capline) following step up acquisition, with revaluation impact of EUR 23 million. Belfius Insurance realised capital gains on divestments in bonds for EUR 60 million in 2018, part of these capital gains (EUR 25 million) were realized following the settlement of a

segregated fund and are almost entirely compensated by an opposite movement in the technical result from insurance activities Life. The Belfius' Banking Group realized a gain of EUR 10 million following the sale of certain Italian government bond and swap packages, for a notional amount of EUR 0.8 billion, in line with Belfius' objective to decrease its related concentration risk.

In 2019, Belfius Insurance realised EUR 57 million of gains mainly on the sale of bonds in order to amongst others manage its duration gap and to somewhat decrease its concentration risk on Belgian government bonds.

The table below provides a summary of the realised gains and losses from derecognition on not impaired and impaired financial instruments. These realised gains and losses can be accounted for in the line-item "Net income on investments and liabilities" for not impaired debt instruments measured at fair value through OCI (note 7.5.) or in the line-item "Impairments on financial instruments and provisions for credit commitments" for impaired debt instruments and not impaired loans and advances (note 7.13).

1. Realised gains or losses arising from derecognition of debt instruments measured at amortised cost (impaired and not impaired)

(In thousands of EUR)	31/12/18	31/12/19
REALISED GAINS FROM DERECOGNITION OF NOT IMPAIRED FINANCIAL ASSETS MEASURED AT AMORTISED COST	5,627	7,890
Realised gains on loans and advances	709	1,057
Realised gains on debt securities issued by public sector	188	289
Realised gains on other debt securities	4,729	6,544
REALISED GAINS ARISING FROM DERECOGNITION OF IMPAIRED FINANCIAL ASSETS MEASURED AT AMORTISED COST	19,346	18,187
Realised gains on impaired loans and advances	19,345	18,187
Realised gains on impaired other debt securities	1	0
REALISED LOSSES ARISING FROM DERECOGNITION OF NOT IMPAIRED FINANCIAL ASSETS MEASURED AT AMORTISED COST	(15,516)	(29,652)
Realised losses on Loans and advances	(1,913)	(2,029)
Realised losses on other debt securities	(13,520)	(27,476)
REALISED LOSSES ARISING FROM DERECOGNITION OF IMPAIRED FINANCIAL ASSETS MEASURED AT AMORTISED COST	(18,913)	(17,410)
Realised losses on impaired Loans and advances	(18,913)	(17,410)

2. Realised gains or losses arising from derecognition of debt instruments measured at fair value through other comprehensive income (impaired and not impaired)

(In thousands of EUR)	31/12/18	31/12/19
REALISED GAINS FROM DERECOGNITION OF NOT IMPAIRED FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	304,231	57,456
Realised gains on debt securities issued by public sector	296,284	55,302
Realised gains on other debt securities	7,948	2,154
REALISED GAINS ARISING FROM DERECOGNITION OF IMPAIRED FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	0	0
REALISED LOSSES ARISING FROM DERECOGNITION OF NOT IMPAIRED FINANCIAL ASSETS FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	(232,351)	(622)
Realised losses on debt securities issued by public sector	(231,719)	(231)
Realised losses on other debt securities	(633)	(391)
REALISED LOSSES ARISING FROM DERECOGNITION OF IMPAIRED FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	0	0

7.6. Fee and commission income – expense

(In thousands of EUR)	31/12/18			31/12/19		
	Income	Expense	Net	Income	Expense	Net
Commissions on unit trusts and mutual funds managed by third parties	296,262	(65,011)	231,251	293,353	(58,952)	234,401
Insurance activity	117,193	(9,842)	107,351	121,292	(7,688)	113,603
Credit activity	36,389	(9,136)	27,254	38,767	(8,390)	30,377
Purchase and sale of securities	17,714	(1,792)	15,922	16,995	(862)	16,133
Purchase and sale of unit trusts and mutual funds	20,990	(25)	20,965	24,725	(29)	24,696
Payment services	165,012	(60,227)	104,784	175,202	(62,111)	113,091
Commissions to not exclusive brokers	1,554	(11,172)	(9,618)	1,577	(14,281)	(12,705)
Financial engineering	0	0	0	0	0	0
Services on securities other than safekeeping	5,871	(1,178)	4,694	5,332	(1,146)	4,186
Custody	28,141	(2,855)	25,286	28,254	(3,301)	24,953
Issues and placements of securities	1,039	(4,277)	(3,239)	4,280	(5,035)	(755)
Servicing fees of securitisation	222	0	222	206	(125)	80
Advisory services and discretionary management	25,754	(2,870)	22,883	27,796	(5,314)	22,481
Clearing and settlement	6,566	(4,348)	2,218	7,617	(4,209)	3,407
Securities lending	6,820	(1)	6,819	6,280	(3)	6,277
Financial guarantees	4,839	(5,976)	(1,137)	4,772	(5,426)	(654)
TOTAL	734,366	(178,710)	555,656	756,445	(176,873)	579,572

Net fee and commission income increased with EUR 23.9 million, or 4.3 %, to EUR 579.6 million for the year ended 31 December 2019, compared to EUR 555.7 million for the year ended 31 December 2018. The increase was principally attributed to

an increase in commission income on payment services, asset management fees and insurance activity. The commission income on insurance and credit activity was positively impacted by the growth in mortgage loans.

7.7. Insurance results

Note that Belfius has opted to present the figures on technical provisions including intragroup transactions between bank and insurance entities, as these mainly relate to insurance contracts concluded between the bank and insurance entities and distribution commissions that Belfius Insurance pays to Belfius Bank.

(In thousands of EUR)	31/12/18	31/12/19
GROSS EARNED PREMIUMS		
In the consolidated income statement (as presented on statement of income)	1,488,048	1,463,046
Intragroup transactions	8,594	6,864
Gross earned premiums including intragroup transactions	1,496,642	1,469,910

1. Overview per activity

A. Consolidated statement of income

(In thousands of EUR)	31/12/18				31/12/19			
	Life	Non-Life	Non-Technical	Total	Life	Non-Life	Non-Technical	Total
INCOME	283,427	198,514	17,261	499,202	294,528	199,047	28,429	522,004
Technical result ⁽¹⁾	(212,542)	158,652	0	(53,890)	(183,759)	163,784	0	(19,975)
Gross earned premiums	796,928	699,714	0	1,496,642	758,545	711,365	0	1,469,910
Other technical income and charges	(1,009,469)	(541,062)	0	(1,550,532)	(942,305)	(547,580)	0	(1,489,885)
Financial result	476,610	38,988	18,542	534,140	458,052	34,410	33,045	525,506
Interest income, Interest expense, Dividend income	424,419	37,892	20,247	482,558	402,646	36,753	24,542	463,940
Net income on investments and liabilities	68,330	1,312	6,822	76,463	55,197	(7)	1,973	57,163
Net income from equity method companies, Net income from financial instruments at fair value through profit or loss, Other income, Other expense	(16,138)	(216)	(8,528)	(24,881)	210	(2,336)	6,530	4,403
Fee and commission income, Fee and commission expense	19,359	874	(1,281)	18,953	20,235	853	(4,615)	16,473
EXPENSES	(68,158)	(157,192)	(5,303)	(230,652)	(69,569)	(159,265)	(18,539)	(247,373)
Impairments on loans and advances and provisions for credit commitments, Impairments on goodwill	1,768	134	428	2,330	4,584	748	1,296	6,628
Impairments on tangible and intangible assets	0	0	0	0	0	0	(5,386)	(5,386)
NET INCOME BEFORE TAX	217,038	41,456	12,385	270,879	229,543	40,529	5,801	275,873
Tax (expense) income	(52,196)	(10,356)	(2,864)	(65,415)	(58,728)	(10,418)	(1,455)	(70,601)
NET INCOME	164,842	31,100	9,522	205,464	170,815	30,112	4,345	205,272
Attributable to non-controlling interests	409	0	530	939	458	0	(1,874)	(1,415)
Attributable to equity holders of the parent	164,434	31,100	8,992	204,526	170,357	30,112	6,219	206,687

(1) Statement of income IX. Technical result from insurance activities.

B. Consolidated balance sheet

(In thousands of EUR)	31/12/18				31/12/19			
	Life	Non-Life	Non-Technical	Total	Life	Non-Life	Non-Technical	Total
TECHNICAL PROVISIONS OF INSURANCE COMPANIES								
Technical provisions - insurance activities	12,643,869	1,276,492		13,920,361	11,893,927	1,297,560		13,191,487
Technical provisions unit-linked	2,837,971			2,837,971	3,671,372			3,671,372
Technical provisions - share of reinsurers	12,390	87,513		99,902	13,138	94,937		108,074

Technical result from insurance activities Life and Non-Life improved with EUR 33.9 million to a loss of EUR 19.9 million for the year ended 31 December 2019, compared to a loss of EUR 53.9 million for the year ended 31 December 2018.

The technical result from insurance activities Life improved with EUR 29 million. The allocation of technical interests decreased with EUR 37 million due to the declining outstanding in Life Branch 21 and a decreasing average guaranteed interest rate on the remaining volumes. In 2018, Belfius assessed the Life technical provisions, in line with the Life Risk Appetite Framework, taking into account the remaining uncertainties, model risks and sensitivities, and a positive P&L impact of EUR 45 million was recognised. Over 2019 the same and continuously performed reassessment resulted in no P&L impact. Note that in 2018, the technical result Life was negatively impacted following the settlement of a segregated fund, offset by an opposite movement in the net income on investments and liabilities.

In Non-Life, the technical margin improved with EUR 5 million. The cost for natural catastrophes increased over 2019 by EUR 11 million. This evolution was more than offset by an overall good loss result in the second half year in Retail & Commercial Non-Life insurance activities. Following the reassessment of the technical provisions Non-Life in line with the decrease of uncertainties above our Non-Life Risk Appetite Framework, EUR 5 million release of claims provisions was booked in 2019 compared to EUR 10 million in 2018. The negative evolution in some branches Non-Life is mainly explained by large claims and additional reserving in existing claims in PCI Non-Life, an activity in which the portfolio formerly distributed through the broker and bank distribution channel was put in run-off. Note that the technical result in the branch "accepted reinsurance" was supported by the release of EUR 2 million technical provisions related to TRIP.

2. Gross earned premiums Life

(In thousands of EUR)	31/12/18			31/12/19		
	Insurance contracts	Investment contracts with DPF	Total	Insurance contracts	Investment contracts with DPF	Total
Gross premiums written	498,703	298,225	796,928	481,081	277,465	758,545
Change in gross unearned premium reserves (UPR)	0	0	0	0	0	0
GROSS EARNED PREMIUMS	498,703	298,225	796,928	481,081	277,465	758,545

(In thousands of EUR)	31/12/18	31/12/19
GROSS PREMIUMS WRITTEN LIFE	796,928	758,545
Direct business	796,235	758,370
Accepted reinsurance	693	175

(In thousands of EUR)	31/12/18	31/12/19
GROSS PREMIUMS WRITTEN UNIT-LINKED	413,077	368,917

3. Non-Life insurance by product group

	Gross earned premiums	Claims incurred and other technical expenses	Acquisition commissions	Technical result from ceded reinsurance	Net income on capital	Operating expenses	Other	Net income before tax
(In thousands of EUR)								
TOTAL AS AT 31 DECEMBER 2018	699,714	(375,567)	(134,937)	(30,559)	38,988	(157,192)	1,008	41,456
ACCEPTED REINSURANCE	1,858	(1,831)	(207)	(283)	1,123	(3)	(7)	650
DIRECT BUSINESS	697,856	(373,736)	(134,730)	(30,276)	37,865	(157,189)	1,015	40,806
All risks/accidents	118,021	(67,736)	(24,433)	(3,230)	7,713	(28,308)	(68)	1,960
Cars/third party liability	175,886	(81,365)	(28,779)	(7,711)	16,721	(42,651)	(133)	31,968
Cars/other branches	100,703	(57,756)	(18,673)	(776)	1,252	(24,561)	(11)	178
Fire and other damage to property	237,905	(104,601)	(57,308)	(17,956)	6,350	(45,690)	(56)	18,643
Other ⁽¹⁾	65,341	(62,277)	(5,537)	(603)	5,829	(15,980)	1,283	(11,944)

	Gross earned premiums	Claims incurred and other technical expenses	Acquisition commissions	Technical result from ceded reinsurance	Net income on capital	Operating expenses	Other	Net income before tax
(In thousands of EUR)								
TOTAL AS AT 31 DECEMBER 2019	711,365	(391,947)	(137,219)	(18,414)	34,410	(159,265)	1,601	40,529
ACCEPTED REINSURANCE	818	142	(99)	3,595	1,075	(12)	(38)	5,482
DIRECT BUSINESS	710,546	(392,089)	(137,121)	(22,009)	33,334	(159,254)	1,639	35,047
All risks/accidents	118,910	(68,776)	(24,439)	(5,264)	8,246	(30,199)	101	(1,422)
Cars/third party liability	178,596	(86,947)	(29,345)	(4,293)	16,368	(43,377)	150	31,151
Cars/other branches	103,385	(60,623)	(18,957)	(804)	(1,484)	(25,001)	12	(3,472)
Fire and other damage to property	246,252	(121,284)	(59,759)	(12,023)	6,769	(47,707)	83	12,331
Other ⁽¹⁾	63,403	(54,458)	(4,621)	375	3,435	(12,969)	1,293	(3,541)

(1) Includes Credit and suretyship, non-life distribution, health and accidents at work.

7.8. Other income

	31/12/18	31/12/19
(In thousands of EUR)		
Rental income from investment property ⁽¹⁾	31,406	41,850
Other rental income	4,279	4,274
Other banking income	772	1,082
Write-back of provisions for litigations ⁽²⁾	9,327	5,057
Real estate projects	5,742	11,905
Asset Finance activities	92,826	87,152
Other income on other activities ⁽³⁾	49,314	65,249
OTHER INCOME	193,666	216,569

(1) Rental income from investment property increased in line with real estate investments.

(2) We refer to note 6.6 "Provisions and contingent liabilities" for a detailed description. Please note that the additional provisions for litigations are recorded in other expense (we refer to note 7.9).

(3) An increase in other income on other activities can be noted due to the derecognition of certain old liabilities.

7.9. Other expense

(In thousands of EUR)	31/12/18	31/12/19
Sector levies ⁽¹⁾	(221,919)	(222,343)
Repair and maintenance on investment properties that generated income during the current financial year	(6,303)	(5,515)
Other banking expenses	(13)	(18)
Provisions for litigations ⁽²⁾	(5,767)	(20,190)
Real estate projects	(3,939)	(9,414)
Asset Finance activities	(81,662)	(76,016)
Other expense on other activities ⁽³⁾	(69,965)	(78,791)
OTHER EXPENSE	(389,568)	(412,287)

(1) Sector levies are specific taxes for financial institutions or insurers, it includes

→ the Deposit Guarantee Scheme contributions,

→ Subscription tax,

→ Financial Stability Contribution and

→ the contributions to the Single Resolution Fund.

Belfius has opted in the past to pay part of its contribution to the Single Resolution Fund through an Irrevocable Payment Commitment. This payment commitment was fully covered by cash collateral. Belfius has recorded EUR 17.5 million in its off balance sheet accounts (stable compared to 2018).

(2) The provision for potential settlements of ongoing disputes with third parties has increased with EUR 16 million due to a larger scope of clients involved.

(3) "Other expenses on other activities" includes other operational expenses, depreciation and amortization on investment property, and other operational taxes.

7.10. Staff expense

(In thousands of EUR)	31/12/18	31/12/19
Wages and salaries	(440,897)	(439,793)
Social security and insurance costs	(118,438)	(121,849)
Pension costs-defined benefit plans ⁽¹⁾	(56,942)	(57,780)
Pension costs-defined contribution plans ⁽¹⁾	(240)	(351)
Other postretirement obligations (reversal / use)	(396)	(348)
Share-based payments	0	0
Other long-term employee benefits	(830)	(465)
Restructuring expenses (reversal / use) ⁽¹⁾	14,463	625
Other expense	(11,460)	(16,817)
TOTAL	(614,740)	(636,777)

(1) We refer to note 6.6 "Provisions and contingent liabilities" for a detailed description.

Staff expense increased by EUR 22.0 million, or 3.6 %, to EUR 636.8 million for the year ended 31 December 2019, compared to EUR 614.7 million for the year ended 31 December 2018. This increase was mainly driven by important investments in human capital related to the development of new activities, combined

with a strict cost control program. Furthermore a restructuring provision for the transformation plan in line with Belfius development program amounting to EUR 22 million was recognized as of 31 December 2019. Note that in 2018 a restructuring provision of EUR 11 million was recognized.

Average FTE as at 31 december 2018	Belgium	Luxembourg	Ireland	Fully consolidated
Senior Executives	153	1	2	156
Employees	6,191	4	5	6,200
TOTAL	6,344	5	7	6,356
of which banking group	5,062	3	7	5,072
of which insurance group	1,282	2	0	1,284

Average FTE as at 31 december 2019	Belgium	Luxembourg	Ireland	Fully consolidated
Senior Executives	140	1	1	142
Employees	6,190	4	6	6,200
TOTAL	6,330	5	7	6,342
of which banking group	5,056	3	7	5,066
of which insurance group	1,274	2	0	1,276

7.11. General and administrative expense

(In thousands of EUR)	31/12/18	31/12/19
Occupancy	(26,109)	(26,820)
Leases (except technology and system costs)	(7,749)	(1,362)
Professional fees	(59,937)	(58,952)
Marketing advertising and public relations	(50,277)	(41,990)
Technology and system costs	(155,380)	(163,611)
Software costs and research and development costs	(50,994)	(33,836)
Repair and maintenance expenses	(409)	(266)
Restructuring costs other than staff	0	0
Insurance (except related to pension)	(3,689)	(3,241)
Transportation of mail and valuable	(16,988)	(12,891)
Operational taxes	(57,958)	(55,244)
Other general and administrative expense	(67,449)	(90,305)
TOTAL	(496,938)	(488,519)

General and administrative expense decreased by EUR 8.4 million, or 1.7 %, to EUR 488.5 million for the year ended 31 December

2019, compared to EUR 496.9 million for the year ended 31 December 2018. This decrease was mainly driven by strict cost control.

7.12. Depreciation and amortisation of fixed assets

(In thousands of EUR)	31/12/18	31/12/19
Depreciation of buildings	(27,342)	(24,060)
Depreciation of other tangible assets	(9,479)	(8,321)
Depreciation of right-of-use assets ⁽¹⁾	0	(5,304)
Amortisation of intangible assets ⁽²⁾	(58,184)	(77,224)
TOTAL	(95,004)	(114,909)

(1) EUR 5 million on depreciation of right-of-use assets has been recognised in 2019 as a result of the first time application of IFRS 16.

(2) Following continuous investments in digitalization and innovation as well as the renewal of the core banking and insurance applications, more own development costs are being activated. As a result the amortisation of intangible assets increased.

7.13. Impairments on financial instruments and provisions for credit commitments

1. Summary Totals

(In thousands of EUR)	31/12/18	31/12/19
Impairment on financial instruments and off balance commitments - Stage 1	(17,343)	(32,787)
Impairment on financial instruments and off balance commitments - Stage 2	22,576	27,001
Impairment on financial instruments, other assets and off balance commitments - Stage 3	(71,630)	(105,652)
TOTAL	(66,397)	(111,438)

Impairments on financial instruments and provision for credit commitments increased by EUR 45.0 million, to EUR 111.4 million for the year ended 31 December 2019, compared to EUR 66.4 million for the year ended 31 December 2018. The impairment cost of 2018 was positively impacted due to reversals from the sale of certain Italian government bonds in line with Belfius' objective to decrease its related concentration risk as well as

from portfolio management and positive evolutions in credit files. In 2019 the impairment cost was negatively impacted as additional impairments were recorded on a limited number of corporate files that entered stage 3, especially during H2 2019. Stage 1 impairment increased with EUR 33 million in 2019 mainly following the continuous development of Belfius' commercial franchise.

2. Impairment on financial instruments and off balance commitments - Stage 1

(In thousands of EUR)	31/12/18				
	Allowances	Write-backs	Capital gains	Capital losses	Total
Loans and advances due from credit institutions	(169)	93	0	0	(76)
Loans and advances	(122,247)	98,317	0	0	(23,930)
Debt securities	(1,525)	745	0	0	(780)
Off balance commitments	(34,495)	41,937	0	0	7,442
TOTAL	(158,436)	141,093	0	0	(17,343)

(In thousands of EUR)	31/12/19				
	Allowances	Write-backs	Capital gains	Capital losses	Total
Loans and advances due from credit institutions	(400)	158	0	0	(241)
Loans and advances	(131,244)	96,056	0	0	(35,188)
Debt securities	(942)	964	0	0	21
Off balance commitments	(31,155)	33,776	0	0	2,621
TOTAL	(163,741)	130,954	0	0	(32,787)

Stage 1 impairment increased with EUR 33 million in 2019 mainly following the continuous development of Belfius' commercial franchise.

3. Impairment on financial instruments and off balance commitments - Stage 2

(In thousands of EUR)	31/12/18				
	Allowances	Write-backs	Capital gains	Capital losses	Total
Loans and advances due from credit institutions	(19)	32	0	0	13
Loans and advances	(130,557)	141,209	709	(1,913)	9,449
Debt securities	(28,938)	44,406	774	(328)	15,914
Off balance commitments	(51,491)	48,691	0	0	(2,800)
TOTAL	(211,005)	234,338	1,484	(2,241)	22,576

(In thousands of EUR)	31/12/19				
	Allowances	Write-backs	Capital gains	Capital losses	Total
Loans and advances due from credit institutions	(76)	20	0	0	(56)
Loans and advances	(112,444)	126,965	1,057	(2,029)	13,550
Debt securities	(9,954)	28,203	1,044	(14,697)	4,597
Off balance commitments	(40,258)	49,169	0	0	8,911
TOTAL	(162,732)	204,357	2,101	(16,725)	27,001

Stage 2 impairment decreased with EUR 27 million in 2019 mainly due to transfers from stage 2 towards stage 3, as well as reversals of expected credit losses on off balance sheet

commitments. Note that 2018 was positively impacted by the sale of Italian government bonds.

4. Impairment on financial instruments, other assets and off balance commitments - Stage 3

(In thousands of EUR)	31/12/18						
	Allowances	Write-backs	Write-offs	Capital gains	Capital losses	Recoveries	Total
Loans and advances due from credit institutions	0	0	0	0	0	0	0
Loans and advances	(285,178)	237,847	(7,401)	6,926	(18,913)	18,764	(47,954)
Debt securities	0	0	0	1	0	0	0
Off balance commitments	(29,355)	6,861	0	0	0	0	(22,494)
Other assets ⁽¹⁾	(2,048)	866	0	0	0	0	(1,182)
TOTAL	(316,582)	245,574	(7,401)	6,927	(18,913)	18,764	(71,630)

(In thousands of EUR)	31/12/19						
	Allowances	Write-backs	Write-offs	Capital gains	Capital losses	Recoveries	Total
Loans and advances due from credit institutions	0	0	0	0	0	0	0
Loans and advances	(311,387)	182,257	(7,583)	6,864	(17,410)	17,401	(129,858)
Debt securities	0	0	0	0	0	0	0
Off balance commitments	(4,953)	29,625	0	0	0	0	24,672
Other assets ⁽¹⁾	(586)	1,598	0	0	(1,478)	0	(466)
TOTAL	(316,926)	213,481	(7,583)	6,864	(18,888)	17,401	(105,652)

(1) This concerns impairments on mainly other insurance assets, subject to impairment and reported under other assets on the balance sheet.

Stage 3 impairment increased with EUR 106 million in 2019 resulting from additional impairments on a limited number of corporate files, especially during H2 2019.

7.14. Impairments on tangible and intangible assets

(In thousands of EUR)	31/12/18	31/12/19
Impairment on investment property	(1,212)	161
Impairment on land and buildings	(766)	(1,536)
Impairment on other tangible assets	0	0
Impairment on assets held for sale	0	0
Impairment on long-term construction contracts	0	0
Impairment on intangible assets	(146)	(5,386)
Impairment on right-of-use assets	0	0
TOTAL	(2,124)	(6,761)

The impairments on tangible and intangible assets increased by EUR 4.6 million to a loss of EUR 6.7 million for the year ended 31 December 2019, compared to a loss of EUR 2.1 million for the year ended 31 December 2018. An impairment of EUR 5.4 million was recorded on intangible assets invested for the project Jane, whereby Belfius aims to offer a sensor enabled monitoring

solution for the elderly whereby they'll be able to stay longer in their own homes without special assistance. The management decided on this adjustment following the revised businessplan which presents a break-even point of income further in time, taking into account new commercial assumptions.

7.15. Impairments on goodwill

Nil

The annual impairment test did not require an impairment on goodwill. The impairment test was performed by comparing the equity value of Belfius Insurance with the "value in use". This value in use was determined based on a discounted cash flow model with the following inputs:

- financial plan for 5 years;
- discount rate: a cost of equity of 10%; and
- a long term growth rate for Belgium of 0,5%.

Note that the financial plan has only a limited impact on the impairment test. The main drivers are the discount curve and long term growth rate. Based on that scenario, a surplus could be identified, note that there have been no change in parameters compared to last year.

For 2018 and 2019, all scenarii (ranging from a growth rate from -2% to +2% and a discount rate of 6% to 12%) showed that no impairment was required. The assumptions for these scenarii are aligned with the expected evolution of the results in the financial plan and with the market conditions for capital costs. Only if the required cost of equity (discount curve) amounts to 17% together with a growth rate of 0,0%, would an impairment start to become necessary. At a cost of equity of 10%, impairment would start at a negative growth rate of 13% after realisation of the financial plan.

7.16. Tax (expense) income

(In thousands of EUR)	31/12/18			31/12/19		
	Tax on current year result (B)	Other tax expense	Total	Tax on current year result (B)	Other tax expense	Total
Current tax expense / income: Income tax on current year	(160,972)		(160,972)	(236,125)		(236,125)
Current tax expense / income: Income tax on previous year		17,726	17,726		25,495	25,495
Current tax expense / income: Provision for tax litigations		(2,260)	(2,260)		514	514
TOTAL CURRENT TAXES			(145,506)			(210,116)
Deferred taxes on current year	(71,229)		(71,229)	(45,597)		(45,597)
Deferred taxes on previous year		(151)	(151)		3,806	3,806
TOTAL DEFERRED TAXES			(71,381)			(41,791)
TOTAL	(232,201)	15,315	(216,886)	(281,722)	29,815	(251,907)
TAX ON CURRENT YEAR RESULT			(232,201)			(281,722)
OTHER TAX EXPENSE			15,315			29,815
TOTAL			(216,886)			(251,907)
STANDARD CALCULATED TAX RATE			25.02%			27.44%

Effective corporate income tax charge

(In thousands of EUR)	31/12/18	31/12/19
NET INCOME BEFORE TAX	866,876	918,010
Income and losses from companies accounted for by the equity method	1,745	4,918
TAX BASE (A)	865,131	913,092
Statutory tax rate	29.58%	29.58%
TAX EXPENSE USING STATUTORY RATE	255,906	270,093
Tax effect of rates in other jurisdictions	(8,610)	1,584
Tax effect of non-taxable revenues ⁽¹⁾	(31,930)	(13,734)
Tax effect of non-tax deductible expenses	17,320	21,659
Tax effect of utilisation of previously unrecognised tax losses	121	0
Tax effect on tax benefit not previously recognised in profit or loss	(1,557)	0
Tax effect from reassessment of unrecognised deferred tax assets	(9,859)	9,399
Tax effect of change in tax rates	16,826	2,968
Items taxed at a reduced rate	0	0
Other increase (decrease) in statutory tax charge	(6,016)	(10,246)
TAX ON CURRENT YEAR RESULT (B)	232,201	281,722
Tax base	865,131	913,092
EFFECTIVE TAX RATE (B)/(A)	26.8%	30.9%

(1) Mainly definitively tax-exempted income (dividends and capital gains on shares).

The total tax expense, including current and deferred taxes on current and previous years, increased with EUR 35.0 million, or 16.1%, to EUR 251.9 million for the year ended 31 December 2019, compared to EUR 216.9 million for the year ended 31 December 2018. Based on this total tax expense, we obtain a standard calculated tax rate of 27.44% for 2019, whereas the effective tax rate only takes into account the current year taxes, resulting in a percentage of 30.9%.

In 2019, the tax expense was mainly impacted by the recognition of a tax asset on the innovation income deduction and the reversal of tax uncertainties of the past. Compared to 2018, the negative impact of having less untaxed capital gains in 2019 is mostly offset by a smaller effect of change in tax rates as most

DTA's were expected to reverse in 2020 or later and thus were already reassessed to 25% by end 2018.

In 2018, the tax expense was mainly impacted by the recognition of a tax asset on the innovation income deduction by Belfius Bank, the expected recovery of the fairness tax by Belfius Insurance following the decision of the Constitutional Court to repeal the law and the closing of the Dublin branch which had a positive impact on the current tax for EUR 31 million. As a result, the standard calculated tax rate of 2018 amounts to 25%. The reassessment of (net) deferred tax assets following the Belgian corporate income tax reform has a negative impact on Belfius net results of EUR 17 million.

Other notes to the consolidated financial statements

VIII. Notes on the consolidated off-balance sheet items

(some amounts may not add up due to roundings)

8.1. Regular way trade

(In thousands of EUR)	31/12/18	31/12/19
Loans to be delivered and purchases of assets	1,484,815	3,696,014
Borrowings to be received and sales of assets	6,998,340	4,995,038

8.2. Guarantees

(In thousands of EUR)	31/12/18	31/12/19
Guarantees given to credit institutions	1,180,557	1,170,819
Guarantees given to customers	4,075,552	4,318,971
Guarantees received from credit institutions ⁽¹⁾	902,575	1,259,648
Guarantees received from customers	30,133,568	30,276,274

(1) This amount includes the personal guarantees and similar rights of recourse obtained for derivatives.

8.3. Loan commitments

(In thousands of EUR)	31/12/18	31/12/19
Unused lines granted to credit institutions	213,660	215,121
Unused lines granted to customers	26,071,945	27,520,705
Unused lines obtained from credit institutions	11,775	4,292
Unused lines obtained from customers	0	0

8.4. Other commitments to financing activities

(In thousands of EUR)	31/12/18	31/12/19
Insurance activity – Commitments given	0	0
Insurance activity – Commitments received	67,520	73,913
Banking activity – Commitments given ⁽¹⁾	22,783,793	21,984,819
Banking activity – Commitments received	75,903,870	85,486,469

(1) Mainly related to repurchase agreements and collateralisation of loans with the European Central Bank and other central banks.

For more details regarding the liquidity position, we refer to the “Risk Management” section in the Management Report.

The section “Banking activity- commitments given” also includes the underlying assets of the covered bond programs. The special

estate of the mortgage covered bond program contains mainly residential mortgage loans for a total amount of EUR 8.7 billion (nominal) at the end of 2018 and 8.1 billion (nominal) at the end of December 2019. See also note 6.4 “Debt securities issued and other financial liabilities”.

8.5. Commitments – contingent liabilities

(In thousands of EUR)	31/12/18	31/12/19
Single Resolution Fund- Commitments given ⁽¹⁾	17,473	17,473
Other contingent liabilities	143	143

(1) Sector levies are specific taxes for financial institutions or insurers, it includes:

(i) the Deposit Guarantee Scheme contributions,

(ii) Subscription tax,

(iii) Financial Stability Contribution and

(iv) the contributions to the Single Resolution Fund.

Belfius has opted in the past to pay part of its contribution to the Single Resolution Fund through an Irrevocable Payment Commitment. This payment commitment was fully covered by cash collateral. Belfius has recorded EUR 17.5 million in its off balance sheet accounts (stable compared to 2018).

8.6. Bond lending and bond borrowing transactions

(In thousands of EUR)	31/12/18	31/12/19
Securities lending	1,622,279	2,107,974
Securities borrowing	0	0

In the context of its liquidity management, Belfius enters from time to time into bond lending transactions against fees.

IX. Notes on risk exposure

(some amounts may not add up due to rounding)

9.1. Fair value

1. Fair value of financial instruments

A. Breakdown of fair value of assets

(In thousands of EUR)	31/12/18		
	Carrying amount	Fair value	Difference
Cash and balances with central banks	8,314,303	8,314,303	0
Loans and advances due from credit institutions	13,106,846	13,106,404	(442)
Measured at amortised cost	13,106,846	13,106,404	(442)
Measured at fair value through other comprehensive income	0	0	0
Measured at fair value through profit or loss	0	0	0
Loans and advances	91,122,512	96,690,717	5,568,204
Measured at amortised cost	89,302,446	94,870,650	5,568,204
Measured at fair value through other comprehensive income	0	0	0
Measured at fair value through profit or loss	1,820,067	1,820,067	0
Debt securities	27,077,665	27,865,078	787,413
Measured at amortised cost	21,610,561	22,397,974	787,413
Measured at fair value through other comprehensive income	3,850,257	3,850,257	0
Measured at fair value through profit or loss	1,616,847	1,616,847	0
Equity instruments	1,491,101	1,491,101	0
Measured at fair value through other comprehensive income	1,365,896	1,365,896	0
Measured at fair value through profit or loss	125,205	125,205	0
Unit linked products insurance activities	2,837,971	2,837,971	0
Derivatives	12,767,585	12,767,585	0
Gain/loss on of the hedged item in portfolio hedge of interest rate risk	4,590,806	4,590,806	0
Non current assets (disposal group) held for sale and discontinued operations	19,047	29,761	10,714
TOTAL	161,327,837	167,693,726	6,365,889

(In thousands of EUR)	31/12/19		
	Carrying amount	Fair value	Difference
Cash and balances with central banks	6,715,928	6,715,928	0
Loans and advances due from credit institutions	16,207,838	16,207,834	(4)
Measured at amortised cost	16,207,838	16,207,834	(4)
Measured at fair value through other comprehensive income	0	0	0
Measured at fair value through profit or loss	0	0	0
Loans and advances	94,944,479	101,378,367	6,433,889
Measured at amortised cost	93,391,477	99,825,365	6,433,889
Measured at fair value through other comprehensive income	0	0	0
Measured at fair value through profit or loss	1,553,002	1,553,002	0
Debt securities	27,814,658	29,722,426	1,907,768
Measured at amortised cost	22,476,427	24,384,195	1,907,768
Measured at fair value through other comprehensive income	3,795,542	3,795,542	0
Measured at fair value through profit or loss	1,542,689	1,542,689	0
Equity instruments	1,674,908	1,674,908	0
Measured at fair value through other comprehensive income	1,461,737	1,461,737	0
Measured at fair value through profit or loss	213,171	213,171	0
Unit linked products insurance activities	3,671,372	3,671,372	0
Derivatives	13,304,709	13,304,709	0
Gain/loss on of the hedged item in portfolio hedge of interest rate risk	4,881,797	4,881,797	0
Non current assets (disposal group) held for sale and discontinued operations	23,826	36,360	12,534
TOTAL	169,239,513	177,593,699	8,354,187

B. Breakdown of fair value of liabilities

(In thousands of EUR)	31/12/18		
	Carrying amount	Fair value	Difference
Cash and balances from central banks	3,962,322	3,940,904	(21,418)
Borrowings and deposits	85,528,120	85,657,094	128,973
Measured at amortised cost	85,476,557	85,605,530	128,973
Measured at fair value through profit or loss	51,563	51,563	0
Debt securities issued and other financial liabilities	26,686,872	27,231,576	544,705
Measured at amortised cost	19,274,694	19,819,398	544,705
Measured at fair value through profit or loss	7,412,178	7,412,178	0
Unit linked products insurance activities	2,837,971	2,837,971	0
Derivatives	17,740,280	17,740,280	0
Gain/loss on the hedged item in portfolio hedge of interest rate risk	165,078	165,078	0
Subordinated debts	1,219,469	1,310,888	91,420
Measured at amortised cost	1,219,469	1,310,888	91,420
Measured at fair value through profit or loss	0	0	0
Liabilities included in disposal group and discontinued operations	0	0	0
TOTAL	138,140,112	138,883,791	743,679

(In thousands of EUR)	31/12/19		
	Carrying amount	Fair value	Difference
Cash and balances from central banks	4,016,777	4,032,187	15,409
Borrowings and deposits	91,269,273	91,434,298	165,025
Measured at amortised cost	91,216,500	91,381,525	165,025
Measured at fair value through profit or loss	52,773	52,773	0
Debt securities issued and other financial liabilities	27,654,505	28,303,226	648,721
Measured at amortised cost	19,341,686	19,990,407	648,721
Measured at fair value through profit or loss	8,312,819	8,312,819	0
Unit linked products insurance activities	3,671,372	3,671,372	0
Derivatives	18,630,116	18,630,116	0
Gain/loss on the hedged item in portfolio hedge of interest rate risk	262,708	262,708	0
Subordinated debts	1,157,266	1,266,835	109,569
Measured at amortised cost	1,157,266	1,266,835	109,569
Measured at fair value through profit or loss	0	0	0
Liabilities included in disposal group and discontinued operations	0	0	0
TOTAL	146,662,018	147,600,741	938,724

The increase in fair value of the loan portfolio is mainly linked to the lower interest rate environment compared to year-end 2018. Note that an internal estimate of the future potential prepayment rate has been considered in the determination of the fair value.

For some assets and liabilities, Belfius estimates that the fair value approximates the carrying value (as explained further on in the valuation techniques). In addition, Belfius estimates that the own credit risk has not changed significantly and has thus not taken into account a revaluation of the own credit risk.

2. Analysis of fair value of financial instruments

A. Assets

(In thousands of EUR)	31/12/18			
	Level 1	Level 2 PF	Level 3 PF	Total
Loans and advances	0	26,846,276	82,950,844	109,797,121
Measured at amortised cost	0	26,814,143	81,162,910	107,977,054
Measured at fair value through other comprehensive income	0	0	0	0
Measured at fair value through profit or loss	0	32,133	1,787,934	1,820,067
Debt securities	19,836,870	4,705,038	3,323,170	27,865,078
Measured at amortised cost	15,905,656	3,899,071	2,593,247	22,397,974
Measured at fair value through other comprehensive income	3,265,291	299,277	285,688	3,850,257
Measured at fair value through profit or loss	665,923	506,689	444,235	1,616,847
Equity instruments	1,191,888	0	299,213	1,491,101
Measured at fair value through other comprehensive income	1,067,064	0	298,832	1,365,896
Measured at fair value through profit or loss	124,824	0	381	125,205
Unit linked products insurance activities	2,837,971	0	0	2,837,971
Derivatives	594	12,052,792	714,199	12,767,585
Non current assets (disposal group) held for sale and discontinued operations	0	28,700	1,061	29,761
TOTAL	23,867,323	43,632,806	87,288,487	154,788,616

(In thousands of EUR)	31/12/19			
	Level 1	Level 2	Level 3	Total
Loans and advances	0	29,804,755	87,781,446	117,586,201
Measured at amortised cost	0	29,785,601	86,247,598	116,033,199
Measured at fair value through other comprehensive income	0	0	0	0
Measured at fair value through profit or loss	0	19,153	1,533,849	1,553,002
Debt securities	20,267,382	5,645,676	3,809,367	29,722,426
Measured at amortised cost	16,504,536	4,885,813	2,993,846	24,384,195
Measured at fair value through other comprehensive income	3,185,354	247,499	362,689	3,795,542
Measured at fair value through profit or loss	577,493	512,364	452,832	1,542,689
Equity instruments	1,378,406	0	296,501	1,674,908
Measured at fair value through other comprehensive income	1,165,501	0	296,236	1,461,737
Measured at fair value through profit or loss	212,906	0	265	213,171
Unit linked products insurance activities	3,671,372	0	0	3,671,372
Derivatives	533	12,511,900	792,276	13,304,709
Non current assets (disposal group) held for sale and discontinued operations	0	34,318	2,042	36,360
TOTAL	25,317,694	47,996,648	92,681,632	165,995,975

A pro forma has been provided on 2018 figures due to a refinement in the classification levels. (i.e. resulting in a shift from level 3 to level 2).

"An increase in Level 3 can be noted for "loans and advances measured at amortised cost" following the mortgage loan

production. The increase in Level 2 for "loans and advances measured at amortised cost" results from the increased reverse repo activity.

The fair value was positively impacted by improved credit spreads and lower interest rates compared to year end 2018.

B. Liabilities

(In thousands of EUR)	31/12/18			
	Level 1	Level 2	Level 3	Total
Borrowings and deposits	0	85,180,904	476,190	85,657,094
Measured at amortised cost	0	85,129,341	476,190	85,605,530
Measured at fair value through profit or loss	0	51,563	0	51,563
Debt securities issued and other financial liabilities	10,043,729	6,638,004	10,549,844	27,231,576
Measured at amortised cost	9,940,925	1,884,635	7,993,839	19,819,398
Measured at fair value through profit or loss	102,803	4,753,369	2,556,005	7,412,178
Unit linked products insurance activities	2,837,971	0	0	2,837,971
Derivatives	122	17,059,286	680,871	17,740,280
Subordinated debts	879,643	95,250	335,995	1,310,888
Measured at amortised cost	879,643	95,250	335,995	1,310,888
Measured at fair value through profit or loss	0	0	0	0
Liabilities included in disposal group and discontinued operations	0	0	0	0
TOTAL	13,761,466	108,973,444	12,042,899	134,777,809

(In thousands of EUR)	31/12/19			
	Level 1	Level 2	Level 3	Total
Borrowings and deposits	0	91,034,308	399,990	91,434,298
Measured at amortised cost	0	90,981,535	399,990	91,381,525
Measured at fair value through profit or loss	0	52,773	0	52,773
Debt securities issued and other financial liabilities	11,050,086	6,917,536	10,335,605	28,303,226
Measured at amortised cost	10,970,170	1,428,838	7,591,399	19,990,407
Measured at fair value through profit or loss	79,916	5,488,697	2,744,205	8,312,819
Unit linked products insurance activities	3,671,372	0	0	3,671,372
Derivatives	496	17,926,880	702,740	18,630,116
Subordinated debts	953,139	96,145	217,551	1,266,835
Measured at amortised cost	953,139	96,145	217,551	1,266,835
Measured at fair value through profit or loss	0	0	0	0
Liabilities included in disposal group and discontinued operations	0	0	0	0
TOTAL	15,675,093	115,974,868	11,655,886	143,305,847

The increase in level 2 borrowings and deposits is mainly related to the increase in demand deposit and saving accounts.

3. Transfer between Level 1 and Level 2 fair value for assets and liabilities at fair value in the balance sheet

A. Assets at fair value in the balance sheet

(In thousands of EUR)	31/12/18		31/12/19	
	From level 1 to 2	From level 2 to 1	From level 1 to 2	From level 2 to 1
Debt securities	75,100	145,108	21,053	66,157
Measured at fair value through other comprehensive income	75,097	125,617	21,047	66,157
Measured at fair value through profit or loss	3	19,490	5	0
Derivatives	0	0	0	0
TOTAL	75,100	145,108	21,053	66,157

B. Liabilities at fair value in the balance sheet

Nil.

4. Reconciliation Level 3

A. Assets

	31/12/18									
(In thousands of EUR)	Opening balance	Total of unrealised gains and losses in P&L	Total gains/losses in other comprehensive income	Purchases	Sales	Settlements	Transfers in Level 3	Transfer out of Level 3	Foreign exchange adjustments	Closing balance
Loans and advances	2,313,898	(155,892)		22,600	(392,671)	0	0	0	0	1,787,934
Measured at fair value through profit or loss	2,313,898	(155,892)		22,600	(392,671)	0	0	0	0	1,787,934
Debt securities	966,939	(1,356)	(7,152)	199,463	(184,116)	(46,007)	22	(197,870)	0	729,923
Measured at fair value through other comprehensive income	395,032	(150)	(7,152)	2,450	(2,251)	(5,197)	0	(97,045)	0	285,688
Measured at fair value through profit or loss	571,907	(1,207)		197,013	(181,864)	(40,810)	22	(100,825)	0	444,235
Equity instruments	219,006	0	38,137	14,501	(20,465)	(1,754)	59,508	(9,720)	0	299,213
Measured at fair value through other comprehensive income	216,437	0	38,137	14,120	(20,464)	(1,754)	59,508	(7,152)	0	298,832
Measured at fair value through profit or loss	2,569	0		380	(1)	0	0	(2,568)	0	381
Derivatives	782,518	20,959		108,743	0	(116,089)	4,566	(86,127)	(372)	714,199
TOTAL	4,282,361	(136,289)	30,985	345,306	(597,252)	(163,850)	64,096	(293,717)	(372)	3,531,269

	31/12/19									
(In thousands of EUR)	Opening balance	Total of unrealised gains and losses in P&L	Total gains/losses in other comprehensive income	Purchases	Sales	Settlements	Transfers in Level 3	Transfer out of Level 3	Foreign exchange adjustments	Closing balance
Loans and advances	1,787,934	(173,148)		30,595	(111,533)	0	0	0	0	1,533,849
Measured at fair value through profit or loss	1,787,934	(173,148)		30,595	(111,533)	0	0	0	0	1,533,849
Debt securities	729,923	(29,254)	1,391	332,946	(227,588)	(44,677)	54,136	(1,357)	0	815,520
Measured at fair value through other comprehensive income	285,688	202	1,391	63,169	(16,218)	(12,313)	40,770	0	0	362,689
Measured at fair value through profit or loss	444,235	(29,456)		269,778	(211,370)	(32,364)	13,367	(1,357)	0	452,832
Equity instruments	299,213	0	71	20,546	(13,550)	(9,779)	0	(1,399)	0	296,501
Measured at fair value through other comprehensive income	298,832	0	71	20,282	(13,170)	(9,779)	0	(1,399)	0	296,236
Measured at fair value through profit or loss	381	0		265	(380)	0	0	0	0	265
Derivatives	714,199	48,405		143,099	0	(118,289)	5,542	(2,539)	1,858	792,276
TOTAL	3,531,269	(153,997)	1,463	527,187	(352,671)	(172,744)	59,678	(5,295)	1,858	3,438,146

The “purchases” and “sales” of debt securities measured at fair value through profit or loss is mainly linked to Belgian regional bonds.

Note that the column “total gains/losses in other comprehensive income” comprises the OCI reserve at reporting date of level 3 assets.

B. Liabilities

	31/12/18									
	Opening balance	Total of unrealised gains and losses in P&L	Total gains/losses in other comprehensive income	Purchases	Sales	Direct origination	Settlements	Transfers in Level 3	Transfer out of Level 3 ⁽¹⁾	Closing balance
(In thousands of EUR)										
Debt securities issued and other financial liabilities	3,325,724	(6,057)		5	(50,734)	617,189	(115,328)	0	(1,214,794)	2,556,005
Measured at fair value through profit or loss	3,325,724	(6,057)		5	(50,734)	617,189	(115,328)	0	(1,214,794)	2,556,005
Unit linked products insurance activities	0	0		0	0	0	0	0	0	0
Derivatives	812,448	13,106		91,079	0	0	(146,871)	2,859	(91,750)	680,871
TOTAL	4,138,171	7,049		91,084	(50,734)	617,189	(262,198)	2,859	(1,306,545)	3,236,876

(1) Following the formal validation of the valuation model, a shift from level 3 to level 2 can be noted for equity indexed bonds.

	31/12/19									
	Opening balance	Total of unrealised gains and losses in P&L	Total gains/losses in other comprehensive income	Purchases	Sales	Direct origination	Settlements	Transfers in Level 3	Transfer out of Level 3	Closing balance
(In thousands of EUR)										
Debt securities issued and other financial liabilities	2,556,005	29,919		0	0	402,705	(183,100)	124,087	(185,411)	2,744,205
Measured at fair value through profit or loss	2,556,005	29,919		0	0	402,705	(183,100)	124,087	(185,411)	2,744,205
Unit linked products insurance activities	0	0		0	0	0	0	0	0	0
Derivatives	680,871	(1,710)		217,998	0	0	(98,098)	1,380	(39,107)	702,740
TOTAL	3,236,876	28,209		217,998	0	402,705	(281,197)	125,466	(224,518)	3,446,946

The column "total of unrealized gains and losses in P&L" cannot be analysed on a stand alone basis, as some assets or liabilities classified at amortised cost or some assets and liabilities classified in level 1 or 2 may be hedged by derivatives classified in level 3.

The column direct origination refers to the issuance of Belfius bonds. These are classified at Fair value through profit and loss to eliminate an accounting mismatch.

5. Valuation techniques and data (level 1, 2 en 3)

Financial instruments measured at fair value (trading, designated at fair value through profit or loss, debt instruments and investments in equity instruments measured at fair value through other comprehensive income, non trading financial assets mandatorily measured at fair value through profit or loss, derivatives)

Financial instruments measured at fair value for which reliable quoted market prices are available (level 1)

If the market is active – meaning that reliable bid-offer prices are available representing effective transactions for meaningful amounts concluded on an arm's length basis between willing counterparties – these market prices provide for reliable evidence of fair value and are therefore used for fair value measurement (f.e. interest rate futures, liquid bonds, etc).

The use of market prices quoted in an active market for identical instruments with no adjustments qualifies for inclusion in level 1 within IFRS 13 fair value hierarchy, which is not the case for the use of quoted prices in inactive markets or the use of quoted spreads.

Financial instruments measured at fair value for which no reliable quoted market prices are available and for which valuations are obtained by means of valuation techniques (level 2 and 3)

Financial instruments for which no quoted market prices in active markets are available, are valued by means of valuation techniques. The determination whether or not there is an active market is based on criteria such as volume, bid- offer spread and the number of price/spread contributions. The models that Belfius uses range from standard models available in the market to in-house developed valuation models. Availability of some observable market prices and model inputs reduces the need for management judgement and estimation and the uncertainty associated with the determination of fair values. These availabilities vary depending on the products and markets and are subject to changes based on specific events and general conditions in the financial markets.

Once a financial instrument is not classified as level 1, Belfius requires that two conditions are met for inclusion in level 2 (f.e. currency swaps, swaptions, cap/floors, foreign exchange contracts/options, and less liquid bonds):

- the model must have either passed a successful validation by the Validation department or comply with the price reconciliation process run by the Market Risk department that has been installed to test the reliability of valuations.
- the data that Belfius incorporates in its valuation models are either directly observable data (prices) or indirectly observable data (spreads).

Fair value measurements that do not fall under level 1 or do not comply with the two conditions for level 2 mentioned above, are reported as part of the level 3 disclosure. In that respect, the following parameters are within Belfius not considered to be observable: Belgian inflation, CMS spread, equity correlations (such as equity baskets, illiquid bonds, total return swaps, credit default obligations and credit default swaps).

For that reason, structured loans measured at fair value through profit and loss are classified as level 3. These financial assets are illiquid and not traded on an active market. The fair value of these loans is determined by a valuation model essentially based on non observable data including additional value adjustments as described below.

Bonds traded in inactive markets are valued using valuation techniques. To price its portfolio of illiquid bonds, Belfius calculates spreads based on a cross section method using a large universe of bonds and CDS spreads. The calculated spreads are challenged (back-testing) every quarter by mean of comparisons with observable market spreads.

Unquoted equity instruments are systematically classified as level 3. In accordance with the principles set out in IFRS 13, different fair value measurement models for unquoted equity instruments are possible (discounted cash flow, net asset value, recent transaction price, ...).

Derivatives are valued at mid-market prices for which, again, the former described cascade (level 1, 2, 3) is applied. For level 2 fair values, Belfius uses observable market parameters and valuation models that are in line with the market practices. The discount interest rate curve takes account of any collateral agreements.

Following additional value adjustments are also applied within Belfius:

- Unearned credit spread: this value adjustment takes account of the possibility that a counterparty might default and part of the fair value cannot be recovered (Credit Value Adjustment) and of the creditworthiness of Belfius (Debit Value Adjustment). The Unearned credit spread is calculated both on collateralized and non collateralized derivatives. For collateralized derivatives with standard ISDA/CSA agreements, the unearned credit spread is calculated taking into account the Margin Period of Risk and the collateral exchanged. For uncollateralized derivatives an estimation is made of the expected exposures, by forecasting the future fair value of the derivative in line with market practice. These expected exposures are then multiplied by an expected loss indication. Seeing that the majority of these expected losses are not directly observable in the market, Belfius uses market-derived spreads which are determined by means of a method based on cross-sections on a large universe of bonds and CDS spreads.
- Bid/ask adjustment: because the mid-market prices do not take account of the direction in which the deal was closed, the bid/ask adjustment does take account of this information in the total fair value .
- Funding spread: this value adjustment takes into account the funding cost or benefit for uncollateralized transactions. For all uncollateralized transactions, a correction is made for the funding value adjustment based on the average funding cost of Belfius Bank. This funding cost is determined by ALM taking into account the different funding sources.

- Market price uncertainty: value adjustment for uncertainty of market parameters.
- Model risk: this value adjustment is made if the assumptions used in a valuation model cannot be verified with sufficient accuracy.
- Cash-CDS adjustment: this adjustment takes into account the spread difference between the cash instruments and corresponding derivatives.

Financial instruments measured at amortised cost (having valuations at fair value in IFRS disclosures)

The fair value of debt instruments held within the business model "hold to collect contractual cash flows", is determined using the following valuation principles.

General principles

- the carrying amount of loans maturing within 12 months is assumed to reflect their fair value;
- for bonds the valuation is done in the same way as bonds measured at fair value through other comprehensive income;

Interest-rate part:

- the fair value of fixed-rate loans and mortgage loans reflects interest-rate movements since inception;
- loans with an adjustable rate are priced using the corresponding forward rates increased with the contractual margin;
- market or model values for caps, floors and prepayment options are included in the fair value of loans and receivables;
- the fair value of variable-rate loans (f.i. 3M euribor) is assumed to be approximated by their carrying amounts;
- an adjustment for the credit risk is also included in the fair value;
- the future potential prepayment rate has been approximated by taking into account an internal estimate.

A. Quantitative information on significant unobservable data (level 3)

If the fair value of a financial instrument is determined based on valuation techniques using inputs that are not based on observable market data, alternative assumptions may impact the equity and the result.

Financial instrument	Non-observable items	Difference with alternative assumptions	Impact in P&L of alternative assumptions (in millions of EUR)	Impact in equity of alternative assumptions (in millions of EUR)
OTC swaps on Belgian inflation	Expectations in Belgian inflation	+30 bp	-2.48	
OTC derivatives on CMS spread	Correlation between CMS interest rates	+10%	+0.21	
OTC swaps Bermudian Feature	Mean Reversion	1%	+0.59	
Collateralised Debt Obligation	Credit spread	-10 bps	-3.80	
Credit Default Swap	Credit spread	-10 bps	-1.30	
Illiquid bonds	Credit spread	-10 bps	+1.31	+0.73

B. Valuation process

The Risk Management department in charge of market risks determines the fair value and the fair value level of each transaction. Seeing that the market risk department provides all market data, it has the expertise with respect to observability. In addition, the market risk department has a clear view on the validation status and the reliability of the models used.

C. Transfers between valuation levels

The IFRS levels are dependent on an internal liquidity score for the bonds or on an observability criteria and a validation status of the model for the derivative products. The liquidity score of the bonds is distributed between very liquid (big score) and very illiquid (small score). Therefore, a small change in the liquidity on the market does not influence the distribution of L1, L2 or L3. A few bonds are nevertheless close to the border of illiquidity and can change from L1 to L2 or L3. The main events in 2019 (commercial threats between China and USA, dovish monetary decisions from central banks) did not change the liquidity scores

that much. For derivatives products, we have not seen any significant transfers between levels since the volume of the stock is stable and the observability stay the same. Moreover, the validation of the models is increasing in coverage leading to a decreasing trend of the L3 stock.

6. Disclosure of difference between transaction prices and model values (deferred day one profit)

No significant amounts are recognized as deferred Day One Profit or Loss (DOP) in 2018 or 2019.

As Belfius deals in plain vanilla products (like Interest Rate Swaps (IRS)), and some more complex products (like structured transactions) which are hedged in the market in line with market risk limits and framework, the resulting day one profit is recognized up-front. Only a few transactions of insignificant amounts have unobservable parameters, consequently the Deferred DOP is immaterial.

9.2. Credit risk exposure

1. The credit risk management practices - general principles

Maximum Credit Risk Exposure is expressed as Full Exposure At Default (FEAD), and is determined as follows:

- for balance sheet assets (except for derivatives): the gross carrying amounts (before impairment);
- for derivatives: the fair value of derivatives after netting, increased with the potential future exposure calculated under the current exposure method (add-on);
- for Securities Financing Transactions:
 - for reverse repo's : the amount of collateral up to the amount lent
 - for repo's : the collateral value in excess of the amount borrowed;
- for off-balance sheet commitments: either the undrawn part of liquidity facilities or the maximum commitment of Belfius for guarantees granted to third parties;

Note that the definition of the Maximum Credit Risk Exposure as used internally and for the risk tables presented below, presenting the carrying amount of its assets gross of any impairment losses differs slightly from IFRS 7 with a presentation of assets net of impairment.

2. Inputs, assumptions and techniques used for estimating impairment

We refer to the chapter "Risk management" of the management report for further information, section Credit Risk.

3. Analysis of total credit risk exposure

A. Exposure by geographical region

	31/12/18								
(In thousands of EUR)	Belgium	France	Luxembourg	Germany	Portugal	Ireland	Italy	Greece ⁽¹⁾	Spain
Cash and balances with central banks	0	0	0	0	0	0	0	0	0
Loans and advances	88,973,997	1,888,286	440,323	103,684	921	1,801	52,370	64	588,923
Measured at amortised cost	87,141,567	1,888,286	440,323	103,684	921	1,801	52,370	64	588,923
Measured at fair value through other comprehensive income	0	0	0	0	0	0	0	0	0
Measured at fair value through profit or loss	1,832,430	0	0	0	0	0	0	0	0
Debt securities	8,498,716	3,452,602	143,496	181,935	188,176	147,116	2,424,563	0	1,416,797
Measured at amortised cost	7,025,858	2,806,767	104,103	112,814	48,524	33,356	1,603,777	0	891,697
Measured at fair value through other comprehensive income	1,161,872	513,675	39,393	56,234	139,652	101,027	770,750	0	505,681
Measured at fair value through profit or loss	310,987	132,160	0	12,886	0	12,733	50,036	0	19,419
Derivatives	888,352	902,232	55,481	319,203	0	21	30,268	0	191,244
Loan commitments and financial guarantees given	26,159,010	544,094	410,613	4,584	544	2,330	5,639	234	48,198
Other (of which mainly securities lending and margin calls)	1,171,671	864,430	70,245	399,131	0	97	4,658	0	21,328
TOTAL	125,691,746	7,651,644	1,120,157	1,008,536	189,640	151,364	2,517,498	298	2,266,491

(1) The exposure on Greece mainly concerns a small number of retail loans granted to residents in Greece having economical ties to Belgium and displaying good credit stance.

	31/12/18									
(In thousands of EUR)	Other EU countries ⁽¹⁾	Rest of Europe	United States and Canada	United Kingdom	Southeast Asia	South and Central America	Turkey	Japan	Other	Total
Cash and balances with central banks	8,265,933	2,368	4,505	1,240	340	148	66	355	427	8,275,381
Loans and advances	685,474	57,318	33,033	129,601	45,232	14,729	6,834	3,386	38,492	93,064,468
Measured at amortised cost	685,474	57,318	33,033	129,601	45,232	14,729	6,834	3,386	38,492	91,232,039
Measured at fair value through other comprehensive income	0	0	0	0	0	0	0	0	0	0
Measured at fair value through profit or loss	0	0	0	0	0	0	0	0	0	1,832,430
Debt securities	1,030,133	186,835	2,297,705	5,396,811	22,062	93,719	0	399,191	629,162	26,509,019
Measured at amortised cost	811,944	168,174	2,163,704	4,816,730	22,062	82,922	0	398,686	615,077	21,706,195
Measured at fair value through other comprehensive income	161,054	18,534	88,981	276,303	0	10,797	0	505	917	3,845,375
Measured at fair value through profit or loss	57,135	127	45,020	303,779	0	0	0	0	13,167	957,449
Derivatives	94,365	958	197,181	935,318	55	0	0	5,982	3,556	3,624,216
Loan commitments and financial guarantees given	344,190	33,597	1,080,360	931,343	229,047	297,914	39,763	259	331,620	30,463,338
Other (of which mainly securities lending and margin calls)	37,247	670,359	175,392	1,360,875	0	0	0	0	17,610	4,793,043
TOTAL	10,457,342	951,435	3,788,177	8,755,187	296,737	406,510	46,664	409,173	1,020,866	166,729,466

(1) Includes supranational entities, such as the European Central Bank. The significant decrease is mainly related to a decrease of cash and balances with central banks.

	31/12/19								
(In thousands of EUR)	Belgium	France	Luxembourg	Germany	Portugal	Ireland	Italy	Greece ⁽¹⁾	Spain
Cash and balances with central banks	0	0	0	0	0	0	0	0	0
Loans and advances	93,357,038	1,847,920	576,483	141,162	3,662	2,609	49,888	69	1,118,450
Measured at amortised cost	91,793,727	1,847,920	576,483	141,162	3,662	2,609	49,888	69	1,118,450
Measured at fair value through other comprehensive income	0	0	0	0	0	0	0	0	0
Measured at fair value through profit or loss	1,563,311	0	0	0	0	0	0	0	0
Debt securities	8,219,856	3,665,326	126,418	258,853	255,347	247,163	2,328,379	0	1,597,147
Measured at amortised cost	6,844,214	3,038,964	65,124	160,699	39,247	125,011	1,604,590	0	1,047,436
Measured at fair value through other comprehensive income	1,080,568	510,617	61,294	85,439	216,099	109,864	680,504	0	549,646
Measured at fair value through profit or loss	295,074	115,745	0	12,714	0	12,288	43,286	0	66
Derivatives	1,205,395	913,554	37,184	243,961	0	2,754	18,464	0	198,117
Loan commitments and financial guarantees given	27,692,603	505,413	389,457	55,233	1,687	1,647	5,096	238	29,669
Other (of which mainly securities lending and margin calls)	403,872	885,030	15,724	227,578	0	853	4,290	0	31,249
TOTAL	130,878,764	7,817,244	1,145,266	926,788	260,696	255,025	2,406,116	307	2,974,632

(1) The exposure on Greece mainly concerns a small number of retail loans granted to residents in Greece having economical ties to Belgium and displaying good credit stance.

	31/12/19									
	Other EU countries ⁽¹⁾	Rest of Europe	United States and Canada	United Kingdom	Southeast Asia	South and Central America	Turkey	Japan	Other	Total
(In thousands of EUR)										
Cash and balances with central banks	6,674,577	2,228	5,609	1,181	362	140	35	338	618	6,685,088
Loans and advances	624,756	58,663	33,925	106,241	31,727	8,386	4,565	2,301	42,561	98,010,407
Measured at amortised cost	624,756	58,663	33,925	106,241	31,727	8,386	4,565	2,301	42,561	96,447,096
Measured at fair value through other comprehensive income	0	0	0	0	0	0	0	0	0	0
Measured at fair value through profit or loss	0	0	0	0	0	0	0	0	0	1,563,311
Debt securities	944,024	212,670	2,497,600	5,647,098	22,477	123,349	0	400,901	699,163	27,245,771
Measured at amortised cost	721,012	198,590	2,370,221	5,109,795	22,477	99,906	0	400,395	684,734	22,532,414
Measured at fair value through other comprehensive income	162,620	13,947	103,411	202,229	0	23,443	0	506	951	3,801,139
Measured at fair value through profit or loss	60,392	133	23,968	335,074	0	0	0	0	13,478	912,218
Derivatives	121,784	3,173	224,615	900,915	1,445	0	0	7,662	4,626	3,883,648
Loan commitments and financial guarantees given	364,316	30,446	1,087,616	1,105,027	209,181	288,383	40,536	790	336,213	32,143,548
Other (of which mainly securities lending and margin calls)	35,897	891,143	199,099	1,720,330	0	0	0	0	17,764	4,432,828
TOTAL	8,765,353	1,198,324	4,048,462	9,480,791	265,192	420,257	45,136	411,992	1,100,946	172,401,290

(1) Includes supranational entities, such as the European Central Bank. The significant decrease is mainly related to a decrease of cash and balances with central banks.

B. Exposure by category of counterpart

	31/12/18								
	Central governments	Public sector entities	Corporate	Monoline insurers	ABS/MBS	Project finance	Individuals, SME, self-employed	Financial institutions	Total
(In thousands of EUR)									
Cash and balances with central banks	8,275,381	0	0	0	0	0	0	0	8,275,381
Loans and advances	1,562,935	27,907,375	18,301,019	0	0	859,281	42,055,243	2,378,615	93,064,468
Measured at amortised cost	1,562,935	26,086,885	18,289,079	0	0	859,281	42,055,243	2,378,615	91,232,039
Measured at fair value through other comprehensive income	0	0	0	0	0	0	0	0	0
Measured at fair value through profit or loss	0	1,820,490	11,940	0	0	0	0	0	1,832,430
Debt securities	10,214,674	3,946,706	3,322,469	3,650,491	840,079	696,867	0	3,837,732	26,509,019
Measured at amortised cost	8,040,483	3,252,689	2,466,710	3,361,355	724,837	696,867	0	3,163,254	21,706,195
Measured at fair value through other comprehensive income	2,087,858	462,323	840,921	0	27,070	0	0	427,204	3,845,375
Measured at fair value through profit or loss	86,334	231,694	14,839	289,136	88,172	0	0	247,274	957,449
Derivatives	35,309	881,119	287,854	442,138	0	173,771	104	1,803,921	3,624,216
Loan commitments and financial guarantees given	93,490	12,621,786	10,344,576	426,195	0	491,750	5,860,923	624,617	30,463,338
Other (of which mainly securities lending and margin calls)	306,705	336,878	648,339	0	0	0	687	3,500,434	4,793,043
TOTAL	20,488,494	45,693,863	32,904,257	4,518,824	840,079	2,221,670	47,916,958	12,145,319	166,729,466

	31/12/19								
(In thousands of EUR)	Central government bonds	Public sector entities	Corporate	Monoline insurers	ABS/MBS	Project finance	Individuals, SME, self-employed	Financial institutions	Total
Cash and balances with central banks	6,685,088	0	0	0	0	0	0	0	6,685,088
Loans and advances	664,813	26,997,662	21,108,410	0	0	903,929	45,531,696	2,803,897	98,010,407
Measured at amortised cost	664,813	25,453,512	21,089,249	0	0	903,929	45,531,696	2,803,897	96,447,096
Measured at fair value through other comprehensive income	0	0	0	0	0	0	0	0	0
Measured at fair value through profit or loss	0	1,544,150	19,161	0	0	0	0		1,563,311
Debt securities	10,339,534	3,840,415	3,648,434	3,838,401	749,143	824,206	0	4,005,647	27,245,781
Measured at amortised cost	8,194,227	3,155,578	2,664,986	3,518,964	670,728	824,206	0	3,503,726	22,532,414
Measured at fair value through other comprehensive income	2,072,357	464,888	957,449	0	18,051	0	0	288,395	3,801,139
Measured at fair value through profit or loss	72,951	219,950	25,999	319,438	60,364	0	0	213,526	912,228
Derivatives	40,139	860,567	333,371	463,430	0	250,479	107	1,935,545	3,883,638
Loan commitments and financial guarantees given	104,565	12,615,019	11,195,867	415,672	0	447,482	6,688,169	676,773	32,143,548
Other (of which mainly securities lending and margin calls)	259,957	28,213	151,589	0	0	0	0	3,993,070	4,432,828
TOTAL	18,094,096	44,341,876	36,437,671	4,717,503	749,143	2,426,096	52,219,972	13,414,932	172,401,290

C. Detail of most important countries per counterparty

	31/12/18						
(In thousands of EUR)	Central government bonds	Financial institutions	ABS/MBS	Public sector entities	Corporate - Project finance	Other	Total
Belgium	5,179,577	470,560	50,000	43,608,219	26,756,862	49,626,528	125,691,746
France	875,202	4,751,843	17,421	824,653	1,067,559	114,966	7,651,644
United Kingdom	0	2,434,714	246,634	12	2,953,988	3,119,839	8,755,187
Spain	511,201	1,294,953	141,281	112,074	197,640	9,341	2,266,491
Italy	2,231,345	66,421	96,536	0	120,248	2,948	2,517,498
United States and Canada	0	881,894	100,048	153,380	1,219,927	1,432,928	3,788,177
TOTAL	8,797,325	9,900,385	651,920	44,698,338	32,316,224	54,306,550	150,670,743

	31/12/19						
(In thousands of EUR)	Central government bonds	Financial institutions	ABS/MBS	Public sector entities	Corporate - Project finance	Other	Total
Belgium	4,950,330	404,437	50,000	42,479,308	29,992,539	53,002,150	130,878,764
France	1,020,214	4,704,709	33,252	821,156	1,121,429	116,484	7,817,244
United Kingdom	0	2,820,821	230,825	12	3,180,965	3,248,167	9,480,791
Spain	737,907	1,787,952	117,984	108,536	210,833	11,420	2,974,632
Italy	2,198,418	41,395	72,875	0	90,279	3,149	2,406,116
United States and Canada	0	1,010,288	41,580	184,789	1,305,850	1,505,955	4,048,462
TOTAL	8,906,869	10,769,602	546,517	43,593,801	35,901,895	57,887,325	157,606,009

We refer to the chapter "Risk management" of the management report for further information, section Credit Risk.

4. Maximum Credit Risk exposure by categories of Financial Instruments subject to impairment

A. Financial Assets

	31/12/18			
	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
(In thousands of EUR)				
CREDIT RATING GRADES				
Cash and balances with central banks	8,275,381	0	0	8,275,381
LOANS AND ADVANCES				
Measured at amortised cost	82,267,111	7,239,449	1,725,479	91,232,039
AAA to AA-	26,539,155	1,381,885	28,628	27,949,668
A+ to BBB-	38,606,869	2,483,839	185	41,090,893
Non investment grade	15,457,228	3,201,402	8,818	18,667,448
Default	0	0	1,687,282	1,687,282
Unrated	1,663,859	172,323	567	1,836,749
DEBT SECURITIES				
Measured at amortised cost	14,071,343	7,633,070	1,782	21,706,195
AAA to AA-	9,175,812	383,257	0	9,559,069
A+ to BBB-	4,842,422	7,016,059	1,782	11,860,264
Non investment grade	2,546	233,753	0	236,299
Default	0	0	0	0
Unrated	50,564	0	0	50,564
Measured at fair value through other comprehensive income	3,032,836	812,539	0	3,845,375
AAA to AA-	1,139,999	2,158	0	1,142,157
A+ to BBB-	1,768,070	720,504	0	2,488,575
Non investment grade	107,947	47,288	0	155,235
Default	0	0	0	0
Unrated	16,819	42,589	0	59,408

	31/12/19			
	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
(In thousands of EUR)				
CREDIT RATING GRADES				
Cash and balances with central banks	6,685,088	0	0	6,685,088
LOANS AND ADVANCES				
Measured at amortised cost	88,043,574	6,645,552	1,757,970	96,447,096
AAA to AA-	27,309,746	1,101,446	41,608	28,452,800
A+ to BBB-	40,451,501	2,201,247	7	42,652,755
Non investment grade	18,449,146	3,200,154	5,940	21,655,240
Default	0	0	1,710,002	1,710,002
Unrated	1,833,181	142,705	413	1,976,299
DEBT SECURITIES				
Measured at amortised cost	14,751,054	7,779,578	1,782	22,532,414
AAA to AA-	9,379,312	188,381	0	9,567,693
A+ to BBB-	5,263,122	7,386,775	1,782	12,651,679
Non investment grade	58,055	204,423	0	262,478
Default	0	0	0	0
Unrated	50,564	0	0	50,564
Measured at fair value through other comprehensive income	2,994,609	806,530	0	3,801,139
AAA to AA-	1,107,736	827	0	1,108,563
A+ to BBB-	1,739,661	730,896	0	2,470,557
Non investment grade	107,031	60,033	0	167,064
Default	0	0	0	0
Unrated	40,180	14,774	0	54,954

B. Off-Balance sheet exposure

	31/12/18			
	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
(In thousands of EUR)				
CREDIT RATING GRADES				
Loan commitments and financial guarantees given	28,712,724	1,683,203	67,411	30,463,338
AAA to AA-	8,965,656	132,629	0	9,098,285
A+ to BBB-	15,115,311	550,764	910	15,666,986
Non investment grade	4,432,615	967,504	1	5,400,120
Defaulted	0	0	66,500	66,500
Unrated	199,142	32,305	0	231,447

	31/12/19			
	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
(In thousands of EUR)				
CREDIT RATING GRADES				
Loan commitments and financial guarantees given	30,526,967	1,565,912	50,669	32,143,548
AAA to AA-	9,517,683	37,853	63	9,555,599
A+ to BBB-	16,025,492	513,553	0	16,539,045
Non investment grade	4,771,017	986,541	10	5,757,567
Defaulted	0	0	50,596	50,596
Unrated	212,776	27,965	0	240,741

The indicated ratings are either internal or external based. In fact, Belfius applies the AIRBA (Advanced Internal Ratings Based Approach) for the calculation of capital requirements for credit risk within the context of Pillar 1 of Basel III. Except for Asset

Backed Securities (ABS) positions for which the credit risk is based on external ratings only (Fitch, Standard & Poors and/or Moody's).

C. Purchased at credit impaired

Nil

5. Maximum credit risk exposure by class of financial instruments and impact of collateral

	31/12/18		31/12/19	
	Maximum credit risk exposure	Effect of physical collateral	Maximum credit risk exposure	Effect of physical collateral
(In thousands of EUR)				
Cash and balances with central banks	8,275,381	0	6,685,088	0
Loans and advances	93,064,468	3,187,427	98,010,407	5,237,919
Measured at amortised cost	91,232,039	3,185,881	96,447,096	5,236,373
Measured at fair value through other comprehensive income	0	0	0	0
Measured at fair value through profit or loss	1,832,430	1,546	1,563,311	1,546
Debt securities	26,509,019	0	27,245,781	0
Measured at amortised cost	21,706,195	0	22,532,414	0
Measured at fair value through other comprehensive income	3,845,375	0	3,801,139	0
Measured at fair value through profit or loss	957,449	0	912,228	0
Derivatives	3,624,216	42,538	3,883,638	42,538
Loan commitments and financial guarantees given	30,463,338	231,013	32,143,548	322,856
Other (of which mainly securities lending and margin calls)	4,793,043	0	4,432,828	0
TOTAL	166,729,466	3,460,977	172,401,290	5,603,313

6. Financial assets subject to impairment that are past due

A financial asset is past due when the counterparty has failed to make a payment when contractually due. This is considered on a contract by contract basis. For example, if a counterpart fails to pay the required interests at due date, the entire loan is considered as past due.

31/12/18	Financial instruments without significant increase in credit risk since initial recognition (stage 1)			Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)			Carrying amount		
							Credit impaired financial assets (stage 3)		
	≤ 30 days	> 30 days ≤ 90 days	> 90 days	≤ 30 days	> 30 days ≤ 90 days	> 90 days	≤ 30 days PF	> 30 days ≤ 90 days	> 90 days
(In thousands of EUR)									
Loans and advances due from credit institutions	423	0	0	0	0	0	0	0	0
Loans and advances	233,644	38,801	8,226	115,154	26,397	13,662	238,929	86,513	390,814
Debt securities	0	0	0	0	0	0	0	0	0
TOTAL	234,068	38,801	8,226	115,154	26,397	13,662	238,929	86,513	390,814

31/12/19	Financial instruments without significant increase in credit risk since initial recognition (stage 1)			Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)			Carrying amount		
							Credit impaired financial assets (stage 3)		
	≤ 30 days	> 30 days ≤ 90 days	> 90 days	≤ 30 days	> 30 days ≤ 90 days	> 90 days	≤ 30 days	> 30 days ≤ 90 days	> 90 days
(In thousands of EUR)									
Loans and advances due from credit institutions	5	0	0	1,335	11	0	0	0	8
Loans and advances	186,589	30,361	7,176	104,848	22,335	11,508	284,311	59,466	356,506
Debt securities	0	0	0	0	0	0	0	0	0
TOTAL	186,594	30,361	7,176	106,183	22,346	11,508	284,311	59,466	356,514

Past due outstandings relate mainly to retail and corporate loans.

A default status is assigned to the debtors who satisfy either one or both of the following criteria:

- The debtor has material exposures which are more than 90 days past due;
- The debtor is assessed as unlikely to pay its credit obligations in full without realisation of collateral, regardless the existence of any past due amount or the number of days past due.

7. Forbearance

(In thousands of EUR)	31/12/18			
	Gross carrying amount of exposures with forbearance measures	Impairment	Collateral received and financial guarantees received	
			Collateral received on exposures with forbearance measures	Financial guarantees received on exposures with forbearance measures
Loans and advances due from credit institutions	0	0	0	0
Loans and advances	675,313	(122,358)	289,346	46,870
Debt securities	0	0	0	0
Off-Balance sheet exposure	12,622	0	5,799	0

(In thousands of EUR)	31/12/19			
	Gross carrying amount of exposures with forbearance measures	Impairment	Collateral received and financial guarantees received	
			Collateral received on exposures with forbearance measures	Financial guarantees received on exposures with forbearance measures
Loans and advances due from credit institutions	0	0	0	0
Loans and advances	787,784	(160,321)	424,962	29,107
Debt securities	0	0	0	0
Off-Balance sheet exposure	29,758	0	7,422	0

We also refer to the chapter "Risk management" of the management report for further information section 3.5. Credit Risk.

8. Movements in allowances for credit losses

(In thousands of EUR)	31/12/18			
	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
LOANS AND ADVANCES DUE FROM CREDIT INSTITUTIONS				
Measured at amortised cost				
BALANCE AT 1 JANUARY	(97)	(32)	0	(128)
Increase due to origination and acquisition	(1,064)	(1)	0	(1,065)
Decrease due to derecognition	1,321	31	0	1,352
Changes due to credit risk ⁽¹⁾	(295)	(13)	0	(309)
Transfer from stage 1 (12-month ECL) to stages 2 & 3	5	(5)	0	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	0	0	0	0
Foreign exchange and other movements	(42)	1	0	(42)
BALANCE AT 31 DECEMBER	(173)	(19)	0	(191)
LOANS AND ADVANCES				
Measured at amortised cost				
BALANCE AT 1 JANUARY	(138,340)	(184,209)	(1,152,862)	(1,475,411)
Increase due to origination and acquisition	(188,101)	(181,793)	(32,351)	(402,246)
Decrease due to derecognition	147,714	172,167	30,031	349,912
Changes due to credit risk ⁽¹⁾	62,335	(30,962)	(31,411)	(38)
Transfer from stage 1 (12-month ECL) to stages 2 & 3	14,848	(13,002)	(1,846)	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(53,421)	67,046	(13,626)	0
Transfer from stage 3 (lifetime ECL credit impaired) to stages 1 & 2	(7,367)	(2,862)	10,229	0
Decrease in allowance due to write off	0	0	55,491	55,491
Foreign exchange and other movements	(545)	(47)	(10,892)	(11,485)
BALANCE AT 31 DECEMBER	(162,877)	(173,662)	(1,147,237)	(1,483,775)

(1) Includes movements in expected credit losses (ECL) following transfers from higher or lower stages.

	31/12/18			
	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
(In thousands of EUR)				
DEBT SECURITIES				
Measured at amortised cost				
BALANCE AT 1 JANUARY	(835)	(187,122)	(840)	(188,797)
Increase due to origination and acquisition	(641)	(7,976)	0	(8,617)
Decrease due to derecognition	383	6,950	0	7,332
Changes due to credit risk ⁽¹⁾	450	(6,776)	3	(6,323)
Transfer from stage 1 (12-month ECL) to stages 2 & 3	21	(18)	(3)	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(767)	767	0	0
Foreign exchange and other movements	(1)	72	0	71
BALANCE AT 31 DECEMBER	(1,388)	(194,105)	(840)	(196,333)
Measured at fair value through other comprehensive income				
BALANCE AT 1 JANUARY	(1,598)	(42,101)	0	(43,699)
Increase due to origination and acquisition	(290)	(739)	0	(1,029)
Decrease due to derecognition	169	19,948	0	20,117
Changes due to credit risk (1)	2,028	1,318	0	3,346
Transfer from stage 1 (12-month ECL) to stages 2 & 3	96	(96)	0	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(2,223)	2,223	0	0
BALANCE AT 31 DECEMBER	(1,818)	(19,446)	0	(21,265)
OFF-BALANCE SHEET EXPOSURE				
BALANCE AT 1 JANUARY	51,080	57,272	12,913	121,266
Increase due to origination and acquisition	38,912	49,081	0	87,993
Decrease due to derecognition	(24,111)	(34,351)	(3,622)	(62,085)
Changes due to credit risk ⁽¹⁾	(23,203)	1,894	13,349	(7,959)
Transfer from stage 1 (12-month ECL) to stages 2 & 3	(9,834)	9,626	208	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	10,472	(28,548)	18,075	0
Transfer from stage 3 (lifetime ECL credit impaired) to stages 1 & 2	417	5,099	(5,516)	0
Foreign exchange and other movements	(33)	269	144	380
BALANCE AT 31 DECEMBER	43,701	60,342	35,552	139,595

(1) Includes movements in expected credit losses (ECL) following transfers from higher or lower stages.

The “increase due to origination and acquisition” as well as “decrease due to derecognition” mainly relate to the fact that renewal of straight loans and roll over loans are accounted as an increase (new deal) and a decrease (end of former deal).

Some additional impairments were recorded during 2018 as a result of the growth of the loan portfolio, increased forward looking provisioning for real estate exposures and increased risk profile of certain subportfolios. Certain reversals have been noted from the sale of certain Italian government bonds in line with Belfius’ objective to decrease its related concentration risk as well as from portfolio management and positive evolutions in credit files.

	31/12/19			
	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
(In thousands of EUR)				
LOANS AND ADVANCES DUE FROM CREDIT INSTITUTIONS				
Measured at amortised cost				
BALANCE AT 1 JANUARY	(173)	(19)	0	(191)
Increase due to origination and acquisition	(1,580)	(3)	0	(1,583)
Decrease due to derecognition	1,387	1	0	1,388
Changes due to credit risk ⁽¹⁾	(57)	(50)	0	(107)
Transfer from stage 1 (12-month ECL) to stages 2 & 3	7	(7)	0	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(4)	4	0	0
Foreign exchange and other movements	(1)	18	0	17
BALANCE AT 31 DECEMBER	(420)	(56)	0	(476)
LOANS AND ADVANCES				
Measured at amortised cost				
BALANCE AT 1 JANUARY	(162,877)	(173,662)	(1,147,237)	(1,483,775)
Increase due to origination and acquisition	(217,455)	(193,785)	(97)	(411,338)
Decrease due to derecognition	153,706	177,790	13,163	344,659
Changes due to credit risk ⁽¹⁾	67,547	14,224	(140,607)	(58,836)
Transfer from stage 1 (12-month ECL) to stages 2 & 3	17,279	(11,347)	(5,932)	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(46,844)	77,454	(30,611)	0
Transfer from stage 3 (lifetime ECL credit impaired) to stages 1 & 2	(9,495)	(50,089)	59,584	0
Decrease in allowance due to write off	0	0	89,649	89,649
Foreign exchange and other movements	29	(53)	3,776	3,752
BALANCE AT 31 DECEMBER	(198,110)	(159,466)	(1,158,313)	(1,515,890)

(1) Includes movements in expected credit losses (ECL) following transfers from higher or lower stages.

	31/12/19			
	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
(In thousands of EUR)				
DEBT SECURITIES				
Measured at amortised cost				
BALANCE AT 1 JANUARY	(1,388)	(194,105)	(840)	(196,333)
Increase due to origination and acquisition	(258)	(547)	0	(805)
Decrease due to derecognition	221	3,232	0	3,453
Changes due to credit risk ⁽¹⁾	714	12,992	0	13,706
Transfer from stage 1 (12-month ECL) to stages 2 & 3	1	(1)	0	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(746)	746	0	0
Foreign exchange and other movements	(14)	(7,382)	0	(7,396)
BALANCE AT 31 DECEMBER	(1,471)	(185,065)	(840)	(187,376)
Measured at fair value through other comprehensive income				
BALANCE AT 1 JANUARY	(1,818)	(19,446)	0	(21,265)
Increase due to origination and acquisition	(565)	(973)	0	(1,537)
Decrease due to derecognition	382	932	0	1,315
Changes due to credit risk ⁽¹⁾	1,155	982	0	2,137
Transfer from stage 1 (12-month ECL) to stages 2 & 3	27	(27)	0	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(972)	972	0	0
BALANCE AT 31 DECEMBER	(1,790)	(17,560)	0	(19,350)
OFF-BALANCE SHEET EXPOSURE				
BALANCE AT 1 JANUARY	43,701	60,342	35,552	139,595
Increase due to origination and acquisition	46,681	50,019	0	96,700
Decrease due to derecognition	(35,547)	(43,848)	(4,616)	(84,011)
Changes due to credit risk (1)	(25,435)	(10,410)	(13,037)	(48,881)
Transfer from stage 1 (12-month ECL) to stages 2 & 3	(2,719)	2,553	166	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	13,811	(15,713)	1,902	0
Transfer from stage 3 (lifetime ECL credit impaired) to stages 1 & 2	588	8,493	(9,081)	0
Foreign exchange and other movements	26	76	58	160
BALANCE AT 31 DECEMBER	41,107	51,512	10,943	103,562

(1) Includes movements in expected credit losses (ECL) following transfers from higher or lower stages.

The “increase due to origination and acquisition” as well as “decrease due to derecognition” mainly relate to the fact that renewal of straight loans and roll over loans are accounted as an increase (new deal) and a decrease (end of former deal).

The increase of expected credit losses in stage 1 reflects the production performed by Belfius. A shift of files from Stage 2 to Stage 3 can be noted due to a credit deterioration which led to a stock decrease of the expected credit losses in Stage 2.

The effect of this shift has been partially offset by a number of debt restructuring agreements and write offs in Stage 3.

Movements in allowances includes as well trade receivables and lease receivables for which the loss allowances are measured in accordance with paragraph 5.5.15 of IFRS 9.

Note that the impact on the P&L (Impairments on financial instruments and provisions for credit commitments) is EUR -111 million in 2019, compared to EUR -66 million in 2018.

To calculate the Expected Credit Losses (ECL) per IFRS 9 Belfius uses 4 weighted forward-looking scenarios. The forward looking scenarios are based on macro-economic parameters namely optimistic, neutral, pessimistic and a stress case, whilst the weights are adapted to the specific circumstances and prospects of each scenario. In light of the current COVID-19 crisis, it is not inconceivable that the macroeconomic scenarios could deteriorate further for an undeterminable period as well as an increase of the weights assigned to the pessimistic and stress scenarios, all of which will have a negative impact on the ECL. Nevertheless, counteractive measures that are and will be taken by different authorities (such as central banks, national authorities with possible guarantee schemes, regulators, other European authorities etc.) need to be taken into account as well. It is impossible, at this stage, to estimate the potential adjustments to the ECL under the current macro-economic environment that is unpredictable and uncertain as a result of the worldwide COVID-19 crisis.

9. Credit risk information for loans designated at fair value through profit or loss

There are currently no financial assets designated at fair value through profit or loss. We refer to note 5.4 loans and advances and 5.5. Debt securities & Equity Instruments.

10. Credit risk information about financial liabilities designated at fair value through profit or loss

31/12/18	Book value	Amount of change in the fair value attributable to changes in the credit risk of the liability		Difference between carrying amount of the financial liability and contractual amount required to be paid at maturity ⁽¹⁾
		Change of the period	Cumulative amount	
(In thousands of EUR)				
	7,373,923	0	0	7,747

31/12/19	Book value	Amount of change in the fair value attributable to changes in the credit risk of the liability		Difference between carrying amount of the financial liability and contractual amount required to be paid at maturity ⁽¹⁾
		Change of the period	Cumulative amount	
(In thousands of EUR)				
	8,306,668	0	0	208,091

(1) This amount includes the premium/discount and the change in market value.

11. Writte-offs

The contractual amount outstanding on financial assets that were written off during the year and that are still subject to enforcement activity is nihil.

9.3. Information on asset encumbrance and collateral received

1.1. Assets

	31/12/18			
	Carrying amount of encumbered assets	Fair value of encumbered assets	Carrying amount of unencumbered assets	Fair value of unencumbered assets
(In thousands of EUR)				
Equity instruments	0	0	1,491,101	1,491,101
Debt securities	3,644,984	3,883,137	23,432,682	23,982,349
Loans and advances	28,019,960		63,102,552	
of which cash collateral given	11,421,886			

	31/12/19			
	Carrying amount of encumbered assets	Fair value of encumbered assets	Carrying amount of unencumbered assets	Fair value of unencumbered assets
(In thousands of EUR)				
Equity instruments	0	0	1,674,908	1,674,908
Debt securities	4,184,459	4,762,100	23,630,199	24,912,946
Loans and advances	28,051,279		66,893,200	
of which cash collateral given	12,016,687			

1.2. Collateral received

	As at 31 December 2018		As at 31 December 2019	
	Fair value of encumbered collateral received or own debt securities issued	Fair value of collateral received or own debt securities issued available for encumbrance	Fair value of encumbered collateral received or own debt securities issued	Fair value of collateral received or own debt securities issued available for encumbrance
(In thousands of EUR)				
Collateral received by the reporting institution	129,502	3,084,326	193,152	6,441,043
Equity instruments	0	169,708	0	151,093
Debt securities	129,502	2,914,618	193,152	6,289,951
Other collateral received	0	0	0	0
Own debt securities issued other than own covered bonds or ABSs	0	426,773	0	577,810

2. Summary encumbrance by source

As at 31 December 2018	Encumbered assets						Total
	Loans and advances		Debt securities				
	Measured at amortised cost	Measured at fair value through profit or loss	Measured at amortised cost	Measured at fair value through other comprehensive income	Measured at fair value through profit or loss	Fair value of encumbered collateral received or own debt securities issued	
	(In thousands of EUR)						
SOURCE OF ENCUMBRANCE							
Derivatives - collateral	11,421,886	0	1,294,012	0	0	(351,418)	12,364,480
Repurchase agreements	3,014	0	8,829	0	0	1	11,845
Collateralised deposits other than repurchase agreements	1,092,956	0	241,918	0	4,237	0	1,339,112
Central bank funding	4,117,911	0	363,173	0	0	125,593	4,606,677
Covered bonds issued	10,559,103	0	97,130	0	0	0	10,656,233
Asset-backed securities issued	365,361	0	0	0	0	0	365,361
Fair value of securities borrowed with non cash-collateral	245,033	0	729,739	0	0	0	974,773
Securities lending	0	0	728,269	0	0	321,531	1,049,800
Other	204,770	0	165,876	0	21,726	33,794	426,166
TOTAL	28,010,034	0	3,628,946	0	25,964	129,502	31,794,446

As at 31 December 2019	Encumbered assets						Total
	Loans and advances		Debt securities				
	Measured at amortised cost	Measured at fair value through profit or loss	Measured at amortised cost	Measured at fair value through other comprehensive income	Measured at fair value through profit or loss	Fair value of encumbered collateral received or own debt securities issued	
(In thousands of EUR)							
SOURCE OF ENCUMBRANCE							
Derivatives - collateral	12,016,687	0	1,196,027	0	0	(223,934)	12,988,780
Repurchase agreements	0	0	0	0	0	0	0
Collateralised deposits other than repurchase agreements	740,625	0	247,831	0	0	4,436	992,892
Central bank funding	4,242,619	0	587,121	0	0	795	4,830,535
Covered bonds issued	9,883,418	0	96,657	0	0	0	9,980,075
Asset-backed securities issued	251,347	0	0	0	0	0	251,347
Fair value of securities borrowed with non cash-collateral	240,768	0	875,373	0	0	0	1,116,141
Securities lending	0	0	1,201,360	0	0	150,445	1,351,805
Other	429,593	0	107,016	0	23,144	109,732	669,484
TOTAL	27,805,056	0	4,311,385	0	23,144	41,474	32,181,059

This information on asset encumbrance was determined on a consolidated basis of Belfius Bank and Belfius Insurance, according to the current Belfius interpretation of the EBA definition and scope.

Following the EBA definition, an asset shall be treated as encumbered if it has been pledged or if it is subject to any form of arrangement to secure, collateralize or credit enhance any transaction from which it cannot be freely withdrawn. This definition covers more than the IFRS requirements that focuses more on pledged assets. Among the encumbered assets the securities lending should not be considered as pledged. As a consequence, assets pledged according to IFRS 7 amount to 30.8 billion EUR. This represents an increase of EUR 0.1 billion compared to 2018.

The definition of encumbered assets includes assets that were pledged as a result of repurchase agreements, loans granted by the central banks, guarantees for the issuance of covered bonds and securitisations, the assets given under bond lending transactions and collateral posted under the "Credit Support Annex" (CSA) or "Credit Support Deed" (CSD).

EBA disclosure requirements fit with IFRS 7 accounting standards disclosure requirements as it request to report encumbered (and unencumbered) amounts of "own" assets both in carrying amount and in fair value, and encumbered (and unencumbered) amounts of received collateral in fair value.

Total collateral received amounts to EUR 6.6 billion end 2019. The Bank has the right to re-pledge this collateral that is fully available for encumbrance.

End 2019, an amount of EUR 13.0 billion of collateral is pledged for derivatives (cash + securities). Securities pledged amount to EUR 1.2 billion and are measured at amortised cost.

Belfius is active in the covered bond market since 2012. End 2019, the total notional amount issued was EUR 8.1 billion which represents a decrease of EUR 0.6 billion in 2019 compared to 2018. End 2019, the assets encumbered for this funding source consist of commercial loans (public sector and mortgage loans) and amount to EUR 10.0 billion (decrease of EUR 0.7 billion compared to end 2018). Assets segregated in cover pools cannot be re-used by investors.

Since 2017 in the context of the management of its liquidity buffer, Belfius is active in bond lending transactions under the agreed Global Master Securities Lending Agreements (GMSLA) to manage its liquidity buffer. This activity generates EUR 1.4 billion of encumbered assets.

The collateral pledged to the European Central Bank amounts to EUR 6.4 billion at the end of 2019. EUR 4.8 billion of the pledged collateral is encumbered for TLTRO funding of EUR 4.0 billion. The assets pledged to collateralize the TLTRO funding are composed of EUR 4.2 billion public, SME and mortgage loans (through securitisation vehicles Penates and Mercurius) and EUR 0.6 billion of bonds. Credit claims pledged for ECB funding cannot be re-used by the ECB.

3. Encumbered assets/collateral received and associated liabilities

	As at 31 December 2018		As at 31 December 2019	
	Matching liabilities, contingent liabilities or securities lent	Assets, collateral received and own debt securities issued other than covered bonds and ABSs encumbered	Matching liabilities, contingent liabilities or securities lent	Assets, collateral received and own debt securities issued other than covered bonds and ABSs encumbered
(In thousands of EUR)				
Carrying amount of selected financial liabilities	25,460,045	29,418,780	24,447,098	29,284,911

4. Transfer of financial assets that do not qualify for derecognition in the consolidated balance sheet

	31/12/18				
	Carrying amount of transferred assets	Carrying amount of associated liabilities	For those liabilities that recourse only to the transferred assets		
			Fair value of transferred assets	Fair Value of associated liabilities	Net position
(In thousands of EUR)					
Loans and advances due from credit institutions	0	0	0	0	0
Loans and advances	361,494	361,494	384,825	361,926	22,899
Debt securities	747,868	730,093	0	0	0
Equity instruments	0	0	0	0	0
Derivatives	0	0	0	0	0
TOTAL	1,109,362	1,091,587	384,825	361,926	22,899

	31/12/19				
	Carrying amount of transferred assets	Carrying amount of associated liabilities	For those liabilities that recourse only to the transferred assets		
			Fair value of transferred assets	Fair Value of associated liabilities	Net position
(In thousands of EUR)					
Loans and advances due from credit institutions	0	0	0	0	0
Loans and advances	248,153	248,153	274,012	248,673	25,339
Debt securities	0	0	0	0	0
Equity instruments	0	0	0	0	0
Derivatives	0	0	0	0	0
TOTAL	248,153	248,153	274,012	248,673	25,339

A. Repurchase agreements

Belfius uses repurchase agreements as financing transactions where securities are sold to a market counterparty in exchange for cash and where the transferred securities are repurchased at maturity date of the contract.

The repurchase agreements are conducted under the terms of the Global Master Repurchase Agreements. The market counterparties are subject to the credit risk process as described in the management report.

Since all significant risks and rewards associated with ownership of the transferred securities are retained, the securities remain on the balance sheet of Belfius. The cash obtained under this transaction is recognised as a liability.

Since the counterparty, in case of default, has not only a right on the transferred assets, but on the entire debt, the columns "for those liabilities that resort only to the transferred assets" are not applicable on this.

B. Securitisation of credits

Belfius has different securitisation vehicles that are consolidated as most of the risks and rewards remain for Belfius. The underlying financial assets continue to be recognized on the balance sheet and the liquid assets obtained through securitisation are represented by a debt instrument. We refer to note 12. "Securitisation" for further details.

The securitized loans Penates 5 are included in this overview as investors have a contractual right on the cash flows of the underlying loans. Since the investors only have a contractual right on the underlying credits and not on the entire debt, the column "for those liabilities that recourse only to the transferred assets" is applicable here.

The related received cash transfer is recognised as a liability.

5. Collateral and other credit enhancements obtained by taking possession of collateral

Amounts involved are immaterial.

6. Offsetting

A. Financial assets subject to offsetting

As at 31 December 2018	Gross amounts of recognised financial assets	Gross amounts of recognised financial liabilities set off	Net amounts of financial assets presented in the balance sheet	Amounts not set off in the balance		Net amount
(In thousands of EUR)				Financial instrument	Securities + cash collateral received	
Derivatives with London Clearing House	6,621,526	6,597,047	24,479	0	0	24,479
Derivatives with master netting agreements	12,455,972	0	12,455,972	6,189,562	4,091,999	2,174,411
Reverse repurchase agreements with London Clearing House	0	0	0	0	0	0
Reverse repurchase agreements with master netting agreements	3,400,880	729,739	2,671,140	0	2,669,866	1,274
Securities borrowing	0	0	0	0	0	0
Other financial instruments	0	0	0	0	0	0
TOTAL	22,478,378	7,326,787	15,151,591	6,189,562	6,761,865	2,200,164

As at 31 December 2019	Gross amounts of recognised financial assets	Gross amounts of recognised financial liabilities set off	Net amounts of financial assets presented in the balance sheet	Amounts not set off in the balance		Net amount
(In thousands of EUR)				Financial instrument	Securities + cash collateral received	
Derivatives with London Clearing House	7,282,183	7,207,113	75,070	0	0	75,070
Derivatives with master netting agreements	13,293,925	0	13,293,925	6,999,469	4,160,631	2,133,825
Reverse repurchase agreements with London Clearing House	0	0	0	0	0	0
Reverse repurchase agreements with master netting agreements	5,848,872	893,162	4,955,710	0	4,855,116	100,595
Securities borrowing	0	0	0	0	0	0
Other financial instruments	0	0	0	0	0	0
TOTAL	26,424,980	8,100,275	18,324,705	6,999,469	9,015,746	2,309,490

B. Financial liabilities subject to offsetting

As at 31 December 2018 PF	Gross amounts of recognised financial liabilities	Gross amounts of recognised financial assets set off	Net amounts of financial liabilities presented in the balance sheet	Amounts not set off in the balance		Net amount
				Financial instrument	Securities + cash collateral pledged	
(In thousands of EUR)						
Derivatives with London Clearing House	6,615,633	6,597,047	18,586	0	0	18,586
Derivatives with master netting agreements	17,400,107	0	17,400,107	6,189,562	11,060,493	150,053
Repurchase agreements with London Clearing House	0	0	0	0	0	0
Repurchase agreements with master netting agreements	729,739	729,739	0	0	0	0
Securities borrowing	0	0	0	0	0	0
Other financial instruments	0	0	0	0	0	0
TOTAL	24,745,480	7,326,787	17,418,693	6,189,562	11,060,493	168,639

As at 31 December 2019	Gross amounts of recognised financial liabilities	Gross amounts of recognised financial assets set off	Net amounts of financial liabilities presented in the balance sheet	Amounts not set off in the balance		Net amount
				Financial instrument	Securities + cash collateral pledged	
(In thousands of EUR)						
Derivatives with London Clearing House	7,230,654	7,207,113	23,541	0	0	23,541
Derivatives with master netting agreements	18,215,233	0	18,215,233	6,999,469	11,103,756	112,008
Repurchase agreements with London Clearing House	0	0	0	0	0	0
Repurchase agreements with master netting agreements	893,162	893,162	0	0	0	0
Securities borrowing	0	0	0	0	0	0
Other financial instruments	0	0	0	0	0	0
TOTAL	26,339,049	8,100,275	18,238,774	6,999,469	11,103,756	135,548

9.4. Interest-rate repricing risk: breakdown by remaining maturity until next refixing interest rate

Sight accounts and saving deposits are presented in the column "At sight and on demand" as the information presented below takes into account the residual maturity until the next interest-rate refixing date on the legal repayment date, rather than on the observed behavioral customer data. However, for the determination of the interest rate sensitivity of the net asset value or earnings, the observed behaviour of customers on these liabilities is taken into account (see note 9.5 "Market risk and ALM").

1. 2018

A. Assets

	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Un-determined maturity	Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
(In thousands of EUR)										
Cash and balances with central banks	8,314,379	0	0	0	0	0	(76)	0	0	8,314,303
Loans and advances due from credit institutions	10,885,323	2,085,045	72,676	68,590	5,750	424	(10,771)	0	(191)	13,106,846
Loans and advances	2,069,166	16,773,206	14,258,263	24,273,574	32,756,687	1,799,120	360,056	316,216	(1,483,775)	91,122,512
Debt securities & equity instruments	0	4,939,114	2,054,595	5,789,031	12,327,911	2,080,596	351,995	1,221,858	(196,333)	28,568,766
Derivatives							596,727	12,170,858	0	12,767,585
Unit linked products insurance activities						2,837,971				2,837,971
Gain/loss on the hedged item in portfolio hedge of interest rate risk								4,590,806		4,590,806
Investments in equity method companies						47,949				47,949
Tangible fixed assets						1,065,607				1,065,607
Intangible assets						191,497				191,497
Goodwill						103,966				103,966
Current tax assets						77,683				77,683
Deferred tax assets						300,508				300,508
Other assets	41,977	115,546	32,930	52,843	44,218	766,223	0	0	(3,633)	1,050,104
Non current assets (disposal group) held for sale and discontinued operations						21,059		0	(2,012)	19,047
TOTAL ASSETS	21,310,845	23,912,910	16,418,464	30,184,038	45,134,566	9,292,604	1,297,932	18,299,738	(1,685,945)	164,165,152
Regular way trade	0	1,053,872	193	99	0	430,651	0	0	0	1,484,815
Derivatives	0	116,881,774	60,987,360	41,687,887	64,779,113	1,975,324	0	0	0	286,311,458
OFF BALANCE SHEET	0	117,935,646	60,987,553	41,687,986	64,779,113	2,405,975	0	0	0	287,796,274
TOTAL FOR INTEREST RATE REPRICING RISK	21,310,845	141,848,556	77,406,017	71,872,024	109,913,680	11,698,578	1,297,932	18,299,738	(1,685,945)	451,961,425

B. Liabilities

	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Un- determined maturity	Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
(In thousands of EUR)										
Cash and balances from central banks	4,000,000	0	0	0	0	0	(37,678)	0	0	3,962,322
Credit institutions borrowings and deposits	4,493,622	1,227,511	48,785	10,550	62,797	24,317	(772)	0	0	5,866,810
Borrowings and deposits	64,128,516	13,046,017	148,439	740,540	726,824	813,121	54,756	3,095	0	79,661,310
Debt securities issued and other financial liabilities	0	6,492,281	5,906,374	8,497,009	5,532,530	0	253,068	5,609	0	26,686,872
Unit linked products insurance activities						2,837,971			0	2,837,971
Derivatives							1,274,221	16,466,059	0	17,740,280
Gain/loss on the hedged item in portfolio hedge of interest rate risk								165,078	0	165,078
Provisions for insurance activities						13,907,770			0	13,907,770
Provisions and contingent liabilities						487,157			139,595	626,752
Subordinated debts	0	227,732	310,128	44,962	546,606	72,000	18,041	0	0	1,219,469
Current tax liabilities						22,301			0	22,301
Deferred tax liabilities						8,524			0	8,524
Other liabilities	133,447	596,589	3,936	10,447	8,418	746,679	553	0	0	1,500,070
Liabilities included in disposal group and discontinued operations	0	0	0	0	0	0	0	0	0	0
TOTAL LIABILITIES	72,755,585	21,590,131	6,417,663	9,303,508	6,877,176	18,919,840	1,562,190	16,639,841	139,595	154,205,529
Regular way trade	0	5,678,247	85	8,328	813	1,310,867	0	0	0	6,998,340
Derivatives	0	117,618,483	77,652,450	32,095,291	64,661,886	827,982	0	0	0	292,856,091
OFF BALANCE SHEET	0	123,296,730	77,652,535	32,103,619	64,662,699	2,138,850	0	0	0	299,854,432
TOTAL FOR INTEREST RATE REPRICING RISK	72,755,585	144,886,861	84,070,197	41,407,127	71,539,874	21,058,690	1,562,190	16,639,841	139,595	454,059,961

C. Net position

	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity
(In thousands of EUR)						
On-balance-sheet sensitivity gap	(51,444,740)	(3,038,305)	(6,664,180)	30,464,898	38,373,805	(9,360,111)

The actual interest rate risk of Belfius is managed based on more advanced assumptions. (See note 9.5 Market risk and ALM).

1. 2019

A. Assets

	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Un-determined maturity	Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
(In thousands of EUR)										
Cash and balances with central banks	6,715,928	0	0	0	0	0	0	0	0	6,715,928
Loans and advances due from credit institutions	11,388,058	4,734,097	12,265	71,058	0	7,989	(5,154)	0	(476)	16,207,838
Loans and advances	2,212,122	15,692,518	14,518,123	25,739,716	35,696,343	1,886,346	331,789	383,411	(1,515,890)	94,944,479
Debt securities & equity instruments	0	4,961,613	2,369,653	5,653,247	12,392,853	2,030,650	343,166	1,925,760	(187,376)	29,489,565
Derivatives							572,370	12,732,339	0	13,304,709
Unit linked products insurance activities						3,671,372				3,671,372
Gain/loss on the hedged item in portfolio hedge of interest rate risk								4,881,797		4,881,797
Investments in equity method companies						64,124				64,124
Tangible fixed assets						1,215,355				1,215,355
Intangible assets						206,384				206,384
Goodwill						103,966				103,966
Current tax assets						53,723				53,723
Deferred tax assets						284,720				284,720
Other assets	62,718	186,975	38,156	41,068	57,386	886,085	0	0	(708)	1,271,681
Non current assets (disposal group) held for sale and discontinued operations						27,622		0	(3,796)	23,826
TOTAL ASSETS	20,378,826	25,575,203	16,938,197	31,505,088	48,146,582	10,438,335	1,242,171	19,923,307	(1,708,244)	172,439,465
Regular way trade	0	3,305,887	33,214	18,657	110	338,146	0	0	0	3,696,014
Derivatives	0	112,949,632	58,679,007	40,106,106	58,816,145	2,475,259	0	0	0	273,026,151
OFF BALANCE SHEET	0	116,255,520	58,712,221	40,124,764	58,816,255	2,813,405	0	0	0	276,722,164
TOTAL FOR INTEREST RATE REPRICING RISK	20,378,826	141,830,723	75,650,418	71,629,852	106,962,837	13,251,740	1,242,171	19,923,307	(1,708,244)	449,161,629

B. Liabilities

(In thousands of EUR)	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Un-determined maturity	Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
Cash and balances from central banks	4,030,839	0	0	0	0	0	(14,062)	0	0	4,016,777
Credit institutions borrowings and deposits	4,514,364	1,201,446	52,215	10,954	41,716	0	(1,331)	0	0	5,819,363
Borrowings and deposits	68,031,997	16,398,770	104,547	372,982	485,153	30	52,293	4,138	0	85,449,910
Debt securities issued and other financial liabilities	0	5,413,308	7,317,743	8,067,179	6,394,749	85	256,140	205,301	0	27,654,505
Unit linked products insurance activities						3,671,372			0	3,671,372
Derivatives							1,079,228	17,550,888	0	18,630,116
Gain/loss on the hedged item in portfolio hedge of interest rate risk								262,708	0	262,708
Provisions for insurance activities						13,180,229			0	13,180,229
Provisions and contingent liabilities						413,783			103,562	517,345
Subordinated debts	0	226,240	85,000	44,966	711,029	72,000	18,031	0	0	1,157,266
Current tax liabilities						81,540			0	81,540
Deferred tax liabilities						55,108			0	55,108
Other liabilities	126,548	838,874	14,222	4,683	1,177	451,159	561	0	0	1,437,224
Liabilities included in disposal group and discontinued operations	0	0	0	0	0	0	0	0	0	0
TOTAL LIABILITIES	76,703,748	24,078,638	7,573,726	8,500,764	7,633,825	17,925,306	1,390,860	18,023,035	103,562	161,933,465
Regular way trade	0	4,494,152	87,097	70,772	1,702	341,314	0	0	0	4,995,038
Derivatives	0	114,569,483	66,504,805	33,067,704	59,192,152	625,268	0	0	0	273,959,411
OFF BALANCE SHEET	0	119,063,634	66,591,902	33,138,476	59,193,854	966,583	0	0	0	278,954,449
TOTAL FOR INTEREST RATE REPRICING RISK	76,703,748	143,142,272	74,165,629	41,639,240	66,827,678	18,891,889	1,390,860	18,023,035	103,562	440,887,914

C. Net position

(In thousands of EUR)	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity
On-balance-sheet sensitivity gap	(56,324,922)	(1,311,550)	1,484,790	29,990,612	40,135,159	(5,640,149)

The actual interest rate risk of Belfius is managed based on more advanced assumptions. (See note 9.5 Market risk and ALM).

9.5. Market risk and ALM

We also refer to the chapter “Risk Management” of the Management report for further information section Market Risk.

1. Financial markets

Within Belfius Bank, the Financial Markets Services department (FM) is the central point of entry to the financial markets. In general aspect, the department does not negotiate positions for own account: all transactions are based on client transactions. Transactions made by external or internal clients, for instance ALM including liquidity management belonging to the last category, are hedged overall within a framework of limits that complies with Belfius’s risk policies. As a result, the various market risks are kept within that framework, a.o. by hedging transactions. The VaR figures stated below reflect these residual positions.

The risks on client flow management activities include general interest rate, foreign exchange, equity prices, credit spread and other risks (inflation, CO₂). These risks are managed within Value at Risk limits and other appropriate risk limits.

Cash and Liquidity Management (CLM) is monitored by means of Value at Risk limits (VaR) and interest rate sensitivity limits.

The spread risk of the investment portfolio and client flow management activities are managed with spread limits.

The Value-at-Risk (VaR) concept is used as the principal metric for management of the market risk Belfius Bank is facing. The VaR measures the maximum loss in Net Present Value (NPV) the

bank might be facing in historical market conditions over a period of 10 days with a confidence interval of 99%. The following risks are monitored at Belfius using a VaR computation:

- The interest rate and foreign-exchange rate risk: this category of risk is monitored via a historical VaR based on an internal model approved by the National Bank of Belgium. The historical simulation approach consists of managing the portfolio through a time series of historical asset yields. These revaluations generate a distribution of portfolio values (yield histogram) on the basis of which a VaR (% percentile) may be calculated. The main advantages of this type of VaR are its simplicity and the fact that it does not assume a normal but a historical distribution of asset yields (distributions may be non-normal and the behaviour of the observations may be non-linear).
- The general and specific equity risks are measured on the basis of a historical VaR with full valuation based on 300 scenarios.
- The spread risk and the inflation risk are measured via a historical approach, applying 300 observed variations on the sensitivities.

Since the end of 2011, Belfius also computes a Stressed Value-at-Risk (S-VaR) on top of its regular VaR, which also enters into the computation of weighted risks for Market Risk. This S-VaR measure consists of calculating a historical VaR based on a 12 consecutive months observation period which generates the largest negative variations of Net Present Value in the bank’s current portfolio of financial instruments.

VaR ⁽¹⁾ (99% 10 days) (In thousands of EUR)	31/12/18				31/12/19			
	IR ⁽²⁾ & FX ⁽³⁾	Equity	Spread	Other risks ⁽⁴⁾	IR ⁽²⁾ & FX ⁽³⁾	Equity	Spread	Other risks ⁽⁴⁾
By activity								
Average	8,973	5,601	2,499	1,006	6,827	4,763	657	697
EOY	9,213	6,836	482	756	6,003	4,425	314	437
Maximum	15,504	7,587	6,147	2,190	11,614	7,553	2,154	1,470
Minimum	4,232	4,374	238	389	3,517	3,704	214	407
Global								
Average		18,078				12,942		
EOY		17,287				11,178		
Maximum		29,537				18,423		
Minimum		10,909				9,060		
Limit		26,500				26,500		

(1) The Value at Risk (VaR) is a measure of the potential change in market value with a probability of 99% and over a period of 10 days.

(2) IR: interest rate risk.

(3) FX: foreign exchange risk.

(4) Inflation and CO₂ risk.

Interest rate risk (IR) and forex risk (FX) are not measured separately. The forex risk is however not material.

2. Value adjustments

Value adjustments related to Belfius' derivative exposures are sensitive to market risk as well. While sensitivities of the value adjustments to interest rate and currency are almost completely

hedged, some sensitivity to credit spreads remains unhedged. This is also the case for some basis risk caused by hedge inefficiencies (different discount curve for bond and its hedge).

Basis Point Sensitivity (In thousands of EUR)	31/12/18					31/12/19				
	IR	FX ⁽¹⁾	Spread ⁽²⁾	Tenor Basis	Other risks ⁽³⁾	IR	FX ⁽¹⁾	Spread ⁽²⁾	Tenor Basis	Other risks ⁽³⁾
By activity										
EOY	(9)	0	(1,399)	(461)	113	(145)	0	(736)	650	41

(1) Foreign exchange risk is expressed as the net outstanding amount per currency (sum for the three main currencies: GBP, USD and JPY).

(2) Impact of a 1bp increase in spread (either credit spread, or bond-cds basis spread).

(3) Other risks: mainly GBP Inflation.

3. Asset-liability management (ALM)

A. Interest rate risk

Interest rate risk has two forms – economic value volatility and earnings volatility. The measurement of both is complementary in understanding the complete scope of interest rate risk in the balance sheet (excluding financial markets).

Economic value indicators capture the long-term effect of the interest rate changes on the economic value. Interest rate sensitivity of economic value measures the net change of the ALM economic value to an interest rate move by 10 basis points across the entire curve.

Earnings at Risk indicators capture the more shorter term effect of the interest rate changes on the earnings of the Bank. Therefore, indirectly through profitability, interest rate changes can also have a shorter term solvency effect. A 50 bps increase of interest rates has an estimated positive impact on net interest income (before tax) of EUR +3 million of the next book year and an estimated cumulative effect of EUR +143 million over a three year period, whereas a 35 bps decrease would lead to an estimated negative impact of EUR -1 million of the next book year and an estimated cumulative effect of EUR -90 million over a three year period.

(In thousands of EUR)	31/12/18	31/12/19
Bank		
Economic value (+10 bps)	(15,441)	(50,409)
Earnings at risk (+50 bps)	59,864	3,264
Insurance		
Economic value (+10 bps)	10,874	6,874
Earnings at risk (+50 bps)	2,347	2,178

B. Listed equity & real estate

(In thousands of EUR)	31/12/18	31/12/19
Insurance		
Market value - quoted shares & assimilated	492,831	501,175
Market value - quoted real estate	318,592	277,776
Shock 30% (negative)	(243,427)	(233,685)
VaR (99%, 10 days)	53,400	36,037

C. Real estate - direct property

(In thousands of EUR)	31/12/18	31/12/19
Insurance		
Market value	645,291	720,808
Shock 12.5% (negative)	(96,794)	(108,121)

4. Bond portfolio

A. Outstanding nominal amounts

(In thousands of EUR)	31/12/18	31/12/19
Bank	11,288,735	11,650,214
Insurance	9,401,251	9,140,108

B. Interest-rate sensitivity

The interest rate risk of the bond portfolio of the bank is either micro-hedged (for the former Side portfolio; hence low net interest rate sensitivity), or is managed through the ALM-framework (hence net interest rate sensitivity part of global ALM interest rate sensitivity).

The sensitivity to 1 bp interest rate increase of the value of the bond portfolio of the insurance companies amounted to EUR -8 million at the end of 2019, part of the global ALM management of the insurance companies.

C. Credit-spread sensitivity

This calculation estimates the sensitivity of the value of the bond portfolio after one basis point spread widening.

(In thousands of EUR)	31/12/18	31/12/19
Bank	(16,369)	(18,056)
Insurance	(8,105)	(8,180)

9.6. Liquidity risk

Liquidity is managed with a view to comply with our Liquidity Risk Management guidelines and framework. We also refer to the management report for a detailed description.

We refer to the management report for more information on the Liquidity Coverage Ratio. The Liquidity Coverage Ratio forces financial institutions to maintain a sufficient stock of quality liquid assets to withstand a crisis that puts their cash flows under pressure. The liquid assets to hold must be equal to or greater than their net cash outflow over a 30-day period under stress (as such, having at least 100% coverage). The parameters of the stress scenario are defined under Basel III.

Belfius Insurance holds a significant amount of unencumbered assets that are eligible at the ECB. More specific, the company invests at least 40% of its bond portfolio in government bonds eligible for repos in the context of its liquidity management.

Breakdown residual maturity

We do not disclose amounts on the expected prepayment dates as such we have used the contractual maturity date for this table.

Current accounts and saving deposits are included in the column "At sight and on demand" even if they have no fixed repayment date.

All other assets and liabilities are split over the different periods according to the contractual cashflows characteristics.

1. 2018

A. Assets

(In thousands of EUR)	Breakdown of gross amount and premium/discount						Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity				
Cash and balances with central banks	8,314,379	0	0	0	0	0	(76)	0	0	8,314,303
Loans and advances due from credit institutions	10,885,323	2,085,045	72,676	68,590	5,750	424	(10,771)	0	(191)	13,106,846
Loans and advances	2,069,166	12,364,053	8,150,243	25,774,422	41,773,014	1,799,120	360,056	316,216	(1,483,775)	91,122,512
Debt securities & equity instruments	0	1,226,939	735,544	5,905,524	17,206,337	2,116,902	351,995	1,221,858	(196,333)	28,568,766
Unit linked products insurance activities	0	0	0	0	0	2,837,971	0	0	0	2,837,971
Derivatives	0	0	0	0	0	0	596,727	12,170,858	0	12,767,585
Gain/loss on the hedged item in portfolio hedge of interest rate risk	0	0	0	0	0	0	0	4,590,806	0	4,590,806
Investments in equity method companies	0	0	0	0	0	47,949	0	0	0	47,949
Tangible fixed assets	0	0	0	0	0	1,065,607	0	0	0	1,065,607
Intangible assets	0	0	0	0	0	191,497	0	0	0	191,497
Goodwill	0	0	0	0	0	103,966	0	0	0	103,966
Current tax assets	0	0	0	0	0	77,683	0	0	0	77,683
Deferred tax assets	0	0	0	0	0	300,508	0	0	0	300,508
Other assets	41,977	116,151	32,930	52,843	43,798	766,038	0	0	(3,633)	1,050,104
Non current assets (disposal group) held for sale and discontinued operations	0	0	0	0	0	21,059	0	0	(2,012)	19,047
TOTAL ASSETS	21,310,845	15,792,188	8,991,392	31,801,378	59,028,899	9,328,725	1,297,932	18,299,738	(1,685,945)	164,165,152
Regular way trade	0	1,484,763	0	0	0	53	0	0	0	1,484,815
Foreign exchange derivatives	0	3,087,170	3,344,257	3,377,124	14,642,320	0	0	0	0	24,450,871
CASH FLOW FROM DERIVATIVES AND REGULAR WAY TRADE	0	4,571,933	3,344,257	3,377,124	14,642,320	53	0	0	0	25,935,686
TOTAL	21,310,845	20,364,121	12,335,650	35,178,502	73,671,219	9,328,778	1,297,932	18,299,738	(1,685,945)	190,100,838

B. Liabilities

(In thousands of EUR)	Breakdown of gross amount and premium/discount						Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity				
Cash and balances from central banks	4,000,000	0	0	0	0	0	(37,678)	0	0	3,962,322
Credit institutions borrowings and deposits	4,493,622	1,227,511	48,785	10,550	62,797	24,317	(772)	0	0	5,866,810
Borrowings and deposits	64,128,516	13,046,017	148,439	740,540	726,824	813,121	54,756	3,095	0	79,661,310
Debt securities issued and other financial liabilities	0	2,984,534	3,632,232	12,137,548	7,673,880	0	253,068	5,609	0	26,686,872
Unit linked products insurance activities	0	0	0	0	0	2,837,971	0	0	0	2,837,971
Derivatives	0	0	0	0	0	0	1,274,221	16,466,059	0	17,740,280
Gain/loss on the hedged item in portfolio hedge of interest rate risk	0	0	0	0	0	0	0	165,078	0	165,078
Provisions and contingent liabilities	0	0	0	0	0	487,157	0	0	139,595	626,752
Provisions for insurance activities	0	189,057	558,764	5,815,548	7,344,400	0	0	0	0	13,907,770
Subordinated debts	0	0	66,000	74,935	903,493	157,000	18,041	0	0	1,219,469
Current tax liabilities	0	0	0	0	0	22,301	0	0	0	22,301
Deferred tax liabilities	0	0	0	0	0	8,524	0	0	0	8,524
Other liabilities	133,447	599,127	3,936	10,447	8,418	744,142	553	0	0	1,500,070
Liabilities included in disposal group and discontinued operations	0	0	0	0	0	0	0	0	0	0
TOTAL LIABILITIES	72,755,585	18,046,247	4,458,156	18,789,569	16,719,813	5,094,533	1,562,190	16,639,841	139,595	154,205,529
Shareholders' core equity	0	0	0	0	0	9,054,891	0	0	0	9,054,891
Gains and losses not recognised in the statement of income	0	0	0	0	0	391,530	0	0	0	391,530
TOTAL SHAREHOLDERS' EQUITY	0	0	0	0	0	9,446,422	0	0	0	9,446,422
Additional Tier-1 instruments included in equity						497,083				497,083
Non-controlling interests	0	0	0	0	0	16,118	0	0	0	16,118
TOTAL EQUITY	0	0	0	0	0	9,959,623	0	0	0	9,959,623
TOTAL LIABILITIES AND EQUITY	72,755,585	18,046,247	4,458,156	18,789,569	16,719,813	15,054,156	1,562,190	16,639,841	139,595	164,165,152
Regular way trade	0	6,102,858	0	0	0	895,482	0	0	0	6,998,340
Foreign exchange derivatives	0	3,084,209	3,364,461	3,367,806	14,513,859	0	0	0	0	24,330,335
CASH FLOW FROM DERIVATIVES AND REGULAR WAY TRADE	0	9,187,068	3,364,461	3,367,806	14,513,859	895,482	0	0	0	31,328,676
TOTAL	72,755,585	27,233,314	7,822,617	22,157,375	31,233,672	15,949,638	1,562,190	16,639,841	139,595	195,493,827

C. Total liquidity gap

(In thousands of EUR)	Breakdown of gross amount and premium/discount					
	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity
Total liquidity gap	(51,444,740)	(6,869,194)	4,513,033	13,021,127	42,437,546	(6,620,860)

1. 2019
A. Assets

(In thousands of EUR)	Breakdown of gross amount and premium/discount						Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity				
Cash and balances with central banks	6,715,928	0	0	0	0	0	0	0	0	6,715,928
Loans and advances due from credit institutions	11,388,058	4,734,097	6,015	71,058	6,250	7,989	(5,154)	0	(476)	16,207,838
Loans and advances	2,212,122	11,701,149	8,931,536	26,895,794	44,118,222	1,886,346	331,789	383,411	(1,515,890)	94,944,479
Debt securities & equity instruments	0	811,257	1,057,442	5,800,015	17,676,929	2,062,374	343,166	1,925,760	(187,376)	29,489,565
Unit linked products insurance activities	0	0	0	0	0	3,671,372	0	0	0	3,671,372
Derivatives	0	0	0	0	0	0	572,370	12,732,339	0	13,304,709
Gain/loss on the hedged item in portfolio hedge of interest rate risk	0	0	0	0	0	0	0	4,881,797	0	4,881,797
Investments in equity method companies	0	0	0	0	0	64,124	0	0	0	64,124
Tangible fixed assets	0	0	0	0	0	1,215,355	0	0	0	1,215,355
Intangible assets	0	0	0	0	0	206,384	0	0	0	206,384
Goodwill	0	0	0	0	0	103,966	0	0	0	103,966
Current tax assets	0	0	0	0	0	53,723	0	0	0	53,723
Deferred tax assets	0	0	0	0	0	284,720	0	0	0	284,720
Other assets	62,622	165,597	38,156	62,411	57,735	885,867	0	0	(708)	1,271,681
Non current assets (disposal group) held for sale and discontinued operations	0	0	0	0	0	27,622	0	0	(3,796)	23,826
TOTAL ASSETS	20,378,730	17,412,099	10,033,149	32,829,278	61,859,136	10,469,840	1,242,171	19,923,307	(1,708,244)	172,439,465
Regular way trade	0	3,692,494	3,469	36	0	14	0	0	0	3,696,014
Foreign exchange derivatives	0	5,728,411	2,663,028	3,715,695	15,539,573	0	0	0	0	27,646,707
CASH FLOW FROM DERIVATIVES AND REGULAR WAY TRADE	0	9,420,905	2,666,497	3,715,732	15,539,573	14	0	0	0	31,342,721
TOTAL	20,378,730	26,833,004	12,699,646	36,545,009	77,398,709	10,469,854	1,242,171	19,923,307	(1,708,244)	203,782,186

B. Liabilities

(In thousands of EUR)	Breakdown of gross amount and premium/discount						Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity				
Cash and balances from central banks	4,030,839	0	0	0	0	0	(14,062)	0	0	4,016,777
Credit institutions borrowings and deposits	4,514,364	1,201,446	45,965	10,954	47,966	0	(1,331)	0	0	5,819,363
Borrowings and deposits	68,031,997	15,888,095	109,547	659,086	704,723	30	52,293	4,138	0	85,449,910
Debt securities issued and other financial liabilities	0	3,016,823	4,648,796	11,280,662	8,246,698	85	256,140	205,301	0	27,654,505
Unit linked products insurance activities	0	0	0	0	0	3,671,372	0	0	0	3,671,372
Derivatives	0	0	0	0	0	0	1,079,228	17,550,888	0	18,630,116
Gain/loss on the hedged item in portfolio hedge of interest rate risk	0	0	0	0	0	0	0	262,708	0	262,708
Provisions and contingent liabilities	0	0	0	0	0	413,783	0	0	103,562	517,345
Provisions for insurance activities	0	1,157,171	461,299	4,556,909	7,004,850	0	0	0	0	13,180,229
Subordinated debts	0	0	0	74,948	907,288	157,000	18,031	0	0	1,157,266
Current tax liabilities	0	0	0	0	0	81,540	0	0	0	81,540
Deferred tax liabilities	0	0	0	0	0	55,108	0	0	0	55,108
Other liabilities	126,548	838,552	14,222	4,710	1,472	451,159	561	0	0	1,437,224
Liabilities included in disposal group and discontinued operations	0	0	0	0	0	0	0	0	0	0
TOTAL LIABILITIES	76,703,748	22,102,088	5,279,829	16,587,268	16,912,997	4,830,077	1,390,860	18,023,035	103,562	161,933,465
Shareholders' core equity	0	0	0	0	0	9,348,367	0	0	0	9,348,367
Gains and losses not recognised in the statement of income	0	0	0	0	0	635,605	0	0	0	635,605
TOTAL SHAREHOLDERS' EQUITY	0	0	0	0	0	9,983,972	0	0	0	9,983,972
Additional Tier-1 instruments included in equity						497,083				497,083
Non-controlling interests	0	0	0	0	0	24,945	0	0	0	24,945
TOTAL EQUITY	0	0	0	0	0	10,506,001	0	0	0	10,506,001
TOTAL LIABILITIES AND EQUITY	76,703,748	22,102,088	5,279,829	16,587,268	16,912,997	15,336,078	1,390,860	18,023,035	103,562	172,439,465
Regular way trade	0	4,995,038	0	0	0	0	0	0	0	4,995,038
Foreign exchange derivatives	0	5,812,674	2,676,929	3,694,876	15,464,162	0	0	0	0	27,648,641
CASH FLOW FROM DERIVATIVES AND REGULAR WAY TRADE	0	10,807,712	2,676,929	3,694,876	15,464,162	0	0	0	0	32,643,678
TOTAL	76,703,748	32,909,799	7,956,758	20,282,144	32,377,159	15,336,078	1,390,860	18,023,035	103,562	205,083,143

C. Total liquidity gap

(In thousands of EUR)	Breakdown of gross amount and premium/discount					
	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity
Total liquidity gap	(56,325,018)	(6,076,796)	4,742,889	16,262,865	45,021,550	(4,866,224)

9.7. Currency risk and foreign exchange

1. Currency risk

(In thousands of EUR)	31/12/18				
	GBP	USD	Other	EUR	Total
Total assets	9,530,991	2,697,496	1,948,779	149,987,887	164,165,152
Total liabilities	4,033,893	3,062,172	2,607,511	144,501,952	154,205,529
Total equity	18,368	86,048	(36,380)	9,891,586	9,959,623
Of which gains and losses not recognised in the statement of income	18,368	86,048	(36,380)	323,281	391,318
Of which other equity	0	0	0	9,568,305	9,568,305
NET ON BALANCE POSITION	5,478,729	(450,725)	(622,353)	(4,405,652)	
Off balance sheet – to receive	566,265	11,402,122	3,445,936	9,910,279	25,324,602
Off balance sheet – to deliver	6,172,176	10,887,063	2,662,651	5,482,140	25,204,029
OFF BALANCE SHEET – NET POSITION	(5,605,912)	515,059	783,285	4,428,140	120,572
NET POSITION	(127,183)	64,334	160,933	22,488	

(In thousands of EUR)	31/12/19				
	GBP	USD	Other	EUR	Total
Total assets	10,389,061	2,456,553	1,955,106	157,638,744	172,439,465
Total liabilities	4,662,002	3,545,113	2,841,930	150,884,419	161,933,465
Total equity	(95,479)	52,957	(8,440)	10,556,962	10,506,000
Of which gains and losses not recognised in the statement of income	(95,479)	52,957	(8,440)	686,355	635,393
Of which other equity	0	0	0	9,870,607	9,870,607
NET ON BALANCE POSITION	5,822,538	(1,141,518)	(878,384)	(3,802,636)	
Off balance sheet – to receive	1,102,490	13,127,464	3,692,166	11,391,549	29,313,670
Off balance sheet – to deliver	6,923,415	11,990,074	2,679,873	7,721,331	29,314,693
OFF BALANCE SHEET – NET POSITION	(5,820,925)	1,137,390	1,012,294	3,670,218	(1,023)
NET POSITION	1,613	(4,128)	133,910	(132,418)	

Depending on the measurement of the asset, foreign exchange gains and losses are recognised in profit or loss “Net income from financial instruments at fair value through profit or loss” or in

other comprehensive income. We refer to the accounting policies for more information.

2. Foreign exchange

		31/12/18		31/12/19	
		Closing rate	Average rate	Closing rate	Average rate
Australian dollar	AUD	1.6235	1.5829	1.5984	1.6080
Canadian dollar	CAD	1.5618	1.5323	1.4560	1.4784
Swiss franc	CHF	1.1282	1.1504	1.0863	1.1108
Koruna (Czech republic)	CZK	25.7675	25.6817	25.4055	25.6470
Danish krone	DKK	7.4678	7.4533	7.4721	7.4657
Euro	EUR	1.0000	1.0000	1.0000	1.0000
Pound sterling	GBP	0.8944	0.8854	0.8487	0.8735
Hong Kong dollar	HKD	8.9548	9.2362	8.7449	8.7698
Forint	HUF	320.9500	319.9317	330.4450	325.9291
Shekel	ILS	4.2826	4.2489	3.8818	3.9719
Yen	JPY	125.6850	129.9221	121.9300	122.0464
Mexican peso	MXN	22.4851	22.6587	21.1818	21.5939
Norwegian Krone	NOK	9.9289	9.6251	9.8477	9.8556
New Zealand dollar	NZD	1.7078	1.7085	1.6648	1.6950
Swedish krona	SEK	10.2125	10.3031	10.4758	10.5840
Singapore dollar	SGD	1.5588	1.5893	1.5093	1.5241
Turkish lira	TRY	6.0553	5.7084	6.6793	6.3432
US dollar	USD	1.1436	1.1782	1.1225	1.1196

9.8. Insurance Risk

1. Definition

Belfius Insurance, as a part of Belfius, takes up risk through the insurance contracts that it underwrites. The risks within the underwriting risk category are associated with both the exposure covered by the specific line of insurance (Life or Non-Life) and the specific processes associated with insurance business (claims processing, premium collection, pricing, selection, etc.).

The risks that apply to all lines of the insurance business can be globally categorised as follows:

Life underwriting risk: is the risk arising from the life insurance obligations, in relation to the perils covered and the processes used in the conduct of business. It is split up into:

- mortality risk, which is the risk that mortality occurs when increases. It applies to all undertakings for which the pay-outs are expected to be paid out increase when there is a rise in mortality.
- longevity risk is the opposite of the mortality risk. It applies to policies for which a fall in mortality would result in an increase in the expected payouts (e.g. pension policies). Improvements in medical treatments that prolong life without restoring the ability to work could cause these risks to materialise at a greater frequency than currently observed.
- morbidity or disability risk relates to the risk of loss or disadvantageous movement in expected benefits caused by changes in the level, nature, trend or volatility of the degree of disability.
- lapse risk for Life is described as the risk of loss or increase in pay-out caused to a difference between the effective exercise rate of the contractual options by the policyholder and the expected exercise rate. The term "options" should be viewed in the broad sense of the word: this submodule contains options in relation to redemption, cancellation or premium reduction, as well as the expansion of the guarantees. For some policies, exercise may be at the benefit of the insurance company, while for others it may result in a loss. As a result, this submodule features two scenarios: one in which the options are exercised more frequently than expected and another where they are exercised less frequently.
- expense risk corresponds with the risk that the expenses are higher than expected or that they subdue to higher inflation than expected.
- revision risk only applies for the annuities whose amounts may be valued negatively for the insurer as the result of a change in the statutory environment or in the policyholder's health situation.
- catastrophe risk is restricted to policies where an immediate and dramatic rise in mortality would result in an increase in benefits.

Non-Life underwriting risk: is the specific insurance risk arising from Non-Life insurance contracts. This uncertainty about the results of the insurer's underwriting could be defined as:

- premium risk which is the risk where the amount of premiums received is not sufficient to pay claims that occur during the coverage period to which the premiums relate to
- reserve risk is the risk of loss or unfavourable change in the value of the insurance undertakings arising from changes in the frequency and severity of the insured events, as well as in the date and amount of the claims to be paid
- catastrophe risk is the risk arising from unpredictable events including, but not limited to, windstorms, coastal inundation, floods, severe winter weather, and other weather-related events, pandemics, large-scale fires, industrial explosions, earthquakes and other man-made disasters such as civil unrest and terrorist attacks, that is not covered by the premiums or reserves

Product design risk: is the risk of loss resulting from features, options or guarantees that were unanticipated in the design and pricing of the insurance product.

2. Managing the insurance risk

The Risk & Underwriting Committee gives recommendations about strategy in the area of underwriting and reserving for the insurance companies within Belfius Insurance and the resulting policy, in particular with regard to the following points:

- types and characteristics of the insurance business that Belfius Insurance is willing to manage;
- selection criteria for the risks that match the risk appetite;
- the way in which the actual underwriting is monitored;
- the managing between, on the one hand, the insurance premiums collected and, on the other, the claims to be paid out when costs are borne;
- identification of the risks arising from the undertakings of Belfius Insurance, including the implicit options and the capital that is guaranteed by the insurance products;
- making provisions for claims.

The overall strategy is developed by each concerned entity and is follow-up by the local persons in charge.

Reinsurance is one of the methods used to limit the insurance risk. The main objective of reinsurance is to reduce volatility in capital requirements and profits, and to diminish the uncertainty associated with the risk in the insurer's valuation.

The drivers of reinsurance are:

- capacity: reinsurance gives insurers greater flexibility in terms of scope, type of risk and business volume that they can safely accept. This enables insurers to embark on new business or to expand their activities for a short period.
- stability: structured reinsurance programmes enable insurers to stabilise their operating income.
- protection: reinsurance provides protection against cumulative financial losses caused by a succession of events (such as poor weather) or against significant financial losses arising from a single event.
- funding: reinsurance can be an alternative to a capital increase.
- expertise: reinsurers assist insurers in their area of expertise. The qualified staff of reinsurance companies offer their services, for instance in establishing a new business.

3. Sensitivities

Belfius Insurance evaluates the effect of sensitivities on available financial resources. The technical reserves are expressed in fair value.

Given the low interest rates, the value of the technical reserves is higher than the redemption value, which results in a negative impact on capital in the event of a reduction in the lapse rate. The sensitivity to the lapse rate has slightly increased in 2019.

The review of cost assumption has a negative impact on the available financial resources and its sensitivity. The low interest rates increases the impact.

An increase of the mortality rates has also a negative impact on available financial resources.

As for life activities, in non-life business, higher costs assumptions lead to a lower result. An increase of claims leads also to a lower result.

Underwriting risk Life: scenario that corresponds to⁽¹⁾

(In millions of EUR)	Impact on available financial resources before taxes	
	31/12/18	31/12/19
An increase of 15% in mortality	(34,5)	(40,2)
An increase of 10% in costs + 1% inflation	(158,3)	(188,7)
A decrease of 10% in the redemption rate	(23,2)	(33,2)

(1) Scope: Belfius Insurance SA and Corona SA (= Belins conso).

Underwriting risk Non-Life: scenario that corresponds to⁽¹⁾

(In millions of EUR)	Impact on income before taxes	
	31/12/18	31/12/19
A increase of 10% in administrative costs	(8,5)	(8,8)
An increase of 5% in claims made	(19,4)	(21,3)

(1) Scope: Belfius Insurance SA and Corona SA (= Belins conso).

4. Development of claims

The claims triangle is the usual method for expressing the settlement of non-life claims stretched out over a number of years. Inter alia it enables actuaries to assess the appropriateness of the non-life technical provisions. Between the event and closing date of a claim, the insurer assesses the amount on total cost of the claim. During this period, the insurer establishes a reserve that equals to the estimated amount of future payments for the claim

Given the reserve is an estimate, there is a risk that the amount effectively paid is different (higher or lower). To assess that risk, it is necessary to study the variation of two amounts:

- the total of payments made prior to that date;
- the reserve established on that date for future payments.

The sum of these two components is called the total incurred claims cost.

The table below shows the evolution for Belfius Insurance SA and Corona SA since 2009 of the sum at the end of each year, of the total incurred claims cost per year of occurrence.

Claims development (excluding reinsurance and internal costs)

(In thousands of EUR)											
Year of settlement	Year of occurrence										
	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
Estimation at the end of the year of occurrence	331,831	376,927	368,410	366,403	365,798	415,445	389,632	427,822	417,069	441,459	452,780
1 year later	315,094	377,982	365,547	350,517	324,524	392,976	361,479	402,910	396,145	431,019	
2 years later	302,958	376,143	355,306	334,313	312,883	381,044	353,512	385,904	377,854		
3 years later	302,314	370,819	350,249	329,882	306,454	374,836	351,551	379,367			
4 years later	300,159	370,924	352,804	328,046	303,051	371,983	345,737				
5 years later	299,236	363,378	350,780	323,899	301,179	369,929					
6 years later	296,773	360,537	351,335	319,633	297,842						
7 years later	293,969	357,875	344,245	317,895							
8 years later	293,741	354,384	341,644								
9 years later	292,906	350,988									
10 years later	292,051										

(In thousands of EUR)											
Actual estimation	292,051	350,988	341,644	317,895	297,842	369,929	345,737	379,367	377,854	431,019	452,780
Cumulative payments	(269,545)	(304,713)	(303,622)	(275,321)	(256,269)	(317,231)	(273,090)	(290,493)	(268,620)	(286,340)	(211,965)
Actual provisions	22,506	46,275	38,022	42,574	41,572	52,698	72,647	88,874	109,234	144,680	240,815

(In thousands of EUR)											
Provisions (after 2009)											899,896
Provisions (before 2009)											152,308
Internal costs											43,232
Accepted deals											22,505

TOTAL⁽¹⁾ **1,117,940**

(1) Claims reserves 31 December 2019 - note 6.5.2.

X. Notes on the significant changes in scope of consolidation and list of subsidiaries and affiliated enterprises of Belfius

10.1. Significant changes in scope of consolidation

(Only those changes that have a material impact (i.e. an impact of more than 1% of balance sheet total and/or P&L) have been reported).

1. As at 31 December 2018

A. Full Consolidation of Auxipar

At the end of 2016, an agreement was concluded between Belfius and the liquidators of the Arco companies under liquidation (Arcopar, Arcosyn, Arcoplus and Arcosyn) with the objective to advance towards finalisation of the liquidation, in the interest of all stakeholders. This agreement listed a combination of actions to finalise towards end of liquidation, including the takeover by Belfius of the Auxipar shares held by the Arco companies.

As a result of these actions moving forward, Belfius has increased, on 29 March, its stake in Auxipar from 39.7% to 74.99% for a price of EUR 29.4 million. The transaction qualifies as a business combination achieved in stages. IFRS 3 is applied whereby any previously held interest is adjusted to its fair value as of the acquisition date with any resulting gain reported in the consolidated income statement. Belfius has estimated the fair value of Auxipar at EUR 82.8 million at acquisition date, in line with the acquisition price for 100% of the shares (EUR 83.3 million). The revaluation following the application of IFRS 3 of the previously held interest (recognised end March 2018 at EUR 33 million) resulted in a capital gain of EUR 23 million recorded in "Net income on investments and liabilities". The difference between the restatement of the balance sheet and the consideration paid, resulted in a goodwill of EUR 0.1 million.

One of the investments made by Auxipar is a 82.7% stake in EPC, a pharmaceutical group. While Auxipar as such owns the majority of the shares in EPC, it does not have control over the investment as

- there is a limitation of the voting rights and
- no shareholder/control agreements exist.

As a result, Belfius will consolidate EPC through the equity method. The value of EUR 20.7 million resulting from the equity method is considered as the fair value of EPC estimated at the date of acquisition of Auxipar and includes EUR 1.4 million of goodwill.

B. Other changes in the scope of consolidation

Belfius sold its investments in "NEB Participation" to Nethys. It concerned an associate previously accounted for through the equity method. Belfius realized a capital gain of EUR 23.6 million on this sale recorded in "Net income on investments and liabilities".

Belfius started consolidating the new entity Bancontact Payconiq Company in 2018 of which it owns 22.5% of the shares, through equity method, following the merger between Payconiq and Bancontact on 29 June 2018.

Caring People, a 100% subsidiary of Corona performing contact center activities for Corona, is fully consolidated as from 2018.

The companies Jaimy and Jane are fully consolidated as from date of establishment in 2018. Jaimy aims to provide a platform where users can request small home repairs. Jane aims to offer a solution for the elderly whereby they'll be able to stay longer in their own homes without special assistance.

The digital innovation companies The Studio, Spencr, Brightknight and Smart Belgium Services are fully consolidated as from 2018. The Studio and Spencr develop and promote digital banking solutions such as Pengo and blockchain related applications. Brightknight offers services around robotisation and artificial intelligence to the Public and Corporate segment. Smart Belgium Services facilitates the dialogue between the local authorities and the entrepreneurial world.

The real estate company Offico Immo is fully consolidated as from December 2018. The investment in the holiday park De Haan and investment company M80 Capital are consolidated through the equity method as from 2018 in accordance with the shares held by Belfius Insurance in these companies. The acquisition of these latter participations fits in the long-term diversified investment strategy of Belfius Insurance.

C. Simplification of the group structure

The Board of Directors of Belfius Bank approved the closure of the Dublin branch on 26 April 2018, thereby centralising the Irish portfolio in Belfius Ireland (BIRL), a subsidiary of Belfius Bank, and simplifying the group structure of Belfius. At the end of 2018, all bonds and their corresponding hedge derivatives were transferred at market price from Dublin branch to Belfius Ireland. The final legal closing occurred on 28 January 2019. This closure had a positive impact on the current tax position of Belfius Bank of EUR 31 million.

2. As at 31 December 2019

Belfius Insurance extended its commercial offering beyond insurance by launching two new entities; Jaimy and Jane (The latter was called Charlin at initial start-up).

Jaimy was commercially launched in the second half of 2019 and provides an online platform where users can request small home repairs. In March 2019 additional share capital was issued for a value of EUR 11.6 million. The additional shares were issued to Belfius Insurance and Boston Consulting Group. Boston Consulting Group bought the shares for cash, whereas Belfius Insurance received additional shares for contributing in-house developed software used by the platform. The stake of Belfius Insurance decreased from 100% to 78.5% as a result of this capital increase.

Jane was commercially launched at the end of 2019 and provides a sensor enabled monitoring solution that allows the elderly to stay longer in their own homes without special assistance. In March 2019 additional share capital was issued for a value of EUR 15.1 million. The additional shares were issued to Belfius Insurance and Boston Consulting Group. Boston Consulting Group bought the shares for cash, whereas Belfius Insurance received additional shares for contributing in-house developed software used by the platform. The stake of Belfius Insurance decreased from 100% to 77.4% as a result of this capital increase.

The real estate company Immo Trèfles, a company specialized in retirement homes, was purchased and is fully consolidated since December 2019.

In line with the Belfius strategy to centralise and commercialise its core innovation development as close as possible to its core operations, the companies Spencr and Smart Belgium Services were liquidated in 2019.

The investment company Belfius Insurance Invest merged with Belfius Insurance as from 1 July 2019, allowing for a more flexible liquidity management within the declining asset portfolio.

The investment in Team Cyclis, a bicycle leasing company, is consolidated through the equity method as from 2019 in accordance with the shares held by Belfius Bank in this company.

The investment company Auxipar changed its name to Capline on 4 February 2020.

10.2. Acquisitions and disposals of consolidated companies

1. Main acquisitions

A. Year 2018

On March 29, Belfius acquired 35,3% of the shares of Auxipar for a price of EUR 29,4 million, increasing its stake in Auxipar from 39,7% to 74,99%. Auxipar and its investment "Interfinance" are fully consolidated as from 2018. Its investment in EPC is consolidated through the equity method even though Auxipar owns the majority of the shares in EPC; it does not have control over the investment as (a) there is a limitation of the voting rights and (b) no shareholder/control agreements exist.

Caring People, a 100% subsidiary of Corona performing contact center activities for Corona, is fully consolidated as from 2018.

Since the merger of Payconiq with Bancontact in June 2018, Belfius consolidates the new entity Bancontact Payconiq Company using the equity method.

The companies Jaimy and Jane are fully consolidated as from date of establishment in 2018.

The digital innovation companies The Studio, Spencr, Brightknight and Smart Belgium Services are fully consolidated as from 2018. The real estate company Offico Immo is fully consolidated as from December 2018. The investment in the holiday park De Haan and investment company M80 Capital are consolidated using the equity method as from 2018.

The assets and liabilities acquired were as follows:

	2018		
	Group Auxipar	Caring People	Equity method companies
(In thousands of EUR)			
Loans and advances due from credit institutions	2,130	1,662	
Debt securities & equity instruments	84,684		
Investments in equity method companies	27,707		18,605
Tax assets	647		
Other assets	504	194	
Provisions and contingent liabilities	(32,351)		
Tax liabilities		(10)	
Other liabilities	(63)	(633)	
NET ASSETS	83,257	1,212	18,605
Group share	62,431	1,212	18,605
Already in possession of the Group	33,051	1,212	7,587
Purchase price (in cash)	29,379	0	11,018
Less: cost of the transaction			
Less: cash and cash equivalents in the subsidiary acquired			
NET CASH OUTFLOW THROUGH ACQUISITION	29,379	0	11,018

	2018		
	Jaimy and Jane	Digital Innovation companies	Offico Immo
(In thousands of EUR)			
Loans and advances due from credit institutions	124	2,306	403
Debt securities & equity instruments		1,998	
Investments in equity method companies			
Tangible fixed assets		352	30,371
Tax assets		203	282
Other assets	0	1,956	562
Borrowings and deposits			(21,224)
Tax liabilities	(1)	(24)	
Other liabilities	0	(1,805)	(386)
NET ASSETS	124	4,985	10,008
Group share	124	4,985	10,008
Already in possession of the Group	124	4,985	
Purchase price (in cash)	0	0	10,008
Less: cost of the transaction			
Less: cash and cash equivalents in the subsidiary acquired			(51)
NET CASH OUTFLOW THROUGH ACQUISITION	0	0	9,957

B. Year 2019

The real estate company Immo Trèfles, a company specialized in retirement homes, was purchased and is fully consolidated since December 2019. The investment in the bicycle leasing company Team Cyclis has been consolidated according to the equity method since December 2019.

The assets and liabilities acquired were as follows:

(In thousands of EUR)	2019	
	Immo Trèfles	Team Cyclis
Loans and advances due from credit institutions	1,280	
Debt securities & equity instruments	0	
Investments in equity method companies	0	4,899
Tangible fixed assets	18,666	
Tax assets	0	
Other assets	663	
Borrowings and deposits	(15,854)	
Tax liabilities	0	
Other liabilities	(738)	
NET ASSETS	4,017	4,899
Group share	4,017	4,899
Already in possession of the Group	0	0
Purchase price (in cash)	4,127	4,899
Less: cost of the transaction		
Less: cash and cash equivalents in the subsidiary acquired		
NET CASH OUTFLOW THROUGH ACQUISITION	4,127	4,899

2. Main disposals

A. Year 2018

Belfius sold its investments in "NEB Participation" to Nethys. It concerned an associate previously accounted for through the equity method. Belfius realized a capital gain of EUR 23.6 million on this sale recorded in "Net income on investments and liabilities".

The assets and liabilities acquired were as follows:

(In thousands of EUR)	2018
	NEB Participations
Investments in equity method companies	13,900
NET ASSETS	13,900
Proceeds from sale (in cash)	37,500
Less: cost of the transaction	0
Less: Cash and cash equivalents in the subsidiary sold	0
NET CASH INFLOW ON SALE	37,500

B. Year 2019

There were no significant disposals as at 31 December 2019.

3. Assets and liabilities included in disposal groups held for sale and discontinued operations

A. Year 2018

As at 31 December 2018 no subsidiaries were recorded as "Non current assets (disposal group) held for sale and discontinued operations".

B. Year 2019

As at 31 December 2019 no subsidiaries were recorded as "Non current assets (disposal group) held for sale and discontinued operations".

10.3. Subsidiaries, equity-accounted enterprises, affiliated enterprises and enterprises in which the group holds rights representing at least 20% of the issued capital

1. Fully-consolidated subsidiaries

Name	Head office	% of capital held ⁽¹⁾	Business code
Auxiliaire de participations SA (Capline SA as from February 4)	Place Charles Rogier 11 B-1210 Bruxelles	74.99	10
Belfius Asset Finance Holding SA	Place Charles Rogier 11 B-1210 Bruxelles	100	10
Belfius Auto Lease SA	Place Charles Rogier 11 B-1210 Bruxelles	100	5
Belfius Commercial Finance SA	Place Charles Rogier 11 B-1210 Bruxelles	100	15
Belfius Financing Company SA	rue de l'Industrie 20 L-8399 Windhof	100	49
Belfius Immo SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Belfius Insurance SA	Place Charles Rogier 11 B-1210 Bruxelles	100	28
Belfius Insurance Services Finance SA	rue de l'Industrie 20 L-8399 Windhof	100	21
Belfius Investment Partners SA	Place Charles Rogier 11 B-1210 Bruxelles	100	19
Belfius Ireland Unltd	23 Shelbourne Road Ballsbridge Dublin 4 IE 4886676 P	100	49
Belfius Lease SA	Place Charles Rogier 11 B-1210 Bruxelles	100	5
Belfius Lease Services SA	Place Charles Rogier 11 B-1210 Bruxelles	100	5
Brightknight SA	Place Charles Rogier 11 B-1210 Bruxelles	100	34
Caring people SA	De Kleetlaan 7A B-1831 Machelen	100	30
Coquelets SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Corona SA	De Kleetlaan 7A B-1831 Machelen	100	28
Crefius SA	Place Charles Rogier 11 B-1210 Bruxelles	100	6
Dexia Secured Funding Belgium SA	Place Charles Rogier 11 B-1210 Bruxelles	10	49
Elantis SA	Rue des Clarisses 38 B-4000 Liège	100	6
Immo Activity SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Immo Malvoz SPRL	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Immo Trèfles SPRL	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Immo Zeedrift SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Interfinance SCRL	Place Charles Rogier 11 B-1210 Bruxelles	74.99	10
Jaimy SA	Place Charles Rogier 11 B-1210 Bruxelles	78.56	47
Jane SA (ex Charlin SA)	Place Charles Rogier 11 B-1210 Bruxelles	77.45	47
Legros-Renier Les Amarentes Seigneurie de Loverval SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
LFB SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31

(1) Percentage of capital held by holding company

Name	Head office	% of capital held ⁽¹⁾	Business code
Mercurius Funding SA	Place Charles Rogier 11 B-1210 Bruxelles	5	49
Offico Immo SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Penates Funding SA	Rue Royale 97 b4 B-1000 Bruxelles	10	49
The Studio SA	Place Charles Rogier 11 B-1210 Bruxelles	100	34

There are no significant restrictions on the subsidiaries, on their ability to access or use assets, and settle liabilities, of the group.

2. Non-consolidated subsidiaries

Name	Head office	% of capital held ⁽¹⁾	Reason for exclusion	Business code
Belfius Fiduciaire SA	Place Charles Rogier 11 B-1210 Bruxelles	100	non-significant	23
Belfius Part SA	Place Charles Rogier 11 B-1210 Bruxelles	100	non-significant	10
Belsur SPRL	Boulevard du Jardin Botanique 44 B-1000 Bruxelles	100	non-significant	30
Bureau Laveaux & Martin BVBA	Brusselsesteenweg 346C B-9090 Melle	100	non-significant	30
Fynergie SA	Place Charles Rogier 11 B-1210 Bruxelles	100	non-significant	32
Global Cleantech Capital II Feeder BV	Herengracht 338 NL-1016 CG Amsterdam	100	non-significant	41
Immo Rhododendrons SPRL	Place Charles Rogier 11 B-1210 Bruxelles	100	non-significant	31
Immo Tumulis SPRL	Place Charles Rogier 11 B-1210 Bruxelles	100	non-significant	31
Qualitass NV	Vilvoordsesteenweg 166 B-1850 Grimbergen	100	non-significant	30
Service Communal de Belgique SCI	Avenue Louise 106 B-1050 Ixelles	63.59	in liquidation	47
Shop Equipments SA	Place Charles Rogier 11 B-1210 Bruxelles	100	non-significant	31
VDL - Interass NV	Brusselsesteenweg 346C B-9090 Melle	100	non-significant	30

3. Affiliated companies accounted for by the equity method

Name	Head office	% of capital held ⁽¹⁾	Business code
Bancontact Payconiq Company SA	rue d'Arlon 82 B-1040 Bruxelles	22.5	48
De Haan Vakantiehuizen NV	Woluwedal 58 B-1200 Sint-Lambrechts-Woluwe	25.82	31
EPC SCRL (Economie Populaire de Ciney)	rue E Dinot 30 B-5590 Ciney	61.37	33
Erasmus Gardens SA	Avenue Hermann-Debroux 42 B-1160 Bruxelles	50	31
Isabel SA	Boulevard de l'Impératrice 13-15 B-1000 Bruxelles	24	39
M80 Capital Comm.V	rue de la Victoire 1 B-1060 Bruxelles	22.11	10
Team Cyclis NV	Nieuwe Dijk 34 B-3920 Lommel	47.45	5

(1) Percentage of capital held by holding company

4. Affiliated companies not accounted for by the equity method

Name	Head office	% of capital held ⁽¹⁾	Reason for exclusion	Business code
Arkafund NV	Alfons Gossetlaan 30 B-1702 Groot-Bijgaarden	25	in liquidation	21
Assurcard NV	Fonteinstraat 1A Bus 0301 B-3000 Leuven	20	non-significant	34
Banking Funding Company SA	Rue d'Arlon 82 B-1040 Bruxelles	21.62	non-significant	48
Bedrijvencentrum Regio Mechelen NV	De Regenboog 11 B-2800 Mechelen	24.33	non-significant	41
Belwing SA	Avenue Maurice-Destenay 13 B-4000 Liège	20	non-significant	10
BF3 Belgium SAS	rue de Balzac 23 F-75008 Paris	33.33	non-significant	10
Bizimmo NV	Vorstlaan 68 b9 B-1170 Watermaal-Bosvoorde	50	non-significant	31
Buildingnest NV	Vorstlaan 68 b9 B-1170 Watermaal-Bosvoorde	50	non-significant	31
Canius I CVA	Plankstraat 13 B-3800 Sint-Truiden	34.03	non-significant	16
Corfius Immo NV	Industrielaan 18 B-3730 Hoeselt	50	non-significant	31
DG INFRA + Bis SCS	Karel Oomsstraat 37 B-2018 Antwerpen	28.53	non-significant	10
DG INFRA + Ter SCS	Karel Oomsstraat 37 B-2018 Antwerpen	37.50	non-significant	10
Frunpark Parndorf GmbH	Rathen 20 A-4081 Hartkirchen	23.89	non-significant	32
Groene Poort Dreef NV	Westlaan 120 B-8800 Roeselare	50	non-significant	31
IDE Lux Finances SCRL	Drève de l'Arc-en-Ciel 98 B-6700 Arlon	36.87	non-significant	16
Imsol NV	Borsbeeksesteenweg 26 B-2000 Antwerpen	39.98	non-significant	31
Inforum G.I.E.	Rue D' Arlon 53 bte 4 B-1040 Bruxelles	50	non-significant	41
Justinvest NV	Heistraat 129 B-2610 Antwerpen	33.33	non-significant	32
Kuborn Real Estate NV	Avenue Maurice 8 B-1050 Bruxelles	20	non-significant	32
Les News 24 NV	Genèvestraat 175 B-1140 Evere	33.22	non-significant	45
Leskoo SA	Avenue des Communautés 100 B-1200 Sint-Lambrechts-Woluwe	50	non-significant	31
Letsgo City SA	Boulevard Piercot 44 B-4000 Liège	25.61	non-significant	34
NEB Foncière SA	Rue Louvrex 95 B-4000 Liège	20.49	non-significant	31
Partners Through Innovation SA	Place Charles Rogier 11 B-1210 Bruxelles	25.10	non-significant	34
Rabot Invest NV	Heistraat 129 B-2610 Antwerpen	25	non-significant	32
R.E.D. Laboratories NV	Z1. Researchpark 100 B-1731 Zellik	22.20	non-significant	33
Re-Vive Brownfield Fund I CVBA	Nieuwewandeling 62 B-9000 Gent	24.97	non-significant	31
Société Mixte de Développement Immobilier SA	Avenue Maurice Destenay 13 B-4000 Liège	25.04	non-significant	32
Syneco Agence Conseil ASBL	rue des Glaces Nationales 169 B-5060 Sambreville	20	non-significant	47
The Birdhouse CVBA	Kortrijksesteenweg 1070 B-9051 Sint-Denijs-Westrem	21.82	non-significant	47
TDP NV	Karel Oomsstraat 37 B-2018 Antwerpen	50	non-significant	47
Wandelaar Invest SA	Rue du Vieux Marché aux Grains 63 B-1000 Bruxelles	25	non-significant	5

(1) Percentage of capital held by holding company

5. Belfius Bank Branches (not consolidated)

As a result of the amended company legislation, the legal form of the Belfius branches has been converted from Cooperative Society (CVBA) to Limited Liability Company (Commanditaire Vennootschap (CommV)) as from 2020. At the same time, the name Belfius was removed from the corporate name of each agent listed here.

Name	Head office	% of capital held ⁽¹⁾	Business code
Belfius Antwerpen Zuid CVBA	Grote Steenweg 456 B-2600 Berchem	26	4
Belfius Ardenne - Spa - Pays de Herve SCRL	Place du Marché 22 B-4651 Battice	26	4
Belfius Auderghem-Boisfort SCRL	Boulevard du Souverain 282 B-1160 Bruxelles	24	4
Belfius Borinage SCRL	Rue J. Dufrane 3-5 B-7080 Frameries	26	4
Belfius Brugs Ommeland-Oudenburg CVBA	Dorpsstraat 8 B-8200 Brugge Sint-Michiels	26	4
Belfius Brussels City Center SCRL	Place Stéphanie 8 B-1050 Bruxelles	26	4
Belfius Brussels East SCRL	Rue des Champs 6 B-1040 Bruxelles	19,5	4
Belfius Brussels North SCRL	Boulevard de Smet de Nayer 2a B-1090 Bruxelles	26	4
Belfius Centrum - West CVBA	Hendrik Consciencestraat 23 bus 6 B-8800 Roeselare	26	4
Belfius Charleroi Centre & Villes SCRL	Boulevard Joseph Tirou 76-82 B-6000 Charleroi	26	4
Belfius Coeur du Hainaut SCRL	Rue Albert 1 ^{er} 23 B-7100 La Louvière	26	4
Belfius Condroz-Famenne SCRL	Rue Saint-Eloi 1 B-5590 Ciney	26	4
Belfius Druivenstreek CVBA (in liquidation)	Stationsplein 17 B-3090 Overijse	26	4
Belfius Durmevallei CVBA	Marktplaats 3 B-9220 Hamme (O.-VL.)	26	4
Belfius Eeklo Gent-Oost CVBA (in liquidation)	Geraardsbergsesteenweg 167 B-9090 Melle	25,66	4
Belfius Entre Sambre & Meuse SCRL	rue de France 50-52 B-5600 Philippeville	25,37	4
Belfius Fléron - Visé SCRL	Rue Saint Hadelin 1 B-4600 Visé	26	4
Belfius Geraardsbergen-Ninove CVBA	Oudenaardsestraat 4-6 B-9500 Geraardsbergen	26	4
Belfius Hageland Noord CVBA	Bogaardenstraat 26 B-3200 Aarschot	26	4
Belfius Hesbaye SCRL	Grand'Place 5 B-4280 Hannut	26	4
Belfius Kempen Noord CVBA	Gemeenteplaats 6 B-2960 Brecht	24	4
Belfius Kempen Oost CVBA	Markt 27 B-2400 Mol	26,02	4
Belfius Klein Brabant CVBA	Nieuwstraat 21 B-2830 Willebroek	26	4
Belfius Kortrijk - Menen - Ieper CVBA	Wijngaardstraat 52 B-8500 Kortrijk	26	4
Belfius Leuven CVBA	Brusselsestraat 2 B-3000 Leuven	26	4
Belfius Liège City-Airport SCRL	Rue des Mineurs 12 B-4000 Liège	26	4
Belfius Liège Nord & Est SCRL	Chaussée de Tongres 391 B-4000 Liège	26	4
Belfius Mandel-Leie CVBA	Holdestraat 19 B-8760 Meulebeke	26	4
Belfius Meuse-Ourthe-Amblève SCRL	Place Joseph Thiry 47 B-4920 Aywaille	26	4

(1) Percentage of capital held by holding company

Name	Head office	% of capital held ⁽¹⁾	Business code
Belfius Midden Limburg CVBA	Dorpsstraat 1A B-3530 Houthalen-Helchteren	26	4
Belfius Namur - Eghezée SCRL	Chaussée de Louvain 440 B-5004 Namur	26	4
Belfius Namur - Gembloux SCRL	Avenue Faculté d'Agronomie 12 B-5030 Gembloux	25,30	4
Belfius Namur Haute-Meuse SCRL	Rue de Marchovelette 1 B-5000 Namur	25,16	4
Belfius Netevallei CVBA	Grote Markt 13 B-2500 Lier	26	4
Belfius Nivelles-Tubize SCRL	Rue de Nivelles 30 B-1480 Tubize	26	4
Belfius Noord-Brabant CVBA	Kattestraat 2 B-1730 Asse	26	4
Belfius Noord-Limburg CVBA	Hertog Janplein 45 B-3920 Lommel	25	4
Belfius Nord Picardie SCRL	Rue de la Station 39 Boite 41 B-7700 Mouscron	23,99	4
Belfius Pays de Mons SCRL	Avenue Jean d'Avesnes 9 B-7000 Mons	26	4
Belfius Porte du Brabant SCRL	Place Franklin D. Roosevelt 42/43 B-6180 Courcelles	26	4
Belfius Regio Aalst CVBA	Stationsstraat 4 B-9300 Aalst	25,66	4
Belfius Regio Antwerpen Oost CVBA	André Hermanslaan 1 B-2100 Deurne	26	4
Belfius Regio Dendermonde-Buggenhout CVBA	Kerkstraat 64-66 B-9200 Dendermonde	26	4
Belfius Regio Erpe-Mere CVBA	Marktplein 36 B-9520 Sint-Lievens-Houtem	26	4
Belfius Regio Genk-Hoge Kempen CVBA	Fruitmarkt 7 B-3600 Genk	26	4
Belfius Regio Gent CVBA	Zonnestraat 23-25 B-9000 Gent	26	4
Belfius Regio Hasselt CVBA	Havermarkt 36-38 B-3500 Hasselt	26	4
Belfius Regio Leie-Schipdonk CVBA	Volhardingslaan 72 (bus 1) B-9800 Deinze	26	4
Belfius Regio Mechelen CVBA	Grote Markt 31 B-2800 Mechelen	26	4
Belfius Regio Menen-Wevelgem CVBA (in liquidation)	Kerkomtrek 16 B-8930 Menen	26	4
Belfius Regio Mortsel Kontich CVBA	Mechelsesteenweg 56 B-2640 Mortsel	26	4
Belfius Région Huy-Andenne SCRL	Avenue du Bosquet 41 boîte 11 B-4500 Huy	26	4
Belfius Regio Noord-Antwerpen CVBA	Antwerpsesteenweg 49 B-2950 Kapellen	26	4
Belfius Regio Oostende-Knokke CVBA	Lippenslaan 74 B-8300 Knokke-Heist	26	4
Belfius Regio Sint-Niklaas CVBA	Hendrik Heymanplein 9 B-9100 Sint-Niklaas	26	4
Belfius Regio Turnhout-Hoogstraten CVBA	Vrijheid 109 B-2320 Hoogstraten	26	4
Belfius Regio Waregem-Kruishoutem CVBA	Markt 12 B-8790 Waregem	26	4
Belfius Scheldeland CVBA	Kalkendorp 21 B-9270 Laarne	26	4
Belfius Sille & Dendre SCRL	Grand Place 72 B-7850 Enghien	26	4
Belfius Sud - Luxembourg SCRL	Rue d'Alba 1 B-6700 Arlon	26	4
Belfius Tienen - Sint-Truiden CVBA	Clockemstraat 38 B-3800 Sint-Truiden	26	4
Belfius Tournai-Val de Verne SCRL	Rue Royale 105/107/109 B-7500 Tournai	26	4

(1) Percentage of capital held by holding company

Name	Head office	% of capital held ⁽¹⁾	Business code
Belfius Val de Sambre SCRL	Rue de Falisolle 401 B-5060 Sambreville	22,28	4
Belfius Val d'Haine et Haut-Pays SCRL	Rue Grande 49 B-7380 Quiévrain	26	4
Belfius Vallée de la Dyle SCRL	Place Alphonse Bosch 15 B-1300 Wavre	24,56	4
Belfius Vilvoorde-Tervuren CVBA	Portaelsplein 68 B-1800 Vilvoorde	26	4
Belfius Vlaamse Ardennen CVBA	Nederstraat 17 B-9700 Oudenaarde	26	4
Belfius Waterloo SCRL	Chaussée de Bruxelles 306 B-1410 Waterloo	25,33	4
Belfius West - Brabant SCRL	Chaussée d'Alseberg 1410 B-1620 Drogenbos	26	4
Belfius Westkust CVBA	Kerkstraat 58 B-8430 Middelkerke	26	4
Belfius Zennevallei CVBA	Basiliekstraat 13 B-1500 Halle	24,76	4
Belfius Zoniënwood CVBA	Avenue Brugmann 247 B-1180 Bruxelles	22,29	4
Belfius Zottegem-Zuidrand Gent CVBA	Heldenlaan 22 B-9620 Zottegem	26	4
Belfius Zuid-Oost-Limburg CVBA	Visésteenweg 204 (Bus 1) B-3770 Riemst	26	4

(1) Percentage of capital held by holding company

Business code

1. Bank, credit institution	27. Captive reinsurance
2. Private savings bank	28. General insurance
3. Government credit institution	29. Financial product agency and broking
4. Banking agency	30. Insurance agency and broking
5. Leasing	31. Real estate (proprietary portfolio)
6. Home loans	32. Real estate agency (third party)
7. Development capital	33. Health and welfare
8. Consumer credits	34. Computer business / Information Technology
9. Other lending activities	35. Banking associations
10. Investment company	36. Other associations
11. Stock broking	37. Sewage, road cleaning and maintenance and waste management
12. Variable capital investment company	38. Recreation
13. Mutual funds	39. Telecommunications
14. Fund manager	40. Transportation
15. Factoring	41. Other services
16. Infrastructure and construction financing	42. Energy
17. Other specific financing	43. Economic development
18. Financial market administration	44. Water
19. Asset and portfolio management, financial advisory services	45. Book publishing and multimedia
20. Financial engineering, consultancy, financial research	46. Research and development
21. Other professional services in financial sector	47. Other service activities
22. Guarantee company	48. Production, management, distribution of computerized payment media
23. Trust company	49. Financing
24. Foreign currency exchange	50. Merchant banking
25. Life insurance	
26. Non-life insurance	

10.4. Involvement with unconsolidated structured entities

1. The nature, purpose, and activities of a structured entity

Belfius' involvement with unconsolidated structured entities is mainly from an investor's perspective. The purpose is to generate a stable interest margin from these investments.

Belfius has the following types of exposures to unconsolidated structured entities in its portfolio (mainly stemming from the former Side portfolio):

→ Mortgage backed securities (MBS): these structured entities invest in residential and/or commercial mortgage loans which are financed through the issue of notes. Belfius has invested in the most senior tranches.

→ Asset Backed Securities (ABS): these entities invest in loans, debt securities, leases and/or receivables which are financed through the issue of notes. Belfius has invested in the most senior tranches.

→ Multi issuer covered bonds: these structured entities are set up by several banks, each participating for a certain percentage in the covered pool.

→ Derivatives: Belfius has some derivatives with unconsolidated structured entities such as Credit Default Swaps, Total Return Swaps and Interest Rate Swaps.

Refer to note 12 "Securitisation".

2. Amounts concerned

(In thousands of EUR)	2018	
	Carrying amount	Maximum credit risk exposure
FINANCIAL ASSETS	1,017,162	976,056
Financial assets held for trading	194,852	166,450
Non-trading financial assets mandatorily at fair value through profit or loss	57,366	57,494
Financial assets designated at fair value through profit or loss	0	0
Financial assets at fair value through other comprehensive income	27,070	27,070
Financial assets at amortised cost	737,874	725,043
Derivatives - Hedge accounting		
FINANCIAL LIABILITIES	57,157	0
Financial liabilities held for trading	57,157	0
Financial liabilities measured at fair value through profit or loss	0	0
Financial liabilities at amortised cost	0	0
Derivatives hedge accounting	0	0
OFF-BALANCE SHEET ITEMS - GIVEN	0	0
Loan commitments - given	0	0
Financial guarantees - given	0	0

(In thousands of EUR)	2019	
	Carrying amount	Maximum credit risk exposure
FINANCIAL ASSETS	1,228,133	1,214,354
Financial assets held for trading	512,955	508,291
Non-trading financial assets mandatorily at fair value through profit or loss	17,078	17,078
Financial assets designated at fair value through profit or loss	0	0
Financial assets at fair value through other comprehensive income	18,051	18,051
Financial assets at amortised cost	680,049	670,934
Derivatives - Hedge accounting		
FINANCIAL LIABILITIES	21,525	0
Financial liabilities held for trading	21,525	0
Financial liabilities measured at fair value through profit or loss	0	0
Financial liabilities at amortised cost	0	0
Derivatives hedge accounting	0	0
OFF-BALANCE SHEET ITEMS - GIVEN	0	0
Loan commitments - given	0	0
Financial guarantees - given	0	0

XI. Related parties transactions

The standard IAS 24 “Related Parties Disclosures” provides a partial exemption from the disclosure requirements for government-related entities. Consequently these related entities are not included in the table “Related parties transactions”. The exposure of Belfius on for instance Belgian Government bonds can be found in the chapter “Risk Management” of the management report.

1. Related parties transactions

(In thousands of EUR)	Directors and key management personnel ⁽¹⁾		Subsidiaries ⁽²⁾	
	31/12/18	31/12/19	31/12/18	31/12/19
Loans ⁽³⁾	2,786	2,531	20,412	6,904
of which impaired loans Stage 3	0	0	0	0
Interest income	53	40	271	229
Deposits and debt securities ⁽³⁾	11,737	7,825	6,748	6,446
Interest expense	(5)	(3)	0	0
Net commission	0	0	10	81
Guarantees issued and commitments provided by the Group ⁽⁴⁾	0	0	2,883	12
Guarantees and commitments received by the Group	5,199	4,336	28	0

(In thousands of EUR)	Associates		Joint ventures in which the entity is a venturer	
	31/12/18	31/12/19	31/12/18	31/12/19
Loans ⁽³⁾	249,469	297,856	5,425	5,672
of which impaired loans Stage 3	0	0	0	0
Interest income	6,105	6,286	145	126
Deposits and debt securities ⁽³⁾	68,034	66,103	1,323	4,418
Interest expense	(35)	(21)	0	0
Net commission	2,409	(1,762)	289	175
Guarantees issued and commitments provided by the Group ⁽⁴⁾	242,845	267,528	25,297	12,778
Guarantees and commitments received by the Group	59,551	73,787	24,155	55

(1) Key management includes the Board of Directors and the Managing Board, as well as these persons's children and spouses or domestic partners and children of these persons's spouses or domestic partners.

(2) The amounts reported relate to transactions with subsidiaries that are not consolidated due to immateriality.

(3) Transactions with related parties are concluded at general market conditions.

(4) Unused lines granted.

2. Key management compensations⁽¹⁾

(In thousands of EUR)	31/12/18	31/12/19
Short-term benefits ⁽²⁾	4,790	4,113
Other long-term benefits	683	634

(1) Key management includes the Board of Directors and the Management Board.

(2) Short-term benefits include the salaries, bonuses and other advantages.

2. Dexia Real Estate Capital Markets

Dexia Real Estate Capital Markets (DRECM) was sold by Belfius in July 2010 to Dexia Holdings, Inc. (DHI). In June 2011, DRECM was sold by DHI to its parent, Dexia Crédit Local SA (DCL). In December 2016, DRECM assigned to DHI all of the assets, business and activities of DRECM, and DHI assumed all of DRECM's liabilities and obligations related thereto. Following such transfer, DRECM was liquidated into DCL with the DRECM legal entity being dissolved. DHI thus acts as the successor to DRECM.

Although DHI (as the successor to DRECM) is no longer a related party to Belfius, an overview of the remaining engagements of Belfius towards the former activities of DRECM is presented.

Note that no claims have been made up to the date of this report towards Belfius under these representations and warranties.

A. The purpose and context of the comfort letters

In the framework of the last Commercial Real Estate Mortgage Loans securitisation operation in which DRECM was involved, DRECM entered into a Mortgage Loan Purchase Agreement as a seller of Commercial Mortgage Loans and into an Indemnification Agreement. In these agreements, DRECM gave certain representations and warranties in respect to some aspects of corporate standing and on some characteristics of the Commercial Mortgage Loans to certain CMBS trusts. Under the Mortgage Loan Purchase Agreement, a loan seller would be obligated under the reps and warranties to repurchase a loan if there was a material breach of the reps and warranties or a

material document defect that can not be remedied, or cured, within a certain period of time (usually 90 days with extensions possible), so long as the repurchase demand was made in a timely manner. Given the fact that this was a kind of operational ongoing obligation of DRECM and DRECM was a non-rated entity, transaction participants and rating agencies required a larger first loss tranche (economically expensive for DRECM) or a counter guarantee from a rated entity. In this context Belfius Bank as a successor of Artesia Banking Corporation S.A. delivered the said comfort letters because the bank had a sufficient rating to reduce the requirement for credit enhancement.

B. The legal nature of the comfort letters

The first obligation to respect the terms of the Mortgage Loan Purchase Agreements and the Indemnification Agreements is the responsibility of DHI (as the successor to DRECM). It is only in case DHI (as the successor to DRECM) would not be performing that Belfius Bank promised to intervene with all means be it, human, technical or financial. The obligations of Belfius are obligations to perform or to pay. It is not a guarantee on first demand, nor an obligation to buy any non performing loan but a stand by back-up agreement for performance or payment. Although the shares of Belfius in DRECM were sold to DHI on 16 July 2010, these comfort letters are still in place. However, we believe that the risks for Belfius are extremely remote, seen no repurchase demands are outstanding, no previous transactions have led to any repurchases, and DHI (as a successor to DRECM) is sufficiently capitalized to meet its contractual obligations.

XII. Securitisation

Belfius currently has three traditional securitisation vehicles: Dexia Secured Funding Belgium, Penates Funding and Mercurius Funding. The total assets of these companies amount to EUR 6,565 million at 31 December 2019 compared to EUR 7,762 million at 31 December 2018.

According to the definition of control under IFRS 10, Dexia Secured Funding Belgium, Penates Funding and Mercurius Funding are included in the consolidated financial statements. Belfius has

- full power over its securitisation vehicles,
- exposure to their variable returns and
- the ability to use its power to affect the amount of the returns

Dexia Secured Funding Belgium (DSFB) is a Belgian securitisation vehicle (société d'investissement en créances (SIC) under Belgian law) with currently six compartments, one of which with activity, namely DSFB-2.

DSFB-2 (using the second ring-fenced compartment of DSFB) is a securitisation transaction of loans granted to Belgian entities (public and other). All the loans are 100% guaranteed by one of the three Belgian regions. This EUR 1,621 million transaction was launched on 28 April 2008. One tranche of floating rate notes, rated at closing AA/Aa1/AA+ by respectively S&P, Moody's and Fitch, was issued. Belfius has guaranteed the full and timely payment of principal and interest on the notes. As at 31 December 2019, EUR 809 million were still outstanding. The notes had a rating of A-sf/Aa3/A-sf at 31 December 2019. The DSFB-2 Notes are held by Belfius Bank and its subsidiary Belfius Ireland.

Penates Funding is a Belgian securitisation vehicle with currently ten compartments, two of which with activity, namely Penates-5 and Penates-6.

On 16 November 2015, Belfius closed a EUR 1,030 million RMBS securitisation transaction. The SPV, Penates Funding acting through its compartment Penates-5, securitised Belgian residential mortgage loans originated by Belfius Bank and issued EUR 350 million Class A1 Mortgage-Backed Floating Rate Notes due 2049 (Fitch AAAsf/Moody's Aaa(sf)); EUR 450 million Class A2 Mortgage-Backed Floating Rate Notes due 2049 (Fitch AAAsf/Moody's Aaa(sf)); EUR 200 million Class B Mortgage-Backed Floating Rate Notes due 2049 (unrated); EUR 30 million Class C Floating Rate Notes due 2049 (unrated). The Class A1 Notes were redeemed in full over the course of 2018. The outstanding amount of the Class A2 Notes stood at EUR 248 million at 31 December 2019, while the outstanding amounts of the other classes of notes were still at their initial amount. Hence there was EUR 478 million outstanding under Penates-5 at 31 December 2019. The ratings on the Class A2 Notes were unchanged from their initial rating. The Class A2 Notes are held by institutional investors. The Class B Notes and Class C Notes are held by Belfius Bank.

On 15 May 2017, Belfius closed a EUR 6,030 million RMBS securitisation transaction. The SPV, Penates Funding acting through its compartment Penates-6, securitised Belgian residential mortgage loans originated by Belfius Bank and issued EUR 2,490 million Class A1 Mortgage-Backed Floating Rate Notes due 2051 (DBRS AAAsf/Moody's Aaa(sf)); EUR 2,490 million Class A2 Mortgage-Backed Floating Rate Notes due 2051 (DBRS AAAsf/Moody's Aaa(sf)); EUR 1,020 million Class B Mortgage-Backed Floating Rate Notes due 2051 (unrated); EUR 30 million Class C Floating Rate Notes due 2051 (unrated). As at 31 December 2019, these ratings were unchanged from their initial rating. The outstanding amount of the Class A1 Notes was EUR 576 million, while the outstanding amounts of the other classes of notes were still at their initial amount. Hence there was EUR 4,116 million outstanding under Penates-6 at 31 December 2019. The notes are held by Belfius Bank and its subsidiary Belfius Insurance. The Penates -6 senior notes can be used as collateral in agreements with the European Central Bank or other counterparties.

Mercurius Funding is a Belgian securitisation vehicle with currently six compartments. It was established in 2012. One compartment, Mercurius-1, had outstanding notes at the end of 2019.

On 7 May 2012, Belfius closed a EUR 4,124 million SME (Small & Medium Enterprises) CLO securitisation transaction. The SPV, Mercurius Funding acting through its compartment Mercurius-1, securitised Belgian SME loans originated by Belfius and issued two classes of notes: EUR 3,200 million Class A SME Loan-Backed Fixed Rate Notes due 2035; EUR 924 million Class B SME Loan-Backed Fixed Rate Notes due 2037.

On 12 May 2014, the Mercurius-1 issued new notes: EUR 3,200 million Class A SME Loan-Backed Fixed Rate Notes due 2035 (Fitch A+(sf)/Moody's A1(sf)/DBRS A(high)(sf)); EUR 924 million Class B SME Loan-Backed Fixed Rate Notes due 2037 (not rated). The proceeds were used to purchase an additional portfolio of SME loans and to redeem the old notes.

At the end of 2019, the ratings on the Class A Notes were AA(sf) at DBRS and Aaa(sf) at Moody's. The outstanding balance of the Class A Notes and the Class B Notes decreased to respectively EUR 549 million and EUR 561 million. Hence there was EUR 1,110 million outstanding under Mercurius-1 at 31 December 2019.

The Mercurius notes are held by Belfius Bank and its subsidiary Belfius Ireland. The notes can be used as collateral in agreements with the European Central Bank or other counterparties.

Belfius Bank SA

Statutory auditor's report to the shareholders' meeting for the year ended 31 December 2019 - Consolidated financial statements

In the context of the statutory audit of the consolidated financial statements of Belfius Bank SA ("the company") and its subsidiaries (jointly "the group"), we hereby submit our statutory audit report. This report includes our report on the consolidated financial statements and the other legal and regulatory requirements. These parts should be considered as integral to the report.

We were appointed in our capacity as statutory auditor by the shareholders' meeting of 26 April 2017, in accordance with the proposal of the board of directors ("bestuursorgaan" / "organe d'administration") issued upon recommendation of the audit committee and presentation of the works council. Our mandate will expire on the date of the shareholders' meeting deliberating on the financial statements for the year ending 31 December 2019. Due to a lack of online archives dating back prior to 1997, we have not been able to determine exactly the first year of our appointment. We have performed the statutory audit of the consolidated financial statements of Belfius Bank SA for at least 23 consecutive periods

Report on the consolidated financial statements

Unqualified opinion

We have audited the consolidated financial statements of the group, which comprise the consolidated balance sheet as at 31 December 2019, the consolidated statement of income, the consolidated statement of comprehensive income, the consolidated statement of change in equity and the consolidated cash flow statement for the year then ended, as well as the summary of significant accounting policies and other explanatory notes. The consolidated balance sheet shows total assets of 172 439 465 (000) EUR and the consolidated statement of income shows a profit (group share) for the year then ended of 667 496 (000) EUR.

In our opinion, the consolidated financial statements give a true and fair view of the group's net equity and financial position as of 31 December 2019 and of its consolidated results and its consolidated cash flow for the year then ended, in accordance with International Financial Reporting Standards (IFRS) as adopted by the European Union and with the legal and regulatory requirements applicable in Belgium.

Basis for the unqualified opinion

We conducted our audit in accordance with International Standards on Auditing (ISA), as applicable in Belgium. In addition, we have applied the International Standards on Auditing approved by the IAASB applicable to the current financial year, but not yet approved at national level. Our responsibilities under those standards are further described in the "Responsibilities of the statutory auditor for the audit of the consolidated financial statements" section of our report. We have complied with all ethical requirements relevant to the statutory audit of consolidated financial statements in Belgium, including those regarding independence.

We have obtained from the board of directors and the company's officials the explanations and information necessary for performing our audit.

We believe that the audit evidence obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matters

How our audit addressed the key audit matters

Impairments on loans & advances and debt securities

The portfolio of loans & advances measured at amortized cost of Belfius Bank amounts to 93 391 477 (000) EUR at 31 December 2019, including a stock of 1 515 890 (000) EUR related to stage 1, 2 and 3 impairments. The portfolio of debt securities measured at amortized cost and at fair value through other comprehensive income amounts to 26 271 969 (000) EUR including a stock of 206 726 (000) EUR related to stage 1, 2 and 3 impairments.

The determination of the allocation to stage 1, 2 or 3 of loans & advances and debt securities in accordance with IFRS 9 contains subjective elements and requires judgement from management, mainly related to the definition of 'significant increase in credit risk' which determines the scope of stage 1 and 2.

The measurement of the IFRS 9 expected credit loss on a 12 month and full lifetime basis contains subjective elements and requires judgement from management, for example related to forward looking elements, economic scenarios, loss given defaults and probability of default.

Given the significance of impairments on loans & advances and debt securities and the related estimation uncertainty, we consider the determination and measurement of impairments on loans & advances and debt securities as a key audit matter. Impairments on loans & advances and debt securities consist of:

- Stage 1: performing credit exposures, for which there was no significant increase of credit risk since origination;
- Stage 2: under-performing credit exposures, for which there has been a significant increase in credit risk between origination or purchase of the financial asset and reporting date;
- Stage 3: non-performing credit exposures, for which there is an objective evidence that the financial asset is impaired.

Please refer to note III accounting policies where in section 6.5 the accounting policies with respect to impairments are described, as well as note 5.4 concerning details on loans and advances and note 5.5 concerning details on debt securities.

Estimation uncertainty with respect to provision for litigations

The group is involved in a number of litigations arising the ordinary course of its business activities.

The recognition and measurement of provisions and the disclosure of contingent liabilities with respect to litigations require significant judgment by management.

We have identified the following litigation as important:

- Arco - Cooperative Shareholders cases

Due to the significance of the uncertainties on the output of these claims and the judgements applied, auditing the adequacy of provision and disclosures on the litigations is considered a key audit matter.

Our audit approach included testing both the design and implementation of internal controls for determining impairments on loans & advances and debt securities as well as substantive audit procedures.

Our audit procedures related to internal controls, consist of, among others:

- the assessment of the design and implementation of the relevant internal control measures;
- obtaining audit evidence in respect of key controls, showing the review and approval process that management has in place for:
 - the identification of events leading to the determination and measurement of impairments ; as well as
 - the governance in place supporting the management judgments.

Our substantive audit procedures consist of, among others:

- reading the minutes of Risk Committees and Default Committees;
- challenging the completeness and accuracy of data included in credit impairment models;
- challenging the methodologies and assumptions applied for determining impairments by using our industry knowledge and experience, focusing on potential changes since 1st January 2019;
- obtaining audit evidence of management judgments, especially focusing on the reasonableness of the approach;
- testing a sample of loans & advances and debt securities to ensure timely determination and measurement of the impairment charge:
 - for impairments in stage 3, we have performed, for a sample basis, detailed credit file reviews thereby challenging the assumptions taken in the context of the impairment.
 - for impairments in stage 1 and 2, we assessed the model used and tested the completeness and the accuracy of the input parameters.

We assess the design and implementation of key controls over financial reporting with respect to provisions for litigations and the disclosures of contingent liabilities. Key controls include amongst others controls over the assessment of the material litigations, their review and valuation if necessary.

We evaluate the group's assessment of the nature and status of litigations and contingent liabilities. We consider the legal advice received by the group from in-house counsel as well as independent external legal counsel when relevant for certain of the more material litigations. For the material litigation, we obtain external confirmation directly from the group's independent external legal counsel.

We examine the group's analysis and conclusions with respect to provisions and disclosures for the material litigation by corro-

Key audit matters

Please refer to note III accounting policies where in section 18 the accounting policies for provisions and contingent liabilities are described, as well as note 6.6 where the main litigations are disclosed in subsection 3.C.

Fair Value measurement of Level 2 and Level 3 financial instruments with higher risk characteristics

Financial instruments defined as Level 2 and Level 3 within the group's IFRS 13 fair value hierarchy disclosure present a higher exposure to risk of incorrect valuation.

Fair value measurement of the following Level 2 and Level 3 financial instruments are considered as a key audit matter in our audit procedures:

- loans and advances measured at fair value through profit or loss for 19 153 (000) EUR Level 2 and 1 533 849 (000) EUR Level 3;
- debt securities measured at fair value through other comprehensive income for 247 499 (000) EUR Level 2 and 362 689 (000) EUR Level 3;
- debt securities measured at fair value through profit or loss for 512 364 (000) EUR Level 2 and 452 832 (000) EUR Level 3;
- equity instruments measured at fair value through other comprehensive income for 296 236 (000) EUR Level 3;
- equity instruments measured at fair value through profit or loss for 265 (000) EUR Level 3;
- derivatives for 12 511 900 (000) EUR Level 2 and 792 276 (000) EUR Level 3 recognized on the asset side and 17 926 880 (000) EUR Level 2 and 702 740 (000) EUR Level 3 recognized on the liability side;
- borrowings and deposits measured at fair value through profit or loss for 52 773 (000) EUR Level 2;
- debt securities issued and other financial liabilities measured at fair value through profit or loss for 5 488 697 (000) EUR Level 2 and 2 744 205 (000) EUR Level 3.

Valuation of complex financial instruments requires important efforts from the group in terms of resources and governance. Our assessment is driven by multiple factors, including:

- the complexity of valuation models;
- the lack of adequacy of available market data for the purpose of valuing specific financial instruments;
- the necessity to use non-observable market data; and
- the high degree of judgement required.

The use of different valuation techniques and/or assumptions could produce significantly different fair values. Those factors concern amongst others the following components:

- the use of models for the valuation of complex Level 2 and Level 3 financial instruments;

How our audit addressed the key audit matters

bative inquiry of management, and consider the confirmation by independent external legal counsel.

Finally, we assess the completeness and accuracy of the disclosures on provisions and contingent liabilities. We also assess whether the disclosures are in compliance with the requirements included in the International Financial Reporting Standards as adopted by the European Union (IAS 37).

Our audit procedures include, getting an insight in the group and its environment, including the internal control and governance that are relevant for the valuation of financial instruments, as well as the testing of parameters, valuation model setup and disclosures.

The assessment and control of valuation models involve an extensive participation of our valuation experts.

Our audit procedures related to internal controls, consists of, among others:

- performing trade life-cycle product walkthrough to confirm our understanding of the group's processes and controls in the area of concluding and recording financial instrument transactions;
- getting an understanding of the control framework (including monitoring procedures) with regard to the valuation process of financial instruments;
- follow-up the proper and timely documentation of models and parameter choices and the formal approval thereof by competent committees;
- reading of model validation reports from the independent validation function.

Our substantive audit procedures consist of, among others:

- the assessment of market parameters and key assumptions used in the models on a sample basis;
- assessment whether valuation methodologies are based on market practices, on experts' experience, market knowledge and are in line with IFRS 13;
- identification of high judgmental areas by assessment of management impact analysis and notes of valuation specialists;
- independent revaluation of financial instruments on a sample basis by our valuation experts;
- reading of the disclosures in the financial statements on valuation to ensure compliance with IFRS requirements.

Key audit matters

How our audit addressed the key audit matters

- the fair value adjustments made to derivatives to reflect the counterparty credit risk (CVA/DVA) and funding risk (FVA);
- the necessity of using derived and/or illiquid pricing parameters as input for valuations of Level 2 and Level 3 financial instruments.

Please refer to note III accounting policies where in section 6.7 the accounting policies are described with respect to the fair value of financial instruments, as well as note 9.1 where in sub-section 2 details are provided on the level classification of financial instruments.

IT Continuity and Integrity

Given the fact that the IT infrastructure is essential for the continuity and integrity of the operational activities of the group and for the financial and prudential reporting processes, we consider IT continuity and integrity a key audit matter.

This assessment is based on

- the multiplicity of IT applications;
- the very high volume of transactions;
- the fact that multiple applications are developed or tailored in house;
- the fact that qualitative information recorded at transaction level by the business is essential to the preparation of the financial statements and to the preparation of prudential reportings (i.e. nature of transactions, nature of counterparties, rating, etc.);
- the fact that outsourcing is an important element of the IT infrastructure.

Adequacy of the technical provisions for life insurance (including shadow accounting)

The provisions for Life insurance contracts amount to 11 893 927 (000) EUR per 31 December 2019.

The Liability Adequacy Test (LAT) as well as the applied shadow accounting are based on complex (model) calculations. Therefore, several economic and non-economic assumptions over future events that are not certain are taken into account. Moreover, these assumptions are partly based on the judgement of management.

Moreover, the complexity of the model (calculation) can be subject to errors because of inadequate data quality or not complete data, or because the internal control processes are inadequate.

In application of the valuation rules, the group applies shadow accounting, whereby non-realized investment result from Other Comprehensive Income (partially) is transferred to the insurance technical provisions. This accounting treatment is applied when the realization of unrealized gains recorded in Other Comprehensive Income related to financial instruments available for sale directly impact the valuation of the technical insurance provisions. As per 31 December 2019 the shadow accounting correction amounts to 37 974 (000) EUR.

Our control procedures involve the participation of IT audit experts.

Our controls procedures include amongst others:

- an assessment of the internal control procedures relating to General IT Controls applicable to IT components or applications considered as key in the financial reporting process;
- an assessment of the ISAE 3402 report related to PI²;
- an assessment of the procedures related to additional internal controls performed by finance, business, and IT departments in respect of the integrity and quality of data and the interface between operational application systems and financial reporting systems.

Our audit procedures include, getting an insight in the group and its environment, including the internal control and governance that are relevant for the valuation of the technical provisions for life insurance, as well as the substantive testing of a.o. parameters, actuarial model setup and appropriate disclosures to the consolidated financial statements.

We have involved our actuarial specialists in carrying out these audit procedures.

Our audit procedures related to internal controls, consists of, among others:

- the assessment of the design and implementation of the relevant internal control measures (among others related to data quality);
- reading and assessing the documentation related to the choices of models and parameters, as well as the formal validation thereof by the competent committees;
- reading of the reports of the independent control functions (Risk Management and Actuarial Function).

Key audit matters

Taking into account the importance of this balance sheet item as well as the impact on IFRS equity resulting from shadow accounting, we consider the adequacy of the provisions for life insurance (including shadow accounting) as a key audit matter.

Please refer to note III accounting policies where in section 8.2. the accounting policies are described with respect to technical insurance provisions (including shadow accounting), as well as note 6.5 Technical provisions of insurance companies.

Adequacy of the technical provisions for Non-Life insurance

The provisions for Non-Life technical provisions amount to 1 297 560 (000) EUR per 31 December 2019. These provisions comprise a claims reserve of 986 203 (000) EUR.

On the one hand, the claims reserve has to be adequate in order to fulfill all obligations regarding the claims, as well for the reported claims as for the non reported claims. On the other hand, the adequacy test of the Non-Life technical provisions is based on complex calculations (modeled).

The calculations are partly based on the judgement of management related to estimations of future uncertain results by using different assumptions. Moreover, the complexity of the model (calculation) can be subject to errors because of inadequate data quality or not complete data, or because the internal control processes are inadequate.

Taking into account the above discussed considerations, we consider the adequacy of the provisions for Non-Life insurance as a key audit matter.

Please refer to note III accounting policies where in section 8.2. the accounting policies are described with respect to technical insurance provisions, as well as note 6.5 Technical provisions of insurance companies.

How our audit addressed the key audit matters

Our substantive audit procedures consist of, among others:

- an assessment of the suitability of the used assumptions and methodologies;
- reading of minutes of the competent committees;
- verification of the movement analysis prepared by the group, in order to assess the reasonableness of the evolutions during the year;
- verification of the projected cash flows included in the adequacy test to assess the reasonableness;
- recalculation on a sample basis of elements included in the adequacy test;
- reconciliation on a sample basis of input data that are used for calculations with accounting information;
- verification of basis data that are used for the valuation of the technical provisions;
- verification of the disclosures included in the consolidated financial statements related to insurance contracts.

Our audit procedures include, getting an insight in the group and its environment, including the internal control and governance that are relevant for the valuation of the technical provisions for Non-Life insurance, as well as the substantive testing of a.o. parameters, actuarial model setup and appropriate disclosures to the consolidated financial statements.

We have involved our actuarial specialists in carrying out these audit procedures.

Our audit procedures related to internal controls, consists of, among others:

- the assessment of the design and implementation of the relevant internal control measures (among others related to data quality);
- reading and assessing the documentation related to the choices of models and parameters, as well as the formal validation thereof by the competent committees;
- reading of the reports of the independent control functions (Risk Management and Actuarial Function).

Our substantive audit procedures consist of, among others:

- an assessment of the suitability of the used assumptions and methodologies;
 - reading of minutes of the competent committees;
 - verification of the movement analysis prepared by the group, in order to assess the reasonableness of the evolutions during the year;
 - recalculation on a sample basis of elements included in the adequacy test;
 - reconciliation on a sample basis of input data that are used for calculations with accounting information;
 - verification of basis data that are used for the valuation of the technical provisions;
 - verification of the disclosures included in the consolidated financial statements related to insurance contracts.
-

Note on the capital position based on Solvency II regulation

As from 1 January 2016, the Solvency II provisions are applicable for (re)insurers. The introduction of this regulation has a significant impact, amongst others due to the complexity of the calculation of the required capital and the focus that is put on the business wide risk management.

Belfius Insurance is calculating the required capital based upon the Standard formula as included in the Solvency II regulation.

As of 31 December 2019, the consolidated Solvency II ratio of Belfius Insurance amounts to 212%. The ratio is calculated by dividing the Solvency II equity by the required capital (Solvency Capital Requirement or SCR).

Both the Solvency II consolidated market value balance sheet as well as the SCR are based on complex calculations that make use of important assumptions that can significantly impact the Solvency II ratio.

The quality of the data used in these calculations is of great importance. The governance process linked to data quality has to be designed adequately to guarantee the completeness, the accuracy and the adequacy of the used data.

Moreover, the use of model calculations can give rise to certain uncertainties that may impact the Solvency II ratio.

We refer to the section Capital Management of the Management Report for Belfius Insurance Solvency II ratio.

Our audit procedures are designed to identify material deficiencies related to the calculation of the Solvency II ratio. Our audit procedures consist of getting an insight in the group and its environment, including the relevant internal control procedures and governance for the solvency ratio calculation.

We have involved our actuarial specialists in performing our audit work.

With respect to internal control, we have performed, amongst others, the following procedures:

- an assessment of the design and implementation of the relevant internal control processes for the calculation of the Solvency II ratio (a.o. concerning data quality);
- reading and assessing the documentation related to the choices of models and parameters, as well as the formal validation by the competent committees;
- reading of the reports of the independent control functions (Risk Management and Actuarial Function).

Our substantive audit procedures consist of, among others:

- an assessment of the reasonableness of the used assumptions;
- verification of completeness and accuracy of the changes made in the transition from the IFRS balance sheet to the Solvency II market value balance sheet. Our procedures consists among others of:
 - an assessment of the parameters and models used to determine the cash flows that are used in the calculation of the valuation of the technical provisions,
 - verification of the accuracy and completeness of the input data that are used for the calculation of the SCR,
 - verification of the calculations of the required capital per risk component, in line with the standard formula of the Solvency II regulation;
- verification of the movement analysis prepared by the group, in order to assess the reasonableness of the evolutions during the year, with respect to the solvency ratio, the capital requirement per risk component and the market value balance sheet.

Responsibilities of the board of directors for the preparation of the consolidated financial statements

The board of directors is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with International Financial Reporting Standards (IFRS) as adopted by the European Union and with the legal and regulatory requirements applicable in Belgium and for such internal control as the board of directors determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, the board of directors is responsible for assessing the group's ability to continue as a going concern, disclosing, as applicable, matters to be considered for going concern and using the going concern basis of accounting unless the board of directors either intends to liquidate the group or to cease operations, or has no other realistic alternative but to do so.

Responsibilities of the statutory auditor for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue a statutory auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISA will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

During the performance of our audit, we comply with the legal, regulatory and normative framework as applicable to the audit of consolidated financial statements in Belgium. The scope of the audit does not comprise any assurance regarding the future viability of the company nor regarding the efficiency or effectiveness demonstrated by the board of directors in the way that the company's business has been conducted or will be conducted.

As part of an audit in accordance with ISA, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from an error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's internal control;
- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the board of directors;
- conclude on the appropriateness of the use of the going concern basis of accounting by the board of directors and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our statutory auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our statutory auditor's report. However, future events or conditions may cause the group to cease to continue as a going concern;
- evaluate the overall presentation, structure and content of the consolidated financial statements, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- obtain sufficient appropriate audit evidence regarding the financial information of the entities and business activities within the group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the audit committee regarding, amongst other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the audit committee with a statement that we have complied with relevant ethical requirements regarding independence, and we communicate with them about all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated to the audit committee, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our report unless law or regulation precludes any public disclosure about the matter.

Other legal and regulatory requirements

Responsibilities of the board of directors

The board of directors is responsible for the preparation and the content of the directors' report on the consolidated financial statements, the statement of non-financial information attached to the directors' report on the consolidated financial statements and other matters disclosed in the annual report on the consolidated financial statements.

Responsibilities of the statutory auditor

As part of our mandate and in accordance with the Belgian standard complementary to the International Standards on Auditing (ISA) as applicable in Belgium, our responsibility is to verify, in all material respects, the director's report on the consolidated financial statements, the statement of non-financial information attached to the directors' report on the consolidated financial statements and other matters disclosed in the annual report on the consolidated financial statements, as well as to report on these matters.

Aspects regarding the directors' report on the consolidated financial statements and other information disclosed in the annual report on the consolidated financial statements

In our opinion, after performing the specific procedures on the directors' report on the consolidated financial statements, this report is consistent with the consolidated financial statements for that same year and has been established in accordance with the requirements of article 3:32 of the Code of companies and associations.

In the context of our statutory audit of the consolidated financial statements we are responsible to consider, in particular based on information that we became aware of during the audit, if the directors' report on the consolidated financial statements and other information disclosed in the annual report on the consolidated financial statements, i.e.:

- Belfius profile;
- Belfius' mission and ambition;
- other information (GRI, Abbreviations and Additional Information)

are free of material misstatements, either by information that is incorrectly stated or otherwise misleading. In the context of the procedures performed, we are not aware of such a material misstatement.

The non-financial information as required by article 3:32, § 2 of the Code of companies and associations, has been disclosed in the directors' report on the consolidated financial statements that is part of section Management Report – Corporate Social Responsibility (CSR) of the annual report. This non-financial information has been established by the company in accordance with the GRI standards. In accordance with article 3:75, § 1, 6° of the Code of companies and associations we do not express any opinion on the question whether this non-financial information has been established in accordance with these GRI standards.

Statements regarding independence

- Our audit firm and our network have not performed any prohibited services and our audit firm has remained independent from the group during the performance of our mandate.
- The fees for the additional non-audit services compatible with the statutory audit, as defined in article 3:65 of the Code of companies and associations, have been properly disclosed and disaggregated in the notes to the consolidated financial statements.

Other statements

- This report is consistent with our additional report to the audit committee referred to in article 11 of Regulation (EU) No 537/2014.

Zaventem, 8 April 2020

The statutory auditor

DELOITTE Bedrijfsrevisoren / Reviseurs d'Entreprises
CVBA / SCRL
Represented by

Bernard De Meulemeester

Franky Wevers

**Non-consolidated
financial statements** (BE GAAP)
as at 31 December 2019

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Balance sheet (after appropriation)

Assets		
(In thousands of EUR)		
	31/12/18	31/12/19
I. Cash in hand, balances with central banks and post office banks	7,477,238	568,105
II. Treasury bills eligible for refinancing with central banks	1,000	0
III. Loans and advances to credit institutions	13,799,255	22,184,203
A. Repayable on demand	10,798,793	16,546,098
B. Other loans and adv. (with agreed maturity dates)	3,000,462	5,638,105
IV. Loans and advances to customers	84,164,986	89,749,854
V. Debt securities and other fixed-income securities	16,184,687	15,602,666
A. Issued by public bodies	5,713,415	5,573,892
B. Issued by other borrowers	10,471,272	10,028,774
VI. Shares and other variable-yield securities	188,112	276,660
VII. Financial fixed assets	2,742,906	2,746,301
A. Participating interests in affiliated enterprises	2,090,555	2,089,238
B. Participating interests in other enterprises linked by participating interests	82,881	88,145
C. Other shares held as financial fixed assets	49,470	48,918
D. Subordinated loans to affiliated enterprises and to other enterprises linked by participating interests	520,000	520,000
VIII. Formation expenses and intangible fixed assets	132,277	146,393
IX. Tangible fixed assets	551,220	513,792
X. Own shares	0	0
XI. Other assets	1,570,614	1,762,566
XII. Deferred charges and accrued income	16,591,747	17,170,033
TOTAL ASSETS	143,404,042	150,720,573

Liabilities			
(In thousands of EUR)		31/12/18	31/12/19
I.	Amounts owed to credit institutions	9,709,758	9,733,444
	A. Repayable on demand	4,225,543	4,385,902
	B. Amounts owed as a result of the rediscounting of trade bills	0	0
	C. Other debts with agreed maturity dates or periods of notice	5,484,215	5,347,542
II.	Amounts owed to customers	81,517,162	87,036,122
	A. Savings deposits	38,115,035	40,999,373
	B. Other debts	43,402,127	46,036,749
	1. Repayable on demand	28,497,247	29,374,681
	2. With agreed maturity dates or periods of notice	14,904,880	1,662,067
	3. As a result of the rediscounting of trade bills	0	0
III.	Debts evidenced by certificates	26,461,702	27,461,322
	A. Debt securities and other fixed-income securities in circul.	23,024,367	23,128,935
	B. Other	3,437,335	4,332,387
IV.	Other liabilities	2,217,676	2,258,644
V.	Accrued charges and deferred income	12,980,531	13,305,581
VI.	A. Provisions for liabilities and charges	182,481	191,089
	1. Pensions and similar obligations	226	212
	2. Taxation	34,710	49,500
	3. Other liabilities and charges	147,546	141,376
	B. Deferred taxes	2,170	2,892
VII.	Fund for general banking risks	988,737	988,737
VIII.	Subordinated liabilities	1,698,511	1,636,319
CAPITAL AND RESERVES		7,645,314	8,106,423
IX.	Capital	3,458,066	3,458,066
	A. Subscribed capital	3,458,066	3,458,066
	B. Uncalled capital (-)	0	0
X.	Share premium account	209,232	209,232
XI.	Revaluation surpluses	212	210
XII.	Reserves	3,977,803	4,277,915
	A. Legal reserve	345,807	345,807
	B. Reserves not available for distribution	2,344	2,344
	1. In respect of own shares held	0	0
	2. Other	2,344	2,344
	C. Untaxed reserves	31,333	33,052
	D. Reserves available for distribution	3,598,319	3,896,712
XIII.	Profits (losses (-)) brought forward	0	161,000
TOTAL LIABILITIES		143,404,042	150,720,573

Off-balance sheet

(In thousands of EUR)		31/12/18	31/12/19
I.	Contingent liabilities	15,606,062	17,134,439
	A. Non-negotiated acceptances	98,897	79,440
	B. Guarantees serving as direct credit substitutes	13,528,450	14,875,947
	C. Other guarantees	1,823,264	2,019,399
	D. Documentary credits	155,451	159,653
	E. Assets charged as collateral security on behalf of third parties	0	0
II.	Commitments which could give rise to a risk	25,472,469	30,105,059
	A. Firm credit commitments	475,437	1,978,398
	B. Commitments as a result of spot purchases of transferable or other securities	128,604	413,645
	C. Undrawn margin on confirmed credit lines	24,868,428	27,188,016
	D. Underwriting and placing commitments	0	525,000
	E. Commitments as a result of open-ended sale and repurchase agreements	0	0
III.	Assets lodged with the credit institution	109,573,456	118,359,849
	A. Assets held by the credit institution for fiduciary purposes	0	0
	B. Safe custody and equivalent items	109,573,456	118,359,849
IV.	Uncalled amounts of share capital	16,515	15,611

Statement of income (presentation in list form)

(In thousands of EUR)		31/12/18	31/12/19
I.	Interest receivable and similar income	2,321,365	2,297,655
	of which: from fixed-income securities	358,692	284,570
II.	Interest payable and similar charges (-)	(1,102,395)	(1,029,388)
III.	Income from variable-yield securities	159,634	207,867
	A. From shares and other variable-yield securities	8,476	12,822
	B. From participating interests in affiliated enterprises	142,569	183,257
	C. From participating interests in other enterprises linked by participating interests	6,638	9,845
	D. From other shares held as financial fixed assets	1,951	1,942
IV.	Commissions receivable	603,766	635,619
	A. Brokerage and commissions	0	0
	B. Allowances for services of administration, advice and custody	0	0
	C. Other commissions receivable	603,766	635,619
V.	Commissions payable (-)	(382,972)	(387,616)
VI.	Profit (loss (-)) on financial transactions	53,874	208,203
	A. On trading of securities and other financial instruments	(426,394)	75,795
	B. On disposal of investment securities	480,268	132,408
VII.	General administrative expenses (-)	(992,419)	(1,007,352)
	A. Remuneration, social security costs and pensions	(499,983)	(503,580)
	B. Other administrative expenses	(492,436)	(503,772)
VIII.	Depreciation/Amortization of and other write-downs on (-) formation expenses, intangible and tangible fixed assets	(84,876)	(91,219)
IX.	Decrease/Increase (-) in write-downs on receivables and in provisions for off balance sheet items "I. Contingent liabilities" and "II. Commitments which could give rise to a risk"	(92,808)	(132,647)
X.	Decrease/Increase (-) in write-downs on the investment portfolio of debt securities, shares and other fixed-income or variable-yield securities	(70)	247
XI.	Utilization and write-backs of provisions for liabilities and charges other than those included in the off balance sheet items "I. Contingent liabilities" and "II. Commitments which could give rise to a risk"	44,533	31,017
XII.	Provisions for liabilities and charges other than those included in the off balance sheet items "I. Contingent liabilities" and "II. Commitments which could give rise to a risk"	(27,984)	(46,705)
XIII.	Transfer from (Transfer to) the fund for general banking risks	0	0
XIV.	Other operating income	156,538	182,780
XV.	Other operating charges	(180,220)	(181,503)
XVI.	Profits (Losses (-)) on ordinary activities before taxes	475,966	686,958
XVII.	Extraordinary income	32,675	13,638
	A. Adjustments to depreciation/amortization of and to other write-downs on intangible and tangible fixed assets	0	5
	B. Adjustments to write-downs on financial fixed assets	0	0
	C. Adjustments to provisions for extraordinary liabilities and charges	0	0
	D. Gain on disposal of fixed assets	32,675	10,339
	E. Other extraordinary income	0	3294
XVIII.	Extraordinary charges (-)	(5,268)	(3,253)
	A. Extraordinary depreciation/amortization of and extraordinary write-downs on formation expenses and intangible and tangible fixed assets	(1,428)	(279)
	B. Write-downs on financial fixed assets	(41)	(2,120)
	C. Provisions for extraordinary liabilities and charges	0	0
	D. Loss on disposal of fixed assets	(1)	(845)
	E. Other extraordinary charges	(3,798)	(9)
XIX.	Profits (Losses (-)) for the period before taxes	503,373	697,343
XIXbis.	A. Transfer to deferred taxes (-)	2,170	(722)
	B. Transfer from deferred taxes	0	0
XX.	Income taxes	(75,153)	(135,511)
	A. Income taxes (-)	(123,845)	(158,337)
	B. Adjustment of income taxes and write-back of tax provisions	48,692	22,825
XXI.	Profits (Losses (-)) for the period	426,050	561,110
XXII.	Transfer to untaxed reserves (-)	5,166	(1,719)
	Transfer from untaxed reserves	0	0
XXIII.	Profit (Losses (-)) for the period available for approbation	420,884	559,391

Approbation account

(In thousands of EUR)	31/12/18	31/12/19
A. Profits (Losses (-)) to be appropriated	420,884	559,391
1. Profits (Losses (-)) for the period available for approbation	420,884	559,391
2. Profits (Losses (-)) brought forward	0	0
B. Transfers from capital and reserves	0	0
1. From capital and share premium account	0	0
2. From reserves	0	0
C. Appropriations to capital and reserves	57,884	298,391
1. To capital and share premium account	0	0
2. To legal reserve	0	0
3. To other reserves	57,884	298,391
D. Result to be carried forward	0	161,000
1. Profits to be carried forward (-)	0	161,000
2. Losses to be carried forward	0	0
E. Shareholders' contribution in respect of losses	0	0
F. Distribution of profits (-)	363,000	100,000
1. Dividends ⁽¹⁾	363,000	100,000
2. Director's entitlements ⁽¹⁾	0	0
3. Other allocations ⁽¹⁾	0	0

(1) Only applicable to Belgian limited liability companies

Belfius Bank NV

Statutory auditor's report to the shareholders' meeting on the annual accounts for the year ended 31 December 2019

We refer to the annual report published in Dutch or French.

Global Reporting Initiative (GRI) - table

GRI Standard	GRI Disclosure	References (→)/information	Page number	Omission	Link to SDG (based on SDG Compass)
GRI 102: GENERAL DISCLOSURES					
GRI 102: GENERAL DISCLOSURES - ORGANIZATIONAL PROFILE					
102-1	Name of the organization	Belfius Bank NV/SA			
102-2	Activities, brands, products, and services	→ Profile of Belfius	2		
102-3	Location of headquarters	Place Charles Rogier 11, B-1210 Brussel			
102-4	Location of operations	Belgium			
102-5	Ownership and legal form	Public limited company			
102-6	Markets served	→ Segment reporting	75		
102-7	Scale of the organization	→ Profile of Belfius, Key Figures	2, 5		
102-8	Information on employees and other workers	→ HR, Our employees, the backbone of the organisation	57	Whether a significant portion of the organization's activities are performed by workers who are not employees was not disclosed by Belfius due to the sensitivity of this information	#8 Decent work and economic growth
102-9	Supply chain	→ Profile of Belfius → CSR, Climate & Environment, Circularity in Procurement; Belfius' main suppliers provide products and services in office buildings and mobility to support the company's operations as a financial services company. Approximately 1450 frame contracts are managed by the procurement department. Social and environmental screening criteria are applied on a case-by-case basis, especially in relation to our target to become CO ₂ neutral in our operations. A CSR expert is dedicated in the procurement department to support in identifying the need for CSR screening and particular issues to be tackled. Belfius is a member of the Green Deal initiative, both in the Flemish and the Walloon Region.	2 45		
102-10	Significant changes to the organization and its supply chain	→ Management Report, Message from the chairmen	10		
102-11	Precautionary Principle or approach	→ Risk Management	113		
102-12	External initiatives	→ CSR, Social Commitment, Sustainable collaboration with the community	46		
102-13	Membership of associations	→ CSR, Social Commitment, Dialogue with our stakeholders	54		

GRI Standard	GRI Disclosure	References (→)/information	Page number	Omission	Link to SDG (based on SDG Compass)
GRI 102: GENERAL DISCLOSURES - STRATEGY AND ANALYSIS					
102-14	Statement from senior decision-maker	→ Management Report, Message from the chairmen	10		
GRI 102: GENERAL DISCLOSURES - ETHICS AND INTEGRITY					
102-16	Values, principles, standards, and norms of behavior	→ CSR, A responsible bank-insurer, Our corporate values as the starting point → Continuing to grow the new company culture	22 56		
GRI 102: GENERAL DISCLOSURES - GOVERNANCE					
102-18	Governance structure	→ Corporate Governance	145		
102-22	Composition of the highest governance body and its committees	→ Corporate Governance	145		
102-24	Nominating and selecting the highest governance body	→ Corporate Governance	145		
GRI 102: GENERAL DISCLOSURES - STAKEHOLDER ENGAGEMENT					
102-40	List of stakeholder groups	→ CSR, Social Commitment, Dialogue with our stakeholders	54		
102-41	Collective bargaining agreements	In 2019, 97.04% of the employees are covered by a collective bargaining agreement. Only the Board of Directors, executives and senior management are not covered by collective bargaining agreements but are covered by a "management contract".			#8 Decent work and economic growth
102-42	Identifying and selecting stakeholders	→ CSR, Social Commitment, Dialogue with our stakeholders	54		
102-43	Approach to stakeholder engagement	→ CSR, Social Commitment, Dialogue with our stakeholders	54		
102-44	Key topics and concerns raised	→ CSR, Social Commitment, Dialogue with our stakeholders	54		
GRI 102: GENERAL DISCLOSURES - REPORTING PRACTICE					
102-45	Entities included in the consolidated financial statements	→ Consolidated Financial Statements	172		
102-46	Defining report content and topic Boundaries	The financial consolidation boundary of Belfius Group is applied unless otherwise stated.			
102-47	List of material topics	→ CSR, Social Commitment, Materiality matrix	55		
102-48	Restatements of information	No restatements			
102-49	Changes in reporting	The structure of the chapter "Corporate Social Responsibility" was changed considerably. In addition to reporting for the year 2019, Belfius' new sustainability strategy is also presented, together with the new ESG policy that supports this strategy. The section on the Sustainable Development Goals was also revised and adapted to the new strategy.			
102-50	Reporting period	Fiscal year from 1 January 2019 to 31 December 2019			
102-51	Date of most recent report	The most recent report containing economic, environmental and social information is the Annual Report 2018.			
102-52	Reporting cycle	Annual			
102-53	Contact point for questions regarding the report	csr@belfius.be			
102-54	Claims of reporting in accordance with the GRI Standards	This report has been prepared in accordance with the GRI Standards: Core option.			
102-55	GRI content index	→ Annual report, GRI Content Table	342		
102-56	External assurance	Belfius' statutory auditor Deloitte Revisoren d'Entreprises/ Bedrijfsrevisoren reviewed the Annual Report to assure the presence of the information required by the legislation on the disclosure of non-financial and diversity information (transposition of Directive 2014/95/EU).			

GRI Standard	GRI Disclosure	References (→)/information	Page number	Omission	Link to SDG (based on SDG Compass)
GRI 103: MANAGEMENT APPROACH					
103-1	Explanation of the material topic and its Boundaries	→ Material topic boundaries, management approaches and their respective evaluation methods are explained together with the particular practice discussed. → CSR, Social Commitment, Dialogue with our stakeholders, Materiality matrix → HR	55 56		
103-2	The management approach and its components				
103-3	Evaluation of the management approach				
GRI 201: ECONOMIC PERFORMANCE					
201-1	Direct economic value generated and distributed	→ Consolidated Financial Statements → CSR, A responsible bank-insurer, A truthful tax payer	172 23		#5 Gender equality #7 Affordable and clean energy #8 Decent work and economic growth #9 Industry, innovation and infrastructure
GRI 203: INDIRECT ECONOMIC IMPACTS					
203-1	Infrastructure investments and services supported	→ CSR, Sustainable solutions, Sustainable finance and insurance	27		#8 Decent work and economic growth
203-2	Significant indirect economic impact	→ CSR, Sustainable solutions, Sustainable finance and insurance; Innovation working on behalf of sustainable development	27, 39		#9 Industry, innovation and infrastructure #10 Reduced inequalities #11 Sustainable cities and communities
GRI 205: ANTI-CORRUPTION					
205-1	Operations assessed for risks related to corruption	→ CSR, A responsible bank-insurer, Our corporate values as the starting point, list of Policies & Charters: zero tolerance in anti-fraud policy	22		
205-3	Confirmed incidents of corruption and actions taken	→ In 2019 no corruption-related incidents were recorded. → CSR, A responsible bank-insurer, Our corporate values as the starting point	22		
GRI 301: MATERIALS					
301-1	Materials used by weight and volume	→ This is mainly covering paper consumption, which shows a decreasing trend. → CSR, Climate & Environment, Reducing use of resources, avoiding waste"	42		#12 Responsible consumption and production
GRI 302: ENERGY					
302-1	Energy consumption within the organization	→ CSR, Climate & Environment, Reducing use of resources, avoiding waste	42		#7 Affordable and clean energy #13 Climate action"
302-2	Energy consumption outside of the organization	→ CSR, Climate & Environment, Reducing use of resources, avoiding waste	42		
302-4	Reduction of energy consumption	→ CSR, Climate & Environment, Reducing use of resources, avoiding waste	42		
GRI 305: EMISSIONS					

GRI Standard	GRI Disclosure	References (→)/information	Page number	Omission	Link to SDG (based on SDG Compass)
305-1	Direct (Scope 1) GHG emissions	→ CSR, Climate & Environment, Carbon footprint of the Belfius Group	41		#3 Good health and well-being #13 Climate action
305-2	Energy indirect (Scope 2) GHG emissions	→ CSR, Climate & Environment, Carbon footprint of the Belfius Group	41		
305-3	Other indirect (Scope 3) GHG emissions	→ CSR, Climate & Environment, Carbon footprint of the Belfius Group	41		
GRI 306: EFFLUENTS AND WASTE					
306-2	Waste by type and disposal method	→ All waste mentioned concerns non-hazardous waste and is recycled, except for the residual waste, which is incinerated. This information was provided by the waste disposal contractor. → CSR, Climate & Environment, Reducing use of resources, avoiding waste	42		#3 Good health and well-being
GRI 401: EMPLOYMENT					
401-1	New employee hires and employee turnover	→ HR, Investing in our talents	60		#5 Gender equality #8 Decent work and economic growth
401-2	Benefits provided to full-time employees that are not provided to temporary or part-time employees	Differentiation of benefits for employees based on the type of employment contract is possible, e.g. certain instruments made available by the company are not granted to employees with a temporary employment contract. → In principle, for part-time employees, the same benefits apply than for the full-time employees, apart from the fact that some are calculated on a “pro rata” basis, depending on their % of their work regime (e.g. salary, premiums, etc). → - In principle, for fixed-term contract employees, some benefits do not apply. Those are mainly linked to the cafeteria plan and lease contracts. Benefits where the leasing period is longer than the duration of the fixed-term contract, do not apply for those fixed-term contract employees.			
401-3	Parental leave			Omission	
GRI 403: OCCUPATIONAL HEALTH AND SAFETY					
403-2	Types of injury and rates of injury, occupational diseases, lost days, and absenteeism, and number of work-related fatalities	→ Given the nature of Belfius’ business activities, only absenteeism is reported. → HR, Continuing to invest in well-being	60		#3 Good health and well-being #8 Decent work and economic growth
403-4	Health and safety topics covered in formal agreements with trade unions	→ HR, Continuing to invest in well-being	60		
GRI 404: TRAINING AND EDUCATION					
404-1	Average hours of training per year per employee	→ HR, Investing in our talents	60		#8 Decent work and economic growth #4 Quality education and lifelong learning
404-3	Percentage of employees receiving regular performance and career development reviews	→ CSR, Social Commitment, Dialogue with our stakeholders In a permanent feedback culture employees and managers are encouraged to continuously give each other open and constructive feedback, under the motto “In control of your own career”. Besides this, a career discussion between employee and manager takes place at least once every 12 to 18 months. This method is applied to 97,4% of the employees (those covered by a collective bargaining agreement). → CSR, Social Commitment, Our staff Non-financial criteria as a determinant of managers’ variable compensation.	54 50		
GRI 405: DIVERSITY AND EQUAL OPPORTUNITY					

GRI Standard	GRI Disclosure	References (→)/information	Page number	Omission	Link to SDG (based on SDG Compass)
405-1	Diversity of governance bodies and employees	→ HR, Aiming for Diversity → CSR, Social Commitment, Our staff An active diversity policy	61 50		#5 Gender equality #8 Decent work and economic growth
GRI 418: CUSTOMER PRIVACY					
418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	→ CSR, Social Commitment, Caring for our customers, Respecting the opinion of customers, Complaints about discrimination and Privacy → CSR, Social Commitment, Caring for our customers, Confidentiality of data	51, 52 52, 53		
FINANCIAL SUPPLEMENT					
FS1	Policies with specific environmental and social components applied to business lines	→ CSR, A responsible bank-insurer, Strengthening integration of ESG criteria	24		
FS2	Procedures for assessing and screening environmental and social risks in business lines	→ CSR, A responsible bank-insurer, Maximising positive impact, preventing negative impact → CSR, A responsible bank-insurer, Strengthening integration of ESG criteria, ESG monitoring	24 24, 25		
FS6	Percentage of portfolio by business line by region, size and sector.	→ CSR, Sustainable solutions, Sustainable finance and insurance, Recirculation to the Belgian economy and community → Segment Reporting	27 75		#8 Decent work and economic growth #9 Industry, innovation and infrastructure #10 Reduced inequalities #11 Sustainable cities and communities
FS7	Monetary value of products and services developed in order to obtain specific social benefits by business line and purpose	→ CSR, Social Commitment, Sustainable collaboration with the community, Philanthropy → CSR, Social Commitment, Sustainable collaboration with the community, Inclusion-equal opportunity	47 48		
FS8	Monetary value of products and services designed to deliver a specific environmental benefit for each business line broken down by purpose	→ CSR, Sustainable Solutions, Sustainable Finance and insurance, Belfius joins forces with CO2logic → CSR, Sustainable Solutions, Investing with impact	28 33		
FS11	Percentage of assets that have undergone positive or negative environmental and social screening.	→ CSR, Sustainable Solutions, Investing with impact, Evolution and ambition in sustainably managed funds → CSR, Sustainable Solutions, Investing with impact, Portfolio21: sustainable portfolio management by Belfius Insurance	36 38		
FS14	Initiatives to improve access to financial services for disadvantaged people	→ CSR, Social Commitment, Sustainable collaboration with the community, Inclusion-equal opportunity	48		

Abbreviations

Acronym	
ABS	Asset-Backed Securities
ALM	Asset-Liability Management
AUM	Assets Under Management
B/S	Balance Sheet
bp	Basis Point
C/I	Cost-Income
CCF	Credit Conversion Factor
CET 1	Common Equity Tier 1
CoR	Cost of Risk
CRD	Capital Regulative Directive
CRR	Capital Regulative Regulation
CVA	Credit Value Adjustment
DCM	Debt Capital Markets
EAD	Exposure at Default
EBA	European Banking Authority
ECB	European Central Bank
ECM	Equity Capital Markets
EIF	European Investment Fund
FEAD	Full Exposure at Default
FHIC	Federal Holding and Investment Company
GDP	Gross Domestic Product
GRI	Global Reporting Initiative
IRB	Internal Rate Based
LCM	Liquidity and Capital Management
LCR	Liquidity Coverage Ratio
LGD	Loss Given Default
LT	Long Term
LTRO	Long-Term Refinancing Operations
MCRE	Maximum Credit Risk Exposure
MREL	Minimum Requirement for own funds and Eligible Liabilities
NBB	National Bank of Belgium
NFR	Non-Financial Risks
NIG	Non-Investment Grade
NPS	Non Preferred Senior Bonds (NPS)
NSFR	Net Stable Funding Ratio
P&L	Profit and Losses
PD	Probability of Default
PS	Preferred Senior Bonds
RAF	Risk Appetite Framework
RMBS	Residential Mortgage-Backed Securities
ROA	Return On Assets
ROE	Return On Equity
RoNRE	Return on Normative Regulatory Equity
SRB	Single Resolution Board
SREP	Supervisory Review and Evaluation Process
SRM	Single Resolution Mechanism
TLOF	Total Liabilities and Own Funds
T-LTRO	Targeted Long-Term Refinancing Operations
VaR	Value at Risk

Additional information

Additional addresses of Belfius Bank and Belfius Insurance's main subsidiaries and branch⁽¹⁾

Belfius Auto Lease

Operational vehicle leasing and car fleet management, maintenance and claims management services

Place Charles Rogier 11
BE-1210 Brussels
Tel.: + 32 2 285 35 94
www.belfius-autolease.be

Belfius Commercial Finance

Financing commercial loans to debtors, debtor insolvency risk cover and debt recovery from debtors

Place Charles Rogier 11
BE-1210 Brussels
Tel.: + 32 2 285 26 11
www.belfius-commercialfinance.be

Belfius Insurance

Insurance company marketing life and non-life insurance products, savings products and investments for individuals, the self-employed, liberal professions, companies and the public and social sector

Place Charles Rogier 11
BE-1210 Brussels
Tel.: + 32 2 286 76 11
www.dvvlap.be
www.belfius-insurance.be

Belfius Investment Partners

Collective Investment Management Company

Place Charles Rogier 11
BE-1210 Brussels
Tel.: +32 2 222 12 01
www.belfiusip.be

Belfius Ireland Unlimited Company

Managing part of the GC portfolios in run off

23, Shelbourne Road
Ballsbridge
IE-Dublin 4
Tel.: + 353 15 31 15 00

Belfius Lease

Financial leasing and renting of professional capital goods to the public sector

Place Charles Rogier 11
BE-1210 Brussels
Tel.: + 32 2 222 37 08
www.belfius-lease.be

Belfius Lease Services

Financial leasing and renting of professional capital goods to the self-employed, companies and liberal professions

Place Charles Rogier 11
BE-1210 Brussels
Tel.: + 32 2 222 37 08
www.belfius-lease.be

Corona

Direct life and non-life insurance products for individuals

De Kleetlaan 7A
BE-1831 Diegem
Tel.: + 32 2 244 22 11
www.coronadirect.be

Crefius

Granting and managing mortgage loans

Registered office

Place Charles Rogier 11
BE-1210 Brussels
Tel.: + 32 2 222 11 11

Operating offices

Chaussée de Dinant 1033
BE-5100 Wépion
Tel.: + 32 81 46 82 11

H. Consciencestraat 6
BE-8800 Roeselare
Tel.: + 32 51 23 21 11
www.crefius.com

Elantis

Granting and managing mortgage loans and consumer loans through a network of brokers

Registered office

Rue des Clarisses 38
BE-4000 Liège
Tel.: + 32 4 232 45 45

Operating office

Boulevard Saint-Michel 50
BE-1040 Brussels
Tel.: + 32 2 732 12 12
www.elantis.be

The Studio

Digital lab aimed to develop and commercialize digital products & services

Place Charles Rogier 11
BE-1210 Brussels
Tel.: + 32 2 222 09 36

(1) Are included in this list: all subsidiaries and the branch which are operating in the banking and insurance sector (or whose operations are contributing to banking and insurance activities).

General information about Belfius Bank

Company name and legal form

Belfius Bank SA

Contact

Tel.: + 32 2 222 11 11

Registered office

Place Charles Rogier 11
B-1210 Brussels

Main postal address

Place Charles Rogier 11
B-1210 Brussels

Company number

RPM Brussels VAT BE 403.201.185

FSMA number

19649 A

Website

www.belfius.be

Complaints

If you encounter a problem, you can take it initially to your branch or your relationship manager. If your problem is not resolved, then contact the Complaints department.

Belfius Bank

Complaints department – Colis 7908

Place Charles Rogier 11

B-1210 Brussels

E-mail: claim@belfius.be

If you are not satisfied with the response you receive, you can turn to the Negotiation department of Belfius Bank

Belfius Bank

Negotiation department – Colis 7913

Place Charles Rogier 44

B-1210 Brussels

E-mail: negotiation@belfius.be

If you are a natural person acting in a private capacity and you are not satisfied with the responses you have received from the Bank's official bodies mentioned above, you can take your complaint to the Ombudsman in financial conflicts if it relates to banking products.

Ombudsman in financial conflicts

North Gate II

Boulevard du Roi Albert II 8, boîte 2

B-1000 Brussels

Tel.: +32 2 545 77 70

Fax: +32 2 545 77 79

E-mail: Ombudsman@Ombudsfin.be

For insurance products, you can take your complaint to the Insurance Ombudsman.

Insurance Ombudsman

Square de Meeûs 35

B-1000 Brussels

E-mail: info@ombudsman.as

CONTACT

For further general info over Belfius Bank & Insurance,
feel free to surf www.belfius.com.

Got a question about Belfius Bank's results or strategy?
Then please e-mail financialcommunication@belfius.be.

Any other queries? Then call +32 2 222 12 01
(Mon-Fri: 8 am-10 pm/Sat: 9 am-5 pm).

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